

Impact analysis of the review of tobacco excise duty rules

Final Report

Volume 2 - Annexes

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September 2021

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EUROPEAN COMMISSION

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2021

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PDF Web ISBN 978-92-68-30974-2 doi: 10.2778/7872816 KP-01-25-052-EN-N

Luxembourg: Publications Office of the European Union, 2025

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Acronyms and Abbreviations

CAP	Common agricultural policy			**Member States**
C&C	Cigars and cigarillos		AT	Austria
CJEU	Court of Justice of the European Union		BE	Belgium
CN	Combined Nomenclature		BG	Bulgaria
COP	Conference of the Parties		CY	Cyprus
DG AGRI	Directorate-General for Agricultural and Rural Development		CZ	Czech Republic
DG SANTE	Directorate-General for Health and Food Safety		DE	Germany
DG TAXUD	Directorate-General for Taxation and Customs Union		DK	Denmark
DiY	Do-it-yourself		EE	Estonia
EC	European Commission		EL	Greece
ED	Excise duties		ES	Spain
EDT	Excise Duty Tables		FI	Finland
EDY	Excise duty yield		FR	France
EA	Economisti Associati		HR	Croatia
EMCS	Excise Movement and Control System		HU	Hungary
E(N)NDS	Electronic (non-)nicotine delivery systems		IE	Ireland
EO	Economic operator		IT	Italy
EPC	Excise Product Code		LT	Lithuania
EPS	Empty-pack survey		LU	Luxembourg
EU	European Union		LV	Latvia
FCT	Fine-cut tobacco		MT	Malta
FCTC	Framework Convention on Tobacco Control		NL	Netherlands
FMC	Factory-made cigarettes		PL	Poland
GDP	Gross domestic product		PT	Portugal
GNI	Gross national income		RO	Romania
HS	Harmonised System		SE	Sweden
HTP	Heated tobacco products		SI	Slovenia
ITTP	Illicit trade of tobacco products		SK	Slovakia
MED	Minimum Excise Duty			
MS	Member State(s)			
NDL	Non-domestic legal			
NGO	Non-government organisation			
NRT	Nicotine replacement therapy			
OLAF	European Anti-Fraud Office			
OMT	Other manufactured tobacco			
OMT / RP	Other manufactured tobacco and related products			
OPC	Open public consultation			
OST	Other smoking tobacco			
PHA	Public health authorities			
PLI	Price level index			
PPP	Purchasing power parity			
RfC	Release for consumption			
RIP	Relative income price			
SEED	System for Exchange of Excise Data			
SME	Small and medium-size enterprise			
TCA	Tax and customs authorities			
TPD	Tobacco Products Directive			
TTC	Transnational tobacco companies			
VAT	Value-added tax			
WAP	Weighted Average Retail Selling Price			
WCO	World Customs Organization			
WHO	World Health Organization			
WPT	Waterpipe tobacco			

ANNEX A - METHODOLOGY AND TOOLS

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A.1 Desk research and data collection

- **DATA SOURCES**

The following Table A.1 provides an updated overview of the main data sources that have been used to address the information needs of the Assignment. The type of data used belongs to eight main groups, namely: (1) excise duty rates and structures; (2) tax revenues; (3) market size data; (4) price levels and affordability; (5) unrecorded tobacco consumption; (6) raw tobacco; (7) consumption data; (8) public health impact data.

For every item, Table A.1 indicates the source(s) identified and provides a short description of the available data reviewed and used in the framework of the Study, including gaps and limitations. Where feasible, triangulation and/or cross-check of multiple sources have been performed to overcome the weaknesses of individual data sources.

In terms of accessibility, data sources listed in Table A.1 are of three main kinds: (a) publicly available data (such as Commission's databases and surveys and various publications); (b) proprietary data available through subscription, as in the case of *Euromonitor International* and *Ecigintelligence*; (c) restricted access data, such as seizure data collected by customs authorities and other data collected through interviews and surveys carried out under the Assignment.

The data map below does not mention other ancillary data sources that have been used as control variables or to calculate specific indicators, such as Eurostat's socio-economic and demographic series, price level indexes and purchasing power parities for EU countries, GDP per capita and other disposable income indicators.

Table A.1 – Overview of datasets reviewed

Type of data	Indicators / sources	Notes and limitations
Excise duty rates	***Source:*** Directive 2011/64 (and earlier versions). ***Data:*** EU minimum rates and structures.	The EU minima indicated in the Directive (and their overtime changes) were the starting point of the analysis, as they can trigger a change in the rates applied in MS.
	Source: Commission's Excise Duty Tables, TEDB and data collected under Implementing Decision 2011. ***Data:*** Tax rates and structures applicable in the Member States to the various categories of tobacco products and related main indicators, i.e.: excise duty yield at the weighted average price level and total tax burden (excise duty plus VAT).	The datasets elaborated under EA 2019 has been updated with figures covering the 2018-2020 period. Updated data were provided by TAXUD, who collected it from MS in the framework of the information obligations laid down in the Implementing Decision of 28.07.2011.[1] Compared to the previous assignment (EA 2019) TAXUD's excise duty data were more detailed and complete. Nonetheless, some data cleaning issues and gaps persist, regarding both non-responding countries as well as unavailable information (e.g. WAP for FCT in some MS, and systematic information on the MED applied). Annual data were used in the analysis. Where excise duty rates changed during the year a weighted average value was adopted (this explains some discrepancies with EDT, since the latter report the latest increase and not the year's average).

[1] Commission Implementing Decision of 28 July 2011, concerning the list of statistical data on the structure and rates of excise duty applied on manufactured tobacco to be provided by the Member States pursuant to Council Directives 92/79/EEC and 92/80/EEC

Type of data	Indicators / sources	Notes and limitations
	Source: MS sources, including a survey of tax authorities. ***Data:*** EU minimum rates and structures for non-harmonised products***.***	Regarding non-harmonised products - namely e-cigarettes, HTP (in some MS), chewing and oral tobacco etc. – information on the national ad hoc tax regimes was collected from MS through the tax and customs authorities' survey and/or the review of national legislation.
Tax revenues	***Source:*** Commission's Excise Duty Tables, TEDB and data collected under Implementing Decision 2011. ***Data:*** Tax receipts of MS, broken down by cigarettes, cigars, cigarillos and other smoking tobacco. Tax receipts from non-harmonised products.	Also in this case, the figures elaborated under EA 2019 have been updated through the data collected and made available by TAXUD under the Implementing Decision 2011. Not all MS actually provide the tax receipt figures broken down by type of product, so this had to be estimated based on the release for consumption and applicable tax regime figures. For some countries, only model-based estimates were possible (to be considered as purely indicative). For non-harmonised products, tax revenue data were collected directly from MS (survey, interviews or desk research). Various data gaps and uncertainties are registered, especially with HTP data, since some MS aggregate them to OST revenue data.
	Source: MS sources, including a survey of tax authorities. ***Data:*** Tax receipts from non-harmonised products.	For non-harmonised products, tax revenue data were collected directly from MS (survey, interviews or desk research). Various data gaps and uncertainties are registered, especially with HTP data, since some MS aggregate them to OST revenue data.
Market size data	***Source:*** Commission's Excise Duty Tables, TEDB and data collected under Implementing Decision 2011. T&T production data. ***Data:*** Releases for consumption data for cigarettes and fine-cut tobacco.	Updated figures for the period 2018-2020 have been provided by TAXUD (based on the figures collected under the Implementing Decision 2011). Some MS did not report (data gaps) while others were not in the position to disaggregate FCT and OST (no distinction made in the national legislation). Gaps were filled through Euromonitor International data. Cigarettes' RfC data were triangulated with production data sourced from the Commission's traceability system (only for 2020). The discrepancies found can be attributed to: (1) differences in the coverage (e.g. RfC do not cover certain outermost regions); (2) cigarettes' pack size (in various MS packs can contain more than 20 sticks, so the conversion from total packs to total sticks is not

Type of data	Indicators / sources	Notes and limitations
		straightforward); (3) RfC registration time practices; and (4) forestalling practices.
	Source: Euromonitor International. ***Data:*** • Market value (in EUR) and volume for all smoking tobacco products (with limitations for cigarillos). • Market value (in EUR) for smokeless products (4 MS). • Market value (in EUR) for 'vapour products' (e-cigarettes and heated tobacco products).	The EDT does not provide RfC data for other smoking tobacco, cigars and cigarillos, so for these products Euromonitor International's estimates have been used (Euromonitor International provides also disaggregated figures for 'price-fighter' cigarillos, i.e. largely corresponding to so-called 'borderline' cigarillos). For cigarettes and FCT, Euromonitor International's estimates seldom coincide with RfC data, for various reasons (including the year of attribution, which may vary due to 'forestalling' practices as well as for recording timeframe of administrations). To avoid inconsistencies, TAXUD's RfC data have been used as the main source of reference, while Euromonitor International has mainly been used for gaps filling. Euromonitor International does not cover MT, LU and CY. Euromonitor International's coverage of smokeless products - chewing tobacco or moist snuff (dip or snus) - is limited to 4 MS.
	Source: EcigIntelligence, TobaccoIntelligence. ***Data:*** • Market value (in EUR) for e-cigarettes (refill for closed and open systems, disposable products). • Market volume and value (in EUR) for heated tobacco products. • General top-line information on other smokeless products at the global level (especially non-EU markets).	EcigIntelligence and TobaccoIntelligence databases cover: (i) market value and trends in MS (some 18 countries covered), (ii) price level trends for the various type of product, (iii) the estimated prevalence of consumers in the population. These sources provide proprietary estimates collated through primary research and combining a variety of sources (research agencies, industry experts, and other market intelligence methods). Data are not validated and has to be taken with caution. EcigIntelligence is a primary data source for the e-cigarettes industry, and it has been used also for the WHO's Technical manual on tobacco tax policy and administration (2021).
Price levels and affordability	***Source:*** Commission's Excise Duty Tables, TEDB and data collected under Implementing Decision 2011. ***Data:*** • Weighted average price (FMC and FCT). • Relative income price (i.e. price levels of tobacco	Updated figures for the years 2018-2020 have been provided by DG TAXUD and included in the Study's database. Some gaps persist, regarding both non-responding countries as well as unavailable information on the WAP of FCT in some MS. WAP or other price information for products other than FMC and FCT are not collected by the Commission, so other sources were used (see below).

Type of data	Indicators / sources	Notes and limitations
	products referred to consumer's income).[2]	The relative income price (RIP) was calculated as the percentage of income (GDP per capita) required to purchase 100 packs of cigarettes (at the WAP level).
	Source: MS sources, including a survey of tax authorities. ***Data:*** Lowest price and most popular product price for various products (FMC, FCT, cigarillos, Pipe tobacco and WPT).	To complement TAXUD's data on WAP, some information on the price level for specific products were collected directly from MS, through the tax authorities' survey. Two indicators were collected: (1) lowest price - price of the least expensive product on the market, for a given product category; and (2) most popular product price – the price of the most sold product falling in a given category (this indicator is less precise than WAP to measure price levels, however, it was assumed that for certain product categories most popular product price was easier to collect than WAP). Only a minority of MS were able to provide this information (response rate was higher with FCT and FMC, much lower with the other products examined).
	Source: Euromonitor International. ***Data:*** Weighted average price of conventional tobacco products, and new products.	The data provided by the Euromonitor International on market volume and value for specific categories of products were used to estimate a rough indicator of the weighted average price of the products not covered in the EDT / TEDB data collected by TAXUD. The same approach was used to make estimations on the average price of HTP and e-cigarettes (for triangulation purposes).
	Source: EcigIntelligence, TobaccoIntelligence. ***Data:*** Average lowest price by retail outlet, for e-cigarettes. Weighted average price for heated tobacco products.	The price of vapours products is collected from online stores in 19 MS and divided by type of product (refill for closed and open systems, disposable products). Differentiated price levels for shortfills and nicotine boosters are provided. Data to be used with caution: the experience of the EA 2019 study showed that the figures from online store checks are not always accurate especially in the case of less popular products in some EU markets.
Unrecorded tobacco consumption	***Source:*** EU traceability system data. ***Data:*** cigarettes manufacturing and distribution at retail level, by NUTS3 regions.	The raw data collected from the EU traceability system were made available by DG SANTE. They have been used to carry out an econometric assessment of cigarette sales in MS regions bordering other EU countries. The purpose of the

[2] Blecher EH, van Walbeek, CP, An international analysis of cigarette affordability Tobacco Control 2004; 13:339-346.

Type of data	Indicators / sources	Notes and limitations
		analysis was to attempt an estimation of the magnitude of cross-border flows and their correlation with price differentials across the borders. The data are still incomplete, due to limited implementation in some MS, and the period examined was possibly influenced by Covid-19-related travel restrictions, but the methodology proved promising and scalable for future monitoring and assessment (see the model specifications and results in the Appendix).
	Source: KPMG's STAR, SUN, Stella projects. ***Data:*** non-domestic legal products, contraband and counterfeit, 'illicit whites', illicit manufacturing	The most detailed and comprehensive data series on the unrecorded tobacco trade. The KPMG 'flow model' runs on data from 'empty pack surveys' data collected at the MS level by different independent market research agencies.[3] Although formally an independent exercise, commissioned in the latest edition by the Royal United Services Institute for Defence and Security Studies (RUSI), the project is sponsored by the industry. For this reason, the validity of its results has been questioned and, despite their being used by some MS for their analytical activities, they need to be taken with due caution, and cross-checked through other sources.[4] The STELLA project has recently added an ad hoc reporting on illicit manufacturing (based on a review of law enforcement reports on specific cases).
	Source: EUROPOL, OLAF, TAXUD. ***Data:*** • Illicit tobacco seizure. • Raids of illicit manufacturing plants.	Aggregated data on ITTP seizures are collected by TAXUD as part of the Customs Union Performance exercise. These figures refer to customs' seizures and do not include seizures made by other national law enforcement agencies. No breakdown by country was provided. Data on seizures of illicit tobacco products are also collected by OLAF (various sources including CIS+). As emerged from EA 2019, seizures data aggregated at the EU level present limitations of comprehensiveness (estimated underreporting especially for minor-size seizures) and comparability (the databases are not checked and cleaned), so they should be taken with great caution.

[3] For a detailed description of the methodology used in Project SUN see KPMG, 2017 Results, Methodology and Appendices:
https://assets.kpmg.com/content/dam/kpmg/uk/pdf/2018/09/project_sun_methodology.PDF

[4] For a critical review of this source see, for instance: Joossens et al., "From Cigarette Smuggling to Illicit Tobacco Trade", 2012; Gilmore et al., "Towards a Greater Understanding of the Illicit Tobacco Trade in Europe: A Review of the PMI Funded 'Project Star' Report.", 2013; Gallagher AWA, Evans-Reeves KA, Hatchard JL, et al, "Tobacco industry data on illicit tobacco trade: a systematic review of existing assessments", Tobacco Control 2019;28:334-345.

Type of data	Indicators / sources	Notes and limitations
		EUROPOL collects and elaborate information on law enforcement operations against illicit manufacturing and trade in the framework of the overall EMPACT initiative. An analytical report, with detailed data on seizures, is produced yearly by the 'AP Smoke' action (restricted access).
	Source: MS sources, including a survey of tax authorities. Eurobarometer and other surveys. ***Data:*** consumption / offering of illicit tobacco products based on EU citizens' consumer surveys.	Other estimates on 'unrecorded tobacco' – including cross-border flows, ITTP and illicit manufacturing - have been collected directly from MS competent authorities and stakeholders, through interviews, surveys and analyses of national datasets and reports. The data collection covered surveys commissioned by national tax authorities (e.g. in Ireland[5], Lithuania[6], Nordic countries etc.), by national public health authorities and NGOs (e.g. in France), regional industry-sponsored efforts (e.g. the SELEC report for south-east Europe[7]), multi-country tobacco control studies (e.g. PPACTE)[8], and the Eurobarometer[9]. Also, these sources present some methodological limitations, such as small samples and possible under-reporting in the case of consumer's surveys, which add up to their limited geographical or historical coverage.
	Source: Euromonitor International. ***Data:*** Illicit trade volume sales trends (cigarettes only).	A further source for cross-checking estimates is represented by the Euromonitor International model estimates of illicit cigarettes consumption. The research method involves a mix of bottom-up and top-down approaches. The former includes e.g. customs seizure data, trade statistics gaps, empty pack survey (i.e. the above KPMG model estimates); while the latter includes trade press info, interviews with stakeholders and wider industry trends and analysis of the operating environment. Data are not validated by public authorities and have to be taken with due caution.
Raw and manufactured tobacco	***Source:*** Eurostat, DG AGRI, FAOstat. Industry statistics. ***Data:*** Agricultural crop statistics:	DG AGRI collects from MS figures on cultivation areas, harvests, price, operators etc. The main limitation is that where, in the previous year, cultivated area was smaller than 3,000 hectares, reporting

[5] Each year since 2009, the Office of the Revenue Commissioners, in conjunction with the Health Service Executive's National Tobacco Control Office, commissions independent market researches among smokers with the purpose of estimating the volume of non-Irish duty paid cigarettes being consumed in Ireland.
[6] Vaida Liutkutė-Gumarov et al., Illicit Tobacco in Lithuania: A Cross-Sectional Survey, October 2020.
[7] Southeast European Law Enforcement Center, 2019 Report on Cigarettes and Tobacco Smuggling in SEE, 2019.
[8] PPACTE: Pricing Policies and Control of Tobacco in Europe. http://www.tri.ie/ppacte.html
[9] Eurobarometer 482, public perception of illicit tobacco trade, July 2019.

Type of data	Indicators / sources	Notes and limitations
	• Harvested production (tonnes). • Cultivation area (ha.). • Price. • No. of farmers.	to the Commission is not mandatory[10], so no information is available for certain minor tobacco-producing MS. Eurostat and FAOstat also publish statistics on tobacco crops, which partly differ from DG AGRI data. No feedback was obtained from competent authorities on the methodological differences that could explain the discrepancies registered. According to industry operators, DG AGRI figures are more accurate. Industry statistics have been used for triangulation purposes and to fill gaps in MS reported data. Industry data are more detailed, as they include information on the producers' organisations involved and the first purchaser / processors of raw tobacco. However, figures refer to 'contracted' amounts and not to actual production (they tend to be higher than DG AGRI data).
	Source: Eurostat (PRODCOM, Comext). ***Data:*** Production and trade statistics: • Production value. • Production volume. • Import/export value. • Import/export volume.	Manufactured tobacco production annual data are collected and published in the PRODCOM section of the Eurostat database. PRODCOM statistics cover production value and volume (in kg or units) for five types of products (classified based on CPA nomenclature). The Information is, however, largely incomplete because for several MS - including major producers of manufactured tobacco – access to data is restricted for confidentiality. Import/export data (external and internal to the EU) for tobacco products are available through the Comext database. Products are segmented by CN codes, and statistics cover also raw tobacco (down to the 8-digit level of the Nomenclature). Since raw tobacco can be subject to multiple cross-border movements, intra-EU annual figures are prone to double counting issues.
	Source: MS sources, including a survey of tax authorities. ***Data:*** Production and trade statistics: • No. of supply-chain operators. • Production volume (different products). • Import/export flows (volume).	Additional estimates were collected directly from MS through interviews and surveys. However, only a minority of respondents was able to provide detailed figures, especially for first processed tobacco.

[10] Source: point 7 of Annex III of Implementing Regulation 2017/1185 of 20 April 2017.

Type of data	Indicators / sources	Notes and limitations
Consumption data	***Source:*** Eurobarometer, Eurostat, WHO. ***Data***: • Smoking prevalence, (by MS, age group, gender). • Smoking intensity. • Smoke quitters. • Use of e-cigarettes, HTP and dual-use.	Smoking prevalence is estimated by various sources including WHO, Eurobarometer, and Eurostat (EHIS). These estimates are not always consistent due to heterogeneous calculation methods. The most recent Eurobarometer survey has the advantage of higher frequency (6 editions in the past 15 years) and overtime comparability, although the questions posed have sometimes changed between different editions. The last wave was carried out in 2020.[11] The main limitations regard the respondent sample's size, which implies fairly substantial statistical intervals of confidence. Additionally, DG SANTE has recently commissioned an ad hoc study on Europeans' perception of various minor tobacco products and substitutes.[12]
	Source: EcigIntelligence, TobaccoIntelligence, Euromonitor International ***Data:*** • Number / prevalence of e-cigarettes consumers. • Number / prevalence of HTP consumers. • Purchasing channels.	Due to the lack of official estimates on the extent of consumption of new products (and less consumed products in general), third-party sources have been used to complement and cross-check the Eurobarometer estimates. The comparison of different sources showed some inconsistencies in the estimates of prevalence, especially in a few MS. Euromonitor International and Ecigintelligence provide proprietary data based on internal models, whose robustness cannot be fully verified. Data are not officially validated and have to be used with caution.
	Source: MS sources, including a survey of tax and public health authorities. ***Data:*** Consumption prevalence: • Smoking prevalence by sex and age cohort. • Consumption prevalence of specific products (WPT, FCT, herbal products). • Number of users (HTP, e-cig, oral tobacco).	Additional estimates were collected directly from MS through interviews and surveys. Information on prevalence and consumer's demand was collected through both public health authorities and tax authorities of the Member States. However, only a minority of respondents was able to provide detailed figures.
Public health impact	***Source:*** EU *death from smoking* Project and *Global Burden of Disease* Study ***Data:*** estimates on the social costs of smoking, i.e. value-of-	For estimating the ultimate public health impacts and related social costs, reference has been made to the EU *death from smoking* Project and *Global Burden of Disease* Study.

[11] Special Eurobarometer 506.
[12] LSE et al., "Consumer preference and perception of specific categories of tobacco and related products", August 2020. The products covered include WPT, slim cigarettes, small cigarillos, novel tobacco products, and e-cigarettes.

Type of data	Indicators / sources	Notes and limitations
	life, healthcare costs and productivity losses.	For consistency, the estimates were developed in accordance with the IA underpinning TPD (as under EA 2019). Details are provided in Annex F.2.

- **DOCUMENTARY REVIEW**

Desk review activities involved the mapping and review of various types of documents, such as legal frameworks, policy documents, reports, studies, research papers, grey literature and the like. The identification of the relevant documentary sources built on the large bibliography set up under the previous assignments (EA 2017, EA 2019), which was complemented by more recent publications, including in areas not previously covered (e.g. raw tobacco, oral products, CBD etc.).

As regards the Directive and the overall ***policy and regulatory frameworks*** the following types of sources have been mapped:

- ***Directive 2011/64*** and 'legacy' versions of the EU excise legislation on manufactured tobacco; the underlying impact assessment conducted in 2008 (IA 2008); the studies and reports conducted previously (Ramboll 2014, EA 2017, EA 2019), the DG TAXUD Reports of 2015, 2018 and 2020, the Council Conclusions 2016 and 2020; secondary acts (e.g. Implementing Decision 2011/480) etc.
- The ***public health policy framework***, including the Directive 2014/40 (TPD) and implementing acts and complementary policies (e.g. Recommendation on smoke-free environments); TPD-related preparatory studies, impact assessment documents, evaluation reports; EU Beating Cancer Plan; international Framework Convention on Tobacco Control (FCTC) and related guidelines and reports.
- The policy framework concerning the ***fight against illicit trade of tobacco*** and fraud, i.e. the EU Strategy of 2013 and related Action Plan (1 and 2) and the implementation Report of 2017; background and implementing documents on the EU traceability system; the FCTC protocol on illicit trade and related documents.
- The ***excise duty system*** legal and operational framework, including the 'Horizontal' Directive (Directive 2008/118, recast under Directive 2020/262) and related studies and report (including on Art.32 of the Horizontal Directive); implementation policies and measures (e.g. EMCS, administrative cooperation);
- The relevant ***customs administrative framework and tools,*** e.g. CN and HS classification (and explanatory notes), and the binding tariff information (BTI) notified in the EBTI system.
- Relevant ***CJEU jurisprudence*** in these policy areas.

A second line of desk work consisted of collecting ***policy documents and market information at the MS level***, in the context of the envisaged case studies. The types of documents collected included:

- specific policies, by-laws and procedural documents (e.g. guidelines) on the issues at stake;
- monitoring data collected by tax/customs authorities and/or tobacco control centres (beyond those transmitted at EU level);
- market and consumption reports and surveys (especially for products other than cigarettes) collected and published by non-State actors (industry, trade, public health and consumers organisations);

Finally, desk research encompassed relevant ***scientific literature and 'grey' literature*** on four main themes, as follows:

- Thematic EU-funded studies concerning specific issues at stake – e.g. JRC studies, research projects on tobacco control policies, other relevant studies, reports and guidelines published

by international organisations, i.e. the WHO (including under the FCTC), the World Bank, OECD etc.
- Existing publications on modelling and analysing tobacco market dynamics, i.e. correlation of tax levels, prices and consumption, substitution across products, substitution with illicit products etc. The review included inter alia research resources like *Tobacconomics*[13].
- Existing publications on trends and factors underlying demand for tobacco products and smoking prevalence, including the relative impact of taxation and other tobacco control measures on demand, and socio-demographic factors, as well as literature on the quantification of the ultimate public health impact of tobacco consumption. The review notably included peer-reviewed journals like *BMJ Tobacco Control.*[14]
- Specific information on novel products regulatory and market trends in EU countries, including oral products, CBD-based products etc.

A.2 Consultation of stakeholders

➢ OVERVIEW

This Section describes the activities that have been carried out to collect information from direct and indirect stakeholders (including the general public). The information sought was of four main kinds: (i) factual information on the situation and dynamics of the issues at stake; (ii) evaluative information on the performance of the current legal framework and existing problems; (iii) predictive statements on the possible future evolution under different policy scenarios; and (iv) normative statements on expectations and effects of different policy options. The consultation strategy has been modulated to cover efficiently all these dimensions by balancing outreach and depth (i.e. from general public close-ended questionnaire to semi-structured interviews with key informants) and by addressing different target groups with bespoke questions that take into account their position and interests in the subject matter.

In operational terms, four main activities were carried out, as described in detail in the following paragraphs:

- an ***open public consultation*** targeting all interested parties and the general public;
- a ***targeted consultation*** of MS tax and customs authorities (TCA),
- a ***targeted consultation*** of MS public health authorities (PHA);
- ***in-depth interviews*** with a variety of stakeholders, EU and MS authorities, economic operators, public health experts and NGOs, sectoral professionals etc.

➢ OPEN PUBLIC CONSULTATION

In accordance with the principles of openness, transparency and accountability of policy-making the *Better Regulation* establishes that an Open Public Consultation (OPC) is required for any policies initiatives accompanied by an impact assessment, and it lays down the main methodological and procedural rules for its implementation.

The Directive has already undergone two OPC in the context of the previous studies (EA 2017 and EA 2019). To avoid repetition, the questionnaire for the new OPC addressed areas that were poorly explored previously and focussed on specific change scenarios, based on the preliminary options discussed in the initial phase of the Assignment.

The OPC consisted of an online questionnaire survey, accessible through the Commission website, addressing all kinds of potentially interested public, i.e. institutional, corporate and individual citizens, regardless of the level of familiarity and expertise in the subject matter. The OPC was carried out under the responsibility of the competent Commission service, with the

[13] https://tobacconomics.org/
[14] https://tobaccocontrol.bmj.com/

assistance of the Consultant for the preparation of the questionnaire, the roll-out of the survey, and the final analysis and reporting.

Operationally, the ***implementation*** of the OPC involved the following steps:

- ***Preparation of the consultation questionnaire***. A first draft questionnaire was submitted to the Commission on 12 February. Based on the comments received, the questionnaire underwent various revisions, and the final version was eventually submitted on 19 February. The questionnaire included primarily closed-ended questions to facilitate the analysis and to reduce the risk of misinterpretations of answers. Attention was paid to formulate questions understandable by a non-specialist audience, although a few technical questions were unavoidable.
- ***Finalisation of the OPC***: The final version in English of the questionnaire has been translated by the Commission competent service into all official EU languages. Then, it has been uploaded on the EU Survey platform. The OPC eventually went live on 30 March.
- ***Implementation of the consultation***: The Consultant has announced via email the launch of the OPC to the interested stakeholders in the MS, including trade associations (manufacturers, retailers etc.), public health and consumer's organisations. Counterparts were invited to assist with the dissemination of the OPC by informing relevant members and stakeholders and advertising it on their webpage and/or social media profiles. The OPC ended on 22 June. A total of 7,262 replies were received (see Annex C).
- ***Analysing and reporting outcomes***: The response data hosted on the Commission websites have been transferred to the Consultant for the analysis. This also included several qualitative feedbacks, position papers and other documents enclosed by the respondents. The Consultant has included the results in the Synopsis Report on stakeholder's consultation (see Annex B).

➢ TARGETED CONSULTATION OF TAX AND CUSTOMS AUTHORITIES

The targeted consultation of tax and customs authorities consisted of a questionnaire survey sent to MS authorities competent for tobacco excise duty legislation and administrative implementation. A very detailed questionnaire was prepared, covering three main areas: (1) the revision of EU minima for harmonised products (including the revision of certain categories / definitions); (2) the harmonisation of new products, as well as other products not currently harmonised; and (3) the introduction of a harmonised regime for raw tobacco to address illicit manufacturing of tobacco products and tax fraud issues. Questions focussed in particular on factual evidence related to the policy problems identified, the national framework in place (and planned) to address them, the impact of national measures, the MS needs for EU-level measures and expectations.

A first draft questionnaire was submitted to the Commission in Annex to the Inception Report. The questionnaire was revised and finalised based on the comments received by the Commission (on 5, 16 and 23 March). The consultation was launched on 24-25 March and was administered through email sending to DG TAXUD's counterparts within MS tax authorities. The established deadline for the questionnaires' submission was 23 April. However, various MS authorities could not complete the questionnaire in time and demanded an extension of the latter. The reasons included: (a) the need for internal coordination with various services for the collection of the data required; (b) pending approval from hierarchy before submission; and (c) in exceptional cases, issues occurred with the transmission of the questionnaire to the competent persons.

An extension was eventually granted to the MS who requested it. The latter varies from a few days up to three weeks in the exceptional cases under point (c). Hence, considering the allocated extensions, the survey of tax authorities has eventually closed on June 25.

A total of 25 replies were received, as shown in Table A.2 below. An analysis of the results is provided in Annex C.

Table A.2 – MS participating to the tax and customs authorities' targeted survey

Participating countries	Not participating countries
BE, BG, CY, CZ, DE, EE, DK, EL, FI, FR, HR, HU, IE, IT, LT, LU, LV, MT, NL, PL, PT, RO, SE, SI and SK	AT and ES

- **TARGETED CONSULTATION OF PUBLIC HEALTH AUTHORITIES**

The targeted consultation of public health authorities consisted of a questionnaire survey that was disseminated, with the support of DG SANTE, to the MS public health authorities that are members of the Commission's Tobacco Control Expert Group. The questionnaire covered various aspects, in particular: (1) an overview of how tobacco-related issues evolved in MS since the last survey (2018), i.e. smoking prevalence trends, emerging issues (e.g. new products), new legislation / researches on selected topics, etc.; and (2) feedbacks on future policy objectives, to respond to emerging trends.

A first draft questionnaire was submitted to the Commission as an Annex to the Inception Report. Based on the comments received (5 and 26 March), the questionnaire was restructured and resubmitted. The text was eventually approved and disseminated on 6 April by DG SANTE to the competent MS authorities. The established deadline was 30 April. Also in this case, some counterparts reported delays, so it was eventually decided to accept questionnaires received until June 25.

A total of 18 replies were received, as shown in Table A.3 below. An analysis of results is provided in Annex C.

Table A.3 – MS participating to the public health authorities' targeted survey

Participating countries	Not participating countries
BE, BG, CY, CZ, DK, EL, ES, FI, HR, HU, LT, LV, NL, PL, PT, SE, SI and SK	AT, DE, EE, FR, IE, IT, LU, MT and RO

- **INTERVIEW PROGRAMME**

In addition to the above-written consultation, a large-scale in-depth interview programme has been implemented. An overall ***97 subjects were interviewed,*** i.e. nearly twice as much the number of interviews initially planned (55).

The interview programme involved authorities (EU and MS level), economic operators, public health experts and NGOs, a few professionals, research institutions and other stakeholders. Regarding economic operators, the interviews involved operators active in different segments: tobacco growers, first and second processors, raw tobacco merchants, wholesalers and logistic players, retailer organisations, manufacturers of tobacco products - cigarettes, FCT, cigars and cigarillos, pipe and water-pipe tobacco, heated tobacco, chew, snuff and other oral tobacco, as well as non-tobacco relevant entities – i.e. e-cigarettes, nicotine pouches and CBD products. Big companies, SMEs and most representative trade associations have been involved.

The interview programme included stakeholders operating at the EU / transnational level (WHO), as well as stakeholders based in the MS selected for fieldwork, namely in: SE, FI, DK, IE, FR, CZ, PL, IT, PT, HR and BG.

A summary of the stakeholders involved in the interview programme by type of organisation is provided in Table A.4 below. The details of the stakeholders involved are not disclosed to comply with the confidentiality obligations. The results are included (in anonymous form) in the Synopsis Report (Annex B).

Table A.4 – Total stakeholders interviewed for the Study

Respondent	Number
European Commission	**13**
Member States' authorities	**15**
Industry and trade associations	**41**
Public health experts and NGOs	**23**
Others (e.g. professionals, research institutes, consumers' NGOs etc.)	**5**
Total	**97**

In-depth interviews were qualitative and semi-structured, i.e. they were not based on a too closed, standard questionnaire but on a flexible ***checklist of themes for discussion*** which have been normally sent in advance to the interviewees, so that he/she has the time to reflect on the topics proposed. Checklists have been customised by target group, based on their interests and perspective, as well as by country, based on the specific legislation / market condition.

Interviews typically last between 60 and 120 minutes. Due to Covid-19-related restrictions, they were mostly carried out through ***videoconference***. In a handful of cases, respondents preferred to provide written answers.

In-depth interviews have been carried out under the standard ***confidentiality arrangements***. As a general rule, the stakeholders' feedback has been reported in a way that his/her identity is not disclosed and cannot be inferred. No minutes or summaries of the discussions can be circulated outside of the Study team. Stakeholders who wish to have their position publicly disclosed were invited to express it through the Open Public Consultation (see above), whose outputs are transparently published on the Commission website.

- **METHODOLOGICAL LIMITATIONS**

Qualitative methodologies have the advantage of allowing greater insights on the subject matter and depth of analysis. On the other hand, they are subject to intrinsic limitations and biases, which regard the choice of sources, the reliability of the information, and the reconciliation of different perspectives. In the Study, the risk of bias in the use of qualitative sources has been minimised through (1) the recourse to comprehensive consultations, involving a substantial number of stakeholders with different perspectives and from different countries; and (2) the construction of findings based on the triangulation of different sources (including, where feasible, quantitative evidence). The methodological limitations of the stakeholder consultations conducted could not be completely eliminated and can be summarised as follows:

- ***Representativeness***. Despite the large participation, the OPC inevitably remains a consultation tool subject to a strong self-selection bias. Participants typically have a direct interest in the subject matter, so respondents cannot be considered as a representative sample of the population. The vast majority of responses received to the OPC came from e-cigarettes consumers, concerned about the possible taxation of these products. The identification of repeating patterns in the open-ended questions suggests a possible degree of coordination in responses. To overcome the risk results' distortion, the analysis was conducted by subdividing respondents by typology. Still, grouping respondents by category is not straightforward, especially in the case of industry-related respondents, whose interests may differ depending on the products manufactured/traded and/or their position in the value chain.

  The targeted consultations of MS authorities were not affected by this issue, since the participants were, by design, homogenous and invited directly by the team. The tax and customs authorities' survey saw large participation and can be considered fully representative. The participation in the public health authorities' survey was partly lower (two-thirds of the MS), hence a certain self-selection bias can be assumed.

In-depth interviews have, by default, no intent of offering an accurate representation of the groups involved. However, to ensure that all different perspectives and interests on the subject matter were adequately covered, the interview programme was particularly broad and involved all types of relevant stakeholders from several countries.

- ***Validity of evidence***. Most of the information gathering activities focussed on factual and verifiable evidence regarding tobacco and other relevant products market conditions, evolutions and legal and administrative frameworks. Nevertheless, in addition to this, the consultation activities also involved the collection of stakeholders' views and considerations on policy problems and possible solutions, which cannot be 'corroborated by facts' in the strict sense. Considering that all stakeholders involved have a clearly identifiable interest in the subject matter (as a regulator, trader, public health expert etc.) this kind of statement has an inherent bias that needs to be understood and made explicit. As a rule of thumb, this risk has been addressed by posing the same questions to stakeholders having different perspectives and interests, in order to reconstruct the full picture from all angles, and to mutually cross-check and verify the information provided. Furthermore, extemporaneous views and considerations that proved to be not anchored to factual evidence were rejected. The adoption of the same mechanism was less feasible for survey-based consultations, where the interest (or bias) behind the information could also be assumed from the respondent's typology, but, in many cases, this was not straightforward to identify.

- ***Interpretation of answers***. Lastly, it is worth mentioning that the survey has intrinsic limitations regarding the correct interpretation of the answers. Close-ended questions have the advantage of returning clear and straightforward pictures of stakeholders' views on a given subject, but the nuances and caveats are inevitably ironed out, and respondents may interpret the same questions differently (although in the case of the OPC translations into the national language were provided). Some open-ended questions were added to the questionnaire, to allow respondents to elaborate on their feedback, but this option was not frequently used.

A.3 Thematic case studies

➢ **OVERVIEW**

The ToR for the Assignment explicitly required to adopt a 'case study' approach to five main themes, namely:

(1) Cross-border flows
(2) Illicit manufacturing and trade
(3) Raw tobacco
(4) Heated tobacco products
(5) Electronic cigarettes

The purpose of the case studies was primarily to collect concrete evidence on ***national measures in place*** and of their effectiveness and efficiency, in order to draw useful lessons for the design of the EU policy. This approach aimed at providing more depth and perspective to the numerical analysis of impacts and, at the same time, to permit benchmarking and comparison between different approaches and courses of action.

The ToR require each case study to cover about 3-5 countries. A draft list of countries for 'deep-dive' analysis was provided in the Consultant's initial proposal. Based on DG TAXUD's feedbacks the initial list was modified with the addition of four countries not initially envisaged. Table A.5 below illustrates which MS was eventually covered by deep-dives assessments.

Table A.5 – MS covered by case studies

Cross-border flows	Illicit manufacturing and trade	Raw tobacco	Heated tobacco products	Electronic cigarettes
FR, IE, SE, DK, FI, BG	FR, IE, BG, PL, CZ, HR	IT, PL, CZ, HR, BG, SE	IT, PL, FR, PT	HR, PL, SE, PT

Case studies have been based on a mix of the information sources described in the previous sections, in particular:

- consultation of ***competent MS authorities*** (interview or survey);
- consultation of ***economic operators*** involved;
- consultation of ***public health experts*** and/or other relevant stakeholders;
- desk review of relevant ***documentary sources*** (policy document, reports, studies and literature); and
- in-depth ***data analysis*** (i.e. quantitative assessments focused on specific countries / markets).

The wealth of evidence and data collected during fieldwork have been processed and analysed in two main steps: (1) the gathering and organising of the information collected in the different MS in a coherent framework (internal country experts' reports); and (2) transversal analysis of such information to produce thematic case studies.

➢ **METHODOLOGICAL LIMITATIONS**

The main methodological limitation of country-based case studies consists in the possible bias induced by the countries' selection. In this exercise, however, representativeness was not a key criterion. It was more important to select MS based on the existence of national legal frameworks, specific experiences and other specificities worth to be explored. As the selection was done ex-ante and based on a cursory and preliminary review of MS market and legal frameworks, it is possible that some relevant experiences were eventually missed or, conversely, that the research included countries that turned out to be poorly interesting or willing to share details. To overcome this risk, the number of MS covered has exceeded what was initially envisaged.

Furthermore, to overcome possible limitations due to the sample covered by the fieldwork activities, the case studies combined a specific MS-level analysis with a broad EU-wide assessment of the policy problems under consideration. In other words, evidence from fieldwork has been examined and presented in conjunction with a 'big picture' assessment, integrating both qualitative and quantitative analysis, as well as primary and secondary sources (see Annex E).

A.4 Approach to impact analysis

A.4.1 Dynamic baseline scenario

The terms for comparison of the proposed policy options are set down in the baseline scenario and, in this sense, the ***baseline scenario analysis*** is an essential cornerstone of the analytical work. The baseline analysis aims at describing the 'implementation state of play' (in *Better Regulation* terminology), with emphasis on factual data, and at formulating robust assumptions on how the ***situation would evolve in the absence of a regulatory revision*** (dynamic baseline scenario). In this analysis, external factors beyond the reach of the policy process at stake should be as much as possible considered. These go from parallel initiatives and trends being adopted by other EU services (e.g. in the context of anti-fraud or tobacco control policy) to broader economic and socio-cultural trends.

The detailed overview of ***market recent developments*** and the ***future outlook*** is provided in Annex D. In accordance with the methodology used in the previous exercise (EA 2019), predictions on the future evolution of the baseline situations involve the triangulation of methods and evidence, in particular:

- ***quantitative modelling***, which can predict market evolutions under a business-as-usual situation;
- ***review of industry strategies***, i.e. new products being tested in pilot markets, investment levels, new emerging business models etc.;
- analysis of the literature on ***consumers' behaviour and cultural trends***;
- analysis of ***policy trends and legal frameworks*** at national level;
- ***direct feedback from key informants***, e.g. authorities, public health experts, economic operators, market intelligence sources etc.

The features that are worth investigating for the 'baseline scenario analysis' differ across policy areas and topics. As a general rule, the relevant aspects for analysis are those that can be affected by different policy decisions. Table A.6 below provides an outline of such aspects deemed relevant for the baseline analysis.

Table A.6 – Thematic aspects for the baseline analysis

Areas of possible legal revisions	Aspects relevant for baseline analysis and comparison of option
Minimum rates (and revision of certain tax categories and definitions)	• Trends in rates and structures applied to cigarettes and other manufactured tobacco in and across MS. • Relationship between EU minimum rates and structures and actual MS rates and structures. • Trends in price levels of cigarettes in and across MS (price differentials, considering purchasing power parity). • Substitution between cigarettes and FCT (including possible effects of Covid-19 pandemic). • Trends in the consumption of cigarillos (and their potential as cigarette substitutes). • Extent of tax-driven cross-border shopping, and implications for tax levels in EU countries (including possible effects of Covid-19 pandemic). • Extent of illicit manufacturing / trade and explanatory factors (including possible effects of Covid-19 pandemic); specific illicit trade of WPT and possible tax drivers. • Smoking prevalence trends (in relation to price levels and other factors like public health policies) and associated social costs. • Tax revenue trends, in relation to actual rates and price levels.
New products	• Market value and price of e-cigarette, HTP, other manufactured tobacco and related products (including tobacco-free products like nicotine pouches). • Number and type of consumers (e.g. by age group), and consumption patterns. • Policy and legal frameworks for new products and non-harmonised traditional products across MS (including trends). • Estimated tax revenues (based on countries that have introduced a specific tax on new products). • Issues related to ad hoc regimes and disparities of treatment of new products across the EU. • Administrative burden related to the legal framework, for economic operators and administrations.
Raw Tobacco	• Trade volume and market value of raw tobacco. • Overview of the supply chain structure and operators (tobacco growers, first processors, dealers etc.). • Estimated volume of diversion into illicit trade of raw tobacco. • Frequency of uncertain product classification issues for administrations / operators. • Policy and legal frameworks for the control of raw tobacco adopted in MS. • Administrative burden related to the legal framework, for economic operators and administrations.

A.4.2 Impact Analysis

- **IDENTIFICATION OF RELEVANT IMPACT AREAS**

The structuring of impact analysis required, in the first place, identifying and describing the ***type of impacts connected to the policy problems*** and the solutions identified. For methodological consistency, such impacts are normally defined with reference to the 'impact areas' of the Better Regulation. Table A.7 below presents an overview of the impact areas that have fallen in the scope of the analysis, with an indication of their importance, and reference to the corresponding Better Regulation's category. The relevant impact areas identified include economic, social and environmental impacts.

Table A.7 - Overview of the impact areas relevant for the impact analysis

Impact Areas	BR category	Minimum rates (and revision of certain tax categories and definitions)	New products	Raw Tobacco
Economic Impacts				
Regulatory burdens on business	Operating costs and conduct of business		**	***
Competitiveness of SMEs	Position of SMEs	*	**	**
Overall competition issues	Functioning of the internal market and competition	**	*	*
Fragmentation of the internal market	Functioning of the internal market and competition		**	
Regulatory burden on MS authorities	Public authorities		**	**
Tax revenue impact	Public authorities (including budget)	***	**	*
Social Impacts				
Tobacco control	Public health	***	*	*
Unrecorded tobacco consumption (non-domestic legal and illegal)	Crime, Terrorism and Security	**	*	***
Environmental Impacts				
Carbon dioxide emission	Climate	*		
Energy intensity	Transport and use of energy	*		

Legend: *(***) major impact area; (**) area of moderate relevance; (*) area of minor / indirect impact.*

- **APPROACH TO IMPACT MEASUREMENT**

The approach to and the measurement of impacts depend on their nature and their relation (direct/indirect) with the policy option under consideration. Making reference, again, to the conceptual framework of the *Better Regulation* and the related background studies[15], the following categories of impacts are relevant in this Study:

1. ***Direct charges***, i.e. namely excise duties, and other possible related taxes, tariffs, fees (e.g. VAT). The effect of direct charges paid by companies or consumers evidently corresponds to a parallel budgetary effect on MS public revenues.
2. ***Administrative costs***, i.e. those incurred by firms (or public entities) to provide information under legal obligations (information is intended in a broad sense, i.e. including labelling, reporting, registration, monitoring and assessment etc.).
3. ***Substantive compliance costs***, i.e. those generated by provisions which require firms to take actions to adapt their products or production processes to comply with the legal act (e.g. undergoing the obligation envisaged for operators by the general excise arrangements legislation).

[15] See: Better Regulation Toolbox, Tool #59; see also Centre for European Policy Studies and Economisti Associati (2013), Assessing the Costs and Benefits of Regulation, Report for the Secretariat-General of the European Commission.

4. ***Implementation and enforcement costs***, which are costs borne by public administrations to administer and enforce a legal provision, as well as costs linked to the litigation/adjudication process.
5. ***Market effects***, i.e. a catch-all category encompassing the variations in market conditions and trends (demand and supply) induced by regulation (market efficiency, competition, substitution effects, illicit trade etc.)
6. ***Impact on illicit trade***, related to taxation as well as to legal and administrative measures in place to fight against tax fraud.
7. ***Public health impacts***, i.e. the effects of tax policies on demand for tobacco products and consumers' preference and habits, which affects smoking prevalence in the MS population, and eventually determines the overall burden of tobacco in the EU.
8. ***Environmental impacts,*** i.e. the effects of tobacco production and consumption in poorly investigated areas, such as CO2 emissions, use of energy and the like.

The scope and the methods of analysis that will be applied to these various types of impact is summarised in the following paragraphs.

- **Direct charges.** Direct charges are the most straightforward of regulatory impacts, and are also the most relevant for this Study since it is the subject matter of the Directive revision, which is under scrutiny. In particular, it is worth highlighting that:

  - as compared to other direct impacts, excise duties on tobacco products (and new products) represent the impact category with the largest magnitude in monetary terms;
  - the quantification in monetary terms of excise duties does not require complex methodologies, since they are already expressed in such terms or in rates applicable to economic values;
  - the quantification of taxes paid by firms (and passed-on to consumers) coincides with the impact of the various policy options on tax revenues (re-distributional effect);
  - excise duty rates are the main trigger of a series of possible market effects, such as tax-induced substitution between products, reduction of the demand, cross-border shopping, recourse to illegal market etc.

  To estimate impacts on tax revenues, the logic model described in Figure A.2 below was applied, as tax revenues are connected to the effects of an increase of rates on market sales (and to the demand for substitute products).

- **Administrative costs.** Administrative costs (and cost savings) are those incurred by firms or public administrations to respond to certain information obligations included in legislative acts. Examples of possible information obligations relevant to this Assignment are the need for electronic cigarettes' firms and for raw tobacco traders to register the movement of products through the EMCS. Administrative costs are typically measured – in accordance with *Better Regulation* Guidelines - through the Standard Cost Model (SCM). The details on how the model was applied to the specific issues at stake are provided in Annex F.4.

- **Substantive compliance costs**. Substantive compliance costs (and cost savings) are those incurred by firms when they are required to adapt their product or production processes to comply with a legal obligation. They are generated by 'substantive obligations' expressly envisaged in the legislative act. In the framework of this Assignment, substantive compliance costs emerged, for instance, from bringing into the scope of the Directive products that are currently not covered, thus extending to them the obligations of the EU general arrangements for excise duty (e.g. setting up a tax warehouse). The 'compliance costs assessment' methodology is the same as for the administrative costs. The assumptions and the sources utilised are detailed in Annex F.

- **Enforcement costs.** Enforcement costs are defined as those borne by public authorities to apply and enforce a legal provision. In the framework of this Assignment, no major additional costs directly generated by a revision of legal provisions were expected. Expected impacts relate to some moderate variations in the enforcement costs that could stem from revisions

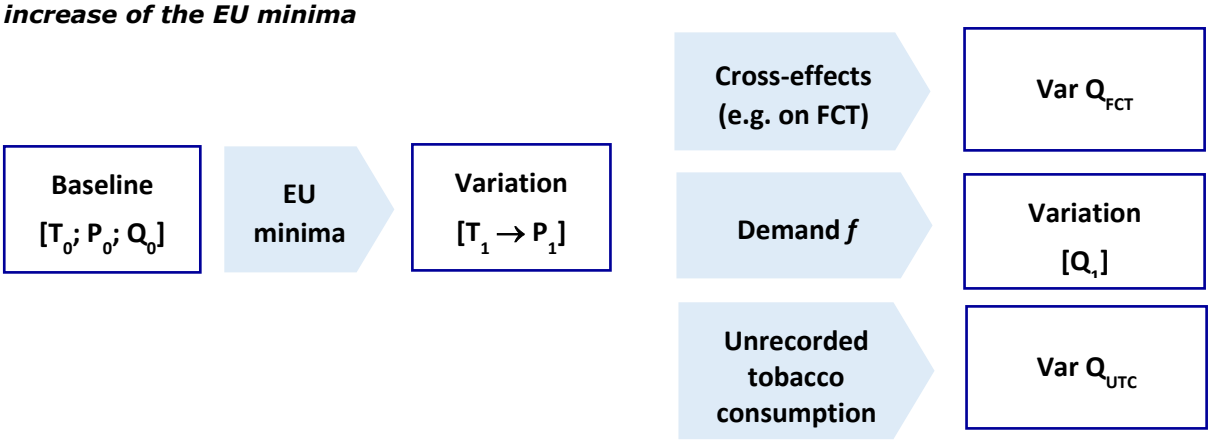
of certain institutional arrangements and procedures in place in MS, such as: the systems some MS have adopted to monitor products not covered by the EMCS, or to deal with the cross-border flows of illicit / bootlegged products caused by high price differentials. Additionally, the costs linked to disputes, litigation and adjudication, falling on both public authorities and private actors, can be ascribed to the enforcement costs. In this respect, it is worth highlighting that variations in the enforcement costs include also costs reduction, e.g. due to more efficient monitoring enabled by automated movement control, or in relation to the removal of uncertainties (and disputes) caused by subjective product definitions etc.

The method for calculating enforcements costs is in principle the same described above for administrative and substantive compliance costs. However, in line with the outcomes of previous studies, national authorities were seldom able to specify the costs attributable to tobacco tax enforcement, as this is part of the ordinary customs and excise administration activities, without a separated budget. Some indications of potential costs / costs savings could be nonetheless extrapolated through qualitative feedbacks (survey of competent authorities) and case studies.

- **Market effects.** Broadly speaking, the analysis of the market effects aims at estimating the variations in the demand and supply of products, and eventually in the market equilibrium, caused by a change in market conditions, as measured by the volume of sales and price levels. In this specific case, the most prominent variation of market conditions expected regards the introduction or the increase of excise duties on conventional and new products. By affecting producer's costs, an increase of excise duties may in principle shift upward the supply curve, increasing prices and reducing the demand for a certain product in a given geographical market. Such variation of the market size depends on a number of factors, such as (see Figure A.2):

    - Effects on national rates applied by MS in reaction to an increase in EU minimum rates, which differs across countries (e.g. from level T_0 to level T_1 in Figure A.2).
    - The extent of the impact of excise increases on the retail selling price of products (amount of tax passed-on to consumer), differentiating, where relevant, between different tax components (specific, ad valorem and MED) and considering industry's 'portfolio strategies' (i.e. cross-subsidisation between products to mitigate the impact of the tax).
    - The own- and cross-price elasticity of demand for the different products, which determine possible 'cross-effects', like an increase in the demand of FCT (Q_{FCT}) caused by an increase in the price of cigarettes.
    - The effects of price increase on the demand of unrecorded tobacco consumption (Q_{UTC}) - non-domestic products (cross-border shopping) and illegal products - and the related determinants (geographic position, enforcement capacity of local authorities, social perception of illicit tobacco etc.).
    - The impact on the demand of a range of other possible factors, i.e. macroeconomic factors (income trends, inflation etc.), sociodemographic factors, cultural trends, tobacco control policies, availability of new generation products, etc.

Figure A.2 – Outline of the logic model to estimate the variation in the demand caused by an increase of the EU minima



To deal with the complexity of the scenario a demand estimation model was developed under EA 2019 and used to predict the possible effects of an increase of EU minima on: price levels; aggregated demand; substitution between FCT and cigarettes. Quantitative models were then applied to further estimate: (a) variations in cross-border flows; (b) impact on illicit trades; (c) impact on tax revenues of MS; (d) affordability effects and contribution to smoking cessation (impact on smoking prevalence); and (e) ultimate impact on the burden of tobacco. An outline of the key specifications of the econometrics analysis conducted under EA 2019 is provided in Box A.1 below.

Box A.1 – Overview of the econometric modelling carried out under EA 2019

The backbone of the EA 2019 study consisted of a broad-scope quantitative analysis carried out through econometric methods, which aimed at investigating the dynamics of the tobacco market in the EU countries in relation to the tax policies established at the EU level. Specifically, the results of the econometric analysis have contributed, along with other sources of evidence, to answer to the following research questions:

(1) What changes (if any) has the Directive produced on: (i) the structure and the level of market prices of tobacco products in MS; (ii) the demand for tobacco products and smoking prevalence; (iii) the substitution between cigarettes and FCT and with non-domestically taxed products; and, eventually, (iv) tax revenues?
(2) How would these variables change if the provisions of the Directive were modified, including (i) minimum rates (fixed and relative amount); (ii) excise duty structure (specific and ad valorem), and (iii) MED?

In summary, the demand estimation model developed consisted of three-level equations:

(1) at the first level, we assessed the ***price elasticity of the demand for tobacco products*** – i.e. how the expenditure of consumers on any kind of tobacco products varies in relation to the average price of tobacco products;
(2) at the second level, we measured the conditional demand for the different types of products, i.e. how the above-mentioned expenditure would be allocated by consumers between the different products in relation to their relative prices, thereby measuring the ***conditional own- and cross-price elasticity between different products***;
(3) at the third level, we estimated the conditional demand for cigarettes belonging to different price segments, namely premium *vis-à-vis* low- and mid-price cigarettes, i.e. how the above expenditure on cigarettes estimated at the second level would be further split between different segments depending on the respective price levels, that is the ***conditional own- and cross-price elasticity between different market segments of cigarettes***.

We have tested both a linear model and a log-linear model, then we chose the latter since it provided the best fit with the data.

The impact of the tax on prices was also estimated in a log-linear model and therefore the model actually measured the '***pass-through elasticity***', i.e. the percentage increase in price levels that is associated to

a percentage increase of taxes. In the case of cigarettes, the econometric analysis indicated an overall pass-through elasticity of 0.7, which means that an excise duty increase of 10% translates, on average, into a price increase of 7% (in monetary terms this roughly correspond to a pass-through of 100%). The same pass-through coefficient has been assumed also for the other tobacco products examined.

Regarding the ***demand elasticity to price***, the results of the econometric analysis resulted broadly in line with the relevant economic literature on this matter. In particular, both the range (from -0.39 to -0.64) and the retained point estimate (-0.54) of the price elasticity for tobacco products in our model is rather consistent with the results of previous keynote studies, with differences due primarily to the specific scope and data used, i.e.:

(1) EU 28 geographic coverage, instead of individual MS, high-income countries, or the entire world as in other keynote studies reviewed;
(2) 2005-17 timeframe, vis-à-vis earlier periods considered in other studies cited (e.g. one of the seminal World Bank report in this area refers to the 1990s[16]);
(3) coverage of all smoking tobacco products, vis-à-vis only cigarettes in most of the other works reviewed.

In the case of ***unrecorded tobacco*** analysis, data limitations were significant. Therefore, this research area had to be addressed using data from industry-sponsored Project SUN, re-aggregated in accordance with the Study needs. These data were compared with MS own estimates as well as with consumption-based estimates and seizure data, to assess their consistency. It was eventually possible to estimate a statistically significant elasticity of the demand for 'unrecorded cigarettes' (both non-domestic legal cigarettes and illegal ones) to the price of domestic legal cigarettes. Additionally, it was estimated how the probability of generating a cross-border flow between two countries varies with the change in their price differentials.

The model specification and the full results from the econometric analysis carried out under the EA 2019 study are ***available on the DG TAXUD website***.[17]

In accordance with the approach developed for EA 2019, the impact analysis of revising the EU minima have been ***primarily based on the results of the quantitative data assessment***. The estimated elasticities, pass-on factors, and other structural variables have been used to simulate how key variables like taxation, price level, demand, and tax revenues would evolve from the current baseline situation under the different proposed scenarios. As for EA 2019, the exercise required also establishing assumptions on a few major intervening factors and in particular the tax trends in MS in the absence of EU intervention, and the decline trends in the demand that is unrelated to price and affordability (due to tobacco control policies or broader cultural factors). Needless to say, all these assumptions introduced some degree of uncertainty in the estimates.

However, in addition to updating the results of EA 2019 modelling, some more tests / complementary analyses have been undertaken, and, in particular, adding tax increase scenarios based on ***PPP-adjusted instead of purely nominal levels.***

It is worth remarking that not all market impacts could be estimated through the quantitative approach and a ***qualitative, case study-based approach has been necessary*** in some cases, both to triangulate quantitative estimates or as the only source of evidence in some instances. Where limited data were available, such as for niche and emerging products, the analysis was based on estimates elaborated by the Consultant, through mixed sources: market intelligence reports, industry data, individual MS data, and other stakeholder's feedback. Similarly, in areas where policy options consisted of introducing totally new systems – as in the case of raw tobacco – there was evidently no background data that could be used to set up an econometric approach, so impact scenarios were developed based primarily on qualitative benchmarks (case studies).

[16] Jha, P. & Chaloupka F. J. (eds.) (1999), Curbing the epidemic: governments and the economic aspects of tobacco control, Washington, DC: The World Bank.
[17] See EA 2019 - Volume 3.

- **Impact on illicit trade**. The analysis of market effects is an imprecise measurement of the impact on tobacco consumption in MS due to the existence of 'unrecorded consumption'. A Commission-funded study was carried out to review the existing methodologies for measuring illicit trade, but at present there are no ongoing efforts to develop an official assessment methodology in the EU. So, in the absence of validated measurement the analytical methodology adopted under EA 2019 was also used in this Assignment, with some updates and improvements, as follows:

    - A new quantitative model has been developed to estimate the magnitude of ***cross-border flows*** (based on the EU traceability system data) and their elasticity to variation in price levels between bordering regions. An abstract describing the analysis carried out and the results obtained is provided in Box x below. The detailed specifications are provided in the Appendix, while the application of the model estimates to the analysis of excise duty increase scenarios is laid down in Annex F. Quantitative data were further triangulated with case study evidence on the possible effects of Covid-19 confinements on the availability and consumption of cross-border products (Annex E.1).
    - Regarding ***illicit trade*** we have combined KPMG's Project Stella figures with Euromonitor International estimates, and triangulated data with MS own estimates and other country-level data collected in selected MS (see Annex E.2).
    - Adding an ad hoc impact analysis from introducing a ***control system for the raw tobacco*** supply chain. With respect to illicit trade, the analysis estimated the effectiveness of the solutions proposed in reducing the diversion of raw tobacco to illicit channels. As this phenomenon can be only approximately quantified, the analysis of effectiveness was largely based on the experience of public authorities with similar measures and stakeholders' scenario predictions.

- **Public health impacts.** The public health impact analysis is based on a mixed method, combining quantitative and qualitative sources of evidence, i.e. extrapolating the impact on smoking prevalence deriving from variations in consumer's demand and preferences, and cross-checking estimates with public health authorities (and experts' feedback). In particular, the quantitative approach involved a two-fold perspective (see Annex F.2 for details):

    1) ***Reduction of the smoking prevalence***. Variations in the demand for tobacco products ultimately affect smoking prevalence, i.e. the percentage of regular smokers among the population. This is influenced by a change in the affordability and accessibility of products (price / income ratio), but also to a number of other factors such as the availability of cheaper substitutes (including illegal products), the effectiveness of tobacco control policies and restrictions, a general shift in the cultural perception of smoking etc. In this sense, for a prospective assessment of the extent of the smoking prevalence decline (vis-à-vis EU Cancer Plan targets) we have combined: (a) the direct effects of EU minima increase on reducing tobacco demand (all products); (b) the indirect effects of tax increases adopted by MS, regardless of EU minima (or indirectly influenced by them); and (c) the decline induced by tax-unrelated factors, as quantified under the EA 2019 study.
    2) Secondly, such reduction can be transformed into ***social cost savings***, defined as a reduction of the aggregated burden of 'value of lives lost', smoking-attributable healthcare costs and productivity losses. The sources used for quantification and the detailed estimates are provided in Annex F.2.

- **Environmental impacts.** In the previous exercise, environmental impacts were considered of limited magnitude for the policy process at stake and were not subject to an in-depth assessment. More recently, the European Green Deal framework invites to place a greater emphasis on the environmental consequences of EU policies. At the same time, new information and analyses were produced in this area, including a seminal WHO's report[18]. So, this Study contains an ad hoc analysis of the possible environmental impact of tobacco excise policy, based on WHO parameters (see Annex F.5).

[18] Tobacco and its environmental impact: an overview. Geneva: World Health Organization; 2017.

Box A.2 – Abstract of the quantitative analysis of cross-border flows through the EU traceability system data

The **EU traceability system** put in place by the Commission (also called 'track and trace' system) allows to collect geolocalised data on cigarette packs delivered across all EU. The system is fully in force since mid-2020, and for this study, we had access to delivery data for two quarters, Q4 2020 and Q1 2021. The extent of implementation varies across MS. In some countries the system covers more than 70% of cigarettes deliveries (e.g. 12 countries) while in others implementation is still lagging behind.

We have gathered delivery data aggregated by EU regions (NUTS3 level)[19,20] and other relevant territorial statistics, and we have applied the appropriate statistical controls to cope with the under-reporting issues affecting some MS (see Appendix for details). We have run several regression models[21] using these data to investigate the **correlation between price difference across neighbouring regions (belonging to different countries) and the magnitude of cross-border flows**. In particular, the regional domestic consumption (approximated by cigarette packs deliveries) has been assessed in relation to: the weighted average price in neighbouring regions, population, GDP per capita, population age, infrastructures (cities, airports, and roads), and country-specific unobserved factors. Different regressions were tested involving either all regions (1,100 units) or a subsample excluding those where the traceability system coverage was below 70% (226).

Overall, the results indicate that a statistically-robust correlation exists between cigarettes deliveries in MS border regions and price levels in foreign neighbouring regions. More specifically, a 1% increase in the price of cigarettes in neighbouring regions is roughly associated with an increased demand of domestic cigarettes **of approximately 1.11%.** The statistical significance is 99%, and the standard error is 0.25. Assuming the demand as stable, the impact on domestic sales is paralleled with an equivalent but inverse impact on cross-border shopping. In this sense, the model allowed to formulate estimates on the extent of cross-border flows by simply testing the effects on domestic sales from a hypothetical complete levelling of prices between regions.[22]

The model turned out robust and scalable. However, the results of its application to the estimation of cross-border flows (see Annexes E.1 and F.3) possibly underestimate the magnitude of the issue in normal times, for three main reasons:

1) The period covered by traceability system data (4Q 2020 – 1Q 2021) largely coincides with COVID-19-related restriction of movement in several MS. Country-level investigations (see Annex E.1) reported substantial anomalies in the domestic deliveries registered in bordering regions, especially in countries highly affected by cross-border shopping. In this sense, the analysis should be run again with data related to periods with no travelling restrictions in place, in order to have a more accurate quantitative assessment of the real extent of cross-border flows.
2) The analysis was built on price differential between bordering regions, not directly considering the impact of differential between faraway places. It also focuses on net flows between regions, which can lead to underestimate total flows, and in particular flows that occur from high-price to low-price countries (i.e. linked to consumption during travelling). Such 'non-economic-driven' flows were estimated under EA 2019 accounting for approximately 30% of the total.
3) In various countries, the traceability system data underestimate the volume of actual shipments. Corrections have been applied, but estimates remain inevitably imprecise as far as absolute numbers are concerned. So, it is suggested to recast the exercise as soon as the system's coverage improves.

A.4.3 Comparison of options

The final step consisted of comparing policy scenarios. The exercise was carried out separately for the three areas of the revision identified, which are relatively independent from each other,

[19] The Nomenclature of territorial units for statistics (NUTS) is a hierarchical system for dividing up the economic territory of the EU for the purpose of statistics collection and analysis. The NUTS3 level is the most granular subdivision available.
[20] NUTS3 level aggregates have been elaborated and provided to the team by DG SANTE's staff responsible for the traceability system.
[21] Ordinary Least Square regressions and Spatial Models, as detailed in the Appendix.
[22] In practice, given two regions A and B belonging to different countries, and assuming price levels in A are higher than in B, the extent of cross-border flows can be estimated by measuring the effects on domestic sales in country A of a hypothetical price increase in country B, which brings prices in B to the same level as A.

namely: (1) revision of ***EU minima***; (2) harmonisation of ***new products*** tax regimes; and (3) inclusion of ***raw tobacco*** in the scope of the legislation. In each of these areas, the baseline for comparison was the 'no policy change' scenario and the assessment involved all the scenarios and variants selected.

In line with the salient comparison criteria laid down in *Better Regulation*, the three dimensions examined regard:

- ***effectiveness*** of the options – i.e., the extent to which different options would deliver the expected results;
- ***efficiency*** of the options – i.e., the benefits versus the costs;
- ***coherence*** of each option with the overarching objectives of the EU policies.

Whenever feasible, the comparison refers to the quantitative assessments carried out in the impact analysis. This is notably the case with certain effectiveness and efficiency parameters which can be expressed in monetary terms (i.e. market effects, tax revenue impacts, part of regulatory costs) or other quantitative variables, and therefore qualifies for cost-benefit analysis (CBA)[23]. For other, non-monetizable aspects, the impact has been expressed in qualitative terms (e.g. coherence with certain policy objectives).

The combination of quantitative and qualitative elements required the adoption of a multi-criteria analysis (MCA) approach to the overall comparison of options. The framework is based on a multi-criteria comparison matrix. [24] Indeed, the MCA allows to integrate both quantitative criteria (based on a partial CBA) and qualitative ones, giving explicit recognition to the fact that a variety of effects may influence the comparison of policy options and that not all of them are measurable via the same unit of measurement. The different kinds of impacts analysed in the MCA cannot be summed up in any meaningful way, so different appraisal criteria are needed to compare options. In operational terms, this entailed setting up (1) a qualitative rating scale for scoring impacts; and (2) a comparison matrix***,*** to summarise how the different options compare along the analytical criteria selected. The matrix includes both a synthetic judgment (expressed on a five-step scale) and a short description of the rationale behind the rating. Ratings are presented in disaggregated forms because the impact areas are heterogeneous, and the weight attributed by policy-makers to specific aspects may vary.

The last step of the analysis also included a ***proportionality test*** on the policy options proposed. This consists of four standardised questions (drawn from *Better Regulation*). The feedback includes both a synthetic rating and a qualitative comment highlighting the strength and the risks connected to the proposed options.

A.4.4 Overview of the main methodological limitations

Mixed methodologies and tools have been employed for impact analysis. Every quantitative or qualitative methodology used in the Study is prone to a set limitations which can be roughly grouped as follows: (1) limitations related to the robustness of underlying data used; (2) intrinsic limitation of the assessment model adopted; (3) limitations related to the validity of findings; and (4) limitations related to unforeseeable intervening factors.

1) ***Data validity limitations*** have been described extensively in the initial sections of this Annex. Issues regard: the availability / completeness of data (e.g. market data for new products and for products with marginal consumption are significantly less robust than cigarettes data); and the reliability (e.g. third-party estimates on illicit trade and cross-border flows).

[23] CBA is a method of comparing the costs and benefits associated with a certain policy, in order to assess whether the initiative is expected to bring about a net improvement. See: Better Regulation Toolbox, Tool #57.
[24] See: Better Regulation Toolbox, Tool #63.

2) The ***analytical models used*** include rigorous econometric models, as well as less robust impact simulations, which – due to the absence of robust and complete datasets, had to be based on proxy variables, extrapolations and unverifiable analytical assumptions. The limitations of the former are clear and quantified by statistical parameter. Still, it can be noted that different models were used to assess the same phenomenon (e.g. cross-border flows), which returned partly different results. As regards other types of impact simulation there are evidently larger degree of uncertainty with the models applied (as it is the case with, e.g., the benefits of raw tobacco harmonisation on the reduction of illicit trade), so the results are inevitably less robust and reliable. In particular, the limitations in the estimation of regulatory costs should be mentioned. While the general model used (the Standard Cost Model) is widely accepted, its implementation in this Study largely relied on costs parameters elaborated in previous external assessments, which did not always appear as entirely fit for the purpose.
3) The ***validity of findings*** is based primarily on the triangulation of different data sources. However, for certain aspects difference sources exist, while for others the available sources turned out very limited and a proper triangulation was not always possible. An additional challenge is rating the reliability of sources, since certain sources can be more valid than others. As a rule of thumb quantitative assessments have been considered as more reliable than opinions expressed by stakeholders with an interest on the subject. However, in some cases also the quantitative predictions of future impacts have to be taken with caution, especially in the case of radical change scenarios for which there is no precedent that can be used as benchmark.
4) In various cases, impacts have been estimated using the baseline situation as benchmark. However, a series of ***unpredictable intervening factors*** may occur, which can alter the results. These include, of course, exogenous factors (an example is the COVID19 pandemic, which have modified consumption patterns in a way that is still being examined). More importantly, it also includes endogenous factors, like MS reaction to revised EU rules, changes in the business practices, product developments, market consolidation, demand evolution in unforeseeable directions etc., which are likely (affected operators will certainly take measures to minimise the adverse effects on their businesses) but cannot be properly factored in the analysis. Also in this case, the more radical is the change of rules, the weaker impact predictions are.

Appendix – Quantitative model for the assessment of cross-border flows



Appendix - CBF Analysis.docx

ANNEX B – SYNOPSIS REPORT FROM STAKEHOLDER CONSULTATIONS

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B.1 Purpose and Scope

This report is intended to complement the study carried out by *Economisti Associati* (the 'Study') to support DG TAXUD's Impact Analysis (IA) of the possible revision of Directive 2011/64/EU (the 'Directive') concerning excises on tobacco products. It summarises as a standalone document the key findings from related stakeholder consultations, integrating evidence gathered from previous preparatory studies. After providing an outline of the consultation strategy that has been implemented, the document describes the perceived policy problems for the different stakeholders' groups consulted and then elaborates on their feedback to the proposed policy options for the revision of the Directive.

B.2 Overview of the consultation activities carried out

The consultation strategy was articulated into a number of different activities aimed to gather as comprehensively as possible the opinions of the different stakeholder groups by means of dedicated interview programs and various general and specific surveys. In particular, the following activities have been carried out:

1. an online ***Open Public Consultation***, which involved economic operators, business associations, professionals, public health and consumers NGOs, academicians, researchers, local authorities and ordinary citizens of both the EU and third countries. The Consultation did not aim to reach any degree of statistical representativeness, but nevertheless managed to elicit as high as 7262 responses, covering all EU Member States.
2. targeted consultations of Member States' public authorities, in particular involving:
    a) ***tax and customs authorities*** (TCA) with a total 25 respondents out of 27 MS;
    b) ***public health authorities*** (PHA) with a total 18 respondents out of 27 MS.
3. ***In-depth interviews*** with MS authorities, Commission's staff, industry representatives, public health experts and NGOs, professionals etc., for a total of 97 interviewees. Most of interviews were carried out in the framework of 'deep-dives' research in a sample of selected countries, namely: FR, IT, SE, PL, BG, HR, IE, DK, CZ and FI. Regarding economic operators, interviews addressed companies operating at different stages of the tobacco value chain, i.e. growers, first and second processors, storage companies, manufacturers, and retailers organisations. In terms of products, consultations involved manufacturers of all 'traditional' tobacco products - cigarettes, fine-cut tobacco, pipe tobacco, cigars and cigarillos, waterpipe tobacco traditional chewing tobacco and snus – and of new products like e-cigarettes, heated tobacco products, nicotine pouches and the cannabidiol (CBD) industry.

In summary, the stakeholder consultation activities were aimed at collecting four relevant types of information, namely:

- factual information on the legal and operating frameworks in the Member States, as well as on the situation and dynamics of the corresponding national markets;
- opinions on the perceived performance of the current EU legislation and related key issues to be redressed;
- predictive statements about the possible evolution of legal frameworks and markets in the absence of any EU intervention;
- stakeholders' expectations and stated preferences on the diverse possible policy scenarios outlined.

B.3 Review of the policy problems

- **PRODUCT SUBSTITUTION**

The importance of tackling the issue of increasing substitution of factory-manufactured cigarettes (FMC) with both existing harmonised products and, above all, new unregulated ones

has been largely confirmed during the public consultation. This not only risks eroding the tax base of tobacco excises in the long run, but also has the potential of undermining tobacco control policy efforts. The current importance of the various forms of product substitution varies. Substitution with cigarette-mimicking cigarillos is reported as a growing issue of concern just in a small subset of Member States. However, none of them believe that this can be considered as in permanent decline and therefore it still might represent a potential threat in the future. It is both substitution between FCM and heated tobacco products (HTP) and, to some more limited extent, e-cigarettes and fine cut tobacco (FCT) that has attracted considerable attention over the past three years. Despite individual consumers and industry respondents have generally resisted the idea that increased taxation would be deserved for a number of products, a majority of them were, however, ready to concede that further action to close the gap in excise rates between cigarettes and FCT as well as cigarillos would be justified in current circumstances. Academicians, NGOs, Public Health Experts and other categories of respondents almost universally agreed both that taxation had to be generally increased and existing gap levels closed.

Among the latest developments, many Member States have also reported an increasing consumption of FCT at the expense of traditional cigarettes as a consequence of the COVID 19 epidemics. This has been empirically confirmed also by other sources and variously attributed both to income-related factors among the lower layers of the smokers' population substantially decreasing cigarette affordability for them and to constraints in the availability of cheaper illicit/cross-border products on the market due to lockdown restrictions.

While it is widely believed that the above trend will be eventually reversed once the situation will be back to normal, the substitution between FMC and HTP is generally deemed a more structural market phenomenon that is not driven by income-related factors, as HTP are already sold in many MS at the same level of prices as traditional cigarettes. As compared to the situation found in previous evaluation studies it appears that a substantial consensus has now been reached among public health experts that from a public health perspective taxation should be equivalent by "single act of consumption" and therefore not only excise rates of FMC and FCT should be substantially equalised but HTP should be taxed on a stick basis with an equivalent amount of excise duties as cigarettes. Tax authorities have more nuanced views in this respect, seemingly based on considerations on tax administration straightforwardness.

While it is acknowledged that so far major sudden increases in the market shares of these cigarette substitute products have often tended to be short-lived phenomena that have plateaued relatively soon, as seems to have been the case for instance also with e-cigarettes in a number of national markets, there is a growing concern among public health experts that the increasing variety of substitute products with a poorly harmonised fiscal treatment now available on the market may end up decreasing the sheer effectiveness of traditional tobacco control policies and that of taxation in particular. A matter of particular concern is represented by nicotine-based products other than e-cigarettes, particularly nicotine-pouches, that have started gaining market shares in some MS, at the expense of both traditional tobacco products including 'old' smokeless products themselves, such as snus and chewing tobacco. This is also confirmed by PHA survey results, where nicotine pouches have often been indicated as the more serious tobacco control problem that MS have had to face over the last few years. Some public health experts interviewed were particularly concerned about the possible long-term consequences of these market trends, as nicotine-containing new products can induce an addiction to nicotine that can lead to other forms of tobacco consumption, including traditional smoking products. This concern is also shared by PHA that consider alternative products appearing on the market as a more serious threat to the future effectiveness of tobacco control policies than cross-border flows or illicit trade.
Conversely, as emerged also from previous consultation, new products users and economic operators (especially of e-cigarettes) expressed substantial concerns about the risk that taxation would discourage smokers from switching from conventional tobacco to new products, that in these respondents' view are less harmful.

- **AFFORDABILITY OF TOBACCO PRODUCTS AND EXCISE DUTIES**

There remains an overwhelming consensus on the fact that, at least on paper, taxation should be considered as the single most effective policy tool available to curb smoking prevalence, and that affordability considerations should be factored in setting taxation levels, especially in fast income growing Countries in Eastern Europe to avoid that the deterrent effect of taxation on consumption is lost because of parallel income-related factors more than compensating for taxation increase.

In one third of MS or so, individual respondents to the open public consultation have generally acknowledged that particularly in Southern and Eastern Europe traditional tobacco products including cigarettes and FCT remain affordable or even very affordable for the typical consumer in his or her working age. It would therefore appear that statistical affordability considerations based on the "average income" of the population may therefore be biased in some Countries by broader urban/rural disparity considerations and the weight that pensioners or income-dependent individuals have on the structure of the population and not necessarily reflect concrete consumers' perceptions. Shares of respondents' consensus on the degree of product affordability vary from product to product and tend to increase as one moves from FMC to FCT and to cigars and cigarillos. These are deemed affordable by some half of respondents across Europe overall.

Moreover, only some slightly less than half of the public authorities that have replied to the questionnaire could confirm that tobacco overall affordability had decreased in their Countries over the last three years, possibly also as a result of the COVID-19 epidemics and its impact on income levels rather than by an explicit taxation effort aimed at raising prices. This is also in line with what reported by public health experts according to which taxation would have somehow lost momentum over the last few years as a tobacco control tool in some MS, while others made significant efforts to reduce affordability through taxation.

This loss of traction has been confirmed also by PHA survey results, where a majority of respondents had to admit that their smoking prevalence reduction objectives over the last few years could be achieved only to some moderate or limited extent, particularly among the youth and female consumers. Only few PHA declared themselves satisfied or very much satisfied with the trends that could be observed in domestic consumption. Moreover, PHA hardly considered increases in excises as the single most important factor contributing to the decline in smoking prevalence over the last few years. This was generally deemed second in importance after national restrictions (bans on sales, etc.) in contributing to decrease smoking prevalence. Also natural market trends and the surge of e-cigarettes and oral products appear to have contributed to this result, although at the price of continued nicotine addiction.

There was a high level of agreement among various categories of stakeholders that the EU should consider disparities in income levels when setting the minimum tax rates. TCA expressed a less positive view, which reflect the need to carefully assess the concrete functioning and impact of this reform (the number of MS affected by EU minima would increase). Some experts would in principle support a tax that reflects affordability but expressed doubts on the use of the purchasing power parity index to this end.

- **CROSS-BORDER FLOWS**

There remains a strong consensus among all stakeholders that the EU tobacco taxation policy should contribute to reduce differences in taxation between Member States and therefore decrease any incentive to purely tax-driven cross-border shopping. However, at the same time, it is also widely recognised that the current EU excise harmonisation mechanism based on common minima is unlikely to trigger any actual harmonisation in the level of taxation any time soon and therefore cannot tackle the issue of reducing abuse of cross-border trade flows purely motivated by tax arbitration opportunities. The awareness of this structural limitation has led some stakeholders to imagine radically new mechanisms for reshuffling EU tobacco taxation

policy from scratch, ranging from the introduction of price capping for cigarettes and other tobacco products, to regional-level weighted average prices, to restriction on the amount of tobacco that can be legally sold at the point of sales.

Since the amount of cross-border flows is poorly known and often measured with a certain degree of approximation, there remains a considerable level of uncertainty among MS authorities about how its importance has evolved over the last three years. Most respondents concur that the weight of cross-border trade has not changed substantially, although this assessment tends to prevail in countries openly admitting that also tobacco affordability has not changed either, while those who have been more active in increasing domestic taxation levels and curb domestic affordability accordingly, also tend to be among those more concerned by a general worsening of cross border flows and more vocal on the need to take action on them.

Although many report to lack conclusive data to make an assessment, both TCA and PHA survey respondents have reported a substantially unchanged situation as to the importance of cross-border flows overall, the evidence described by many interviewees clearly indicates that sales of domestic duty-paid products greatly increased in regions bordering Countries with much lower tax and price levels as a result of the travel restrictions enforced because of the implementation of COVID-19 lockdowns. This further confirms the evidence already gathered in the previous EA 2017 and 2019 studies, about price differentials representing one of the major drivers of cross-border flows. This is also what a majority of OPC respondents believe, as they maintain that a reduction in price differentials among MS is a key issue to effectively tackle cross-border trade, irrespective of any additional administrative measure on travel allowances that could be taken to further mitigate the problem.

- **ILLICIT MANUFACTURING AND TRADE OF TOBACCO PRODUCTS**

The need to fight illicit tobacco trade and manufacturing has been confirmed as a priority by a majority of OPC respondents and there is substantial consensus in line of principle across all categories of stakeholders that further EU collective action should be taken in this respect. As compared to results of the EA 2017 exercise, there is a notable increase in the degree of consensus that the fight against illicit manufacturing should also include as a key policy issue the definition of a better fiscal regime for raw tobacco monitoring inclusive of fiscal sanctions for diversion of trade flows at the origin, although major differences between different categories of stakeholders could be noted. In particular, in our sample of survey responses and interviews with stakeholders a sizeable share of industry representatives and some academician interviewees remained broadly unpersuaded - also on proportionality grounds - that the availability of raw tobacco for illicit production should be an issue to dealt with by means of fiscal controls and suggested that the problem could be better tackled by an ad hoc administrative mechanism rather than by any inclusion of raw tobacco within the scope of excise goods. Conversely, enforcement practitioners and TCAs, as well as the public at large and tobacco control NGOs have been overwhelmingly in favour of this as a practical and enforceable solution and some even proposed the regime should be extended to the tobacco plant itself. At any rate, according to those who remain more sceptical on the subject, an enforcement of this new approach should be considered at the EU level only once a proper evaluation of the results of pilot experiences in MS is available, which would currently not be the case. However, this solution has increasingly been adopted by a number of MS, including tobacco producing countries often over and above the strengthening of their ordinary administrative controls on domestic tobacco agricultural production. These early adopters have generally reported that the implementation of these fiscal monitoring measures has greatly helped them with curbing illicit domestic manufacturing, but there remain gaps in monitoring cross-border trade flows with other EU MS.

The salience of illicit domestic tobacco manufacturing as a source of illicit products within the Union has increased on average since the latest consultations. Conversely, both fiscal and public health authorities tend to indicate just a moderate increase in the availability of illicit products overall. Nowadays, some broad consensus between industry representatives, as well as public authorities at the EU and national level could be found in estimating the share of illicit products

in the overall tobacco market in the region between 8 and 11% of the total. In terms of specific products, cigarettes remain those hit the most by smuggling and illicit manufacturing activities, and the MS most affected tend to be those with the highest prices and taxes, although supply factors are also at play. A number of sources have also agreed that countries with high level of taxation are the locations close to which illicit factories are usually established and whose markets they tend to cater to.

However, at a general level, while there is broad consensus that fiscal regulation of raw tobacco is worth including in the EU agenda and 60% of MS fiscal authorities consider that the poor control of the raw tobacco supply chain is a key driver of illicit domestic manufacturing, there is still some uncertainty as to the specific size of the phenomenon. In particular, some 30% of respondents reported an estimated share of EU-made (non-domestic) illicit cigarettes on total seizures of no more than 10%, while as concerns the origins of raw tobacco, both EU-grown and imported one would be diverted in similar proportions. Finally, as regards new products (e.g. both e-cig and HTPs) it has been noted that there is a growing and poorly recognised illicit trade already in place, and this would also threaten to distort the legal market and the competitiveness of the players operating therein, unless some degree of tax and price harmonisation is promoted.

- **INCOHERENT TREATMENT OF CERTAIN NEW NON-HARMONISED PRODUCTS**

Stakeholder consultation results also confirm that the fact that new products, in particular HTPs and e-cigarettes, while progressively gaining market shares from the more traditional tobacco products, are not harmonised yet from a fiscal perspective is increasingly considered as an issue to be addressed per se. This not only because divergences in their fiscal treatment hinder their free circulation in the internal market, but also because a common and more stable approach to classification for fiscal purposes is deserved to avoid the appearance of products expressly designed to exploit loopholes and avoid that definitions are constantly changed to follow market developments, thereby increasing the level of legal certainty among both market operators and public authorities.

A number of already existing diverging practices have been confirmed in this respect. A majority of MS tax HTP as non-harmonised products, but a sizeable share of MS deals with them as harmonised ones. Furthermore, the tax base for HTPs also change and while a majority of MS has opted for a per weight approach, other ad valorem or per unit criteria have also been reported. There are diverging practices also as regards e-cigarette taxation. While a vast majority of MS tax all the substances intended for use in these devices, others restrict taxation to exclusively nicotine-containing liquids. Volume of the e-cig liquid is by far the preferred tax base, but a few MS have also introduced specific tax rates for products with a high concentration of nicotine.

A majority of OPC respondents would like to see a harmonisation of tax rules and minimum rates for HTP in place. Whether e-cigarettes should be harmonised at the EU level remains unsurprisingly deeply controversial among consumers themselves and, as mentioned before, the reason behind a number of very similar replies to the OPC survey specifically on the subject. As a result of this, a majority of OPC respondents, particularly among single individuals, appear to be not in favour of any fiscal harmonisation of e-cigarettes in general, and particularly when it comes to liquids not containing nicotine. Whether this fiscal harmonisation should be accompanied by a minimum rate at the EU level is even more controversial. One PHA even replied that this was no priority at all for them. The balancing between discouraging e-cigarette uptake by means of taxation and granting them a privileged tax status because of their representing a smoking cessation tool remains a hotly debated issue among public health experts themselves, although as compared to previous studies the relative importance attributed to discouraging use among the youth and avoiding nicotine addiction appears on the increase. The latter argument is often used also as a rationale behind specifically taxing nicotine contents.

Strongly diverging views among different categories of stakeholders remain also as far as new smokeless products are concerned. There is unanimous consensus among TCA that these should

be included in line of principle within the scope of the EU excise legislation, although opinions then differ on how best to implement this principle. The OPC confirms that, for this category of products, once definitions are agreed and clarified for product classification purposes, then there is no such thing as a prevailing view on the need to implement a minimum EU tax among different categories of stakeholders. Finally, it is worth noting that industry representatives generally concurred in considering that classification under the same smokeless category of both new and traditional products would not be adequate or fiscally efficient to deal with the wide variety of oral products that have appeared on the market and that generally target very different consumers' groups as compared to old traditional ones.

B.4 Feedback on specific policy options

This last section reviews stakeholders' feedback on a set of proposed policy options for change. These are gathered into three areas: (1) increase of current EU minima and the articulation of current excise categories; (2) the modalities through which new products can be harmonised and, finally, (3) the way raw tobacco can be included within the scope of the excise system just for monitoring and control purposes of related flows and not as a way to raise revenues.

- **REVISION OF EU MINIMA AND EXCISE DUTY CATEGORIES**

There appears to be substantial agreement among OPC respondents that taxation levels should be adjusted to income differences between MS, and this viewpoint was also broadly shared by tobacco industry representatives there. Some industry stakeholders underlined that any attempt to equalise the excise levels across the Member States merely in nominal terms will never ultimately support, but instead work against, the internal functioning of the single EU market. Hence, in the revision of the excise duties it would be important not only to adjust the minima according to indicators capable of reflecting the real level of prices and tobacco affordability across the EU, but also to review the excise levels as a whole, thereby starting a process of real harmonisation and convergence between Member States. However, very few TCA respondents could see a positive impact from such a reform, the majority do not anticipate any major impact at all and some one third of them anticipate either a negative impact on convergence of taxation with neighbouring countries or a somehow reduced stability in the level of domestic prices and enhanced risks of market disruptions. Others even anticipated possible negative impacts in reduction of tobacco affordability where this is most needed.

This is in line with the concerns voiced by some public health experts, according to whom the implementation of this abstract income equalisation principle could eventually risk running against the concrete objective of further decreasing tobacco affordability in lower income countries where smoking prevalence remains high by all comparable standards. Therefore, they either called for explicitly including some indicators of tobacco affordability in the mechanisms used to calculate such "real" excise levels inclusive of local available income considerations or proposed that the principle should be somehow mitigated or weighted by other criteria such as smoking prevalence among the population.

Also some industry interviewees expressed their scepticism on the feasibility of this option claiming that in the long run automatic adjustment mechanisms may have the unintended side effect of either enforcing too low minima, barely significant for the majority of MS, or excessively high ones, disproportionately affecting the EU countries with the lowest PPP and disposable income where the bulk of growth in these parameters can be anticipated.

Opinions did substantially vary when it came to the proposed revised levels of excise duty minima to be applied to conventional tobacco products (cigarettes, fine-cut tobacco, cigars and cigarillos and other smoking tobacco) to ensure the achievement of these tobacco control objectives. In particular, as regards cigarettes, five and eight TCA respondents would like to see no change at all in the current levels of fixed and relative minima respectively. This is broadly in line with OPC findings where the number of respondents among different categories of stakeholders in favour

of increasing the current minima just slightly exceeds those who maintain they should remain unchanged or even decrease. Completely diverging opinions were reported in the PHA survey and in interviews with public health experts and tobacco control NGOs. There, it was widely recognised that increased taxation of conventional tobacco products and gap closure of tax differentials between cigarettes and other tobacco products were high priority actions, if the objectives of the Europe's Beating Cancer Plan are to be achieved, as these would require a considerable effort in further reducing smoking prevalence as compared to current trends.

Considerable uncertainty surrounded the identification of appropriate relative minimum rates as a share of WAP, particularly as far as products other than cigarettes were concerned. There, more than half of TCA respondents either did not consider any of the proposed rates as adequate, or were in no position to state which one could be the most appropriate to implement.

While there appears to be growing consensus among public health experts in making taxation rates equivalent for any single act of consumption irrespective of the underlying products, this view is not shared by a majority of OPC respondents that keep seeing a market rationale in taxing traditional tobacco products differently. In other words, generally speaking, the prevailing view among the OPC respondents is that tobacco products should not necessarily have to be taxed at equivalent levels. As mentioned before, however, there is a certain degree of consensus among all the stakeholders concerned and the general public that both the taxation gap between the FMC and FCT and cigarillos should be further bridged. However, as concerns cigars and cigarillos, it has been claimed by some market operators that increasing the minima would have hardly any effect on product substitution trends with cigarettes, as prices are already well above those of FCM and also consumption habits are different.

The idea of establishing a separate tax category for cigarillos has not elicited the support of the majority of TCA respondents, while it has for waterpipe tobacco. The need for the latter is particularly felt by market operators who claim that the current homogenisation of taxation levels with 'other smoking tobacco' causes the prices for these products to become disproportionate thereby opening huge arbitration opportunities for illicit traders to make a profit out of it. Nevertheless more than half of TCA respondents would be in favour of creating one, but then keeping the same minima levels as other smoking tobacco.

- **HARMONISATION OF NEW PRODUCTS**

The EU harmonisation of new products, starting with heated tobacco, was generally deemed necessary by all stakeholders as confirmed by both survey results and the interview programme This is expected to bring several benefits, and namely: a more efficient regulation of the trade of these products within the internal market, a better monitoring and control of the movements of these fiscal goods, also through their inclusion in the EMCS system, the overall reduction in the administrative and transaction costs for market operators and the possibility for MS to implement of better tailored and efficient fiscal policies. The risk highlighted by some industry stakeholders is that a new tax category, if not accurately defined, may create opportunities for 'borderline' products, which would attempt to exploit any possible ambiguity in the definition. Finally, TCA deem related administrative adaptation costs as negligible or at any rate modest. The only notable exception might be represented by the additional costs connected to the update of the underlying IT system.

Then, as concerns the adoption of minimum rates for heated tobacco products the prevailing view among authorities is that these should be aligned with those of fine-cut-tobacco or cigarettes. This is followed by alignment with 'other smoking tobacco'. Very little support was given to the proposal of aligning EU minima with the corresponding rates applied to cigars and cigarillos. Unsurprisingly, public health experts unanimously agreed in considering the ideal harmonised taxation of HTP as fully equivalent to that of cigarettes. OPC survey respondents, where consumers are overrepresented, conversely, expressed a clear preference for a level of taxation lower than FCT, hence consequently ruling out a tax rate similar to that of FMC.

A similar degree of consensus could be recorded also on the need to harmonise e-cigarettes at the EU level and an overwhelming majority of TCA would also include nicotine-free products in it. A majority of OPC respondents were also in favour of including cannabidiol-based products, provided they were expressly intended for smoking. The rationale behind the taxation of nicotine-free liquids has been variously motivated with a need to: 1) avoid the risk of encouraging illicit trade of pure nicotine; 2) eliminate in part the fiscal incentives encouraging "do-it-yourself" behaviours among consumers and 3) simplify the classification burden on national administrations that would result from exempting nicotine-free products from taxation. There was a general consensus, in particular, that the main risk to be avoided from fiscal harmonisation was encouraging consumers to switch to "do-it-yourself" products. MS tax authorities have generally deemed administrative adaptation costs as either negligible, modest or moderate. These are, however expected to be higher than those for HTP on average because of the different underlying market structure that is more fragmented and complex to monitor and manage.

The prevailing view on minima for e-cigarettes converged around the minimum common denominator of some EUR 0.10 per ml, while both higher EUR 0.30 per ml rates and the zero rate option elicited less support. OPC respondents where e-cigarette consumers were, however, clearly overrepresented showed a preference for the zero minimum rate option, closely followed by the EUR 0.10 per ml option, while the EUR 0.30/ml value was the preferred option of a very small subset of stakeholders. Economic operators have underlined the importance of setting an adequate level of taxation, to ensure fair competition in the market, without destroying it by means of exceedingly high excise rates, which would also result in enhancing cross-border flows both from extra-EU countries, smuggling activities and tax avoidance practices by users.

Finally, there is a strong consensus among TCA on the need to harmonise new oral products and introduce them within the scope of the EU excise legislation. This degree consensus, however, varies across products. It is almost unanimous as far as *nicotine pouches* and *other oral products containing nicotine but not tobacco* is concerned. Conversely, only a few MS deem it important to introduce other oral tobacco products (e.g. "snus") within the EU excise legislation, as these are already forbidden in the majority of MS. As already noted with e-cigarettes most consumer respondents replying to the OPC have voiced their opposition to the fiscal harmonisation of these goods and the creation of EU minima on them. Finally, as already mentioned, the TCA survey also shows that there is a lack of agreement over the best method of including these products within a new EU excise regime, since neither the option of *creating a comprehensive excise category covering all relevant smokeless products containing or not nicotine* nor that of *creating a separate excise subcategory to distinguish between tobacco-containing and free-products* have met a clear prevalent consensus among respondents.

A number of different opinions could be recorded on what could be considered as adequate levels of minimum rates for other smokeless products. There, TCA respondents split among three different groups of roughly the same dimension: those who believe that the proposed minima should be commensurate to those of FCT, those who conversely used HTP as a benchmark for reference and finally those who would set taxation at the same levels as liquids for e-cigarettes. The Open Public Consultation confirmed that respondents either proposed a minimum rate corresponding to that of HTP; or proposed no minimum tax at all. A sizeable share for them, however, admitted they do not have an idea on what may be an efficient rate to put into place.

Many stakeholders have reiterated the importance of defining these newly introduced categories with a high level of flexibility, in order to be able to include also new products that might appear in the future, which could also be assumed by other means than orally. Furthermore, in terms of tax base, the 'per weight' approach is retained as the most adequate, also in this case, to avoid revenue losses due to unpredictable market developments. Finally, it is worth also mentioning that there were some dissenting voices among industry stakeholders claiming that the harmonisation of smokeless products as a whole was unnecessary because: 1) the market share is so negligible that the administrative and collecting costs for MS would exceed the revenue collected and 2) the category is composed by so many varieties of products that

including all of them in one will not be accurate and neither efficient both from a normative and fiscal perspective.

- **INCLUSION OF RAW TOBACCO AMONG EXCISABLE PRODUCTS**

The inclusion of raw tobacco within the scope of excisable goods has been supported by a large majority of TCA respondents. In their opinion this definition of raw tobacco to be used for fiscal monitoring purposes should be as broad as possible and include: 1) *non-processed leaf tobacco*; 2) *first-processed tobacco*; 3) *tobacco refuse* and 4) *homogenised / reconstituted tobacco*. This is in line with reported growing trends toward a domestic comprehensive fiscal regulation of these products, complementing and supplementing the agricultural regulation in tobacco producing countries reportedly in place in some one third of MS. There are just a few MS where raw tobacco is not currently regulated either as an agricultural product or a fiscal good. One MS has reportedly regulated raw tobacco in its health legislation.

Hence, most TCA (75%) confirmed that they would be in favour of extending to raw tobacco the same monitoring and control obligations that nowadays apply to conventional harmonised tobacco products, but without imposing a positive rate. Indeed, almost the totality of MS would be in favour of imposing a zero rate on raw tobacco; with only a few of them that would instead support a fully-fledged on it or at least on the first processed one, leaving aside just the unprocessed leaf. This is mainly expected to help in the fight against illicit manufacturing activities because of the growing perceived importance of the phenomenon. In support of this, over the last three years, the frequency of seizures of raw tobacco increased in 8 MS, among which in 3 significantly, with no MS reporting a decrease in the size of the phenomenon.

The OPC findings confirm this general high level of consensus, with more than two third of respondents that would be in favour of tracking and monitoring the movements of raw tobacco through the EMCS harmonised at the EU level, out of the belief that this would contribute to curb illicit manufacturing. This is a higher share of OPC respondents than that that would other administrative approaches instead of the EMCS.

As far as implementation modalities are concerned, many would consider the registration and authorisation of operators as the most stringent required requirement. Other desired features frequently mentioned for the mechanism to work include: the inclusion of administrative sanctions, followed by the suspension/withdrawal of the authorisation in case of infringements, criminal sanctions and at last product seizures. In terms of effectiveness instead, the majority of MS believe that if the previously mentioned obligations will be included in the EU excise system; alongside the implementation of adequate monitor and control measures, they will prove beneficial in dealing with illicit trade.

The harmonisation of raw tobacco is expected to lead to additional administrative and enforcement costs for tax administrations, but these have been deemed mainly as moderate magnitude. Stronger resistances were voiced by industry stakeholders claiming possible significant operational costs connected to raw tobacco harmonisation, even when they claimed to be in favour of it, provided no positive rate is imposed. Particular concerns were voiced by logistic operators, for which a transaction-based system would lead to a significant increase of costs and a major loss of competitiveness, due to the huge amounts of raw tobacco that is currently stored and moved across the EU (including tobacco that is not destined to the EU market). Another frequently-voiced concern regards change in weigh of raw tobacco during processing and storage operations, which would require complicated and burdensome reconciling in record-keeping and excise duty liability risks. Finally, as concerns in particular the EMCS, some economic operators were sceptical about the effectiveness of these measures in tackling illicit flows of raw tobacco, since in their opinion smugglers would never comply with the system. This would therefore result in imposing additional administrative costs just on legal economic operators, thereby harming their competitiveness on the market and further enhancing the advantages for illegal players.

ANNEX C – SURVEY RESULTS

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C.1 – Open Public Consultation

C.1.1 Background

In accordance with the principles of openness, transparency and accountability of policy-making the *Better Regulation* establishes that an Open Public Consultation (OPC) is required for any policies initiatives accompanied by impact assessment, and it lays down the main methodological and procedural rules for its implementation.

The Directive 2011/64 has already undergone two OPC in the context of the previous studies (EA 2017 and EA 2019). To avoid repetition, the questionnaire for the new OPC addressed areas that were poorly explored previously and focussed on change scenarios. More specifically, the questionnaire consisted of four sections, namely:

- Section 1 – respondent's profile, details and personal data;
- Section 2 – taxation of traditional tobacco products;
- Section 3 - taxation of new products;
- Section 4 – control of the tobacco supply chain.

In addition, all respondents had the opportunity to upload additional documents on the subject of the consultation, to integrate their views and answers more comprehensively.

The OPC has been implemented through an on-line questionnaire survey, accessible through the Commission website. It addressed all kinds of potentially interested respondents, i.e. institutional, corporate and individual citizens, regardless of the level of familiarity and expertise in the subject matter. The OPC was carried out under the responsibility of the competent Commission service, with the assistance of the Consultants for the preparation of the questionnaire, the roll-out of the survey, and the final analysis and reporting.

The consultation was implemented between the 30th of March 2021 and the 22nd of June.

C.1.2 Participation

The public consultation elicited a large participation. In total, 7262 replies were collected from all 27 MS as well as from third countries. The salient features of participants are summarised in Figures C.1.1, C.1.2, C.1.3 and C.1.4. In summary:

- The vast majority of individual contributions appears to come from consumers of e-cigarettes concerned with the possible taxation of these products. The presence of repeated open comments with identical wording suggests that some feedbacks could be part of some coordinated efforts.
- Among corporate respondents 'consumer organisations' include exclusively e-cigarettes user associations. Some e-cigarette business or users' organisations can be found also in the NGO respondent group, while several business and trade associations can be found in the 'company' and the 'business association' group. In general, the level of response from e-cigarettes stakeholders has been high (as was the case with previous public consultations made by the Commission on this subject), and the aggregate results are to a high extent informed by this specific perspective.
- The tobacco industry perspective is primarily represented in the 'company' and 'business association' groups. As shown in Figure C.1.3, an adequate representation of the different company sizes, products (for manufacturers), as well as of positions in the value chain was ensured. In these groups 'other' activities generally correspond to non-specialised business organisations (territorial industry associations and federations, chambers of commerce etc.). The 'Trade Union' group actually includes again business organisations and chambers of commerce.

- The public health perspective is mostly represented in the group 'academic/research institutions' and among 'NGOs' (associations for the promotion of tobacco-free societies etc.), although these groups include also few entities that can be linked to e-cigarette and tobacco interests. Only one respondent qualified as an 'environmental organisation', although it rather appears to be a public health institution.
- The small 'public authorities' group include miscellaneous local and regional governments, parliament member etc. In the Study, more structured feedback from MS authorities (tax, customs and public health authorities) has been collected through targeted consultations.
- Finally, the 'other' group include miscellaneous respondents, a large share of which remained anonymous or used pseudonyms.

For analytical purposes, we have gathered corporate respondents that qualified as companies, business associations and trade unions in the ***'industry'*** macro group, while NGOs, consumer and environmental organisations have been gathered in the ***'not-for-profit organisation' (NPO)*** group. The third analytical group includes ***academic / research institutions***, while all other respondents have been gathered in a ***miscellaneous*** group. Feedback from citizens has been classified separately as ***'individual'*** respondents. The size of the macro groups established for the analysis is reported in Figure C.1.4 below.

Figure C.1.1 - Geographical distribution of respondents

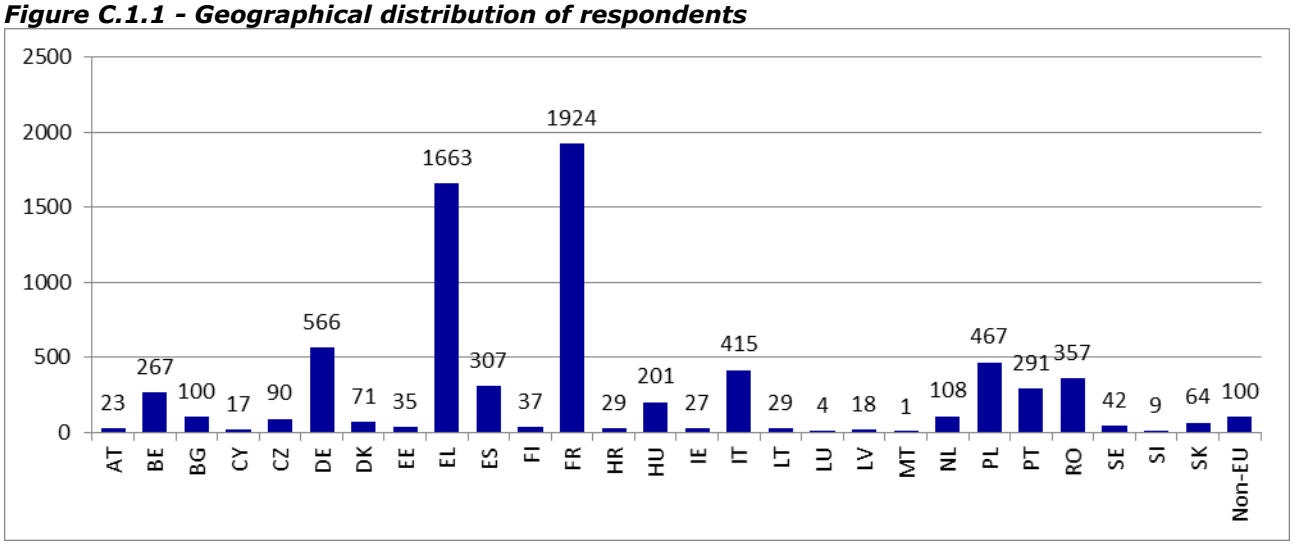
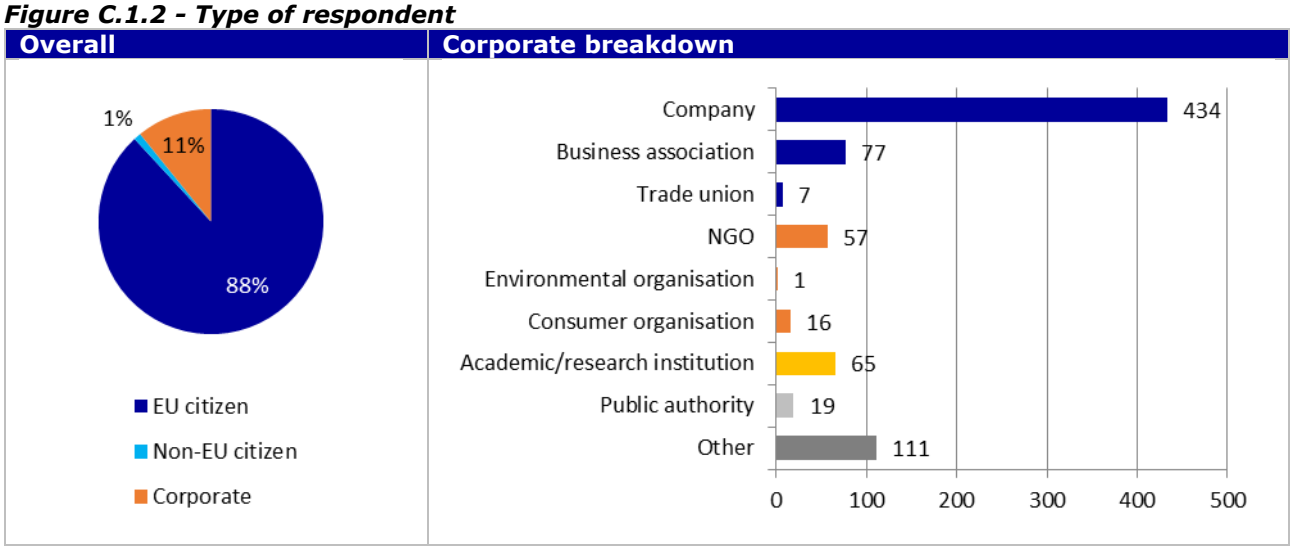
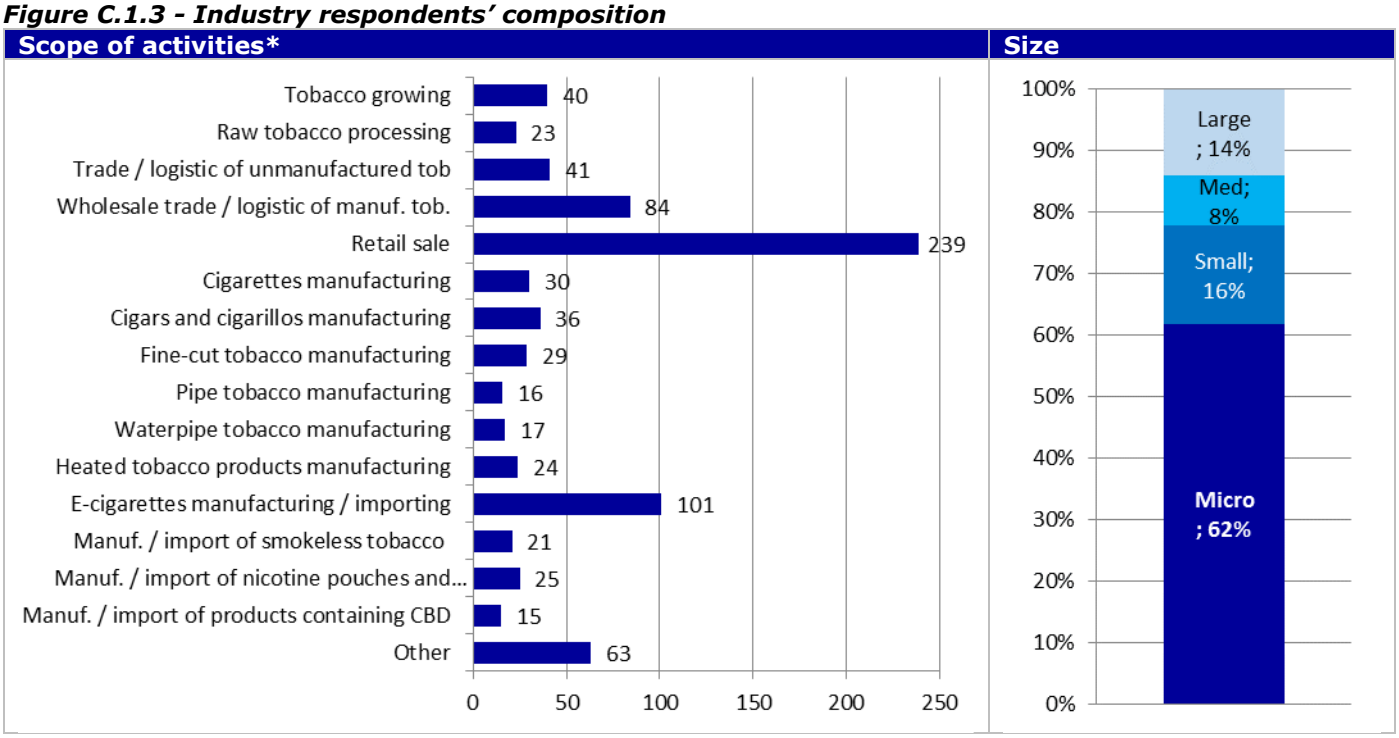


Figure C.1.2 - Type of respondent



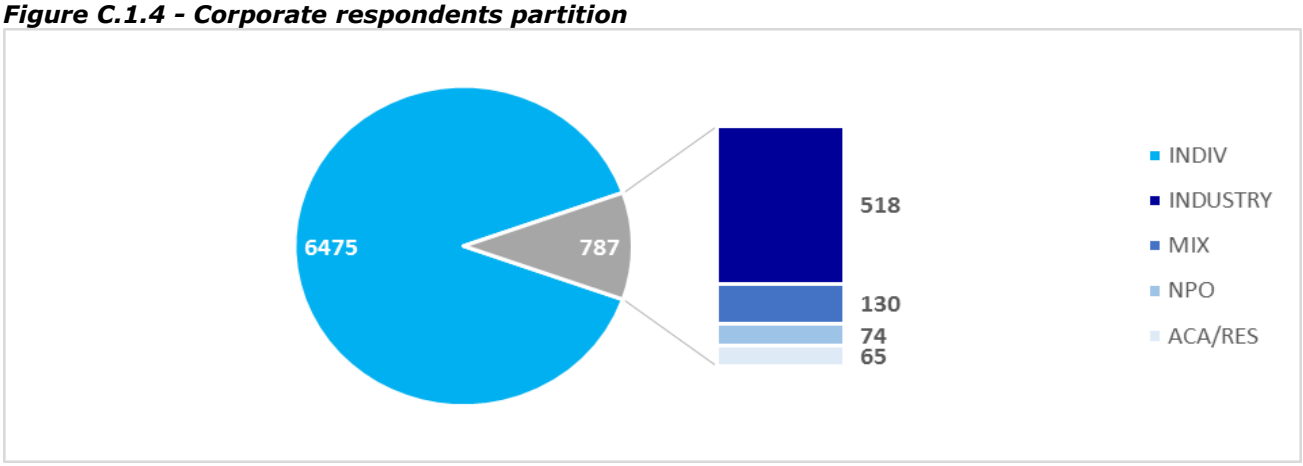
Legend: NGO: non-governmental organisation

Figure C.1.3 - Industry respondents' composition



**Multiple answers possible*

Figure C.1.4 - Corporate respondents partition



Legend: INDIV: individual (non-corporate) respondent; INDUSTRY: economic operators including business associations and organisations; NPO: not-for-profit organisation (including non-governmental organisation, environmental associations, citizens associations); ACA/RES: respondent belonging to academic / research institutes and organisations; MIX: other respondents.

C.1.3 Results in tabular form

Affordability. Perceived affordability of tobacco products tends to vary from product to product. It is higher for fine-cut tobacco and cigarillos than for cigarettes. Only consumers located in Southern and Eastern Europe tend to consider cigarettes as relatively affordable.

Figure C.1.5 – Q16.a. In your opinion, how affordable are the following tobacco products in your country? – Cigarettes

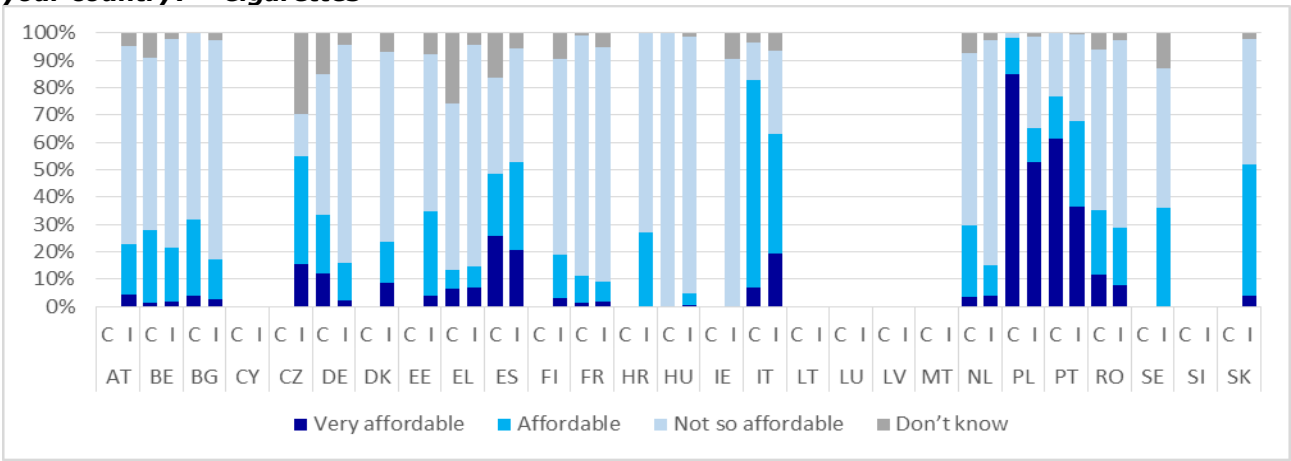

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Figure C.1.8 - Q16.d. In your opinion, how affordable are the following tobacco products in your country? – Pipe tobacco

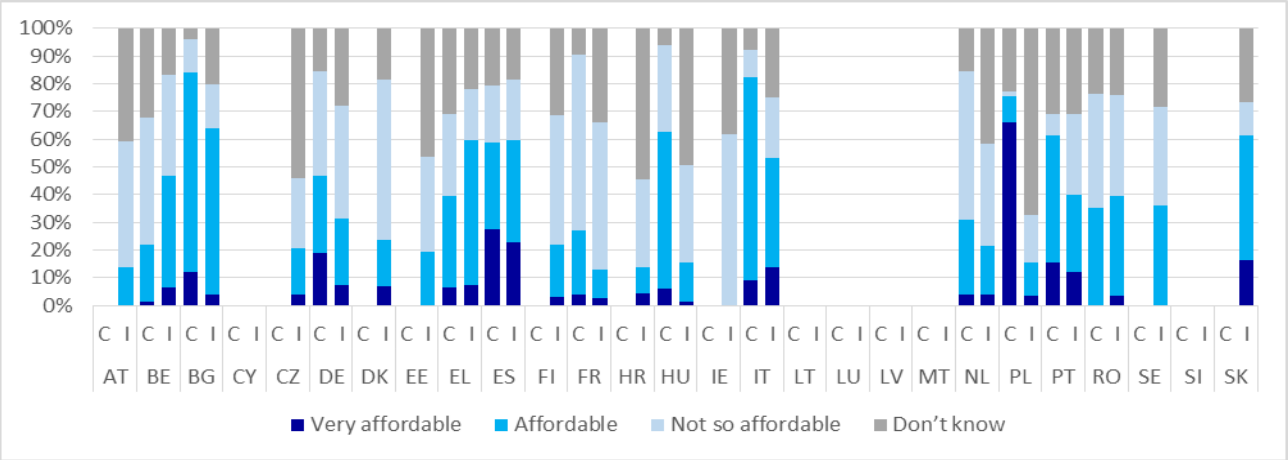
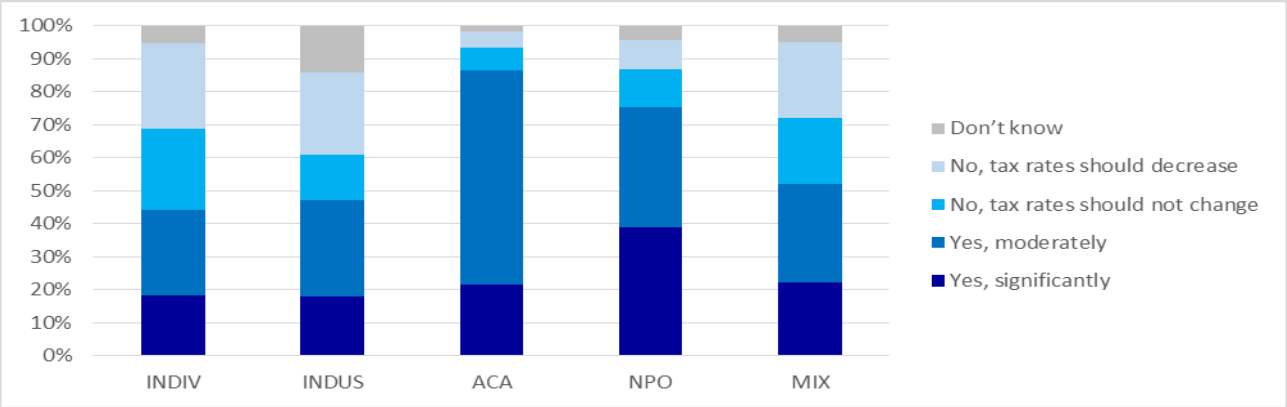
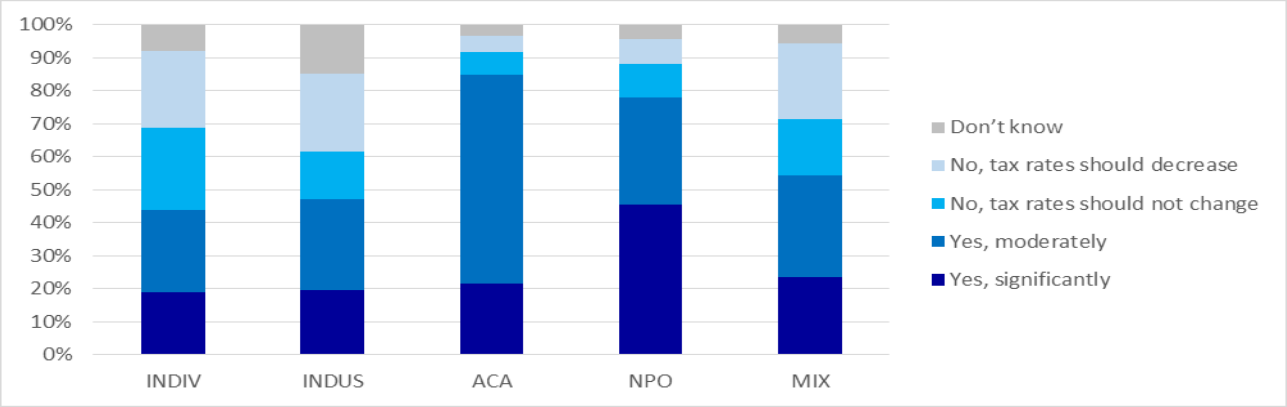

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Figure C.1.10 - Q17.a. The tax rates on tobacco products vary substantially from one EU country to another. In your view, should the EU increase the minimum tax rates applied to the following tobacco products? – Cigarettes



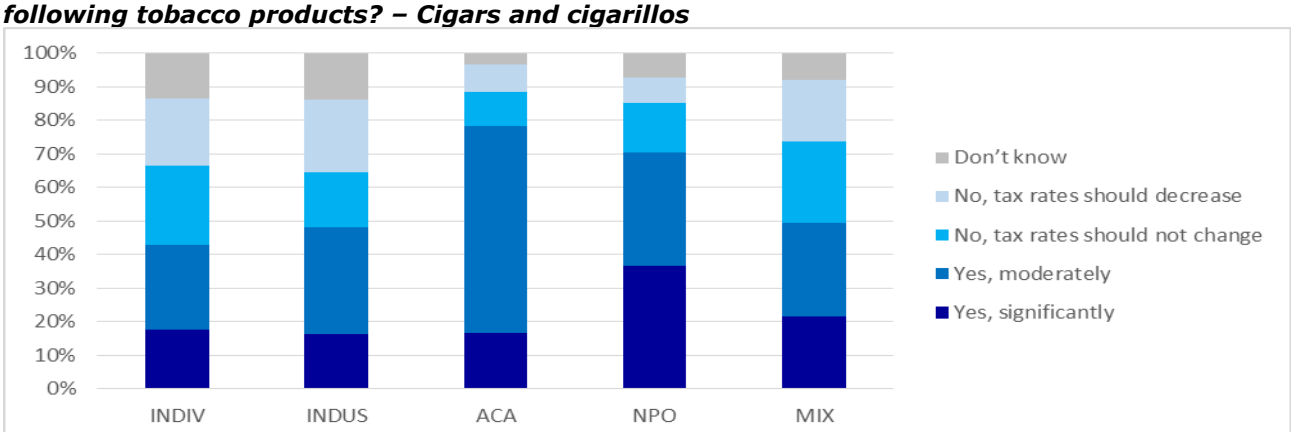
***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Figure C.1.11 - Q17.b. The tax rates on tobacco products vary substantially from one EU country to another. In your view, should the EU increase the minimum tax rates applied to the following tobacco products? – Fine-cut tobacco for hand rolling



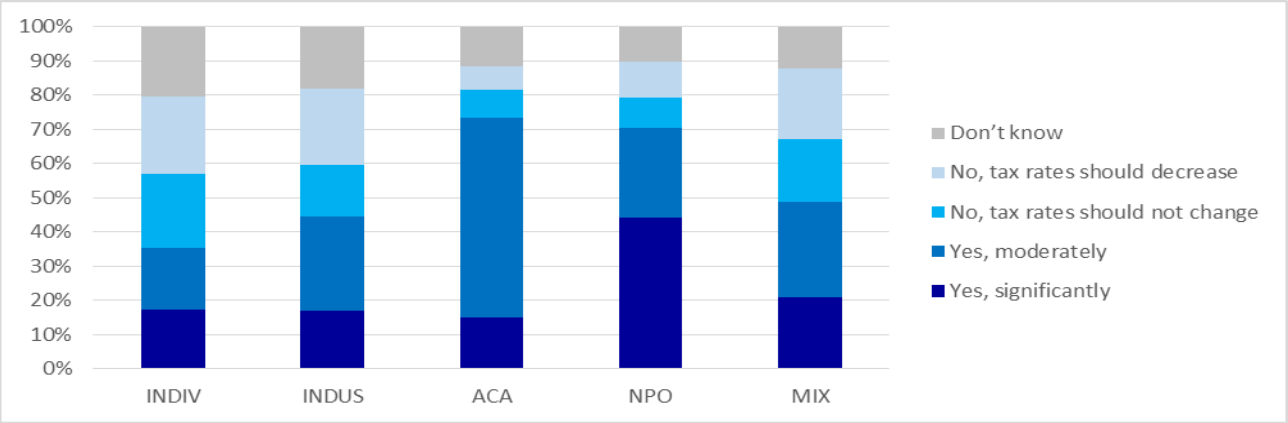
***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Figure C.1.12 – Q17.c. The tax rates on tobacco products vary substantially from one EU country to another. In your view, should the EU increase the minimum tax rates applied to the following tobacco products? – Cigars and cigarillos



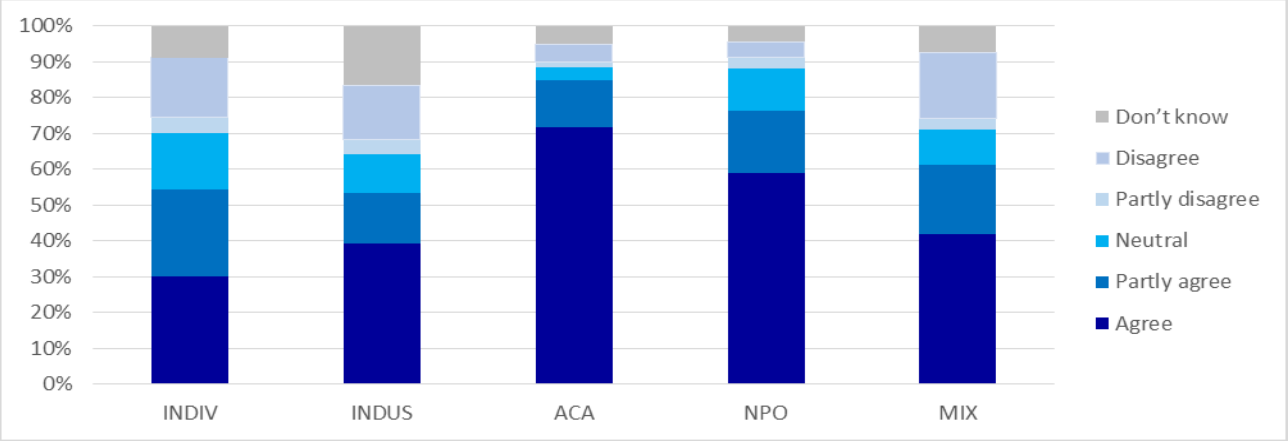
***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Figure C.1.13 - Q17.d. The tax rates on tobacco products vary substantially from one EU country to another. In your view, should the EU increase the minimum tax rates applied to the following tobacco products? – Other smoking tobacco (e.g. pipe and waterpipe tobacco)



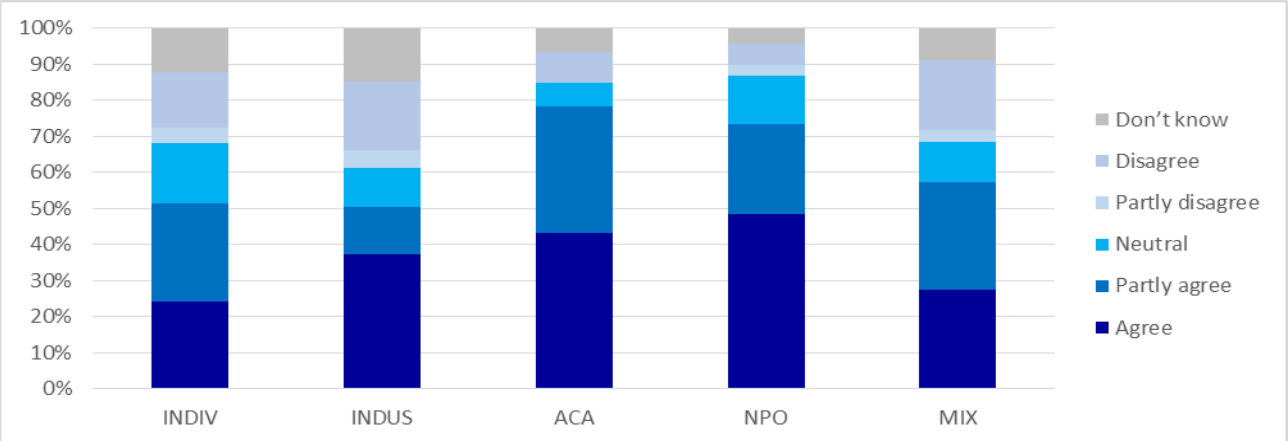
***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Figure C.1.14 - Q18.a. The EU applies different tax rates to different tobacco products. In your view, is there a need to reduce the gap in tax levels between products? – The gap between the taxation of cigarettes and fine-cut tobacco for the rolling of cigarettes should be reduced



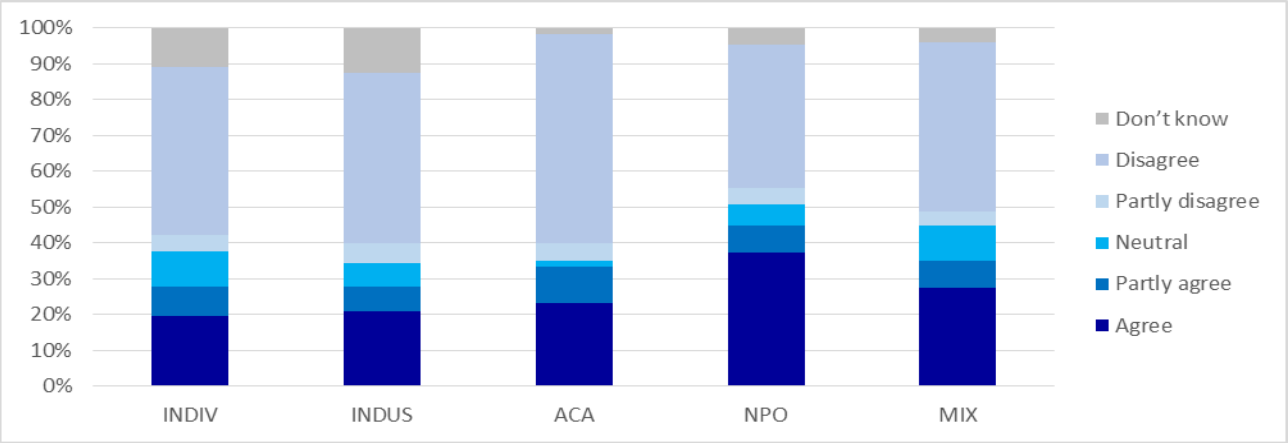
***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Figure C.1.15 - Q18.b. The EU applies different tax rates to different tobacco products. In your view, is there a need to reduce the gap in tax levels between products? – The gap between the taxation of cigarettes and cigarillos should be reduced



***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Figure C.1.16 – Q18.c. The EU applies different tax rates to different tobacco products. In your view, is there a need to reduce the gap in tax levels between products? – The EU policy should tax all tobacco products at equivalent levels

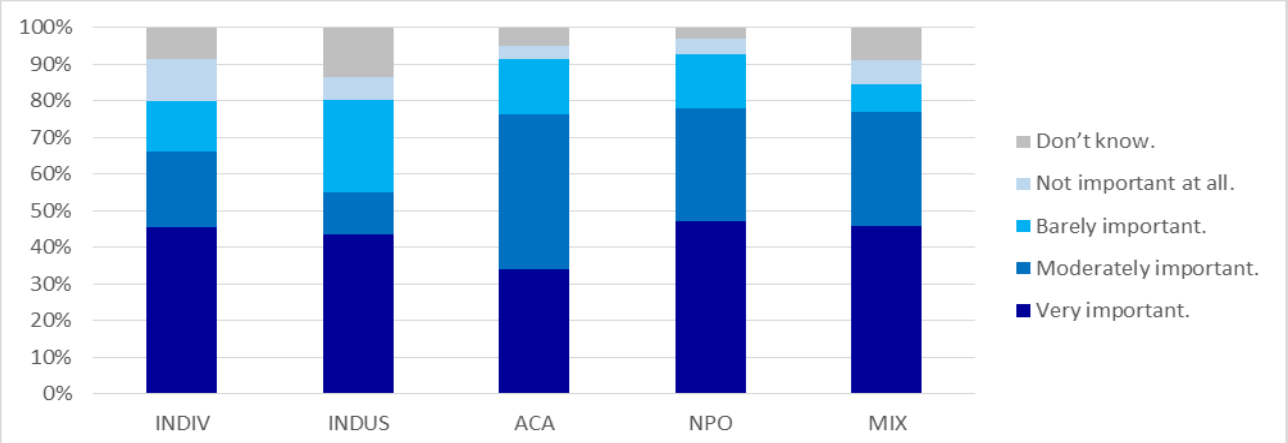


***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Differences in taxation levels between Member States.

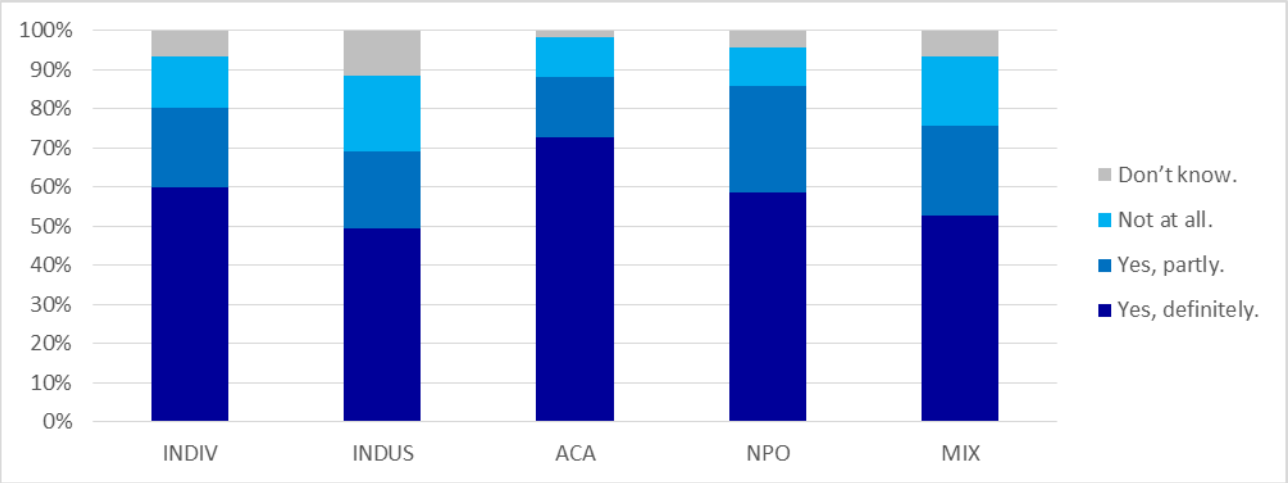
It is generally acknowledged that harmonisation of the prices of cigarettes should be pursued as an EU policy objective also to reduce the room for purely tax-motivated cross-border flows. It is both academicians and industry representatives those more aware of the difficulties in achieving this objective and therefore attaching less importance to it. An overwhelming consensus could be found among respondents on the abstract principle that disparities in income levels should be considered when setting minima for the different Countries. This is particularly so among respondents in Southern and Western Europe, which are also those who deem tobacco products more affordable.

Figure C.1.17 – Q19. The difference in the price of cigarettes between EU Member States can fuel unintended levels of cross-border shopping. How important is it that EU policies contribute to reducing such differences?



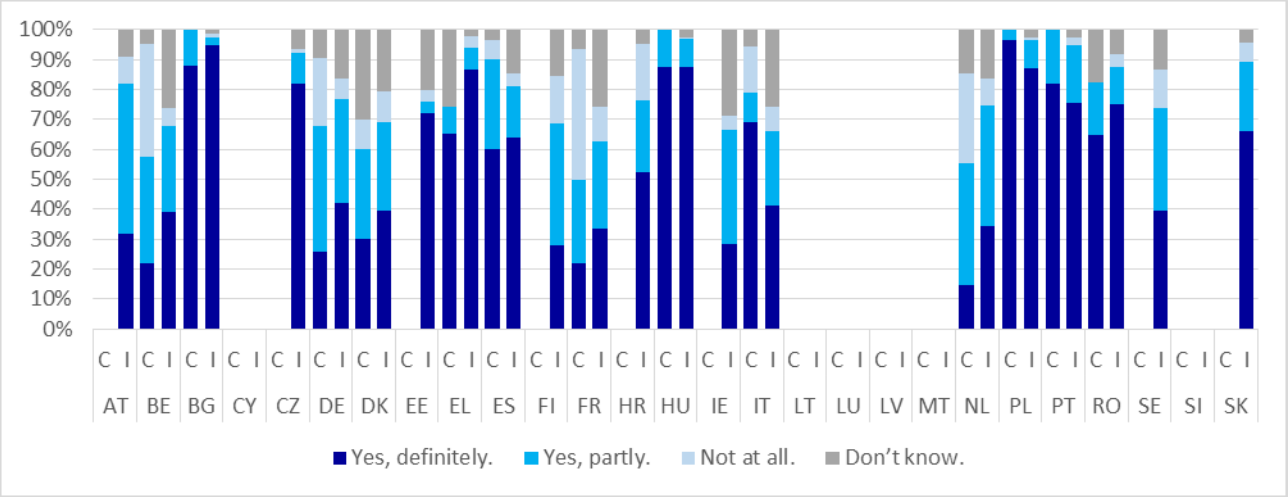
***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Figure C.1.18 - Q20.a. The affordability of tobacco products depends not only on price levels, but also on the average income of consumers; a circumstance which is different across EU Member States. In your view, should the EU consider disparities in income levels when setting the minimum tax rates for tobacco products?



***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Figure C.1.19 - Q20.b. The affordability of tobacco products depends not only on price levels, but also on the average income of consumers; a circumstance which is different across EU Member States. In your view, should the EU consider disparities in income levels when setting the minimum tax rates for tobacco products?

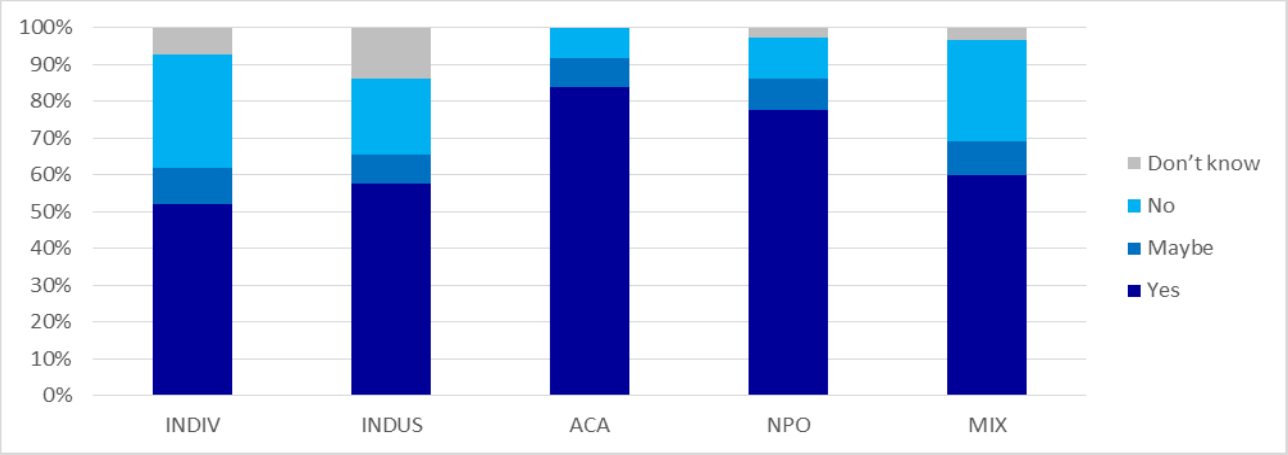


***Abbreviations: I**=Individual respondent; **C**=Corporate respondent*

Harmonisation of New Products.

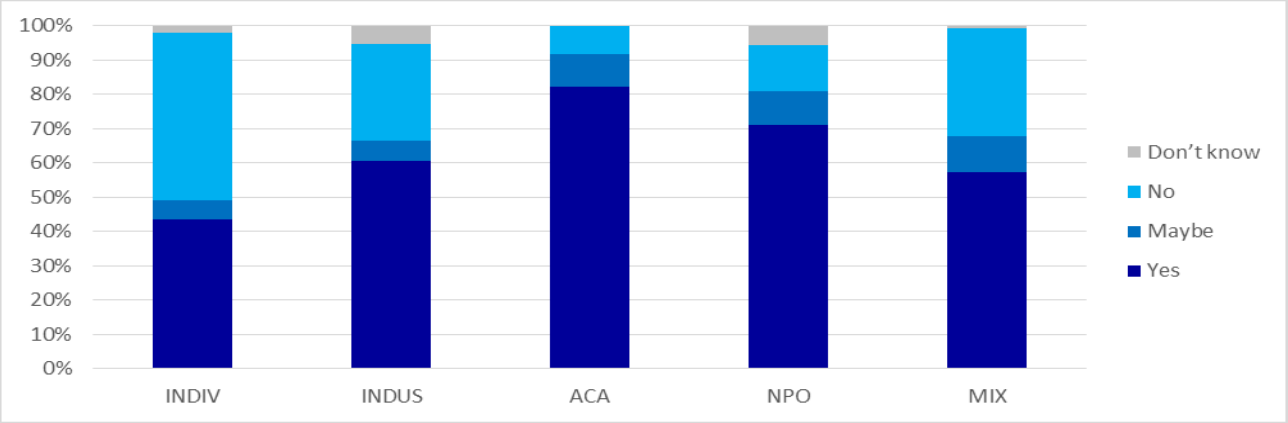
There was a substantial degree of consensus among all categories of stakeholders on the need to consider new tobacco products recently appeared on the market as part of the EU harmonised excise framework, come to common definitions and remove obstacles to the single market. This also includes cannabidiol-based products intend for smoking. Individual respondents were opposed to taxation of liquids for e-cigarettes for the reasons exposed above. The same respondents usually disagreed also on the need to have EU minima on nicotine-based oral products. The prevailing view among all categories of stakeholders was that EU minima for heated tobacco products be set at a level lower than fine cut tobacco and that e-cigarettes should be taxed at the lower proposed levels (EUR 0.10 per ml) or according to consumers themselves at a zero minimum rate. The adequate level of minima for other smokeless products for oral/nasal use was generally deemed equal to that of heated tobacco products.

Figure C.1.20 - Q22.a. Various novel products appeared on the EU market in the past few years. In your view, should the EU harmonise tax rules and minimum rates for such products? - Heated tobacco products



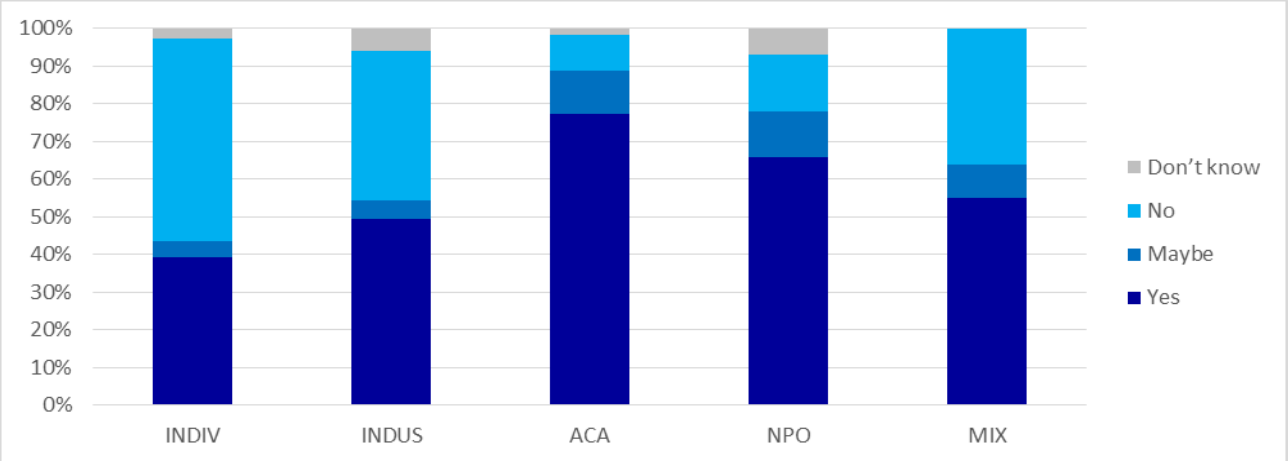
***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Figure C.1.21 - Q22.b. Various novel products appeared on the EU market in the past few years. In your view, should the EU harmonise tax rules and minimum rates for such products? - Refills and liquids for e-cigarettes that contain nicotine



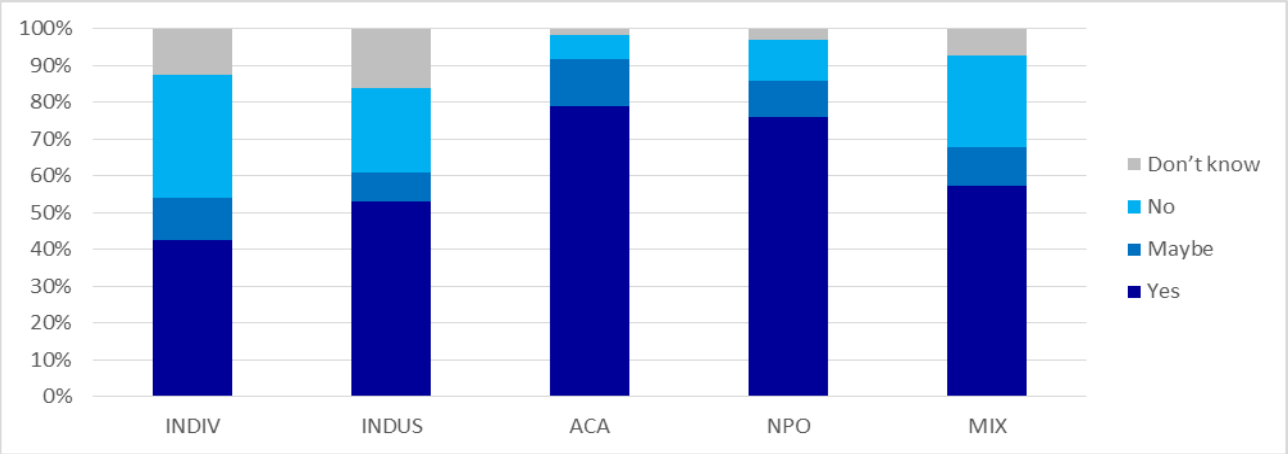
***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Figure C.1.22 - Q22.c. Various novel products appeared on the EU market in the past few years. In your view, should the EU harmonise tax rules and minimum rates for such products? - Refills and liquids for e-cigarettes that do not contain nicotine



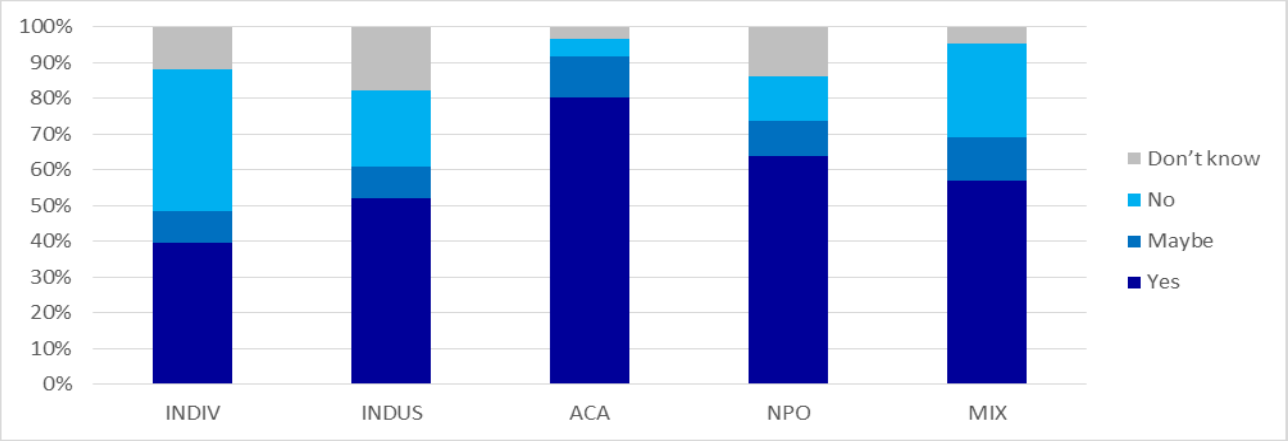
***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Figure C.1.23 - Q22.d. Various novel products appeared on the EU market in the past few years. In your view, should the EU harmonise tax rules and minimum rates for such products? - Smokeless tobacco products for oral / nasal use



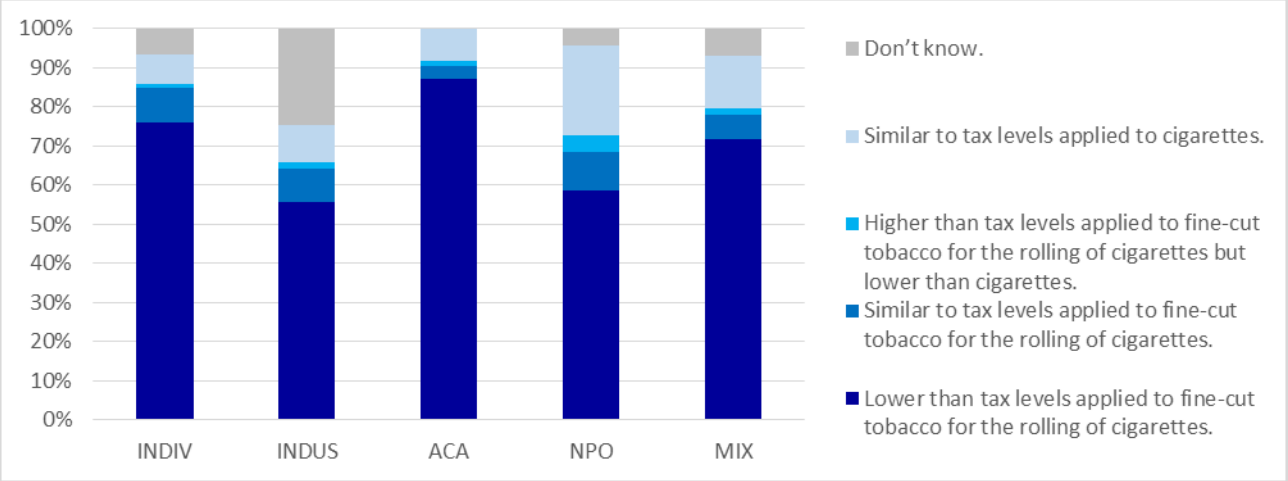
***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Figure C.1.24 – Q22.e. Various novel products appeared on the EU market in the past few years. In your view, should the EU harmonise tax rules and minimum rates for such products? - Products for oral use containing nicotine but not tobacco



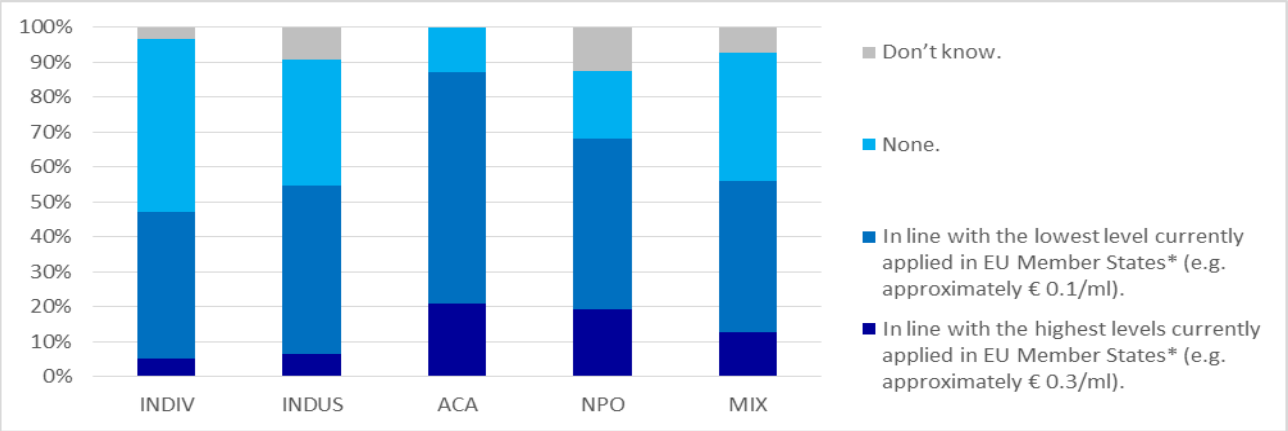
***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Figure C.1.25 – Q23. If the EU establishes a minimum tax on heated tobacco, the tax amount should be ...



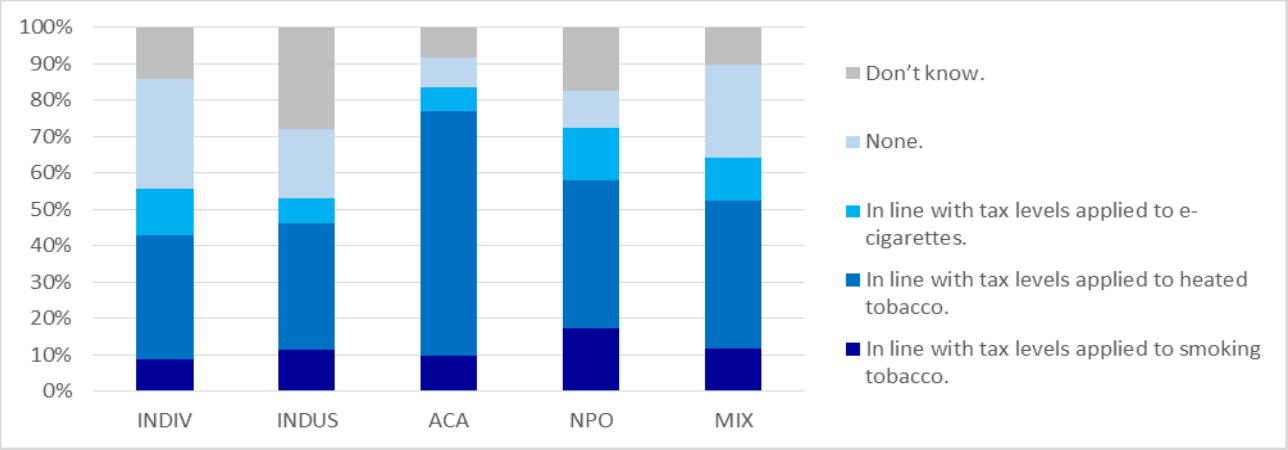
***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Figure C.1.26 - Q24. If the EU establishes a minimum tax on e-cigarettes, the tax amount should be ...



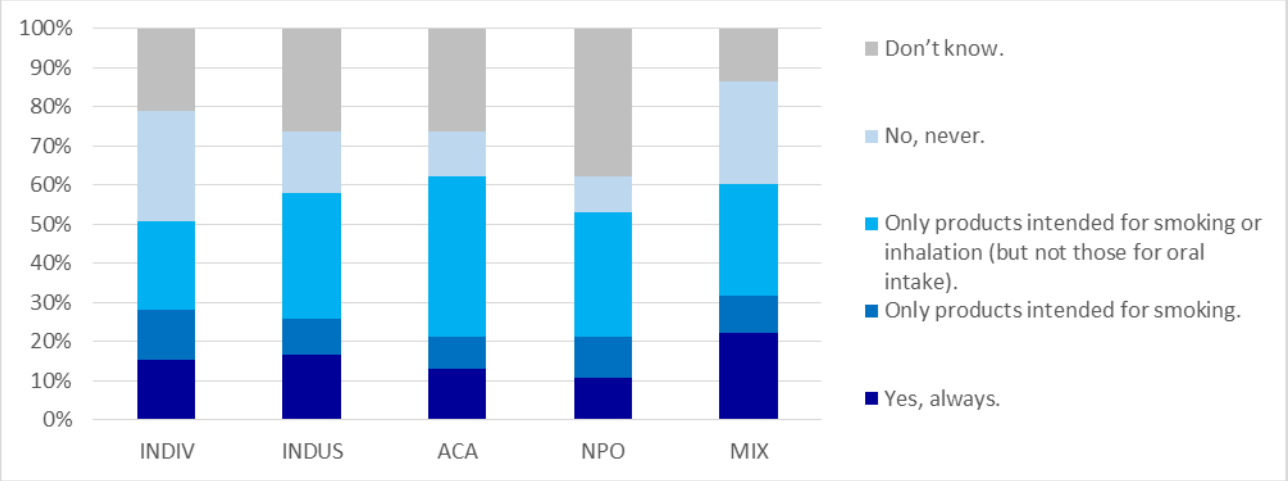
***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Figure C.1.27 - Q25. If the EU establishes a minimum tax on other smokeless products for oral/nasal use, the tax amount should be...



***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Figure C.1.28 – Q26. Should the EU's harmonised rules also cover products containing cannabidiol (CBD)?

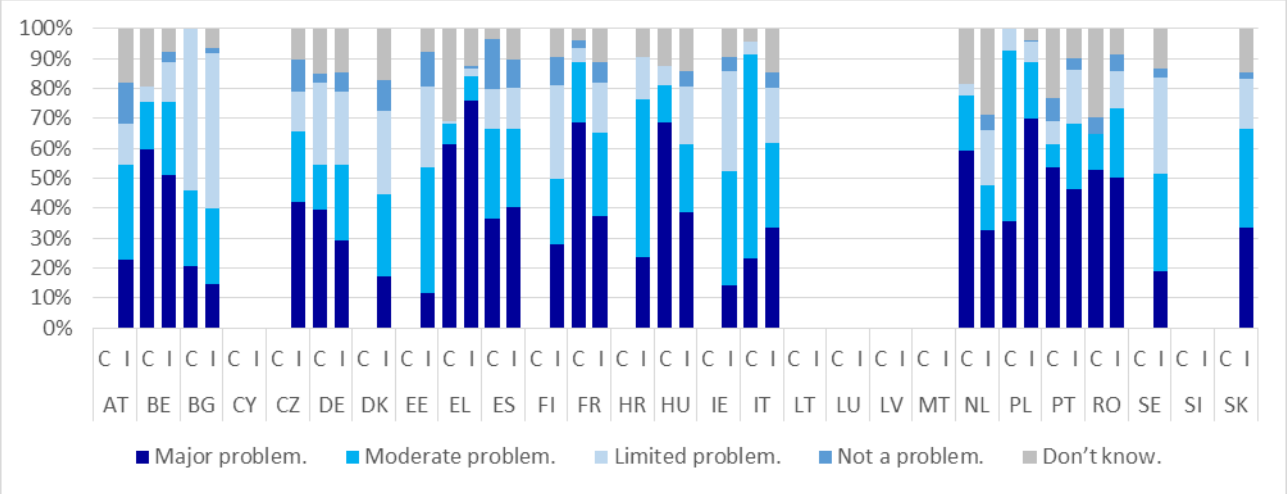


***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

The Fight Against Illicit Trade and Manufacturing and the Fiscal Treatment of Raw Tobacco.

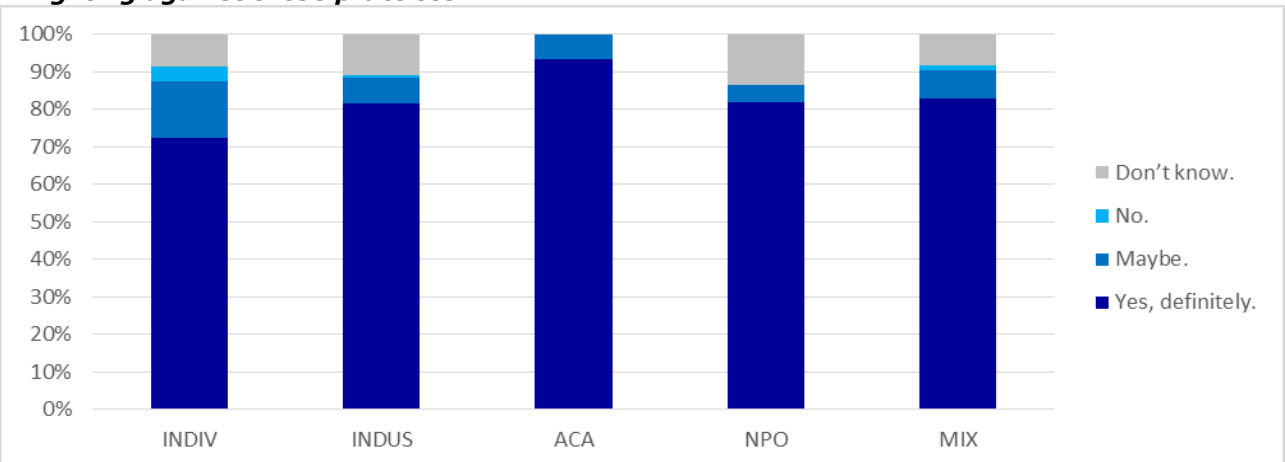
Survey respondents generally acknowledged the importance of fighting against illicit trade and manufacturing of tobacco products and called for increased EU action on the subject. With the notable exemption of industry representatives and academicians, who remained largely unpersuaded by the idea, even though they conceded it could abstractly contribute to the fight against illicit manufacturing, the majority of respondents were in favour of including raw tobacco among the goods to be monitored through the excise mechanisms. Both industry representatives and academicians remained largely supportive of ad hoc administrative arrangements to the same aim.

Figure C.1.29 – Q28. Tobacco tax fraud in the EU amounts to approximately EUR 10 billion annually. How serious do you believe is the problem of illicit tobacco product trading in your country?



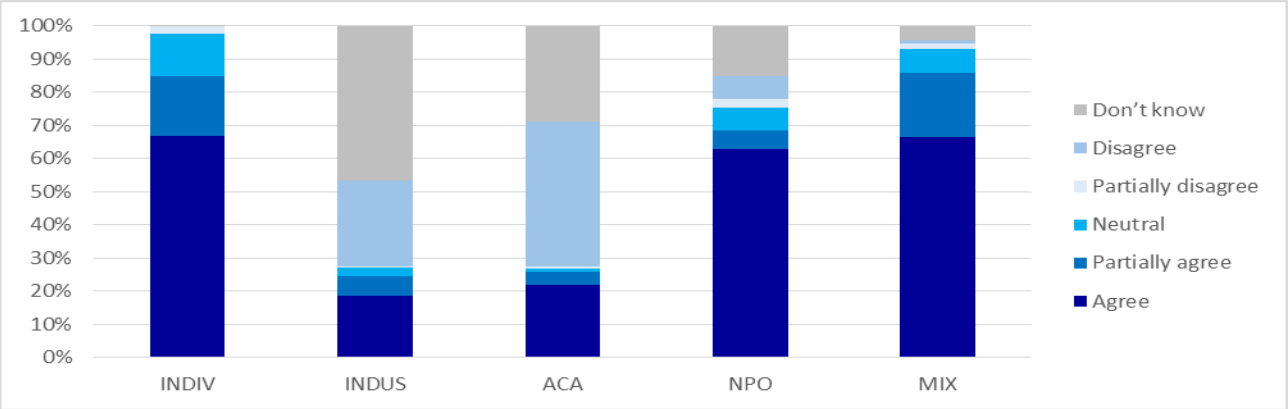
***Abbreviations: I**=Individual respondent; **C**=Corporate respondent*

Figure C.1.30 – Q29. There is evidence of an increase in the unlawful production of cigarettes in clandestine factories within the EU. Should the EU take further action to support Member States in fighting against these practices?



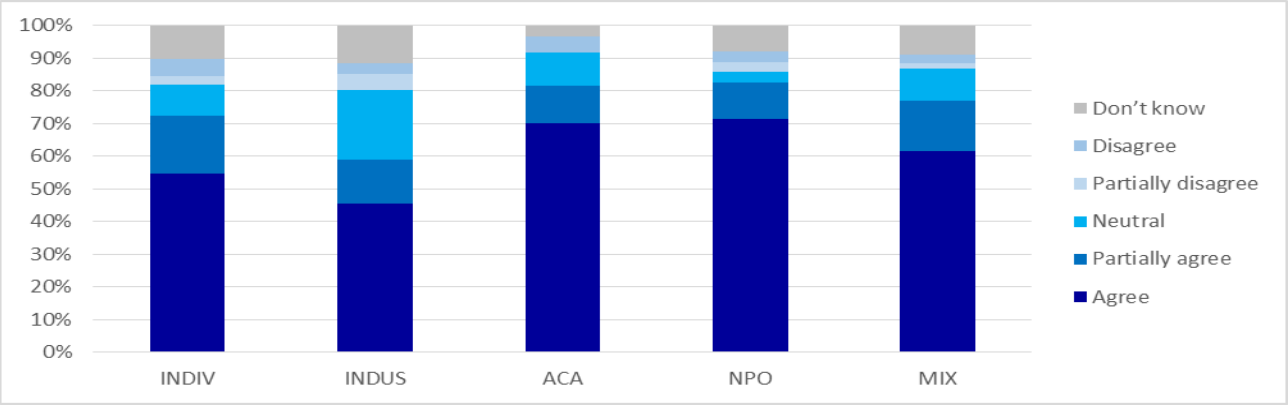
***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Figure C.1.31 - Q30.a. Movements of manufactured tobacco products are tracked and monitored across the EU through an electronic control system to avoid fraud. Such a system could be extended to raw tobacco to address the risk of illicit manufacturing. To what extent do you agree with the following statements? - Movements of raw tobacco across the EU should be tracked and monitored through an electronic control system harmonised at the EU level



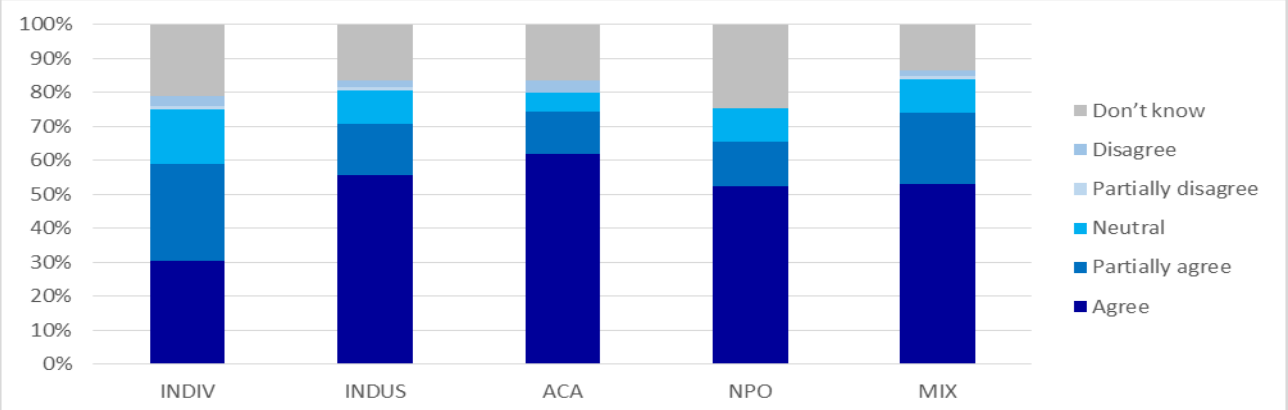
***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Figure C.1.32 – Q30.b. Movements of manufactured tobacco products are tracked and monitored across the EU through an electronic control system to avoid fraud. Such a system could be extended to raw tobacco to address the risk of illicit manufacturing. To what extent do you agree with the following statements? - Such a system would be able to contribute to reduce illicit manufacturing



***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

Figure C.1.33 – Q30.c. Movements of manufactured tobacco products are tracked and monitored across the EU through an electronic control system to avoid fraud. Such a system could be extended to raw tobacco to address the risk of illicit manufacturing. To what extent do you agree with the following statements? - Other approaches should be considered



***Abbreviations: INDIV**=Individual respondent; **INDUS**=Industry; **ACA**=Academic / research institution; **NPO**=not-for-profit organisation; **MIX**=other miscellaneous respondents.*

C.2 – Targeted survey of tax and customs authorities

C.2.1 Baseline situation

Evolution of the situation since 2018. Since 2018 no major changes have been highlighted by respondents, but in a certain number of MS a notable substitution of cigarettes with heated tobacco products. Tobacco affordability has moderately decreased for some half of respondents. Some moderate tendency of substitute cigarettes with fine-cut tobacco is also reported by some half of MS together with an increase in illicit tobacco products on the market. A large share of respondents still does not have sufficient data to assess the impact of the COVID-19 epidemics on consumption in detail. When they do, impact is generally estimated as limited or moderate, and can mainly be appreciated as an increase in domestic sales in regions bordering neighbouring Countries, i.e. a reduction of cross-border trade, and as an increased tendency to substitute cigarettes with cheaper products.

Table C.2.1 – Q1. The latest consultation of Member States authorities on Directive 2011/64 was carried out in 2018. How has the situation evolved since then in your country, in relation to the following policy issues?

	Increased significantly	Increased moderately	Not changed	Declined moderately	Declined significantly	Don't know
The overall affordability of tobacco products has…	0	1	10	8	3	2
The substitution of cigarettes with fine-cut tobacco has…	1	10	12	0	1	1
The substitution of cigarettes with cigarillos has…	0	4	18	0	0	3
The substitution of cigarettes with heated tobacco has…	10	5	4	0	0	5
The estimated volume of illicit tobacco products consumed in my country has…	0	10	4	3	1	6
The estimated volume of cross-border inflows of duty-paid tobacco products from other Member States into my country has…	1	3	12	1	1	4
The estimated volume of cross-border outflows of duty-paid tobacco products from my country towards other Member States has…	0	3	9	1	2	7

Table C.2.2 – Q2. Has the COVID-19 crisis and the measures adopted to tackle it impacted the demand for and the market of tobacco products in your country? If so, how?

	Major increase	Moderate increase	Limited / no change	Moderate decline	Major decline	Don't know
Sales of legal cigarettes in regions that share borders with other EU Member States during 'lock-downs'	1	6	2	4	3	7
Estimated levels of black-market sales of illegal cigarettes during 'lock-downs'	0	2	6	3	2	11
Overall consumer's demand of tobacco products	0	1	11	8	1	4
Sale volume of low-price cigarettes	0	4	9	6	0	6
Sale volume of tobacco products other than cigarettes	1	8	5	4	0	7

Table C.2.3 – Q3. Has your country adopted measures (including temporary measures) related to the COVID-19 crisis which have possibly influenced the price or the affordability of tobacco (such as VAT reduction etc.)?

Yes	5
No	20
Don't know	0

C.2.2 Revision of current minima

Excise duty minima on tobacco products. As far as excise duty minima applied on conventional tobacco products are concerned there is little tendency to concentrate responses on clearly preferred options and these are spread along a wide range of possible values. Moreover, a sizeable share of respondents would like to keep fixed and relative minimum rates at current levels. Many have difficulties in singling out what they deem as an adequate relative minimum as a % of WAP.

Table C.2.4 – Q5. The EU excise duty minima for <u>cigarettes</u> currently consists of two simultaneous conditions:

i. A 'fixed' minimum monetary amount of at least EUR 90 per 1 000 pieces; and

ii. A 'relative' minimum excise duty incidence of at least 60% of the weighted average price – but Member States can derogate this percentage if resulting excise duties exceed EUR 115 per 1 000 pieces ('escape clause')

For each of the three parameters (fixed minimum, relative minimum and escape clause), please indicate in the table below proposed levels for the revision of current EU minima.

Fixed minimum (EUR / 1000 pieces)	Choose one	Relative minimum (% of WAP)	Choose one	Escape clause (EUR / 1000 pieces)	Choose one
90 (no change)	5	60% (no change)	8	115	3
100	3	61%	0	125	1
110	1	62%	3	135	1
120	2	63%	1	150	1
130	1	64%	0	165	2
140	2	65%	1	180	1
150	0	66%	0	195	0
160	0	67%	0	210	0
180	0	68%	0	230	1
200	4	70%	2	250	2
None of the above	2	None of the above	2	None of the above	4
Don't know	2	Don't know	4	Don't know	5

Table C.2.5 – Q6. The EU excise duty minima for <u>fine-cut tobacco</u> currently consists of two alternative conditions:

i. A 'fixed' minimum monetary amount of at least EUR 60 per Kg; or

ii. A 'relative' minimum excise duty incidence of at least 50% of the weighted average price.

For each of the two parameters (fixed minimum, relative minimum), please indicate in the table below proposed levels for the revision of current EU minima.

Fixed minimum (EUR / 1 Kg)	Choose one	Relative minimum (% of WAP)	Choose one
60 (no change)	2	50% (no change)	3
70	1	51%	0
80	2	52%	0
90	2	53%	0
100	3	54%	1
110	1	56%	2
120	1	58%	0
130	0	60%	1
145	0	62%	0
160	4	64%	3
None of the above	3	None of the above	3
Don't know	2	Don't know	8

Table C.2.6 – Q8. The EU excise duty minima for <u>cigars and cigarillos</u> currently consists of two 'alternative' conditions:

i. A 'fixed' minimum monetary amount of at least EUR 12 per Kg or 1 000 pieces; or

ii. A 'relative' minimum excise duty incidence of at least 5% of the weighted average price.

For each of the two parameters (fixed minimum, relative minimum), please indicate in the table below proposed levels for the revision of current minima.

Fixed minimum (EUR / 1 Kg or 1 000 pieces)	Choose one	Relative minimum (% of retail price)	Choose one
12 (no change)	3	5% (no change)	4
30	0	10%	0
40	0	15%	1
50	1	20%	1
60	4	25%	1
70	2	30%	1
80	0	35%	0
100	0	40%	0
120	1	50%	0
140	3	60%	2
None of the above	2	None of the above	4
Don't know	4	Don't know	6

Table C.2.7 – Q10. The EU excise duty minima for <u>other smoking tobacco</u> currently consists of two alternative conditions:

i. A 'fixed' minimum monetary amount of at least EUR 22 per Kg; or

ii. A 'relative' minimum excise duty incidence of at least 20% of the weighted average price.

For each of the two parameters (fixed minimum, relative minimum), please indicate in the table below proposed levels for the revision of current minima.

Fixed minimum (EUR / 1 Kg)	Choose one	Relative minimum (% of retail price)	Choose one
22 (no change)	4	20% (no change)	4
30	0	22%	0
40	0	24%	0
50	1	26%	0
60	2	28%	0
70	1	30%	1
80	0	35%	0
100	3	40%	1
120	1	50%	1
140	3	60%	2
None of the above	3	None of the above	4
Don't know	3	Don't know	8

FCT- FMC harmonisation. A large majority of MS do not, at least for the time being, need to harmonise the "cumulative" minima conditions applicable to cigarettes conditions with the "alternative" ones applicable to FCT. Just three MS indeed would like to see such a convergence taking place.

Table C.2.8 - Q7. While the EU minima conditions for cigarettes are 'cumulative' (Member States must comply with both conditions), the conditions for fine cut tobacco are 'alternative' (it is sufficient to comply with one of the two). Is there a need to harmonise these rules?

	Choose one
Yes, the EU conditions for cigarettes should become 'alternative' conditions (like for fine-cut tobacco)	0
Yes, the EU conditions for fine-cut tobacco should become 'cumulative' conditions (like for cigarettes)	3
Maybe, further analysis is needed	10
No, it is not required	9
Don't know	1

Separate tax categories for cigarillos and waterpipe tobacco products. The majority of respondents don't see to have a separate tax category and higher minima for cigarillos, while most agree that waterpipe tobacco should be dealt with separately although its minimum rates should remain the same as those of other smoking tobacco. Wide consensus could be found on the fact that tobacco-free waterpipe products should be included in the excise system and dealt with as waterpipe tobacco.

Table C.2.9 – Q9.a. Is there a need to split the tax regimes of cigars and cigarillos?

Yes, higher excise duty minima for cigarillos should be adopted	8
Perhaps	2
No	13
Don't know	1

Table C.2.10 - Q9.b. If a separate excise category for cigarillos is introduced, please indicate the specific features that should be referred to in the excise definition

	more than one selection is allowed
Presence of a filter	5
Maximum weight	11
Maximum size (length, radius etc.)	8
Absence of natural tobacco wrapper	3
Further paper layer covering the filter	4

Table C.2.11 – Q11.a. Is there a need to introduce a separate excise category for waterpipe tobacco, with an ad hoc excise duty minima?

Yes	11
Perhaps	5
No	8
Don't know	1

Table C.2.12 – Q11.b. If so, EU minima levels for waterpipe tobacco should be…

	Choose one
Much lower than minima applied to 'other smoking tobacco'	1
Slightly lower than minima applied to 'other smoking tobacco'	3
Identical to minima applied to 'other smoking tobacco'	11
Higher than minima applied to 'other smoking tobacco'	2
Don't know	2

Table C.2.13 – Q12. What is the excise regime for tobacco-free waterpipe products (herbal products and the like) in your country?

The same as waterpipe tobacco	17
Tobacco-free waterpipe products are not in the excise system	6
Don't know	0
Other, please specify	

C.2.3 Revision of other arrangements related to EU excise duty rules

Adjusting the EU fixed minima in PPP terms. Very few respondents anticipate a positive impact from adjusting the fixed minima in PPP terms. The majority believes that the measure will have little noticeable impact and one third think it will be negative. The main concern is that by adopting this principle tobacco will remain cheaper in MS with low prices, furtherly deepening the issue of diverging tax levels, encouraging as a result smuggling activities.

Table C.2.14 – Q13. The effects of the EU fixed minima differ in relation to Member States' price levels. A possible solution to overcome this issue is to express the EU fixed minima in 'purchasing power parity' (PPP) terms rather than in nominal terms. So, the actual minimum excise duties would vary across countries in proportion with price level indexes (as calculated by Eurostat). Please indicate what would be the impact on the following situations when expressing future EU minima in PPP terms, from your country's perspective.

	Major positive impact	Moderate positive impact	Negligible / no impact	Moderate negative impact	Major negative impact	Don't know
Convergence in tax levels with neighbouring Member States	1	1	8	3	7	3
Effectiveness of EU minima in reducing tobacco affordability	1	2	7	4	4	5
Stability of domestic market (i.e. reduced-risk of disruptions)	3	1	6	7	2	4

Table C.2.15 - Q14. An alternative approach could consist of maintaining EU minima expressed in nominal terms while introducing a condition for rate relaxation linked to the Price Member States' Level Index.
Please indicate what would be the impact on the above-described approach to EU minima, from your country's perspective.

	Major positive impact	Moderate positive impact	Negligible / no impact	Moderate negative impact	Major negative impact	Don't know
Convergence in tax levels with neighbouring Member States	0	1	8	3	7	4
Effectiveness of EU minima in reducing tobacco affordability	0	2	6	5	4	6
Stability of domestic market (i.e. reduced-risk of disruptions)	2	1	6	6	3	5

Table C.2.16 - Q15. An alternative approach could consist of expressing in PPP terms only the amount of increase. In this sense, the extent of the increase would vary across Member States in relation to their Price Level Index.
Please indicate what would be the impact on the above-described approach to EU minima, from your country's perspective.

	Major positive impact	Moderate positive impact	Negligible / no impact	Moderate negative impact	Major negative impact	Don't know
Convergence in tax levels with neighbouring Member States	0	2	4	6	2	7
Effectiveness of EU minima in reducing tobacco affordability	0	3	3	5	2	8
Stability of domestic market (i.e. reduced-risk of disruptions)	0	2	4	8	0	7

Future excise duties on tobacco products. The majority of MS appear likely to raise the tax levels in the near future. It is interesting to notice that on one MS in the last 3 years excise duties have already increased seven times in a row, significantly reducing the level of tobacco affordability in the Country.

Table C.2.17 - Q16.a. Has your country adopted plans for a progressive increase of excise duties on tobacco products in the future?

	FMC Ad valorem	FMC Specific	FMC MED	FCT Ad valorem	FCT Specific	FCT MED
MS with plans for revising ED	2 (+) 1 (-)	6 (+)	5 (+)	2 (+)	8 (+)	3 (+)
	CC Ad valorem	**CC Specific**	**CC MED**	**OST Ad valorem**	**OST Specific**	**OST MED**
MS with plans for revising ED	0	4 (+)	4 (+)	1 (+)	6(+)	3(+)

Legend: (+) planned increase, (-) planned decrease. Note: only 9 MS were in the position to answer.

Table C.2.18 – Q16.b. If no specific plans for an increase of excise duties on tobacco products have been adopted in your country, please indicate, where available, general trends and orientations

	Choose one
A significant increase of excise duty levels is likely	3
A moderate increase of excise duty levels is likely	7
A limited / no increase of excise duty levels is likely	6
Don't know	3

C.2.4 Establishing harmonised tax regimes for heated tobacco products

HTP definition. Heated tobacco products are one of the focal points of the Directive's revision, being, alongside with e-cig, the most prominent emerging products in the tobacco market, not yet regulated and categorised by the Directive 2011/64/EU. To define these new products the most important elements are respectively: the reference to the intended use for inhalation through a heating device and the absence of combustion. Then, the presence of a substrate is also often mentioned, oppositely the shape and weight are the least mentioned. The frequency distribution is in line with the definitions gathered from MS, which mainly focus on the mechanisms and characteristics of use, overshadowing the physical and design features of the product. Nevertheless, there are MS that are against the adoption of the intended use to define HTP, in particular, one specifically claimed that this practice could cause practical difficulties, since at the time of taxation it is not always well known.

Table C.2.19 – Q22. Regarding a possible definition of heated tobacco products in the EU excise legislation, please indicate which of the following possible elements would meet your country's products classification and identification needs.

	More than one selection is allowed
Reference to the intended use for inhalation through a heating device	19
Reference to the absence of combustion	18
Reference to the substrate (made of tobacco / reconstituted tobacco)	14
Reference to shape, weight, size and/or other physical characteristics of products	8
Don't know	0

Heated tobacco products categorisation and taxation. Nowadays most MS deal with HTP as non-harmonised tobacco products, and only a few of them tax them by means of harmonised categories. Taxation per weight approach is by far the preferred modality. Instances have been also reported of taxation by sticks or mixed ad valorem and per weight schemes. Tax rates for these products have tended to increase over the years following their increasing level of market uptake. In just one notable case they have reportedly decreased.
The taxation per weight appears as the most fiscally efficient taxation and tax levels similar to cigarettes are considered the most adequate benchmark for reference, although a sizeable subset of MS considers this approach as inappropriate. The options of taxing HTP at levels similar to the EU minima applied to FCT and OST are respectively the second and third preferred option. Conversely, just one MS opted for taxing HTP with an excise close to the EU minima on cigars and cigarillos. The most commonly reported concerns about the per weight and per unit taxation approaches regard for the former the difficulties in its verification and for the latter its possible limited capacity of adapting to future technical developments. Finally, just a few MS believe it reasonable to implement a per total weight strategy, including capsule, filter, etc.

Table C.2.20 - Q18.a. How are heated tobacco products currently categorised and taxed in your country?

A) Categorisation Please indicate how heated tobacco is categorised for tax purposes, in your country	Choose one
Categorised as a harmonised product and taxed accordingly	6
Taxed according to a non-harmonised national tax category	14
Not taxed	0
Not yet decided	0
Don't know	0

Table C.2.21 - Q18.b. How are heated tobacco products currently categorised and taxed in your country?

B) Tax base and structure Please indicate what is the applicable tax base for heated tobacco in your country	Choose one
Number of pieces (i.e. per 1000 units)	2
Weight of the tobacco component only (i.e. per Kg)	12
Total weight, not limited to the tobacco component (i.e. per Kg)	2
Ad valorem, in relation to the retail selling price	2
Don't know	0

Table C.2.22 - Q19. What is the tax rate currently levied on heated tobacco products in your country?

Country*	Ad valorem/ tax base	Specific/tax base	MED/ tax base
MS1[25]		119 €/kg	
MS2		150 €/kg[26]	
MS3[27]		107 €/g	
MS4	13.1% (Of retail price)	15.7 €/kg	
MS5[28]		182 €/Kg if fine cut 175 €/Kg if other smoking tobacco	
MS6		Same rate as for fine cut smoking tobacco	
MS7		156.7 €/kg[29]	
MS8	51.4 %	31.3 €/kg	135.2 €/kg
MS9[30]		187 €/kg[31]	
MS10[32]		0.04 €/pic	
MS11		30.0%[33]	
MS12		113.2 EUR/kg of tobacco	
MS13		160.00 EUR per 1 000 grams	
MS14		160.9 €/kg	
MS15[34]	32.1 %	34 €/kg	
MS16	15.0 % (RSP)	0.1 €/g	0.2 €/g
MS17[35]		86 €/kg	
MS18[36]	1 %[37]	160 EUR[38] or 194 EUR[39]	
MS19		88 EUR	
MS20		132.20 EUR/kg	

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

Table C.2.23 - Q19.b. Has the above tax rate changed over time?

It has increased	14
It has decreased	1
It has not changed	4
Don't know	0

Table C.2.24 - Q23. With respect to the taxable base, please indicate to what extent the following approaches are suitable for an effective and appropriate taxation of heated tobacco in your country

	To a high extent	To a moderate extent	To a limited extent	Not at all	Don't know
Per unit (number of pieces)	9	2	1	5	2
Per weight of the tobacco component only	12	2	2	4	2
Per total weight, not limited to the tobacco component (i.e. including capsule, filter etc.)	2	1	2	13	3

[25] Value converted.
[26] Of net weight of tobacco mixture.
[27] Value converted.
[28] Value converted.
[29] Of net weight of the tobacco blend.
[30] Value converted.
[31] Of tobacco mixture used.
[32] Value converted.
[33] The specific tax is calculated on the excise duty charged on the quantitative equivalent of cigarettes and on the equivalent of conventional consumption determined on the basis of specific technical procedures.
[34] Value converted.
[35] Value converted.
[36] Value converted.
[37] 1% if cigarettes, no ad valorem if smoking tobacco.
[38] Per unit (cigarettes).
[39] Per kg (smoking tobacco).

Table C.2.25 - Q24. Regarding possible EU minimum excise duty rates for heated tobacco, to what extent would the following possible levels meet your country's excise duty policy needs and expectations.

	To a high extent	To a moderate extent	To a limited extent	Not at all	Don't know
Levels similar to EU minima on cigarettes	5	7	1	5	1
Levels similar to EU minima on fine cut tobacco	6	5	4	5	0
Levels similar to EU minima on cigars and cigarillos	1	0	5	13	1
Levels similar to EU minima on other smoking tobacco	6	3	5	6	0

Administrative arrangements - heated tobacco products. The introduction of an ad hoc tax category for heated tobacco in the majority of cases has had a negligible or modest impact on the administrations concerned. This triggered on operators the obligation to have a fiscal warehouse in place and inclusive of financial guarantees for manufacturers/importers, and the obligation of placing tax stamps on the products where these apply. An obligation to use the EMCS is less common. For instance, in the case of some MS, there is the obligation to include in the EMCS HTP cross-border movements only if also the other Member States utilizes it.

Table C.2.26 - Q20. If your country has adopted an ad hoc (non-harmonised) tax for heated tobacco, please indicate the administrative arrangements and other obligations that apply

	More than one selection is allowed
Fiscal warehouse obligation for manufacturers / importers	11
Financial guarantees requested for manufacturers / importers	11
Obligation of using EMCS for cross-border movements	5
Obligation of using EMCS for domestic movements (including national interfaces)	8
Obligation to place tax stamps on the products	11
Prohibition of online sales	9

Table C.2.27 - Q21. To what extent introducing an ad hoc tax category for heated tobacco has led to increased administrative and/or enforcement costs for national competent authorities? Please, rate on a scale from "0=negligible to 3=significant" the estimated additional costs that derived from the following possible activities and provide – where feasible – an estimation of such costs

	Rating: 0=negligible 1=modest 2=moderate 3=significant
Adapting the IT system and other administration tools	**0**=5; **1**=6; **2**=1; **3**=0
Dealing with operators' authorisation and requests for clarifications	**0**=7; **1**=5; **2**=0; **3**=0
Dealing with issues related to excise classification of products	**0**=6; **1**=5; **2**=1; **3**=0
Efforts/ costs related to collecting the new tax	**0**=7; **1**=5; **2**=0; **3**=0
Effort / costs related to monitoring and control	**0**=5; **1**= 5; **2**= 1; **3**=0

C.2.5 Establishing harmonised tax regimes for e-cigarettes

E-cig definition & categorization. A wide majority of respondents agree on the need to introduce a new harmonized tax category for e-cigarettes in the EU excise legislation, and most of them would also extend it to nicotine-free products. This is aimed to both discourage illicit trade of pure nicotine, and at least partly eliminate fiscal incentives for "do-it-yourself" practices. Moreover, exempting nicotine-free products from taxation would increase the classification burden for national administrations.
Taxation should be based on the intended use of the product, and eventually also on its nicotine contents.

While the definition of nicotine free products is deemed by the majority of respondents as sufficiently clear, one fourth of MS would prefer to restrict taxation to nicotine-based products because distinguishing them from other products that might have various other possible uses is deemed too difficult and potentially controversial.

Table C.2.28 - Q33. Regarding a possible definition of heated tobacco products in the EU excise legislation, please indicate which of the following possible elements would meet your country's products classification and identification needs.

	More than one selection is allowed
Reference to the intended use for inhalation through a heating / vaporising device	19
Reference to nicotine contained (either in free form or as nicotine salts)	10
Reference to other elements of the substrate (flavours, glycerine, propylene glycol etc.)	5
Reference to the characteristics of the containers / refill	6
Don't know	1

Table C.2.29 - Q31. Is there a need to introduce a new harmonised category for e-cigarettes liquids in EU excise legislation?

Yes, covering only nicotine-containing products	6
Yes, including also nicotine-free products used in an e-cigarette device	18
No	0
Don't know	0

Table C.2.30 – Q32. Regarding the possible inclusion of nicotine-free products in the scope of a new harmonised excise category for e-cigarettes liquids, please indicate your agreement / disagreement with the following statements

	Strongly agree	Partially agree	Neutral	Partially disagree	Strongly disagree	Don't know
The inclusion of nicotine-free products would eliminate the tax incentive behind 'do it yourself' practices (i.e. self-mixing of non-taxed flavoured bases with taxed nicotine-containing neutral liquids)	6	11	4	0	0	3
The determination of excisable nicotine-free products would be uncertain because the bases for 'do-it-yourself' consist of products that have various other possible uses	3	8	4	3	2	4
Exempting nicotine-free products would increase the classification burden for national administrations; it could require more frequent lab analyses	12	5	2	2	0	3
Including nicotine-free products would make the system unnecessarily heavy, as excise duties collected on nicotine-free liquids should be refunded where these are used to manufacture nicotine-containing liquids (or otherwise not applied)	2	3	5	4	4	6
If taxes are levied only on nicotine-containing products, there is a risk of creating opportunities for the illicit trade of pure nicotine	8	8	4	1	0	3
The rationale of taxing a product which does not contain tobacco nor nicotine is far from being clear	4	2	1	4	10	3

E-cigarette taxation. The majority of MS so far have opted to tax all the substances used in e-cigarette devices, and not only the nicotine-containing ones. Taxation by volume of substance (i.e. per ml of liquid) is by far the preferred tax base, although there are cases of mixed tax bases consisting of both volume and nicotine content. The preferred minima range between 0.10 and 0.30 € per ml, followed by minimum rates above 0.30 € per ml. On the other side, just a few would opt for a minimum rate below 0.10 € per ml. No MS mentioned the option of setting a zero minimum rate. Implementation of taxation is acknowledged as particularly difficult. Over the last few years the number of MS that have refrained from increasing tax rates is larger than those that did. This is out of concern that once e-liquids are exceedingly taxed, consumers

become prone to switch to "do-it-yourself" products. In a notable case in 2020 a MS decided to decrease its tax rate applied to lower the impact of cross-border sales. So in comparison with HTP fewer countries increased their level of taxation irrespective of the level of market uptake of these products.

Table C.2.31 - Q26.a. Are liquids for e-cigarettes currently subject to an ad hoc tax in your country?
If so, please indicate below which tax definition, tax base and structure is applied to e-cigarettes liquids in your country – Taxable products

	Choose one
All substances intended for use in an e-cigarette device	11
Only nicotine-containing substances	5
Don't know	0

Table C.2.32 - Q26.b. Are liquids for e-cigarettes currently subject to an ad hoc tax in your country?
If so, please indicate below which tax definition, tax base and structure is applied to e-cigarettes liquids in your country – Tax base and structure

	Choose one
Volume of substance (i.e. per ml of liquid)	12
Nicotine content (i.e. mg of nicotine)	0
Both volume and nicotine content	2
Ad valorem, in relation to the retail selling price	0
Don't know	0

Table C.2.33 - Q27.a. If an ad hoc tax on e-cigarettes liquids is levied in your country, what is the current rate?

Country*	Specific/tax base
MS1	0.12 € (ml)
MS2	0.20 € (ml) [40]
MS3	0.1 € (ml)
MS4	0.30 € (ml)
MS5	0.0 € (ml)
MS6[41]	0.09 € (ml)
MS7	15%[42];10%[43] € (ml)
MS8	0.12 € (ml)
MS9	12.0% € (ml)[44]
MS10[45]	0.12 € (ml)
MS11	0.32 € (ml)
MS12[46]	0.1 € (ml)
MS13[47]	197 OR 394 € (ml)[48]
MS14	0.2 € (ml)

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

Table C.2.34 - Q34. Regarding possible EU minimum excise duty rates for e-cigarettes liquids, to what extent would the following possible rates meet your country's excise duty policy needs and expectations?

	To a high extent	To a moderate extent	To a limited extent	Not at all	Don't know
A minimum rate of at least € 0.30 per ml	7	2	3	4	2
A minimum rate between € 0.10 and 0.30 per ml	13	5	3	0	2

[40] From 2018-31.03.2021 and from 2023.
[41] Value converted.
[42] for products containing nicotine, calculated on the excise duty charged on the quantitative equivalent of cigarettes.
[43] for products not containing nicotine, calculated on the excise duty charged on the quantitative equivalent of cigarettes.
[44] from 01.01.2021.
[45] Value converted.
[46] Value converted.
[47] Value converted.
[48] First value if nicotine concentration is below 15 mg/ml. Second value if nicotine concentration is between 15 and 20 mg/ml.

A minimum rate below € 0.10 per ml	1	3	5	8	2
No minimum tax	0	0	2	13	2

Table C.2.35 - Q27.b. Has the above rate changed overtime?

It has increased	6
It has decreased	1
It has not changed	9
Don't know	0

Table C.2.36 – Q28. If e-cigarettes liquids are taxed in your country, please indicate whether the amount of tax collected is affected by the following issues, and to what extent.

	Significantly	Moderately	Minimally	Don't know
Cross-border distance sale of e-liquids from non-taxing countries	3	2	0	5
Illegal manufacturing and sale within the country	1	2	3	6
Consumers switching to 'do-it-yourself' products	3	6	0	4
General decline in the demand of e-cigarettes	1	0	5	7

Administrative arrangements and costs. Administrative arrangements and related costs for operators related to e-liquid taxation are: the obligation to have a fiscal warehouse and financial guarantees for manufacturers and importers, the prohibition of online sales and the commitment to place tax stamps on the products. EMCS is not frequent used and often restricted to domestic transactions. Administrative expenses for public administrations have been assessed as either negligible or modest or moderate impacts. All in all they appear higher that the administrative for HTP due to the sheer number of operators and the need to monitor a much higher number of transactions.

Table C.2.37 - Q29. If e-cigarettes liquids are taxed in your country, please indicate the administrative arrangements and other obligations that apply

	More than one selection is allowed
Fiscal warehouse obligation for manufacturers / importers	9
Financial guarantees requested for manufacturers / importers	9
Obligation of using EMCS for cross-border movements	1
Obligation of using EMCS for domestic movements (including national interfaces)	2
Obligation to place tax stamps on the products	7
Prohibition of online sales	8

Table C.2.38 - Q30. To what extent introducing an ad hoc tax category for e-cigarettes liquids has led to increased administrative and/or enforcement costs for national competent authorities?

	Rating: 0=negligible 1=modest 2=moderate 3=significant
Adapting the IT system and other administration tools	**0**=5; **1**=3; **2**=4; **3**=1
Dealing with operators' authorisation and requests for clarifications	**0**=3; **1**=3; **2**=6; **3**=0
Dealing with issues related to excise classification of products	**0**=3; **1**=3; **2**=6; **3**=0
Efforts/ costs related to collecting the new tax	**0**=3; **1**=4; **2**=4; **3**=0
Effort / costs related to monitoring and control	**0**=4; **1**=2; **2**=4; **3**=1

C.2.6 Other smokeless products and tobacco substitutes – proposed tax regime

Smokeless products' legal status and market size. Survey respondents have confirmed that apart from traditional snus whose sale is banned in almost all MS, other smokeless products can easily be marketed in the majority of MS, but for cannabidiol containing substances and nasal tobacco that face more restrictions.

Table C.2.39 - Q35. With respect to the range of other smokeless products and tobacco substitutes that have recently emerged in various countries, please indicate their legal status in your country.

	Can be marketed	Cannot be marketed	Don't know
Chewing tobacco	17	6	0
Nasal tobacco	16	7	0
Other tobacco for oral use (e.g. 'snus')	2	21	0
Nicotine-pouches and other oral products containing nicotine but not tobacco	18	3	2
Products containing cannabidiol (CBD) (not exceeding 0.2% THC)	11	8	1
Tobacco-free herbal sticks for use in heating device	16	3	2

EU level harmonisation. There is a wide consensus among MS on the need to introduce smokeless products within the scope of the EU excise legislation, although this varies from product to product. So, as it may have been expected, very few MS consider introducing *other oral tobacco (e.g. "snus")* within the EU excise legislation as necessary. There are no prevailing views on the best modalities through which this objective can be achieved. Among the anticipated benefits: a clearer definition of those products for fiscal purposes and an enhancement of their market monitoring are those more frequently mentioned. Little risks or anticipated undesirable side effects are foreseen from their inclusion in harmonized excises.

Table C.2.40 - Q38. Is there a need to include other smokeless products and tobacco substitutes in the scope of the EU excise legislation?

	More than one selection is allowed
Chewing tobacco	9
Nasal tobacco	9
Other oral tobacco (e.g. 'snus')	5
Nicotine-pouches and other oral products containing nicotine but not tobacco	18
Products containing cannabidiol (CBD) (not exceeding 0.2% THC)	11
Tobacco-free herbal sticks for use in heating device	16
None of the above	0
Don't know	5

Table C.2.41 - Q39. Regarding the inclusion of other smokeless products and tobacco substitutes in the scope of a new EU excise category, please indicate to what extent the following approaches would meet your country's classification and taxation policy needs

	To a high extent	To a moderate extent	To a limited extent	Not at all	Don't know
Creation of a comprehensive excise category covering all relevant smokeless products which contain tobacco or nicotine	7	4	5	2	3
Creation of separate excise subcategories to distinguish between tobacco-containing and tobacco-free products	5	4	2	4	5

Table C.2.42 - Q42. To what extent is the excise harmonisation of new products expected to create the following beneficial impacts in your country?

	To a high extent	To a moderate extent	To a limited extent	Not at all	Don't know
Reduction of administrative costs related to disparities of approach, classification uncertainties etc. in cross-border movement of new products	9	9	4	1	1
Improved monitoring of new product market and consumption	16	6	2	0	0
Reduction of tax avoidance / circumvention (e.g. through distance selling etc.)	11	8	4	0	1
Clarification of the definition of these products for tax purposes	17	5	1	0	1
Mitigation of tax-induced substitution from conventional tobacco to new products	5	10	4	3	2

Table C.2.43 - Q43. Conversely, what is the risk level of the following undesirable effects caused by excise harmonisation of new products in your country?

	High risk	Moderate risk	Limited risk	No risk	Don't know
Increased administrative burden for dealing with new excise goods and new economic operators involved	2	2	15	5	0
Increased enforcement costs for monitoring and tackling tax fraud on new excise goods	2	3	14	3	2
Increased risk of emerging borderline products, engineered to circumvent new products definitions	2	4	14	1	3
Unintended effects on the demand and distortion of competition between products	0	3	11	6	4

Table C.2.44 - Q37.a. If the products listed in the previous table are permitted in your country, please indicate whether they are taxed and, if so, provide a brief description of the tax regime applied (i.e. tax base, tax rates, conditions etc.) and an indication of the tax revenue collected – Chewing tobacco

Country*	Description of the Tax regime applied (tax base, tax rate, conditions etc.)
MS1	Chewing tobacco (e.g. tobacco in rolls, sticks, strips, blocks or plates, which are prepared so that it can be chewed but not smoked) is taxed with a national excise duty of respectively EUR 15 and 55 per kg[49].
MS2	25.28% tax rate on the retail price
MS3	0.081€/g+15% of RSP
MS4	Taxed if it falls under CN code 2403. Tax rate is 50 EUR/kg[50].

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

Table C.2.45 - Q37.b. If the products listed in the previous below are permitted in your country, please indicate whether they are taxed and, if so, provide a brief description of the tax regime applied (i.e. tax base, tax rates, conditions etc.) and an indication of the tax revenue collected – Nasal tobacco

Country*	Description of the Tax regime applied (tax base, tax rate, conditions etc.)
MS1	Nasal tobacco (tobacco dust or tobacco grain that is prepared so that it can be sniffed but not smoked) is taxed with a national excise duty of EUR 15 per kg[51].
MS2	25.28% tax rate on the retail price
MS3	0.081€/g+15% of RSP (100,665.36)

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

Table C.2.46 - Q37.c. If the products listed in the previous table are permitted in your country, please indicate whether they are taxed and, if so, provide a brief description of the tax regime applied (i.e. tax base, tax rates, conditions etc.) and an indication of the tax revenue collected – Other oral tobacco (e.g. 'snus')

Country*	Description of the Tax regime applied (tax base, tax rate, conditions etc.)
MS1	Taxed if it falls under CN code 2403. Tax rate is 46 EUR/kg[52]

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

Table C.2.47- Q37.d. If the products listed in the previous table are permitted in your country, please indicate whether they are taxed and, if so, provide a brief description of the tax regime applied (i.e. tax base, tax rates, conditions etc.) and an indication of the tax revenue collected – Nicotine-pouches and other oral products containing nicotine but not tobacco

Country*	Description of the Tax regime applied (tax base, tax rate, conditions etc.)
MS1	Same rate as for fine cut smoking tobacco
MS2	80.00 EUR per 1 000 grams[53]
MS3	There is a tax on products containing nicotine for use in the mouth or nose (with the exception of e-liquids and products containing tobacco) which falls under Chapter 24 of the combined nomenclature (CN). Medical products are excluded. Tax rate is 20 EUR/kg[54].

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

[49] Values converted.
[50] Value converted.
[51] Value converted.
[52] Value converted.
[53] From 01.01.2021.
[54] Value converted.

Table C.2.48 - Q37.e. If the products listed in the previous table are permitted in your country, please indicate whether they are taxed and, if so, provide a brief description of the tax regime applied (i.e. tax base, tax rates, conditions etc.) and an indication of the tax revenue collected – Products containing cannabidiol (CBD) (not exceeding 0.2% THC)

Country*	Description of the Tax regime applied (tax base, tax rate, conditions etc.)
MS1	Same excise duties as "other smoking tobacco"/"cigarettes"/"cigars" depending on the way these products are distributed
MS2	Same rate as for fine cut smoking tobacco
MS3	There is no special provision for taxing of cannabis, but if it is present in e-liquid that liquid is subject of excise duty taxation with zero rate.
MS4	The excise categories and conditions valid for fine-cut tobacco, cigarettes or cigars are applied for CBD products
MS5	The Excise Duty Act stipulates that products consisting in whole or in part of substances other than tobacco, but otherwise meeting the criteria set for cigarettes or smoking tobacco, are treated as cigarettes and smoking tobacco. However, products which do not contain tobacco and are used exclusively for medical purposes shall not be considered as tobacco products

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

Table C.2.49 - Q37.f. If the products listed in the previous table are permitted in your country, please indicate whether they are taxed and, if so, provide a brief description of the tax regime applied (i.e. tax base, tax rates, conditions etc.) and an indication of the tax revenue collected – Tobacco-free herbal sticks for use in heating device

Country*	Description of the Tax regime applied (tax base, tax rate, conditions etc.)
MS1	€150 per kilo
MS2	Other smoking tobacco
MS3	Same rate as for fine cut smoking tobacco
MS4	According to the Excise Duties Act, tobacco products are products intended for steam inhalation, without combustion process, and which can be considered as substitutes for manufactured tobacco, and which contain: • manufactured tobacco intended for heating (heated tobacco products) • liquid intended for consumption in electronic cigarette or in other electronic device, regardless of whether it contains nicotine or not (e-liquid) • novel tobacco products - products which are not considered to be heated tobacco products or e-liquids. Excise duty rate for novel tobacco products is 115 EUR[55] per 1 kg.
MS5	Taxed as smoking tobacco (90 EUR/kg of the product).
MS6	80.00 EUR per 1 000 grams[56]
MS7	0.0837€/g+15% of RSP
MS8	Not taxed unless they fulfill the criteria for cigarettes or smoking tobacco (see Article 2.2 in Directive 2011/64/EC).

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

EU minimum excise rates. There are diverging and heterogenous views as to the EU minima excise duty rates that should be applied to these newly introduced smokeless products. The majority of these products is expected to grow in market size in the next few years so that if EU harmonization is not agreed national fiscal systems are likely to be implemented.

Table C.2.50- Q40. Regarding possible EU minimum excise duty rates for other smokeless products and tobacco substitutes, to what extent would the following possible levels meet your country's excise policy needs and expectations.

	To a high extent	To a moderate extent	To a limited extent	Not at all	Don't know
Levels similar to EU minima on fine cut tobacco	5	4	4	4	2
Levels similar to EU minima on other smoking tobacco	6	3	3	3	2
Levels similar to prospective EU minima for heated tobacco	3	4	2	5	4
Levels similar to prospective EU minima for e-cigarettes liquids	5	4	1	5	4

[55] Value converted.
[56] From 01.01.2021.

Table C.2.51 - Q41. How do you expect the market of the following product will evolve in your country in the next five years?

	A significant increase of consumption is expected	A moderate increase is expected	No substantial change is expected	A decline is expected	The product will remain absent from the country	Don't Know
Heated tobacco products	9	12	0	0	0	3
E-cigarettes containing nicotine	2	7	9	2	0	4
E-cigarettes not containing nicotine	2	8	8	2	0	4
Chewing tobacco	0	3	7	0	3	10
Nasal tobacco	0	1	8	0	3	10
Other tobacco for oral use (e.g. 'snus')	1	2	5	0	8	6
Nicotine-pouches and other oral products containing nicotine but not tobacco	4	8	4	0	1	6
Products containing cannabidiol (CBD) (not exceeding 0.2% THC)	2	5	2	0	2	12
Tobacco-free herbal sticks for use in heating device	1	8	3	0	0	11

Table C.2.52 - Q44. If no EU action is taken for the harmonisation of new products, which policy measures would be possibly taken in your country?

	A national ad hoc tax regime will possibly be established (where not already in place)	The current rates will possibly be increased (where relevant)	Don't know
Heated tobacco	6	8	4
E-cigarette liquids	7	7	5
Nicotine pouches	6	2	10
Chewing and other oral tobacco	2	2	12

C.2.7 Raw tobacco sector overview

Raw tobacco definition. There is a general willingness of MS to introduce raw tobacco products in the excise framework. The definition of what should be included in this category is fairly broad.

Table C.2.53 - 67. Regarding the scope of a possible harmonised definition of raw tobacco in the EU excise legislation, please indicate which of the following products should be included to meet your country's product classification and identification needs.

	More than one selection is allowed
Non-processed leaf tobacco	18
First processed tobacco	20
Tobacco refuse	19
Homogenised / reconstituted tobacco	18
Don't know	0

Tobacco sector size, flows & production.

Table C.2.54 - Q45.a. What is the size of the tobacco sector in your country? – Tobacco growing

Country*	Number of tobacco growers	- Of which, small growers (holdings up to one hectare)	Estimated share of tobacco production from small growers on total production
MS1	106[57]		
MS2	11,300	5,500	25.0
MS3	481	18	0.3
MS4	750 (2,244 people)		
MS5	4,108	1,310	7.7
MS6	8.0		
MS7	7.0		

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

[57] In 2016, data for 2020 pending.

Table C.2.55 - Q45.b. What is the size of the tobacco sector in your country? - Tobacco processing

Country*	Number of first-processors	- Of which, small firms*	Estimated share of tobacco production from small first-processors on total production	Number of first-processing establishments in the country	Number of second-processors
MS1	0	0		0	1
MS2	<10	<10			
MS3	5	1	1.5	3	
MS4	2	1	20	2	2
MS5	2	0	0	5	5
MS6	1	0	0	1	1
MS7	1	0	0	0	0
MS8	1	1	100	1	0
MS9	14				14
MS10	1			1	

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

Table C.2.56 - Q45.c. What is the size of the tobacco sector in your country? - Import / export of raw tobacco

Country*	Number of raw tobacco importers	Number of raw tobacco exporters
MS1	13	20
MS2	2	0
MS3	5	1
MS4	<5	0
MS5	1	0
MS6	8	6
MS7	2	2
MS8	7	2
MS9	5	3
MS10	1	0
MS11	1	0
MS12	25	25
MS13	4	2
MS14	5	5
MS15	1	0

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

Table C.2.57 - Q45.d. What is the size of the tobacco sector in your country? - Manufacturers and importers of manufactured tobacco

Country*	Number of registered manufacturers and importers	Of which, small firms[58]	Number of manufacturing tobacco establishments in the country
MS1			3
MS2	12		1
MS3	41	35	5
MS4			21[59]
MS5	<40		<10
MS6	12		1[60]
MS7	21		7
MS8	14		2
MS9	11	4	23
MS10	22	12	1
MS11	1	0	0
MS12	1	0	0
MS13	8	4	1
MS14	38	33	20

[58] Staff up to 50 units, turnover up to EUR 10 million.
[59] 2019.
[60] One operator who mixes water pipe tobacco with flavours (deals with adding flavours).

MS15	285		
MS16	3	2	3
MS17	0	1	0

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

Table C.2.58 - Q46.a. Estimated flows of raw tobacco from/to your country (Inflows pt.1)

Country*	'leaf tobacco' - CN 2401 10 - From EU	'leaf tobacco' - CN 2401 10 - From non-EU	'leaf tobacco' - CN 2401 10 - TOTAL	'first-processed tobacco' - CN 2401 20 - From EU	'first-processed tobacco' - CN 2401 20 - From non-EU	'first-processed tobacco' - CN 2401 20 - TOTAL
MS1		4,679.7			5,939.5	
MS2				16,880	10.0	16,890.0
MS3	4,163.3	7,626.4	11,762.7	10,388.8	95,072.9	105,461.7
MS4		370.6			4,669.2	
MS5	0.0	0.0	0.0	0.2	0.0	0.0
MS6	3,014.0	10,337.0[61]	13,351.0	2,043.0	6,571	8,614
MS7	172.5	690.1	862.6	611.4	16,899.0	17,510.4
MS8	5,566.6	92.880	5,659.5	51.84	3,296.4	3,348.2
MS9		976.0	976.0	2,477[62]	9,995.0[63]	12, 472
MS10		356.0			4,594	
MS11	0.0	9,195.6[64]	9,195.6	0.0	0.0	0.0
MS12	0.2		0.2			
MS13		5.7	5.7			
MS14		6,598.6[65]	137,901.0[66]		53,600.2[67]	
MS15		1,676.9			6,791.6	6,791.6
MS16	1,603.8	807.5	2,411.3	10,859.4	11,286.8	22,146.1
MS17		321.0			2,019.0	

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

Table C.2.59 - Q46.b. Estimated flows of raw tobacco from/to your country (Inflows pt.2)

Country*	Tobacco refuse - CN 2401 30 - From EU	Tobacco refuse - CN 2401 30 - From non-EU	Tobacco refuse - CN 2401 30 - TOTAL	Reconstituted tobacco - CN 2403 91 - From EU	Reconstituted tobacco - CN 2403 91 - From non-EU	Reconstituted tobacco - CN 2403 91 - Total
MS1		297.4			268.8	
MS2		0.1	0.1			
MS3				3.0		
MS4	7,501.6	10,446.1	17,947.7	4,924.4	2,255.6	7,180.0
MS5		312.3				
MS6	266.0	1,121.0	1,387.0			
MS7	12,448.1	15,068.7	27,516.7	0.0	19.1	19.1
MS8	0.0	343.4	343.4	0.0	29,800.0	29,800.0
MS9		3,128			360.0	
MS10		1,206			1,200.0	
MS11	0.0	40.0	40.0	578.8	0.0	578.8
MS12		17,438.2			1,631.4	
MS13		1,516.391	1,516.4		53.1	53.1
MS14	739.0	2,952.3	3,691.2	2,036.3	328.9	2,365.2
MS15		1,197.0			0.0	

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

Table C.2.60 - Q46.c. Estimated flows of raw tobacco from/to your country (Outflows pt.1)

[61] UK included in the EU.
[62] Dried, fermented tobacco has to be registered.
[63] According to customs procedures.
[64] Leaf tobacco plus first processed tobacco.
[65] Without customs warehousing (proc.71): 6 418,58.
[66] Incl. tobacco refuse.
[67] Without customs warehousing (proc.71): 52 852,5.

Country*	'leaf tobacco' - CN 2401 10 - To EU	'leaf tobacco' - CN 2401 10 - To non-EU	'leaf tobacco' - CN 2401 10 - TOTAL	'first-processed tobacco' - CN 2401 20 - To EU	'first-processed tobacco' - CN 2401 20 - To non-EU	'first-processed tobacco' - CN 2401 20 - TOTAL
MS1		7,395.0			2,226.6	
MS2	4,123.8	540.2	4,664.0	7,933.0	24,380.6	32,313.6
MS3	15,831.0	8,228.0	24,059.0	834.0	2,081.0	2,914.0
MS4	4,728.1	242.9	4,971.0	1,827.2	8,519.2	10,346.4
MS5	56,551.0	19,800.0	76,351.0	5,328.9	3,985.2	9,314.1
MS6	0.0[68]	0.0	0.0	1,528[69]	27.0	1,555
MS7					9.0	
MS8	39.4	0.0	39.4	0.0	0.0	0.0
MS9	0.2		0.2			
MS10		93.6	30,607.0[70]		3,522.522	
MS11		0.0			679.5	679.5
MS12	37.4	0.0	37.4	1,216.9	26.8	1,243.7

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

Table C.2.61 - Q46.d. Estimated flows of raw tobacco from/to your country (Outflows pt.2)

Country*	Tobacco refuse - CN 2401 30 - To EU	Tobacco refuse - CN 2401 30 - To non-EU	'leaf tobacco' - CN 2401 10 - TOTAL	Reconstituted tobacco - CN 2403 91 - To EU	Reconstituted tobacco - CN 2403 91 - To non-EU	Reconstituted tobacco - CN 2403 91 - TOTAL
MS1		173.2			154.0	
MS2	800.0					
MS3	2,552.5	1,321.9	3,874.4	157.4	171.4	328.8
MS4	1,082	454.0	1,536.0	0.0	0.0	0.0
MS5	834.2	456.8	1,290.9	15,311.6	16,389.6	31,701.1
MS6	903.7	1,058.5	1,962.2	0.0	0.0	0.0
MS7		241.0			0.0	
MS8	0.0	0.0	0.0	0.7	0.0	0.7
MS9		2,495.523			12,927.0	
MS10	836.4	463.9	1,300.3	41.6	803.4	845.1
MS11		0.0			2.8	

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

Raw tobacco regulation. Most MS already regulate raw tobacco from a fiscal perspective over and above those tobacco producing Countries that have established an agricultural regulation on it. In one notable case, raw tobacco is regulated within the health legislation.
In a couple of cases regulation was triggered by the well-known *Eko-Tabak* case that blurred the distinction in place up to that date. The reason behind regulation appears to have been in order of importance: 1) the fight against illicit manufacturing activities, 2) the need to make movement of "borderline" processed tobacco clearer and 3) the fight against sales of raw tobacco directly to consumers. Respondents were uncertain as to the effectiveness of these provisions or maintained it was too early to tell. Early adopters themselves tended to have a fairly positive view of the results achieved so far.

Among the reasons for not having a regulation of raw tobacco in place the belief that the matter should be dealt at the EU instead of country level was the most frequently mentioned, followed by a limited or total absence of raw tobacco within the country. Also, a couple MS mentioned that at the moment the matter is being discussed, while another couple remarked the fact that diversion of raw tobacco to illicit manufacturing or its direct selling to the consumers is not a serious problem by another couple of MS.

[68] All grown tobacco intended to foreign markets is under advanced purchase agreements, contracted to the first processors.
[69] Dried, fermented tobacco have to be registered.
[70] Incl. tobacco refuse.

Table C.2.62 – Q48.a. Is raw tobacco regulated in your country?
If YES, please indicate which type of regulation is in place and provide reference to the legal framework

	Yes	Partly	No	Don't know
Fiscal regulation	10	6	6	0
Agricultural regulation	7	2	6	3

Table C.2.63 - Q54. To what extent is the adoption of raw tobacco regulation in your country connected to the following issues?

	To a high extent	To a moderate extent	To a limited extent	Not at all	Don't know
Illicit manufacturing activities in the countries, which require strengthening controls over the supply chain	13	3	2	1	3
Selling of raw tobacco directly to consumers	5	5	3	4	4
Movement of 'borderline' processed tobacco, whose classification and excisability are uncertain	6	5	4	2	4

Table C.2.64 - Q55. If tackling diversion of raw tobacco to illicit manufacturing were a major objective of raw tobacco regulation in your country, how would you describe the results obtained?

	Choose one
Very satisfactory – a substantial decline in the volume of illicit cigarettes manufactured within the country has been estimated	4
Fairly satisfactory – a moderate decline in the volume of illicit cigarettes manufactured within the country has been estimated	2
Not satisfactory – no reduction in the volume of illicit cigarettes manufactured within the country has been estimated	1
Too early / Difficult to say	6
Don't know	6

Table C.2.65 - Q56. If tackling retail selling of raw tobacco were a major objective of raw tobacco regulation in your country, how would you describe the results obtained?

	Choose one
Very satisfactory – a substantial decline in the volume of retail sale of raw tobacco has been estimated	5
Fairly satisfactory – a moderate decline in the volume of retail sale of raw tobacco has been estimated	1
Not satisfactory – no reduction in the volume of retail sale of raw tobacco has been estimated	0
Too early / Difficult to say	4
Don't know	8

Table C.2.66 - Q57. To what extent the regulation of raw tobacco described in the previous questions led to an increase of administrative and/or enforcement costs for national competent authorities?

	More than one selection is allowed
There is limited/no tobacco growing in the country	5
There is limited/no first-processing of tobacco in the country	2
The volume of raw tobacco moved on the country is limited	1
Diversion of raw tobacco to illicit manufacturing is not a serious problem in the country	2
Direct selling of raw tobacco to consumer is not a serious problem in the country	2
Difficult-to-classify 'borderline' tobacco is not a serious problem in the country	0
The issue of raw tobacco diverted to illicit manufacturing is tackled with other instruments	1
The matter should be dealt with at EU level instead of country level	7
Actually, a possible regulation of raw tobacco is currently being discussed/considered in the country	2

Measures and obligations. As regards the policy measures and obligations concerning raw tobacco, three main aspects have been specifically considered: 1) raw tobacco growing; 2) tobacco first and second processing and 3) the other players of the raw tobacco supply chain. Overall, the mandatory registration and authorization of operators is considered as the most

necessary policy measure. As deterrence tools most MS have opted for administrative sanctions, followed by the suspension/withdrawal of authorization and by criminal sanctions.

Table C.2.67 - Q49. Regarding tobacco growing, please indicate which type of measures and obligations are currently in place.

	Yes	No	Don't know
Mandatory registration / authorisation of growers	9	2	1
Mandatory declarations regarding cultivated areas and tobacco varieties	7	2	1
Other record-keeping obligations	7	2	1
Obligation of selling to authorised operators	8	1	1
Prohibition to sell raw tobacco to individual / final users	8	1	1
Special obligation concerning movements of raw tobacco within the country (e.g. use of electronic administrative document and movement control systems; advance notification to competent authorities etc.)	5	5	1
Special obligation concerning cross-border movements of raw tobacco	6	3	1

Table C.2.68 - Q50. Regarding first and second processing of tobacco, please indicate which type of measures and obligations are currently in place.

	Yes	No	Don't know
Mandatory registration / authorisation of processors	13	1	3
Mandatory declarations regarding production (type, variety etc.), stocks etc.	8	3	3
Other record-keeping obligations	8	4	3
Provision of financial guarantees	5	8	3
Obligation of buying/selling to authorised operators	10	5	3
Prohibition to sell raw tobacco to individual / final users	6	7	3
Special obligation concerning movements of raw tobacco within the country (e.g. use of electronic administrative document and movement control systems; advance notification to competent authorities etc.)	7	7	3
Special obligation concerning cross-border movements of raw tobacco	7	4	3

Table C.2.69 - Q51. Regarding other players of the raw tobacco supply-chain like importers/exporters, traders, warehouse-keepers, transporters etc., please indicate which type of measures and obligations are currently in place.

	Yes	No	Don't know
Mandatory registration / authorisation of operators	14	2	1
Special record-keeping obligations	10	4	1
Provision of financial guarantees	4	10	1
Obligation of buying/selling to authorised operators	8	8	1
Special obligation concerning movements of raw tobacco within the country (e.g. use of electronic administrative document and movement control systems; advance notification to competent authorities etc.)	7	7	1
Special obligation concerning cross-border movements of raw tobacco	7	7	1

Table C.2.70 - Q52. Which type of sanctions are envisaged for infringements of the raw tobacco obligations described in the previous questions?

	More than one selection is allowed
Administrative penalty (monetary fine)	16
Product seizure	11
Suspension/ withdraw of authorisation	12
Criminal sanctions	12

Non-manufactured products taxation. At present, raw tobacco is generally not taxed in the majority of MS. However even when it is not MS currently collects revenue from the taxation of these products, as this is compensated downstream the value chain.

Table C.2.71 - Q53.a. Are non-manufactured tobacco products taxed in your country? If Yes, please indicate under which conditions, the rates applied, and the tax revenue collected.

	Is raw tobacco taxable?			
	Yes	Only when put up for retail	No	Don't know
Leaf tobacco	7	3	12	0
First-processed tobacco	7	1	11	0
Refuse tobacco	4	5	10	0
Reconstituted / homogenised tobacco	7	2	8	2

Table C.2.72 - Q53.b. Are non-manufactured tobacco products taxed in your country? If Yes, please indicate under which conditions, the rates applied, and the tax revenue collected.

Country*	Leaf tobacco rate & revenue	First-processed tobacco rate & revenue	Refuse tobacco rate & revenue	Reconstituted / homogenised tobacco rate & revenue
MS1[71]	78 EUR	78 EUR	78 EUR	78 EUR
MS2			€150 per kilogram	
MS3	Taxed at the rate of fine-cut tobacco	Taxed at the rate of fine-cut tobacco	[72]	[73]
MS4		EUR 15.66 per kilogram and 13.13 % of the retail selling price, at least EUR 22 per kilogram	EUR 15.66 per kilogram and 13.13 % of the retail selling price, at least EUR 22 per kilogram	EUR 15.66 per kilogram and 13.13 % of the retail selling price, at least EUR 22 per kilogram
MS5	The raw tobacco is taxed based on how much manufactured tobacco there can be produced using the raw tobacco.			
MS6	Fine cut smoking tobacco rate[74]	Fine cut smoking tobacco rate	Fine cut smoking tobacco rate	Fine cut smoking tobacco rate
MS7				These products are taxed as 'Other smoking tobacco' products. The tax rate is : 51.4% of the price sale, 31.30€ of specific excise duty and 135.20€ of minimum excise duty.
MS8				other cut tobacco
MS9	90EUR/kg (EUR 322)	90EUR/kg (EUR 322)[75]	90EUR/kg (EUR 322)[76]	90EUR/kg (EUR 322)
MS10	80.25 EUR per 1000 grams			
MS11[77]	55 EUR per kg	55 EUR per kg	34 EUR per kg and 32.5% of maximum retail price	34 EUR per kg and 32.5% of maximum retail price
MS12	0.081€/g+15%RSP			
MS13[78]	194 EUR/kg	194 EUR/kg	194 EUR/kg	194 EUR/kg

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

Administrative and/or enforcement costs. The administrative and/or enforcement costs connected with the regulation of raw tobacco, are deemed, by the MS majority, as negligible or modest, but for the costs related to monitoring and control that tend to be more substantial.

[71] Values converted.
[72] If considered as raw tobacco, taxed at the rate of fine-cut tobacco, not put for retail.
[73] Same comment as refuse tobacco.
[74] Raw tobacco is not in the market after including under tax objects.
[75] Please note that as there is no definition of what constitutes first-processed tobacco, refuse tobacco and reconstituted/homogenised tobacco we cannot evaluate if those products are treated as raw tobacco or as manufactured tobacco under National legislation.
[76] Same comment as first-processed tobacco.
[77] Values converted.
[78] Values converted.

Table C.2.73 - Q57. To what extent the regulation of raw tobacco described in the previous questions led to an increase of administrative and/or enforcement costs for national competent authorities?

	Rating: **0=negligible** **1=modest** **2=moderate** **3=significant**
Adapting the IT system and other administration tools	**0**=4; **1**=7; **2**=4; **3**=0
Dealing with operators' authorisation and requests for clarifications	**0**=5; **1**=8; **2**=3; **3**=0
Dealing with issues related to classification of products	**0**=5; **1**=7; **2** =2; **3**=0
Efforts/ costs related to collecting the new tax	**0**=6; **1**=6; **2**=0; **3**=0
Effort / costs related to monitoring and control	**0**=3; **1**=5; **2**=6; **3**=0

Classification issues. The distinction between raw tobacco as a non-excisable product and manufactured tobacco products is considered at least somehow problematic by the majority of MS. Moreover, the problem over the past three years has, if anything, slightly worsened. This caused the seizures of smoking tobacco declared as raw tobacco to increase in a number of MS, and in a few cases significantly. No MS stated that the frequency of these seizures decreased in the period considered.

Table C.2.74 - Q59. To what extent is the classification of raw tobacco and the demarcation of excisable and non-excisable products considered problematic in your country? How has the problem evolved in the past three years?

A) The demarcation of excisable v. non-excisable processed tobacco is…		**B) Over the past three years such problem has…**		**C) The frequency of seizure of smoking tobacco declared as raw tobacco has…**	
A major problem	3	Much worsened	2	Increased significantly	3
A moderate problem	9	Worsened	6	Increased moderately	5
A minor problem	2	Not changed	10	Not changed	7
Not a problem	7	Improved	1	Decreased	0
Don't know	1	Don't know	2	Don't know	5

C.2.8 The issue of illicit manufacturing of tobacco

Illicit tobacco trade evolution and origin. In the past three years, illicit tobacco trade was found moderately on the increase in the majority of MS, particularly as far tobacco products other than cigarettes are concerned. More uncertainty surrounds illicit manufacturing that is confirmed by those sufficiently informed about the subject. The EU origin of raw tobacco for illicit manufacturing is not a particular issue for tobacco producing Countries themselves, but remains a major source of tobacco for illegal manufacturing in other EU MS.

Table C.2.75 - Q60. Overall, how has the illicit tobacco trade evolved in your country in the past three years?

	Significantly increased	**Moderately increased**	**Not changed**	**Moderately declined**	**Significantly declined**	**Don't know**
The illicit trade of cigarettes of foreign origin has…	2	10	7	3	1	0
The illicit trade of cigarettes illegally manufactured in your country has…	4	3	6	2	0	7
The illicit trade of tobacco products other than cigarettes has…	3	12	5	2	0	1

Table C.2.76 - Q61. Considering the total amount of illicit cigarettes seized in your country last year, what share has presumably been produced illegally within the EU?

	More than 50%	Between 30% and 50%	Between 20% and 29%	Between 10% and 19%	Less than 9%	Don't know
Estimated percentage of illicit cigarettes manufactured within the country on total seizures	1	0	0	3	7	12
Estimated percentage of illicit cigarettes manufactured in other EU Member State on total seizures	0	1	0	2	8	12

Table C.2.77 - Q63. Regarding illicit manufacturing sites dismantled in your country in the past two years, what was the estimated origin of raw tobacco used?

	Main source	Moderate source	Minor source	Don't know
Raw tobacco presumably grown in your country	0	0	4	10
Raw tobacco presumably grown in other EU Member States	3	3	0	9
Raw tobacco presumably imported from non-EU countries	2	3	1	9

Table C.2.78 - Q64. Regarding the supply of raw tobacco to illicit manufacturing site, to what extent – and based on the information available in your country – the following methods are presumably employed?

	To a high extent	To a moderate extent	To a limited extent	Not at all	Don't know
Fictitious, unregistered companies acquire legitimate raw tobacco (i.e. legally imported and/or processed) and divert it to clandestine factories	4	3	0	3	8
False import declarations	2	2	2	4	8
False export declarations	2	2	0	5	9
Registered manufacturing plants engage in unlawful production in parallel to legal production activities	1	0	0	8	9
Raw tobacco is repeatedly moved across several EU sites until it becomes very difficult for authorities to follow movements	9	1	0	1	8

Drivers behind the increase in illicit manufacturing. There is no such this as a main driver behind the increase in the black market for cigarettes. Both the poor control of the supply chain and the increase in price levels stand out among the most frequently mentioned. It is worth noting that the price of cigarettes in non-EU neighbouring countries has not been considered by any MS as a relevant cause, as if smuggling flows were decided at the manufacturing rather than distribution level.

Table C.2.79 - 62. If an increase of illicit manufacturing of cigarettes has been registered in your country, what are the main reasons?

	Most important reasons	Relevant reasons	Not relevant reasons	Don't know
Cross-border smuggling has become more difficult because detection and prosecution capacities have improved	1	3	6	2
The increase in price levels have enabled economically-viable illicit activities that were not possible before	1	5	2	2
Cigarette prices in non-EU neighbouring countries have increased, so smuggling through the usual routes has become less profitable	0	0	7	3
Poor control of the supply chain enables, too easily, the supply of clandestine production sites with raw tobacco	2	4	4	1

C.2.9 Introduction of raw tobacco in the scope of the EU excise legislation

Possible approaches. A majority of MS would opt for the introduction of specific provisions extending to raw tobacco the same monitoring and control obligations that currently apply to manufactured tobacco at the EU-level, but without taxing it. On the other side, the option of defining raw tobacco as an excisable good, through the establishment of a new excise category, appears more controversial. However, related obligations are deemed useful by some three quarter of respondents, while another one quarter deem them of limited or no use.

Table C.2.80 - Q65. Based on the legal and administrative framework in place in your country, to what extent do the following possible EU-level approaches to raw tobacco issues meet your country's needs and expectations?

	To a high extent	To a moderate extent	To a limited extent	Not at all	Don't know
Establishing a new, harmonised excise category for raw tobacco in the scope of the tobacco excise Directive; raw tobacco would become an excise good.	10	3	3	7	0
Introducing specific provisions extending to raw tobacco the same monitoring and control obligations that apply to manufactured tobacco across the EU - but raw tobacco would not be taxed	15	3	4	1	1

Table C.2.81 - Q66. Considering the issue of diversion of raw tobacco to illicit manufacturing, to what extent would the various obligations envisaged in the current EU excise system prove effective if applied to raw tobacco movement?

	To a high extent	To a moderate extent	To a limited extent	Not at all	Don't know
Obligation to move leaf tobacco (non-processed) under the EMCS system	14	4	3	2	2
Obligation to move processed raw tobacco under the EMCS system	15	3	4	1	2
Financial guarantee required to cover movements of raw tobacco	12	3	4	3	2
Obligation for consignor and consignees to obtain a certification / registration (as applicable)	15	2	4	2	2
Obligation to store / process raw tobacco in a tax warehouse	13	2	4	3	3
Integration with customs procedures (e.g. for external transit procedures)	14	2	4	2	3

Table C.2.82 – Q69. Considering the nature and magnitude of raw tobacco-related issues in your country, to what extent can the introduction of monitoring and control measures for raw tobacco in EU excise legislation be expected to address these problems?

A) Illicit manufacturing would expectedly decline…		B) Retail selling to consumers would expectedly decline…	
Significantly	9	Significantly	4
Moderately	4	Moderately	3
Marginally / not at all	5	Marginally / not at all	5
Don't know	6	Don't know	11

Raw tobacco minimum rate. In line with the findings of question *9.1a* above, there is almost a unanimous consensus around the non-application of a tax rate on raw tobacco.

Table C.2.83 - Q68. Regarding the application of a minimum rate on raw tobacco, which of the following solutions would be the most appropriate in your country?

	Choose one
No tax applied on raw tobacco	14
Tax applied on processed raw tobacco, but not on leaf tobacco (unprocessed)	3
Tax applied on any type of raw tobacco	4
Don't know	1

Raw tobacco harmonisation additional costs. Generally, the inclusion of raw tobacco is expected to translate into additional costs for tax administrations. Most respondents anticipate an increase in tax management, customs management and law enforcement expenditures, although mainly moderate. In the scenario of the absence of EU-level harmonisation of raw tobacco, it is expected by the majority of MS to maintain the situation as it is, without putting into place any further significant change, but a couple of MS would establish a national ad hoc tax regime.

Table C.2.84 – Q70. To what extent would harmonisation of raw tobacco under the EU excise legislation translate into additional costs for tax administrations involved?

	Increase significantly	Increase moderately	Not change	Decrease moderately	Decrease significantly	Don't know
Additional costs for tax authorities would likely…	2	11	8	3	0	1
Additional costs for customs authorities would likely…	2	14	5	2	0	1
Additional costs for law enforcement authorities would likely…	2	10	4	2	0	5

Table C.2.85 - Q71. If there were no EU-level harmonisation of raw tobacco, which policy measures would be possibly taken in your country?

	Choose one
A national ad hoc tax regime for raw tobacco will possibly be established *	2
No major change of the current situation is expected	15
Don't know / difficult to say	3

C.3. Targeted Consultation of Public Health Authorities

C.3.1 Overview of the current situation

Evolution of the current situation. Little variation in tobacco consumption patterns was reported as compared to the situation in 2018, most product consumption trends have remained stable or moderately increased or decreased over the last three years. The most relevant exception is represented by the increasing substitution of conventional tobacco products with heated tobacco, which is reported as substantial by seven MS, and as moderate but at any rate appreciable by other 5 MS. Significant decreases, respectively in the overall affordability of tobacco products, the substitution of cigarettes with fine-cut tobacco and the estimated volume of illicit tobacco products consumed has been anecdotally reported in single Countries, but without clear EU trends behind. Most respondents lack sufficient data to properly assess the impact that the COVID-19 pandemic has had on consumption patterns. The majority of those who did, reported declined market trends in all respects (as opposed to cross-border shopping and of illegal cigarettes) during 'lock-downs', which is a rather counterintuitive finding, but was accompanied by a temporary overall decline in the demand for tobacco products.

Table C.3.1 – Q1. The latest consultation of public health authorities on Directive 2011/64 was carried out in 2018. How has the situation evolved since then in your country, in relation to the following policy issues?

	Increased significantly	Increased moderately	Not changed	Declined moderately	Declined significantly	Don't know
The overall affordability of tobacco products has…	0	3	6	6	1	1
The substitution of cigarettes with fine-cut tobacco has…	0	3	8	0	1	5
The substitution of cigarettes with cigarillos has…	0	2	9	0	0	6
The substitution of conventional tobacco products with heated tobacco has…	7	5	2	0	0	2
The substitution of conventional tobacco products with electronic cigarettes has…	1	7	3	1	0	5

The estimated volume of illicit tobacco products consumed in your country has…	0	6	4	1	1	5
The estimated volume of cross-border inflows of duty-paid tobacco products from other Member States into your country has…	0	0	4	2	0	8

Table C.3.2 – Q2. Has the COVID-19 crisis, and the measures adopted to tackle it, affected the demand for and the market of tobacco products in your country? If so, how?

	Major increase	Moderate increase	Limited / no change	Moderate decline	Major decline	Don't know
Sales of legal domestic tobacco products during 'lock-downs' (as opposed to cross-border shopping)	0	3	0	5	1	8
Sales of illegal cigarettes during 'lock-downs'	0	1	4	0	1	11
Overall consumer's demand for tobacco products	0	1	4	6	0	6
Sales volume of low-price cigarettes	0	2	3	2	0	10
Sales volume of tobacco products more affordable than cigarettes	0	3	1	2	0	11

Table C.3.3 – Q3.a. Regarding smoking prevalence in your country, please indicate below the most recent data available in your country.

Country*	Overall smoking prevalence - daily users (%)	Overall smoking prevalence – all users (daily + occasional) (%)	Smoking prevalence among female population - daily users (%)	Smoking prevalence among male population - daily users (%)
MS1	15.4% (2018) [>15]	19.4% (2018) [>15]	12.1% (2018) [>15]	18.9% (2018) [>15]
MS2	34.5% (2020) [>20)	39.2% (2020) [>20]	33.4% (2020) [>20]	
MS3	35% (2019) [15-64][79]	38% (2019) [15-64][80]	24% (2019) [15-64][81]	47.3% (2019) [15-64][82]
MS4	18.1% (2019) [>15]	24.9% (2019) [>15]	15.2% (2019) [>15]	21.1% (2019) [>15]
MS5	13% (2020) [>15]	18% (2020) [>15]	11% (2020) [>15]	15% (2020)[>15]
MS6	24.9% (2019) [>15][83]	28.6 % (2019) [>15][84]	19% (2019) [>15][85]	31.3% (2019) [>15][86]
MS7	32.3% (2019)[15-64]	39.4% (2019) [15-64]	27.8% (2019) [15-64]	36.8% (2019) [15-64]
MS8	12% (2018) [>20]	19% (2018) [>20]	12% (2018) [>20]	14% (2018) [>20]
MS9	27.4% (2019) [>19]	28.2% (2019) [>19]	26.1% (2019) [>19]	30.5% (2019) [>19]
MS10	24.8% (2019) [>15]	27.1% (2019) [>15]	22.2% (2019) [>15]	27.7% (2019) [>15]
MS11	19 % (2019) [>15]	24% (2019) [>15]	10% (2019) [>15]	30% (2019) [>15]
MS12	24.5 % (2018) [15-74]	27.9% (2018) [15-74]	12% (2018) [15-74]	38.3% (2018) [15-74]
MS13	14.9 % (2020) [>18]	20.2% (2020) [>18]	13.5% (2020) [>18]	16.2% (2020) [>18]
MS14	21% (2019) [>15]	22% (2019) [>15] [87]	18% (2019) [>15]	24% (2019) [>15]
MS15	14.2% (2019) [>15]	17% (2019) [>15]	9% (2019) [>15]	20.9% (2019) [>15]
MS16	7% (2020) [16-84]	12% (2020) [16-84]	7% (2020) [16-84]	7% (2020) [16-84]
MS17	15.7% (2020) [18-74]	19.9% (2020) [18-74]	14.5% (2020) [18-74]	16.9% (2020) [18-74]
MS18	18.5 % (2019) [>15]	24.0% (2018) [>15]	15.2% (2019) [>15]	21.9% (2019) [>15]

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

[79] Last month prevalence. They also include the prevalence among 15-16 years old, the last month prevalence, which is (7.6%) --> year considered (2019).
[80] Last month prevalence.
[81] Last month prevalence. Also in this case they included the 15-16 years old last month prevalence, which is 6.5% --> year of reference 2019.
[82] Last month prevalence.
[83] Excludes e-cigarette users.
[84] Excludes e-cigarette users.
[85] Excludes e-cigarette users.
[86] Excludes e-cigarette users.
[87] Occasional users: 2% male , 1% female.

Table C.3.4 - Q3.b. Regarding smoking prevalence in your country, please indicate below the most recent data available in your country.

Country*	Specific prevalence of fine-cut tobacco users – as a % of total smokers	Specific prevalence of water-pipe tobacco users – as a % of total smokers	Specific prevalence of legal herbal substitutes of cigarettes (including cannabidiol) – as a % of total smokers
MS1	13.8% (2019) [>15]	14.5% (2019) [>15]	
MS2	17[88] (2020) [>15]	7.2% (2020) [>15]	
MS3	94.7% (2019) [>15[89]]	1) 0%; 2) 0.1% (2019) [>15[90]]	0% (2019) [>15[91]]
MS4	17% (2019) [15-64]	4.4 (2019) [15-64]	2.9[92]% (2019) (15-64)
MS5	8.3% (2019) [>19]		
MS6	21.5% (2019) [>15]		

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

Table C.3.5 - Q3.c. Regarding smoking prevalence in your country, please indicate below the most recent data available in your country.

Country*	Smoking prevalence by age cohort - daily users (%) * Please, add as many lines as the age cohorts' data that is available
MS1	11.1% (2018) [15-24]; 18.3% (2018) [25-34]; 20.3% (2018) [35-44]; 18.8% (2018) [45-54]; 18.8% (2018) [55-64]; 9.4% (2018) [65-74]; 3.3% (2018) [75+]
MS2	32.7% (2019) [15-24]; 42.9% (2019) [25-34]; 36.3% (2019) [35-44]; 30.9% (2019) [45-54]; 29.5% (2019) [55-64]
MS3	14.8% (2019) [15-24]; 18.7% (2019) [25-44]; 21.9% (2019) [45-64]; 13.5% (2019) [65+]
MS4	10% (2020) [15-29]; 14% (2020) [30-59]; 13% (2020) [60+]
MS5	14.4% (2019) [15-24]; 27.9% (2019) [25-34]; 34.1% (2019) [35-44]; 33.5% (2019) [45-54]; 30.2% (2019) [55-64]; 19.0% (2019) [65-74]; 7.3% (2019) [75+][93]
MS6	6% (2019) [14-15]
MS7	28% (2019) [19-24]; 31% (2019) [25-34]; 34.4% (2019) [35-44]; 35.7% (2019) [45-64]; 11.7% (2019) [65+]
MS8	**Male:** 8.8% (2019) [15-17]; 35.4% (2019) [18-34]; 31.1% (2019) [35-64]; 12.3% (2019) [>65] **Female:** 10.2% (2019) [15-17]; 27.8% (2019) [18-34]; 26.2% (2019) [35-64]; 11.8% (2019) [>65]
MS9	14% (2019) [15-24]; 30% (2019) [25-34]; 27% (2019) [35-44]; 28% (2019) [45-54];

[88] Daily + occasional.
[89] Pop. specification assumed. % presented is of daily users of combustible.
[90] 1) % of daily water-pipe users as a % of total smokers; 2) % of daily or occasional water-pipe users as a % of total smokers. 3) pop.specification assumed.
[91] Pop. specification assumed. No user was identified.
[92] It refers exclusively to cannabis.
[93] Pop. specification assumed.

	23% (2019) [55-64]; 11% (2019) [65-74]; 2% (2019) [>75]
MS10	14.9% (2020) [18-29]; 19.3% (2020) [30-49]; 19% (2020) [50-64]; 10% (2020) [65[94]+]
MS11	**Male:** No data (2019) [15-19]; 24% (2019) [20-29]; 24% (2019) [30-39]; 34% (2019) [40-49]; 28% (2019) [50-59]; 22% (2019) [>60] **Female:** 3% (2019) [15-19]; 7% (2019) [20-29]; 26% (2019) [30-39]; 17% (2019) [40-49]; 24% (2019) [50-59]; 19% (2019) [>60]
MS12	12.4% (2019) [15-24]; 20.5% (2019) [25-34]; 21.8% (2019) [35-44]; 19.6% (2019) [45-54]; 13.4% (2019) [55-64]; 6.1% (2019) [65-74]; X (2019) [75-84]; X[95] (2019[96]) [85+]
MS13	4% (2020) [16-29]; 6% (2020) [30-44]; 8% (2020) [45-64]; 8% (2020) [65-84]
MS14	16.6 (2020) [25-34]; 16.9 (2020) [35-44]; 17.2 (2020) [45-54]; 18.2 (2020) [55-64]; 11.3 (2020) [65-74]
MS15	29.7 (2019) [>15]; 13.2 (2019) [>65]; 2.5 (2018) [11]; 9.5 (2018) [13]; 22.5 (2018) [15]

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

Table C.3.6 - Q4. What is the estimated smoking intensity - i.e. average number of cigarettes per day – among daily smokers in your country?

Country*	Estimated number of daily cigarettes per smoker & specific source
MS1	14.8
MS2	15
MS3	1)8.6[97];2)11.2[98]
MS4	14.5
MS5	16[99];2)15[100]
MS6	16
MS7	8.55[101]; 6.88[102]
MS8	13.5
MS9	11.6
MS10	12.5
MS11	1) <10 = 14%; 2) 10-19 = 40%; 3) 20-29 = 45% ; 4) >30 = 1%
MS12	11[103]
MS13	15.5[104]

[94] Pop. specification assumed.
[95] Estimates are not representative in the sample.
[96] Pop. specification assumed.
[97] Current smoker.
[98] Daily smokers.
[99] Mean.
[100] Median.
[101] Manufactured cigarettes/daily smokers.
[102] Hand rolled cigarettes/daily smokers.
[103] Age range 16-84.
[104] Age range 25-74.

MS14	15

(*) to preserve the confidentiality of the survey, any source provided by the respondents has been omitted

Table C.3.7 - Q5.a. Regarding consumption of new products like heated tobacco and electronic-cigarettes, please indicate below the most recent data available in your country.

Country*	Users of heated tobacco products – (% of relevant population)	Of which sole users	Of which dual users (both traditional tobacco product* and heated tobacco)	Prevalence of heated tobacco users among young people (specify the age cohort)
MS1	0.2% (2019) [15-64]			
MS2	3.2% (2019) [15+]	46.6%	53.4% (2019) [>15]	7.7% (2019) [15-24]
MS3	0.9[105]% (2020) [>15]		66% (2020) [>15]	2% (2020) [15-29]
MS4	0.8[106]% (2019) [>15]	0.6% (2019) [>15][107]	0.2% (2019) [>15][108]	0.3% (2019) [15-24][109]
MS5	0.7% (2019) [>19]			
MS6	0.5% (2020) [> 18]	0% (2020) [> 18]	0.5% (2020) [> 18]	1%[110] (2020) [13-15]
MS7	1.5% (2019) [>18]			
MS8	1.1% (2019) [>15]	25% (2019) [>15]	75% (2019) [>15]	1) 1.8% (2019) [15-17]; 2) 2.4% (2019) [18-24]
MS9				3.7% (2016) [13-15]

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

Table C.3.8 - 5.b. Regarding consumption of new products like heated tobacco and electronic-cigarettes, please indicate below the most recent data available in your country.

Country*	Users of e-cigarettes – (% of relevant population)	Of which sole users	Of which dual users (both traditional tobacco product* and e-cigarettes)	Prevalence of e-cigarettes users among young people (specify the age cohort)
MS1	4.1% (2018) [> 15]	24.5% (2018) [> 15]	75.5% (2018) [> 15]	5.5% (2018) [15-24[111]]
MS2				47% (2019) [15-16]
MS3	4.9% (2019) [>15]	46.6%	53.4% (2019) [>15]	10.7% (2019) [15-24]
MS4	3% (2020) [>15]		23[112]%; 13[113]% (2020) [>15]	4% (2020) [15-29 years]
MS5	1.8% (2019) [>15]	1.2% (2019) [>15]	0.3% (2019) [>15]	0.4% (2019) [15-24][114]
MS6	0.8% (2019) [15-64]			40.3% (2019) [14-18]
MS7	1% (2018) [20-64]			4% (2019) [14-15]
MS8	0.4% (2019) [>19]			
MS9	2.2% (2020) [> 18]	0.7% (2020) [> 18]	1.5% (2020) [> 18]	12%[115] (2020) [13-15]
MS10	3% (2019) [> 15]			12% (2019) [15-24]
MS11				18% (2019) [13-15]
MS12	1.6% (2019) [> 18]			25[116]% (2019) [12-16]
MS13	1.4% (2019) [>18]			10.6[117]% (2020) [15-18]
MS14	1.6% (2019) [>15]			
MS15	1.3% (2020) [16-84]			5% (2020) [15-16]

[105] Daily + occasional.
[106] Daily users.
[107] Daily users >=15 years old (occasional users are not included).
[108] Daily users >=15 years old (occasional users are not included).
[109] Daily users.
[110] In the last 30 days.
[111] 0.6 per cent daily users; 4.9 occasional.
[112] Daily users.
[113] Occasional dual users.
[114] Daily users.
[115] In the last 30 days.
[116] Ever used.
[117] Daily users. 29.5% occasional users (used electronic cigarettes in last 30 days).

MS16	2.3% (2020) [18-74]	22% (2020) [18-74]	78% (2020) [18-74]	1) 3.2% (2020) [18-24] 2) 4.7% (2018) [13] 3) 10.2% (2018) [15] 4) 7.4% (2018) [17]
MS17				8% (2016) [13-15]

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

Table C.3.9 - Q6. Regarding consumption of electronic-cigarettes in your country, please indicate the estimated structure of consumption by nicotine concentration (based on national surveys, ad hoc studies and the like)

Country*	Nicotine-free	Concentration level band
MS1	(27.3%)	(0.1-20 mg/ml) (72.7%)
MS2	(28.3%)	1) 1-3 mg/ml (15.8%) 2) 4-9 mg/ml (41.7%) 3) 10-18 mg/ml (12.5%) 4) 19 > mg/ml (1.7%)
MS3		1) 3 mg/ml (1.9%) 2) 6 mg/ml (30%) 3) 9 mg/ml (1.8%) 4) 12 mg/ml (32.1%) 5) 15 mg/ml (1.2%) 6) 16 mg/ml (0.2%) 7) 18 mg/ml (32.3%) 8) 20 mg/ml (0.6%)
MS4	(1.9%)	Max 20 mg/ml (98.1%)
MS5		1) 1-5.99 mg/ml (0.28%) 2) 6-11.99 mg/ml (10.33%) 3) 12-19.99 mg/ml (1.13%) 4) 20 mg/ml (88.26%)
MS6	(31%)	
MS7		1) Max 6 mg/ml (19%) 2) 6 mg/ml (34%) 3) > 6 mg/ml (34%) 4) not estimable (13%)

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

Smokeless tobacco consumption challenges. Newly introduced oral nicotine products are those deemed to pose a more immediate challenge to tobacco control policies. These are followed by *products containing cannabidiol (CBD)*, *other herbal products for smoking and tobacco-free herbal products for use in a heating device*. Conventional products for oral use are considered less of a concern in a number of MS where they have already been banned, and are therefore, at best, smuggled into the Countries concerned.

Table C.3.10 - Q7. Regarding consumption of other smokeless tobacco products and substitutes, please indicate to what extent they represent a challenge for tobacco control policy in your country

	To a high extent	To a moderate extent	To a limited extent	Not at all	Don't know
Chewing tobacco	1	2	6	4	2
Nasal tobacco	0	0	7	6	2
Other tobacco for oral use (e.g. 'snus')*	3	1	3	7	2
Nicotine-pouches and other oral products containing nicotine but not tobacco	5	4	5	0	2
Products containing cannabidiol (CBD) (not exceeding 0.2% THC)	2	4	2	1	7
Other herbal products for smoking	1	3	8	2	2
Tobacco-free herbal products for use in heating device	1	5	4	2	5

Table C.3.11 - Q8. Please indicate below any restriction / special regulation in place in your country on the following products*

Products	*Number of MS adopting national restrictions / special regulations*	*Number of MS not adopting national restrictions / special regulations (besides EU regulations)*
Chewing tobacco	8	5
Nasal tobacco	8	4
Nicotine-pouches	7	5
Products containing cannabidiol (CBD)[118]	11	2
Other herbal products	8	5
Tobacco-free herbal products	6	5

(*) to preserve the confidentiality of the survey, any reference to respondents has been omitted

C.3.2 Policy objectives and trends

Policy effectiveness. Most MS are only moderately or limitedly satisfied with the degree of achievement of their smoking prevalence reduction objectives, both in general and as far as concerns the youth and women in particular, while many do not have elements to conclude on trends among the low-income layers of the population or to judge on trends in smoking intensity. To newly implemented national control policies (sale restrictions, etc.) rather than taxation have been attributed the bulk of the effect in spurring a decline in smoking prevalence.

There is widespread recognition of the fact that significant or very significant additional efforts in smoking prevalence reduction would be required to meet the objectives of the *Europe's Beating Cancer Plan*. These efforts are typically identified in a further increase in the overall level of taxation on conventional tobacco products and in the reduction of the tax gap between cigarettes and other tobacco products, followed by the establishment/increase of tax rates on e-cigarettes and heated tobacco products. In one notable case, increase in the level of taxation of e-cigarettes is considered a very low priority. All the other policy alternatives listed, including the fight against abuse of cross-trade flows or illicit trade and manufacturing, are still considered on average priority actions, but to a lower extent.

Table C.3.12 – Q12. Considering the smoking trends registered in your country in the past three years, to what extent the following tobacco control objectives have been met?

	Very high extent	High extent	Moderate extent	Limited extent	Not at all	Don't know
Reduction of overall smoking prevalence in the country population	0	2	6	5	0	2
Reduction of smoking prevalence among young people	2	1	5	5	0	2
Reduction of smoking prevalence among women	0	0	4	6	2	3
Reduction of smoking prevalence among low-income population	0	0	2	5	0	8
Reduction of smoking frequency among smokers (i.e. the average number of cigarettes per day)	0	0	2	3	2	8

Table C.3.13 – Q13. If smoking prevalence has declined in your country in the past three years, to what extent have the following policies or trends contributed to this result?

	Very high extent	High extent	Moderate extent	Limited extent	Not at all	Don't know
Increase in tax and price levels of tobacco products	1	4	4	2	1	3
EU-level regulation, namely Tobacco Products Directive	0	7	1	1	0	5
National tobacco product regulation and control policies	2	7	2	1	0	3
Awareness-raising campaigns	0	3	2	4	0	5

[118] Not exceeding 0.2% THC.

Consumers' switching from conventional tobacco to e-cigarettes, HTPs and other smokeless products	1	3	2	3	2	4
Smoking cessation health support services (including quit smoking aids and Nicotine Replacement Therapies)	0	1	6	4	0	4
Reduced accessibility of 'cheap' tobacco products of foreign origin (smuggled, or legally purchased in another Member State)	0	0	4	2	3	6
General cultural trends, i.e. de-normalisation of tobacco	0	5	2	1	0	6

Table C.3.14 - Q14. If smoking prevalence has <u>not</u> declined in your country in the past three years, to what extent can this be attributed to the following factors?

	Very high extent	High extent	Moderate extent	Limited extent	Not at all	Don't know
Insufficient increase in overall tax and price levels of tobacco products	0	1	0	0	0	3
Downtrading of smokers from cigarettes to less-expensive products (fine-cut tobacco, cigarillos etc.)	0	0	1	0	0	3
Insufficient tobacco control regulation	0	1	0	0	0	3
Insufficient smoking cessation health support services	1	0	0	0	0	3
Industry's communication and advertising of alternative products	1	0	0	0	0	3
Insufficient promotion/access/adhesion to Nicotine Replacement Therapies	0	0	1	0	0	3
Increased availability of illicit tobacco products	0	0	1	0	0	4
Increased cross-border shopping (i.e. smokers buying legal tobacco product in other Member States)	0	0	0	1	0	4

Table C.3.15 – Q15. Considering recent smoking prevalence trends, please indicate the level of efforts required to meet Europe Beating Cancer Plan's short and long-term targets in your country.

Effort required to reduce smoking prevalence trends in the short run		Effort required to reduce smoking prevalence trends in the long run	
Very significant efforts	6	Very significant efforts	8
Significant efforts	6	Significant efforts	4
Moderate efforts	1	Moderate efforts	2
Limited efforts	2	Limited efforts	0
Don't know	0	Don't know	1

Table C.3.16 - Q16. In particular, please rate by importance the following possible measures that your country needs to adopt to meet Europe Beating Cancer Plan's short and long-term targets

Please rate importance on a scale from 1=not important to 5=very important

3.1e Policy measures Europe Beating Cancer Plan's - short/long-term targets	5	4	3	2	1	Don't know
Increase overall tax levels on conventional tobacco products (cigarettes, smoking tobacco, cigars and cigarillos)	7	4	1	1	0	1
Reduce the tax gap between cigarettes and other tobacco products to prevent consumer's downtrading	7	3	2	1	0	1
Establish/increase* tax levels on e-cigarettes liquid	6	3	3	0	1	1
Establish/increase tax levels on heated tobacco products	5	4	3	0	0	1
Establish/increase* tax levels on other smokeless (oral/nasal) tobacco products and substitutes	1	6	4	0	1	1
Enhance measures to detect and fight illicit tobacco trade	4	4	3	0	1	1
Enhance measures to prevent tobacco control policies are undermined by cross-border shopping	2	4	3	2	1	2

Excise duty related risks. Downtrading to possible substitute products is increasingly perceived as the most relevant risk connected to any increase in the taxation levels of cigarettes

and other smoking tobacco products. Current product diversification trends are therefore perceived as more of a threat than a surge in cross-border flows or demand for illegal products.

Table C.3.17 - Q17. Considering the specificities of market and consumption in your country, please rate below the possible risks connected to increase / introduction of taxation for the products indicated below.

	5	4	3	2	1	Don't know
Increase in the taxation of cigarettes could lead to consumer's downtrading to other products	1	7	5	1	0	3
Increase in the taxation of cigarettes and other smoking tobacco could lead to an increase in cross-border shopping	3	2	3	1	3	4
Increase in the taxation of cigarettes and other smoking tobacco could lead to an increase in the demand for illegal products	3	2	5	2	0	5

ANNEX D – TOBACCO POLICY AND MARKET

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D.1 Overall policy framework

D.1.1 Overview of Directive 2011/64

- **OBJECTIVES AND SCOPE OF THE DIRECTIVE**

Harmonised rules and arrangements for the taxation of manufactured tobacco products in the EU are in place since the 1970s[119]. The legal framework was revised and amended several times, i.e. between 1992-95, in 2002-03, and 2010.[120] In 2011, the Council adopted ***Directive 2011/64/EU*** on the structure and rates of excise duty applied to manufactured tobacco, also known as the Tobacco Excise Directive (hereinafter "the Directive"), which codified the previous legislation in a single act. The Directive repealed all previous acts, but most of its provisions (and underlying principles) were actually carried over from earlier versions, and in particular from Council Directive 2010/12/EU.[121]

In line with the previous legislation, the Directive aims at harmonising the excise duty regimes in the Member States (MS), with a view to ensure the ***proper functioning of the internal market*** and, at the same time, a ***high level of health protection***, in accordance with the Treaty requirements and international commitments (FCTC).

As regards internal market functioning, the specific objectives of the Directive include:

- support the EU ***market integration*** (i.e. avoid the partitioning of the geographical market) and the removal of obstacles and barriers to it;
- ***prevent tax-induced distortion of competition***, both across countries – i.e. between low- and high-taxing countries - and across products – i.e. between products subject to different taxation levels; and
- ensure ***freely-formed prices*** for all types of products in all geographical markets.

Regarding public health protection, the Directive's specific objective consists of reducing tobacco products' affordability through taxation, thus ***deterring consumption*** and contributing ***to curb the smoking prevalence*** in the EU.

Although not explicitly mentioned in the current text, a third overarching objective can be attributed to the Directive, namely to ensure an ***efficient excise administration*** in connection, inter alia, with the objectives and provisions of the EU general arrangements for excise duty, as laid down in Directive 2008/118 (the "Horizontal' Directive")[122]. This general objective includes two specific objectives, which can be expressed as follows:

- ***To prevent / mitigate tax losses***, due to tax fraud, circumvention and abuse of excise product categories.
- To ensure that the obligations and requirements ***are fit for purpose and do not impose an unnecessary burden*** on competent administrations***.***

The main provisions laid down in the Directive to achieve these objectives regard the establishment of ***excise duty categories*** for different types of tobacco products – based on ad hoc, harmonised product definitions – and the adoption of EU-level ***minimum rates*** applicable in all Member States as well as harmonised ***excise duty structures***.

[119] Council Directive 72/464/EEC, later amended by Directive 1979/32/EEC
[120] Council Directive 92/79/EEC; Council Directive 92/80/EEC; Council Directive 95/59/EC; Council Directive 2002/10/EC; Council Directive 2003/117/EC, Council Directive 2010/12/EC.
[121] Council Directive 2010/12/EU of 16 February 2010, amending Directives 92/79/EEC, 92/80/EEC and 95/59/EC on the structure and rates of excise duty applied on manufactured tobacco and Directive 2008/118/EC.
[122] Council Directive 2008/118/EC concerning the general arrangements for excise duty and repealing Directive 92/12/EEC. Directive 2008/118 has been recast under Council DIRECTIVE (EU) 2020/262 laying down the general arrangements for excise duty (recast). The new Directive will enter into force in 2023.

- **HARMONISED EXCISE PRODUCTS IN THE SCOPE OF THE DIRECTIVE**

The excise product categories currently established in the Directive and the corresponding excise product code are shown in Table D.1.1 below. Harmonisation currently regards only smoking tobacco products, while smokeless products like chewing / nasal tobacco as well as novel tobacco products like heated tobacco (HTP) are not included.[123] Tobacco substitute products like electronic cigarettes and nicotine pouches also do not fall in the scope of the Directive, while smoking products consisting in whole or in part of substances other than tobacco (e.g. herbal products) are subject to the same regime as tobacco products.

Table D.1.1 – Excise product categories for manufactured tobacco products[124]

Excise Products	Excise Product Code
Cigarettes	T 200
Cigars and cigarillos[125]	T 300
Fine-cut tobacco for the rolling of cigarettes	T 400
Other smoking tobacco	T 500

The definition and categorisation of relevant products used for the excise categorisation ***do not always coincide with those used for the customs classification***. The customs classification is established in the Harmonised System (HS), i.e. the international nomenclature elaborated under the World Customs Organization's (WCO) auspices. In the EU, customs classification is based on the ***Combined Nomenclature (CN),*** which is a special EU-specific subdivision of the HS nomenclature (HS lower subdivision has six digits; CN can further split it into 8-digit codes). The customs classification is more complete than the excise classification as, by definition, it has to cover any possible product that is being traded. In particular, as shown in the synoptic table below (Table D.1.2), HS/CN has dedicated categories for unmanufactured tobacco, smokeless tobacco and e-cigarettes, while these products are not currently covered in the excise classifications. Further discrepancies also exist with product definitions (not displayed in Table D.1.2). For instance, the way cigarillos are defined in the excise legislation does not correspond to their customs definition and this – as emerged in the previous evaluation – can cause legal uncertainties.

The customs classification of tobacco products has been recently revised at the HS level. As shown in Table D.1.2, a ***new nomenclature heading has been added - HS 2404*** - covering certain products that were previously coded as a subheading of the 'Other manufacturing tobacco' heading (HS 2403). This change reflects recent market developments and the introduction of a set of new generation products intended for inhalation (heated tobacco, nicotine-containing liquids for 'vaping'), oral products containing tobacco or nicotine and nicotine-containing products for transdermal application. The precise definitions of the newly introduced categories are still under discussion at the WCO level and will be published in the form of Explanatory Notes to the nomenclature. These changes have not yet been transposed into the CN classification, so are currently not in force, but will be adopted from 1st January 2022.

Another source of product classification and definitions is the ***Tobacco Product Directive (TPD).*** As far as smoking tobacco is concerned, some TPD definitions refer to the excise definitions (e.g. for cigarettes and cigars). In contrast, for other products – including those not covered by Directive 2011/64 – ad hoc definitions are set out (Art. 2 of TPD). The subdivision of products covered by the TPD is shown in the synoptic Table D.1.2 below. Overall, TPD has broader coverage than Directive 2011/64, but it does not cover raw tobacco and tobacco-free oral products (nicotine pouches etc.).

[123] Heated tobacco is not explicitly included, as it was placed on the market after the adoption of the Directive - but according to an extensive interpretation of the Directive, which is also supported by the Commission, some Member States consider it as part of the Other Smoking Tobacco category.
[124] Source: DG TAXUD - System for Exchange of Excise Data (SEED).
[125] Cigarillos are defined in Article 8(1) of Council Directive 2007/74/EC as "cigars of a maximum weight of 3 grams each".

Table D.1.2 – Correspondences between excise, customs and TPD products classification

Customs classification (HS/CN)	Excise classification	TPD definitions
2401 Unmanufactured tobacco, tobacco refuse		
2401 10 Tobacco, not stemmed/stripped		
2401 20 Tobacco, wholly or partly stemmed/stripped		
2401 30 Tobacco refuse		
2402 Cigars, cheroots, cigarillos and cigarettes of tobacco or of tobacco substitutes		**Tobacco for smoking:**
2402 10 Cigars, cheroots and cigarillos, containing tobacco	**Cigars and cigarillos**	• Cigar • Cigarillo
2402 20 Cigarettes, containing tobacco	**Cigarettes**	• Cigarettes
2402 30 Other		• Herbal smoking prod.
2403 Other manufactured tobacco and substitutes; homogenised or reconstituted tobacco; tobacco extracts and essences		
- Smoking tobacco, whether or not containing tobacco substitutes		
2403 11 Water pipe tobacco	**Other smoking tobacco** • Water pipe tobacco	• Water pipe tobacco • Herbal smoking prod.
2403 19 Other	**Fine-cut tobacco** **Other smoking tobacco:** • Pipe tobacco • Heated tobacco*	• Roll-your-own tobacco • Pipe tobacco • Herbal smoking prod.
- **Other** *(NOTE: with the introduction of HS 2404, it will contain only products not classifiable under 2404)*		**Novel tobacco** **Smokeless tobacco prod:** • Chewing tobacco • Nasal tobacco • Tobacco for oral use
2403 91 Homogenised or reconstituted tobacco		
2403 99 Other		
2404 Products containing tobacco, reconstituted tobacco, nicotine, or tobacco or nicotine substitutes, intended for inhalation without combustion; other nicotine containing products intended for the intake of nicotine into the human body**		
- **Products intended for inhalation without combustion**		
2404 11 Containing tobacco or reconstituted tobacco		**Novel tobacco**
2404 12 Other, containing nicotine		**Electronic cigarettes:** • Refill container
2404 19 Other		
- **Other**		
2404 91 For oral application		**Smokeless tobacco prod:**

				• Chewing tobacco • Nasal tobacco • Tobacco for oral use
2404 92 For transdermal application				
2404 99 Other				
8543 7070 Electronic cigarettes *NOTE: To be replaced by the following HS heading:* **8543 40 Electronic cigarettes and similar personal electric vaporising device****				**Electronic cigarettes**
- **Cartridges and refills, filled, for e-cigarettes; preparations for use in cartridges and refills for e-cigarettes:**				**Electronic cigarettes:** • Refill container
3824 99 56 Containing nicotine				
3824 99 57 Other				

Notes: *(*) Heated tobacco is not explicitly mentioned under Directive 2011/64 and the Member States currently have different views on whether it can be considered a harmonised excise good.*
(**) Heading 2404 (and sub-headings) and subheading 8543 40 has been adopted at the HS level but is not yet transposed in the CN classification.

- **PROVISIONS ON EXCISE DUTY RATES AND STRUCTURE**

The Directive provisions regarding excise duty structures and rates can be summarised as follows:

- The EU rules require applying a ***mixed structure*** – i.e. a mix of ad valorem and specific excise duty - to cigarettes, and that the specific component is comprised within a certain range. Such obligation does not apply to products other than cigarettes.
- The ***minimum rates for cigarettes*** consist of two conditions that must be simultaneously fulfilled: a fixed amount in Euro (per thousand sticks); and a percentage of the weighted average price (WAP) of cigarettes in the country considered. The latter condition can be derogated if the overall excise duty (specific plus ad valorem) levied at the WAP level exceeds a certain monetary amount - the so-called 'escape clause'.[126]
- For ***tobacco products other than cigarettes***, the Directive leaves MS more freedom in establishing the applicable structure, which can be fully specific (per kg or per units, where relevant), fully ad valorem, or a mix thereof. Depending on the excise structure chosen, the Directive indicates the applicable minimum rates or amounts. The tax base of fine-cut tobacco and other smoking tobacco is per kg of product, while in the case of cigars and cigarillos the excise duty is typically calculated per 1000 items except for a few countries where it is calculated per weight (or per 'conventional kg').
- Article 8.6 of the Directive allows MS to apply an optional ***minimum excise duty***' (MED), i.e. a sort of excise minimum 'floor'. Nearly all MS opted to apply the MED to cigarettes, but the instrument is interpreted differently across MS, with some countries applying a 'minimum total tax', inclusive of VAT. The option of setting a MED is available also for products other than cigarettes, but is less frequently used there, because these products are often taxed with a fully specific structure.

[126] Based on the terminology used in the Impact Assessment underpinning the Directive (SEC (2008) 2266).

Table D.1.3 – Overview of the excise duty rates and structures applicable under Directive 2011/64

Product category	Tax structures and rates
Cigarettes	• Mandatory mixed structure including both an ad valorem excise duty and a specific excise duty. The specific component has to respect the following thresholds: ○ Upper threshold: 76.5% of the total tax burden (i.e. the sum of the specific component and the ad valorem component and VAT levied at the WAP level). ○ Lower threshold: 5% (until the end of 2013) and 7.5% (since Jan. 2014) • Minimum rates for the overall excise duty (not including VAT), as described below: ○ Until the end of 2013: 57% of the WAP and not less than EUR 64 per 1000 cigarettes (irrespective of the WAP), or EUR 101 per 1000 cigarettes at the WAP level. ○ Since 1st January 2014: 60% of the WAP and not less than EUR 90 per 1000 cigarettes (irrespective of the WAP), or EUR 115 per 1000 cigarettes at the WAP level. ○ Certain MS – namely BG, EE, EL, LT, LV, HU, PL, RO and HR – were granted a transitional period until the end of 2017 to reach the above minimum levels. • A minimum excise duty (MED) may apply (i.e. a fixed monetary amount per quantity applicable if the amount of the excise duty falls below a minimum floor), provided the 'mixed structure' requirement is respected.
Fine-cut smoking tobacco	• MS may opt for a fully specific (per kg) or a fully ad valorem excise duty (calculated on the maximum retail selling price of each product), or a mixture of the two. • The overall excise duty (not including VAT) must be no less than: ○ 40% of WAP or EUR 40 per kg (until end of 2012), ○ 43% of WAP or EUR 47 per kg (until end of 2014), ○ 46% of WAP or EUR 54 per kg (until end of 2017), ○ 48% of WAP or EUR 60 per kg (until end of 2019), ○ 50% of WAP or EUR 60 per kg (since 1st January 2020). • If the structure chosen is fully ad valorem or mixed, MS may establish a minimum amount of excise duty.
Cigars and cigarillos	• MS may opt for a fully specific (per kg or number of items) or a fully ad valorem excise duty (calculated on the maximum retail selling price of each product), or a mixture of the two. • The overall excise duty (not including VAT) must be no less than 5% of the retail selling price or EUR 12 per 1000 items or per kg. • If the structure chosen is fully ad valorem or mixed, MS may establish a minimum amount of excise duty.
Other smoking tobacco	• MS may opt for a fully specific (per kg) or a fully ad valorem excise duty (calculated on the maximum retail selling price of each product), or a mixture of the two. • The overall excise duty (not including VAT) must be no less than 20% of the retail selling price or EUR 22 per kg. • If the structure chosen is fully ad valorem or mixed, MS may establish a minimum amount of excise duty.

Note: *Certain special treatments applicable to specific MS or specific regions or territories are not displayed.*

➢ REVIEWS OF THE DIRECTIVE

Since its adoption in 2011, the Directive has undergone two evaluation processes, namely:

- ***2014-2018*** – the first REFIT evaluation of the Directive was carried out by *Ramboll* in 2014 (hereinafter "Ramboll 2014"), which underpinned a Commission Report submitted to the Council at the end of 2015. The specific issues identified underwent an impact analysis carried out by *Economisti Associati* in 2016-17 ("EA 2017"). On this basis, the Commission eventually decided to not submit a proposal to review the Directive, as some of the issues identified in *Ramboll 2014* were no longer relevant while for other aspects (e.g. the taxation of e-cigarettes) there was insufficient evidence of a policy failure to justify an intervention.
- ***2019-2021*** – a second, more comprehensive assessment of the Directive was conducted in 2018-19 by *Economisti Associati* ("EA 2019"). The new evaluation focused on excise structure

and minimum rates applied to smoking tobacco and reviewed again novel products (namely heated tobacco and e-cigarettes) in the light of their progressive market penetration. EA 2019 consisted of two parts, i.e.: (i) a retrospective evaluation of the results achieved and of the policy problems emerged, and (ii) a forward-looking impact analysis of a set of policy options addressing such problems. The retrospective evaluation was published in February 2020, along with a comprehensive Commission Staff Working Document on the evaluation of the Directive[127] ("SWD 2020"). The Commission's Roadmap envisages the presentation of a proposal for the revision of the Directive by the end of 2021. The results of the EA 2019 retrospective evaluation are summarised in Box D.1 below.

Box D.1 – Policy problems according to the previous evaluation (EA 2019)

- ***Disparities in the tax treatment of new products*** across MS, caused by a lack of harmonised regime for e-cigarettes and HTP.
- ***Sizeable cross-border flows*** fuelled by tax differentials between MS, caused by the lack of convergence in tax, hence price levels across MS, as well as disparities of rules on cross-border sales of e-cigarettes.
- ***Tax-induced substitution between products***, caused by the persisting tax differentials between products.
- ***Disparities in the interpretations of MED***, caused by the lack of clarity on the interplay between MED and the 'mixed structure' obligation and uncertainties regarding the legal applicability of a 'minimum total tax' inclusive of VAT.
- ***Illicit trade of tobacco products***, including counterfeit, contraband and 'illicit whites'.
- Insufficient impact of current provisions on ***price levels and affordability*** of tobacco. The issue was primarily caused by the fact that EU minimum rates have lost traction over time.
- ***Undermining of tobacco control*** objectives, caused by the substitution across products, cross-border flows, illicit trade and in general by the availability of cheaper alternatives to duty-paid cigarettes.
- ***Unnecessary burden related to legal and classification uncertainties***, i.e. with: 'smoking tobacco' definition, discrepancies in the customs and excise definitions of cigarillos, disparities in MS approach to novel products, and uncertainties with MED interpretation.
- Lack of stability / predictability in excise duty collection related to ***'forgone revenues'*** caused by illicit trade, cross-border flows, substitution between taxed products ('down trade' between products), and substitution with non-taxed products (products not currently covered by the Directive).

Commission's SWD 2020 highlighted various gaps and weaknesses affecting the implementation of the Directive and the delivery of results, partly due to measures having lost their effectiveness over time, to the market evolution and the emergence of novel products, and to a too-narrow focus and poor synergies with other EU legislation. In this sense, SWD 2020 identified three main challenges to be addressed through a proper revision of the Directive, namely:

1) ***Reconciling the key objectives of the Directive***, i.e. market functioning and public health protection, avoiding that disparities in tax and price levels translate into opportunities for and substantial uncontrolled cross-border traffic of tobacco products.
2) ***The need to upgrade the regulatory framework to tackle new market challenges***, specifically e-cigarettes, heated tobacco products, and new generation products containing nicotine or substitutes, like cannabidiol (CBD).
3) ***The need for a holistic approach to enhance coherence,*** in particular, developing synergies in the policy areas of tobacco control and public health protection, fight against illicit trade, and environmental protection.

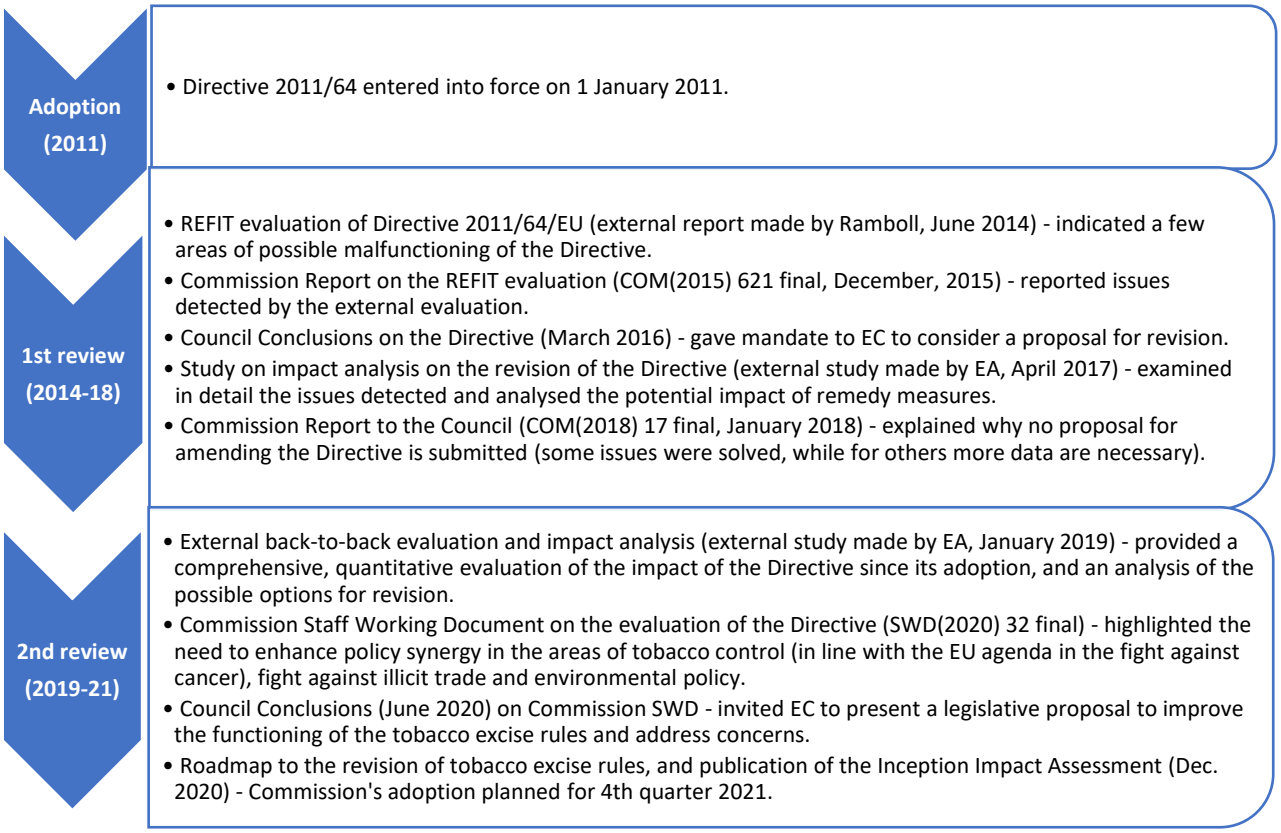
The ensuing ***Council Conclusions*** issued in June 2020[128] ("2020 Conclusions") recognised that the provisions of the Directive partly had lost their effectiveness over time and that it was therefore urgent to upgrade the EU regulatory framework along the lines set out by SWD 2020, since the current situation had generated revenue losses for some MS and there were pressing

[127] SWD(2020) 32 final, COMMISSION STAFF WORKING DOCUMENT – EVALUATION of the Council Directive 2011/64/EU of 21 June 2011 on the structure and rates of excise duty applied to manufactured tobacco.
[128] Council conclusions concerning the structure and rates of excise duty applied to manufactured tobacco 8483/20, FISC 123, Ecofin 455. 2.6.2020.

public health concerns to address. The Council eventually invited the Commission to continue its work aimed at improving the functioning of tobacco excise rules and requested to present a legislative proposal with the objective of resolving the various issues highlighted in the 2020 Conclusions.

In parallel, the Commission is reviewing Article 32 of the Horizontal Directive[129] on cross-border acquisitions of excise goods by private individuals. This process directly calls into question the revision of Directive 2011/64, since excise duty differentials are the main driver of cross-border flows.

Figure D.1.1 – Timeline and milestones of Directive 2011/64/EU evaluation and revision process



The Commission's Roadmap envisaged the presentation of a legislative proposal for the Directive's revision in the fourth quarter of 2021. As a first step, the Commission published an ***Inception Impact Assessment*** in December 2020, which spelt out Commission's initial views on the existing policy problems and the possible solutions to be explored (see Table D.1.4 below).

The IIA 2020 was put out for ***public consultation*** until the 5th of January 2021. An overall 134 feedbacks were gathered, mainly from individual citizens (97), and particularly from e-cigarettes users. For background, a summary of consultation outputs is provided in Box D.2 below. This consultation was carried out before the Study's kick-off and is not formally part of it.

[129] Currently Directive 2008/118/EC; from 13 February 2023 Directive (EU) 2020/262.

Table D.1.4 – Policy problems and options set out in the Commission's Inception Impact Assessment

Policy Problems	Policy Options
1) Relevance of the minima tax rates. The minima have lost their effect as a large number of Member States tax most tobacco products above the minima. Furthermore, the minima's real value has eroded over time, and they no longer have the effect of reducing the smoking prevalence and therefore protecting human health. 2) Convergence of taxes (and prices) for the proper functioning of the internal market. There is a strong economic incentive to purchase tobacco products in the other Member States. This results in the overuse of cross border purchases, which negatively affects the functioning of the internal market, distorts public revenue and undermines the public health policies of the higher taxing Member States. 3) Market developments. The Directive has not kept up with recent market developments and the emergence of new tobacco products (such as e-cigarettes or heated tobacco) which are not explicitly covered by the Directive's scope. 4) Risk of fraud. The significant price differences between the Member States create an economic incentive for some individuals and criminal organisations to engage in fraudulent activities on a significant scale with minimal difficulty and risks. Furthermore, the unsupervised movement of raw tobacco at the EU level increases the risk of illicit production of cigarettes within the EU.	1) Adapt minimum excise duty rates - the review will take into account various aspects impacting excise duty rates with the objective to ensure the proper functioning of the internal market and at the same time a high level of health protection in line with the objective of the Europe's Beating Cancer Plan. 2) Harmonise the taxation of new products - the review will consider the harmonisation of tax regimes for these products (in particular e-cigarettes and heated tobacco products, and next-generation oral products), taking into account the relevant experience gained by the Member States. 3) Strengthen the fight against fraud - the review will consider a harmonised approach to monitor the flows of raw tobacco within and into the EU, to tackle the increase of illicit manufacturing of cigarettes inside the EU. The review will also consider the potential for strengthening enforcement policies and the capacity to fight the intra-EU illicit production, based notably on experiences at European and national levels.

Box D.2 – Summary of the consultation on the Inception Impact Assessment for the Revision of Directive 2011/64

The consultation concerning the proposal for a Council Directive amending Directive 64/2011 was launched on 8 December 2020, closed on 5 January 2021, and obtained 134 responses. Overall, the feedbacks largely concentrated on a handful of aspects, among which, in the first place, there is the option of including new products (and particularly e-cigarettes) in the scope of the Directive. In fact, the ***overwhelming majority of responses came from EU citizens*** (97, i.e. over 70% of the total) concerned with the possibility that e-cigarettes and, more generally, tobacco substitutes, could become excisable. Respondents reported their positive experience with e-cigarettes as a means to stop smoking traditional cigarettes, and either expressed their opposition to include e-cigarettes in the scope of the Directive, or, at most, suggested taxing liquids based on the nicotine content.

Another ***15 responses were provided by consumer organizations and NGOs*** active in the field of health protection and promotion. Out of them, roughly half argued for stricter rules regarding tobacco excises, seen as the most cost-effective smoke reduction policy. This included, in particular, (i) an increase of minima and/or the push for an upward convergence of tobacco taxation across countries (7 respondents); (ii) the reduction of the tax gap between cigarettes and other tobacco products (e.g. roll-your-own and make-your-own cigarettes, cigarillos, etc.) (6 respondents); (iii) the inclusion of new products (e-cigarettes, heat-no-burn products) in the scope of the Directive (6 respondents); (iv) the introduction of a definition of raw tobacco and intermediate products, to curb diversion to illicit manufacturing (5 respondents). Other organizations, mostly representing e-cigarettes users, expressed concerns regarding the possible taxation of e-cigarettes, which could discourage smokers from switching from more harmful conventional cigarettes.

Finally, feedbacks were also provided by ***21 companies and business associations***. Also in this case, respondents include a group of ten companies and business associations active in the e-cigarette sector, strongly advocating against the inclusion of this product in the remit of the Directive. The remaining respondents include economic operators and associations operating in different segments of the tobacco sector, ranging from manufacturing of different tobacco products (water pipe tobacco, fine-cut tobacco, cigars, cigarettes) to retail (e.g. French Tobacco sellers confederation). The feedback provided by these respondents covered the following aspects:

- Six respondents expressed disagreement on a possible increase of EU minima, or, at any rate, on any convergence of tax levels between tobacco products, rather suggesting that the Member States should be left with the flexibility to adapt to local conditions (e.g. purchasing power).
- Much in the same vein, three respondents argued against reducing the differential between the taxation of cigarettes and other tobacco products (particularly FCT and cigars, cigarillos and similar products). On the other hand, one respondent would be in favour of closing the gap between these products.
- Eight respondents provided their feedback on the option to include raw tobacco or tobacco inputs in the scope of the Directive. Of them, six argued against this option, suggesting instead the adoption of alternative policy options, notably the introduction of a 'put up for retail' clause by which any tobacco made available to the consumer must be treated as smoking tobacco and therefore subject to excise duties, regardless of its physical characteristics or ingredients. Another couple of respondents, both from Poland, suggested instead to follow the approach already adopted there, i.e. extending excisability (and thus EMCS tracking) to raw tobacco as well.
- Three respondents replied in favour of including novel products in the scope of the Directive, albeit differentiating them based on their tobacco content, and initially fixing the minimum excise rate at 0, to allow for a transition period.
- Finally, two associations active in the water pipe tobacco sector called for an increased consideration of the product's features (namely its tobacco content) and of its consumption (eminently social, and highly culturally specific) in its taxation.

D.1.2 General excise duty arrangements

- **HORIZONTAL DIRECTIVE RECAST**

The EU general excise duty arrangement are regulated by ***Directive 2008/118/EC***[130] - also known as the 'Horizontal Directive' - which has been recast under ***Directive 2020/262***[131], expected to enter into force in 2023. The Horizontal Directive lays down the general provisions applicable to harmonised excise goods. Among other things, the Horizontal Directive establishes:

- harmonised concepts and definitions for a common understanding of the legal and administrative framework throughout the EU (e.g. 'authorised warehouse keeper', 'duty-suspension arrangement', 'registered consignor / consignee' etc.);
- rules for production, processing, and holding of excise goods, and the responsibilities of the subjects involved;
- rules for the movements of excise goods under suspension of excise duty, describing procedures and roles of registered consignors and consignees. Moreover, it introduced a computerised system (the EMCS described below) designed to automate the control over movements under excise duty suspension;
- rules for the movements and taxation of excise goods after their release for consumption, including cross-country movement of products purchased by private individuals for own use and distance sales. The Horizontal Directive also set down criteria and guide levels that MS can apply to ascertain the intended 'private use' of excise goods moved across the borders.[132]

The recast of the Horizontal Directive not only consolidated various legal amendments made in the past, but also introduced new features that are worth briefly recapitulating:

- The recast Directive amends the rules for the movement of duty-paid products. Previously, the EMCS system (see below) could not be used for goods for which the excise duties were paid in the Member States of dispatch. The movement of duty-paid goods was supported by a paper document (Simplified administrative accompanying document - SAAD), which authorities at destination would check to confirm that the goods had indeed arrived,

[130] "Council Directive 2008/118/EC of 16 December 2008 concerning the general arrangements for excise duty and repealing Directive 92/12/EEC", Official Journal of the European Union L 9/12, 14.1.2009.
[131] Council Directive (EU) 2020/262 of 19 December 2019 laying down the general arrangements for excise duty (recast).
[132] According to the Horizontal Directive, MS should take into account at least: (a) the commercial status of the holder of the excise goods and his reasons for holding them; (b) the place where the excise goods are located or, if appropriate, the mode of transport used; (c) any document relating to the excise goods; (d) the nature of the excise goods; and (e) the quantity of the excise goods (MS cannot set guide levels below certain quantities indicated in the Directive).

eventually allowing the consignor to obtain an excise refund in the country of dispatch. The new amendments impose ***to move duty-paid goods through EMCS***, introducing the figures of 'certified consignee' (receiver) and 'certified consignor' (sender). The new procedure entails, in particular, that: (a) before shipment, the certified consignee sets a guarantee for the excise duties applicable upon the arrival of goods; (b) the certified consignor submits a notification via EMCS ('electronic simplified administrative document': e-SAD), which can be verified and closed electronically, as for transportation under suspension of excise duties. Occasional traders (like small businesses) may obtain a temporary certification for a specific shipment.

- Other amendments regard a closer ***integration of excise and customs procedures***. In case of imported goods to be subsequently moved under duty suspension, the declarant will have to specify in the customs declaration the excise authorisation number of both consignor and consignee and, possibly, demonstrate that the imported goods are intended to be dispatched in a Member State other than the country of importation. Then, it will become mandatory to indicate in the export declaration the Administrative Reference Code of goods moved under suspension of duty. Finally, the recast Directive establishes alternative proofs of exit, for the export of excise goods where no standard confirmation is released by the customs authorities.
- The recast Directive also contains harmonised rules regarding natural losses due to the nature of goods that occur during the movement between the Member States. The new Directive allows the Commission to set the thresholds for ***partial (transportation) losses*** for which no excise duties are due.
- Finally, the new rules revise the use of the ***external transit procedure*** under duty suspension for excise goods leaving the EU, where basically the excise movement, which exists in parallel with the export one, ends when the external transit movement starts. In this case, an excise guarantee covers the stage in which goods are placed under export and then a customs guarantee covers external transit until the physical exit from the Union territory.

➢ THE EXCISE MOVEMENT AND CONTROL SYSTEM

One of the key tools for the administration and control of the intra-EU movement of excise goods is the ***Excise Movements and Control System (EMCS)***, which is a mandatory computerised system used to trace and transmit information regarding transports of excise goods under duty suspension. Under the EMCS, every stage of delivery, from the consignor to the consignee, is monitored in real-time, through an electronic Administrative Document (e-AD) that is forwarded to the competent authorities of the countries involved for validation. By creating a paperless administration, the system also standardised and simplified procedures for traders, and accelerated the release of guarantees when goods arrive at their destination. It has been estimated that the introduction of the EMCS has resulted in administrative savings for MS of between EUR 27.5 and 37 million in 2014 alone.[133] Since 2012, EMCS incorporates the recording of control actions, the reporting of events that occurred during movements, and the exchange of information for facilitating administrative cooperation between the MS.

The legal ***Decision*** underpinning EMCS has been amended several times since its first adoption in 2003 so, in the interest of clarity, it has been recast in 2020[134], in parallel with the Horizontal Directive recast. Operational rules are laid down in various ***implementing acts***, primarily Commission Regulation (EC) No 684/2009 and its numerous amendments.[135]

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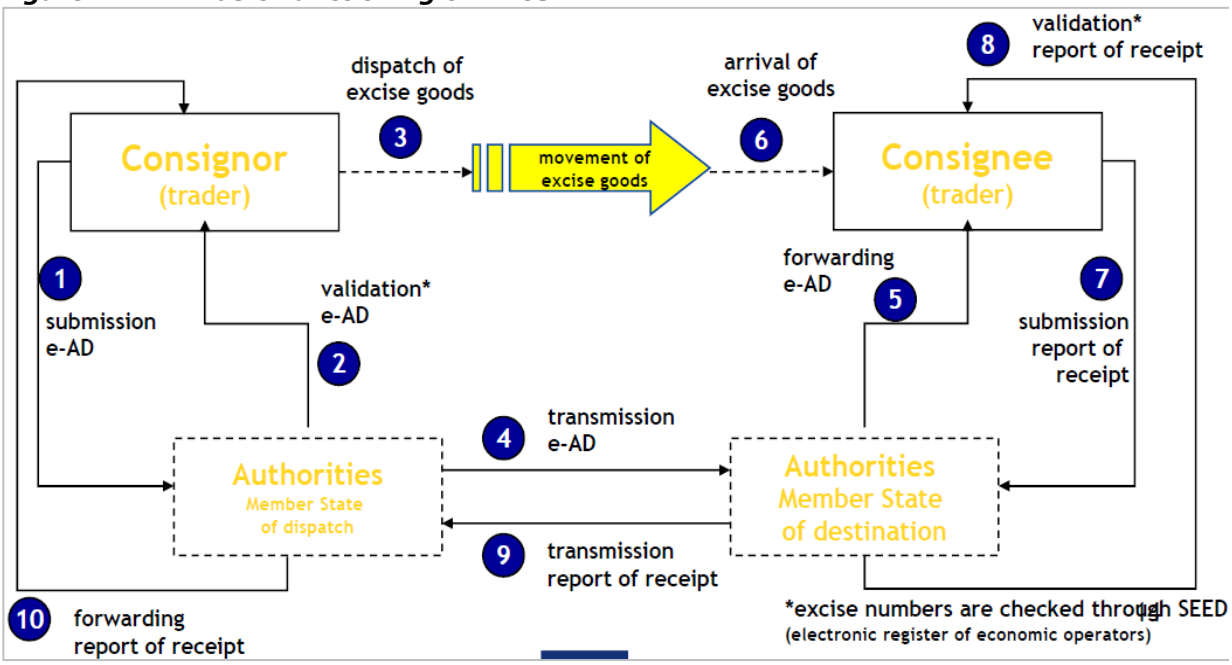
[133] Ramboll, "Evaluation of current arrangements for the holding and moving of excise goods under excise duty suspension", 2015.

[134] Decision (EU) 2020/263 of 15 January 2020 on computerising the movement and surveillance of excise goods (recast).

[135] Commission Regulation (EC) No 684/2009 of 24 July 2009 implementing Council Directive 2008/118/EC as regards the computerised procedures for the movement of excise goods under suspension of excise duty. Amended by:
Commission Implementing Regulation (EU) No 1221/2012 Of 12 December 2012,
Commission Regulation (EU) No 519/2013 Of 21 February 2013,
Commission Implementing Regulation (EU) No 76/2014 Of 28 January 2014,
Commission Implementing Regulation (EU) 2016/379 Of 11 March 2016,

Art. 41 of the recast Directive establishes ***simplified procedures*** – i.e. a derogation from the obligation to use the EMCS for the movement of duty-paid goods that occur between the territories of two or more MS.

Figure D.1.2 – Basic Functioning of EMCS



***Source**: DG TAXUD presentation 'Indirect taxes other than VAT'.*
***Legend:** e-AD= electronic Administrative Document; SEED= System of Exchange of Excise Data*

- **THE REVISION OF ARTICLE 32 OF THE HORIZONTAL DIRECTIVE**

The review of Article 32 of the Horizontal Directive has partly followed a separate track. Article 32 regards the ***cross-border acquisition of excise goods by private individuals.*** It derogates from the general rule that excise duties are levied in the place of consumption, establishing that excise goods acquired and moved across MS by a private individual for his own use are subject to the excise duties of the country in which goods were acquired and not of the country where goods are consumed. Article 32 sets out 'minimum guide levels', i.e. quantitative amounts that national authorities can refer to when determining if the goods transported by a private individual complies with the principle of individual's own use. In the case of tobacco products, minimum guide levels are: 800 cigarettes, 400 cigarillos, 200 cigars, and 1 kg of smoking tobacco.

The evaluation of Directive 2008/118/EC carried out in 2017 and a subsequent specific assessment of Article 32 ("PwC 2020")[136] raised a series of issues with these provisions, due to the strong economic incentives that exist for 'ant-smuggling' of excise goods from cheaper countries to more expensive ones and the related enforcement difficulties. The Commission has therefore initiated a ***procedure on a possible review of Article 32***. According to the Inception Impact Assessment published in December 2020[137], there are four policy problems to address:

Commission Implementing Regulation (EU) 2018/503 Of 7 March 2018,
Commission Implementing Regulation (EU) 2018/550 Of 6 April 2018,
Commission Implementing Regulation (EU) 2019/2222 Of 12 December 2019,
Commission Implementing Regulation (EU) 2020/1811 Of 1 December 2020.

[136] PricewaterhouseCoopers LLP, Study assessing articles 32 and 36 of Council Directive 2008/118/EC concerning the general arrangements for excise duty, 2020.

[137] Source: https://eur-lex.europa.eu/legal-content/EN/ALL/?uri=PI_COM:Ares(2020)7440869

- Issues with the ***effectiveness of the guide levels*** – unclear rationale behind current levels, and absence of a timeframe of reference - and with the interpretation of the concept of ***'own use'***.
- Distortions to ***public revenue*** - as consumers are encouraged to purchase goods in MS with lower tax rates.
- ***Public health adverse effects*** - as cross-border shopping allows to circumvent MS tax policies aimed at reducing consumption.
- ***Risk of fraud*** – as the economic incentives connected to cross-border shopping may attract organised crime.

As discussed in Section 4.2.3, the issue of cross-border flows of tobacco products calls into question tax rates - hence prices - differential across MS and the extent of ***convergence achieved by the EU minimum rates***. In this sense, Directive 2011/64 provisions can have a direct impact on the economic incentives underlying the abuse of Article 32.

The policy options for the change under consideration include: a change in guide levels, the revision of rules concerning the concept of own use by private individuals, and introducing the possibility for MS to derogate guide levels to address the disproportionate negative effects of cross-border shopping.[138]

D.1.3 Tobacco control policy

- **THE TOBACCO PRODUCTS DIRECTIVE**

The mainstay of EU legislation on tobacco control is Directive 2014/40, also known as the ***Tobacco Products Directive*** ("TPD").[139] The current TPD is the successor of the previous Directive 2001/37/EC that for the first time approximated MS laws and administrative provisions concerning the manufacture, presentation and sale of tobacco products, with a view to ensure a minimum and homogeneous level of consumer protection across the EU. As discussed, the scope of the TPD is broader than that of Directive 2011/64, as it covers also smokeless products, novel tobacco products (i.e. heated tobacco), and electronic cigarettes. The main TPD provisions can be summarised as follows:

- Larger and mandatory pictorial health warnings, covering 65% of the front and the back of cigarettes and roll-your-own tobacco packs.
- Outright ban on vanilla or candy flavours, and four-year phasing-out ban on cigarettes and RYO tobacco with menthol.
- Replacement of tar, nicotine and carbon monoxide, labelling with an information message that informs consumers that 'Tobacco smoke contains over 70 substances known to cause cancer".
- A ban on promotional or misleading packets, as well as on packets containing less than 20 cigarettes.
- Mandatory electronic reporting on the ingredients contained in tobacco products and e-cigarettes and their effects on health and addiction through a standardised electronic format.
- Safety and quality requirements for e-cigarettes including maximum nicotine concentrations and volumes for cartridges, tanks and nicotine liquid containers.
- Packaging and labelling rules for e-cigarettes warning consumers that e-cigarettes contain nicotine and should not be used by non-smokers. Cross-border advertising and promotion of e-cigarettes have also been prohibited.
- Monitoring and reporting requirements, including a notification requirement for manufacturers on sales volumes, consumer preferences and trends and on the Member States on addictive effects, especially in young people and non-smokers.

[138] Source: IIA on the revision of Article 32 of Directive 2008/118/EC.
[139] "Directive 2014/40/EU of the European Parliament and of the Council of 3 April 2014 on the approximation of the laws, regulations and administrative provisions of Member States concerning the manufacture, presentation and sale of tobacco and related products and repealing Directive 2001/37/EC", Official Journal of the European Union L 127/1, 29.4.2014.

- The possibility for Member State to ban cross-border distance sales, as well as the possibility to ask for age verification.
- Measures to combat the illicit trade of tobacco products including systems of traceability and security features for tobacco products.

The TPD was transposed and become fully operational in May 2016, except for the ***systems of traceability and security features for tobacco products***, which became operational on 20 May 2019. As reported by DG SANTE, the first year of operation of the traceability system was characterised by a steep learning curve for all stakeholders involved in the system, due *inter alia* to some technical errors.[140] As of 19 May 2020, the initial stock exhaustion period ended, and non-traceable cigarettes and roll-your-own tobacco products are no longer allowed in free circulation.

While implementation upstream of the value chain in manufacturing facilities has proven relatively smooth and the system can be reasonably deemed to capture the entire EU market, more difficulties with reporting and data input have been experienced with logistics and distribution further down the value chain, and practices among market operators have not been fully normalised yet in all Member States. The limitations that the COVID-19 epidemics has posed on on-site inspections and the limited familiarity with analysis of big data in many enforcement agencies have hindered the exploitation of the system for immediate enforcement purposes, but data analysis for market intelligence has already started.

To comply with the notification obligations foreseen in the TPD, the Commission has made available an IT tool, i.e. the ***EU Common Entry Gate*** (EU-CEG). EU-CEG was designed for facilitating the compilation of the information required for e-cigarettes and refill containers under Implementing Decision 2015/2183[141], as well as for provision of information on other tobacco products under Implementing Decision 2015/2186.[142] As such it is also used in some MS to provide information on other products, such as: specific information on novel tobacco products, herbal smoking products, and nicotine-free e-cigarettes. The EU-CEG constitutes a major information source on the type of e-cigarette products put on the market in the EU, however, as sales data are not disclosed, it does not allow a precise analysis of market and demand structure, i.e. market shares of different products, by brand, nicotine strength, flavour etc.

Under Article 28, the Commission is tasked with reporting on the application of the TPD and on the results achieved. The first such report[143] was submitted by the Commission in May 2021 In this process, the Commission was supported by external studies and scientific and technical experts' reports. This included, in particular an ***external support study on assessing the TPD*** also published in May 2021[144], and a study on ***consumer preferences and perceptions*** of specific categories of tobacco, finalised at the end of 2020.[145] The latter study reviews the latest market developments, trend consumer perceptions and the likely health, social and, whenever possible, economic impacts of a number of niche products whose consumption has notably been increasing across the EU over the last few years, until mainstreaming into mass consumption at least in some Member States and age groups, thereby representing a public health concern. These products include water pipe tobacco, slim cigarettes, small cigarillos, novel tobacco products and e-cigarettes.

[140] Source: https://ec.europa.eu/health/sites/health/files/tobacco/docs/20200615_tt_news_en.pdf
[141] Commission Implementing Decision (EU) 2015/2183 establishing a common format for the notification of electronic cigarettes and refill containers.
[142] Commission Implementing Decision (EU) 2015/2186 establishing a format for the submission and making available of information on tobacco products.
[143] Report from The Commission to the European Parliament, the Council, The European Economic and Social Committee and the Committee of the Regions on the application of Directive 2014/40/EU concerning the manufacture, presentation and sale of tobacco and related products. COM(2021) 249 final. Brussels, 20.5.2021.
https://op.europa.eu/en/publication-detail/-/publication/51a5e2f2-b945-11eb-8aca-01aa75ed71a1/language-en/format-PDF/source-search
[144] ICF S.A , RAND Europe, "Support study to the report on the application of Directive 2014/40/EU", Final report for DG SANTE, May 2021. https://op.europa.eu/en/publication-detail/-/publication/9ce15083-b931-11eb-8aca-01aa75ed71a1/language-en
[145] LSE, Open Initiative, BDI Research, ICO, "Consumer preference and perception of specific categories of tobacco and related products", Report for CHAFEA.

The Commission Report on the Application of the Directive concluded that the TPD has enhanced tobacco control so that the overall objective of reducing EU smoking prevalence by 2% in the period considered has been achieved. A reduction in smoking prevalence among the youth can also be recorded. However, the uptake of emerging products, especially e-cigarettes, is growing among young people and this remains of great concern. Weak enforcement at the national level and insufficient consideration of market developments particularly as far as novel products are concerned, are highlighted are areas worth improving in the next few years together with a number of specific issues proposed for further examination[146].

The Commission is also actively investigating the public health effects of emerging products, including those of e-cigarettes and is committed to widen the related knowledge basis. To this aim, also in accordance with Article 28 that emphasises the special attention to be paid to e-cigarettes, the Commission has recently commissioned a ***scientific opinion on electronic cigarettes*** to the Scientific Committee on Health, Environmental and Emerging Risks (SCHEER). The main purpose of SCHEER's opinion is to assist the Commission in assessing the risk connected to e-cigarettes based on scientific and technical literature, and respond to fundamental policy questions, which are also relevant for risk-oriented tax measures. The final opinion - adopted in April 2021[147] - found a moderate to strong risk of adverse health effects for heavy users of e-cigarettes, adding that more research and data are needed to estimate long-term effects, as these products are relatively new. SCHEER also concluded that there is strong evidence that e-cigarettes play a role in the initiation of smoking, especially for young people, and that, conversely, the evidence that they can help smokers to quit is weak.

- **EUROPE'S BEATING CANCER PLAN AND OTHER EU POLICIES**

EU effort in support of tobacco control objectives includes also various recommendations in areas of MS direct responsibility, such as a recommendation on ***smoke-free environments*** that was aimed at generalising this kind of bans across the EU. Then, various ***campaigns*** were sponsored to prevent smoking initiation, to raise awareness about the dangers of smoking and the benefits of cessation (i.e. the 'Ex-smokers are unstoppable' campaign etc.) and to promote smoking cessation services.

In perspective, EU efforts in this area will consolidate in the overall ***Europe's Beating Cancer Plan***, which is among the top priorities of the Commission on the health domain.[148] The plan, released in February 2021[149], comprises a number of flagship initiatives both legislative and non-legislative to support, coordinate or supplement Member States' efforts in all key stages of the disease. The areas covered by the plan range from prevention, early diagnosis and treatment, survivorship and palliative care, through to knowledge, data gathering and research. Europe's Beating Cancer plan is also closely linked with the mission on cancer in the EU's next (2021-2027) program for research and innovation, and build on a reinforced Commission 'health in all policies' cross-sectoral approach, which also includes tobacco taxation.

[146] Namely: 1) the need to streamline the legislative framework, adapt certain definitions and look into the possibility of carrying out EU level audits allowing for a more accurate overview of Member States' implementation and enforcement activities; 2) the need to further strengthen provisions on, or, even ban altogether, cross-border distance sales of tobacco and related products; 3) an overall need to have more regulatory flexibility in place to address rapid product developments, especially with regard to novel tobacco and emerging products; 4) the need to address specific regulatory challenges related to HTPs, including health warnings, use of flavors and interaction with other devices; 5) the need to develop further the regulatory framework on e-cigarettes, including tank size or labelling requirements; use of flavors; use of nicotine-free liquids; and related advertising provisions; 6) the need to review legislation on cannabis extracts or synthetic CBD in e-liquids; waterpipe tobacco, slim cigarettes and other product categories; 7) the need to have a clearer definition of the current criteria for 'substantial change of circumstances'; and finally 8) to explore the possibility that tobacco control measures are fully financed by means of fees and to find ways to increase tobacco manufacturers' liability.

[147] See: https://ec.europa.eu/health/sites/default/files/scientific_committees/scheer/docs/scheer_o_017.pdf

[148] Source: https://ec.europa.eu/commission/commissioners/sites/comm-cwt2019/files/commissioner_mission_letters/mission-letter-stella-kyriakides_en.pdf

[149] EU Communication *Europe's Beating Cancer Plan* {SWD(2021) 13 final}, released on 3 Feb 2021.

The plan calls for achieving a tobacco-free Europe that could contribute to avoid 27% of all current cancers. The Europe's Beating Cancer Plan aims to put forward actions from 2021 particularly targeted at the young to help create a 'Tobacco-Free Generation' where less than 5% of the population uses tobacco by 2040, compared to around 25% today. However, as the habit of smoking is still entrenched in the current adult generations, the interim shorter-term goal is to reach the current WHO target of a 30% relative reduction in tobacco use by 2025 as compared to 2010, corresponding to a smoking prevalence of around 20% in the EU.

- **INTERNATIONAL OBLIGATIONS: THE FCTC**

At the international level, the EU is engaged in a ***global effort to reduce the consumption of tobacco*** in the context of the WHO-promoted Framework Convention on Tobacco Control (FCTC).[150] The FCTC was adopted in May 2003 and is the first-ever international treaty on public health developed in response to the globalisation of tobacco consumption. The FCTC is articulated along with several articles with different levels of detail as to the concrete provisions for their implementation. Various non-binding guidelines have also been adopted (by consensus) to assist the Parties in meeting their implementation obligations under the FCTC, covering both demand reduction provisions (such as price and tax measures, protection from exposure to tobacco smoke, content and disclosure of tobacco products, packaging and labelling, education and communication, advertising, promotion and sponsorship) and supplying reduction provisions (such as illicit trade, sales to and by minors and support for economically viable alternative activities). The scope of FCTC-related discussions includes 'electronic nicotine and non-nicotine delivery systems' (EN&NNDS)

At its eighth session, the COP adopted the "Global Strategy to Accelerate Tobacco Control: Advancing Sustainable Development through the implementation of the WHO FCTC 2019–2025" which is intended to guide the implementation of the WHO FCTC in the near future, including related ***monitoring indicators***. The strategy also foresees the creation, by 2020, of a peer-led WHO FCTC ***Implementation Review Mechanism (IRM)*** that should facilitate addressing gaps and challenges of the individual Parties, and share lessons learnt worldwide, thereby contributing to the implementation of the Strategy and the Convention as a whole.

D.1.4 Fight against illicit trade

- **EU STRATEGY AND EFFORTS**

The Commission's overall approach to illicit trade of tobacco is laid down in the comprehensive ***Strategy to step up the fight against the illicit tobacco trade*** *("*ITTP Strategy*")*[151] and related ***action plan,*** which set out 50 specific measures to be implemented by the Commission and/or the Member States.[152] The intervention areas of the strategy are varied, and include:

- strengthening of enforcement authorities and inter-agency cooperation (OLAF, EUROPOL, FRONTEX, technical assistance facilities like the Hercule III programme etc.);
- specific law enforcement and intelligence actions (OLAF seizures operations, Joint Customs Operations, anti-fraud agreements with major tobacco manufacturers, customs laboratories support, data gathering etc.);
- enhanced bilateral cooperation with major source and transit countries; and
- other various supporting policy measures.

[150] See: http://www.who.int/fctc/en/
[151] COM(2013) 324 final.
[152] The first Action Plan was adopted in 2013 along with the overall strategy (SWD(2013) 193 final of 6 June 2013). After the implementation review carried out in 2017 (COM(2017) 235 final) a second, revised Action Plan was adopted, to cover the period 2018-2022 (COM(2018) 846 final). Before the adoption of the Strategy in 2013, an Action Plan was in place to fight the smuggling of cigarettes and alcohol along the EU's eastern border (SEC(2011) 791 final of 24 June 2011).

According to the Report on the implementation of the ITTP Strategy published in May 2017[153], the measures taken in the first 4-year period had limited impact on the challenge posed by illicit tobacco trade in the EU. This was partly due to the fact that the various important measures - like the abovementioned systems of traceability and security features for tobacco products – considering the ever-changing patterns and channels of illicit activities, require a continuous update. In particular, the Report took note of the rising threat of the so-called ***illicit whites***[154] cigarettes smuggled through the eastern EU border. It also mentioned an upsurge in ***illicit tobacco manufacturing inside the EU***. This trend is consistent with the more recent findings of Europol's ***Analysis Project 'Smoke'*** based on evidence from law enforcement raids and intelligence reports.

The new Action Plan (2018-2022) adopted in 2018 by the Commission in support of the ITTP builds – like its predecessor –on a mix of legislative measures, law enforcement, and cooperation at the EU and international level. The main policy reference remains the FCTC Protocol on illicit trade (see below), while in operational terms the key tool is the new EU traceability system. In addition, the revised Action Plan places a reinforced emphasis on the following aspects:

- ***cooperation with source and transit countries*** of the illicit tobacco trade routes, by means of bilateral agreements as well as in the context of the FCTC Protocol on illicit trade;
- addressing the ***supply of precursor materials*** for the illicit manufacturing of tobacco products (i.e. raw tobacco, cigarette filters, equipment, machinery etc.);
- addressing the ***demand for illicit products***, raising consumers awareness through dedicated communication actions;
- enhancing ***intelligence and data analysis***, for a more accurate measuring of the problem and the drafting of evidence-based policies.

With regards to the measures specifically touching upon the excise duty rules and arrangements, the Action Plan includes four items, as reported in Table D.1.5 below.

Table D.1.5 – Action Plan on Illicit Tobacco Trade: measures concerning excise categories, rates and arrangements

Title	Description	Action	Timeline	Responsible
Rates and structures applied to manufactured tobacco	Review the minimum rates applicable under Directive 2011/64/EU regarding the structure and rates of excise duty applied to manufactured tobacco, on the basis of the conclusions of the Commission's Report of 12 January 2018 (COM(2018)017)	Report on progress in reviewing minimum rates	2020	Commission
Movements of raw and cut tobacco	Develop operational tools to better monitor and control cross-border movements of raw and cut tobacco within and into the EU, including by organising a technical workshop to analyse relevant national systems	Measures are taken to monitor movements of raw and cut tobacco	2021	Commission Member States

[153] Progress report on the implementation of the Commission Communication "Stepping up the fight against cigarette smuggling and other forms of illicit trade in tobacco products - a comprehensive EU strategy (Com (2013) 324 final of 6.6.2013)", COM(2017) 235 final. The salient conclusions of the Report were taken up in the Council Conclusions *on stepping up the fight against illegally traded tobacco products in the EU*, issued in December 2017.

[154] Also known as 'cheap whites', these are cigarettes brands manufactured legitimately in one market, either taxed for local consumption or untaxed for export, and sold knowingly to traders who transport them to another country where the products are sold illegally without domestic duty paid. (Answers to the European parliament provided by former DG TAXUD Commissioner, Mr Igirdas Semeta, in 2011). According to INTERPOL, illicit whites are known to be manufactured in Belarus, Vietnam, Indonesia, Philippines, India, Cambodia, Paraguay, Ukraine, Russia, UAE, Kenya and a number of Free Trade Zones (FTZs).

Title	Description	Action	Timeline	Responsible
Excise Movement Control System	Extend the Excise Movement Control System (EMCS) created by Directive 2008/118 to business-to-business duty paid traffic so as to improve the monitoring of movements, based on the Commission's proposal of 25 May 2018 for a revision of that Directive	Adoption	2022	European Parliament Council
Approximation of excise duties by third countries	Negotiate new commitments with key candidate countries and potential candidates, and other relevant countries in the European neighbourhood to approximate their excise rates with the applicable EU levels	Commitments to be obtained	Continuous	Commission EEAS

Source: *COM(2018) 846 final – Annex 1*

- **THE FCTC PROTOCOL ON ILLICIT TRADE**

The fight against illicit trade is also a pillar of the FCTC, which has adopted in 2013 a specific ***Protocol to Eliminate Illicit Trade in Tobacco Products***. The Protocol entered into force in September 2018 and currently counts 62 Parties globally, including 17 EU Member States, which took a leading role during the negotiation of the Protocol.[155]

The first Meeting of the Parties to the Protocol ("MOP1"), held in October 2018, established working groups on the tracking and tracing system and on assistance and cooperation across countries. The second Meeting of the Parties was initially scheduled for the end of 2020, but it was postponed to November 2021 due to the limitations of the COVID19 pandemic.

The Protocol aims at eliminating any form of illicit trade in tobacco products. Among other things, the Protocol requires the Parties to establish ***tracking and tracing systems and a global information sharing focal point*** (Art. 8 of the Protocol, with a view to secure the supply chain of tobacco products). Additionally, the Protocol prescribes a series of measures to be adopted by governments including e.g. licensing of operators, record-keeping requirements, regulation of online sales, prosecution measures, international cooperation (information sharing, law enforcement cooperation, administrative cooperation), control of the raw tobacco supply chain etc.

D.2 Problem analysis

D.2.1 Overview

- **PROBLEM TREE**

Figure D.2.1 below illustrates, in the form of a problem tree diagram, the policy problems considered relevant for the Study and their connection with the overarching objectives of the Directive. The diagram consists of four elements:

- the ***ultimate goals*** of the Directive (also described in detail in Section D.1 above) – as the diagram shows, the ultimate goals are also supported by other EU policies and measures;
- the ***specific objectives*** that are the target of the policy measures laid down in the Directive;
- the ***policy problems*** identified, which interfere with the policy objectives, thus affecting the achievement of ultimate objectives; and

[155] See: http://www.who.int/fctc/protocol/about/en/

- the ***underlying causes*** of policy problems, which are the concrete aspects that the review of the Directive should address.

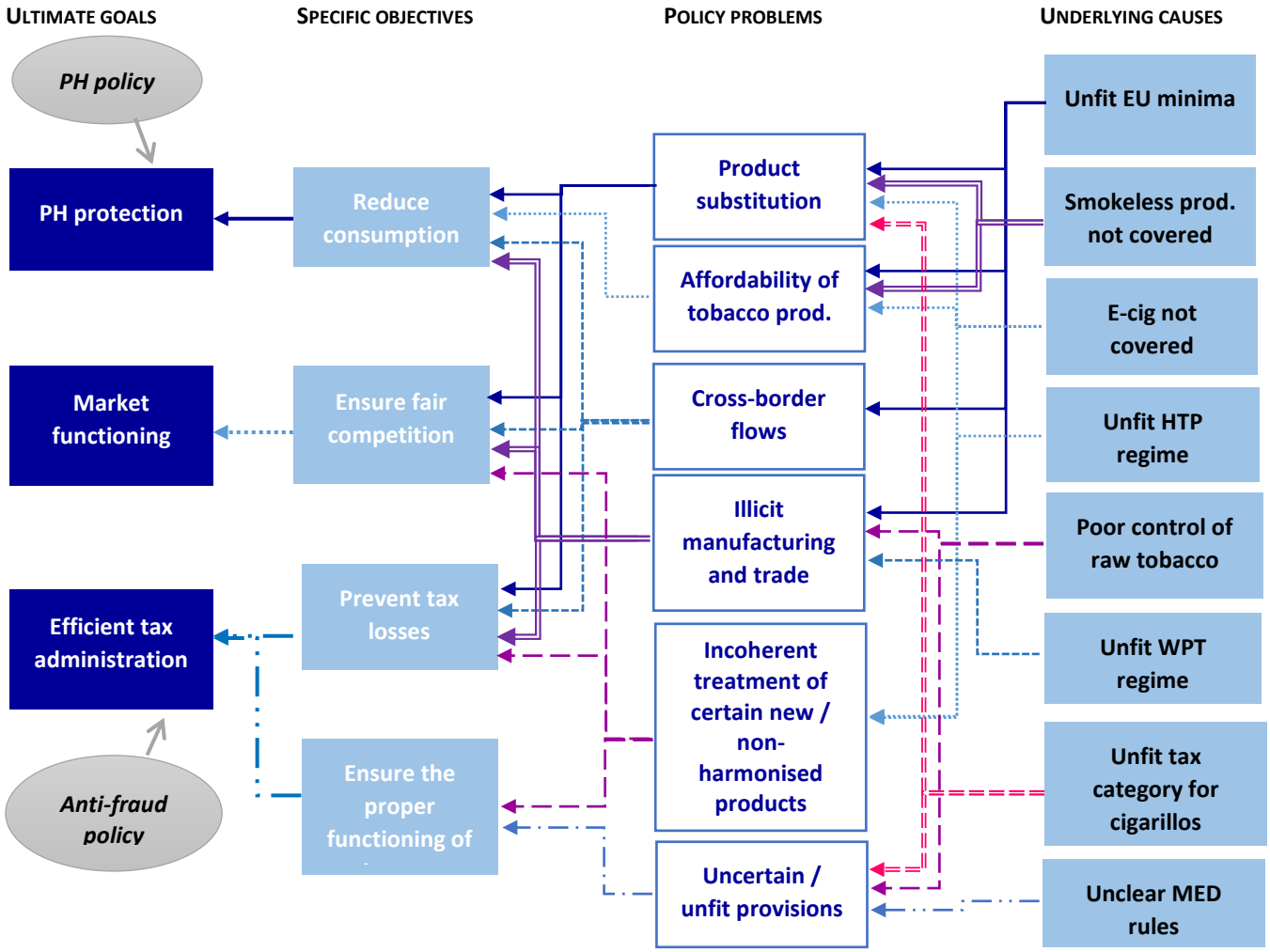
As the diagram shows, interrelations between elements of the problem tree are seldom linear. In many cases multiple causes are behind a single problem – e.g. product substitution can be caused by both unfit minima and availability of non-taxed products – and, similarly, single items can have different types of effects – e.g. tax-induced product substitution undermines tobacco control efforts, affects MS tax revenues and can generate distortions of competition.

The following subsections in this Annex are devoted to a review of the policy problems identified, with the exception of those that have been covered through specific case studies, which are reviewed in greater detail in the following Annex E. In particular, the following subsections review:

- the issue of ***tax-induced substitution between different categories of products*** (Section D.2.2);
- the issue of ***affordability and accessibility of tobacco products*** with reference to public health objectives (Section D.2.3);
- miscellaneous Directive ***provisions that would benefit from clarifications and/or modifications*** (Section D.2.4).

Other major policy problems are reviewed in Annex E and, in particular: (a) ***cross-border flows***; (b) ***illicit manufacturing and trade***; (c) ***raw tobacco monitoring and control***; (d) ***heated tobacco tax regime***; and (e) ***e-cigarettes tax regime***.

Figure D.2.1 – Problem tree



D.2.2 Product substitution

- **SUBSTITUTION BETWEEN HARMONISED PRODUCTS**

Tobacco products' consumption patterns vary across MS. Cigarettes are by far the most consumed product, but other products, especially fine-cut tobacco (FCT), have gained substantial market shares in some MS (see Figure 2.2). One of the specific objectives of the Directive is to contribute to bridging the 'tax gap' between cigarettes and FCT in order to prevent and mitigate ***tax-induced substitution***. The rationale is both to avoid competitive distortions and to contribute to the protection of public health, considering the equally harmful characteristics of the two products.

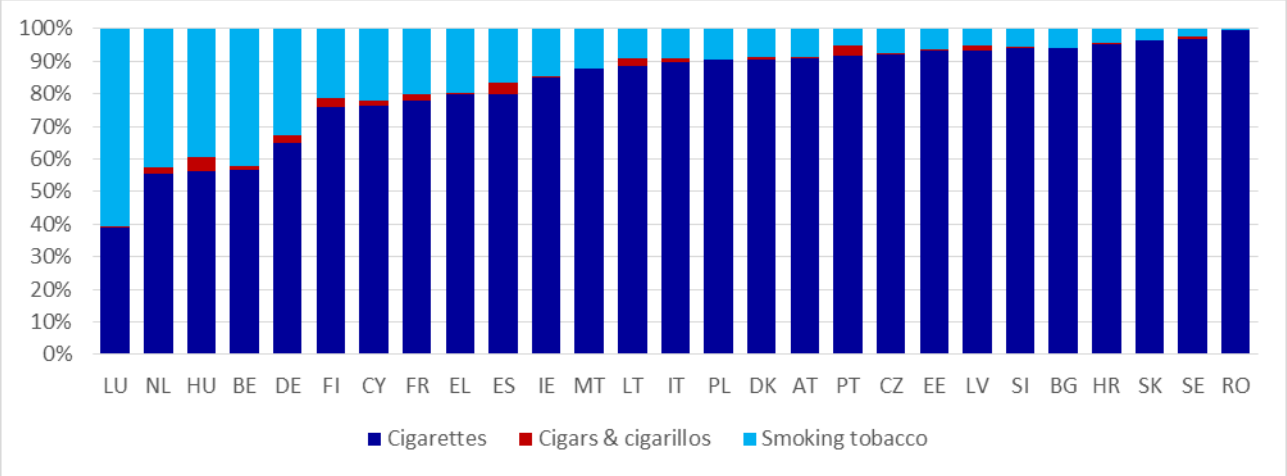
Similar provisions for other tobacco products, like cigars, cigarillos and other smoking tobacco, are not explicitly detailed in the Directive. This can be explained by the marginality of these products' market[156] - compared to cigarettes and FCT - and the weaker substitutability (FCT is specifically intended for the rolling of cigarettes), at the time when the Directive was adopted. As a result of increased taxation of cigarettes and FCT in subsequent years, there have been cases of 'borderline' products being commercialised such as 'eco-cigarillos',[157] 'party cigars', etc. These specific loopholes were then closed but future tax increases on cigarettes and FCT can still incentivise the ***development of new 'borderline' products*** and/or ***encourage consumers to down-trade*** to less expensive products available on the market. Similar patterns have already been registered in some MS during COVID-19-related confinements, when cheap non-domestic products were not available.[158] For this reason, addressing the risk of tax-induced product substitution should remain a key priority for the Directive.

The results of the MS authorities' survey support this finding:

- Nearly half of tax authorities have registered an increase in the substitution between cigarettes and FCT in the past three years. In the remaining MS, the relative market share of these products has remained stable and only one country reported a decline. In the case of cigarillos, substitution trends have accelerated in a smaller number of countries (4 out of 20 MS) with none reporting a decline.
- A smaller number of public health authorities reported an increase in substitution with FCT (3 MS) or with cigarillos (2 MS). For the majority of respondents, this issue was rather stable, suggesting it is no longer a top priority from the tobacco control perspective, when compared to other policy issues, notably the substitution with new products.

[156] The demand for FCT had been on a steep rise until 2012, due to low price levels in most MS. Conversely, the demand for other tobacco products remained very modest over time compared to cigarettes and FCT (altogether, cigars, cigarillos and other smoking tobacco accounted for only 3.5% of the expenditure on smoking tobacco in the EU).
[157] A few years ago, 'borderline' cigarillos (also called 'eco-cigarillos') have spread in some MS like DE, HU, ES, DK and in the Baltic countries. These products were in many respects similar to cigarettes but enjoyed a more favourable tax regime because they were classified as cigarillos. The issue was addressed by revising the definition of the tax category and by the phasing out of the derogation extended to these types of products in DE and HU. Additionally, various MS increased the domestic taxation of low-price cigarillos products. For an in-depth review of the 'borderline' cigarillos issue, see EA 2017.
[158] In DE, FR, ES and HU, in particular.

Figure 2.2 – Market share of tobacco products, by country (2019)

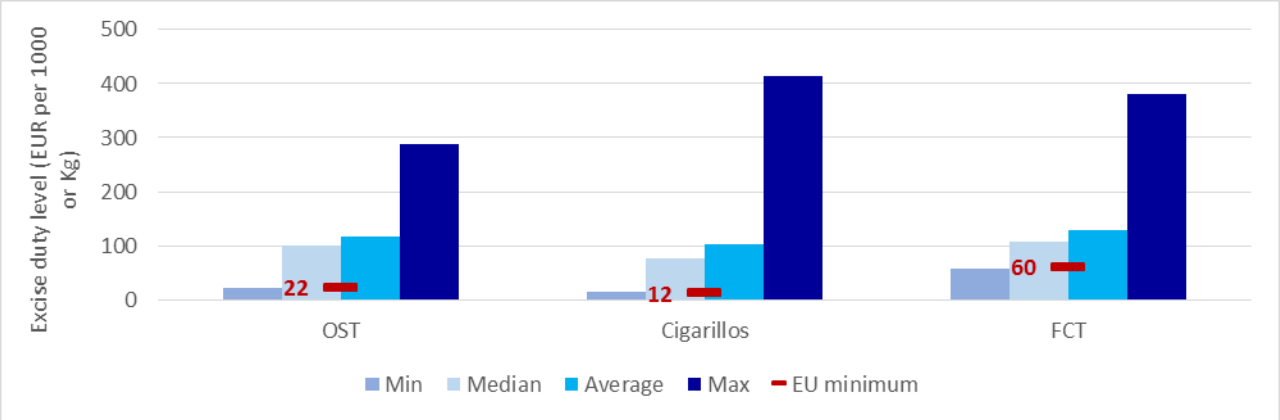


Source: *DG TAXUD release for consumption data, with integrations, as required, from Euromonitor International.*
Note: *Smoking tobacco includes both fine-cut tobacco and other smoking tobacco (in various MS, there is no excise duty distinction). For comparability, smoking tobacco has been converted into units applying a conversion rate of 0.75g=1 stick. Release for consumption data do not necessarily correspond to actual consumption, due to cross-border flows and unrecorded products consumption.*

Against this framework, the first policy problem connected to product substitution relates to the ***EU minima having lost their effectiveness*** over time. More specifically, two analytical dimensions are relevant in this regard:

- The first is the level of EU minima for tobacco products other than cigarettes, vis-à-vis the actual excise duty rates currently applied in MS. As shown in Figure 2.3, the ***current excise duty levels applied in MS are generally much higher than the EU minima*** specified in the Directive.

Figure 2.3 – EU minima and excise duty levels for products other than cigarettes

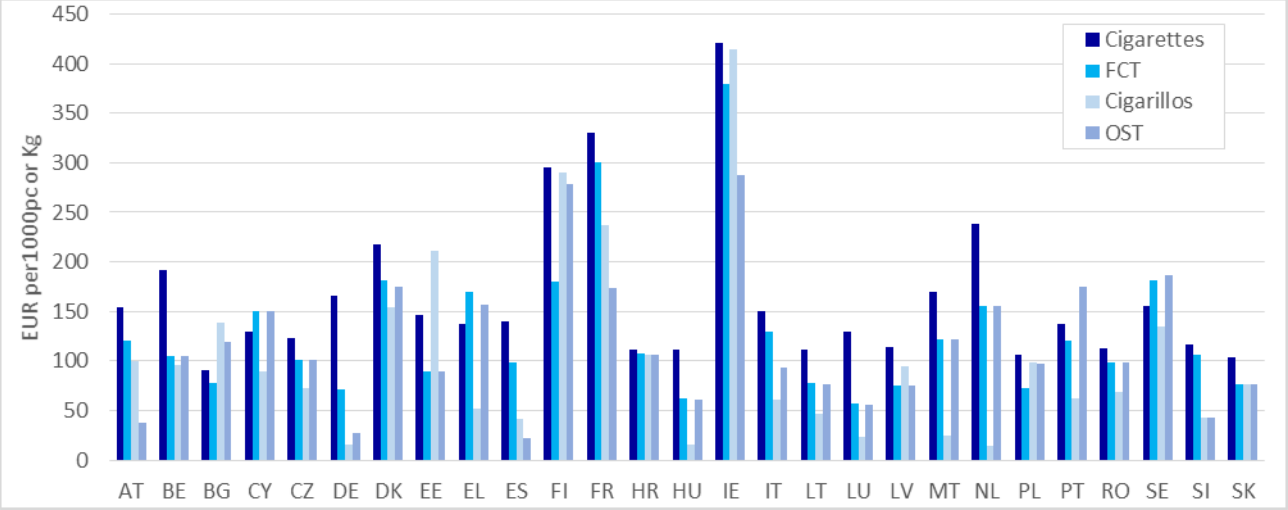


Source: *Own elaboration of EDT data*
Note: *FCT figures refer to the excise duty at the WAP level (including MED). Cigarillos and OST figures on WAP level are generally not available so, for the few countries that apply an ad valorem component, price data were sourced from MS survey or, if not provided, through either Euromonitor or internet sources (online shops, etc.).*

- The second is the differential in tax levels applied to different categories of tobacco products. Notable differences are registered across MS, with the excise duty band and the ranking of different products that vary greatly. In particular:
    - In some MS, the excise band is rather compressed, with small differences between the least and the most taxed products. This is the case, for instance, of SK, RO, HR and PL. Conversely, in countries including IE, NL, MT and DE, the excise band appears largely scattered, offering – in theory – more opportunities for tax-induced substitution.

- Keeping in mind the limitation of comparison across products,[159] it can be noted that the ranking of products within the excise band is not the same in all MS. Cigarettes are generally the most taxed products, but in some countries (e.g. BG, CY, EE, EL and SE) they are overcome by other products. When considering the least taxed product, the situation is more mixed.

Figure D.2.2 – Excise duty band in the Member States (2020)



Source: *Own elaboration of EDT data*
Notes: *For cigarettes and FCT figures refer to the excise duty at the WAP level (including MED). For cigarillos and OST figures on the WAP level are generally not available so, for the few countries that apply and an ad valorem component, price data were sourced from MS surveys or, if not provided, through either Euromonitor International or internet sources (online shops etc.).*

➢ **SUBSTITUTION DRIVEN BY NON-HARMONISED PRODUCTS**

The second main cause of tax-induced substitution across products does not regard minimum rates but the sheer excisability of certain products. At present, three categories of ***potential substitutes are not explicitly included*** in the Directive, which means that there is no clear obligation for the MS to tax them. These categories are:

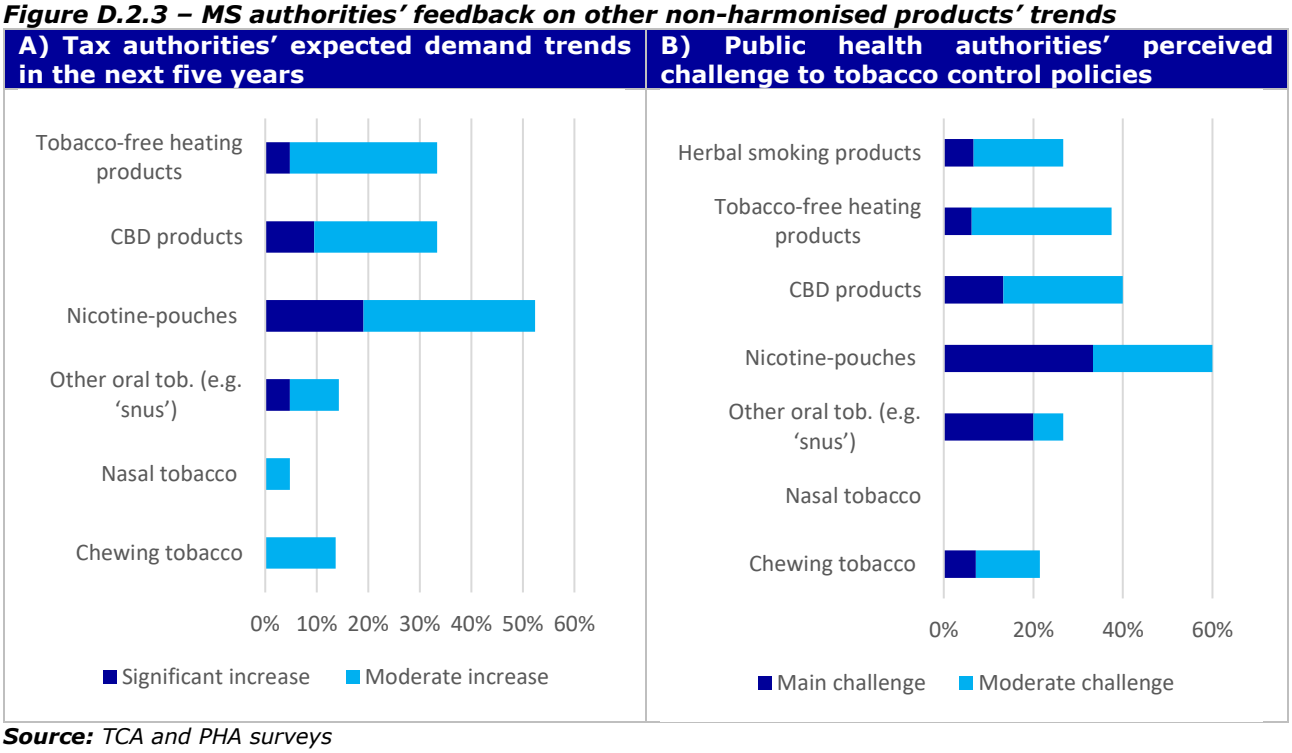
- ***Heated tobacco*** is in many respects a substitute for conventional cigarettes; it has been developed and is being marketed accordingly. However, MS have different views with respect to its current excisability: some consider it as 'other smoking tobacco' and tax it accordingly, while others do not consider it as a harmonised excise good and have set up an ad hoc consumption tax, or no tax at all. The approach chosen determines the room for manoeuvre that national authorities have in fixing rates that reflect the tax-bearing capacity of these products[160] - and related tax-induced substitution. According to the majority (eight out of ten) of the tax and public health authorities surveyed, there has been an increase, often substantial, in the substitution between cigarettes and heated tobacco over the past three years.
- ***E-cigarettes*** can also be considered (from a fiscal perspective) a substitute for conventional tobacco products, as confirmed by the results of various surveys (including Eurobarometer).[161] The current generation of e-cigarettes appeared on the market after the adoption of the Directive and are therefore not subject to harmonised excise duty rules.

[159] The units of measurement differ across products (kg or units), and firm equivalence between products cannot be established.
[160] In concrete terms, where HTP is classified as OST, the applicable excise rate must be expressed per kg and must be the same (e.g. pipe tobacco). As HTP primarily consists of small 0.3g sticks, MS could be constrained by this classification to apply a disproportionately low level of excise duty on HTP or, conversely, a disproportionately high level of excise duty on pipe tobacco.
[161] The concept of 'substitution' applied to e-cigarettes requires a word of caution. As some public health experts correctly noted, switching from cigarettes to electronic cigarettes can be motivated by various reasons among which price differences plays a minor role. In this Study, we consider substitution from the perspective of fiscal neutrality, thus in more extensive terms than how it is normally used in market analysis.

Therefore, various MS have established national ad hoc tax regimes to fill this gap and offset the tax revenue losses caused by the substitution of conventional cigarettes. Around six out of ten MS authorities reported a moderate increase in the substitution between conventional cigarettes and electronic cigarettes in the 2018-20 period.

- ***Other non-harmonised products*** are increasingly available in MS markets, especially a new generation of oral tobacco products and tobacco-free products containing nicotine (i.e. so-called 'nicotine pouches'). The sale of products for oral use are banned in the EU with the exception of the 'snus', which is available only in Sweden, and nasal and chewing tobacco products. The new generation of oral products are not subject to this ban as they either belong to these approved categories or – as in the case of tobacco-free nicotine pouches – are not covered by the TPD. Some MS have addressed this gap by establishing national taxes on these products but the lack of an EU harmonised regime for these products may trigger new areas of tax-induced substitution.

Figure D.2.3 – MS authorities' feedback on other non-harmonised products' trends



Source: *TCA and PHA surveys*

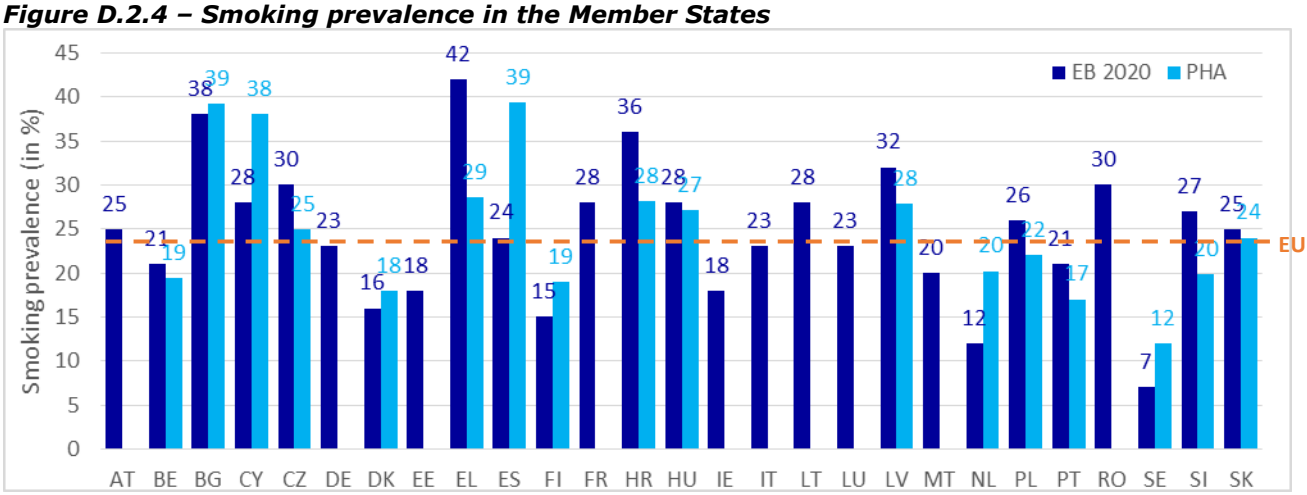
D.2.3 Affordability of tobacco products

➢ **SMOKING PREVALENCE AND AFFORDABILITY TRENDS**

Smoking prevalence in EU27 has declined from 28.1% to 24.5% between 2012 and 2020,[162] which reflects the fact that the number of regular smokers has reduced from roughly 101 million to 92 million.[163] However, there remain substantial differences between countries and population groups. In some MS (e.g. EL, BG and HR) smokers still represent more than 35% of the population, while in others (e.g. FI, NL, and SE) prevalence has fallen below 15% (see Figure 2.4). Furthermore, while prevalence has declined in most countries, in a few cases it has remained stable or has even increased, a more detailed assessment of which is provided in Annex C.

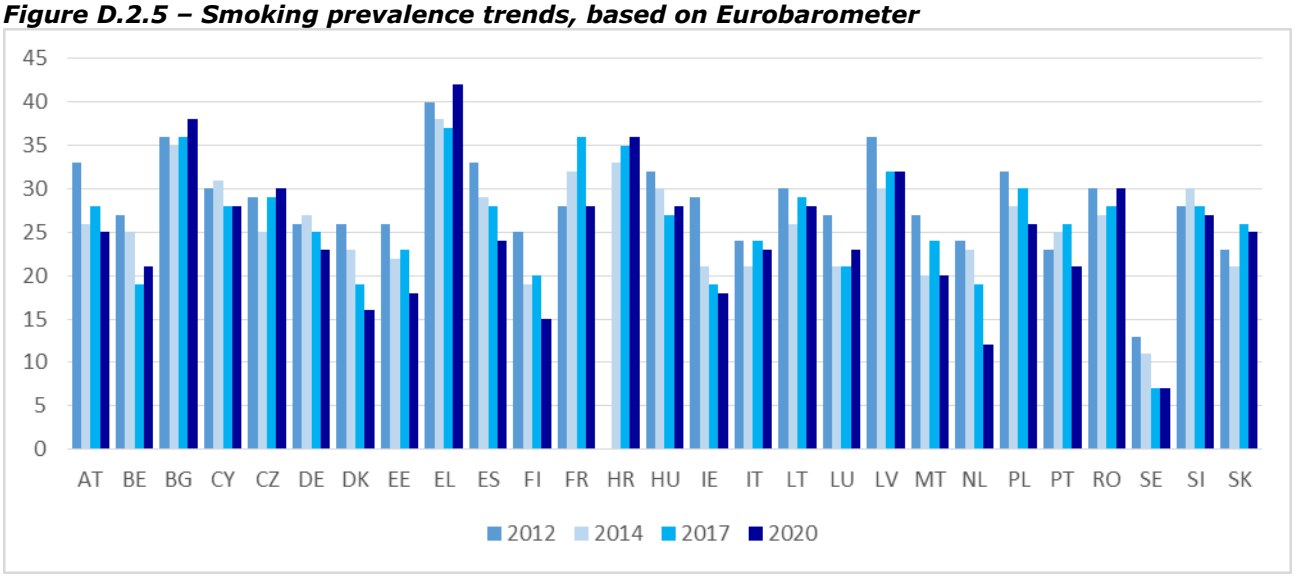
[162] Source: Eurobarometer. Figures for 2020 are drawn from the draft Special Eurobarometer 506.
[163] Based on Eurobarometer survey estimates. Other sources - namely Eurostat (EHIS survey), the WHO, and Member States sources – provide different estimates but generally confirm the downward trend.

Figure D.2.4 – Smoking prevalence in the Member States



Source: *EB 2020=Eurobarometer 506; PHA=Public health authorities' survey (based on various national researches).*
Note: *PHA data refer to various years (from 2018 to 2020). Figures refer to all smokers (daily and occasional smokers). The estimates collected from MS authorities are not always comparable with EB, due to differences in: (1) the population of reference; (2) the population sample size, which was generally much greater in the case of national surveys; (3) the products considered as some national surveys include vaping and/or smokeless tobacco consumption; and (4) frequency, with survey questions formulated differently.*

Figure D.2.5 – Smoking prevalence trends, based on Eurobarometer



Source: *Eurobarometer (various editions)*

The smoking prevalence estimates used in this Study are based on Eurobarometer surveys, as this source offers methodological consistency across countries and over time, thus allowing comparative analysis. However, as Figure D.2.4 shows, Eurobarometer estimates have to be taken with some caution, as they do not always match the results of other surveys and analyses carried out at the national level because of different definitions, age groups or survey implementation modalities considered or utilised. For this reason, burden of disease studies generally rely on age-standardised estimates based on results from several different surveys in the same country to identify trends over time, although these data are not always made publicly available.

At any rate, the majority (six out of ten) of public health authorities surveyed confirm a ***high or moderate reduction of smoking prevalence***, but in various other countries, such decline was limited. Smoking reduction trends have been slightly more marked among ***young people*** than in the overall population. Conversely, MS public health authorities reported limited achievements regarding smoking prevalence among ***women***.

Against this framework and based on the results reported by the Commission in SWD 2020, the 2020 Council Conclusions reiterated the need to strengthen policy coherence, in particular given

the new ***EU Beating Cancer Plan***, which remarks that tobacco consumption remains one of the greatest avoidable and preventable health risks. In the long run, the plan very ambitiously aims to create a 'tobacco-free generation' by 2040, thereby reducing smoking prevalence to less than 5% of the population in 20 years.[164] In the shorter run, however, it endorses the existing WHO objective of a 30% reduction in smoking prevalence by 2025, compared to 2010 levels – i.e. to approximately 20%. This is to align the EU target with the already existing WHO one. The WHO target appeared broadly within reach before the COVID-19 pandemic opened a still largely inconclusive debate with conflicting evidence on whether smoking prevalence has been structurally affected by the pandemic.[165] Given that the pandemic developments are still ongoing and the situation has not returned to normal, general consensus agrees that the identification of permanent changes in smoking prevalence trends would at any rate require some time before becoming evident and this might affect compliance with the 2025 policy targets.

- **AFFORDABILITY AND THE ROLE OF EU EXCISE DUTY MINIMA**

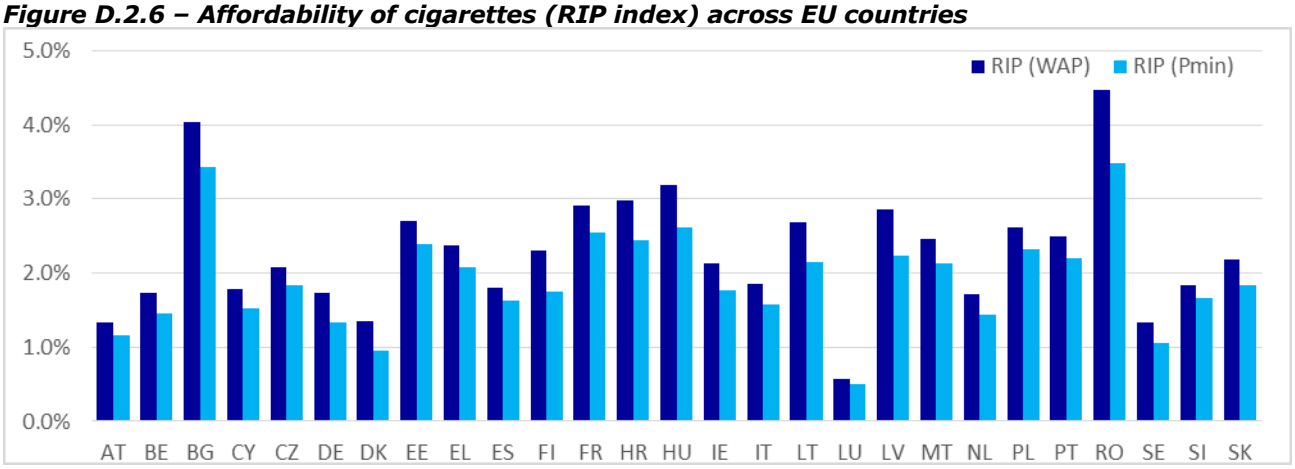
As scientific literature shows, the causal link between taxation and smoking cessation patterns is far from linear. Many policy measures can reduce demand, namely: product regulation, smoke-free environment policies, tobacco advertising bans, health warnings and labelling, smoking cessation support, mass media campaigns, etc. Still, there is overwhelming consensus among the public health experts' community and concerned stakeholders that taxation is the single most effective measure to curb tobacco consumption. The analysis of the scant literature on the subject - where econometric studies are largely missing and extremely difficult to perform - and the public health experts' own guess-estimates indicates that – depending on the country – it is reasonable to believe that ***between one-third and a half of the smoking prevalence decline might be roughly attributed to the impact of taxation policies***.[166] It is generally observed that in reality tobacco control policies and tobacco taxation tend to operate in synergy with one another, and the credibility and effectiveness of the former is greatly enhanced by consistency with the latter, in that taxation policy delivers an overall 'price signal' to society that smoking is indeed a harmful activity for consumers that should be discouraged by all possible means. So, the relationship between the two in the achievement of certain targets is not substitutive but rather complementary in fostering a greater reduction in smoking prevalence than each element would have achieved alone.

The standard indicator used in scientific literature to measure the affordability of cigarettes is represented by the ***relative income price*** (RIP), i.e. the percentage of per capita gross domestic product (GDP) (as a proxy for disposable income) required to buy 100 packs of cigarettes.[167] An increase in the RIP value roughly indicates that cigarettes have become less affordable and vice versa.[168] Figure D.2.6 below provides the current RIP levels in Member States concerning both the weighted average price (WAP) of cigarettes registered in 2020 and the lowest price category available on the market (P_{min}). As shown, affordability levels vary greatly across MS: the highest RIP levels (hence lowest affordability levels) can be found in countries with comparatively lower income, such as RO and BG, but also FR. Conversely, cigarettes are most affordable in LU, DK, SE and AT.[169]

[164] Source: https://ec.europa.eu/health/sites/health/files/non_communicable_diseases/docs/eu_cancer-plan_en.pdf
[165] This was triggered by TTC releasing market information on the good but temporary turnover perspectives opened by the pandemic in the European market generally understood tobacco products as essential items during lockdowns. There is fragmented statistical evidence that smoking intensity may have increased in a number of countries among current users and some quitters went back to their early habit to manage stress, but this was generally accompanied by an increase in the number of those who declared themselves willing to quit. This anecdotally varied from country to country and was also based on the emphasis given in the media to smoking being an apparent protective factor for hospitalizations and a risk factor for the illness itself.
[166] See, among others, the EU-funded SimSmoke project as well as the Tobacco Control Scale (Joossens L., Raw M).
[167] See: Blecher EH, van Walbeek CP, "An international analysis of cigarette affordability", Tobacco Control 2004.
[168] Cross-country comparisons of cigarette affordability based on simple RIP values would nevertheless require some words of caution since there can be significant inequalities in income distribution and/or in the consumption patterns among different socioeconomic groups between countries that can eventually distort the results.
[169] The GDP per capita is an imperfect proxy of consumer's income. Other metrics can be developed reflecting more accurately the disposable income and, therefore, the actual affordability. The current RIP formulation has the advantage of being immediately available for virtually all countries in the world, thus allowing WHO to conduct comparisons at the international level. In the EU, a more precise index can be elaborated starting from the Eurostat's disposable income

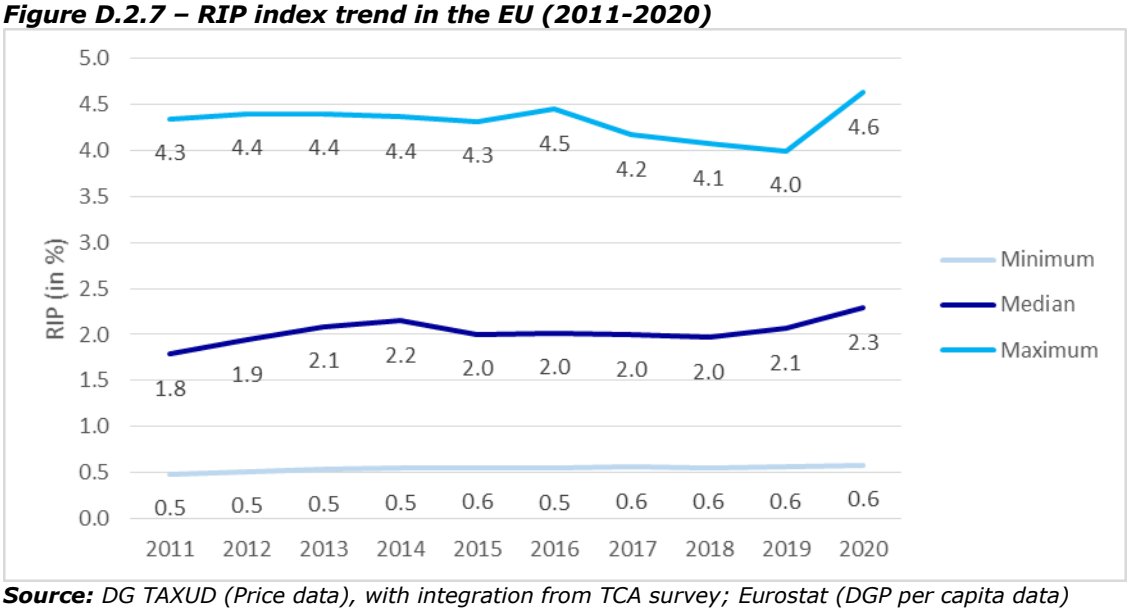
The affordability of cigarettes decreased until 2014, then substantially stalled until 2019, and registered an increase again in 2020, due to a generalised decrease of GDP per capita, in connection with the COVID-19 crisis (Figure D.2.7). In practice, since 2014, cigarette price increases hardly compensate for income growth. In other words, the price of cigarettes in real terms has not increased in MS (although trends varied across MS).

Figure D.2.6 – Affordability of cigarettes (RIP index) across EU countries



Source: *DG TAXUD (Price data), with integration from TCA survey; Eurostat (DGP per capita data)*
Notes: *The RIP index is calculated by dividing the price of 100 packs of cigarettes (WAP or lowest price – P_{min}) by the GDP per capita (as a proxy of average income). The highest is the index, the lowest is the affordability.*

Figure D.2.7 – RIP index trend in the EU (2011-2020)



Source: *DG TAXUD (Price data), with integration from TCA survey; Eurostat (DGP per capita data)*
Notes: *The RIP index is calculated by dividing the price of 100 packs of cigarettes (WAP) by the GDP per capita (as a proxy of average income). The highest is the index, the lowest is the affordability*

- **INEFFECTIVE EU MINIMA**

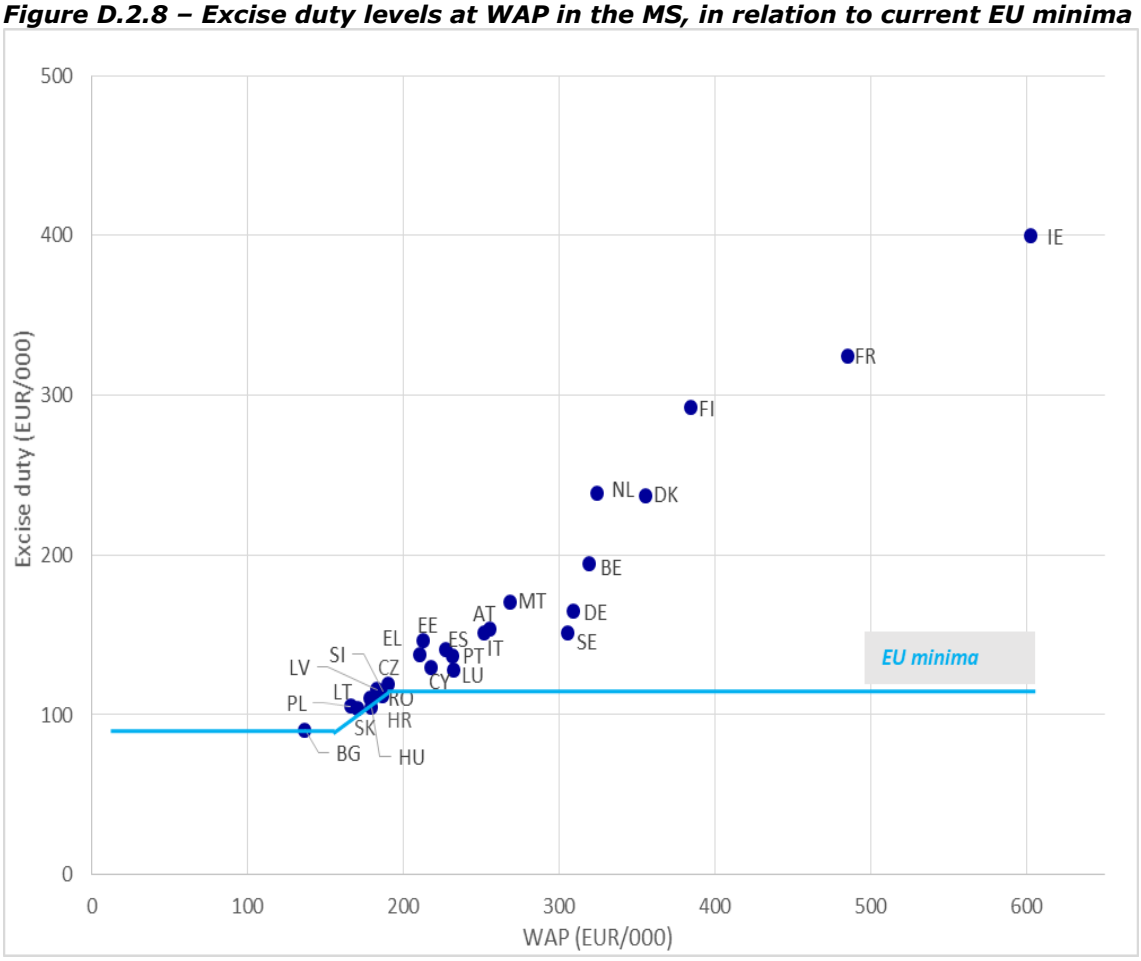
The slow down real price levels registered in the past few years can be partly attributed to the fact that the ***EU minima laid down in the Directive have largely become irrelevant*** because the current excise levels in MS are generally much higher than EU minima. Regarding cigarettes:

indicator, which is, however, expressed in purchasing power terms and, therefore, have to be translated in nominal terms to make it coherent with the numerator of the RIP formula, i.e. price levels (or prices have to be translated in PPP terms). As alternative metrics for the calculation of an EU-specific RIP needs are not readily available (they need to be developed, validated and made stable by Eurostat), in this Study we have used provisionally the RIP standard formulation, based on GDP per capita, as it nonetheless provides a sufficiently accurate picture of the affordability situation in MS.

- In all MS, the current excise duty yield at WAP level is above the prescribed EUR 90 per 1,000 sticks applicable to all cigarettes.
- In the majority of MS (18 countries), the current excise duty level is also higher than the escape clause (EUR 115), so the relative minimum (60% of WAP) is not applicable.

Additionally, the current Directive approach to minima presents important limitations when it comes to public health protection objectives. The main limitation is that ***EU minima do not actually address affordability,*** as they are expressed in nominal terms, which do not take into account the disparities of income or purchasing power that exist between MS. In other words, the affordability of cigarettes across MS do not necessarily correlate with the level of WAP and EDY expressed in nominal monetary terms represented in Figure D.2.8 below. For instance, in nominal terms cigarettes in BG and RO are among the cheapest in the EU, but the RIP index in these countries is the highest. Conversely, price and tax levels in DK and SE are among the highest in the EU, but in terms of RIP, cigarettes are more affordable there than in most EU countries. This has practical implications for the design of the policy, which will be discussed in Section 3.1.

Figure D.2.8 – Excise duty levels at WAP in the MS, in relation to current EU minima (2020)



Source: *EDT data*
Legend: *WAP=weighted average price; EDY=excise duty yield.*
Note: *The segment of the EU minima bottom line where the EUR 90 / 1000 pc condition prevails (i.e. the segment up to WAP equal to EUR 150) is actually not congruent with the following segment, since this condition applies to all price categories of cigarettes and not only to WAP cigarettes.*

Similar considerations apply to FCT, although in this case EU minima have continued pushing excise levels up until 2020. Through a system of planned increases, the EU fixed minimum on FCT went from EUR 40 / kg in 2012 to EUR 60 kg in 2020, and the minimum incidence from 40% to 50% of WAP in the same period. So, while in the case of cigarettes, EU minima have already lost their effectiveness, in the case of FCT it can be assumed that they have worked until 2020,

but ***FCT minima are also expected to lose their relevance*** in the near future, if not continuously updated.

As regards other tobacco products – namely ***cigars, cigarillos and other smoking tobacco*** - EU minima are far below the current excise duty levels applied in MS and they realistically had ***no impact on price trends*** over the past decade. In 2020, the estimated average excise duty levied on cigarillos in MS was EUR 110 per 1000 pieces, i.e. nearly 10 times higher than the EU minimum of EUR 12. In the case of other smoking tobacco, the gap was also significant, with the average excise amounting to EUR 117 per kg while the EU minimum excise still at EUR 20. As discussed in previous Section D.2.2, the lower tax regimes applied to these products have not triggered significant substitution (except, occasionally, for 'borderline' cigarillos) because (a) they are not perfect substitutes of cigarettes, and (b) MS have spontaneously increased the excise rates applied to them. However, the absence of effective EU minima can create situations of excessive affordability and insufficient protection of public health, so there remains a need for reviewing the EU minima applied to these products in parallel with the increase of minima for cigarettes and FCT.

- **OTHER AFFORDABILITY ISSUES**

The problem of affordability is not limited to excise rates (hence prices) of regular products that are released for consumption in a given MS. In fact, actual domestic consumption in a country includes also ***'unrecorded consumption'*** i.e. consumption of 'non-domestic' legal products (i.e. purchased in another country) and of illegal products (of domestic or foreign origin). Unrecorded tobacco products can jeopardise the effectiveness of tax-based MS policies aimed at deterring consumption, as they offer cheaper alternatives to smokers. These issues are described in greater detail in Annex E.1 and E.2.

Another type of issue regards ***non-harmonised products*** which can represent to various extent non-harmonised substitutes of conventional smoking tobacco. These products include heated tobacco products, e-cigarettes, and oral products containing tobacco or nicotine. In various MS, these products are not taxed (with the exception of heated tobacco) so, in principle, they can be offered to consumers at lower prices compared to conventional tobacco. A more detailed overview of the disparities of the tax regimes and of the market of new products is provided in Annex E.4 and E.5.

D.2.4 Miscellaneous provisions requiring a policy review

- **UNFIT DEFINITION OF CIGARILLOS**

Some types of low-price cigarillos (i.e. the so-called 'borderline' cigarillos) have the potential to become a relevant substitute product for cigarettes, taking advantage of the lighter regulatory regime imposed on them under the TPD – regarding flavour ban, minimum pack size, pictorial warnings, etc. – as well as of lower excise duty rates. Affordability and substitution issues have been discussed already in the previous sections. In addition, there is an ***issue with the current tax categorisation of cigarillos***, which includes three aspects:

- ***Misalignment with customs definition***. There is an imperfect correspondence between the cigars and cigarillos definition laid down in the Directive and the Combined Nomenclature (CN) classification of tobacco products used for 'tarification' and other customs classification purposes. The excise definition of these products has changed many times over the years. The definition currently in force was adopted in 2010 and, after the phasing out of the derogations extended to Hungary and Germany at the end of 2014, is now applied in all MS. When compared to the Combined Nomenclature's definition there are two main inconsistencies:

a. the reference to 'normal consumer expectations' in the excise product definition is not present in the CN classification, where there is instead a reference to the fact that these products 'can be smoked'. In both cases, these formulations seemingly aim at excluding from this category products like the so-called 'party cigars' i.e. cigar-like sticks filled with fine-cut tobacco and wrapped in a roll of tobacco, which could not be smoked 'as is'[170];
b. the CN definition requires that there is no 'further layer partially covering the outer wrapper' (which has to cover the product in full, including, where appropriate, the filter). This is an element characterising the so-called 'borderline' cigarillos and making them more similar in appearance to cigarettes. This distinction has an implication for classification certainty, since it derives that certain products with a further paper layer covering the filter could be classified as cigarillos for excise purposes (T300) but as cigarettes for customs ones (2402 20). [171]

The second point has both administrative and legal implications. Firstly, it should be noted that the electronic Administrative Document (e-AD) does not permit to enter incongruent codes - i.e. cigarettes for CN purposes and cigarillos for excise purposes. Reportedly, this is commonly overcome by special agreements between operators and the authorities concerned but, in the past, there have been cases of shipments of cigarillos from outside the EU that were stopped by national customs due to these classification issues.

As regards the legal aspects, in April 2019 the CJEU issued a ruling on this matter in response to a question posed by the Lithuanian authorities (Case C-638/17). In particular, the appellant requested (i) whether the definition of 'cigars and cigarillos' in the Directive covers or not cases where part of the wrapper of natural or reconstituted tobacco is additionally covered by another outer (paper) layer, and (ii) if it is relevant that the use of paper as an additional layer in the outer wrapper of the tobacco product (where the filter is) makes it visually similar to a cigarette.[172] The CJEU ruling eventually rejected the Lithuanian authorities' interpretation stating that: "Article 4(1)(a) of Directive 2011/64 must be interpreted as meaning that tobacco products, such as those at issue in the main proceedings, part of whose outer wrapper of natural tobacco is covered, at the filter, by an additional paper layer, liable to make those products visually similar to cigarettes, fall within the category of cigars or cigarillos, within the meaning of that provision".[173]

- ***Differentiation between cigars and cigarillos***. A more substantial issue regards the suitability of placing cigars and cigarillos in the same tax category. In the past, this solution fitted well with the heterogeneous nature of these products and their limited demand. Then, the emergence of the 'eco-cigarillos' issue a few years ago and, more recently, the appearance on the market of flavoured cigarillos and of products otherwise designed to take advantage of the lighter TPD rules, raise questions on the suitability of the current approach, where traditional products and a new generation of borderline cigarillos fall in the same category. The risk is that the current one-size-fits-all approach ends up limiting MS room for manoeuvre, as an increase of tax levels on borderline cigarillos would also affect traditional cigars. Unintended effects would be magnified in MS where these products are taxed per weight, and where the tax structure relies exclusively or prevalently on the ad valorem component. It must be said that these risks can be neutralised with the recourse to a Minimum Excise Duty (MED) tool, as envisaged in Article 14.1 of the Directive. However, the MED is an optional tool and is not available in wholly specific regimes.

  The more straightforward approach, in this respect, is already in place in countries like PT and IT and consists of differentiated tax levels for cigarillos and cigars, respectively. At the EU level, this would require revising the current product definition (Art. 4) and establishing

[170] See also: Ramboll 2014, p.227.
[171] Source: EA 2018.
[172] Source: https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A62017CN0638
[173] See: http://curia.europa.eu/juris/document/document.jsf;jsessionid=5991EA573C02F1B16F844CDB1224DD1D?text=&docid=212904&pageIndex=0&doclang=en&mode=lst&dir=&occ=first&part=1&cid=2691801.

two separated subcategories with their own definition, excise duty structures and rates. The demarcation line can be drawn based on the product weight in line with the 3-gram threshold laid down in Directive 2007/74.[174]

- ***Disparities in the tax base***. Another issue inviting a possible revision of the current provisions regards the tax base used by MS for cigars and cigarillos. At present, MS can choose between a 'per unit' (1000 pieces) or a 'per weight' (1 kg) approach. This implies a 1 unit=1g equivalence, which evidently does not correspond to the reality of the market[175]. In practice, this creates a situation where the minimum is de facto higher for the MS that adopt a 'per weight' tax base (six MS) compared to MS where these products are taxed per unit.[176]

There are no concrete adverse effects reported in connection with this disparity of regimes. Still, excise duty harmonisation for this category of products is not complete and there is room to make further steps towards this policy objective.

➢ UNFIT REGIME FOR WATERPIPE TOBACCO

Two main issues have been identified in connection with WPT. Firstly, there is generally poor knowledge of the WPT market, and of the consumption magnitudes and trends. Secondly, a large share of the WPT consumed in the EU is estimated to come from illicit sources. These issues are partly connected to the lack of a separate excise category for this product. In particular:

- Currently, WPT fall within the broad excise duty category of 'other smoking tobacco' (OST), along with pipe tobacco and, in some MS, with heated tobacco products. There is no separate recording of the taxes collected on WPT, hence MS are not in the position to monitor WPT trade and consumption. Conversely, there is an ad hoc category for WPT in the customs nomenclature (HS 2403 11), so there is also a misalignment between the two classifications.
- The inclusion of WPT in the OST category can also unintendedly foster illicit trade. In fact, the current OST excise rates – which are expressed per kg – can lead to very high levels of taxation for WPT. Due to its composition – WPT is only partly made of tobacco (generally around 20%), while the rest consists of molasses - this product's specific gravity is much higher than other tobacco products, which translate into a much higher taxation per consumption unit. In some MS, such high taxation levels, combined with limited monitoring, represent an incentive for various types of tax avoidance practices and fraud.[177]

➢ UNCERTAINTIES WITH THE INTERPRETATION OF THE MED PROVISION

The minimum excise duty (MED) provision allows MS to establish a minimum excise 'floor' that kicks in when the sum of the specific and ad valorem excise due falls below a fixed monetary amount. There is no (longer) a ceiling to the MED, but there is an obligation to respect the 'mixed structure' requirements, which can be seen as a *de facto* limit to the MED level permitted. However, this provision is interpreted differently across MS, leading to non-uniform views and practices concerning the upper limit of the MED. The consultation of the tax authorities conducted

[174] COUNCIL DIRECTIVE 2007/74/EC of 20 December 2007 on the exemption from value-added tax and excise duty of goods imported by persons travelling from third countries.
[175] The Directive and the customs classification establish a minimum weight of 2.3g for products that do not have a natural tobacco wrapper (like so-called 'borderline' cigarillos). Furthermore, Directive 2007/74/ cigarillos are cigars of a maximum weight of 3 grams each, which implies cigars have a minimum weight of 3g.
[176] There are also hybrid situations: for instance, Italy applies a regime based on 'conventional Kg', where 1 kg of products corresponds conventionally to 400 cigarillos or 200 cigars.
[177] As emerged from a dedicated assessment carried out under EA 2017, the estimated share of WPT illicit trade in the EU is around 50%, possibly exceeding 80% in high-tax countries. The tax-driven incentive to illicit trade is much greater than for other tobacco products. For instance, 1kg of WPT with an assumed import price of EUR 10 can be sold to consumers for a price ranging from EUR 75 in Germany (lowest excise rate) to EUR 316 in Ireland (highest excise rate). By contrast, the price of 1kg of illicit WPT on the black market is, reportedly, around EUR 40-50. This means that profits from the illicit trade of WPT can be as high as 84% in MS with high excise duties but 'only' 34% in low-tax countries.

under EA 2019 confirmed the existence of legal uncertainties with this provision and of a ***demand for clarifications*** to avoid disparities of implementation.

In parallel, DE, IT and PT have adopted a mechanism similar to the MED, where the ***established threshold includes also the value-added tax*** (also known as 'minimum total tax' (MTT or 'dynamic MED')). Since the value-added tax is proportional to the price, the minimum total tax is de facto regressive: i.e. the lower the price, the higher the MTT component. The result is an excise structure able to tackle more decisively the risk of very low-price products being placed on the market. A fully-fledged analysis of these tools was carried out under EA 2019 and is not part of this Study.

D.3 Market updates

This final Section provides updates on ***how tobacco markets have evolved*** since the last retrospective evaluation of the Directive (EA 2019), whose baseline year was generally 2017 (and in some cases 2016). The review focuses on traditional tobacco products, because new products are specifically covered – including market development - by case studies (Annex E.4 and E.5). Similarly, the status and trends with raw tobacco are extensively covered in Annex E.3. To sum up, the products reviewed here include:

(1) ***Cigarettes*** (also referred to as 'factory-made cigarettes – FMC),
(2) ***Fine-cut tobacco*** (FCT),
(3) ***Cigars and cigarillos*** (C&C),
(4) ***Other smoking tobacco*** (OST).

The review is essentially quantitative and descriptive and shows, with MS-level granularity, how the salient indicators examined in the previous evaluation has developed, as concerns: (a) ***excise duties***; (b) ***market prices***; (c) ***demand and sales***; and (d) ***tax revenues***.

This section ***does not contain critical reviews of the specific policy problems*** connected to recent market developments, which can be found in Volume 1 (Section 2), as well as in Annex E (cross-border flows, illicit trade, new products) and in Annex F (quantitative assessment of the baseline situation, smoking prevalence, public health impacts, tax-induced substitution etc.).

The data reported in this Section are based on various sources, including: (a) data on harmonised products collected from MS by DG TAXUD; (b) additional data provided by MS in the framework of the tax and customs authorities survey; (c) third-party data, drawn in particular from Euromonitor International. The datasets utilised presented some gaps, inconsistencies, disaggregation issues and other problems, which have been described in detail in Annex A.

D.3.1 Market size trends

- **OVERALL TRENDS BY PRODUCT**

The volume of manufactured cigarettes released for consumption (RfC) in EU27[178] has been steadily declining over time (see Table D.3.1). In about 15 years, the size of the ***cigarette*** market has fallen from some 728 billion sticks in 2005 to less than 430 billion in 2020, corresponding to a decline of -3.46% year-on-year. In the past five years, the declining trend has slightly decelerated to -2.74% year-on-year.

Similar negative trends were registered in the demand for ***cigars***, which has been steadily declining at an annual rate close to -2.6% since 2005 (with periodical fluctuations). In absolute terms, cigar sales have dropped from 1.8 to 1.2 billion units in the period considered.

[178] For comparison, UK data have been excluded from calculations retrospectively. Regarding Croatia, it was not always possible to retrieve pre-accession market data, so certain EU27 historical figures could be slightly underestimated.

Part of the decline in the demand for cigars could have been absorbed by the ***cigarillos*** market. Sales trends are difficult to calculate for this segment because of a break in the time series in 2015-16 (i.e. the model estimates utilised in EA 2019 are lower than the Euromonitor International estimates utilised in this Study by 2.4 billion units, i.e. around 30% of the total). In terms of trend, sales have been declining between 2005 and 2015 (-1.9%), then plateaued after 2016 (0.34% annually). The volume of sales in 2020 is estimated at 9.2 billion units. Based on Euromonitor International data, the share of 'borderline' products is stable at 43-44% since 2016.[179]

The volume of ***fine-cut tobacco*** (FCT) sales has been increasing until 2012 exceeding, in that year, 83 million kg. The growth rate was steep and driven by the substitution of factory-made cigarettes. With the reduction of the price gap, substitution decelerated, then plateaued and started a slow decline, which was reversed only in 2020. In 2019 FCT sales amounted to less than 74 million kg, while in 2020 they rose again to nearly 79 million kg, presumably in conjunction with the consumer's down-trading registered during the Covid19 confinement period, in response to the reduced availability of foreign low-price cigarettes. The average growth rate in the past five years remains, however, negative (-0.63%).

Other smoking tobacco sales have been declining until 2015, then a steep growth was registered, and in 2020 the volume of sales hit 8.5 million kg (vis-à-vis 7.0 million kg in 2005). This growth is presumably related to various factors: (a) the recording of (booming) HTP sales under OST by various MS authorities; (b) the increase in the demand for waterpipe tobacco (although consumption remains largely unrecorded); and (c) the possible down-trade to the lowest tobacco available product, registered during the Covid19 confinement period (as for FCT above). The latter point would be confirmed by the fact that between 2019 and 2020 sales have grown by 23%.[180]

The aggregation of sales figures for the different products ***confirms the downward trend in the overall consumption of tobacco products within the EU***, from nearly 769 billion equivalent units in 2015 to 556 billion in 2020. The annual decline rate for the period was -2.14%, but in the last five years it decelerated to -0.91%. On the other hand, in the same period the EU population has grown by 3%, so the decrease 'per capita' is enhanced.

Table D.3.1 – The size of manufactured tobacco market in the EU (2005-20)

Product	2005	2010	2015	2020	CAGR 2005-20	CAGR 2010-20	CAGR 2015-20
Cigarettes *(billion units)*	677.8	561.0	461.7	429.4	*-3.00%*	*-2.64%*	*-1.44%*
Cigars *(billion units)*	1.5	1.3	1.3	1.2	*-1.33%*	*-0.57%*	*-1.14%*
Cigarillos *(billion units)*	8.0	6.7	6.0 / 8.4*	9.2*	*0.91%**	*n/a*	*0.34%**
FCT *(million kg)*	54.2	76.1	81.4	78.8	*2.53%*	*0.36%*	*-0.63%*
OST *(million kg)*	7.0	4.1	3.5	8.5	*1.29%*	*7.54%*	*19.36%*
TOTAL *(billion unit-equivalent)***	**768.9**	**675.9**	**582.2**	**556.2**	***-2.14%***	***-1.93%***	***-0.91%***

Notes: *CAGR = compounded annual growth rate; (*) Interruption in data series for cigarillos in 2015-16 compared to EA 2019. The CAGR 2015-2020 is actually based on the recalculated 2016-2020 data. (**) for FCT and OST, an equivalence of 0.75g=1 unit has been utilised.*

In nominal terms, the ***market value of tobacco products*** did not follow the downward trend of sales. As shown in Table D.3.2, in the 2005-17 period the total market value of tobacco products in the EU has been growing from some EUR 92.1 billion in 2005 to roughly EUR 135.1

[179] In the Euromonitor International datasets, these products are defined as 'price-fighter' cigarillos.
[180] However, OST data have to be taken with special caution, because of the numerous caveats (see Annex A for details).

in 2020, i.e. a growth of 1.94% year on year. However, this ***growth was largely apparent in real terms***: between 2010 and 2020 the EU harmonised index of consumer prices (HICP) increased by 13 percentage points, while in the same period the indexed value of the tobacco market increased by 15 percentage points, i.e. only 2 percentage points more in 10 years. Product-wise, the highest average annual growth rate in the 2005-2020 period was registered by FCT (7.6%), followed by cigars (5.6%). In the last five years, they were overcome by OST, whose sales soared, for the reasons described in the previous paragraphs. The cigarettes market growth was more limited (1.42% annually, on average), actually declining if measured in real terms.

Such growth has regarded in particular FCT and cigars, while the cigarettes and cigarillos market values have substantially remained stable, and OST has declined. In more recent years (2010-17) the trends have significantly decelerated for all products (except OST).

Table D.3.2 – The value of manufactured tobacco market in the EU (EUR billion, 2005-20)

Product	2005	2010	2015	2020	CAGR 2005-20	CAGR 2010-20	CAGR 2015-20
Cigarettes	83.2	104.7	105.4	113.1	*2.07%*	*0.77%*	*1.42%*
Cigars	1.5	2.1	2.7	3.4	*5.56%*	*4.87%*	*4.58%*
Cigarillos	1.3	1.4	1.6	1.8	*1.39%*	*2.50%*	*2.30%*
FCT	5.3	7.9	12.6	15.8	*7.55%*	*7.18%*	*4.63%*
OST	0.8	0.5	0.4	1.0	*1.70%*	*7.50%*	*20.83%*
TOTAL	**92.1**	**116.6**	**122.7**	**135.1**	***2.59%***	***1.48%***	***1.94%***

Notes: *CAGR = compounded annual growth rate; (*) Interruption in data series for cigarillos in 2015-16 compared to EA 2019. The CAGR 2015-2020 is actually based on the recalculated 2016-2020 data. (**) for FCT and OST, an equivalence of 0.75g=1 unit has been utilised.*

- **CONSUMPTION TRENDS IN THE MEMBER STATES**

Almost all EU countries have registered similar market decline trends, with some notable exceptions. In Table D.3.3 below we compare the aggregated average annual sales for the period 2018-20 with the previous 3-years period (2015-17).[181] It emerges that in some MS, like BE, CZ and IE the annual decrease was close or exceeding 5%. Conversely, in LU, RO, PL, BG and SK a positive growth (between 0.5% and 2%) was registered.

To properly understand these figures, it is important to consider that the overall trend is mainly influenced by the trend in the sales of cigarettes, which accounts on average for 77% of tobacco product sales. However, the volume of cigarettes released for consumption at the MS level is not always indicative of the actual consumption in the country because – as discussed in Annex E.1 – cigarettes are subject to substantial ***cross-border flows***, which affect the significance of the results. In this sense, the increase of cigarettes RfC in low-price MS, like BG, PL, RO and LU and – conversely – the decline of RfC registered, for instance, in FR or IE can be partly ascribed to the acceleration in such flows and not to the actual decline or increase by domestic consumers.

Similarly, ***illicit cigarettes*** should be added for an accurate estimation of the actual consumption in a specific country. Therefore, variation in the incidence of illicit trade can also affect sales data trends. This is for instance the case of EL, where illegal cigarettes have been on the rise in recent years[182], so the -3.3% decline reported in Table D.3.3 should be interpreted as a decline in duty-paid sales and not of consumption (which, according to Eurobarometer has

[181] We have chosen to compare 3-years average figures instead of individual years to mitigate the effects of occasional fluctuations on the analysis.
[182] Source: Euromonitor International.

not decreased, but actually increased). The inverse logic possibly applies to DE and BG figures, where the reported increase can relate to a decline of (unrecorded) illicit cigarettes, hence a substitution with (recorded) duty-paid products.

In part, the above issues may concern also FCT and, to a lesser extent, other tobacco products, but to a small scale, except LU, whose outflows of FCT are deemed substantial (see Annex E.1). In this sense, the statistics provided below on the ***market share of different tobacco products*** do not accurately reflect the domestic consumer preferences. Regarding ***FCT***, such share can vary greatly between countries, ranging from less than 1% (RO) to 62.4% of LU (driven, as discussed, by cross-border outflows), and with an EU-wide average of ca. 19%. Compared with 2015, the FCT EU-level market share is stable - thus confirming that substitution with cigarettes has significantly slowed down – despite notable variations occurred in MS. For instance, in BE and HU, the FCT market share has declined by more than 10% (absorbed by cigarettes). In EL, MT and CY, FCT has instead expanded by more than 5%.

The third most consumed tobacco product are ***cigarillos,*** that account, however, for just 1.6% of the total EU sales. Medium-term trends cannot be accurately assessed for the abovementioned comparability issue on the time series. Nevertheless, limiting the trend analysis to the 2017-2020 period, there are no significant fluctuations. The consumption of these products remains skewed: in some MS it is negligible (BG, PL, SK, HR and others), while in others, like EL and HU, it is close to or exceeds 5%.

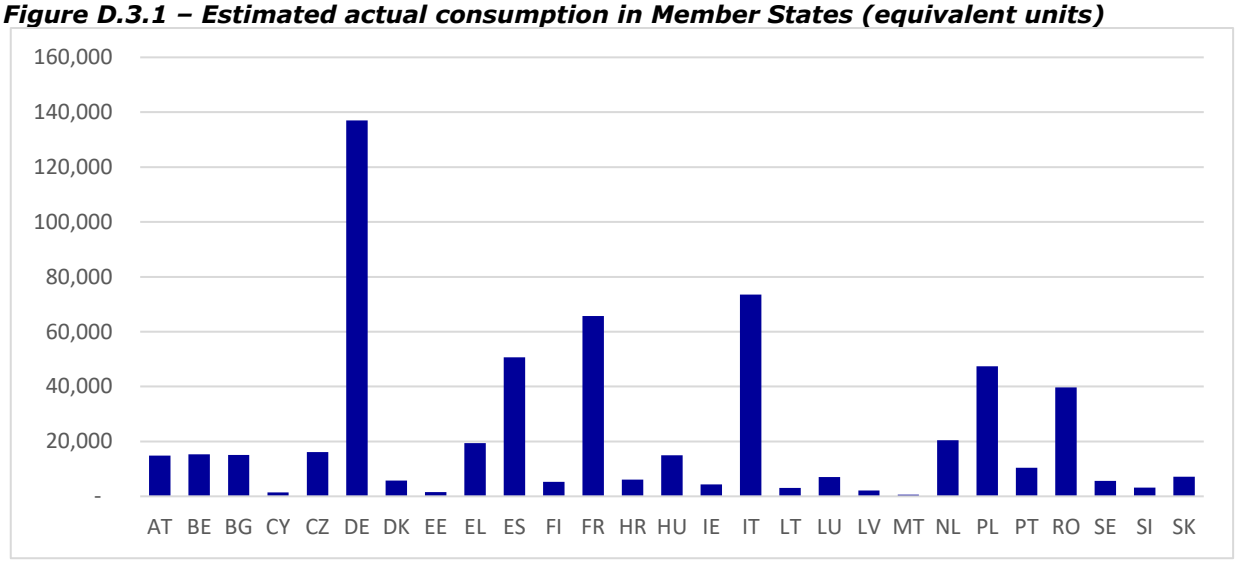
Table D.3.3 – The value of the manufactured tobacco market in the EU (2005-20)

	Av. Sales 2015-17	Av. Sales 2018-20	*CAGR*	FMC share 2020	*Var. (2015)*	FCT share 2020	*Var. (2015)*	Cigarillos share 2020
	Units*	Units*	%	%	*pp*	%	*pp*	%
AT	13,672	12,871	*-1.2%*	91.6%	*-0.3*	7.0%	*0.0%*	0.5%
BE	22,009	17,060	*-5.0%*	55.4%	*11.0*	42.8%	*-12.2%*	1.5%
BG	13,932	15,050	*1.6%*	95.5%	*-2.3*	4.4%	*2.3%*	0.0%
CY	1,541	1,491	*-0.7%*	75.2%	*-10.3*	19.4%	*8.7%*	1.4%
CZ	22,343	17,432	*-4.8%*	90.0%	*-1.7*	9.0%	*1.2%*	0.3%
DE	115,140	119,745	*0.8%*	61.6%	*-6.7*	29.9%	*1.4%*	2.2%
DK	6,642	5,761	*-2.8%*	88.4%	*1.0*	7.4%	*-0.3%*	0.6%
EE	1,893	1,661	*-2.6%*	92.8%	*-1.6*	5.9%	*3.0%*	0.6%
EL	18,784	15,912	*-3.3%*	71.7%	*-11.9*	21.6%	*5.6%*	5.8%
ES	56,983	54,809	*-0.8%*	78.1%	*-2.5*	15.9%	*1.8%*	3.3%
FI	5,161	4,540	*-2.5%*	78.8%	*-5.2*	18.0%	*3.3%*	2.8%
FR	58,644	52,900	*-2.0%*	73.4%	*-2.8*	21.6%	*1.0%*	2.2%
HR	6,467	6,371	*-0.3%*	94.3%	*-1.9*	5.5%	*2.1%*	0.1%
HU	15,505	14,968	*-0.7%*	56.1%	*9.3*	38.8%	*-12.9%*	4.8%
IE	3,850	2,834	*-5.9%*	81.6%	*-0.1*	17.7%	*0.6%*	0.2%
IT	78,280	72,349	*-1.6%*	88.0%	*-4.2*	10.1%	*3.3%*	1.0%
LT	3,211	2,874	*-2.2%*	91.7%	*-4.7*	4.2%	*3.1%*	3.1%
LU	7,666	8,468	*2.0%*	36.7%	*2.0*	62.4%	*-1.9%*	0.2%
LV	2,041	2,018	*-0.2%*	92.1%	*-1.8*	5.6%	*3.1%*	1.5%
MT	562	548	*-0.5%*	85.7%	*-6.8*	13.7%	*6.6%*	0.0%
NL	19,171	19,267	*0.1%*	55.4%	*5.4*	41.9%	*-5.1%*	1.5%
PL	45,017	48,720	*1.6%*	88.1%	*-4.6*	11.4%	*4.5%*	0.1%
PT	11,688	10,275	*-2.5%*	91.7%	*2.0*	5.7%	*-3.4%*	2.5%
RO**	24,172	26,389	*1.8%*	99.6%	*-0.2*	0.3%	*0.2%*	0.2%
SE	5,784	5,459	*-1.2%*	97.2%	*1.2*	1.7%	*-1.1%*	0.7%
SI	3,950	3,671	*-1.5%*	92.7%	*-0.8*	5.9%	*-0.1%*	0.4%
SK	7,160	7,338	*0.5%*	94.7%	*-2.8*	4.9%	*3.6%*	0.2%
EU	**571,270**	**550,782**	***-0.7%***	**77.2%**	***-2.1***	**18.9%**	***0.3%***	**1.6%**

Notes: *(*) expressed in stick equivalent units - for FCT and OST an equivalence of 0.75g=1 unit has been utilised. (**) in 2020 Romania reported out-of-scale RfC of cigarettes. The validity of the information could not be verified, so for this country the 2018-20 sales figures actually refer to 2018-19.*
Legend: *Av. sales=average sales volume for the 3-year period indicated; CAGR = compounded annual growth rate Var.=variation in percentage points (pp) - the variation is measured against the baseline year 2015.*

An indicative ***quantitative estimation of actual consumption*** in MS is provided in Figure D.3.1 below. The figure combines the above sales estimate for all tobacco products (converted to equivalent units) with the net inflows / outflows (based on KPMG's estimates) and illicit cigarettes consumption (average estimates of KPMG and Euromonitor International).

Figure D.3.1 – Estimated actual consumption in Member States (equivalent units)



Source: *Author's estimates based on RfC data, and unrecorded consumption estimates elaborated from KPMG and Euromonitor International data.*

D.3.2 Excise duty levels

Member States apply different levels of excise duties (ED) to tobacco products. In most cases, cigarettes are subject to the highest ED levels per unit of consumption, but exceptions exist. For instance, cigarillos are more taxed than cigarettes in BG, EE and PL. Comparing ED levels between different products is far from straightforward due to conversion issues. For FCT a conversion rate of 0.75g=1 stick is rather standard, but when it comes to other products the conversion is more difficult, due to the heterogeneity of the products involved (OST), different tax bases used in MS (per weight or per unit as in the case of cigars and cigarillos) and unfeasibility to set a representative WAP level for the category (cigar). Having these caveats in mind, Table D.3.4 explores the ***difference in ED levels and how the 'tax gap' has evolved*** between cigarettes and the main substitutes - FCT and cigarillos:

- In the past three years, the tax gap between cigarettes and FCT have continued shrinking, although at a slower pace compared to the previous period. On average, FCT is 40% less excised than cigarettes (per unit of consumption), with a reduction of 2 percentage points since 2017. In some MS, especially DK and HR, a more substantial reduction has been registered. In other MS (e.g. BG, PL, CZ) a small increase has instead occurred. Overall, there remain relevant disparities across MS, with countries like PT and EL that have nearly removed any tax gap, while in countries like DE and LU the FCT ED level is 67% lower than the cigarettes level.
- Regarding cigarillos, the average tax gap is moderately smaller, i.e. 35%, but no reduction has been registered since 2017 at the EU aggregate level. The disparity of trends between countries is again significant: some MS have reduced the tax gap between cigarettes and cigarillos by more than 20 percentage points (HR, LV, PL, SK) while in others the gap has notably deepened (EL, EE, PT). Besides some measurement errors (most likely with cigarillos), this is primarily the effect of an increase in cigarettes ED, which was not accompanied in parallel by an increase of rates for cigarillos, but also of low-price cigarillos entering markets, where a partly ad valorem taxation has translated into a lowering of the average excise duty yield for the entire category.

Table D.3.4 – Excise duty levels for different categories of tobacco products and 'tax gap' trends

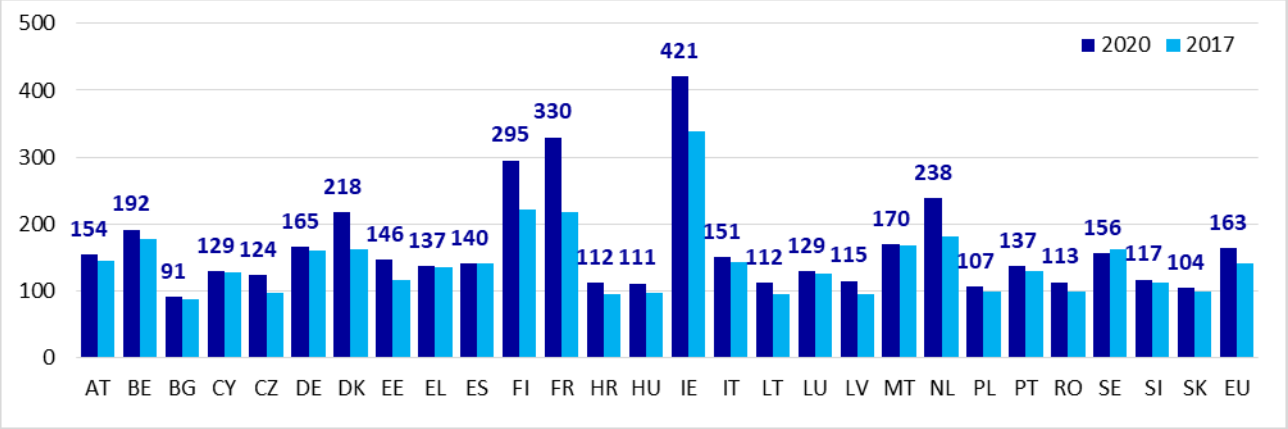
	FMC	FCT	Gap* 2020	Var. 2017	Cigarillos	Gap 2020	Var. 2017	OST
	€/1000	€/kg	%	pp	€/1000	%	pp	€/kg
AT	154	120	41%	-7	100	35%	4	38
BE	192	105	59%	-8	96	50%	-7	105
BG	91	78	36%	4	138	-53%	8	119
CY	129	150	13%	1	113	13%	-17	150
CZ	124	101	39%	3	73	41%	4	101
DE	165	72	67%	1	16	91%	1	27
DK	218	181	38%	-13	162	26%	-13	175
EE	146	90	54%	0	211	-45%	36	90
EL	137	170	7%	3	60	57%	54	157
ES	140	99	47%	0	42	70%	0	22
FI	295	184	53%	0	290	2%	10	279
FR	330	301	32%	-8	237	28%	-18	174
HR	112	106	29%	-15	106	6%	-20	106
HU	111	61	59%	1	16	86%	-1	61
IE	421	399	29%	-3	415	1%	-3	288
IT	151	130	35%	-2	46	69%	25	93
LT	112	77	49%	-9	59	48%	-18	77
LU	129	57	67%	-4	27	79%	-2	55
LV	115	75	51%	0	95	17%	-22	75
MT	170	122	46%	-1	25	85%	0	122
NL	238	156	51%	-8	18	92%	-1	156
PL	107	72	49%	5	124	-16%	-23	97
PT	137	175	4%	2	62	55%	32	175
RO	113	98	35%	0	68	40%	9	98
SE	156	187	10%	0	135	14%	0	187
SI	117	107	31%	-1	43	63%	1	44
SK	104	77	45%	-1	96	8%	-20	77
EU	**163**	**131**	**40%**	**-2**	**106**	**35%**	**0**	**116**

Source: *Author's estimates based on TAXUD data (complemented with Euromonitor International and other web sources).*
Notes: *Excise duty levels refer to the weighted average price (WAP) category of products (for limitations and caveats see Annex A). Where relevant, the excise duty levels take into account the MED (minimum excise duty) applied by MS. For FCT (*) the tax gap is calculated assuming a conversion rate of 0.75g=1 stick. Variations are expressed in percentage point (pp) difference between the tax gap measured in 2020 and back in 2017.*

The average ***excise duties levied on cigarettes*** in the EU amount to EUR 163 (simple average, 2020). In 2017, it amounted to EUR 142, so an increase of nearly 15% has occurred. There remains a significant difference between MS, with three countries (FI, FR and IE) levying excise duties that are nearly or more than twice as high as the EU average, while others that are well below such level (ED level in BG was EUR 91 in 2020). In the past three years, no convergence trend was registered. Conversely, the variance of ED levels (measured on values indexed to the EU average) has increased from 14% to 21%. This can be ascribed to the substantial increases (exceeding 30%) registered in countries where ED levels were already high in nominal terms, compared to the EU average, namely FR, DK, FI and NL. In other countries, as Figure D.3.2 shows, the ED increase was instead minimal.

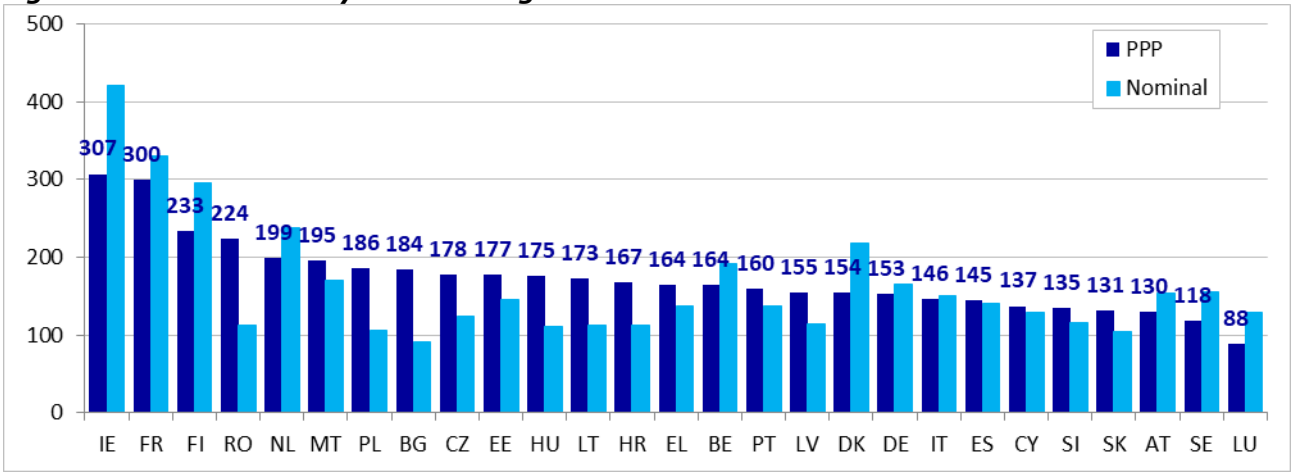
The following Figure D.3.3 compares ED levels in nominal and in real terms, based on ***purchasing power parities*** (PPP). Data clearly shows that the two indicators often diverge, and there are low-ED countries (especially RO, PL, BG, HU and LT) where in real terms the taxation is actually higher than the EU average. Incidentally, it is worth remarking that, when expressed in PPP terms, ED levels in the EU are significantly more convergent, with a statistical variance of 7% (instead of 21%).

Figure D.3.2 – Excise duty levels for cigarettes in MS (2017, 2020)



Source: *Author's estimates based on TAXUD data.*
Notes: *in some cases (e.g. SE) the trend is influenced by fluctuations of the exchange rates of the national currency v. Euro.*

Figure D.3.3 – Excise duty levels for cigarettes in nominal and PPP terms

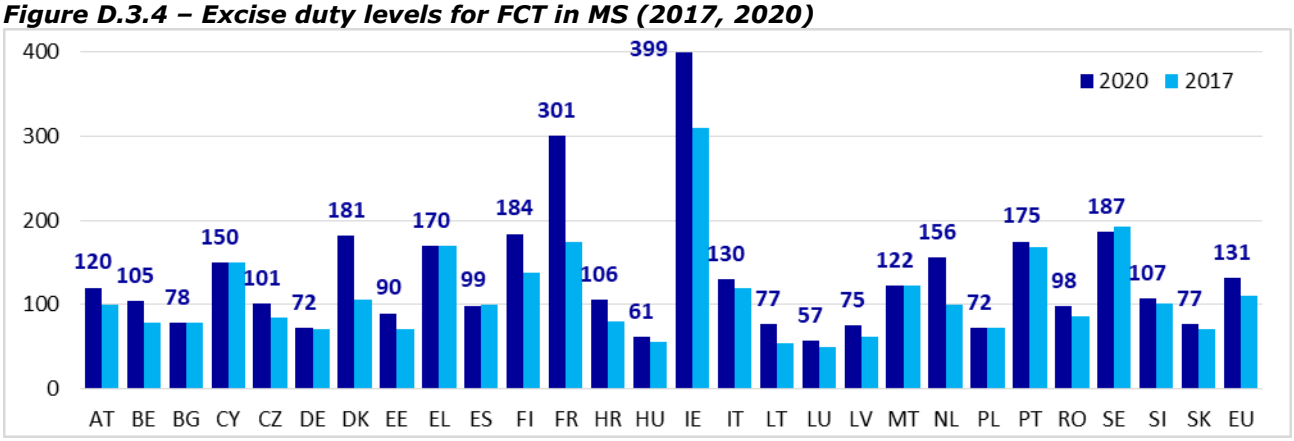


Notes: *Purchasing power parities (PPP), based on Eurostat price level index (PLI) for actual individual consumption.*

Between 2017 and 2020, the average ***excise duty levied on FCT*** in the MS has grown from EUR 110 to EUR 131 per kg (simple average), i.e. around 19% in relative terms. The extent of divergence between national levels is even higher than for cigarettes, with a couple of countries applying rates exceeding EUR 300 / kg (FR and IE), while others lingering around EUR 60 (HU and LU). The statistical variance in ED levels (measured on values indexed to the EU average) was 32% in 2020, i.e. six percentage points more than in 2017. This is the result of very different ED policies: three countries have adopted ED increases exceeding 50% (FR, NL, and DK), while in 8 MS ED levels did not (or marginally) evolve (BG, CY, DE, EL, ES, MT, PL and SE).

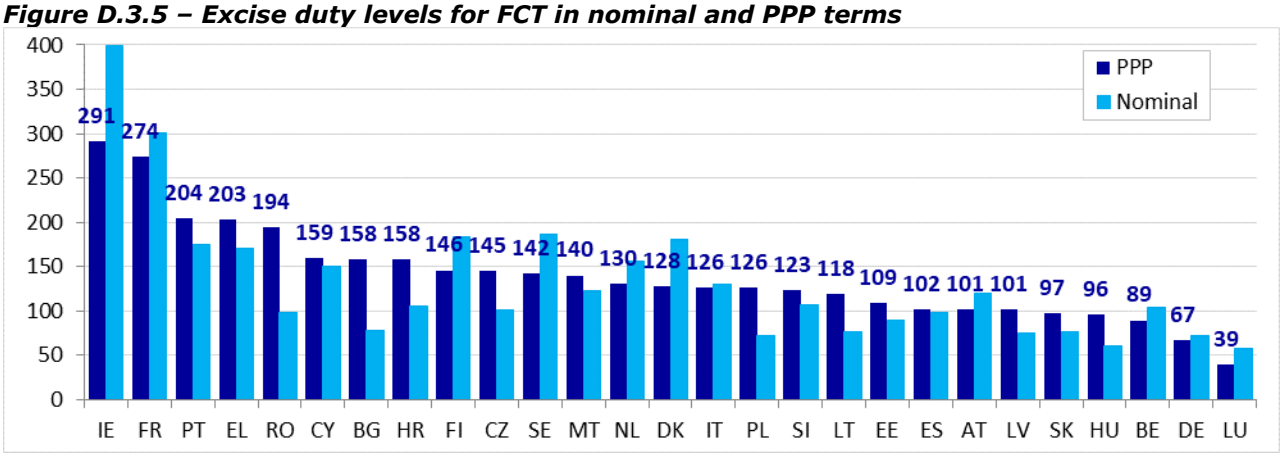
When translated in PPP terms (Figure D.3.5), the disparity between ED levels shows patterns that are similar to those described for cigarettes. In some countries, e.g. RO, BG, HR, PL, CZ and LT, the taxation of FCT is in real terms much higher than in nominal terms. Again, the overall statistical variance is lower when measured in PPP terms (i.e. 15% against 32% in nominal terms).

Figure D.3.4 – Excise duty levels for FCT in MS (2017, 2020)



Source: *Author's estimates based on TAXUD data (complemented with Euromonitor International and other web sources).*
Notes: *in some cases (e.g. SE) the trend is influenced by fluctuations of the exchange rates of the national currency v. Euro.*

Figure D.3.5 – Excise duty levels for FCT in nominal and PPP terms



Notes: *Purchasing power parities (PPP), based on Eurostat price level index (PLI) for actual individual consumption.*

D.3.3 Price levels and the incidence of taxation

The ***disparities in price levels between products*** partly reflect ED level differences, with some notable exceptions. As showed in Table D.3.5 below, the average price 'gap' between FCT and cigarettes amounts to 37%, i.e. largely in line with the 40% ED gaps showed in Table D.3.4 above.

Conversely, the average price of cigarillos is higher than the price of cigarettes, despite the much lower ED levels applied. Having in mind the caveats with the cigarillos price data (see Annex A), this reveals the substantial difference that exists between these two categories of products, especially as regards the manufacturing process and costs. At the same time, the substantial disparities in the price levels of cigarillos between MS can be ascribed to the commercialisation of ***'borderline cigarillos'*** (or 'price-fighters'), whose retail price can be lower than the price of cigarettes, precisely because of lower tax levels imposed. Overall, the price gap between cigarillos and cigarettes ranges can be as low as 63% (DE), but in other countries (BG, EE. HR, SI), cigarillos appear substantially more expensive than cigarettes.

The average price of ***other smoking tobacco*** is similar to the price of FCT, which partly reflect the fact that various countries apply the same rates to both categories. However, due to the heterogeneity of the products involved and of the uncertainties in the data available (see Annex A), OST price figures seem not robust enough to support an inferential assessment.

Table D.3.5 – Price levels for different categories of tobacco products

	FMC	FCT	Gap* 2020	Var. 2017	Cigarillos	Gap 2020	OST
	€/1000	€/kg	%	pp	€/1000	%	€/kg
AT	255	190	44%	10	444	-74%	112
BE	313	179	57%	-20	360	-15%	175
BG	138	122	34%	57	505	-265%	177
CY	218	227	22%	57	412	-89%	227
CZ	190	143	43%	19	388	-104%	204
DE	309	159	61%	-23	115	63%	90
DK	336	271	39%	20	430	-28%	321
EE	214	180	37%	21	530	-148%	203
EL	211	257	9%	82	170	19%	222
ES	227	173	43%	14	135	40%	63
FI	430	262	54%	-13	449	-4%	442
FR	485	445	31%	31	473	3%	277
HR	186	174	30%	39	455	-145%	205
HU	211	144	49%	-6	115	46%	114
IE	641	614	28%	41	605	6%	560
IT	252	204	39%	21	127	49%	164
LT	188	180	28%	54	218	-16%	183
LU	237	115	63%	-29	267	-13%	110
LV	179	181	24%	67	280	-56%	229
MT	270	200	44%	13	183	32%	200
NL	358	223	53%	-10	228	36%	250
PL	171	114	50%	10	333	-95%	191
PT	232	267	14%	73	165	29%	317
RO	204	234	14%	86	243	-19%	250
SE	296	350	11%	79	530	-79%	430
SI	191	171	33%	34	470	-147%	171
SK	173	188	19%	60	396	-129%	286
EU	**263**	**221**	**37%**	**26**	**334**	**-27%**	**229**

Source: *Author's estimates based on TAXUD data (complemented with Euromonitor International and other web sources).*
Notes: *Figures refer to the weighted average price (WAP) category of products (for limitations and caveats, see Annex A). For FCT (*) the tax gap is calculated assuming a conversion rate of 0.75g=1 stick. Variations are expressed in percentage point (pp) difference between the tax gap measured in 2020 and back in 2017. Cigarillos price data are tentative, as validated figures are available in few MS only.*

The next table (Table D.3.6) examines the ***incidence of excise duties on price levels*** for the different product categories, and how it has evolved in the case of cigarettes and FCT since the last retrospective evaluation (EA 2019). As discussed, a minimum ED incidence on price is one of the Directive conditions, however, in the case of ***cigarettes,*** the condition can be derogated if ED exceeds a certain threshold (escape clause), which explains why some countries appear below the prescribed 60% (e.g. DE, HU[183], LU, SE and others). In the 2017-2020 period, the average incidence has increased by one percentage point, from 61% to 62%. In some MS – FR, NL, DK and CZ – the increase was more substantial (4% to 8%), indicating that part of the ED increase was actually absorbed in the value chain and not passed on to the retail price. If VAT is included, the total tax incidence on price in the EU amounts on average to 79%, ranging from 69% (DE and LU) to 88% (FI).

Regarding ***FCT***, the ED incidence on price has increased more substantially in the 2017-2020 period, moving from 56% to 59%. Also in this case, the EU minimum requirement of 50% can be derogated if the minimum fixed amount requirement is complied. Therefore, in some MS, the ED incidence is as low as 41% (LV and SK). Conversely, in CZ, NL and FI, it has reached 70%. In 13 MS, the FCT ED incidence is higher than for cigarettes. Again, the increase can be partly related to tax 'absorption' practices: for instance in LT, the ED level has increased by EUR 23 in 2017-20, but the WAP only by EUR 5. The ED incidence on price for OST and cigarillos is lower

[183] In the case of HU, there is actually an infringement case ongoing before CJEU.

– respectively 51% and 32%, with huge disparities between countries. However, the results are possibly affected by uncertainties with the price level determination and have to be taken as merely indicative.

Table D.3.6 – Tax incidence on price levels and trends

	FMC				FCT			OST	Cigarillos
	2020	2017	Var.	TTB	2020	2017	Var.	2020	2020
	ED/WAP	ED/WAP	pp		ED/WAP	ED/WAP	pp	ED/WAP	ED/WAP
AT	60%	61%	-1%	77%	63%	58%	5%	34%	23%
BE	61%	60%	1%	79%	59%	54%	5%	60%	27%
BG	65%	67%	-2%	82%	64%	50%	14%	67%	27%
CY	59%	60%	0%	75%	66%	66%	0%	66%	27%
CZ	65%	59%	6%	82%	70%	61%	9%	49%	19%
DE	53%	56%	-3%	69%	45%	49%	-4%	31%	14%
DK	65%	60%	5%	85%	67%	50%	17%	54%	38%
EE	68%	66%	3%	85%	50%	52%	-2%	44%	40%
EL	65%	65%	0%	84%	66%	69%	-3%	71%	35%
ES	62%	62%	0%	79%	57%	58%	-1%	35%	31%
FI	69%	66%	2%	88%	70%	75%	-5%	63%	65%
FR	68%	64%	4%	85%	68%	61%	6%	63%	50%
HR	60%	67%	-7%	80%	61%	55%	6%	52%	23%
HU	52%	55%	-2%	74%	42%	55%	-12%	54%	14%
IE	66%	63%	2%	84%	65%	63%	2%	51%	69%
IT	60%	59%	1%	78%	64%	61%	3%	57%	36%
LT	60%	60%	-1%	77%	43%	31%	12%	42%	27%
LU	55%	55%	0%	69%	50%	46%	3%	50%	10%
LV	64%	63%	1%	81%	41%	34%	8%	33%	34%
MT	63%	66%	-3%	78%	61%	61%	0%	61%	14%
NL	67%	59%	8%	84%	70%	56%	14%	62%	8%
PL	63%	61%	1%	81%	63%	57%	6%	51%	37%
PT	59%	58%	1%	78%	65%	65%	0%	55%	38%
RO	56%	57%	-2%	71%	42%	37%	5%	39%	28%
SE	53%	54%	-1%	73%	53%	53%	0%	43%	25%
SI	61%	63%	-1%	79%	62%	63%	-1%	25%	9%
SK	60%	61%	-1%	77%	41%	42%	-1%	27%	24%
EU	**62%**	**61%**	**1%**	**79%**	**59%**	**56%**	**4%**	**51%**	**32%**

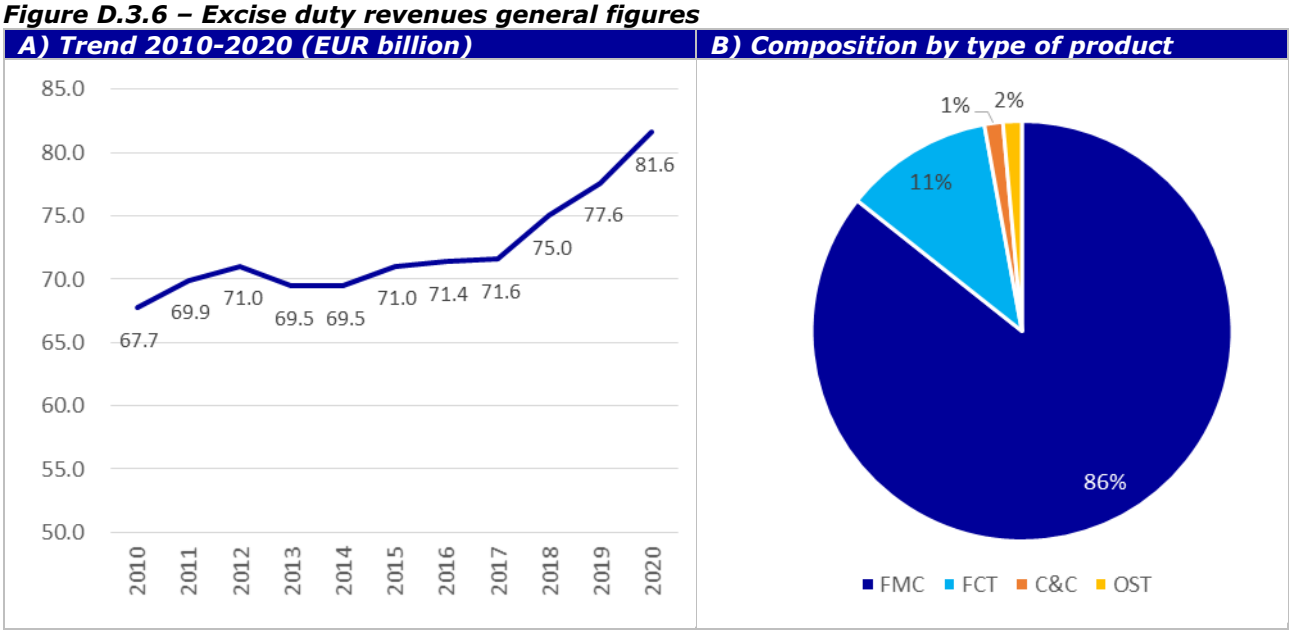
Legend: *ED=excise duties; WAP=weighted average price; TTB=total tax burden (ED + VAT) incidence on price*.

D.3.4 Excise duty revenues

After a few years of relative stagnation, since 2017 the total ***ED revenues collected from tobacco products in the EU have been increasing*** at the pace of 4.4% year-on-year, totalling EUR 81.6 billion in 2020. In absolute values, the surge was primarily driven by France, which increase its ED yield by EUR 6.3 billion in 3 years, followed by PL, DE and RO (Table D.3.7). In relative terms, also FI, MT, HU, DK and LU witnessed a substantial growth in revenues, exceeding 20% compared to 2017. In a handful of countries, revenues declined, especially in IE and CY and, to a smaller extent, in SE, SI and PT.

Cigarettes account for the bulk of revenue yields, namely 86% of the total. FCT accounts for 11% and the remainder is almost equally shared between OST (2%) and C&C (1%). In the revenue statistics reported by MS to the Commission, data are often aggregated so, to estimate the relative share of the revenue from different products, we have reconstructed the virtual ED revenue by multiplying the average yield (at the WAP level) by the volume of sales. As shown in Table D.3.7, this led to a moderate underestimation, which, however, can be almost entirely attributed to France, and is probably due to the fact that the reported RfC does not include sales in Corsica (while tax revenues probably do).

Figure D.3.6 – Excise duty revenues general figures



Sources: *Panel A = DG TAXUD excise duty datasets; Panel B = Author's elaboration based on market and excise duty data.*

Table D.3.7 – Excise duty revenues by MS and tobacco product (2020, EUR million)

	FMC	FCT	C&C	OST	Total (reconstructed)	Total declared	Var. 2017-20
AT*	1,804.8	81.1	11.9	1.0	1,898.8	1,892.0	1%
BE	1,702.0	537.1	23.1	12.4	2,274.6	2,316.5	1%
BG	1,334.1	39.5	0.9	0.0	1,374.6	1,420.1	17%
CY	125.5	28.2	2.0	0.1	155.7	164.3	-14%
CZ	2,198.6	134.3	10.3	1.4	2,344.5	2,348.9	13%
DE	12,465.7	1,978.6	50.6	100.1	14,595.1	15,245.2	6%
DK	1,028.0	53.4	7.5	0.4	1,089.3	1,278.9	25%
EE	217.9	6.3	2.2	0.0	226.4	227.7	16%
EL	1,550.0	433.7	357.8	155.2	2,496.7	2,030.7	-2%
ES	5,780.6	620.9	117.9	73.2	6,592.6	6,584.6	-2%
FI	1,103.9	116.0	73.9	8.6	1,302.3	1,274.1	35%
FR	11,808.6	2,385.0	302.2	720.8	15,216.6	17,824.5	54%
HR	640.5	27.1	0.9	0.0	668.5	669.3	14%
HU	919.8	265.9	12.0	3.2	1,200.9	1,218.3	27%
IE	1,056.6	155.3	3.0	0.5	1,215.4	1,201.2	-14%
IT	9,303.6	693.5	93.3	64.7	10,155.1	10,603.4	1%
LT	272.8	6.6	3.9	0.0	283.3	286.3	1%
LU	423.4	238.3	2.5	0.6	664.8	665.3	24%
LV*	206.6	6.2	2.9	0.0	215.7	227.0	19%
MT	79.5	6.8	0.0	0.0	86.3	133.4	45%
NL*	2,455.7	915.2	15.7	14.4	3,400.9	2,636.8	8%
PL	4,606.0	303.6	3.9	1.2	4,914.8	5,019.0	11%
PT	1,214.1	51.8	20.6	1.1	1,287.5	1,341.4	-7%
RO	4,232.3	8.5	5.6	0.0	4,246.5	3,031.8	44%
SE	779.5	11.9	5.5	0.1	797.0	799.2	-9%
SI	379.8	16.5	2.9	0.0	399.3	403.9	-6%
SK	720.1	20.8	1.9	0.0	742.8	756.0	6%
EU	**68,409.9**	**9,142.3**	**1,134.8**	**1,159.0**	**79,846.0**	**81,599.8**	**14%**

Sources: *Author's elaboration based on market and excise duty data. (*) 'Total declared' refers to 2019, as not reported in 2020.*

ANNEX E - CASE-STUDIES

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Note on confidentiality: The information and data reported in this Annex have been drawn from different types of sources, including fieldwork interviews with public authorities, industry representatives, public health experts, and other academic and/or professional experts. To preserve the confidentiality of interviewees we have omitted any explicit reference to the sources and/or to elements that would permit their identification. This applies also to classified or unpublished documents that were shared with the team by stakeholders. All views or considerations reported in this Annex must be considered as the Consultant's own analysis and interpretation of the information collected.

E.1 Cross-Border Flows

E.1.1 Overview of the issue

One of the main objectives of minimum rates provisions laid down in the Directive was to ***encourage convergence in the excise duty rates applied by MS,*** to reduce disparities in price levels. The existence of significant price differences is a major driver of 'cross-border shopping', i.e. the activity wherein private individuals buy goods abroad because of lower taxes and bring them home for their own consumption.

The general excise duty arrangements regulate the cross-border acquisition of tobacco products by private individuals (Art 32 of the Horizontal Directive), establishing that, when excise goods are acquired and moved across MS by a private individual for his own use, these are subject to the excise duties of the country of purchase and not of the country of consumption. To prevent abuses, MS may establish rules to verify the individual's own use principle, including setting quantitative 'guide levels', which – according to Art 32.3 of the Horizontal Directive - cannot be lower than: 800 cigarettes, 400 cigarillos, 200 cigars, 1 kg of smoking tobacco.

In practice, large differences in price levels between MS can create incentives for cross-border flows of tobacco products, which seemingly go beyond the limits and/or the intended purpose of Art 32. As the results of the EA 2019 econometric analysis showed, the extent of the flows is statistically correlated with the ***price differential existing between two countries***. The limited risk of being controlled while travelling within the EU, combined with modest penalties involved in case of irregularities, can further fuel the abuse of the acquisition by private individuals' rules.

Measuring this phenomenon is complicated, so most of the evidence available is qualitative or difficult to validate. Overall, it is estimated that these movements can take the form of:

- an ***overstretching of the concept of own individual use*** – (i.e. purchases for family members, friends etc.);
- ***ant-smuggling*** (also referred to as 'bootlegging') - i.e. continuous, frequent shopping trips (including multiple trips per day or week) involving the purchase of small (legitimate) quantities of tobacco, for re-selling at a profit;
- ***organised smuggling activity***, especially when it involves buying cigarettes in low-price markets to resell them in high-price markets that are not geographically close.

In terms of the policy issues to be addressed, the adverse effects of cross-border flows are essentially threefold:

1. They can ***undermine MS policies to deter tobacco consumption*** through taxation, since a consumer may procure cheaper products in neighbouring countries (or from travellers / ant-smugglers).
2. They have a ***distributional impact on MS tax revenues***, with low-tax MS registering an increase of revenue at the expenses of high-tax MS. In most countries, these effects are of limited magnitude, but foregone revenues can become significant for a few MS (like FR) that are particularly prone to inflows of non-domestic cigarettes from other MS.
3. They can distort ***competition and market functioning*** through 'cross-border substitution'. In the past, some cases were registered (and sanctioned), involving manufacturers' practice of oversupplying one market, with the surreptitious aim of reaching a neighbouring market[184].

[184] In 2014 the UK Customs fined a cigarettes manufacturer £ 500,000 for oversupplying the Belgian market with the supposed intent of fostering cross-border flow into the UK.

The policy problem may require coordinated interventions at multiple levels, including in areas outside of the Study's scope. In particular, a ***review of Article 32*** of the Horizontal Directive is ongoing, which might lead to a revision of the guide levels (and derogations thereof) and/or of the definition of cross-border acquisition of excise goods by private individuals for their own use.[185]

At the same time, the Directive provisions on minimum excise duties can help mitigate disparities in MS tax levels, removing incentives to abuse the private use principle. As EA 2019 indicated, the Directive's achievements in this area have been mixed so far. Over the years, the gap between 'high-tax' and 'low-tax' countries did not reduce, but slightly expanded. EU minima have contributed to mitigating such divergence, but their effectiveness has progressively declined as periodical increases were insufficient to cope with price levels and income growth.

This issue is explicitly mentioned in Council Conclusions 2020, which affirm that ***minimum excise duty rates need to be increased*** on several tobacco products to 'regain traction', and that ***more convergence in rates across the EU is necessary,*** since the disparity in tax (and prices) facilitates the illegal trade of cheaper products across borders, in contradiction with the principle that excise duties have to be paid in the country of consumption. At the same time, the Council recognised the potentially disruptive effects of excessive tax increase in MS with lower income and economic conditions levels, so it has to be devised a mechanism able to reconcile:

- the need to reduce tax level disparities from the bottom – i.e. low-tax MS should get closer to the levels applied in high-tax MS;
- the need to take income levels into account and envisage minimum rates that would not disrupt low-tax MS markets.

E.1.2 Assessment of cross-border flows

- **MEASURING CROSS-BORDER FLOWS, METHODS AND SOURCES**

Official estimates of the extent of cross-border flows are unavailable and very difficult to produce, as border controls of travellers within the EU are limited and MS have margins for interpreting and applying the 'private use' principle and the verification criteria laid down in Art 32.2 of the Horizontal Directive. Where such estimates exist, these are normally produced with the same methodologies used for illicit trade estimation (see Section E.2), namely: (1) consumers' surveys; (2) empty pack surveys (and ensuing modelling); (3) inference from seizures (e.g. travellers' checks in airport or land border points) and (4) other inference models analysing discrepancies between expected consumption (based on smoking prevalence) and actual domestic sales. A review of estimation methodologies has been recently carried out by *RAND Europe* in the framework of a study on measuring illicit trade for tobacco products commissioned by OLAF (see Section E.2 for a summary review).[186]

Compared to measuring illicit trade, the analysis of cross-border flows implies an additional complication. The acquisition of non-domestic legal products (i.e. genuine and duty-paid in

[185] The evaluation of Directive 2008/118/EC carried out in 2017 and a subsequent specific assessment of Article 32 carried out by PricewaterhouseCoopers LLP – "Study assessing articles 32 and 36 of Council Directive 2008/118/EC concerning the general arrangements for excise duty, 2020" ("PwC 2020") - raised a series of issues with these provisions, due to the strong economic incentives that exist for 'ant-smuggling' excise goods from cheaper countries to more expensive ones and related enforcement difficulties. The Commission has therefore initiated a procedure on a possible review of Article 32. An Inception Impact Assessment was published in December 2020. The policy options for the change under consideration include: a change in guide levels, the revision of rules concerning the concept of own use by private individuals and introducing the possibility for MS to derogate guide levels to address disproportionate negative effects of cross-border shopping. Source: https://eur-lex.europa.eu/legal-content/EN/ALL/?uri=PI_COM:Ares(2020)7440869

[186] RAND Europe, "Study to identify an approach to measure the illicit market for tobacco products. Final report", for the European Commission, April 2020.

another country) for own private consumption does not per se infringe excise duty rules. As discussed above, abuses materialise where the acquisitions exceed in quantitative terms what enforcement authorities would consider as private use (but this can be easily circumvented through multiple small-scale movements) or are the subject of further transactions. In both cases, this cannot be verified downstream (i.e. at the level of final consumer) neither through 'empty pack surveys' nor by consumer surveys (with or without product inspection / surrendering). These methods can ascertain whether a package has been released for consumption in another MS, but cannot tell whether it was part of legitimate (for personal use) travellers' acquisition or whether an abuse of the personal use principle was committed.

In EA 2019 an attempt was made to quantify the phenomenon through the 'empty pack surveys' data collected in the framework of KPMG's *Project SUN.* The raw data from empty pack surveys were used to elaborate an ***own indicator of non-domestic legal (NDL) cigarettes*** moved across EU borders, partly different from *Project SUN* estimates. Estimates were then cross-checked for coherence with own calculations based on Eurobarometer data[187] and other official statistics provided by MS authorities consulted. Additionally, EA 2019 estimated the share of flows possibly ***driven by economic incentives*** – i.e. price differences sufficiently high to justify not only purchases for private consumption by tourists or travellers, but also to ensure an economic profit in case of illicit reselling or travelling for the sole purpose of buying cigarettes. The indicator was built filtering out from the total: (a) NDL flows where the WAP at origin is higher than the WAP at destination; (b) NDL flows between countries where the WAP difference in PPP terms seems too low to allow an economic profit.[188] Evidently, as no information is available on how and by whom NDL cigarettes are actually consumed, the 'economic-driven NDL flows' indicator could not measure the extent of abuse of the 'private use' principle, but only where this was economically possible. For reference, the results of EA 2019 are reported in box E.1.1 below.

Box E.1.1 – Summary of EA 2019 results of cross-border flows analysis

Table E.1.1 below reproduces some of the main results from the EA 2019 analysis of cross-border NDL cigarettes flows:

- In the 2010-2016 period, the overall estimated NDL flows amounted on average to approximately ***32.6 billion pieces / year*** (including the UK).
- For the majority of MS ***outflows*** of NDL appear limited – i.e. below 5% of the total cigarettes released for consumption (RfC) – but in a few cases, two-digits figures are registered (LT, EE, LV, HU, SI, PL, CZ, LU). The Luxembourg's case stands out: seemingly half of the cigarettes released for consumption in the country are actually consumed abroad.
- Similarly, the incidence of NDL ***inflow*** on the domestic consumption is almost negligible in most MS, but in five MS it reaches from 13% to 18% of the total (AT, DE, FR, IE and NL).

As MS can register both inflows from some countries and outflows to other ones, the net impact on tax revenue was calculated considering both the extra receipts generated by NDL outflows and the 'forgone revenue' caused by the substitution of domestic cigarettes with NDL. As shown in Table E.1.1:

- In the 2010-2016 period, cross-border flows caused an average 'net' loss of excise duty revenue of nearly EUR 2.5 billion / year. If the UK is excluded from the analysis, the estimated loss will fall to ***around EUR 1.1 billion***.
- Unsurprisingly, revenue losses are primarily caused by ***economic-driven NDL flows***, which accounted for nearly ***94% of the total losses***.
- Country-wise, for 16 MS the net impact on tax receipts (i.e. considering both inflows and outflows) is limited and comprised between -5% and +5% of the total receipts from cigarettes (in 2016). For four MS, namely IE, FR, FI and DE, the revenue loss incidence is more significant. Conversely, seven MS,

[187] A quite significant correlation (0.7) was observed between EA 2019 estimates and the results of the Eurobarometer 385 survey on the share of consumers reporting cross-border purchasing.
[188] In the simulations carried out under EA 2019, a threshold of EUR 1.5 WAP difference (in PPP terms) per packet of cigarettes was retained, which corresponded to the median value of the WAP differentials distribution.

LU, CZ, EE, PL, LT, ES and RO, seemingly register considerable extra revenue in connection with cross-border flows.

- EA 2019 results also reported that, in the period considered, the revenue loss increased both in absolute terms, as well as a share of the total receipts collected on cigarettes (i.e. from 2.6% to 3.4%).

Table E.1.1– Estimated cross-border flows of cigarettes in EU28 (2010-16)

	NDL Pieces (bn)		In % of RfC		Revenue Impact (EUR million)	
	Outflow	**Inflow**	**Outflow**	**Inflow**	**Total**	**Economic-driven**
AT	-0.4	2.0	-3%	14%	-190	-15
BE	-1.8	0.7	-17%	8%	258	-17
BG	-0.4	< 0.05	-3%	< 0.5%	49	49
CY	-0.1	< 0.05	-8%	1%	5	4
CZ	-6.1	0.1	-30%	1%	586	543
DE	-1.2	14.3	-1%	15%	-1,711	-1,639
DK	-0.1	0.2	-2%	3%	-6	-6
EE	-0.3	< 0.05	-17%	1%	29	31
EL	-0.4	0.1	-2%	1%	23	13
ES	-3.9	0.2	-7%	< 0.5%	557	539
FI	< 0.05	0.3	-1%	6%	-57	-58
FR	-0.5	7.0	-1%	13%	-1,490	-1,111
HR*	-0.2	< 0.05	-4%	< 0.5%	28	9
HU	-1	0.1	-10%	1%	58	27
IE	-0.1	0.7	-2%	18%	-191	-220
IT	-0.9	0.7	-1%	1%	51	66
LT	-0.3	0.1	-10%	3%	24	24
LU	-1.7	< 0.05	-49%	< 0.5%	177	109
LV	-0.1	< 0.05	-4%	1%	8	7
MT	< 0.05	< 0.05	-9%	1%	3	1
NL	-0.3	1.6	-3%	13%	-182	-64
PL	-8.9	0.2	-18%	< 0.5%	646	645
PT	-0.6	0.1	-5%	1%	50	51
RO	-1.4	0.1	-6%	< 0.5%	156	145
SE	-0.2	0.2	-3%	3%	-24	-22
SI	-1	0.1	-24%	1%	58	4
SK	-0.3	0.1	-4%	1%	28	29
UK	-0.4	3.4	-1%	9%	-1,434	-1,480
	-32.6	**32.6**			**-2,491**	**-2,335**

Source: *EA 2019. Author's re-elaboration of Project SUN raw dataset, and EDT.*
Legend: *NDL=non-domestic legal cigarettes**;** RfC=cigarettes released for consumption.*
Notes: *(*) Data for HR refer to 2013-16. The 'outflow incidence' is the ratio between the amount of NDL outflow and the total RfC; the 'inflow incidence' is the ratio between NDL inflow and the sum of inflows and RfC minus outflows. 'Economic-driven' revenue impact refers to the share of NDL flows possibly driven by economic incentives – i.e. price differences that are sufficiently high to justify not only purchases for private consumption by tourists or travellers, but also to ensure an economic profit in the case of illicit reselling.*

In the framework of this Study a new assessment of cross-border flows has been attempted. As detailed in Annex A (see the Appendix) an ***econometric model has been developed*** to exploit the data on retail distribution at regional level (NUTS3) made available by the ***Commission's traceability system***. The model allowed to measure how sensitive cross-border flows are to price differentials between bordering regions thus allowing a quantitative estimate of flows that can be attributed to such flows. The results – summarised in the next section and provided in detail in Annex F.3 - proved sufficiently robust although a few limitations have to be highlighted:

- The Commission's ***traceability system data are still incomplete***, with severe underreporting in various MS. Still the evidence collected from countries with sufficient accurate reporting can be extrapolated to make estimates for the entire EU.
- The analysis is based on regions (defined at NUTS3 level) with a land border with another MS region. So the model is ***not able to capture long distance flows*** (as well as flows from/to islands). This leads to estimates that are, coherently, lower than estimates based on other methods (e.g. with 'empty pack surveys').
- The traceability system data available at the time of the analysis were limited to the last quarter of 2020 and the first quarter of 2021. This was a limiting factor for two reasons: (a) ***short period of observation***; and (b) possible ***anomalies in the flows due to the COVID19-related restrictions*** that occurred throughout the EU in that period. However, the methodology developed remains valid, and it can be scaled in the future to obtain more precise estimates as the quantity and the quality of traceability system data improve.

Finally, in Table E.1.2 below we summarise MS authorities' reported methods and experience to measure cross-border flows in their countries.

Table E.1.2 – Review of selected MS approaches to measure cross-border flows

Sweden	• The Swedish Council for Information on Alcohol and Other Drugs (CAN - Centralförbundet för alkohol- och narkotikaupplysning) is responsible for collecting tobacco (and alcohol) related data for the EU Monitor surveys. This includes the gathering of data on the unregistered consumption of cigarettes and snus (and alcohol products), which is predominantly composed of travellers' imports but also smuggling to a smaller extent. Information is collected through telephone interviews with randomly selected individuals aged between 17 and 84 years, asking them about their recent (last 30 days) habits. Around 18,000 interviews are carried out each year. In 2019, the completion of the survey through a mobile app was piloted with 6,000 respondents. The survey is managed by IPSOS, with the interviews carried out by Norstat.[189] • According to CAN, the methodology for data collection changed in 2020. Because of this, CAN is still working on analysing and reporting the data collected in 2020. The 2020 report will be available only in September 2021. However, the travellers' imports are assumed to have decreased due to Covid-19 related travel restrictions.
Finland	• Since May 2004, travellers' imports of cigarettes and snus (as well as alcohol) are monitored on a weekly basis through telephone interviews conducted by Kantar TNS. Each week, 500 Finns aged 15 or over are randomly sampled and interviewed across the country (excluding Åland). Annual data are hence based on approximately 26,000 contacts, with around 2,600 (10%) having been abroad and reporting traveller's imports in the two weeks prior to the interview. • The quantities of cigarettes and snus (and alcoholic beverages) imported by travellers into Finland are based on population-representative research data weighted according to population data. The margin of error is +/- 50 million pieces for imported cigarettes and +/- 3.5 million packs for imported snus (95 % confidence level).[190]
Denmark	• Cross-border flows are measured through a questionnaire (written) survey carried out by an independent survey company. The survey used to be carried out every quarter, but is now implemented monthly with results reported in quarters. The total responses gravitate around 4,000 each year. • Additionally, estimates of flows based on credit card information collected from shops close to the country's borders are reportedly carried out.
Bulgaria	• In Bulgaria, cross-border flows trends are mainly examined through regular analysis of customs seizure data.

[189] https://www.can.se/undersokningar/monitormatningarna/
[190] Ministry of Finance, Tax department note by Veli Auvinen on 'Changes in travellers' imports and tax bases of alcohol and tobacco in 2020', 10 March 2021.

	• The other major source of information is the empty pack survey that is carried out on a quarterly basis. Data are collected by *Nielsen* and examined in the KPMG Report. The survey is sponsored by cigarettes manufacturers. The lockdowns were an obstacle for the execution of the survey. Thus, data collection for 2020 was less regular.
Ireland	• Revenue Ireland officially[191] relies for its estimates of cross-border flows on annual consumer surveys that have been carried out on regularly since 2009 for cigarettes and since 2013 for FCT users. The surveys are subject to a certain margin of statistical error, particularly as far as FCT tobacco is concerned, and should never be taken as precise estimates of single points in time, but as broad indicators of longer-term trends. • Other sources, including cigarettes released for consumption or evidence from smoking prevalence surveys, are not separately considered as a basis for estimates, as these are already somehow included in the survey weighting methodology itself. Ireland does not officially rely on industry-funded EPS sources either. • The cigarette survey[192] is based on two different national samples: one is conducted among 500 Irish smokers and the other among 300 Central/Eastern European nationals living in Ireland. This methodology has remained stable from the beginning of the exercise and the survey has always been run by the same company to ensure comparability of results over time. The FCT survey is conducted among a nationally representative sample of 200 Irish FCT smokers. All interviewees are adults aged 18 or older. The survey also includes a physical package check component and does not rely only on respondents' declarations. Answerers must carry with them a cigarette pack/ FCT tobacco pouch they use. Response rates are as high as 80%. The information from cigarette packages/FCT pouches is recorded by the interviewer during the interview and respondents are eventually asked to provide their pack for further analysis. Revenue tobacco experts are then called to determine whether the pack/pouch is legal. Their assessment is based on a combination of examination of the pack/pouch (the tax stamp and health warnings in particular) and the source of the pack/pouch (as declared by the interviewee). Gross survey population estimates are combined with smoking prevalence and consumption rates to provide an estimate of the share on total cigarette consumption in Ireland. For the illegal cigarettes survey, Irish smoker data are weighted to profiles obtained from the Healthy Ireland research on smoking prevalence. For other ethnic groups, data are weighted to Central Statistics Office data based on nationalities. For the FCT survey, data are weighted to profiles obtained from the NTCO Smoking Prevalence research.
France	• Enquête Baromètre de Santé publique France: annual (phone) survey based on about 10,000 adult individuals, representative of the population. Interviewees are notably asked the place where they purchased their last cigarette pack (tobacco shops, foreign, street buying on the sly, duty-free, etc.). Similarly, the ATLAS survey (2016) "*Tobacco supply: Where French smokers buy their tobacco*" provided estimates of cross-border flows (private use vs resell). • Another source of estimates on cross-border flows *is the annual KPMG report, based on empty pack surveys.* • Public Health NGOs considers that consumption data (like the *Baromètre*) are more suitable sources than the delivered volumes to tobacco shops (i.e. Logista-DGDDI data), since the latter are subject to temporary fluctuations and biases linked to specific supply shocks. An example is the implementation of the 'plain package' measure, which resulted in a momentarily increase in the delivered volumes. • According to the *Observatoire Français des Drogues et des Toxicomanies* different methods can be used to estimate cross-border flows: simulations of sales from references, econometric modelling, and comparison of prevalence of use and sales

[191] There are other unofficial estimates of the size of the illicit tobacco market in Ireland. The most comprehensive of these is Project Sun, which is a survey conducted across EU member states, Norway and Switzerland by KPMG, which estimates the scale and development of the illicit cigarette market based on an 'empty pack' survey. Then also the Irish Tobacco Manufacturers' Advisory Committee (ITMAC) until recently produced their annual estimate of the size of the illicit tobacco market in Ireland.

[192] https://www.audit.gov.ie/en/find-report/publications/2018/2017-annual-report-chapter-17-revenue's-progress-in-tackling-tobacco-smuggling.pdf

data. All the methods have pros and cons. The latter is the more robust and the one used by OFDT, along with surveys on purchase behaviour.

- No official estimates are instead elaborated by public authorities. Indeed, various private sector stakeholders lamented the absence of exhaustive studies on this subject. Tobacconists call for a permanent public enquiry into the exact extent of the parallel tobacco market (i.e. the consumption of tobacco whose products do not come from the tobacconist's network). The current parliamentary information mission is considering the possibility of launching an Observatory of tobacco to tackle this issue.

➢ ESTIMATED MAGNITUDE OF CROSS-BORDER FLOWS ACROSS THE EU

In this section we investigate the magnitude of cross-border flows based on available sources and having in mind the limitations and caveats described above. In particular, we present the results of four different approaches / sources, whose triangulation is expected to provide a fairly accurate picture of the issue at stake. In particular:

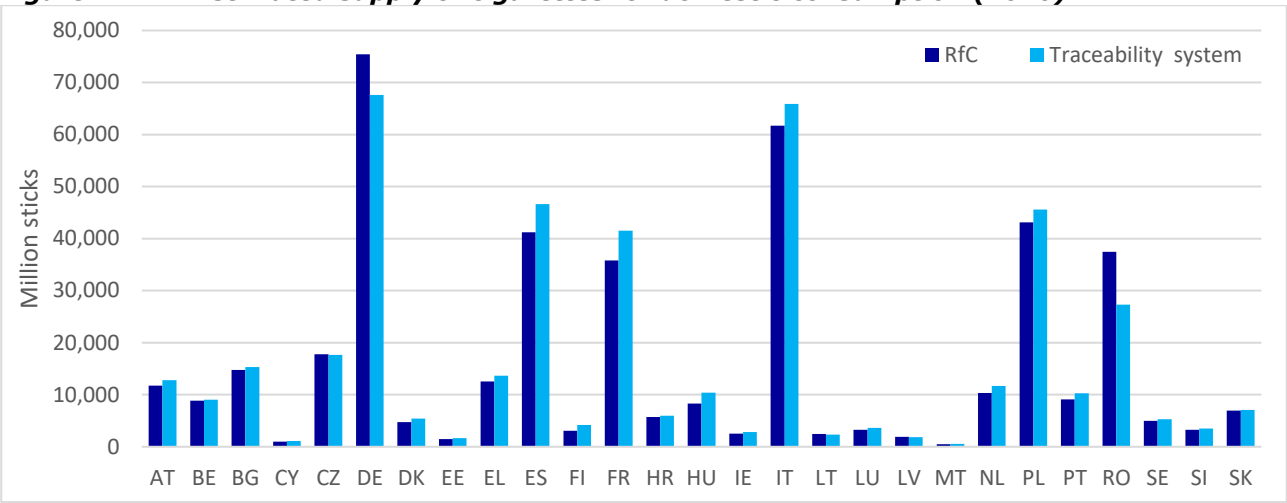
(1) review of discrepancies between supply and consumption of domestic products;
(2) review of KMPG' Project Stella estimates;
(3) quantitative assessment based on EU traceability system data;
(4) evidence from country-level investigation.

(1) Review of discrepancies between supply and consumption of domestic products

Regarding the supply, two sources have been reviewed (1) ***Release for consumption*** data (collected from Member States by DG TAXUD) and (2) Aggregated ***production data drawn from the traceability system***. Release for consumption data are communicated by MS on an annual basis and reflects the stage where a product is shipped from manufacturers to wholesalers for distribution at retail level, i.e. when excise duties are actually paid. There are two main weaknesses with releases for consumption data: (1) annual figures may be temporally distorted by some volatility in shipments, connected to so-called forestalling practices; and (2) MS excise duty registration practices and delays which vary across countries. In both cases, problems can be levelled-out by making recourse to moving multi-annual averages, but this would not allow to draw a precise picture of the tobacco supplied in one specific year. Production data registered in the EU traceability system reflect more precisely and more frequently production levels at manufacturers' site, i.e. before the product is moved to the market of final consumption and shipped to logistics operators. Data reflect almost real time production and are not distorted by forestalling, but currently there are limitations also in this case: (1) the time to market is not factored-in, so also in this case it is not possible to estimate the exact volume of products sold at retail level in a given period; (2) for the time being, data cover only cigarettes; (3) data currently available reflect the volume of cigarettes packages, but not the number of sticks, which in some MS depends on the package size (in some countries packages of up to 60 pieces can be found on the market)[193]. All these issues will be surmountable in the future[194], but at the moment the matching between production data extrapolated from the traceability system and consumption data appears problematic.

[193] Cigarettes packages containing more than 20 sticks are commercialised in no less than 12 countries: AT, BE, HR, CZ, FI, FR, DE, EL, IE, LT, NL, and PL (Source: Euromonitor International).
[194] Actually, the third issue (number of cigarettes per pack) could be already addressed, as the system allows to match identifiers with the package content, but it is a laborious procedure, so it has not been performed for the time being by the competent Commission service.

Figure E.1.1 – Estimated supply of cigarettes for domestic consumption (2020)



Source: EDT and DG SANTE (production data from the traceability system)

Regarding the consumption, estimates can be elaborated based on smoking prevalence and estimated average daily consumption (number of cigarettes) per smoker. A practical source of information for these variables is the ***Eurobarometer survey*** of population's attitude toward tobacco.[195] The Eurobarometer's strength consists of its EU-wide coverage – which allows to overcome possible methodological disparities affecting national ad hoc surveys on this subject – and its periodical recasting – which allows to draw substantially homogeneous trends. Regarding the possible drawbacks, it should be noted that the samples of the population involved are not so big, so the results are subject to non-negligible margins of error, especially when it comes to behaviours related to the sub-set of the samples surveyed. Furthermore, Eurobarometer data on daily cigarettes smoked do not allow to distinguish between cigarettes and FCT users (including dual users), so to compare supply data with consumption data both cigarettes and FCT volumes should be considered.

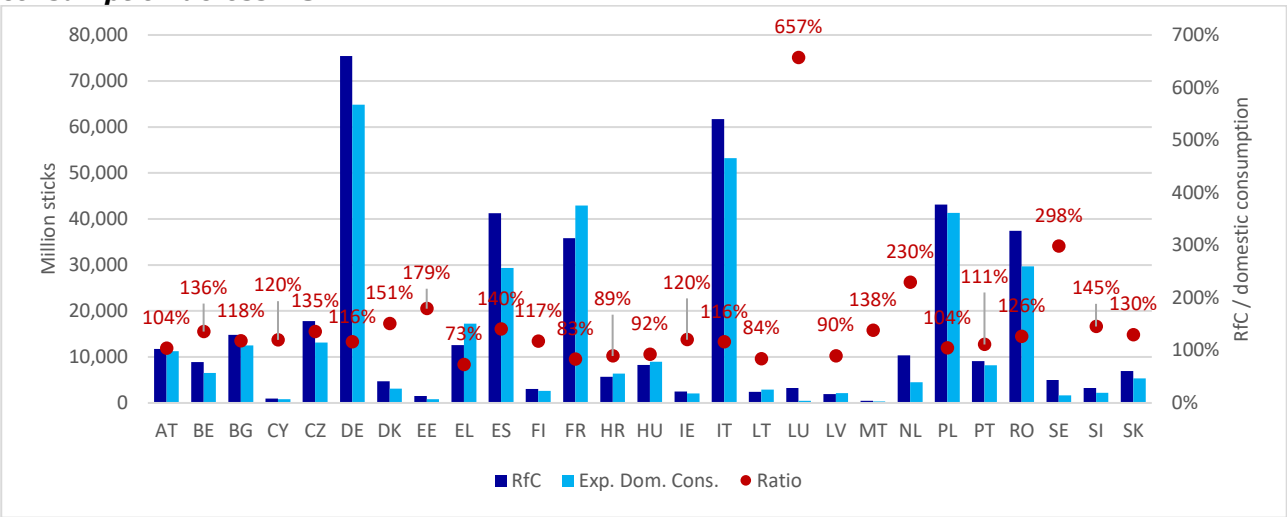
Having in mind the above caveats, some initial results of discrepancies analysis are reported in Figure E.1.2 (for cigarettes) and Figure E.1.3 (for FCT).[196] Data have to be taken with due caution due to the various methodological limitations described. Nonetheless some general tendencies can be identified:

- Overall, reconstructing consumption levels based on survey data generally leads to underestimating actual levels, possibly because surveyed consumers are likely inclined to ***underreport their real levels of consumption***. Total aggregated consumption of cigarettes and FCT in the EU would result (according to Eurobarometer figures) to 89% of the total volume of products released for consumption. If production data (based on traceability system) were used, the gap would be even bigger.
- Luxembourg emerges as the main outlier, with volumes of products released for consumption many times greater than what can be expected based on its smokers' population. Other results are of more difficult interpretation. In particular, the excess of RfC registered in SE and NL can be ascribed to underreporting or imprecise attribution between cigarettes and FCT.
- Regarding countries with a gap in domestic sales compared to the expected demand, the cases of FR, HR, HU, LT, LV and EL can be mentioned. In the case of France, the gap confirms other more accurate assessments carried out at the country level (see figure E.1.4 further below), which attribute the issue to cross-border flows. For the other countries, multiple explanations are possible, ranging from the role of illicit trade (e.g. in Baltic countries), to

[195] The latest edition is: Special Eurobarometer 506 - Attitudes of Europeans towards tobacco and electronic cigarettes. February 2021.
[196] Regarding the disaggregated consumption of cigarettes and FCT (not available through Eurobarometer) the proportion between daily users of either products in each MS have been used as a 'proxy'.

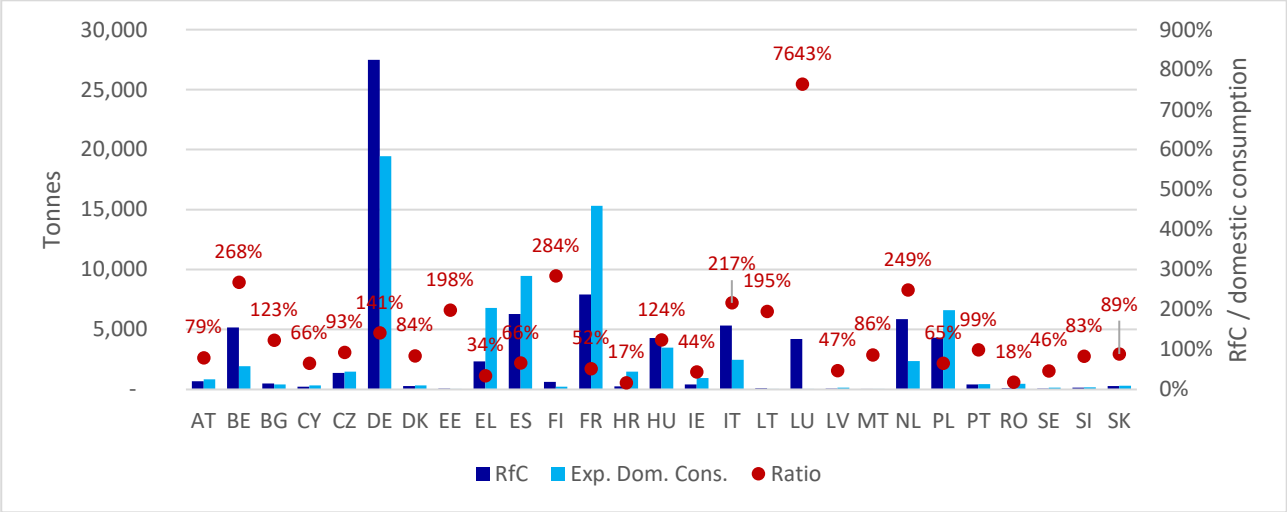
imprecise measurements of smoking prevalence (the EL figure would indicate a countertendency), to other calculation issues.

Figure E.1.2 – Disparities between cigarettes released for consumption and expected domestic consumption across MS



Source: EDT, Eurobarometer

Figure E.1.3 – Disparities between FCT released for consumption and expected domestic consumption across MS



Source: EDT, Eurobarometer
Note: A conversion rate of 0.75g=1 stick is assumed.

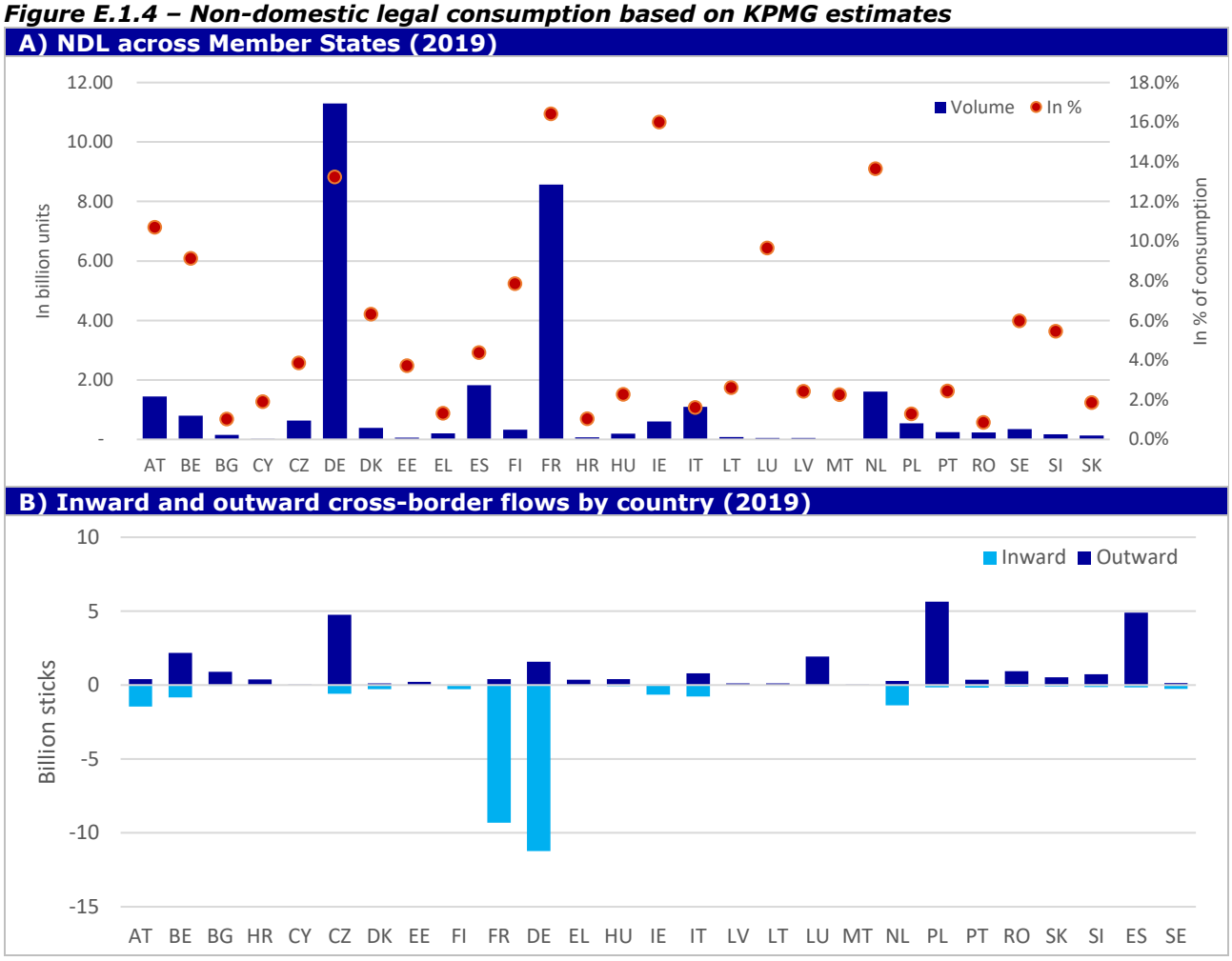
(2) Review of KMPG' Project Stella estimates

The second source reviewed is KMPG's ***Project Stella*** (formerly Sun, Star), which is based on empty pack survey data collected by different contractors in all MS[197]. This source has the

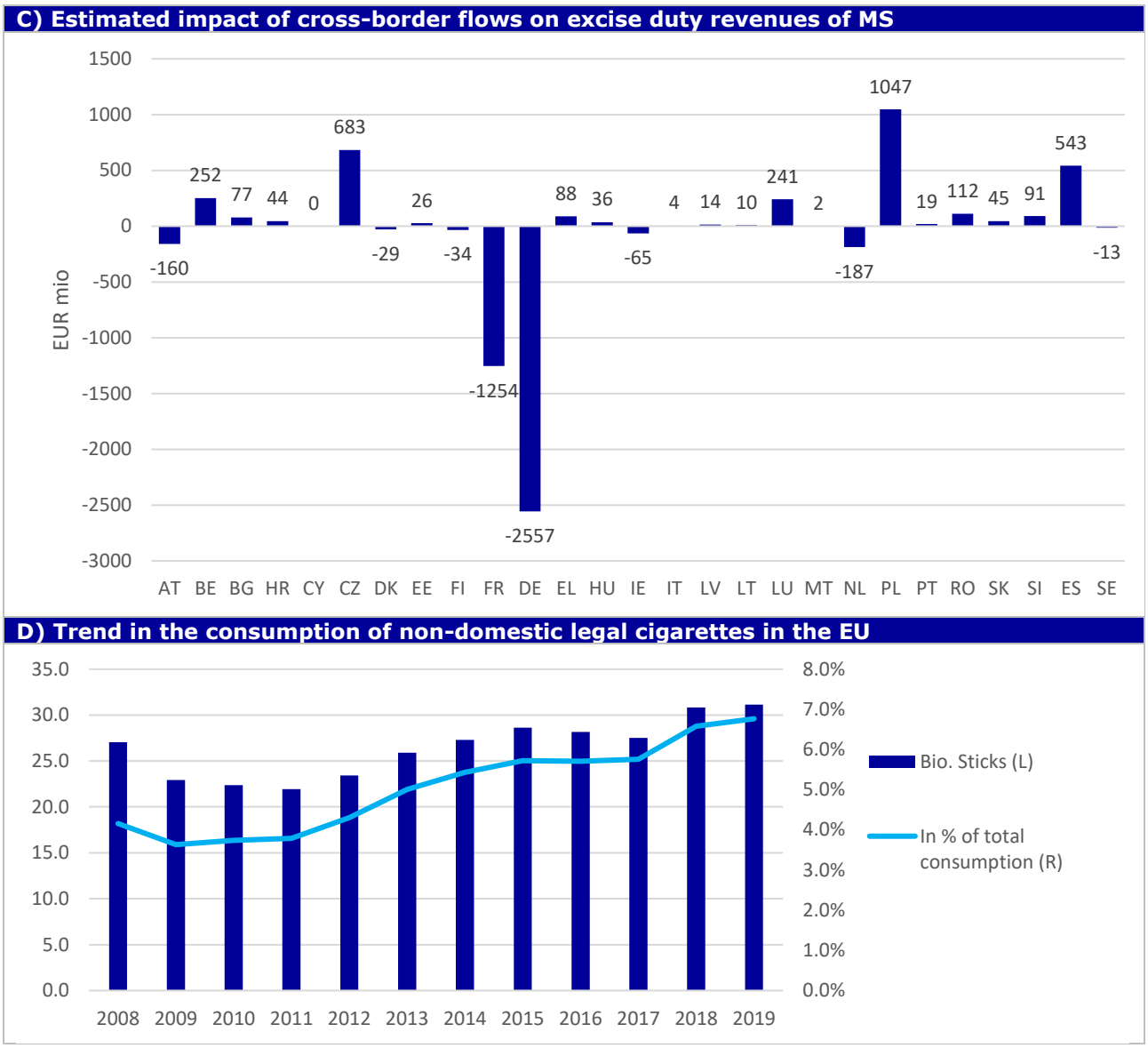
[197] As described by KPMG: "*EPS is a research system of collecting discarded empty cigarette packs, the results of which are used to estimate the share of domestic (duty paid), non-domestic (non-duty paid) and counterfeit packs in each of the markets. EPSs were conducted by independent market research agencies (e.g. Nielsen, Ipsos or MSI) in each of the countries sampled.*" Regarding the process, KPMG indicates six steps: "*The independent market research agencies randomly collect empty packs of any brand and market variant from streets and easy access bins • Homes and workplaces are not visited and the collection route specifically excludes sports stadia, shopping malls and stations, or any other locations where non-domestic incidence is likely to be higher as a result of a skewed population or demographic visiting these areas • Once packs are collected, they are sorted by manufacturer and brand and the number of packs with domestic versus non-domestic tax stamps counted to determine the proportion of packs that did not originate from that jurisdiction (including Duty Free variants) – In cases where tax stamps are not shown on a packet, health warning and packaging characteristics are used to determine the source market and where no markings are found they are*

advantage of a relative methodological stability (hence consistency) over time, allowing an analysis of trends. On the other hand, being an industry-sponsored exercise there is an inherent risk of bias that has to be taken into account. Figure E.1.4 below provides various estimates, based on KPMG model, including the total non-domestic consumption by MS, the magnitude of inward and outward flows, the estimated impact on excise duty revenues, and over time trends in the EU.

Figure E.1.4 – Non-domestic legal consumption based on KPMG estimates



recorded as unspecified • For brands belonging to the major manufacturers packs are sent to the manufacturers for analysis to determine which are genuine and which are counterfeit. Only the manufacturers can determine this, based on inks, paper and other characteristics • KPMG used the results of the EPSs to extrapolate overall consumption in the market using LDS and the percentage of non-domestic cigarettes in the market as found through EPSs to calculate overall consumption • The process is repeated across all countries of study using a model which iterates the level of non-domestic cigarettes until all inflows and outflows are equal". The coverage of the sample varies across markets, as follows: *"Small surveys (300-4,999 packs): Cyprus, Croatia, Luxembourg, Malta, Portugal, Slovenia • Medium surveys (5,000-9,999 packs): Belgium, Denmark, Estonia, Finland, Ireland, Slovakia, Switzerland, Romania • Large surveys (10,000 packs or more collected): Austria, Bulgaria, Czech Republic, France, Germany, Greece, Hungary, Italy, Latvia, Lithuania, Netherlands, Norway, Poland, Spain, Sweden, UK".* Source: https://www.stopillegal.com/docs/default-source/external-docs/kpmg-project-stella/project-stella-methodology.pdf?sfvrsn=aea077d7_2



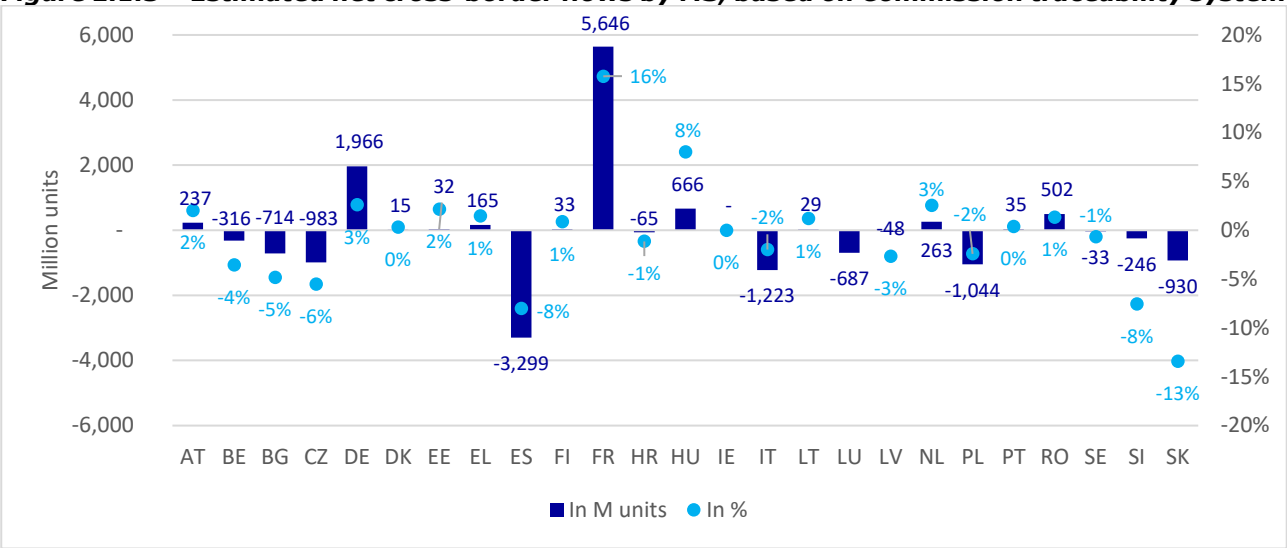
Source: *Author's elaborations of KPMG's Projects Stella (and, formerly, Sun and Star), based on empty pack survey data.*
Notes: *In Panel C, impacts are calculated as the difference between outward and inward flows multiplied by the applicable excise duty (at WAP level). Non-domestic legal cigarettes in Panel D include also products legally acquired in third countries*

(3) Quantitative assessment based on EU traceability system data

We have applied econometric models to data from the ***Commission's traceability system***, to test the possibility of extrapolating estimates on cross-border flows. The level of reporting in the system is still not ideal in various countries but the results of the analysis proved sufficiently robust to develop initial estimates. The full specifications of the models tested are provided in Annex A (appendix). In summary, the model estimates variation in the demand for cigarettes in EU regions (NUTS3 level) in relation to price levels in other country's neighbouring regions and a set of other control variable. The overall results by country are reported in Figure E.1.5 below. Overall, net flows between cross-border regions would amount to approximately ***11.1 billion units***.[198]

[198] This estimate cannot be compared to the KPMG estimates because it refers to net flows (outflows minus inflows) and, more importantly it refers to a period (4Q 2020 and 1Q 2021) where COVID19-related restrictions have possibly reduced cross-border flows substantially.

Figure E.1.5 – Estimated net cross-border flows by MS, based on Commission traceability system

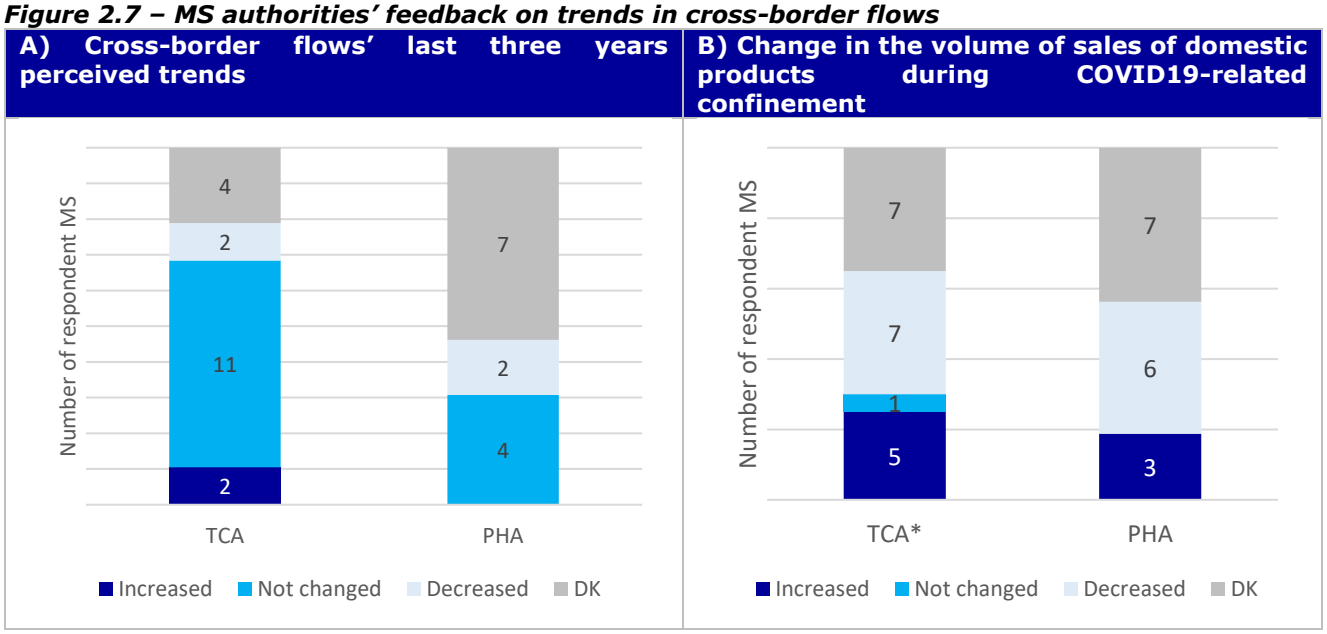


Notes: *The traceability system baseline figures on cigarettes distributed at retail level have been re-proportioned to the total releases for consumption (RfC). The units represent the total net flows (inflow + outflows). Outflows are indicated with negative sign.*

(4) Evidence from country-level assessment

Only a minority of countries reported an increase in terms of cross-border flows during the past three years, while no change was registered for the majority of MS (Figure 2.7). Further details on the cross-border flows trends in the specific MS covered by fieldwork are provided in table E.1.3 below.

Figure 2.7 – MS authorities' feedback on trends in cross-border flows



Source: *TCA and PHA surveys.*
Note: *(*) The question posed to tax and customs authorities regarded specifically sales in regions bordering other MS.*

Table E.1.3 – Review of cross-border flows in selected MS, evidence from fieldwork

Sweden	• Travellers' imports of cigarettes from all countries (EU and non-EU) vary greatly from year to year, ranging from 230 to 500 million pieces per year and from 4.5% to 9.5% of the total annual acquisition of cigarettes, with no trend emerging in the 2013-2019 period. Travellers' imports of snus (notably purchased on the ferries between Sweden and Finland as well as Estonia and Denmark, since the product is not legal in other EU countries) represented between 2.2 and 2.6% of the total annual acquisition in the 2013-2018 period, falling to 1.3% in 2019.[199] • It is unclear what share of these inflows is irregular (e.g. bootlegged for reselling). However, compared to alcohol (which has higher limits) interviewees estimate it is probably a smaller problem. In some regions, e.g. in the southern part of Sweden (Scania) as well as in Gothenburg, inflows are estimated at 10% (but stable over time). Industry stakeholders highlight the share of possible irregular products in these regions to be high. • There is also snus production (that is not illegal) in both Germany and Finland which is targeted at the Swedish market (since it can only be sold there). The problem is that Germany and Finland cannot apply an excise duty on snus, and it is also hard for Sweden to track this non-Swedish production and hence apply the excise duty for snus on it. • Apart from cigarettes and snus, inflows of other tobacco products are not significant, although concerns were raised on increasing irregular inflows of waterpipe tobacco.
Finland	• Travellers' imports of cigarettes from all countries (EU and non-EU) halved between 2007 and 2019; from around 800 million to around 400 million pieces. Travellers' imports were estimated at around 10% of total consumption in 2019, while smuggling was estimated at an additional 3-5%. About 62% of travellers reported the imported cigarettes to be for their own use, while 28% reported them to be for someone else's use, and finally 10% for both their own and someone else's use (even if cigarettes' purchases for family members or as gifts are expressly prohibited). • In 2020, travellers' imports of cigarettes came mostly from acquisitions on ferries with neighbouring countries (53%) as well as from Estonia (10%), Latvia (3%) and other EU countries (12%), with the remaining share covered by Russia (4%), airport acquisition (5%) and other points of purchase (13%).[200] • There are no official estimates for the illicit reselling of non-domestic products, but most of inflows are considered to be legal. Finland applies stricter quantitative limits than the guide levels of the Horizontal Directive (see below), which makes it not profitable to re-sell travellers' imports. Inflows of other tobacco products (apart from snus) are likely very small; there are no official estimates, but other tobacco products are not considered an issue. • Snus is only available through personal acquisition abroad (almost exclusively from Sweden). Snus users in Finland are estimated to have doubled over the past decade; 5.2% of Finnish men and 0.3% of Finnish women are now estimated to be occasional or daily users of snus. Usage is much higher among youth, with around 35% of males in the 1st and 2nd grade of vocational school being occasional users and 20% daily users. • Travellers' imports of snus amounted to around 6-7 million packs in 2010-11 and 8-10 million packs in 2015-16 and then increased substantially to a high of 18 million packs in 2018, followed by around 16 million in 2019. 80% of travellers reported the imported snus to be for their own use, while 8% reported it to be for someone else, and finally 12% for both their own and someone else's use (even if purchases of snus for family members or as gifts are expressly prohibited). In 2020, travellers' imports of snus came primarily from Sweden (82%), followed by acquisitions on ferries with neighbouring countries (17%) and other points of purchase (1%).[201]
Denmark	• Cross-border flows of cigarettes have reportedly decreased substantially in recent years, following the declining trend in cigarette consumption. From an estimated 600

[199] Centralförbundet för alkohol- och narkotikaupplysning (CAN) (Swedish Council for Information on Alcohol and Other Drugs), Tobaksvanor i Sverige 2003-2019 (Tobacco habits in Sweden 2003-2019), CAN Rapport 194: https://www.can.se/app/uploads/2020/09/can-rapport-194-tobaksvanor-i-sverige-2003-2019.pdf
[200] https://vm.fi/-/savukkeiden-ja-nuuskan-matkustajatuonti-vahentyi?languageId=sv_SE
[201] Ibid.

	million pieces and DKK 870 million (EUR 117 million) in 2013 it has dropped to 250 million pieces and DKK 335 (EUR 45 million EUR) million in 2019. • Provisional figures for 2020 indicate a further decrease - from 250 million pieces and DKK 335 million (EUR 45 million) in 2019 to 175 million pieces and DKK 250 million (EUR 33 million) in 2020. The decrease in volume (30%) is more than three times as great as the decrease between 2018/2019 and 2018/2017. • In the 2013-19 period, the estimated volume and value of cross-border trade (private use) of smoking tobacco fluctuated around 200-250 million grams and DKK 220-296 million (EUR 30-40 million). In 2020, it is estimated a decrease to 150 million grams and DKK 175 million (EUR 24 million). • There are no official figures on cross-border flows of snus. Consumption is detected in the country, but it is generally not considered a significant issue. Actually, consumers are allowed to bring in a maximum of around 750 grams of snus for their own use. An increase in the seizure of snus was registered in 2019 compared to 2018, but quantities still remain limited. In 2020, there was no relevant seizure because of Covid-19 travel restrictions.
Bulgaria	• As cigarettes' excise duty levels in Bulgaria are low in nominal terms, compared to the EU average, there are outflows of duty-paid products towards other MS. The estimated incidence is significant and seemingly on the rise, as the available statistics on seized cigarettes indicate: ○ in 2018 there were 55 million cigarettes seized, among which 1.75 million cigarettes with the Bulgarian fiscal stamp (3.2%); ○ in 2019 there were 34 million cigarettes seized, among which 2.25 million with the Bulgarian fiscal stamp (6.6%); ○ in 2020, there were 16 million cigarettes seized, among which 5.7 million with the Bulgarian fiscal stamp (35.6%). Overall, the quantities seized while exiting the country are on a scale that surpasses many times the private use hypothesis. In fact, between 10,000 and 300,000 cigarettes are seized per event. • KPMG estimates the major outflows from Bulgaria are directed towards France (0.26 billion sticks) and the UK (0.21 billion sticks). This seems explained by the price differential: the average price in Bulgaria is 2.57 euro (2019), while in the country of destination is above 8.50 euro. • There are also outflows of cigarettes from Bulgaria to Greece, but amounts are not deemed substantial compared to the past, also because the price difference is not so big. These flows are primarily connected to expatriate Bulgarian workers in Greece. Occasionally, Bulgarian customs dismantled small organizations supplying these communities. More frequently, in border areas, the issues consist of small-scale bootlegging made by individuals. • Inflows of duty-paid cigarettes to Bulgaria from other countries are low and limited to non-EU countries. However, since Serbia and North Macedonia have also increased their tax levels, the price difference with Bulgaria has narrowed, and so did cross-border flows. • Regarding inflows, a possible rising trend is registered with waterpipe tobacco coming from MS with lower excise duties than Bulgaria or smuggled from third countries. Waterpipe tobacco with fiscal stamps from other MS can be easily found on sale on the internet.
Ireland	• The estimated share of cigarettes legally purchased abroad has been oscillating between 6% and 9% of the total in the 2013-2019 period, for which the latest data are available. It is worth noting that the share of legal non-Irish duty paid tobacco products on the total has been on a decreasing trend from 2010 till 2015, but this was subsequently reversed and started increasing again. It is observed that in the period from 2009 to 2014 travellers did not travel as much because of the recession. Moreover, this broadly correlates with the trends in the share of the foreign population on the total[202]. Particularly, since 2017, the consumption of duty-paid foreign

[202] The population demographics underlying the survey is kept constant during the intercensal period regardless of the actual changes occurring in the population. However, in 2016 a census was produced, and this might explain the subsequent rise in the weight attributed to non-Irish citizens which could have increased the weight of their consumption patterns on the total.

	cigarettes has stabilised at around 9% of the total, i.e. the same level as in 2010. Policy factors might also be at play to justify this late increase, although this remains speculative. • No particular estimate has ever been tried of the share of cross-trade flows related to the so called "ant-smuggling", aimed to be resold for a profit. This is generally believed to be rather marginal. Most cigarettes are imported for personal or for family and friends' consumption. There are two major sources of these cross-border flows, namely: 1) migrant labourers importing cigarettes from their countries of origin in Eastern Europe (mainly Poland and the Baltics); 2) Irish tourists returning from the summer holiday seasons in Spain and Portugal, particularly from areas where the price of cigarettes is tax-free: e.g. the Canary Islands, etc. Since Ireland is an island, geographical proximity has played a more limited role as a factor influencing purchases of non-Irish duty paid cigarettes than elsewhere in Europe. Moreover, Ireland never found itself in a position to spot any tobacco company willingly oversupplying any specific neighbouring market to foster smuggling into its own territory as the UK did in the past.[203] The incentive provided by discounted prices as compared to the national products paying a very high duty plays an important factor per se, and most imports are actually channelled through airports and possibly, to some extent, also originated from airports, at least as far as tourists are concerned. • The possibility of carrying larger quantities of tobacco (up to 1 kg) with them in their luggage is believed at the root of the increasing trend in the import of FCT tobacco in the country, which has boomed since 2013 and more than tripled from 2% of total FCT consumption in 2013 till 7% in 2019. It is deemed that the current system of EU allowances incentivises FCT as compared to factory-made cigarettes. This, however, goes together with a more general increase in the share of FCT smokers among the total smokers' population, which has been a consequence of increased taxation. FCT smokers have increased from 26.5% of the total in 2015 to an estimated 30.5% in 2019 and 29.6% in 2020. However, also cross border flows of FCT tobacco are widely considered as an increasing problem deserving EU action. • No other major cross-border inflows of other tobacco products are routinely monitored. Instances have been reported of seizures of waterpipe tobacco in the past, but this market is not deemed worth a dedicated monitoring system which would also be difficult to achieve through consumer surveys.
France	• The *Enquête Baromètre de Santé publique* indicates that 80% of purchases are made on tobacco shops. On the 20% remaining, cross-border flows for private use represent about the 75%; then comes smuggling, while other channels of acquisition (duty-free, counterfeit) are marginal. The information available does not allow to distinguish legal cross-border purchase from bootlegging (i.e. for reselling purposes). • The KPMG's estimates, based on the 'empty pack survey', provide higher figures: non-domestic product would account for 30.1% of cigarette consumption in 2019, 28.4% in 2018, 24.6% in 2017, and 27.1% in 2016. These include both legal cross-border purchases for private use and illegal products (contraband and counterfeit). According to the report, the consumption of legal non-domestic products' share in the overall consumption increased from 5 to 16.5% between 2009 and 2019, a period during which the share of smuggling and counterfeit remained at a steady level of 13-14%. • The number of tobacco shops in France declined by about 30% between 2003 and 2020 (from 34,000 to 24,000). According to the retail organisations this reflects not only a reduction in the demand, but also an important shift to non-domestic and illicit acquisitions. The phenomenon was mainly limited to the border departments at the beginning of the 2000s. Since then it has intensified and propagated to non-border departments, in connection with cross-border flows becoming structured and organised. • Public health stakeholders agree that France is the European country having the largest gap between the number of consumed and purchased cigarettes, highlighting the importance and magnitude of cross-border flows. It is also acknowledged that the last tax increases could have side-effects such as an increase of cross-border flows and a deterioration of the tax base. These effects are difficult to predict given the lack of

[203] In 2014, the UK HMRC fined a cigarettes manufacturer £ 650,000, reduced on appeal to £100,000, for over exporting hand-rolled tobacco to Belgium which then found its way back to the UK illegally. Source: https://tobaccotactics.org/wiki/tobacco-smuggling/

	perspective and the ongoing Covid-19 crisis. However, public health NGOs estimate the reduction of tobacco consumption, even in border departments, outweighs the increase of cross-border purchases.

➢ EVIDENCE FROM COVID19-RELATED CONFINEMENTS

Member States' response to COVID19 epidemic involved repeated border closures and confinements throughout 2020. These restrictions had an impact on tobacco consumption and procurement channels that have not been fully investigated yet, but it possibly showed on sales and consumption statistics. The matter has been discussed with authorities and stakeholders from fieldwork countries, and a summary of the feedback collected is provided in table E.1.4 below.

Table E.1.4 – Review of possible effects of COVID19 restrictions on cross-border flows in selected MS

Sweden	• Although no precise figures are available, it is estimated that travellers' inflows for private use decreased during 2020 because of the Covid-19 restrictions. However, only a slight increase (6%) in the excise duty revenue from all tobacco products (including also certain products containing nicotine) was registered in 2020.[204] This suggests that the tobacco sales in Sweden in 2020 did not increase significantly to be able to 'compensate' for lower travellers' imports. • Customs data confirm that the number of cigarettes seized in 2020 because exceeding the limit for travellers' import was only respectively 37% and 54% of the levels in 2019 and 2018, and this decrease can probably be ascribed to less passenger traffic during the pandemic. At the same time, it is noted that – due to the reduced passengers' traffic in 2020 – customs controls of travellers' as well as freight/commercial movements increased.
Finland	• In 2020, travellers' imports of cigarettes from all countries (EU and non-EU) declined by 58% compared to 2019, which is largely explained by Covid-19 related travel restrictions. In December 2020, the 12-month moving sum was only just above 100 million pieces of cigarettes. Travellers' imports of snus in 2020 also declined due to the Covid-19 pandemic, by 38% compared to 2019. In August 2020, the 12-month moving sum was around 7 million packs of snus (i.e. around the level in the years before the increase starting in 2016). • Because of the pandemic, travellers' imports in 2020 amounted to 'only' 167 million cigarettes and 9.3 million packs of snus.[205] However, it is difficult to distinguish between the effects of the pandemic restrictions and a more general declining trend, but the pandemic had clearly had an impact. • Despite fewer travellers and a decline in the legitimate travellers' imports, the number of seizures (including smuggling) increased in 2020.
Denmark	• The excise duty rate for cigarettes was raised significantly in January 2020 (and another increase - already legislated - is expected in 2022). Before the 2020 increase, the rate was more or less in line with Germany, so there were limited flows. All things being equal, it is expected that the recent tax increase will lead to an increase in cross-border flows, but because of the contrasting effect of the Covid-19 pandemic such effects are not (yet) fully visible. • There was a substantial increase in the number of illegal cigarettes (as well as cigars and cigarillos) detained between 2019 and 2020, i.e. from 5.9 million pieces to 16.1 million pieces (175%). The detention of illegal cigarettes increased also between 2018 and 2019, but to a smaller degree (78%).

[204] Finansdepartmentet (Ministry of Finance), Beräkningskonventioner 2021 (Calculation conventions 2021): https://www.regeringen.se/rapporter/2020/10/berakningskonventioner-2021/
[205] https://vm.fi/-/savukkeiden-ja-nuuskan-matkustajatuonti-vahentyi?languageId=sv_SE

Bulgaria	• The number of cigarettes released for consumption in 2020, compared to previous year's levels, does not indicate substantial effects of the confinement measures against the spreading of COVID-19. However, the restrictions on the terrestrial movement of individuals have seemingly fostered a shift in the delivery methods of outward cross-border flows. An increase in the illegal delivery of Bulgarian cigarettes towards other MS through cargo, currier deliveries, and air traffic passengers has been reported. In 2020, the number of cases and the seized quantities from these delivery routes exceeded 2019 figures by an order of magnitude: e.g. seizures of postal or currier deliveries rose from 175,000 in 2019 to 2.3 million cigarettes in 2020.
Ireland	• There is no conclusive research on the impact of the Covid epidemics. Tobacco tax receipts in 2020 were 5.71% higher than in 2019, however while volumes of cigarettes kept declining FCT tobacco cleared for consumption has indeed increased to 2015 levels. So, in the case of cigarettes the increase in revenues can be attributed to the increase in taxation, while an impact from reduced cross border flows was much more noticeable and likely on FCT tobacco consumption. It is actually possible that FCT has captured a share of both previous FCT cross border flows and a share of the illegal market.
France	• The impact of borders closure that occurred between March 17 and June 14 2020, offers some insights on the magnitude of cross-border flows. The volumes of products delivered to tobacco shops registered a substantial increase in border departments: Ariège +77% and Pyrénées Orientales +71% of sales in April 2020 as compared to April 2019 (despite the decreasing trend of sales during the past years). Overall, the available data indicate: ○ An overall increase of +2.77% of sales is registered compared to the same period of 2019. ○ The North-eastern regions bordering with DE and LU registered a strong increase in sales during the border closure period, i.e. +44.65%. ○ In the Northern regions, bordering with Belgium, the increase in sales has been +28.79%. ○ In the South-western regions, bordering with Spain, a strong increase of +44.55% was registered. ○ In the region bordering with Switzerland only a limited increase (+2.6%) was registered. ○ Conversely, in the Paris Department sales have dropped by -25.54%. ○ In Corsica, sales also declined by –24.47% in connection with the decline of tourism. • Cigarette's sales in border departments were substantially influenced by the closure and re-opening of borders with neighbouring countries. Between 16 March and 31 May 2020 sales increased by 38.4% compared to pre-confinement period. After the opening of borders with Andorra and Italy sales decline by 5%. A further decline of 2.3% was registered in the week of borders re-opening with BE, LU, DE and CH. Then, sales decline again (-14%) after June 21, when borders with Spain were re-opened. • Considering the whole 2020, volumes have grown by +23.4% in Ariège (department bordering Spain and Andorra) and declined by -12.6% in Paris, compared to 2019 levels. For a proper interpretation of these data, it has been suggested to carry out triangulation with sales data registered across the border. • Interesting evidence emerges also from wholesale delivery to the 29 replenishment centres active in France. During confinement, the activities of centres located close to the border regions have substantially increased. In particular, deliveries were intensified to twice a week, against the usual twice a month frequency. • Logistics operators highlight that data on delivery to shops during March and April 2020 may even be "biased" downwards due to temporary difficulties of reaction (absence and lack of personnel) from producers (e.g. out of stock of certain renewed plain packaging) and wholesale distributors (e.g. delivery delays notably for FCT since it requires 6 times more space than cigarettes.), as well as tobacconists that were financially limited in their capacity to replenish their shops.[206]

[206] An agreement was made between *Logista*, the tobacconist association and EDC (Européenne de Cautionnement) on April 1st, 2020, to increase the 'tobacco credit' of tobacconists by 20% or 7,500€.

E.1.3 Policies and prospective measures to address the cross-border flows issues

This section reviews MS policies and measures that MS have adopted over time to deal with the issues connected to cross-border inflows and outflows of tobacco products. In general, these measures regard administrative and enforcement arrangements aimed at detecting and tackling traveller's abuse of the current rules laid down in the Horizontal Directive. However, in a couple of cases, more restrictive quantitative limits than the guide levels prescribed in Art 32 of the Horizontal Directive are also applied. In the past similar restrictions had been adopted also by other countries but targeting exclusively incoming travellers from MS that were not aligned to the EU minimum excise duty rates, in connection with the special transitional period. Such derogation ended at the end of 2017 and these restrictions were removed.

The second part of this Section summarises the feedback collected in the fieldwork countries on the current rules and on the measures that can be adopted at the EU level to satisfactorily address this issue. In general, the need emerges to combine multiple tools, namely a possible revision of the current arrangements of the EU rules for the acquisition by private individuals, as well as an enhanced convergence in tax (hence price) levels between MS, with the aim to mitigate the root causes of cross-border shopping, while taking into account the purchasing power of the MS involved.

Regarding the issue of purchasing power differences between MS and the effects on cross-border flows, a quantitative assessment of the effects of adopting a PPP-adjusted approach to EU minima has been carried out in this Study. The results of the quantitative analysis are presented in Volume 1 of the Report, as well as in Annex F. Overall, the results show that a PPP-adjusted approach is less effective than the standard 'nominal' approach to reduce price differentials, hence cross-border flows. Effects vary across MS, so for some countries the PPP-adjusted approach can be advantageous while for others it could worsen the current situation. This result is coherent with expectations: disparities in price levels of cigarettes reflect in the first place disparities in the purchasing power of consumers in different MS, so any mechanism aimed at adjusting tax to PPP levels would de facto lead to maintaining the current differentials. For this reason, the policy options eventually developed in the Study involve that only a portion of EU minima is actually adjusted by PPP levels. Otherwise, there is a risk that price differentials across countries would become even more prominent.

- **OVERVIEW OF MS POLICY APPROACHES**

Table E.1.5 – Policies and measures addressing cross-border flows, evidence from fieldwork

Sweden	• During the transitional period extended under the Directive to some MS (until 2017), Sweden imposed special restrictions to cross-border flows of tobacco products from the countries involved. This concerned especially flows from the Baltic countries. The impact of such measure was not assessed, hence it is difficult to formulate judgments on its effectiveness. • As of today, travellers' imports from EU countries are restricted to the travellers' personal consumption or the consumption of the traveller's close family members. This consumption is based on the reference levels of the Horizontal Directive. If the amounts exceed these levels, the burden of proof that the travellers' imports are indeed for personal/family consumption lies with the travellers. Travellers' imports from countries beyond the EU are restricted to EU harmonised levels: 200 cigarettes, 100 cigarillos, 50 cigars and 250 grams smoking tobacco. No additional special measures are in place.
Finland	• The maximum limits for travellers' imports from EU countries are stricter than the guide levels of the Horizontal Directive. The limits apply to products in packages that do not contain the required health warnings (i.e. text warnings in Finnish or Swedish

	plus picture warnings).[207] Such limits are the same as the limits for travellers' imports from non-EU countries, i.e.: 200 cigarettes, 50 cigars, 100 cigarillos, 250 grams of roll-your-own tobacco or pipe tobacco as well as 1 kg (in one calendar day) of chewing tobacco, nasal tobacco or tobacco for oral use (i.e. snus). Limits also include maximum 10 millilitres of nicotine liquid in an e-cigarette or refill container with the required health warnings and 10 millilitres of nicotine-containing liquid intended for vaporisation using an e-cigarette when the liquids contain more than 20 milligrams of nicotine per millilitre or when it is used for a purpose defined in the Finnish Medicines Act (as well as 200 units of ready-rolled and 250 grams of loose herbal products for smoking). • For travellers' imports from non-EU countries, time restrictions also apply; i.e. a Finnish resident has to stay in a non-EU country for at least 24 hours, while a non-EU resident has to stay in Finland for at least 3 days. It is also prohibited to order, obtain or receive tobacco (and nicotine-containing) products by mail or comparable means from abroad (including EU).[208] • Finland also used to apply quantitative restrictions on flows from countries benefitting from the temporary derogation from EU minima. This did prevent significant inflows; in fact, when these restrictions stopped (i.e. when the EU minima were applied in all EU countries), Finland registered a surge in tobacco inflows, especially from the Baltic region. • Just as for chewing tobacco and nasal tobacco, the maximum limit of travellers' imports for tobacco for oral use (i.e. snus) is set at 1kg (per one calendar day). Like other tobacco products, it is also prohibited to order, obtain or receive snus by mail or comparable means from abroad (including EU).[209]
Denmark	• Denmark applied quantitative restrictions to passengers from the Baltic countries, throughout the duration of the transitional period. Controls were basically in the form of checking passengers getting off flights from the Baltics and cars with Baltic license plates. These measures had primarily a preventive effect – i.e. without restrictions and having so many Baltic citizens flying in and out of the country on a weekly basis (week workers), tobacco product inflows could have been substantial. • Currently, the measures in place are those laid down in the Horizontal Directive. There is a debate in the country on the possibility of lowering the quantities allowed, but no concrete measures have been agreed / adopted yet.
Bulgaria	• Measures and policies implemented in Bulgaria correspond to the EU rules transposed on national level in the Excise Duties and Tax Warehouses Act. No measures beyond the envisaged in Art. 32 of the Horizontal Directive are being applied. • In more general terms, a whole range of measures adopted in recent years have possibly contributed to the decline of in- and outflows of unrecorded products. Among other things, these include restriction for courier services, a strict integrated customs system for the coordination of excise declarations, excise payments, and excise movements (БАТИС, BECIS – Bulgarian Excise Centralized Information System introduced in 2013), the implementation of the EU traceability system (in Bulgaria, it was functional from a very early date), which allows monitoring of products, more severe penalties and sanction for abuses and, in general, an improved monitoring and control of entities engaged in tobacco trade.
Ireland	• Ireland applies the ordinary art. 32 provisions and allows into the Country 800 cigarettes, 400 cigarillos, 200 cigars and 1 kilo of smoking tobacco per adult traveller. This is in the strict implementation of the guide levels of the Horizontal Directive and no other national measures have been taken in this respect or are reported in the pipeline. • Transitional personal import restriction measures were implemented on the EU Member States derogating from the EU minima in the past. These restrictions remained into force until 2017, when they were discontinued. It is difficult to judge

[207] So, products bought in Sweden and/or on the ferry from Sweden – which would include text warnings in Swedish – are seemingly not included in these limits.
[208] See: https://tulli.fi/en/private-persons/travelling/bringing-back-tobacco
[209] *Ibid.*

	in retrospect on their effectiveness. Data on seizures to passengers travelling from Lithuania, Romania, Latvia, Bulgaria, Hungary and Croatia from 2013 until 2017 show a decreasing trend in the number of seizures themselves and an average of 2 million sticks seized per year, with the notable exception of 2015, when an exceptional single seizure was made at the port of Dublin on a Bulgarian ship. This is roughly equivalent to less than 0.1% of total annual consumption and some 1% of estimated cross-border flows. • The deterrence effect of this provision is even harder to estimate. It is noted that the discontinuation of the transitional measures coincides with the latest small increase in the survey-based share of non-Irish duty paid cigarette consumption and with a larger increase in non-Irish duty paid FCT tobacco. Some believe that FCT is more responsive to changes in cross-border acquisitions, particularly in its tourist-driven component. However, it is also acknowledged that purchases of FCT tobacco are also driven by financial considerations and the increased demand may be due to the switch from cigarettes. Actually, the two phenomena are likely to combine, as the incentives for cross-border purchases have increased with increased financial constraints to domestic purchases.
France	• In response to the issues caused by the substantial consumption of non-domestic products France has adopted special restrictions to cross-border purchases of tobacco products through an amendment of the *Loi de Finances* (31 juillet 2020). In particular, Article 51 sets the following limits to the transport of tobacco by individuals returning from another EU country: ○ 1 carton of cigarettes (200 cigarettes) per person (compared to 4 cartons previously); ○ 250 grams of rolling tobacco, ○ 100 cigarillos, ○ 50 cigars. • A person importing volumes in excess of those set out in LdF Art. 51 is presumed to hold tobacco for commercial purposes (volumes below the limits are presumed to be for private use or "besoin propre"). In such a case, there is a reversal of the burden of proof. The importer must be able to prove that imports are not illicit. • Sanctions are set by the Art. 414 of the Code National des Douanes (CND). It establishes a set of possible non-excluding sanctions related to the smuggling of tobacco products, such as products' confiscation, a fine of between one and two times the value of the goods and a prison sentence of up to three years. In practice, small-scale trafficking cases are settled with fines and confiscation without recourse to the judicial system. Prison sentences can go up to 10 years and fines up to 10 times the value of products in the case of organized smuggling ("bande organisé").[210]

➢ **PERSPECTIVES ON POLICY TOOLS**

Table E.1.6 – Perspectives on EU policy tools on cross-border flows, evidence from fieldwork

Sweden	• In the country, the price gap between countries is perceived as a driver for cross-border flows (regular and irregular). This would call for greater price level convergence at the EU level, although the difficulties to achieve it seem well understood. • The revision of the Horizontal Directive emerged as equally important. There can be benefits in reducing traveller's limits for tobacco products, but – compared to the issue of alcohol – it is considered as less crucial. • Regarding snus outflows, the main problem is sales to operators in other countries, where the product is re-sold as chewing tobacco (i.e. with more solid pouches that can actually be chewed on). It is hard to control the snus outflow. Apart from snus being brought into other (Nordic) countries to be used as snus, snus might also be

[210] For more details see also: https://www.demarches.interieur.gouv.fr/particuliers/rapporter-tabac-etranger#:~:text=150%20unit%C3%A9s-,Il%20s'agit%20de%20quantit%C3%A9s%20par%20personne%2C%20et%20non%20par,aller%20jusqu'%C3%A0%20750%20%E2%82%AC

	sold to e.g. Switzerland and then be repackaged/resold as chewing tobacco (which is legal) in other EU member states. Authorities are reportedly considering an appropriate definition of snus (which is meant to be sucked) versus chewing tobacco (which should be actually chewed upon). • It seems crucial that any revision of the Directive works also for snus, although no EU-level harmonisation is sought, and snus should remain an exception.
Finland	• There appears to be support for an increase of EU minimum excise duty 'as high as possible', as well as for convergence in the tax levels applied to different products, so as to avoid down trading. • At the same time, a review of the Horizontal Directive appears in order, because the current limits are not effective. • At present, the consumption of cross-border snus is considered a major problem. Prevalence figures are rising (probably also to contrast the decline in cigarette use), especially among young males, even if smokeless tobacco is illegal. Consumers can easily buy it on social networks. With a limit set at 1kg, it is unlikely that consumers can fully rely on licit travellers' imports – indeed, daily users probably rely mostly on organised smuggling. In particular, there are issues with the border shops in Sweden – there are huge warehouses that specifically market snus in Finland to Finnish citizens/residents.
Denmark	• An increase of the EU minimum excise duty in order to promote convergence is supported. At the same time, it is acknowledged that this could be a problem for South-Eastern EU countries, where the purchasing power is much lower. Hence, a progressive increase is viewed as a promising course of action. • With the planned increases of 2020 and 2022, Denmark may go past the top of the 'Laffer curve'[211], so any further tax increase would translate into a loss of revenue, primarily because of cross-border flows. In this sense, the lack of convergence in tax levels across MS appears as a constraint to pursue the country's policy priorities (i.e. reducing smoking prevalence). • The tax increases introduced in 2020 have not, for the time being, fuelled cross-border flows from Germany because of the travel restrictions linked to the pandemic. It is anticipated that this might change in the future, especially after the increases planned in 2022. • Other side effects of the tax increase were registered. Firstly, massive forestalling: the market was reportedly flooded by cigarettes duty-paid before the new tax entered into force. Secondly, due to the shrinking in consumption/market and increasingly fierce competition, cigarettes are now actually also sold at a loss. Measures being considered in this respect include tackling this issue via special measures like 'minimum price' or 'prohibition to sell at a loss'. • Regarding Art.32 of the Horizontal Directive, the critical aspect is that it only provides guidance levels, which are difficult to enforce. For instance, there is no time period to prevent repeated, daily cross-border purchases. Additionally, there is a need to lower the current levels and transform them into clear restrictions (not only guidance). Finally, any revision of Art.32 needs to also include e-liquids (for which no statistics on cross-border flows for private use are available), since containers are small and easy to transport and take in.
Bulgaria	• In 2018, Bulgaria reached the minimum tobacco excise requirement for the EU. In nominal terms, price levels are the EU-lowest, but the purchasing power in Bulgaria is significantly lower than the EU average. The total incidence of taxes and duties on retail price is currently 85%, i.e. among EU-highest. Against this framework, very

[211] In economics, the 'Laffer curve', illustrates a theoretical relationship between rates of taxation and the resulting tax revenue levels. One implication of the Laffer curve is that reducing or increasing tax rates beyond a certain point is counter-productive for raising further tax revenue. In principle, as tobacco products demand is inelastic, tax increases normally translate into an increase of tax revenues (unless the increase is such to induce a market collapse). Cross-border flows and, more generally, the availability of unrecorded tobacco or substitutes may however influence the point where revenue is maximised. In this sense, as emerged also from EA 2019 survey, MS authorities' tax policies are influenced by exogenous factors like price levels in other countries. It is worth remarking that the same issue applies to both high-tax countries and to low-tax countries, where excessive tax increase may induce consumers to substantially turn to illegal products, thus causing a reduction in revenue.

	divergent positions were registered among stakeholders considering the future increase of EU minima, and the objective of improved convergence between MS: ○ According to some interviewees, when considering the revision of the EU minima a number of factors should be envisaged, including economic indicators of each MS, the purchasing power of the population, and its relation to the legal cigarettes' price. If these factors would not be considered a risk arises for substantial growth of smuggling within MS with a lower purchasing power of the population. Another risk is a further divergence of taxation levels, and correspondingly of the cigarettes' and tobacco products' prices among different MS. In this respect, if there is a proposition on the EU level for increasing the minimal excise duties, then they have to be raised incrementally, with minimal steps and the possibility for a substantial transitional period. ○ The position of other stakeholder is that the excise duties should be high enough to affect the price and to decrease the stimuli for consumption. So, the excise duties level in Bulgaria should be raised to the level of France and Scandinavian countries. A tax convergence in the field of tobacco products is not only possible but also economically feasible: tobacco taxation is beneficial to the public health and lowers healthcare costs. Moreover, it helps to break the "poverty cycle": in a country with lower incomes like Bulgaria, consumer expenditures for cigarettes decrease the available expenditures for food, education, and healthcare. The risk of fostering illicit trade is not considered by these stakeholders as a valid argument, since fighting illicit trade is namely the role of the state. ○ Industry representatives remark that convergence is a complex and ambitious objective considering the different conditions of MS economies. To avoid disruption, tax levels have to be increased gradually and considering all products categories, not only cigarettes. It is highlighted that in 2010 when the excise duties rose above the minimum required (64%) the illicit trade soared, and the state revenues declined. ○ Other stakeholders from non-profit think tanks underline the fact that in real terms cigarettes are less affordable in BG than in many other Western countries, where nominal prices are higher. Therefore, a balance should be found between the need to increase rates and the capacity to tackle any side-effect in terms of cross-border flows and illicit trade. In this sense, it is important to consider the geographical position of Bulgaria which is (1) exposed to the Turkish duty-free shops; (2) bordering Macedonia; (3) bordering Serbia; and (4) nearby Kosovo, which is emerging as a hub of illicit traffic.
Ireland	• It is noted that minima should be increased to achieve that convergence effect and reduce the price gap, which was not possible to achieve before. Both the revised minima and the review of Art. 32 provisions are considered as equally important. In particular, as far as the latter is concerned, sanctions should be strengthened to increase the deterrence effect. • FCT is given an advantage in terms of allowances, and this is increasingly being exploited by travellers abroad.
France	• The measures established under LdF art 51 are too recent to observe effects. Especially, as they overlap with the Covid-19 crisis and border closures. Regarding the coherence with EU rules established under the Horizontal Directive, the measure has been motivated by the need to stimulate a debate on the tax harmonisation and the fitness of the current EU framework.[212] • Wholesale and retail operators, as well as tobacco control NGOs, welcomed these restrictions. There remains, however, some scepticism regarding enforcement and

[212] As explained by the Minister responsible for public accounts to the National Assembly: «*Nous avons conscience du caractère très offensif de notre proposition par rapport à la position européenne mais nous y voyons un moyen de faire vivre le débat sur l'harmonisation de la fiscalité […]. Si un pays comme le nôtre, où les flux frontaliers nourrissent des trafics importants, n'adopte pas une position offensive quant aux quantités de tabac autorisées par la directive, le débat de l'harmonisation n'avancera pas. Nous assumons donc notre position : elle vise un objectif primordial de santé publique, contribue à soutenir les buralistes et participe aussi à l'amélioration des comptes publics*.» Excerpt from the Minutes of National Assembly session of 8 July 2020 (i.e. preceding the adoption of the LdF Art.51).

controls, which would require significant customs resources. Another implementation aspect that could require further elaboration is the concept of 'private use'. This concept is not sufficiently explained in the EU legislation.

- Most stakeholders concur that quantitative restrictions to cross-border purchases are complementary and not alternative to policies aimed at fostering convergence in price levels between countries. Such convergence should be sought by increasing EU minima, although stakeholders agree that tax levels cannot be equalised since the purchasing power varies greatly across MS.
- It has been also remarked that tackling non-domestic legal product consumption would not be sufficient to solve the problem of purchases made outside of tobacco shops. Several clandestine factories were dismantled last year in Spain and Belgium, which were located close enough to the French border, hence there is no doubt about the fact that they targeted the French market.[213]

E.1.4 Summary of the key findings

Substantial price differentials between MS are the primary drivers of cross-border flows of duty-paid tobacco products, from low-price to high-price countries. Acquisition of non-domestic products by private individual for own consumption is permitted, provided the rules and criteria set out on Art. 32 of Horizontal Directive are satisfied. However, the scale of estimated cross-border flows, especially in certain country's border regions is such that irregularities and abuses of the 'private use' principle can be suspected. These can take the form of (1) an overstretching of the concept of own individual use (i.e. purchases for family members, friends etc.); (2) ant-smuggling (also referred to as 'bootlegging') and, in some cases, (3) more structured and organised smuggling activity.

Accurate estimates of the extent of cross-border flows are unavailable and very difficult to produce, due inter alia to the limitedness of controls. Even more difficult is to assess what share of cross-border flows can be attributed to irregular / abusive movements. Nonetheless, the triangulation of different sources indicates that in some hotspots the magnitude of cross-border flows can be substantial (e.g. around 15% in France, less than 10% in Ireland and Finland). In particular, COVID19-related restrictions that occurred in 2020 let emerge further evidence on the magnitude of cross-border flows. During confinements, consumers have more limited access to legal products of foreign origin and significant increases in the sales of domestic products have been registered e.g. in certain border regions of France, in Germany etc.

The evidence collected shows that cigarettes remain the main product subject to flows, but on specific markets other products can be relevant (e.g. FCT in Ireland, snus in Nordic countries etc.). No information or statistics are collected by MS on cross-border flows for private use of new products like e-cigarettes and HTP but – as discussed in the dedicated case studies below – some stakeholders expressed concerns that they become substantial in the future.

Some countries have introduced national measures to restrict the quantitative amounts of tobacco products that travellers can bring in for private use, beyond the guide limits laid down in the Horizontal Directive (Art 32). These measures are too recent for an evaluation of effects, but they clearly indicate a need to take action to tackle the phenomenon. Other countries have not adopted similar measures, but an internal discussion is ongoing. In the past, various MS had adopted quantitative restrictions towards travellers coming from low-tax countries that were under transitional derogation of EU minima. The effectiveness of such measures appears mixed: on the one hand MS authorities concur they helped mitigating the problem (travellers were aware they would incur in sanctions if they exceeded the permitted quantities), on the other hand,

[213] Source: rapport de la Mission parlementaire d'évaluation de la lutte contre la contrefaçon, remis à l'Assemblée nationale le 9 décembre 2020.

various interviewees admitted that these measures were not necessarily supported by enhanced controls or special enforcement measures.

The rules and criteria for private individuals' cross-border acquisitions established in Art 32 of the Horizontal Directive are currently being reviewed by the Commission. This might lead to a reduction of the guide levels and/or to a revised definition of the private use principle. From stakeholder interviews it emerges the need to combine multiple policy tools to tackle excesses in cross-border flows. One such tool is certainly the revision of the current EU rules for the acquisition by private individuals (guide levels, definition of 'private use' etc.). Another tool is enhanced convergence in tax (hence price) levels between MS, with the aim to mitigate the root causes of cross-border shopping.

With respect to tax level convergence, positions evidently vary across countries and stakeholders, as benefits and unintended effects would be felt differently. Overall, on three aspects a certain degree of consensus was registered:

a) there is a need to adjust EU minima to prevent price differentials would further enlarge;
b) in setting new minima it is necessary to take into account the different purchasing power of the MS involved - as the data analysis shows the priority is to address situations where price levels are significantly below EU average in real terms;
c) tax increases should be sufficiently gradual to avoid disrupting effects in the affected markets.

E.2 Illicit manufacturing and trade

E.2.1 Overview of the issue

➢ **THE POLICY PROBLEM**

The illicit trade of tobacco products (ITTP) has different magnitude and characteristics across Member States. Some countries can be more exposed to illicit trade for geographical reasons (bordering with illicit trade hubs), others for enforcement capacity deficits, or widespread social acceptability of illicit products consumption. The value of the potential market – determined by the number of consumers and price levels - is another relevant factor.

ITTP represents a serious problem both in terms of foregone tax revenue for Member States and in terms of security – as it might contribute to illegally finance criminal organisations. Additionally, it undermines tobacco control policy and causes adverse public health effects, as it makes cheaper (and potentially more hazardous) products available to consumers. Finally, it distorts competition, as it subtracts consumers from the legal market.

The Commission has adopted a Strategy and an Action Plan (see Annex D) to fight ITTP which involve some 50 specific measures. According to the implementation Report published in May 2017, the first 4-year period's measures had limited impact on the challenge posed by illicit tobacco trade in the EU. This was partly because various important measures like the system of traceability and security features for tobacco products were not yet in place[214], and partly because of the ever-changing patterns and channels of illicit activities, which require a continuous updating and strengthening of measures.

➢ **ILLICIT TRADE OF CIGARETTES**

Most of illicit tobacco trade consists of cigarettes. Illicit, non-duty-paid cigarettes are generally segmented into three categories:

- ***contraband*** products, i.e. branded products manufactured by a legitimate operator in a third country that are smuggled into the EU, evading the excise due in the country of consumption;
- ***counterfeit*** products, i.e. fraudulent imitation of branded products illegally manufactured and sold by non-authorised operators;
- ***'illicit whites'***, i.e. non-branded cigarettes which are generally manufactured by a legitimate operator in a third country, which are diverted to illicit trade and smuggled into the EU. In recent years, cases of counterfeiting of 'white brands' cigarettes have been reported.

This classification does not include intra-EU cross border flows of products duty-paid in another country, which have been discussed in the previous section, although in some cases they possibly abuse excise duty rules.[215]

In fact, illegal tobacco products were usually smuggled into the EU through the Eastern borders, the Balkan route, or from North Africa. However, in recent years, a surge in illicit manufacturing within the EU has been registered. The internal or external origin of illicit trade is important to consider, as it calls for different policy measures. Specifically:

[214] The traceability system allows tracking and tracing the movement of legal tobacco products from the manufacturing / importing site to the point of retail sales, thus helping public authorities determine when a product was diverted into the illicit market. The obligation of placing tamper-proof security feature on all unit packets of tobacco products placed on the EU market enables authorities and consumers to easily verify their authenticity.

[215] Moreover, it does not foresee a separate category for cigarettes illicitly manufactured in the EU that can be classified as "counterfeit" when conditions apply or illicit or even total whites when totally unbranded.

- ***Smuggling*** through external borders is enabled inter alia by tax (hence price) differences with non-EU countries (both neighbouring and far away) and can be influenced by the extent of permeability of borders and by the penalties imposed or by the availability of free zones. So, the policy measures adopted / recommended in this area focus on (a) reducing the tax level gap with the countries of origin of illegal products (e.g. through a bilateral agreement, as is the case with Ukraine and Moldova), and (b) on prevention / detection capacity and enforcement, e.g. the EU system of traceability and security features for tobacco products (that however is mainly aimed at fighting intra-EU smuggling and for the time being of limited relevance for extra-EU flows), administrative cooperation among countries, joint operations etc. Special measures have been proposed to reduce smuggling from tax-exempt free zones.
- ***Illicit manufacturing*** has developed within the EU through exploiting the weaknesses in the monitoring and control of the tobacco supply chain and the widespread availability of idle machinery following the downsizing and concentration of the legal sector. Illicit manufacturing, in theory, should be preferably carried out near consumption sites to minimise the risks connected to the transport of illegal products on long distances, but several cases have been reported of factories deemed as mainly targeted at consumer markets in neighbouring countries. Policy measures against illicit manufacturing can therefore require strengthening controls over the tobacco and precursors supply chain. The measures in place in MS to secure and control the raw tobacco supply chain are discussed separately in Section E.3 below.

Online illicit trade of tobacco products seems also on the rise, although there are still limited data on the magnitude and the functioning of ***tobacco crypto-markets*** in the EU (see Box 2.1)

Box E.2.1 - Tobacco crypto-market online

Alongside the traditional smuggling methods and routes a seemingly growing portion of the tobacco illicit trade is moving on the Internet. The place where this traffic takes place is known as *crypto-market*, which is a transactional website hosted in the dark net, where the participants are extremely secured against their identity and localization disclosure due to an encrypted connection.[216] The sale of illicit products online is not a new phenomenon. However, the new platforms offer more protection against participants' IP addresses disclosures and against internal frauds. They have layout similar to that of the most popular online legal platforms (e.g. Amazon and eBay), with images, titles, prices and even the name of the seller and the summary of feedback received by the precedent buyers[217]. Each vendor has indeed a personal page with his details and "feedback history" indicated, presenting also their *PGP* key, allowing the buyers to encrypt the messages they send[218]. It is very difficult to localize the crypto-market servers, and therefore the participants' geographical position, because crypto-market platforms are accessible on the *Tor* network subsection of the Internet[219].

According to the results of a few seminal research works, virtually any tobacco products can be found on the dark net, including: 1) *cigarettes*; 2) *rolling tobacco*; 3) *e-cigarettes*; 4) *e-cigarettes accessories*; 5) *e-liquid*; 6) *e-liquid without nicotine*; 7) *cigars*; 8) *rolling papers*; 9) *pipe*; 10) *lighter*; 11) *joint with tobacco etc*. The results of the monitoring of 14 crypto-markets showed that cigarettes account for the relatively highest share of sales (42%) followed by e-cigarettes (19%) and rolling tobacco (10%)[220]. Europe emerged as the main shipping region, accounting for 39% of all tobacco listings, 184 out of the 476 monthly listings, and 44% of revenues (i.e. USD 2,833 out of the estimated USD 6,304 monthly income). In particular, the United Kingdom seems to be the most attractive country, contributing alone to more than 25% of all sales

[216] Décary-Hétu, D., Rguioui, I., & Mousseau, V. (2018). The Shift to Online Tobacco Trafficking. *International Journal of Cyber Criminology*. *12(1)*, 47-67. Université de Montréal. Canada.
[217] Christin, N. (2013). Traveling The Silk Road: A Measurement Analysis of a Large Anonymous Online Marketplace. *Proceedings of the 22nd International Conference on World Wide Web*. Rio de Janeiro, Brazil.
[218] Demant, J. J., & Branwen, G. (2016). A Replication and Methodological Critique of The Study. *International Journal of Drug Policy*. *35*, 92-96.
[219] Dingledine, R., Mathewson, N., & Syverson, P. (2004). Tor: The Second-Generation Onion Router. Naval Research Lab Washington DC.
[220] Décary-Hétu, D., Rguioui, I., & Mousseau, V. (2018). The Shift to Online Tobacco Trafficking. *International Journal of Cyber Criminology*. *12(1)*, 47-67. Université de Montréal. Canada.

even if with "only" 11% of listings. Reasonably, North America, predominantly the US, is the second-largest region with 33% of listings and 40% of sales.

It must be said that, in terms of market share, illicit tobacco products crypto-market represent only a minor share (0.03%) of the total crypto-markets sales, which are estimated exceeding 18 million / months.[221] The bulk of trade is generated by illicit drug traffic, especially Cannabis products (25% of the total reviewed). However, empirical evidence suggests that the tobacco smuggling activities in crypto-markets may increase in the upcoming years[222], and that new stringent regulations and higher excise rates on tobacco products can further encourage illicit tobacco trafficking on the dark net[223]. In this sense, there is a need to scale up monitoring and control measures to tackle this new frontier of illicit trade.

➢ **ILLICIT TRADE OF OTHER PRODUCTS**

The information on the amount of illicit trade of products other than cigarettes is scarce but MS tax authorities, industry and public health stakeholders consulted agree that it is on the rise, although still limited compared to cigarettes. Main concerns regard two type of products specifically:

- Raw tobacco sold directly to consumers, which can be transformed into ***smoking tobacco*** through simple home processing. This issue is widespread in the Balkans region as well and in other tobacco growing countries like Spain and Poland (although in the latter it has seemingly declined significantly after stricter control policies have been put in place and retail sale prohibited). In some countries, this practice actually falls in a grey area, as there is no specific legislation prohibiting it. In other cases, vendors operate online through offshore websites or through temporary pages on social networks. The tobacco is often conditioned in anonymous packages and marketed as intended for other uses than smoking. In some reports, this product is referred to as 'bulk' tobacco. However, it is important to distinguish between bulk tobacco unlawfully sold to consumers from the more serious issue of unmanufactured bulk tobacco diverted to the industrial production of illicit cigarettes.
- Significant levels of illicit trade are registered also for ***waterpipe tobacco***. In absolute terms, this is still a niche product in the EU, but in relative terms illicit trade is huge, accounting for an estimated 60% of total consumption. This seems linked to (a) poor monitoring of routes of import / distribution / consumption ('shisha bars'), which are different from other tobacco products, and (b) to the significant economic incentives to smuggling that are generated by excise duty levels that are much higher than other tobacco products. Also in the case of WPT, diversion of bulk tobacco to final consumers would be possible, as the raw tobacco leaf would require even less of rudimentary first processing before becoming smokable as waterpipe tobacco through home-made mixture with molasses and flavourings.

E.2.2 Assessment of ITTP magnitude and drivers

➢ **MEASURING ILLICIT TRADE, METHODS AND SOURCES**

Measuring illicit tobacco trade is complicated and, as of today, there is no standard widely-accepted methodology in the EU or globally. As emerged from EA 2018 survey, some 50% of MS estimate ITTP based on a triangulation of different sources and methodologies, including third-party sources. As Figure E.2.1 shows, the most common data source is volume (and type) of illicit products seizures. However, seizure data are seldom used in isolation[224], as they

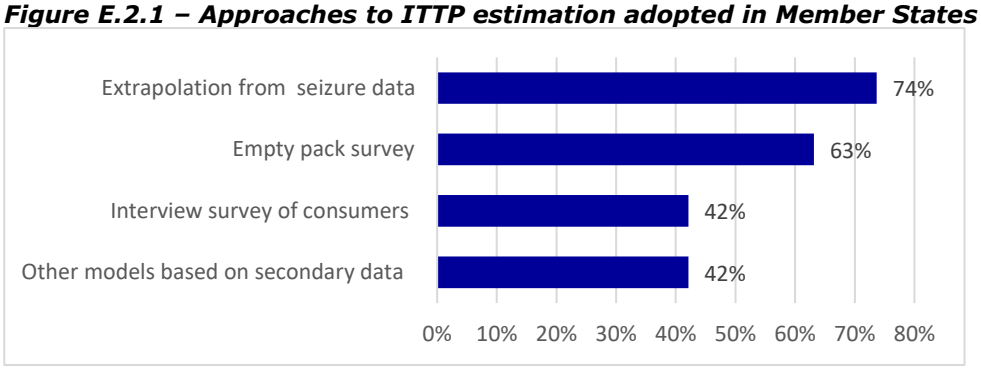
[221] Ibidem.
[222] Kruithof, K., Aldridge, J., Décary-Hétu, D., Sim, M., Dujso, E., & Hoorens, S. (2016). Internet-facilitated drugs trade. Retrieved from http://www.rand.org/content/dam/rand/pubs/research_reports/RR1600/RR1607/ RAND_RR1607.pdf.
[223] Martin, J., Cunliffe, J., Décary-Hétu, D., & Aldridge, J. (2018- in press). Darknet opioids: prescription opioid scheduling and cryptomarket drug trading in the US. *British Medical Journal*.
[224] Only 3 MS reported seizure data as the only source of information.

notoriously tell more of one country's detection capacity than of the actual magnitude of illicit trade. Furthermore, it has to be noted that customs officers are often confronted with the issue of distinguishing the status of tobacco, which is not always straightforward, and can be subject to different recording practices.

Several MS reportedly rely also on 'empty pack surveys' that different market research agencies conduct within the framework of industry-sponsored efforts. Empty pack survey data are then elaborated by KPMG through its own modelling.[225] The scope, periodicity and methodology of empty pack surveys vary across countries, hence the quality of results can differ. Additionally, the validity of past editions of the survey have been questioned by tobacco control experts, in connection to the bias induced by industry's sponsorship.[226] Another limitation relates to the fact that in certain constituencies illegally manufactured cigarettes are not sold in ordinary cigarettes boxes[227] so they cannot be captured in the empty pack survey.

Additional measurement methods reported by MS, include specific consumer surveys (mentioned by 3 MS) and other model-based analyses based on retail sales data (mentioned by one MS) or monitoring of activities of newly authorized warehouse keepers on EMCS (mentioned by one MS). Finally, tax gap assessment methodologies starting from smoking prevalence data can be attempted. A combination of these approaches by triangulating different sources is usually considered as best practice.

Figure E.2.1 – Approaches to ITTP estimation adopted in Member States



Source: EA 2018
Note: multiple answers allowed

[225] Based on KPMG's own description, the empty pack survey (EPS) methodology is a research system of collecting discarded empty cigarette packs, the results of which are used to estimate the share of domestic (duty paid), non-domestic (non-duty paid) and counterfeit packs in each of the markets. EPSs are conducted by independent market research agencies (e.g. Nielsen, Ipsos or MSI) in each of the countries sampled. The coverage includes all EU27 countries, plus Switzerland, Norway and the UK. Results are based on a large sample of packs collected in various population centres throughout the countries. Large surveys (10,000 packs or more collected) are carried out in AT, BG, CZ, FR, DE, EL, HU, IT, LV, LT, NL, NO, PL, ES, SE and the UK; medium-size surveys (5,000-9,999 packs) are carried out in BE, DK, EE, FI, IE, SK, CH, and RO; small surveys (less than 4,999 packs) are carried out in CY, HR, LU, MT, PT and SI. The pack collection sampling method is the same in all countries and consists of four steps: (1) selection of population centres that are representative of the country; each centre is divided into five sectors and each sector into neighbourhoods of the same size (250 mt radius); (2) pack collection: Each neighbourhood is assigned a number of discarded packs for collection based on the size of the overall population centre in comparison with the national population. A minimum number of packs are collected from each neighbourhood. Each neighbourhood is researched following a specific starting point and a fixed route; (3) pack processing: the packs are delivered to the participating manufacturers in the given wave of EPS for identification (including brands suspected to be 'cheap whites'); (4) pack analysis: the participating manufacturers check the packets belonging to their brands to identify counterfeit and inform the agency who collates and updates the data sheets. Data sheets are finally provided to KPMG and analysed to calculate the non-domestic incidence and contraband and counterfeit volumes. Non-domestic products are classified by KPMG as 'non-domestic legal' or as 'contraband / counterfeit' by analysis of travel trends, border crossings and pricing data. The details of the model cannot be summarised here, and are accessible at: https://www.stopillegal.com/docs/default-source/external-docs/kpmg-project-stella/project-stella-methodology.pdf?sfvrsn=aea077d7_2

[226] See: Joossens et al., From Cigarette Smuggling to Illicit Tobacco Trade, 2012; Gilmore et al., 'Towards a Greater Understanding of the Illicit Tobacco Trade in Europe: A Review of the PMI Funded 'Project Star' Report.', 2013.

[227] It has been reported that cigarettes illegally manufactured in PL are often delivered in pizza boxes.

A more in-depth review of the specific national approaches to the measurement of illicit trade is provided in Table E.2.1 below, based on feedbacks collected through fieldwork activities. In certain cases, as can be seen, a measurement at the regional level has become an ITTP control policy on its own.

Table E.2.1 – Review of selected MS approaches to measuring illicit trade

Bulgaria	• Tax and customs authorities collect and examine seizure data for evaluating risks, trends and modus operandi of ITTP in the country. Consumer surveys are not carried out, but third-party information can be used as complementary elements. The publication (since 2010) of empty-pack survey (EPS) data broken down by regions had the effect of stimulating law enforcement activities at the local level in the most affected areas. • Unlike other EU countries, EPS in Bulgaria is carried out quarterly and is still sponsored by all main companies there (five companies involved). Companies use data *inter alia* to check activities of their distributor cross-borders: if exceeding quantities of genuine cigarettes intended for the Serbian or Macedonian markets are found in Bulgaria, companies would cut the volume of shipments to distributors there or – if they suspect fraudulent activities – suspend distribution contracts altogether. The survey is implemented by Nielsen and covers 20 cities (accounting for 50% of population). • In 2018, *the Institute for Market Economics* and the polling agency *Alpha Research* carried out a consumer survey, with financial support from industry. The survey involved 5200 smokers and revealed that: (a) some 11.7% of smokers consumed illicit cigarettes at least once in the period considered, (b) specifically, some 5.6% reported to consume cigarettes duty-paid in another country; (c) price was the main reason in 90% of cases; (d) 38% buy illicit cigarettes from relatives or friends, 36% from the street, and 26% from open markets; and (e) the price of illicit cigarettes in Bulgaria is approximately 70% of legal ones. The *National Center of Public Health and Analyses* reported that a new consumer survey will be published in 2021, but it will not cover illicit trade aspects. • Some tobacco control NGOs and stakeholders do not consider as reliable the data on illicit trade drawn from EPS and from industry-sponsored survey. However, no alternative estimates can be provided. As reported by some tobacco control experts, the problem is that NGO sector in Bulgaria is lacking the economic expertise to carry out such analyses. Furthermore, it is difficult for NGOs to recruit economic experts in this field as most of them have worked on some industry-sponsored research so, according to WHO rules, they cannot collaborate with NGOs anymore.
Ireland	• Official estimates of illicit trade are regularly elaborated and published in Ireland since 2009.[228] The analysis is based on consumer surveys[229] based on two different national samples: one is conducted among 500 Irish smokers and the other among 300 Central/Eastern European nationals living in Ireland. The survey has an estimated +/- 3.7% margin of error (at a 95% confidence margin). This methodology has remained stable from the beginning of the exercise and the survey has always been run by the same company to ensure comparability of results over time. • The survey also includes a physical package check component and does not rely on respondents' declarations only. Respondents must carry with them a cigarette pack/ RYO tobacco pouch they use. Response rates are as high as 80%. The information from cigarette packages/RYO pouches is recorded by the interviewer during the interview and respondents are eventually asked to provide their pack for further analysis. Tobacco experts are then called to determine whether the pack/pouch is legal. Their assessment is based on a combination of examination of the pack/pouch

[228] There are other unofficial estimates of the size of the illicit tobacco market in Ireland. The most comprehensive of these is Project Sun, which is a survey conducted across EU countries, Norway and Switzerland by KPMG, which estimates the scale and development of the illicit cigarette market based on an 'empty pack' survey. Then also the Irish Tobacco Manufacturers' Advisory Committee (ITMAC) until recently produced their annual estimates of the size of the illicit tobacco market in Ireland.

[229] See: https://www.audit.gov.ie/en/find-report/publications/2018/2017-annual-report-chapter-17-revenue's-progress-in-tackling-tobacco-smuggling.pdf.

	(the tax stamp and health warnings in particular) and the source of the pack/pouch (as declared by the interviewee). • Gross survey population estimates are combined with smoking prevalence and consumption rates to provide an estimate of the share on total cigarette consumption in Ireland. For the illegal cigarettes survey, Irish smoker data are weighted to profiles obtained from the Healthy Ireland research on prevalence. For other ethnic groups, data are weighted to Central Statistics Office data based on nationalities. For the RYO survey, data are weighted to profiles obtained from the NTCO Smoking Prevalence research. • No triangulation is made with other sources, including cigarettes released for consumption or evidence from smoking prevalence surveys, as this is already somehow included in the survey weighting methodology itself. Ireland does not officially rely on industry-funded EPS sources either.
France	• Data on seizures of illicit products are compiled and assessed but not systematically used to infer the magnitude of the phenomenon. The fluctuations in sales level registered in 2020 have prompted investigations and discussions among authorities on the magnitude of the overall unrecorded consumption of tobacco products (illicit or duty-paid in another country) in the country. • Part of the industry makes reference to KPMG estimates, but this is reported as a 'gap-filler', i.e. to cope with the absence of public, robust measurements. In the past, empty pack survey data were used also by the public body *Observatoire Français des Drogues et des Toxicomanies* (OFDT) to elaborate its own estimates. However, the exercise was not repeated because of perceived issues with the reliability of data. In this respect, some stakeholder remarked that: (a) there is data sensitivity problem relating to the choice of places of empty pack collection and conjuncture aspects (seasonal effects, holidays, shocks); (b) the method does not allow a proper differentiation between products bought abroad legally by residents or foreign tourists, duty free products, and illicit products. • OFDT produced a report in 2012 that analysed illicit trade (notably the magnitude and origin of products) in 6 MS including (France, Germany, Netherlands, UK, Spain, Belgium).[230] The study was based on various sources of data (national and supranational administrations, academia, private sector) and interviews with public stakeholders of the MS involved. Then, in 2016, OFDT produced the ATLAS survey. This was an online survey, which involved a representative sample of the population (12,000 respondents) and enquired *inter alia* on: (a) place of tobacco purchase (e.g. tobacco shops, street, internet, foreign countries etc.), (b) the frequency of purchases made outside of regular tobacco shops. • Another source of information is the *Enquête Baromètre Santé publique.* Carried out since 1992, the survey involves 10,000-25,000 respondents. In some editions (2014, 2017, 2018) it contained a specific question enquiring where respondents did the last purchase of tobacco (i.e. tobacco shop; border country; other country; duty-free; internet; street).
Poland	• Data on seizure collected from different law enforcement agencies are collected and processed at the central level. These data can provide general indications on how ITTP modalities and routes evolve in the country. • Third-party estimates remain, however, the main source of intelligence on ITTP. In particular, the results of the empty pack survey, which is conducted by a local research company, and sponsored by the industry.

Regarding the issue of assessing illicit tobacco trade in the EU, the Commission has recently published an ad hoc study that classified and reviewed the different existing methodologies.[231] The study was commissioned by OLAF and was implemented by *RAND Europe*. The output consists, inter alia, in a short list of five preferred methods that appeared more effective and

[230] OFDT, "Observation du marché illicite", 2012. Publication made jointly with the *Institut national des hautes études de la securité et de la Justice* (INHESJ).
[231] RAND Europe, "Study to identify an approach to measure the illicit market for tobacco products. Final report", for the European Commission, April 2020.

accurate. However, the study suggests that none of them would be sufficient if used in isolation and a combination of multiple methods should be considered. The choice of method-mix may depend on resources available as the different methods reviewed can vary significantly in terms of resource intensity and available experience with them[232]. In summary, the short-listed methods in the RAND's report include[233]:

- Empty pack survey[234] - Collection of discarded cigarette packs to obtain a sample of packs that is representative of the patterns of cigarette consumption in a given area[235];
- Comparison of sales/tax paid and self-reported consumption ("tax gap analysis") - Calculation of the difference between consumption of tobacco products at national and/or local levels (e.g. measured user surveys) and tax-paid sales for the same products at the same level;
- Consumer survey (with pack inspection/surrender) - Survey of tobacco users asking about various aspects of their smoking behaviour. During the survey respondents present their latest tobacco product for inspection or surrend the product to the research team for verification;[236]
- Consumer survey (without pack inspection/surrender) - Survey of tobacco users asking about various aspects of their smoking behaviour without any request or requirement for physical evidence;
- Econometric modelling - Estimation of the volume of tax avoidance/evasion based on a demand function for tobacco products, drawing on variables that may affect total consumption and factors hypothesised to have an effect on the illicit market.

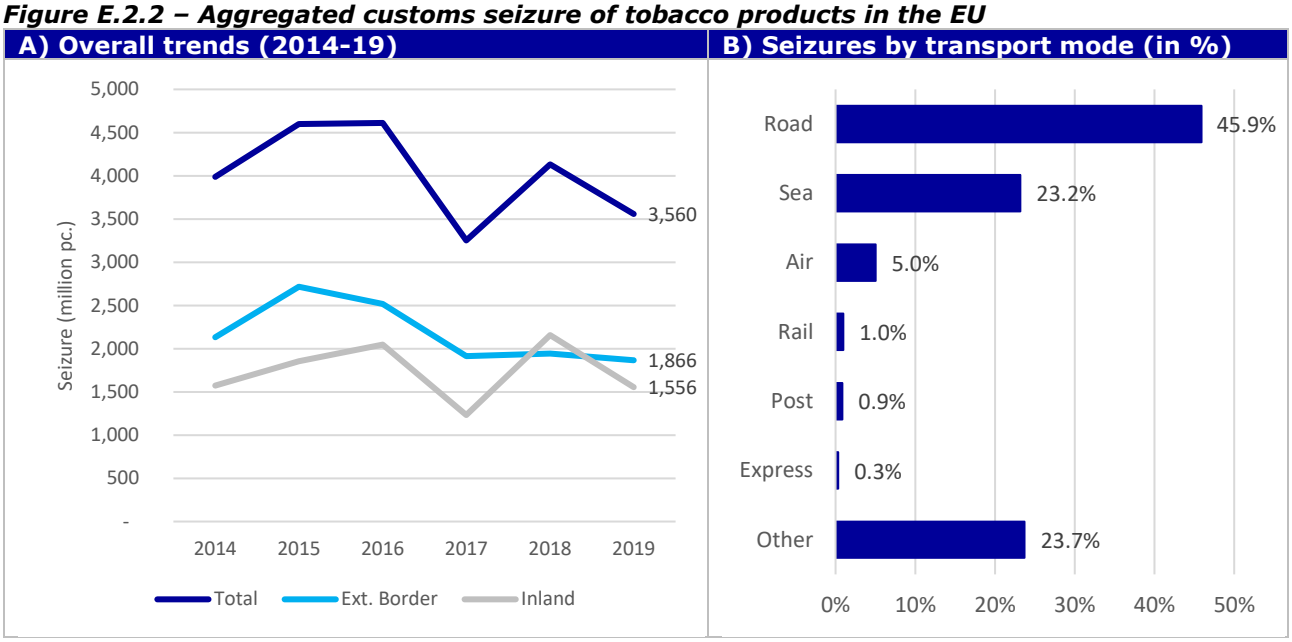
➢ ESTIMATED MAGNITUDE AND CHARACTERISTICS OF ITTP ACROSS THE EU

This Section intends primarily to illustrate the results of fieldwork activities and to show how different MS are affected by ITTP and have adopted different approaches to tackle it. Before presenting the situation in the selected MS, it can be nonetheless useful to provide some top-line estimates of the phenomenon at EU level, based on some existing sources.

- ***Seizure data.*** DG TAXUD collects and aggregates statistics on seizure from customs authorities of the MS. These figures do not represent the entire illicit tobacco seizure made in the EU, as they do not include amounts seized by police and other law enforcement authorities. Although incomplete, DG TAXUD's figures allow to identify a relative increase in the relevance of inland seizures compared to external border seizures over time. They are also compatible with the trends highlighted in WCO sources (see section E.2.4 below). This is coherent also with the trends in seizures by transport mode. In 2019, road transport seizures accounted for 46% of the total, i.e. some 10 percentage points more than in 2015. In the same period sea transport seizures decline from 32% to 23%. Although, as discussed, seizure data has to be taken with caution as an indicator of ITTP, trends would confirm the switch from external smuggling to intra-EU illicit manufacturing that is discussed in the next section.

[232] Estimates would also be possible starting from analysis of metabolites in sewage waters, but this has never been attempted outside of pilot experiences to estimate smoking prevalence. Ivan Senta, Emma Gracia-Lor, Andrea Borsotti, Ettore Zuccato, Sara Castiglioni, "Wastewater analysis to monitor use of caffeine and nicotine and evaluation of their metabolites as biomarkers for population size assessment," Water Research, Volume 74, 2015, Pages 23-33.
[233] Source: RAND Europe, 2020.
[234] More commonly known as 'empty pack surveys', a description of the methodology is provided in previous section E.1.
[235] Among the criticisms raised against this method there is a possible lack of accuracy in how illicit whites and contraband cigarettes are classified in official seizure data has also been reported. "*Similarly, in the latest Operation Henry report, the two most seized brands, West and Winston, were coded as cheap whites yet are TTC brands*". See Gilmore AB, Gallagher AWA, Rowell "A Tobacco industry's elaborate attempts to control a global track and trace system and fundamentally undermine the Illicit Trade Protocol Tobacco Control" 2019;28:127-140.
[236] Being a combination of sources itself, this is considered among the most reliable methods by practitioners themselves and a kind of gold-standard for reference.

Figure E.2.2 – Aggregated customs seizure of tobacco products in the EU



Source: *DG TAXUD on data communicated by MS*
Notes: *DG TAXUD figures refer to "Total quantity of illicit tobacco and cigarettes seized". In the period 2017-20, cigarettes accounted for less than 50% of the total seizure reported. However, this figure is possibly underestimated, as the broad category of 'illicit tobacco' is deemed to include seizures where the nature of the product was unspecified. In Panel B, it is assumed that the 'Other' category includes primarily unspecified transport modes.*

- ***Third-party estimates***. Figure E.2.3 below reports most recent estimates and trends from the most common third-party sources available in this research area, namely: (a) Euromonitor International; and (b) KPMG's Project Stella and SUN (based on empty pack surveys). As discussed in the previous section these estimates have methodological limitations and have to be taken with caution.[237]

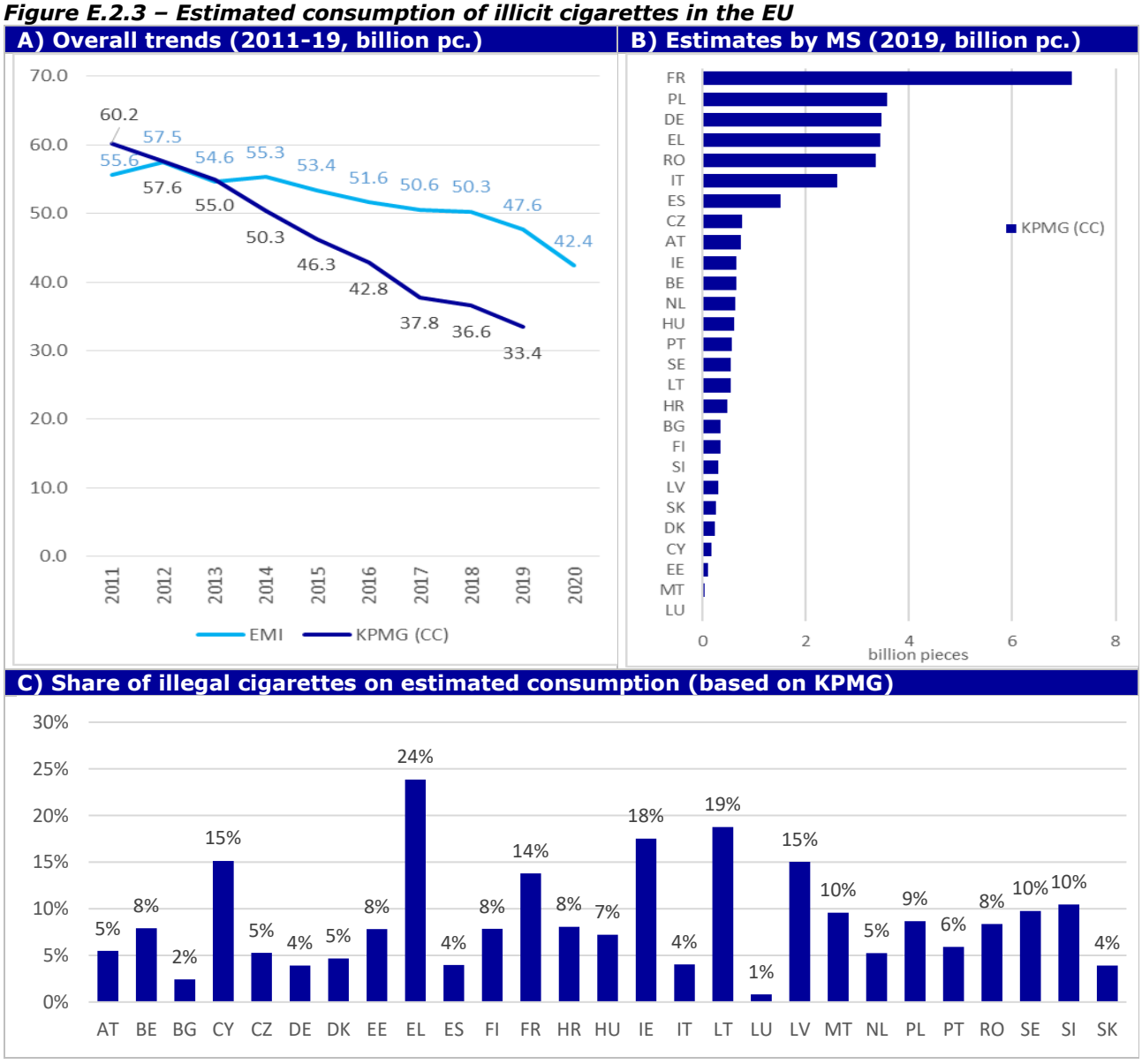
  Both sources concur illicit trade has been declining in the EU over the past decade. However, while for Euromonitor the decline has been slow, for KPMG the contraband and counterfeit components of unrecorded consumption have fallen steeply (partly replaced by non-domestic legal consumption – see Section E.1 above). Compared to total consumption, Euromonitor International estimates illicit cigarettes' market share as stable around 11-12% of the total, while KPMG registers a decline from some 11% to 8% of total consumption.

  France emerges as the most affected country in the EU, with an estimated total illicit cigarettes around 7.2 billion (KPMG). Illicit trade estimates diverge depending on the source: i.e. Euromonitor International's estimates tend to be higher than KPMG ones for FR, DE, ES, IT, and AT. Conversely, KPMG's estimates are higher for SE, DK, RO and BE.

[237] As discussed, KPMG's Project Stella (and its predecessors) is an industry-sponsored exercise. In the past, some criticisms have been raised on this exercise by tobacco control experts. See, for instance: Joossens et al., From Cigarette Smuggling to Illicit Tobacco Trade, 2012; Gilmore et al., 'Towards a Greater Understanding of the Illicit Tobacco Trade in Europe: A Review of the PMI Funded 'Project Star' Report', 2013. For similar reasons, some public health stakeholders have raised doubts on the reliability of Euromonitor International's data on illicit trade, in connection with its participation to industry-sponsored projects. In a note, Euromonitor International firmly rejected such assertions, reaffirming its total independence from industry's interests. Source: https://blogs.bmj.com/tc/2019/04/08/euromonitor-international-now-accepts-tobacco-industry-funding-a-win-for-pmi-at-the-expense-of-research-on-the-tobacco-industry/

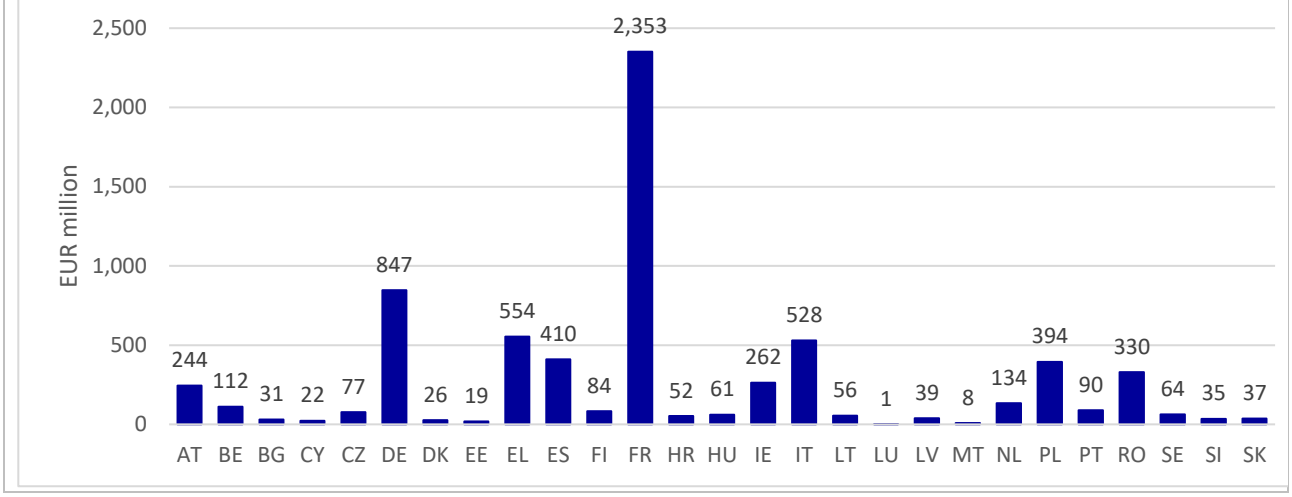
Overall, the incidence of illicit cigarettes on the estimated consumption, based on KPMG data[238], varies from less than 5% in BG, LU, DE, ES, IT and SK to 15% or more in LT, LV, CY, EL and IE. The highest incidence is registered in Greece (24%).

Figure E.2.3 – Estimated consumption of illicit cigarettes in the EU



[238] This indicator is based on KPMG estimates, for consistency with the data on inflows and outflows of NDL products, which needs to be used to estimate the 'actual consumption' starting from the RfC. Specifically, actual consumption is calculated as RfC + ITTP + NDL inflows – NDL Outflows.

D) Estimated foregone tax revenue caused by ITTP



Sources: *(1) Euromonitor International (EMI); (2) KPMG's project Stella and SUN.*
Note: *Euromonitor International estimates refer to total illicit cigarettes (data for CY, LU and MT not provided); KPMG data refer to contraband & counterfeit (not including non-domestic legal consumption). In Panel D, figures are based on the ITTP volume average estimates elaborated by Euromonitor International and KPMG's Project Stella.*

The magnitude and features of illicit trade can vary across MS depending on various aspects such as market conditions, population income, geographical position, availability of tobacco etc. The following table summarises the main aspects emerged from the fieldwork consultations in selected MS.

Table E.2.2 – Review of ITTP in selected MS, evidence from fieldwork

Bulgaria	• During the 1990s, smuggled cigarettes accounted for roughly half of all cigarette consumption. After a temporary decline, illicit trade was still around 40% in 2010. Things changed after 2015, following an important increase in law enforcement efforts. All stakeholders consulted agree that Bulgaria has today one of the EU's lowest incidence of illicit cigarettes trade (2-3%). • There are three major sources of origin of illicit cigarettes on the Bulgarian market: 1) duty-free shops on the border with Turkey (these are in fact genuine cigarettes; 2) smuggled products from North Macedonia; 3) illicit whites produced in illegal factories, which are mostly located across the Greek border. • The illicit consumption of fine-cut tobacco is considerably higher. It is connected primarily to the small-scale diversion of local production involving low-income groups. Prosecution is low. In 2020, 15 cases of domestic illicit trade of smoking tobacco were registered for a total of 300 kg. In previous years, the seizures of domestic illicit smoking tobacco ranged between 500 and 1000 kg per annum. Illicit cross-border movements of smoking tobacco are also registered. The biggest seizure last year consisted of 2500 kg smoking tobacco originating from Greece. • There is a clear economic incentive behind illicit sales of smoking tobacco at retail level: a 50-gram pack of smoking tobacco with a fiscal stamp is priced 12.5 BGN (EUR 6.41), while without a fiscal stamp the same quantity may be bought for 2 BGN (EUR 1.0). The illegal packs of smoking tobacco usually range between 30 and 1000 g. It is estimated that the revenues from illicit trade of smoking tobacco are about 20 million BGN (EUR 10 million) annually. • As regards illicit waterpipe tobacco, three sources are reported: smuggling from third countries, illicit trade within the EU from MS with lower excise duties, and illicit production in Bulgaria (for the domestic market as well as for other MS). In 2020, only 15 kg of waterpipe tobacco was seized but in previous years there have been attempts of smuggling quantities up to 1000 kg. Several cases of illegal traffic of water-pipe tobacco from Bulgaria directed to other MS have been recorded. • In 2020 there emerged a tendency of contraband export of heated tobacco products for third countries. Two cases of contraband export of tobacco products with Bulgarian fiscal stamps were recorded, and one case of attempted smuggling of heated tobacco products from Serbia to Turkey.

Ireland	• The estimates of illicit trade as a share of total consumption in Ireland are carried out by means of the same survey used for the cross-border trade data. These estimates have long remained in the range of two-digit figures and reached as high as 15% of the total consumption of cigarettes in 2019, year for which the latest official data are available. This relatively high level is explained by the incentives provided by taxation, although illicit supply has not increased proportionally with tax increases, and actually decreased for a while until resuming an apparent upward trend in 2016. • Both number and quantity of cigarette seizures have been on a broadly decreasing trend for a decade, but this is no longer necessarily the case. The first notable exception was in 2018 when as high as 67.86 million cigarettes and 1,915 kg of FCT were seized, although not all of them believed to be destined at the domestic market. In 2020, again, seizures amounted to 48 million cigarettes and 7,195 kg of tobacco, up from respectively 13.4 million cigarettes and 3,564 kg of tobacco, valued at €8.6 million and €2 million the year before. This apparently reversed a longer decreasing trend in seized quantities also due to the increasingly sophisticated nature of smuggling operations together with decreased domestic total consumption. In 2017, 34.2 million cigarettes were seized in Ireland, compared to 44.6 million in 2016 and 67.9 million in 2015. For comparative purposes, in the early 2010s cigarettes seized were in the region of some 150-180 yearly million sticks. • Contraband represents some 80% to 90% of the overall illegal market in Ireland. Illicit whites have long represented another 25-20% of the illicit market until dropping to 8% in 2019. They are mainly smuggled by shipping containers from Belarus, Ukraine, China, and Vietnam. Illegal production for the domestic market is still very low. Most illicit cigarettes sold on the island mainly come as illegal imports from Eastern Europe, the United Arab Emirates, Vietnam, and South-East Asia generally. The weight of counterfeit is negligible. Smuggling modalities have become more and more sophisticated over time and increasingly resemble those used by drug dealers. • Illicit trade of FCT tobacco is of increasing concern. Over time this has fluctuated between 9% and 21% of the total estimated consumption market, although in this case data reliability is lower than for cigarettes, as the margin of error can be higher due to smaller sampling. • There is no evidence of significant illicit trade of products other than fine-cut tobacco. In 2014, there was a seizure of 4500 kg of waterpipe tobacco as part of a larger operation, but this remained an isolated case.
France	• Official data on illicit trade in France are not published, however different sources of information are available, mainly: (a) DGDDI data on ITTP seizures; (b) empty pack survey data; (c) ATLAS survey[239]; (d) consumer's survey *Enquête Baromètre de Santé publique France.* • The main trends can be summarised as follows: ○ Seizure data show a steep increase between 2018 and 2019, especially of large-size seizures (more than 100 kg), and more marked for FCT (+910%) than for cigarettes (+260%). In 2020, the total amount of cross-border seizures declined compared to previous years. The reduction related almost exclusively to FCT and to large-size seizures. Instead, seizures from ant-smuggling nearly doubled. ○ EPS data suggest consumption of illicit cigarettes are stable, fluctuating between 13 and 15% of total consumption. The share of illicit products on the total of unrecorded consumption (i.e. including cross-border flows) has declined over time. ○ The results of the ATLAS survey (2016) indicated that one in eight smokers purchased tobacco from an illicit channel in the previous year (online, on the streets, from a dealer). Nearly 4% of smokers reported to regularly purchase tobacco that was procured through ant-smuggling. The survey was carried out prior to progressive tax-hikes that started in 2017. Facing the perspective of price increases some 12% of respondents expressed the intention to purchase tobacco only outside of regular channels. ○ The *Baromètre de Santé* survey (2018) focused primarily on cross-border shopping. According to the survey results, 'on the streets' purchases account

[239] ATLAS – Approvisionnement en Tabac : Lieux d'Achat Sollicités par les fumeurs français. This exercise is regularly carried out since 2002 by the *Observatoire Français des Drogues et des Toxicomanies*.

	for some 0.4% of the total. The figure was stable since 2017, while it increased from 0.1% in 2014. • The origin of illicit products is difficult to determine. Overall, an increase in the intra-EU production of illicit cigarettes is assumed (especially counterfeit cigarettes), with manufacturing sites having moved progressively from Eastern to Western Europe. It is assumed that cigarettes enter into France from illicit manufacturing sites located in neighbouring countries. No illegal production in France is instead reported, possibly because of more severe sanctions in place.[240] It is also reported that 'cheap whites' consumption in France is marginal and not a policy issue. • The illicit trade problem comprises both organised crime and ant-smuggling (small, irregular deliveries made by individuals). According to retail organisations, there are well-developed trans-national criminal networks operating throughout the country. These networks supply street black markets, located in main cities. Furthermore, social networks have become strong relays of this parallel market. • The volume of counterfeit tobacco products used to be very low in France, compared to genuine products smuggled or legitimately moved cross border.[241] However, preliminary data from empty pack surveys indicate it has possibly accelerated in 2020. If validated, this figure may suggest that border closures and movement restrictions connected to COVID-19 crisis could have modified ITTP channels and modus operandi, switching from cross-border flows of genuine products to distribution of counterfeit cigarettes fabricated in clandestine factories. • France is the second-largest EU market for consumption of waterpipe tobacco. Duty-paid sales amount to approximately 150 tonnes. However, manufacturers estimate the actual consumption as ten times bigger. Huge disparities between duty-paid and actual consumption emerges also from consumer surveys (including Eurobarometer). According to ATLAS 2016, only 40% of water-pipe tobacco is purchased in tobacco shops, the rest being procured in shisha-bars, procured on internet or through other channels. Shisha-bars should, in principle, buy water-pipe tobacco from tobacco shops but procurement through illicit channels and under the counter sales is reportedly widespread.
Poland	• Poland used to be one of the most hardly hit EU countries regarding ITTP. However, in recent years a sharp decline in the phenomenon has been registered. From a record-breaking year 2015, where the volume of illicit cigarettes reached 7 billion sticks (nearly 17% of legal sales), the number of illegal cigarettes fell to 3.7 billion sticks in 2019 (8.5% of the country's legal sales). Similar estimates are provided by KPMG, based on the empty pack survey data collected by *Almares* (18.3% in 2015 and 9.4% in 2019). • Stakeholders agree that illicit cigarettes are mostly smuggled through the eastern external border, originating in particular in Belarus and Ukraine. In 2019, the volume of illicit cigarettes from these countries was estimated by industry players at around 1.6 billion pieces. Illicit whites account for some half of the total. Counterfeit branded cigarettes account for less than a quarter of the total. • The (incomplete) projections for 2020 would indicate a slight increase (about 1 percentage point). Overall, it is nonetheless noted a decline in the volume of cigarettes smuggled through the eastern external border as a consequence of the restrictions and border closure. • Statistics on illicit seizure of cigarettes largely follows the estimated illicit trade trends described above, with a peak in 2016 and a rapid decline that continued until 2020. The trends in seizure of FCT followed a partly similar pattern, however, with an increase in the 2019-20 period compared to 2017-2018. Last year, FCT seizures were half the levels registered in 2015. • There is no data or estimates on illicit trade and seizures of illegal HTP or e-cigarettes. This relates to the fact that until April this year it was still possible to deplete stocks of products not carrying the mandatory excise duty stamps.

[240] Prison sentences can go up to 3 years to punish illicit trade and up to 10 years in the framework of an organized group (`bande organisée). See Art. 414 Code National des Douanes

[241] See : Cour de Comptes, « LA LUTTE CONTRE LES CONTREFAÇONS », Communication au comité d'évaluation et de contrôle des politiques publiques de l'Assemblée nationale Février 2020.

➢ **ILLICIT MANUFACTURING WITHIN THE EU**

If the volume of illicit tobacco products consumed in the EU is difficult to measure, determining where and how illicit products are manufactured and shipped is even more challenging. The main information source on illicit manufacturing in this respect consists of ***law enforcement reports*** and some studies that examined them and draw an accurate, though qualitative, picture. More specifically two sources have been reviewed: (1) an internal report made under the ***EUROPOL's AP Smoke*** initiative, which examined 130 investigations carried out in the 2016-19 period;[242] and (2) ***KPMG Project Stella 2019 report*** dedicated to illicit manufacturing.[243] The salient findings from these analyses can be summarised as follows:

- The number of reported illicit manufacturing facilities dismantled in the EU is rising, suggesting a possible spread of the issue in the past few years. Clandestine factories are detected in the majority of EU countries, without a marked geographical concentration, but it appears that illicit activities are progressively moving closer to consumption markets, which are mostly located in the Western EU.
- Most reports underline that clandestine factories were equipped with full production lines, from tobacco cutting machinery to packaging lines. In most cases, production lines were relatively modern and highly performing, with a capacity comparable to legal big factories (i.e. up to 4,000 cigarettes per minute, or 250 million pieces annually). Machinery was operated by skilled workers, often formerly employed in legal manufacturing plants in the EU or abroad.
- The production focuses on cigarettes – both of illicit whites and counterfeit brands – but also the production of FCT and WPT is frequent. The estimated production volumes and – where available – the details of packaging suggest that production often addresses multiple national markets.
- Reports seldom state where the leaf tobacco used in illicit factories was sourced. In general, intelligence data indicate a connection with Eastern Europe, including both EU and third countries (e.g. Ukraine and Belarus). Some reports mentioned the involvement of networks in the Baltic region, in Turkey and in the Balkans.

For the purpose of impact scenario analysis, a quantitative estimation of the output of illicit manufacturing activities has been performed. The results (shown in Table E.2.3) are indicative and should be taken as rough order of magnitude of the phenomenon. In particular:

- It is estimated that ***illicitly manufactured cigarettes account for approximately one-third of the total illicit cigarettes*** consumed in the EU. This estimate is based on the triangulation of (a) own MS estimates; (b) extrapolation from seizure volumes (applying the seizure rate registered for total illicit cigarettes).[244] Overall, illicit cigarettes manufactured in the EU would amount to approximately 15 billion sticks annually. A correction factor (10% following the overall ITTP flows) has been applied to consider that – as emerged from law enforcement reports – part of the illicit manufactured cigarettes was destined to foreign markets (namely the UK).

[242] EUROPOL, "Illicit tobacco production facilities in the EU. Situation report." Unpublished. Data were collected in the framework of the EMPACT Actions 2.3 Excise Fraud and Action 2.6., on precursors and workforce for illicit manufacturing. More recent data relating to 2020 were also shared by EUROPOL in the framework of the Assignment.

[243] KPMG, Project Stella – Illicit manufacturing in the EU, November 2019. As an industry-sponsored project (prepared for Philip Morris Products SA), results have not been officially validated, but authors affirm that background data on seizures and illicit factories raids are sourced from law enforcement entities. Some of the report findings are cited also in the EUROPOL report, which could be considered an indirect validation of the accuracy of the information reported in the KPMG report

[244] The KPMG estimates laid down in Project Stella have not been used. However, in terms of percentage of total ITTP the KPMG's estimates (28%) is consistent with the Study estimate (31%). In absolute terms, the Study estimates are higher than KPMG's because the Euromonitor International total illicit cigarettes data have been used (which are higher than KPMG data – see Figure 2.8).

- For FCT the estimated total illicit trade (23 million Kg annually) is extrapolated from seizure data (using the cigarettes' rate). This estimate is coherent with the previous assessment made under the EA 2019 study. Lacking reliable sources, it has been conventionally assumed that some half of this quantity originates in an illicit manufacturing site in the EU, while the rest is of foreign origin (this would be essentially the case of bulk tobacco sold on retail in the Balkans). Regarding seizures in illicit manufacturing sites, it is assumed that part of the FCT seized was intended for use as cigarettes' cut filler and not for sale as FCT and has been reclassified as such.
- The same FCT assumptions have applied to WPT. In this case, the total illicit trade is based on the triangulation of (a) EA 2019 estimates and (b) updated industry's estimates. According to some stakeholders, some 100% of illicit WPT would be manufactured in the EU. However, the information could not be verified, so for prudential reasons, the same parameter used for FCT has been applied. The WPT seizure rate from clandestine factories appear lower than for cigarettes, but this seems compatible with the specific nature of illicit WPT operations, which are much smaller, and garage-like than the illicit manufacturing of cigarettes.

Table E.2.3 – Estimated magnitude of illicit manufacturing in the EU (average for 2018-20)

	Total ITTP	IMP	ITTP seizure rate	IMP seizure rate
Cigarettes	47 billion sticks	Approx. 31%= 15 billion stick	6.5%	10%
FCT (including 'bulk')	23 million kg	Assumed 50%= 11 million kg		<2%
WPT	4.4 million kg	Assumed 50%= 2.2 million kg		<2%

Source: *Own estimates based on (i) seizure data (EUROPOL, OLAF, DG TAXUD – confidential figures); (ii) Euromonitor International; (iii) interviews with stakeholders.*
Legend: *ITTP=illicit trade of tobacco products; IMP=Illicit manufactured products.*
Notes: *Indicative estimates, calculated for impact scenarios development.*

The results of the MS tax authorities' survey confirm the perception of a growing problem. In particular:

- half of MS who were in the position to reply reported an ***increase in the illicit trade of cigarettes manufactured within their country***;
- four out of ten respondents reported a share of ***domestic-made illicit cigarettes*** on total seizures of ***no less than 10%;***
- three out of ten respondents reported a share of ***EU-made (non-domestic) illicit cigarettes*** on total seizures of ***no less than 10%***.

The KPMG study suggests that increase in illegal EU manufacturing is accompanied with a decline of the traditional illicit supply sources (i.e. contraband and illicit whites). This is also confirmed by the most recent *Transcrime*'s ITTP Nexus (2019), which reports a 50% decline in the supply of illicit cigarettes through the 'north-eastern route' (i.e. products originating in Belarus, Moldova, Russia, Ukraine) and of 40% in the extended Balkan route (i.e. transiting through the Balkans and Turkey).[245]

The matter was discussed with authorities and stakeholders in the MS during fieldwork. The situation and the perspective vary significantly in the country considered. A review is provided in Table E.2.4.

Table E.2.4 – Illicit manufacturing in selected MS, evidence from fieldwork

Bulgaria	• In the last years some illegal factories were uncovered and seized in Bulgaria. These were producing for the local market but also, presumably, for exporting in Romania (they were producing soft packs which are widespread in Romania but not in

[245] Aziani, Alberto and Marco Dugato (eds.). 2019. "ITTP NEXUS in Europe and Beyond". Milano: Transcrime – Università Cattolica del Sacro Cuore. 2019. The ITTP NEXUS project is sponsored by PMI.

	Bulgaria). It is estimated that after these raids, criminal organisations have moved to other countries, especially in Central Europe or Greece. • The illicit products entering in Bulgaria from illicit factories in Greece consists primarily of counterfeited cheap whites. Reportedly, the reason is to avoid raising the attention (and the intelligence capacity) of brand-owners (big tobacco companies). Illicit cigarettes are being trafficked across the Greek border with trucks and busses. • Criminal organisations have acquired machineries and know-how from dismissed factories and their skilled workers. They have also workforce to mobilise and move across illicit production sites. The control of workers has lately become one of the most effective tools for law enforcement agencies. Reportedly, by tracking mass movements of workers the authorities were able to locate and dismantle three illicit factories (Tutrakan, Dupnitsa, and Gorna Oryahovica). Similarly, a suspect movement of workers from Ukraine (signalled by Ukrainian authorities) allow to uncover another illicit production site (Karnobat)
Ireland	• Over the last three years a couple of large manufacturing sites processing raw tobacco have also been discovered in the country, but these were believed to be ultimately aimed at the UK market. In particular, in March 2018, a commercial illicit cigarette production plant was discovered, along with 40 tons of tobacco, all the necessary components for the manufacturing of cigarettes, and approximately 25 million cigarettes. This was the first time a commercial illicit cigarette production plant was discovered in Ireland. Another illegal tobacco factory capable of producing cigarettes worth €25 million was found in 2019 close to the border with Northern Ireland and a similar one was found in Northern Ireland by UK Customs. • In 2020 the first manufacturing site processing RYO tobacco for the domestic market was dismantled. A total of 4.5 ton of products between raw and RYO tobacco was seized. It is believed that the raw tobacco was of likely Italian and Spanish origin and possibly channelled through Belgium.
France	• No illegal production of cigarettes is reported in France. This can be connected to the fact that there are severe sanctions in place for this type of fraud.[246] • Other stakeholders concur that it can be easier for criminal network to serve the French market through clandestine factories located across the border. Especially, after the CJEU *EkoTabak* ruling, France has adopted a hard line regarding the classification of raw tobacco moved in / across the country. So shipments have become sporadic and suspect movements can be more easily detected (reportedly, shipments of processed tobacco from Italy to Antwerp that were once transported by trucks via France are since then being moved by sea).
Poland	• Poland has always been the main hot spot for counterfeit manufacturing of cigarettes in the EU. It has been estimated that two-thirds of illicit manufacturing sites dismantled in the EU in the past 18 years were located in Poland. With the progressive introduction of rules and mechanisms to control raw tobacco supply chain and movement, which started in 2015 (see Section E.3) a significant decline was registered. Still, a major share of the cigarettes illicit facilities raided in 2020 across the EU were located in Poland. Seizures of illegal raw tobacco dropped between 2015 and 2018, but then rose again in 2020. • The position of Poland in the EU illicit manufacturing networks can be explained by many reasons. Poland used to be a major producer of cigarettes. After the dismantling of old factories part of the machineries was eventually acquired by criminal organisations. Other enabling factors were the availability of skilled staff able to operate these machines and the availability of domestically-grown tobacco. Finally, a further advantage was the geographical position close to possible markets of destination, i.e. Germany and Scandinavia. • Illicit cigarette makers reportedly reacted to the tightening of rules by externalising 'tobacco laundry' activities in other countries[247]. Initially, the target country was CZ. Trading companies based in CZ engaged in buying tobacco from PL to later resell it

[246] Prison sentences can go up to 3 years to punish illicit trade and up to 10 years in the framework of an organized group ('bande organisée). See Art. 414 Code National des Douanes.
[247] The reconstruction provided in this paragraph is based on stakeholder feedbacks collected during fieldwork, which needs to be verified and validated with the support of competent authorities.

to unregistered customers, who took care of illegally transporting the tobacco back into Poland to supply clandestine factories. Then, CZ also introduced excise rules to control tobacco traders (after a few large criminal activities were exposed), so activities moved to other countries, reportedly in DE and in the Benelux area. As regards DE the modus operandi is similar to the CZ one: various tobacco trading agencies have reportedly established close to the Polish border. These companies can import tobacco from PL and sell it to unregistered operators. The tobacco is then smuggled back into PL – outside of the SENT system - for illicit manufacturing. Otherwise the tobacco is moved directly to the clandestine factories that have recently popped up in the Benelux region, which are closer to the markets of destination (e.g. UK and FR). The mechanism takes again advantage of the fact that in these countries there is limited control over the raw tobacco movements.

- In this respect it is interesting to consider that outward movement of raw tobacco from PL amounts to 30 million kg whereas local production is around 23 million kg. This suggests that a certain quantity of non-domestic tobacco is moved into the country to then be re-exported (possibly after processing). The main destination of these outward movements is Germany (13.5 million kg in 2018-19).
- Growers' representatives deny any possible involvement of local farmers in diversion mechanisms, highlighting that current rules and controls do not allow illegal cultivation of tobacco, as it could happen in the past. They rather note that significant amounts of raw tobacco are imported to Poland from other EU and extra-EU countries. It has been argued that these flows of foreign tobacco could fuel the few clandestine production sites which still exist in the country.

The challenging question remains how can raw tobacco be diverted to illicit manufacturing or, in other words, what are the ***structure and modus operandi of the illicit supply chain***. There is limited laboratory evidence to support this analysis. As discussed in Box E.2.1 the *TobLab* facility of the Commission has been sporadically involved in examining raw tobacco, but in the absence of a reference database of EU cultivations this facility cannot state exactly where seized tobacco was grown. In practice, the only source of evidence in this area are law enforcement and other intelligence activities. A review of a set of 25 recent cases (i.e. dated between February 2020 and August 2021) is provided in the Appendix.

Box E.2.2 – TobLab and the characterisation of illicit tobacco products

Regarding the characterisation of illicit cigarettes, it is important to briefly mention the activities of *TobLab*. TobLab is an analytical chemistry laboratory funded by OLAF and operated by the JRC. It carries out forensic examination of illicit cigarettes seized by MS authorities and can determine (a) whether the product is genuine or counterfeited; and (b) whether the product matches with other products seized previously and elsewhere.

The process consists of analysing trace elements and volatile compounds contained in the sample, which characterise respectively the cultivation area and the manufacturing process. Then, *TobLab* compares measured profiles with a large database of other tobacco samples, to determine whether the seized product correspond to other known products (genuine or counterfeit). The results can support law enforcement agencies' investigations and allow verifying manufacturer's accountability.

The results of the analysis are instead insufficient for reconstructing illicit tobacco trade composition. The three main reasons are: (1) they regard only a small share of seizures (i.e. less than 5% if events); (2) some MS make recourse to *TobLab* more frequently than others (some MS have their own facilities); and (3) it can be assumed that samples are submitted only in dubious cases (in fact, most of *TobLab* analyses regard 'illicit whites').

In recent years, *TobLab* has started receiving also samples of loose tobacco[248]. The facility is not currently able to perform a complete assessment of raw tobacco's origin, but relatively little efforts would be required

[248] No clear distinction can be made between excisable and non-excisable loose tobacco, as TobLab's analyses do not regard these aspects.

to put it in the condition of determining whether the raw tobacco seized was grown in the EU and in which specific region. In essence, to build such capacity the facility should be provided with samples of tobacco grown in the cultivation areas across the EU. To set up a reference database a sufficient number of authentic samples are required.

Based on the rough estimation made in Table E.2.3, the amount of raw tobacco diverted to illicit manufacturing would correspond to: (1) approximately 20% of the total recorded EU-grown tobacco; and (2) approximately 6.5% of the total raw tobacco 'available' in the EU, net of import and export flows. The domestic or foreign origin of tobacco used for illicit manufacturing have implications on the modus operandi adopted in the illicit supply chain and, evidently, on the effectiveness of the measures that can be adopted to tackle it. A simple flow model can be used to describe the theoretical patterns of diversion from the legitimate supply-chain (Figure E.2.4). The analytical elements collected during fieldwork allow the following considerations:

1) ***Diversion of EU-grown tobacco before being processed by a legitimate processor*** (i.e. green or leaf tobacco). Leaf tobacco requires some treatment to become a smokable product, so diversion at this stage of the supply chain would require some processing prior to manufacturing. Law enforcement reports indicate that 96 illicit tobacco 'cutting facilities' have been raided in 2020, i.e. more than cigarettes manufacturing facilities (61). This suggests that (a) illicit manufacturing is possibly articulated into distinct steps with intermediate suppliers, thus mimicking the legal supply chain[249], and, more importantly (b) diversion occurs, to some extent, with leaf tobacco, i.e. before cutting and other first processing activities.[250] The proportion of cutting facilities on manufacturing facilities uncovered shows possible geographical patterns. In particular, a relatively high number of cutting facilities were based three tobacco-growing countries, suggesting that in these countries tobacco was mostly diverted before processing[251]. Conversely, in two other countries, the proportion was reversed suggesting that in these countries tobacco was mostly diverted after processing. In other countries no clear pattern can be observed.

   Of course, from the information available it cannot be inferred that the leaf tobacco seized in one country was actually grown in that country. Actually, there is evidence indicating illicit flows of raw tobacco across the external borders. So due caution in interpreting these data is required.

   As described in detail in Section E.3, most tobacco-growing countries have legal framework in place for the authorisation and control over tobacco growing activities. Selling tobacco to unregistered entities in these countries would require cultivating tobacco outside of the authorised areas and/or to under-declare the volume of crops. This can happen on a small-scale level (e.g. direct sales to consumers), but it does not seem compatible with the volume of raw tobacco required for industrial manufacturing in clandestine factories. In other countries, there are no such control schemes in place, but the volume and the quality of the tobacco grown are also in this case insufficient to supply large-scale illicit activities.

2) ***Diversion of EU-grown processed tobacco***. From an economic perspective, it can be more advantageous for illicit manufacturers to acquire tobacco already processed and ready to be used for cigarettes making, thus mimicking the structure of the legal value

[249] From law enforcement reports it is unclear to what extent the cutting facilities raided were physically separated from manufacturing facilities, but considering the geographical localisation discussed in this paragraph it can be assumed that in most cases these two processes are carried out in distinct places.
[250] This would explain the frequent cases of first processed tobacco seized during transport, where the holder could not justify the origin of tobacco transported.
[251] The geographical distribution of illicit cutting facilities can be arguably connected with dismissed first processing sites in tobacco-growing countries. Precise figures are unavailable, but it is estimated that the number of first processing sites in the EU more than halved 15 years.

chain. In the past, there have been cases of small processors directly involved in diversion activities. In recent years, this modus operandi has declined because of the monitoring measures adopted and the progressive consolidation of processing activities in the hands of a limited number of relatively large players.

So, the most common modus operandi at this level seems the acquisition of tobacco by intermediaries (e.g. 'diversion agents') based in countries where no or limited obligations exist for trading and tracking the movement of raw tobacco. As described in the case of Poland, the mechanism consists in a sort of 'tobacco laundering': a foreign customer purchases and moves tobacco outside of the country (and of the scope of Poland's control system), then sells it to an unregistered entity (sometimes after a few passages), which moves illegally the tobacco back into the country to supply clandestine factories there or transports it to another manufacturing site in Western Europe. As described in Section E.3, the legal frameworks introduced in e.g. HR, PL, CZ, HU, LT etc. can prevent this modus operandi, as a specific authorisation is required to buy/sell/hold etc. raw tobacco. However, in most other MS this mechanism can still be used to divert processed tobacco eluding not only national legislation but also the due diligence practices ("know your customer" schemes) of the legitimate operators involved, as these cannot go beyond the first step of the diversion process.

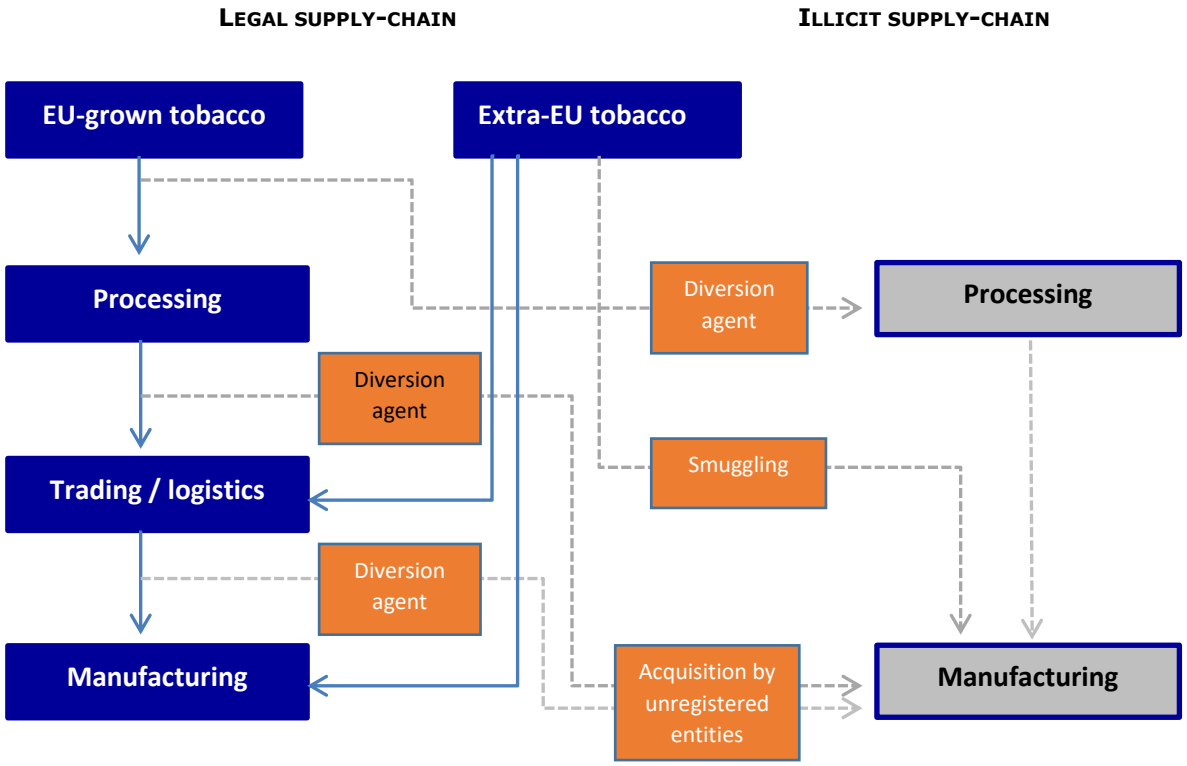
3) ***Diversion of foreign raw tobacco.*** The mechanism described above for EU-processed tobacco can also apply to foreign tobacco. As discussed, it seems unlikely that illicit manufacturing sites can be primarily supplied with EU-grown tobacco, as this would require significant unrecorded tobacco cultivation areas. It is plausible that part of the problem is linked to tobacco of foreign origin.

   At this level, a distinction has to be made between raw tobacco legally entering the EU and smuggled tobacco. In the first case, diversion is a bit more complex as the tobacco is also subject to the customs regime and control. As described in Section E.3, most of the tobacco used for manufacturing cigarettes in the EU is imported by big tobacco companies, stored in large warehouses either in customs suspension regime or in free circulation regime, then moved to companies' tax warehouses for manufacturing. The same process applies also to the raw tobacco that big companies purchase from global tobacco merchants (processed both in the EU or externally). Outside of the regular supply chain, it is still possible that an independent agent imports raw tobacco in the EU with the aim of reselling it to unregistered entities involved in illicit trade, but – as tobacco is a sensitive good - customs' alert systems would involve a higher degree of control on transaction and movements. In this respect, it has to be noted that foreign raw tobacco is generally cheaper than European tobacco, which could create a further incentive for it. However, the economics of illicit manufacturing activities suggest that the differences in the costs of raw materials are of little relevance compared to the gains of tax avoidance.

   The final modus operandi is direct smuggling of raw tobacco, e.g. through false import declarations (tobacco enters in the EU disguised as another product and vegetables were mentioned as an easy possibility). This is a mechanism fairly common for finished products (especially waterpipe tobacco), which in principle can be used also for raw tobacco. Limited evidence was collected about recourse to this modus operandi through large overseas shipments or by intercepting trucks of raw tobacco disguised as fresh produce. Conversely, in external border regions (e.g. in the Balkans and in the Eastern border with Ukraine, Moldova etc.) smaller scale smuggling of raw tobacco hidden in trucks or passenger's vehicle are more frequently reported, especially passing through green borders.[252]

[252] See: Southeast European Law Enforcement Center, 2019 Report on Cigarettes and Tobacco Smuggling in SEE.

Figure E.2.4 – Theoretical patterns for diversion of tobacco to illicit manufacturing



E.2.3 Taxation and other illicit trade drivers

➢ **EVIDENCE FROM THE LITERATURE**

The impact of taxation on illicit trade of tobacco products has been mainly analysed from an empirical rather than a theoretical viewpoint and only with reference to cigarettes for which some comparable estimates exist. Formal model-based theories of the economics of taxation and tobacco illicit trade are a field of research not particularly well-developed and that can be considered as still in its infancy. The main notable exception in this respect is represented by the 2009 seminal work on Tobacco Tax Structure and Smuggling. This paper concluded[253] that increasing rates under a specific taxation regime did not necessarily bear a risk of increased ITTP, while changing the tax structure from specific to *ad valorem* or vice versa always did. This pilot work was, however, very preliminary and based on the assumption - now possibly outdated - that illicit trade mainly consisted of industry-controlled smuggling. The author herself warned that models based on different assumptions could lead to different conclusions[254].

Most of the remaining empirical economic research on the subject has been driven by the need to verify on empirical grounds the highly disputed industry claim that tax increases would always provide incentives for illicit trade and has often appeared rather politicised. While price differentials, in fact, impact on product affordability and offer a potential for profit from smuggling, the financial returns of such illicit trade ultimately depend on how enforcement — i.e. the likelihood and consequences of being caught – and other context factors constrain

[253] See quotation A1 in Appendix B, S. Delipalla, *Tobacco Tax Structure and Smuggling*, FinanzArchiv / Public Finance Analysis. Vol. 65, No. 1 (March 2009), pp. 93-104

[254] See quotation A2 in Appendix B, Gilmore AB, Gallagher AWA, Rowell A. *Tobacco industry's elaborate attempts to control a global track and trace system and fundamentally undermine the Illicit Trade Protocol. Tobacco Control*. 2019; 28:127–40 https://tobaccocontrol.bmj.com/content/tobaccocontrol/28/2/127.full.pdf

product availability. The relative importance of these two factors (affordability and availability) has been controversial. The public health experts'[255] – with the substantial endorsement of the WHO, the IMF and the World Bank – have long mainstreamed on observational grounds the prevailing view that prices and therefore taxes only minimally affect ITTP and that other enforcement and context-related factors[256], notably corruption[257], are far more important drivers. A weaker version of the same argument maintains that even industry-reported increases in ITTP due to tax increases conceal substantial reduction in absolute values[258].

Industry claims, conversely, can be summarised in a recent peer-reviewed but industry-funded publication,[259] that, while confirming the lack of any such thing as a direct correlation between tax levels and illicit market shares, explicitly found a positive elasticity between tobacco taxation and the corresponding share of the ITTP market and therefore rebutted most of the findings above as econometrically inaccurate and triggered by inappropriate cross panel or pooled regression methodologies. The 1999-2013 Euromonitor International data were analysed by means of fixed effect panel regression[260], and a positive[261] elasticity was confirmed. They also found that the role of prices in stimulating illicit trade[262] was far more important than that of corruption as this variable appeared, in reality, as a proxy for income levels. Instead, it was not confirmed that price differentials with neighbouring countries (defined within a range of 1000 km) were econometrically significant factors. Finally, contrary to the weak claims above, ITTP increases would eventually materialise also in absolute and not only in relative terms.

The same authors together with others[263] then assessed the relation between e-cigarette regulation (and taxation) and ITTP, again with particular reference to the EU, but with more recent (2003-2016) Euromonitor International panel data. They confirmed that a 10% increase in the price of legal cigarettes would lead to a 3.6% increase in the illicit share of the market. However, it was conceded that once the e-cigarette market size has become large enough, raising cigarette prices also by means of taxes no longer has a statistically significant impact on the demand for illicit cigarettes[264]. The positive association between cigarette prices and illicit trade would then fade away[265]. A similar claim about its alleged buffering-role in hindering

[255] See quotation A3 in Appendix B from Joossens, Luk, David Merriman, Hana Ross, and Martin Raw. "*How Eliminating the Global Illicit Cigarette Trade Would Increase Tax Revenue and Save Lives."* International Union Against Tuberculosis and Lung Disease, Paris, 2009.

[256] Most of this literature, however, has never tested the possibility that the apparent lack of notable links between tax rates or tax increases and illicit trade can be attributed together to prominent role played by enforcement factors also to the fact that a profit-maximizing industry itself could have had little or no incentive to promote illicit trade in a market operating under the same specific taxation regime that could be considered ideal to curb tobacco consumption for public health purposes. In doing so, it somehow implicitly played down the importance of the industry's own role as a main driver of illicit trade that the same authors often continued assuming as taken for granted.

[257] See quotation A4 in Appendix B from Merriman, David, Ayda Yurekli, and Frank J. Chaloupka). "*How big is the worldwide cigarette smuggling problem?*" In Jha, P., and F. Chaloupka, eds. Tobacco Control in Developing Countries, Oxford: Oxford University Press, 365–392. 2000.

[258] Stoklosa, Michal. *"Is the illicit cigarette market really growing? The tobacco industry's misleading math trick."* Tobacco Control. N doi:10.1136/tobaccocontrol-2015-052398, 2015.

[259] James E. Prieger & Jonathan Kulick. *"Cigarette Taxes and Illicit Trade in Europe"* Economic Inquiry, Western Economic Association International, vol. 56(3), pages 1706-1723, July 2018

[260] Ibidem, see quotation A5 in Appendix B.

[261] The study concluded that a one euro increase in tax per pack in a country was expected to increase her illicit market share by 5 to 12 percentage points and increase illicit cigarette sales by 25% to 120% of their average consumption, thereby contending the claim that impact on absolute consumption was apparent.

[262] It is worth noting that the authors included in their panel Euromonitor International data from the 1999-2013 period. This covers both the introduction of the minimum rates and the catching up period allowed to new Member States to align with them. So, results could be biased by any change in illicit trade due to adjustment turbulence in the taxation structure or extraordinary steep tax increases in Eastern Europe related to the accession process. The fixed effect panel methodology that assumes that Country structural conditions remain fixed over time (including enforcement effort) would have attributed them to the ordinary process of increasing tax rates per se.

[263] See Prieger, James E. and Kleiman, Mark and Kulick, Jonathan and Aziani, Alberto and Levi, Michael and Hampsher, Sam and Manning, Clarissa and Hahn, Richard, The Impact of E-Cigarette Regulation on the Illicit Trade in Tobacco Products in the European Union, 2019. Botec https://papers.ssrn.com/sol3/papers.cfm?abstract_id=3435177

[264] See quotation A6 in Appendix B.

[265] This supported the hypothesis that e-cigarettes were a moderating factor for the link between cigarette prices and illicit trade and suggested that they were substitutes for illicit as well as licit conventional cigarettes. In a subsequent appendix to the same research work the authors cast doubts on whether e-cigarettes and regular ones could be

decreased tax-led cigarette consumption from turning into increasing illicit trade market share because of its mitigating lower taxation rate can be found, this time referred to fine cut tobacco, in another industry-sponsored study reviewing the markets for RYO in Belgium, the Netherlands, UK and Germany.[266]

Another recent consulting report, which can be assumed close to industry positions[267], concluded that a 0.57 correlation could be demonstrated worldwide between tobacco affordability, defined as the share of personal disposable income required to buy a pack of cigarette and unrecorded tobacco data (i.e. inclusive of ITTP and of legitimate cross-border purchases). Greece and Latvia appeared as outliers. The same study found a clear inverse relation between the level of ITTP and enforcement effort.

It is always difficult to assess the extent of the illicit tobacco trade because of its illegality and related problems with data collection and the sources used. This compounds with a paucity of sources and methodologies to assess illicit RYO and waterpipe tobacco to get a comprehensive view of market effects. Linear regressions between retail prices or tax levels as the explanatory variable and share of illicit trade as the dependent variable have been generally based on Euromonitor International data that were accepted as sufficiently independent for these purposes[268], although criticised by some researchers.[269] The reliability for scientific studies of tobacco industry-funded 'empty pack'-based estimates of illicit trade in countries or regions of particular interest has been challenged either in line of principle or because of their apparent methodological weaknesses and these are not generally accepted as a source for independent peer-reviewed research. Alternative sources of independent integrated survey and pack-based data (such as the EU-funded PPACTE project) are, however, limited in both the number of countries covered and the availability of time series long enough to build statistically powerful datasets. This greatly limits the possibility of running alternative studies and creates the conditions for arguing on the relations between taxation and illicit trade and the explanatory factors behind mainly based on extrapolations from country-specific case studies.

One of the few available non-industry-funded alternative sources of data comparable enough at the EU level is represented by the Eurobarometer 2015 and 2018 surveys on illicit trade of tobacco and the related question on whether respondents have been offered "black market" cigarettes. A recently published panel-study[270] based on these sources and expressly drafted with the purpose of informing the revision of the Directive has concluded that no statistical association could be found between response patterns and publicly available WAP prices. Sharing a border with a non-EEA Member State was associated with being offered illicit cigarettes more often (which is broadly in line with the PPACTE findings[271]). Also, local studies have noted that otherwise legal cross-border trade in those regions is often hindered by visa requirements[272]. Similarly, respondents in financial difficulty occasionally were significantly more likely to respond that they had been offered illicit cigarettes more often. All other variables including income and corruption levels were not found significantly correlated. The authors themselves, however, warn

considered as substitute products strictly speaking. Prieger, James E. and Kleiman, Mark and Kulick, Jonathan and Aziani, Alberto and Levi, Michael and Hampsher, Sam and Manning, Clarissa and Hahn, Richard, *Appendices to The Impact of E-Cigarette Regulation on the Illicit Trade in Tobacco Products in the European Union* (June 15, 2019). Available at SSRN: https://ssrn.com/abstract=3435260 or http://dx.doi.org/10.2139/ssrn.3435260

[266] See London Economics, *Study on fine-cut tobacco excise structure in the European Union,* 2018 report for ESTA.

[267] Alvarez and Marsal, *Cause and Control of Illicit Tobacco*, Second Edition, 2019. https://www.alvarezandmarsal.com/sites/default/files/causes_and_control_of_illicit_tobacco_report_ed_2.pdf.

[268] See quotation A7 in Appendix B.

[269] See: Blecher E, Liber A, Ross H, Birckmayer J. *Euromonitor data on the illicit trade in cigarettes*. Tob Control. 2015; 24:100–1 (https://tobaccocontrol.bmj.com/content/tobaccocontrol/24/1/100.full.pdf

[270] Filippos T Filippidis, PhD, Kiara K C Chang, PhD, Isabelle Blackmore, MPH, Anthony A Laverty, PhD, *Prices and Illicit Trade of Cigarettes in the European Union: A Cross-sectional Analysis*, Nicotine & Tobacco Research, Volume 22, Issue 12, December 2020, Pages 2271–2275, https://doi.org/10.1093/ntr/ntaa004

[271] Joossens L, Lugo A, La Vecchia C, Gilmore AB, Clancy L, Gallus S. Illicit cigarettes and hand-rolled tobacco in 18 European countries: a cross-sectional survey. Tob Control. 2014 May;23(e1): e17-23. doi: 10.1136/tobaccocontrol-2012-050644. Epub 2012 Dec 10. PMID: 23233420; PMCID: PMC3812425.

[272] See Liutkutė-Gumarov V, Galkus L, Petkevičienė J, et al. *Illicit Tobacco in Lithuania: A Cross-Sectional Survey*. Int. J Environ Res Public Health. 2020;17(19):7291. Published 2020 Oct 6. doi:10.3390/ijerph17197291

about the limitations of these sources[273], and these caveats have also been extensively highlighted in the parallel industry-funded literature mentioned before[274].

The special status of Eastern Europe as to the relative importance of affordability on availability constraints there, was confirmed in another recently published independent study[275] simulating the impact of a 10% tax increase across 36 European Countries. It was found that higher taxation would at any rate reduce total tobacco consumption and increase tax revenues, even if annual illicit cigarette consumption would increase by 1.52%. In Eastern Europe, the Countries benefiting the most by the price hikes in terms of decreased consumption because of more sensitive to affordability constraints (the Czech Republic, Latvia, Lithuania, Poland and Slovakia) would also see illicit trade proportionally projected to increase the most by as high as 10.99%.

There is a lack of good measures to deal with the identification of the possible non-price factors affecting illicit trade, such as enforcement efforts or ineffective criminal justice. These constraints make it a challenge to develop rigorous empirical studies of the factors ultimately at play. The WHO has recently[276] attempted to demonstrate such a correlation with the Economist Intelligence Unit (EIU) Global Illicit Trade Environment Index[277], measuring countries' structural capacity to fight illicit trade overall. The authors, in fact, found an inverse and statistically significant[278] relationship between the EIU indicator and the estimated Euromonitor level of illicit trade in cigarettes. This suggests that as the capacity to fight illicit trade in general increases, the illicit trade in cigarettes falls. This would limit the likely relevance and significance of tobacco-specific policies in determining outcomes, or better, this anticipates that their implementation will be much more effective in already favourable policy environments.

In another study[279] examining both price and non-price factors behind the consumption of illicit cigarettes in 247 subnational areas of 28 European countries, it was found that the size of the informal economy, the affordability of legal cigarettes, the rate of illicit cigarettes in the bordering regions, and the level of economic inequality were the main explanatory factors for ITTP. There are a number of other non-price factors that have been listed in the literature as likely affecting the share of illicit tobacco trade. Some of them have been validated by the Eurobarometer surveys. Others have never been rigorously tested usually due to a lack of proper means of measurement. Just to name the most frequently mentioned ones, these include:

- accessibility to illicit distribution networks. There are huge regional variations in the share of the EU population that has been offered illicit cigarettes. This possibly reflects population density, the socioeconomic status of a community, transport connectivity or local enforcement priorities. Although street markets generally prevail, also preferred distribution channels may vary from Country to Country, including restaurants, bars and general shops;
- gender and age, as both males and the youth are more likely to use these markets;
- socioeconomic status of the consumers concerned and the severity of their nicotine dependence;
- simple hysteresis factors, as these markets once established would tend to self-perpetuate over time irrespective of whether conducive conditions are still there or not;
- social acceptability;

[273] See quotation A8 in Appendix B.
[274] See quotation A9 in Appendix B See Prieger, James E. and Kleiman, Mark and Kulick, Jonathan and Aziani, Alberto and Levi, Michael and Hampsher, Sam and Manning, Clarissa and Hahn, Richard, *The Impact of E-Cigarette Regulation on the Illicit Trade in Tobacco Products in the European Union*, 2019. Botec https://papers.ssrn.com/sol3/papers.cfm?abstract_id=3435177 pag. 58-59
[275] C. Schafferer C. Yeh, H. Chen, J.M. Lee., C.Y Hsieh *A simulation impact evaluation of a cigarette excise tax increase on licit and illicit cigarette consumption and tax revenue in 36 European countries.* Public Health, September 2018
[276] WHO. *WHO technical manual on tobacco tax policy and administration.* 2021.
[277] For more details about this indicator, visit http://illicittradeindex.eiu.com/
[278] The association was significantly different from zero at a 90% confidence level, using a linear regression between the two variables
[279] Calderoni F., Dugato M., Aglietti V., Aziani A., Rotondi M. (2017) P*rice and Non-price Determinants of the Illicit Cigarette Trade: Analysis at the Subnational Level in the EU*. In: Savona E., Kleiman M., Calderoni F. (eds) *Dual Markets*. Springer, Cham. https://doi.org/10.1007/978-3-319-65361-7_1

- proximity factors and closeness to borders or tax-free zones with easy accessibility to low cost products;
- effectiveness of track and trace system;
- ex-ante likelihood of being caught expressed as share of seized products on the total estimated illicit market;
- cost on traffickers in terms of arrests, days in prison and concealment efforts.

Finally, as emerged from interviews with some public health experts, in certain countries, especially in the Balkans region, reputational factors and career incentives may play a role. In this respect, quarterly publication of regional or county level disaggregated 'empty pack' survey data on local media, could enhance pressure on the heads of local police and increase efforts in fighting ITTP.

➢ COUNTRY-BASED EVIDENCE

Given the difficulties in building a comprehensive framework of the possible drivers behind ITTP, related measurement problems and the likely correlations between some of them, analysis has often focused on the experiences of single countries by means of case studies. These, however, have usually failed to investigate in detail the contribution of both ITTP drivers and related countervailing policy factors in the different countries reviewed. Also in this case, in fact, the main purpose of these exercises was to substantiate, by means of concrete experiences, the possibility of having major drops in illicit trade figures because of changes in enforcement strategies, while at the same time substantially increasing both tax rates and related tax revenues. Because of that, there can be a bias in the availability of data, and less successful experiences might tend to go underreported. These case studies refer to different moments in time and therefore depend on different context factors and can be difficult to generalize, but nevertheless support the belief that it is always possible in line of principle to raise taxes without necessarily triggering ITTP, once adequate countermeasures are taken. Historically the most famous or the most frequently mentioned examples[280] include Spain and Italy[281]. The most famous recent cases in the European region regard the UK:

- **The UK.** In 2000 the amount of illicit trade in the UK was estimated at over 17% of the market. The UK then implemented a consecutive series of tobacco action plans in 2000, 2006, 2008, 2011 and 2015. Each version of the action plans was refined by incorporating the lessons learnt in previous years. Consumption of illicit cigarettes dropped from 17 billion in 2000-01 to 5.5 billion in 2016-17**,** although slightly increasing in relative terms at the end of period because of an overall larger drop in consumption. Dedicated staff to fight ITTP moved from 2000 to 2200 units for a total £ 90 million annual additional investment[282]. Tobacco taxes continued to steadily increase in the meantime. The UK's approach was based since the beginning on the assumption that smuggling was an enforcement issue. A number of actions were therefore undertaken[283], and namely:

    1. a systematic assessment of the size of the illicit market including a refinement of the methodology used to assess the size of that market and wide publicity and transparency requirements on trends and results achieved;

[280] See, T*obacco tax avoidance and tax evasion*. In National Cancer Institute Tobacco Control Monograph Series 21: *The Economics of Tobacco and Tobacco Control*. 2017, pp 531-535
[281] Joossens L, Raw M. Progress in combating cigarette smuggling: controlling the supply chain. Tob Control. 2008 Dec;17(6):399-404. doi: 10.1136/tc.2008.026567. Epub 2008 Sep 10. PMID: 18784154; PMCID: PMC2590905.
[282] Langley, T. E., Gilmore, A., Gallagher, A., & Arnott, D. (2019). Confronting Illicit Tobacco Trade: a Global Review of Country Experiences: United Kingdom: Tackling Illicit Tobacco. World Bank. http://documents.worldbank.org/curated/en/677451548260528135/Confronting-Illicit-Tobacco-Trade-a-Global-Review-of-Country-Experiences
[283] Blecher, E.H. *Case studies in illicit tobacco trade: United Kingdom.* Tobacconomics Policy brief, 2020

2. the devolution of most ITTP control responsibilities to a new dedicated agency, the UK Border Agency, which works with revenue and customs, treasury, the health department, and local governments;
3. the hiring of additional x-ray scanners to increase enforcement;
4. the deployment of overseas intelligence officers, whose role was to intercept and seize contraband before it enters the UK;
5. the increase in criminal and civil sanctions;
6. the fiscal marking of cigarettes and hand-rolled tobacco products destined for the domestic market with a prominent statement "UKDUTYPAID";
7. covert anti-counterfeiting markings on cigarette packs allowing authorities to instantly verify the authenticity of a product on retailers' shelves;
8. making it harder for criminals to source tobacco products; and
9. disrupting the supply and distribution chains of illegal tobacco products.

Notable developments since the 2015 strategy have included the introduction of:

10. a registration scheme for anyone carrying out activities using raw tobacco (April 2017)
11. a tobacco machinery licensing scheme (August 2018)

In 2006, the UK government introduced supply chain legislation (SCL) incorporating previous MoU provisions and legally obligating tobacco manufacturers not to facilitate smuggling. The purpose of the legislation is to restrict the supply of genuine tobacco products to lower-tax EU countries to prevent these products from being smuggled back in the UK black market. As a result of this, a company has been fined £ 450,000 for oversupplying the Belgian market with the aim of facilitating smuggling of cigarettes in the UK.

Since tax revenue data masked major geographic variations in illicit tobacco consumption, it was decided to launch the *'North of England Tackling Illicit Tobacco for Better Health'* programme[284] to raise awareness about the dangers of consuming illicit tobacco. This first resulted in the "*Get Some Answer*" social marketing campaign highlighting links with organized crime, which was followed up in 2017 with the *"Keep it out"* social communication initiative encouraging reporting of illicit trade to authorities. The Programme represented the first large-scale attempt in the UK (and possibly, internationally) to reduce both illicit tobacco supply and demand through communication.

In other cases, however, policies were less successful and initial major successes were reversed. It is known, for instance, that these efforts have been undermined by unexpected developments in the market for raw tobacco and related spillovers in terms of availability of illicit products. This caused delay in recognizing the extent of the phenomenon devising adequate responses. This was the case of Turkey:

- **Turkey.** Between 2005 and 2011 the Turkish government increased the specific excise floor by 141.7% and raised the ad valorem rate from 58% to 65% of the retail price, nearly tripling the average price of cigarettes. During that time, cigarette tax revenues rose by 124% while the illicit cigarette market share kept fluctuating between 14.3% and 17.5%, not representing therefore a major cause of concern.[285] The National Tobacco Control Program Action Plan (NTCP-AP) was so widely praised and produced so many positive results that in 2015 the country was declared as the first one to employ all six important MPOWER measures for tobacco control introduced by the WHO. However, in 2010, illicit production and trade of "roll your own tobacco" (RYO) from rudimentary chopped tobacco suddenly broke out, posing

[284] McNeill A, Iringe-Koko B, Bains M, Bauld L, Siggens G, Russell A. Countering the demand for, and supply of, illicit tobacco: an assessment of the 'North of England Tackling Illicit Tobacco for Better Health' Programme. Tob Control. 2014;23(e1): e44-e50. doi:10.1136/tobaccocontrol-2013-050957

[285] Campaign for Tobacco-Free Kids. *Tobacco tax success story: Turkey*. Washington, DC: Campaign for Tobacco-Free Kids; 2012. Available from: http://global.tobaccofreekids.org/files/pdfs/en/success_Turkey_en.pdf.

a new hidden and slowly recognized public health hazard. The raw tobacco used for RYO was grown locally and sold illegally in the country. Eventually, its consumption reached 14% of the legal cigarette market. In parallel, a surge in illegal sales of aromatised waterpipe tobacco products also took place and estimated consumption reached 1,600 tons in 2016, of which just 10 were deemed legal. Back in 2013 (latest data available) the Ministry of Agriculture came to estimate[286] that as many as 21,500 unofficial tobacco growers were already responsible for as high as 13,750 tons of unregistered and possibly illegal tobacco production in the country, i.e. roughly equal to 10% of the current total EU-wide legal tobacco production and an amount roughly equivalent to the estimated input of illicit manufacturing in the EU these days (see section E.2.2 above). Triggered by the steep price increases without adequate supply control measures, demand for illegal tobacco has grown so strong in Turkey that illicit tobacco has seemingly become one of the most profitable crops there. Nowadays, the entire RYO and waterpipe tobacco supply chain are reportedly deemed of illegal origin and largely domestically grown. This has recently brought the Turkish Thoracic Society[287] to call for the urgent introduction of measurement, traceability and inspection activities in these markets to avoid that all the public health progresses achieved in the previous years could dramatically be reversed.

In spite of this growing evidence and the publicity given to country experiences, fieldwork results highlighted that expectations regarding the possible impact of increasing EU minima on ITTP are mixed,[288] as reported in Table E.2.5 below.

Table E.2.5 - Expected Impact of the Revision of the EU minima on Illicit Trade

Bulgaria	• In Bulgaria, a concern was raised that any increase in the excise duties would bear a high risk of increasing smuggling and illicit trade. This is because of the experience built in 2010 when after suddenly raising the excise duties the market for illicit whites boomed. So, minima should be raised incrementally, with minimal steps and opening a possibility for a substantial transition period. However, comparison with other countries in the region equally affected by this massive illicit trade (RYO and waterpipe) has raised awareness that taxation is not the only contributing factor to ITTP. • It is generally noted that a major difference remains between countries surrounded by other MS and countries exposed to the EU external border, especially where bordering with ITTP hubs. • NGOs highlight how the perceived limited effectiveness of tax rise in curbing consumption in the past was not necessarily attributable to illicit trade but also due to lack of complementary measures such as a ban to tobacco advertising and programs in schools conveying a coherent signal that smoking is bad. The national budget for smoking prevention is in the region of slightly less than 100,000 euro. • Industry has noticed that after duties on HTP were raised to 53% of cigarettes these no longer represent an alleged substitute for illicit trade and can no longer play their "buffer" role.
Ireland	• There is little concern that the revision of the EU minima could significantly contribute to foster illicit trade in the country. This has mainly been driven by domestic taxation incentives and has been managed on the supply side minimizing revenue disruption.

[286] Uznay F, Gümüş S. *The Underminers: Booming Illicit Trade of Roll Your Own and Waterpipe Tobacco in Turkey*. Turk Thorac J. 2020;21(4):228-233. doi:10.5152/TurkThoracJ.2019.18138. It is also worth noting that these developments long went unnoticed in the international literature on taxation and illicit trade that was at odds in explaining worse smoking prevalence figures in the Country in the light of lower legal sales, best practice "traditional" anti-cigarette smuggling measures in place, and little other evidence of increased smuggling of cigarettes. Cetinkaya, Volkan; Marquez, Patricio V. 2017. *Tobacco Taxation in Turkey: An Overview of Policy Measures and Results*. World Bank, Washington, DC. © World Bank. https://openknowledge.worldbank.org/handle/10986/2638

[287] Ibidem

[288] It is worth noting that the 2017 Progress report on the implementation of the Commission Communication "Stepping up the fight against cigarette smuggling and other forms of illicit trade in tobacco products – a comprehensive EU strategy." openly acknowledges that Incentives for smugglers should be reduced, and that currently the main incentive for the illicit tobacco trade is the possibility to exploit price differentials between EU Member States and neighbouring countries, but also between markets in EU Member States.

	Conversely, if the minima manage to trigger some degree of price convergence EU-wide this should somehow help to limit the scope for smuggling.
France	• In France, the demand for an increase of EU minima (to reduce cross-border flows) is paralleled with uncertainty regarding possible effects on illicit trade. Most consumers would remain reluctant to buy illegally, because they also face uncertainties about the quality of the product. • Public health stakeholders believe that increased excise minima should be devised in such a way to reduce cross-border flows and hence save efforts/expenses on customs and eventually support a better overall control. Also stakeholders from the retail sector call for some convergence of taxation between MS, which would result in reduced smuggling. • Other stakeholders could not see any relation between prices and smuggling and remains persuaded that ITTP entirely depends on enforcement factors.
Poland	• There is a general consensus that Poland's location along the EU external border can be considered as an important factor in any analysis of the extent to which minimum rates might be raised. So, increases of EU minima should be reasonable and gradual to avoid the same situation that occurred when Poland was required to meet the EU minimum several years ago and raised rates dramatically, leading to a major drop of the legal cigarettes market (a view held by tobacco companies). • From a public health perspective, however, it is acknowledged the fact that excise duty rates were practically frozen after 2015 until in 2020 rate increases were finally introduced is far from ideal. Increases between 2007 and 2015 produced very positive results in terms of a decrease in smoking prevalence in Poland, followed by a decrease in lung cancer morbidity and mortality, especially in the male population.

E.2.4 Policies and measures to fight ITTP

➢ **OVERVIEW OF THE EU AND INTERNATIONAL POLICY FRAMEWORK.**

The fight against ITTP takes place in a broader EU and international policy framework characterised by the entry into force of the FCTC Illicit Trade Protocol (FCTC-IT Protocol). At the EU level the fight against illicit trade is mainly steered through the revised 2018-2022 EU Action Plan and the related implementation is managed and coordinated by OLAF, while some specific actions are taken by Europol or other relevant Commission services[289]. The FCTC-IT Protocol specifically aims to co-ordinate a Treaty-based international response to ITTP. It entered into force on 25 September 2018. The first Meeting of the Parties (MOP1) to discuss implementation details took place immediately thereafter. There it was decided to establish a WG on Tracking and Tracing Systems and another one on Cooperation and Assistance. Not all EU MS have ratified the FCTC-IT Protocol so far. Missing countries include Denmark, Estonia, Finland, Ireland, Italy, Poland and Slovenia. The 2nd Meeting of the Parties (MOP2) is scheduled for November 2021.

The Second Commission Action Plan to Fight Illicit Tobacco Trade (2018-2022, hereinafter the Action Plan) was adopted in December 2018. It builds on the 1st Action Plan of 2013, the lessons learnt from its evaluation in 2017, and the FCTC-IT Protocol itself. Actually, the two instruments were expressly intended to operate in synergy. The Action Plan, in fact, foresees provisions for an active contribution to FCTC-IT Protocol Implementation, including a leading role for the EU in the Working Group on Tracking and Tracing Systems established at the 1st FCTC-IT Protocol

[289] The Action Plan envisages a number of Neighbourhood and International Cooperation activities including: 1) the promotion of the FCTC-IT Protocol ratification and implementation in relevant third countries (notably candidate countries and potential candidates, and neighborhood countries); 2) the implementation of the Administrative Cooperation Arrangements with China and preparation of another one with UEA; 3) negotiations with key candidates, potential candidates and neighbourhood Countries to approximate their excise rates with the applicable EU levels; 4) customs cooperation with Belarus and other third Countries; 5) introduction in candidate, potential candidate and neighbouring countries of track and trace systems.

MOP. Moreover, it envisages the provision of support to Member States in implementing the FCTC-IT Protocol itself by means of a dedicated project group.

The World Customs Organization (WCO) representing 183 Customs administrations including the EU and all its MS, actively participates in the fight against ITTP by providing leadership and support to member national customs administrations, and namely:

- it manages the WCO Customs Enforcement Network (WCO CEN) information system;
- it organises regional and national training events;
- it directly coordinates various global operations in the field of tobacco smuggling.

It has put itself forward as one of the leading partners internationally for the FCTC-IT Protocol implementation and signed a protocol to this aim. The WCO generally refrains from entering into policy-related recommendations or from highlighting best practices but focuses on concrete operational aspects from which policy recommendations can eventually be drawn.

Europol, one of the law-enforcement agencies of the EU, assists MS to fight serious international illicit trade by, among other things, detecting shipments and identifying the organized crime groups involved. Tobacco enforcement, however, represents just a small component of its efforts. Europol also organized the European Multidisciplinary Platform against Criminal Threats (EMPACT), which connects law enforcement of EU Member States and international organizations to collaborate on anti-illicit tobacco trade activities through communication, training, and operational coordination. OLAF, the European Anti-Fraud Office, conducts investigations and coordinates joint customs operations with the MS including on tobacco-related fraud. Differently from WCO, it plays an active role in promoting policymaking and is the lead EC service for both the EU Action Plan[290] and for implementing the FCTC-IT Protocol.

➢ MAIN PROPOSED POLICIES TO FIGHT ITTP

The ITTP containment policies proposed in these strategic framework documents can be broadly categorised into a dozen different types, namely:

- **Licensing Requirements.** The FCTC-IT Protocol includes first of all an obligation to make the manufacturing, import and export of tobacco products and related manufacturing equipment subject to mandatory licencing requirements, while licencing of other activities, such as growing tobacco, transport and wholesaling tobacco products, although recommended, has been left to Governments' discretionary appreciation. By 25 September 2023 the MOP will identify those "key inputs" that are essential to the manufacturing of tobacco products and then take the necessary regulatory action. The EC Action Plan intends to provide support in this respect through a feasibility study on a system to better control intra-EU movements of machinery used in the manufacture and packaging of tobacco products. This is expressly carried out with a view to contribute to the future FCTC-IT Protocol "key inputs" MOP activity. The feasibility analysis of curtailing the access of illicit tobacco producers to acetate tow and cigarette filters in cooperation with relevant source countries is also envisaged.
- **Due Diligence Obligations**. From these licensing requirements, due diligence obligations descend on all the operators involved. These obligations include, first and foremost, comprehensive customer identification requirements and verification of their regular compliance with licensed status. Information is to be obtained and stored, and eventually provided to the authorities upon request, on date and location of all product manufacturing

[290] To further strengthen cooperation between these entities EU-wide the EC Action Plan foresees: i) an the agreement with Europol and OLAF on expanded working arrangements and the subsequent association by OLAF to Europol's Analytical Project Smoke; ii) the strengthening of coordination of customs enforcement including notably the work cycles under EMPACT (Europol) and the Operational Action Plan (Customs Cooperation Working Party); as well as iii) the upgrade and strengthening of the 2003 OLAF-WCO cooperation arrangement on cigarette seizure data.

processes, related manufacturing facilities, first authorised customer, intended market of retail sale and intended shipment route.

- **Trade Management**. The FCTC-IT protocol also foresees the adoption of still to be determined measures to prevent the diversion of tobacco products into illicit trade channels, to ensure that all financial transactions and payments are subject to certain conditions, as well as to ensure that contraventions are always subjected to appropriate criminal, civil or administrative procedures and effective and dissuasive sanctions proportionate to the taxation revenue lost are implemented. Ban of internet retail sales is recommended but not mandatory. To support this control effort, the EC Action Plan envisages the development of operational tools to better monitor and control cross-border movements of raw and cut tobacco within and into the EU, including by organizing a technical workshop to analyse relevant national systems, as well as the extension of the Excise Movement Control System (EMCS) and related sanctions to business-to-business duty paid traffic so as to improve the monitoring of related movements.
- **Track and Trace.** The FCTC-IT Protocol explicitly sets a deadline of five years from its entry date (25 September 2023), for a cigarette tracking and tracing system to be established and made operational by each Party, with the deadline being 10 years for other tobacco products. Because of the Track and Trace Regulation, all EU Member States have already complied with this provision and coordination is ensured at the EU level by DG SANTE. Moreover, the Parties commit not to delegate any of their tracking and tracing obligations to the tobacco industry, as already expressly required in the EU. This is actually part of a more general ban for tobacco companies to fund any Government attempts to implement the Protocol itself. Unsurprisingly, a number of measures included in the EC Action Plan target the track and trace system that can be considered as one of the pillars of EU intervention in this field. These range from the generic provision of support to Member States with its implementation to the provision of more specific assistance with the practical and analytical means of using the information collected in the track and trace data storage system. A review of the functioning of the EU track and trace system by 2021 is also envisaged.
- **Free Zones Regulation**. The most immediately applicable provision of the ITTP is that within 3 years from the date of its entry into force (i.e. by 25 September 2021) the Parties will be required to implement effective controls on all manufacturing of, and transactions in, tobacco and tobacco products, in free zones established under their jurisdictions, as these have been recognised as major risk factors for the origination of illicit trade flows. The protocol side materials identify as of particular concern the main transit and transit-destination countries in the EU, namely Poland, Lithuania, Greece and Bulgaria, and mentions that free trade zones have also been extensively used in the illicit tobacco trade in the UAE, Singapore, the Philippines, Malaysia, Panama, Greece and Egypt.[291] To this aim, with a specific view to the implementation of FCTC-IT Protocol provisions on free zones, the EC Action plan already foresees the submission of a proposal of prohibiting to intermingle tobacco products with non-tobacco products in a single container in EU Free Trade Zones, as previously discussed in enforcement fora.
- **Strengthening of Sanctions**. The ITTP also includes a number of provisions on illicit trade-related offences. It states the general principle that manufacturing, wholesaling, brokering, selling, transporting, distributing, storing, shipping, importing or exporting tobacco, tobacco products or manufacturing equipment without paying the applicable taxes, and other attempts to smuggle such products should be considered as unlawful activities, although not necessarily a criminal offence, as this is again left to the Government's discretion. It also establishes the principle of criminal, civil or administrative liability for the activities above and ensures that measures should be taken to provide for the law infringers' liability for their unlawful conducts and subject them to effective, proportionate and dissuasive criminal or non-criminal sanctions. The Parties are then concretely recommended to consider adopting measures to authorise competent authorities to levy an amount proportionate to lost taxes and duties from all those involved in the illicit trade. Moreover, all confiscated tobacco,

[291] https://www.who.int/fctc/protocol/faq/en/index1.html

tobacco products and manufacturing equipment shall be destroyed or disposed of in accordance with the national law.

The Commission has also taken the initiative of strengthening and approximating sanctions for customs-related offences, including tobacco-related frauds. To this effect, the Directive on fighting fraud against the Union's financial interests by means of criminal law (the so called "PIF Directive") was approved with several provisions which are relevant to tackling the illicit tobacco trade. The PIF Directive harmonizes sanctions among Member States regarding crimes affecting the financial interests of the Union beyond a €10,000 threshold, for example establishing that countries' maximum prison terms for serious cases must be at least four years. The deadline for transposing the Directive was in 2019 and a first implementation report is due by mid this year.

- **Enhanced Intelligence**. Finally, the FCTC-IT Protocol encourages recourse to controlled delivery and, where deemed appropriate, also the use of other special investigative techniques, such as electronic surveillance and undercover operations, to combat illicit trade by means of enhanced intelligence. This is to complement the traditional intelligence exchange fora[292]

  To support better intelligence, the EC Action Plan envisages also the provision of chemical and technical analysis on selected samples of seized tobacco products and promotes the capacities of this laboratory facility to national customs services.
- **Targeted Detection.** The EC Action Plan has called for operational activities focused on water pipe tobacco and illicit tobacco sales over the internet, as well as for joint intensified activities (JIA) to tackle infringements on transit procedures for excise products.
- **Awareness Raising.** The EC Action Plan also has explicit provisions for the creation of a platform allowing Member States to exchange good practices with awareness raising campaigns focusing on the risks associated with buying illicit tobacco products. The organization in 2022 of an event with stakeholders to inform on trends in the illicit tobacco trade and to discuss public perceptions of that challenge has also been proposed.
- **Improvement of Illicit Market Estimates**. Finally, as mentioned in section E.2.2 above, the Action Plan also envisaged the realization of a feasibility study for OLAF on measuring the illicit tobacco market as a basis for informed operational and policy decision making. This has recently been finalized.

Some more taxation-related measures have not explicitly incorporated these recent sets of international and EU policy recommendations, although they continue being considered as best practices and have at times been dealt with at the national level as a kind of implementation modalities of the main measures above. These relate, in particular, to:

- **Fiscal Stamps**. The recourse to fiscal stamps as means of proof of excise payments remains a recommended policy. In fact, although often *de facto* subsumed under the broader track and trace obligations, the implementation of markers or tax stamps continues being considered as a best practice on its own for revenue collection purposes, both to make the public aware of the illicit nature of a pack and as a means of proof for prosecution purposes, thereby helping enforcement[293].

[292] Illicit tobacco trade is a major component of the WCO Revenue Programme, and the related Working Group on Revenue Compliance and Fraud provides Members with a platform for discussions of strategies and exchange of enforcement best practices, apart from its involvement in FCTC Protocol implementation and support. For instance, examples reported in the Commercial Fraud Typologies Summary included evidence of techniques of cigarettes smuggling by false export over invoicing, joint shipments of cigarettes with other goods, carousel schemes to disguise origin of goods, and duty-free shop frauds that could have translated into policy recommendations for redressing measures. The WCO CEN database, in particular, classifies all tobacco seizures operations carried out by Customs worldwide and represents one of the main sources of information for the subsequent qualitative intelligence analysis to steer identification of threats and trends and drive related responses. This is then published in the annual WCO Illicit Trade Report commenting and providing insights on major trends worldwide.

[293] In particular, in the past the WHO proposed that FCTC Parties could use bonds to hold tobacco exporters accountable for their exports. This was explicitly inspired to the EU EMCS mechanism considered as an example of best practice in this regard. To secure the movement of cigarettes between excise regimes, an exporter would be required to put up a financial guarantee prior to export and would forfeit the bond if the product fails to arrive at its declared destination with

- **Bonds**. Wider recourse to bonds (or financial guarantees to be authorised as legitimate operators in the system) also remains considered as best practice[294]. This is out of the conviction that raising working capital requirements will clean the market from dubious operators assumed as more likely to operate close to grey areas bordering with possible ITTP-related operations.

➢ TRENDS AND EVIDENCE FROM FIELDWORK

Unless supported by mandatory EU legal provisions such as those on the track and trace system, so far these reference frameworks seem to have influenced policy developments at the national level only to a limited extent. These, in fact, appear to have been mainly driven by country-specific factors and have not always been conceived within the framework of a coherent strategy (with the possible exception of Poland that seems to have taken a more coordinated approach), but rather in response to the sudden appearance of specific problems. So, policy responses have been actually common to the extent also perceived local factors/drivers also were, but generally remain rather heterogeneous.

First of all, as a result of the growing threat represented by illicit manufacturing there is a certain tendency to require or at least perceive the need that the supply chain should be subjected to mechanisms of licensing to make legal operators immediately identifiable to enforcement authorities and simplify controls. It appears that some MS have already taken steps in this direction and made a number of activities subject to authorisation requirements with particular reference to the raw supply chain. In countries where domestic illicit manufacturing is seen as less of a concern, this has hardly been reported as a priority.

Certain MS, notably France, have mainly focused on preventing ant smuggling or bootlegging at the border by means of strengthened provisions on cross-border trade. Bulgaria has acted on restricting tobacco transports through courier services. Poland has focused on business-to-business aspects and put in place quite a stringent mechanism to monitor the transport of precursors and other sensitive goods that can be used for illicit manufacturing of cigarettes.

There are widespread reservations voiced by different stakeholders on the perceived limited impact of the track and trace system in reducing illicit trade so far and its targeting somehow "outdated" intra-EU smuggling patterns. These concerns can also be explained by the importance that its related implementation has had in a number of countries and by the resources its enforcement has reportedly absorbed. Lack of basic devices to fully exploit the system is also reported.

Major differences are still perceived in existing penalties for ITTP, and the way relevant legislation is applied in practice in Courts across Member States. At times explicit requests have been voiced to come to a more harmonised sanctioning system also of less prominent criminal behaviours.

Finally, although, particularly at the EU level, the idea has been put forward of complementing traditional law enforcement-based approaches with awareness raising campaigns aimed to dissuade consumers from buying illicit products[295], some MS have found the idea difficult to turn

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all its applicable taxes paid. Hana Ross, *Measures to Control Illicit Tobacco Trade*, Economics of Tobacco Control Project, University of Cape Town June 14, 2015

[294] Blanke DD, da Costa e Silva V, editors. *Tools for advancing tobacco control in the 21st century. Tobacco control legislation: an introductory guide*. Geneva: World Health Organization; 2004. Available from: http://www.who.int/tobacco/research/legislation/Tobacco%20Control%20Legislation.pdf.

[295] The UK's campaign, "*The North of England Tackling Illicit Tobacco for Better Health Programme*" was a social marketing media–based program with two key messages: one concerning the role of illicit tobacco in uptake of tobacco use by young people, and the other on the crime brought to communities by illicit trade. Evaluation research has shown that this program was effective in raising awareness of the consequences of illicit tobacco trade and in increasing calls to telephone hotlines reporting on illicit tobacco. It has also indicated that this program was an important component of

into practice. This is because of the thin line between discouraging illicit consumption and sending the message that legal consumption is instead a good thing. So, in certain countries (e.g., Bulgaria) these campaigns have reportedly met resistances on public health grounds or there are at any rate uncertainties on how to eventually run them (e.g. Poland). Ireland simply focuses on encouraging reporting of illicit trade instances to enforcement authorities like the latest UK experience also did. Industry claims that communication on the subject remains poor and consumers are not always even aware of major changes in enforcement provisions and sanctions (e.g. France).

Some Member States (e.g. Ireland) still heavily rely on fiscal stamps and have used the bond instrument also domestically to complement their internal authorisation mechanisms or make it a condition for inclusion in the national tax stamp programmes.

The table E.2.6 below summarises evidence from fieldwork. The focus was primarily on the structural measures highlighted above as either components of the FCTC-IT Protocol approach or the EU action plan, or because mentioned in the available literature as best practice. Therefore, it did not aim to be exhaustive and cover enforcement or intelligence aspects, strictly speaking, or enter into any detail into resources and staffing issues, however important these might be.

Table E.2.6 - Policy Approaches to ITTP

Bulgaria	• Licensing is required in Bulgaria for all entities engaged with tobacco products trade (Excise Duties and Tax Warehouses Act, Arts. 90a - 90j) and a registration regime for entities engaged in tobacco growing. • The track and trace system was introduced with a great effort of the public authorities and economic operators, but so far could not contribute to any notable decrease in illicit trade. Moreover, there are still problems with the transferring and recording of information in the Secondary Depository of data. NGOs note there is no publicity whatsoever of its results and limited transparency. • Also because of the emphasis given to track and trace implementation, little attention was paid on having stricter measures in place for monitoring supply-chain related illicit trade flows or propose new heavier sanctions for prosecuting ITTP. The main innovations have been represented by the introduction of restrictions for courier and cargo services, video surveillance on fiscal warehouses. • In the recent past legislation was approved to make distribution of illicit products a crime, and high penalties introduced even for preparatory acts for illicit production. • According to some interviewees, in addition to the harmonisation of the related sanctions, the implementation of a common system tracking the movement of both the raw materials and manufacturing machines is deemed as another additional useful measure at the EU level. • In 2017, measures were taken to curb the advertising of illegal tobacco products online, including the sale of illegal cigarettes and RYO tobacco and the rapidly expanding illicit waterpipe market there. • There were no recent consumer awareness initiatives reported. In 2015 a public campaign financed with the support of a local manufacturer was discontinued after a formal rule from the National Council for Self-regulation of the advertising industry in Bulgaria[296]. This is because it featured a message that might be easily misunderstood as "smoke legal cigarettes in order to provide money for seniors and kindergartens", and as such against the FCTC.
Ireland	• Ireland extensively relies on a tax stamps mechanism to identify duty-paid tobacco products and fight illicit trade. The stamp system was last strengthened and updated in spring 2019 together with the entry into force of the track and trace system. The

the comprehensive approach the United Kingdom took to successfully reduce illicit trade in the 2000s. See, McNeill A, Iringe-Koko B, Bains M, Bauld L, Siggens G, Russell A. *Countering the demand for, and supply of, illicit tobacco: an assessment of the 'North of England Tackling Illicit Tobacco for Better Health' Programme*. Tob Control.2014;23(e1): e44-50. doi: 10.1136/tobaccocontrol-2013-050957.

[296] Ruling of the Ethical Commission of the National Council for Self-Regulation, 31.01.2015. In Bulgarian. https://www.nss-bg.org/files/3c6f9b33a808c722831190e28d17fd75.pdf

	financial burden caused on operators by compliance with the stamp law requirements and related bond guarantees and warehouse obligations also discourage dubious companies from entering the market, thereby preventing opportunities for "grey" operators to establish themselves in the country. It is a criminal offense to sell in the country cigarettes and FCT which do not carry an Irish tax stamp. The penalties currently available in Ireland on conviction for these offenses were increased some years ago. Courts, however, do not cumulate the two offences that remain mutually exclusive. • After some initial difficulties and misunderstandings, the EU traceability system has been put fully in place and is now operational. The 2019 data were not reliable enough to steer any control action. The track and tracing mechanism has hardly represented a game changer in the fight against illicit trade yet, as Ireland could already count on a fairly sophisticated tax stamp system with tracking codes and so the two have found themselves to some extent overlapping in the opportunities they provide for controls. Illicit trade in Ireland, as mentioned before, is mainly composed of products coming from abroad including extra-EU countries for which track and trace is for the time being of little use. Fake exports of legal domestic production do not represent an enforcement problem, as the country does not have any manufacturing capacity any longer. Imports were already strongly monitored through stamps. Consequently, it is expected that the track and trace system will be complementary to the already present control mechanisms. Future impact from it cannot be quantified. • Courts retain wide margins of discretion in applying sanctions. The specific penalty[297] to be applied in any particular case is entirely a matter for the courts to decide and, where a fine is imposed, the amount is at the judges' discretion and may be mitigated. In addition, the Court may choose to impose a term of imprisonment, a suspended sentence, or a community service order in lieu of a fine. • While estimates of ITTP and related methodologies have been widely shared, transparency and publicity of certain enforcement aspects remains purposefully limited. The National Tobacco Operational Plan, which covers all the main aspects gravitating around intelligence and investigations remains a confidential document. • Ireland does not implement any particular policy to discourage illicit trade on the demand side, such as awareness raising initiatives among smokers or communication campaigns aimed at the larger public. The main exception is represented by the fact that any institutional communication on illegal tobacco seizures is always accompanied by a dedicated phone number where citizens can report suspicious behaviours or other possible instances of suspected tobacco tax fraud.
France	• The track and trace system is fully deployed and operational in France. The system is satisfactory for tobacco legally produced and shipped but can do little to help track illicit flows. In France, there is no loss of track of domestic products partly because domestic production is rather low; and partly because there is monopoly of distribution and tobacco shops. There remains an issue with the use of data collected on the central system of the EU that needs a decree to be fully exploited for enforcement purposes. There is no evidence of any effects on illicit trade so far. • A harmonised EU device for the traceability of raw tobacco is deemed useful. France has implemented sanction to raw tobacco shipper that cannot justify the legal origin of the product ("bon de livraison"). Ongoing implementation of increased security around these "bons de livraison" with the help of QR codes. The device is both simple and effective (does not weigh on the taxation of raw tobacco). Each pack is fully scannable with a smartphone. • To facilitate implementation of a programme of tax increases to curb consumption France has focussed on repressing ant smuggling and bootlegging. Also in response

[297] The penalty varies depending on whether prosecution on indictment is followed or not and this is decided based on the seriousness of the case. A large fine or a term of imprisonment not exceeding five years, or both a fine and imprisonment, may be imposed on conviction following a prosecution on indictment and the offense is tried before a judge and a jury. On conviction following summary prosecution for tobacco tax stamp offenses, a lower court sitting without a jury may impose a fine of €5,000, or a term of imprisonment not exceeding 12 months, or both a fine and imprisonment.

	to a call for action from affected operators, new limits on the transport of tobacco by individuals have been introduced.[298] • Implementation/effectiveness of these measures is deemed partly conditional on border controls and limited by customs resources. It is too early to assess results, as these also overlap with the effects of the COVID 19 health crisis. • It is also noted that there is limited consumer awareness about ITTP issues. For instance, only 45% of consumers are aware of the revisions of the quantitative restrictions above (industry sources). • To this aim some affected stakeholders call for stronger official statements - at the European level - on the health and fiscal damage of a parallel tobacco market fuelled by cross-border purchases, and smuggling and other forms of illicit trade; as well as for the establishment of a real coordination between all law enforcement agencies (as well as justice), being tobacco traffic also a tracer of other more serious traffics.
Poland	• Most private sector stakeholders acknowledged that the track & trace system hardly contributed to monitoring and preventing illegal trade in the country. Data from the system are reportedly being used for internal analyses, but details are unavailable. • It is pointed out that in Poland, where there is a system of excise stamps, from the point of view of control, the system of tracking the movement of products is somehow redundant. Thanks to excise stamps, the system of trading in legal products is quite sealed, and it also limits illegal trading, because the excise stamp makes it possible to trace the product, of course only after the excise stamp has been entered into the system. • A number of coordinated actions[299] to reduce ITTP have been taken in recent years. The most important ones are: 1. Coordination between services and state institutions was strengthened. 2. The National Revenue Administration was created. 3. Cooperation and improved coordination of tasks of the Central Investigation Bureau with its foreign counterparts. 4. The system for monitoring road transport of sensitive goods - SENT - was implemented, as well as changes to seal the tax system in the context of illegal trade in raw tobacco (in the framework of the so-called tobacco package)[300]. 5. The registration system for tobacco cultivation and the production of raw tobacco has been improved: farmers who grow or trade raw tobacco are required to register with the National Agricultural Support Centre (KOWR) in order to limit supplies to illegal cigarette manufacturers. • In general, the activities aimed at securing the trade of tobacco products from ITTP competition are perceived positively by tobacco industry operators. Reservations were mainly reported on the SENT system because of its apparent inconsistency: e.g. cigarette papers are covered, while filters are not, and disproportionate burden on SMEs: severe penalties for negligence mainly hit the legal transports notified to SENT because of small inaccuracies, etc. • No initiatives adopted to raise consumers' awareness against illicit trade were reported. It is wondered if such actions are possible at all, because they could be perceived as promotion of legal tobacco products, and this is forbidden by the Law.

➢ THE ILLICIT TRADE AGREEMENTS

Finally, OLAF supervises the implementation of the three remaining illicit trade agreements signed with the four major Transnational Tobacco Companies (TTCs) still in place after the fourth expired in 2016 and was no longer confirmed. At least three of these four agreements were signed to settle or avoid legal disputes between these companies and the EU in relation to their

[298] Loi de Finances du 31 juillet 2020, whose Article 51 (LdF Art. 51) sets new limits on the transport of tobacco transport of tobacco by individuals returning from another EU country.
[299] See Milestones to improve the effectiveness of excise tax in 2016-2021.
[300] See, Parulski, Marczak, Zientara_*Pakiet Paliwowy*_PP 3_2018).

involvement in cigarette smuggling. The EU and some Member States dropped or prevented the legal cases against some of these companies in exchange for a legally binding agreement.

These agreements foresee two types of payments: annual fixed payments in annuities from 2004 till 2030 and supplementary seizure-based payments if TTCs fail to control their supply of cigarettes to the illegal market. The companies agreed to make payments equivalent to 100% of the evaded taxes in the event of any seizures notified by OLAF of their genuine products above 50.000 cigarettes in the EU countries that were party to the Agreement. If seizures of their genuine products in the MS during a year exceed the baseline amounts defined in the Agreements themselves, the tobacco companies must pay 500% of the evaded duties and taxes. Information on seizure payments is not made public. In the past this was estimated at less than 0.1% of the revenue lost[301]. This is because only large seizures qualify for payments, and since the agreements were reached, the modus operandi of cigarette smuggling in Europe has changed and most illicit cigarette seizures now consist of substantially smaller consignments.

Secondly, payments only apply to genuine TTC cigarettes and not counterfeits. According to the agreements, the relevant manufacturer is entitled to examine the seized cigarettes and send a report to OLAF. If the manufacturer concludes that the cigarettes are counterfeit, the report must contain documentation and examination results demonstrating that conclusion. This reverses the burden of proof. Only if OLAF, or any participating Member State, disagree with the conclusion that the seized cigarettes are counterfeit, the matter is referred to an independent laboratory, designated by mutual agreement of the parties, for final determination but this hardly happens.

Apart from the UK case mentioned in section E.2.3 above, no evidence could be collected that any further specific use was made at the national level of these agreements or the parallel Memorandum of Understanding signed with the MS involved. It has been noted that when the Track and Trace system becomes fully reliable data might be available to allow agreements between MS to repatriate taxes from oversupplying a neighbour's market or from excess cross-border trade possibly concealing some forms of ant-smuggling. Such agreements have reportedly already been signed between Luxembourg and Belgium.

E.2.5 Summary of the key findings

According to various non-official sources, illicit trade has been generally declining in the EU in the past decade. For *Euromonitor International* the decline has been slow, and illicit cigarettes' market share is still 11-12% of the total, while KPMG estimates a steeper decline of contraband and counterfeited cigarettes, from 11% to 8% of total consumption. The information on the amount of illicit trade of products other than cigarettes is scarce but there is a general consensus that it is on the rise, although still limited compared to cigarettes. This particularly concerns both smoking tobacco (so-called 'bulk' tobacco) and waterpipe tobacco products.

On the other hand, ITTP figures have to be taken with caution. Measuring illicit tobacco trade is complicated and, as of today, there is no standard widely-accepted methodology in the EU or globally. MS authorities and researchers rely on mixed sources, including, for instance, ad hoc consumer surveys, estimates based on third-party empty pack surveys, extrapolation from seizure data and other models estimating legal sales gap based on the expected consumption. A review of methodologies - including their strengths/ weaknesses and cost-efficiency have been recently carried out by RAND Europe on behalf of OLAF.[302] According to the RAND study, the

[301] See Joossens L, Gilmore AB, Stoklosa M, et al *Assessment of the European Union's illicit trade agreements with the four major Transnational Tobacco Companies* Tobacco Control 2016;25:254-260. European Parliament, Directorate General for Internal Policies – Policy Department – Budgetary Affairs. *Workshop of Cigarette Smuggling*, January 2014. https://www.europarl.europa.eu/document/activities/cont/201401/20140116ATT77675/20140116ATT77675EN.pdf

[302] RAND Europe, "Study to identify an approach to measure the illicit market for tobacco products. Final report", for the European Commission, April 2020.

combination of different methods – e.g. joint consumers and empty pack surveys - can in principle provide the most accurate picture of ITTP composition. However, in addition to inherent methodological limitations, all empirical methods focus only on the last step of the supply chain, i.e. the final consumption, so they are of limited help when it comes to establishing where illicit goods have been produced – and namely inside or outside of the EU - and how did they reach the final destination market.

Having in mind the above caveats, law enforcement reports suggest a surge in the illicit manufacturing of cigarettes within the EU, which has possibly replaced part of smuggling activities across the external border of the Union. It can be roughly estimated that total supply of raw tobacco for illicit manufacturing should lie in the order of magnitude of 25-30 million kg per year. In 2020, an overall 318 facilities connected to the production of illicit tobacco were dismantled in the EU. The phenomenon seems involving the majority of EU countries.

The two most-frequently mentioned reasons behind the increase of illicit manufacturing activities in the EU are: (1) poor control of the supply chain (mentioned by six out of ten tax authorities); and (2) the increase in price levels, which enabled illicit activities that were not economically viable in the past (mentioned by eight out of ten tax authorities). Regarding the modus operandi for raw tobacco diversion, the near totality of respondents mentioned the repeated movements of raw tobacco across MS borders, which makes it very difficult for MS authorities to follow the tracks. Typically, fictitious, unregistered companies acquire legitimate raw tobacco (i.e. legally imported and/or processed) and divert it to clandestine factories (mentioned by seven out of ten respondents). Use of false import declarations is reported by a minority of MS authorities, while only one respondent reported registered manufacturing plants engaged in unlawful production in parallel to legal production activities. Regarding the origin of raw tobacco used in clandestine factories, MS authorities indicate that both EU-grown and imported tobacco is involved in diversion practices, with similar frequency. This indication seems plausible considering that the total annual production in the EU is 140,000 tonnes (2019) and that the amount of raw tobacco diverted to illicit manufacturing is approximately 28,000 tonnes. Assuming that 'diverted' tobacco is entirely EU-grown would not be realistic, because it would entail a rate of diversion of nearly 20%. But this is poorly compatible with the control regimes in place in most tobacco-growing countries and with authorities' estimates on elusive behaviours (i.e. non-declared cultivations, diversion of production surpluses, etc.). In this sense, non-EU tobacco is certainly involved, as it emerges inter alia from some law enforcement reports, but the exact proportion is difficult to quantify.[303]

Despite the fundamental challenges posed by analysing and measuring illegal markets and the existence of polarized views on the subject, the economic literature has reached some credible consensus that price (and consequently taxation) increases are at best only two of the several factors – and often not the most important ones – determining the extent of illicit trade, at least as far as traditional smuggling of cigarettes is concerned. Still, MS stakeholders consider that price gaps in general, and with neighbouring countries in particular, remain a notable driver of illicit trade. At any rate, general statements are of limited significance in this area, as country-specific situations do matter. There is less evidence available on other tobacco products, notably FCT and waterpipe tobacco, for which prices might have an even greater impact as drivers.

Links with geographical factors and proximity to illicit trade routes particularly on the Eastern border, as well as enforcement effort reasonably appear as more relevant causes of illicit trade patterns than any intra-EU price divergence eventually allowed by EU minima mechanisms. There remains, however, little detailed evidence available about the relative weight of the other single non-price related drivers of illicit trade (including the role eventually played by taxation

[303] For instance, the origin of the tobacco seized in the largest customs operation against illicit manufacturing ever carried out in Belgium (August 2021) was Brazil, according to Belgian authorities. Source: https://www.rtbf.be/info/societe/detail_la-production-de-cigarettes-de-contrebande-un-business-purement-illegal-mais-tres-lucratif?id=10818582

structure itself and the affordability/availability of substitute products), not to speak of the effectiveness of proposed policies to fight it.

Actually, synergies and coordination with enforcement policies as enabling factors for managing tax increases, without fostering illicit trade, while of demonstrated effectiveness in a number of countries in the past, appear as only partially exploited in the countries reviewed so far and not always managed by means of a coordinated, synergic and monitorable action plan-based approach. There remains some inertia in aligning policies with international recommendations and in adapting policies to the emerging illicit trade trends reported by enforcement intelligence, as well as substantial uncertainty on the feasibility of having in place complementary awareness raising measures tacking illicit trade on the demand side.

The nature of illicit trade has radically changed since 2010 and quickly moved upstream the supply chain including cultivation of unregistered raw tobacco, and this has triggered a corresponding policy reaction with some delay and uncertainties as to the nature of the underlying phenomenon and the best countervailing measures (field controls, authorisation mechanisms, internet bans).

Appendix

Appendix A - Review of recent illicit manufacturing raids in the EU



Appendix A.docx

Appendix B - Review of relevant literature on taxation and illicit trade



Appendix B.docx

E.3 Raw tobacco[304]

E.3.1 Overview of the policy issue

- **DIVERSION OF RAW TOBACCO TO ILLICIT MANUFACTURING**

The issue of illicit manufacturing of tobacco products in the EU calls into question the degree and the effectiveness of monitoring and control applied to the raw tobacco supply chain. Evidently, the availability of 'unregistered' raw tobacco is a precondition for illicit manufacturing activities, which imply some sort of ***diversion of raw tobacco from the legitimate supply chain***. This is made possible by weaknesses in the monitoring and control of production and cross-border movements of raw tobacco of both European and foreign tobacco. Raw tobacco – including intermediate products like first-processed tobacco, reconstituted/homogenised tobacco and tobacco refuse – is not a harmonised excise good and falls outside the excise system. For this reason, it is not subject to the security features required for manufactured tobacco products, such as registration of authorised operators, the obligation to storage / transformation in tax warehouses, electronic control of movements through the EMCS, financial guarantees etc. In this sense, the lack of stringent EU-wide monitoring and control rules can facilitate the emergence of parallel supply chains operating in a grey area, outside of the conventional channels.

To tackle this monitoring gap, some ***Member States have adopted ad hoc policies and measures for raw tobacco*** and operators dealing with it. These measures involve, for instance, fiscal definitions of raw tobacco, authorisation schemes for operators, administrative obligations for holding and movements of raw tobacco, deposits and financial guarantees to cover risks, prohibition to sell to non-authorised operators, and application of tax rates on raw tobacco. The legal vehicles used vary across countries, but it generally consists of a mix of agricultural and fiscal policies in tobacco-growing MS, while fiscal-only policy in the other MS.

This section reviews some of the most prominent national schemes for raw tobacco monitoring and regulation, including building blocks, estimated impact and lessons that can inform the design of an EU-level monitoring scheme.

- **DIVERSION OF RAW TOBACCO TO RETAIL SALE**

While illicit manufacturing is a significant major concern that affects the majority of EU countries, some Member States are also faced with the problem of non-duty-paid raw tobacco sold directly to consumers. This issue is particularly widespread in the Balkans region and in other tobacco-growing countries. In Nordic countries, where tobacco is not cultivated, a similar issue regards the direct sales of tobacco refuse to consumers for self-fabrication of *snus*.

In some cases, traders operate in a grey area exploiting legislative loopholes. Indeed, this is the case of raw tobacco marketed claiming purposes other than smoking, such as home fragrances, animal litters, fertilisers and the like. More frequently, the issue consists of black-market sales (including online) of first-processed tobacco sold in bulk, which the purchaser can transform into smokeable roll-your-own tobacco with simple home processing (see Section E.2 above).

[304] A remark has to be made regarding the terminology used in this Report. The 'raw tobacco' concept used in this analysis encompasses various types of tobacco that are not suitable and conditioned for final consumption, including agricultural produce (the harvested leaf), first-processed tobacco (and by-products) and second-processed tobacco (e.g. 'reconstituted tobacco'). In this sense, the term 'raw tobacco' intends to designate a wider range of products than the term 'unmanufactured tobacco', which is currently used in the customs nomenclature (HS Heading 2401). To avoid confusion with the latter, the expression 'unmanufactured tobacco' is not used in the text

The Member States' policies reviewed in this section also addressed this aspect, establishing that raw tobacco cannot be sold to individuals, or taxing it at the same level of smoking tobacco. A few countries have regulated also cultivation for private consumption.

- **UNCERTAINTIES IN THE DEMARCATION**

The demarcation between excisable smoking tobacco and non-excisable intermediate products is laid down in Art 5.1 of the Directive.[305] However, the excise definition of smoking tobacco provided therein offers room for interpretation, and in recent years there have been increasing cases of tobacco shipments seized by competent authorities for being classified as raw tobacco despite being smokable[306]. The adoption of stricter classification criteria for first-processed tobacco in some MS is partly a consequence of the CJEU landmark ruling on the *Eko-Tabak* case (C-638/15, April 2017)[307], but, more generally, it is linked to growing concerns about the risk of diversion of processed tobacco.

The legal uncertainty arising from the implementation of stricter classification rules inevitably affected the legitimate supply chain. Reportedly, last year road shipments of raw tobacco from Spain to Belgium dropped from 1600/year to just one due to the risk of being stopped and taxed in France. Similar situations occurred in Germany, Sweden, Czechia etc. In most cases, administrative arrangements between operators and authorities were eventually adopted at the country level to overcome this problem and avoid unnecessary disruptions of the legitimate supply chain. Still, these events showed that the current definition of smoking tobacco might no longer be fit for purpose, and a revision seems in order.

E.3.2 Reconstruction of the raw tobacco supply chain

Before analysing the rules and measures adopted in MS to regulate it, it can be helpful to recapitulate the main features (e.g. size and articulation) of the raw tobacco supply chain in the EU. Figure E.3.1 below provides a synthetic overview of the supply chain's building blocks and flows between different steps, from the tobacco 'leaf' to the retail sale of final products. Further below in this Section, more details on the processes, the players, and the main cross-border flows are provided. The information is drawn from a variety of sources, primarily: (a) official statistics (e.g. DG AGRI data on tobacco cultivation, Comext intra- and extra-EU trade data, Eurostat's Prodcom statistics etc.), and (b) consultation of MS authorities and economic operators involved.

The reconstruction is inevitably tentative and subject to a series of caveats, as the articulation of the tobacco supply-chain is complex and ever-changing[308], and certain steps are poorly documented. In particular, reconciling for analytical purposes the volumes involved in each step

[305] Article 5.1: "*For the purposes of this Directive smoking tobacco shall mean: (a) tobacco which has been cut or otherwise split, twisted or pressed into blocks and is capable of being smoked without further industrial processing; (b) tobacco refuse put up for retail sale which does not fall under Article 3 and Article 4(1) and which can be smoked. For the purpose of this Article, tobacco refuse shall be deemed to be remnants of tobacco leaves and by- products obtained from tobacco processing or the manufacture of tobacco products.*"

[306] It is worth highlighting the difficulties that customs officers face when they have to distinguish the "state" of the tobacco, which can be important when recording seizures. This further underlines the need for an effective definition of raw tobacco.

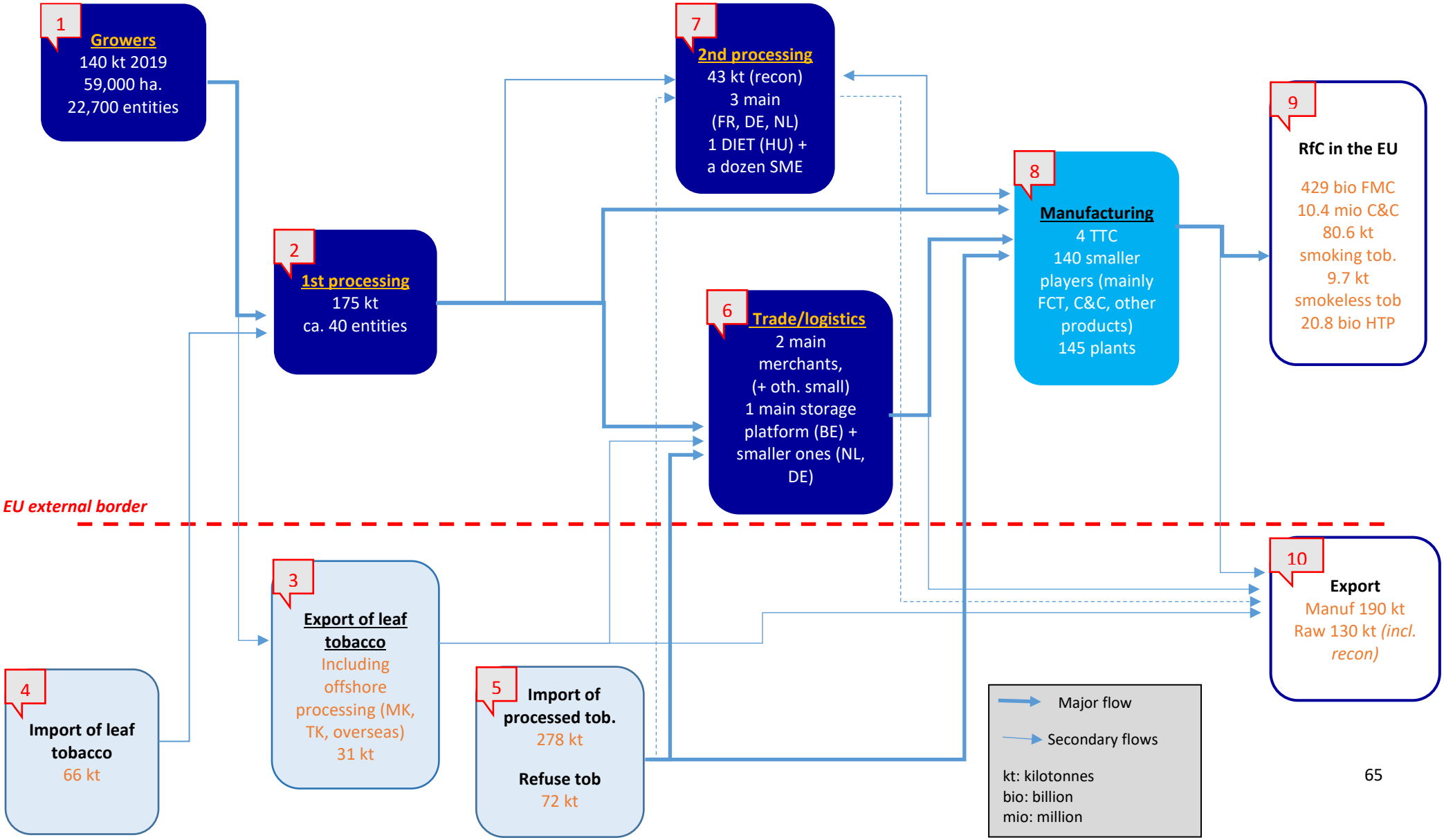
[307] The CJEU ruling on the *Eko-Tabak* case (C-638/15) clarified the interpretation of the 'smoking tobacco' definition laid down in the Directive. The issue derives from the unclear interpretation of certain terms used in the Directive definition, namely 'tobacco which has been cut or otherwise split' and 'industrial processing'. The CJEU eventually ruled that (1) since the product at stake consisted of tobacco leaves which have been partly stripped to remove the petiole, and (2) it was ready, or could easily be made ready, by non-industrial means, to be smoked, then it fitted with Art 5(1) of the Directive and had to be considered as an excise good and not as raw tobacco.

[308] A common trait, which can be observed in all MS, is a progressive consolidation and concentration of the supply chain in the hands of few operators. This process led to unprecedented cross-border flows of raw material.

from the field to the output released for consumption in the EU is subject to several methodological limitations that cannot be overcome. In particular:

- lack of robust and detailed production data at all stages of the supply chain;
- lack of reliable rate-of-yield implied in transformation processes to precisely match inputs to outputs;
- the difficult use of Comext data to reconstruct the path of raw tobacco, due to the frequent recourse to 'inward processing' modality (implying a change in the CN code) and movements to/from storage facilities;
- diachronic reconciliation issues, with tobacco grown in year Y ending up in being used in a product released for consumption in 2-3 years or more;
- different units of measurement used by different sources for the range of products involved, i.e. volume (tonnes / Kg) or units (pieces etc.); and
- limitations with the time-significance of 'release for consumption' data, due to the authorities' registration methods and possible 'forestalling' practice.

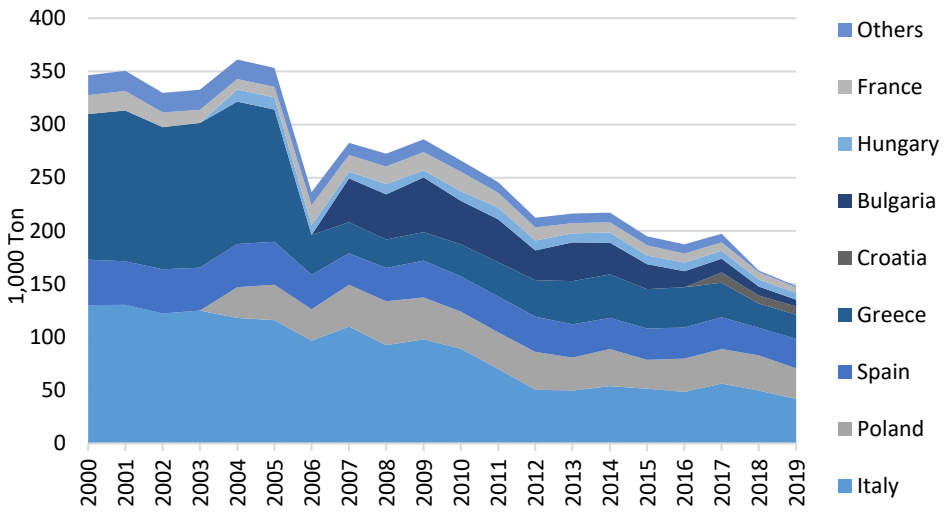
Figure E.3.1- The tobacco supply-chain in the EU (based on 2019-20 data)



Phase	Description
Tobacco growing 1	• Overall, there are approx. 22.700 tobacco growers registered in Member States. Their number has constantly declined in the past decade from an estimated 60,000 in 2010 (including for comparability BG and HR). The largest number is found in EL (approx. 8,000), followed by BG (5,000) and PL (4,000).[309] Tobacco growers are generally organised in Producers' Organisations (PO) and Associations of Producers Organisations (APO), often charged with market self-regulatory purposes. These also have been increasingly concentrating. In most growing countries, 2-4 POs account for 100% of tobacco crops. • The cultivated surface nearly halved in ten years, from an estimated 112,000 ha to less than 60,000 ha in 2019[310]. The most cultivated variety is flue-cured Virginia type (56% of the surface) – especially in IT, ES and PL. The variety cultivated in Germany and North-western EU is typically used for making shisha tobacco. The second-most cultivated variety is the sun-cured Oriental type (25%), grown in the Balkan region, especially in EL and BG. Light-air cured Burley tobacco accounts for nearly 10% of the total. In addition to IT and PL, it is relatively widespread in FR and HU. Dark-air and fire-cured (Kentucky) tobacco varieties represent only 3% and are primarily grown in IT. • According to DG AGRI data, roughly 140 kT of tobacco was grown in the EU in 2019. The decline in EU production of tobacco was particularly steep after the discontinuation of decoupled EU aid in 2014, with some 32% reduction in output. Industry figures are largely consistent with Commission's reports, but are generally about 5% higher, as they refer to the contracted amounts, which are negotiated ahead of the growing season. • On average, the production per grower in the EU is 5 tons. However, it ranges from less than 2 ha / grower in EL and BG (where hand-grown production of local varieties prevail) to more than 20 ha in IT and ES, where cultivation is largely mechanised. This is also reflected in the yield of the different varieties. The average yield of flue-cured Virginia is approx. 2.7 tons per ha, whereas Oriental type is around 1.2 tons per ha. • This difference is also reflected on selling prices, which varies frequently depending on yield, quality and seasonal factors. Virginia-type is generally sold at around EUR 2.4-2.5 / Kg, whereas Oriental's price is in the range of EUR 4.0-4.2 / Kg. The overall economic value of EU-grown raw tobacco can be estimated at approximately EUR 354 million (2019). • Tobacco is a commodity whose market prices fluctuate. To allow some form of regulated market in most EU-growing countries cultivation plans and contractual agreements are negotiated in advance and under the supervision of public authorities. PO / APOs set out multi-annual plans in line with the requirements of tobacco buyers, which can be: (a) first processors; (b) final manufacturers; or (c) tobacco merchants. The majority of buyers are large companies, but there are still several SME among manufacturers and first processors. In some countries (e.g. BG), growers stipulate preliminary agreements with multiple subjects, so the amounts contracted ex-ante seldom correspond to the actual amounts delivered, as farmers deliver to those offering the best on-the-spot conditions. In most MS, there is a legal obligation to sell tobacco only to registered operators.

[309] Differences between MS can relate to the variety of tobacco cultivated. The main varieties cultivated in BG and EL are entirely hand-grown, extremely labour intensive and require small mountain fields where extensive mechanised cultivation is not possible.
[310] Figures can be incomplete as MS with a cultivated surface smaller than 3,000 ha have no reporting obligation.

Figure E.3.2- Trends in EU tobacco harvested production



Source: Eurostat

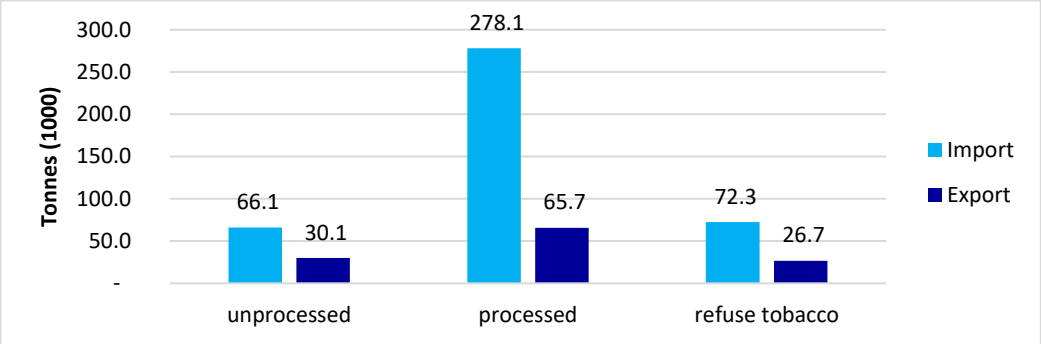
First processing

2

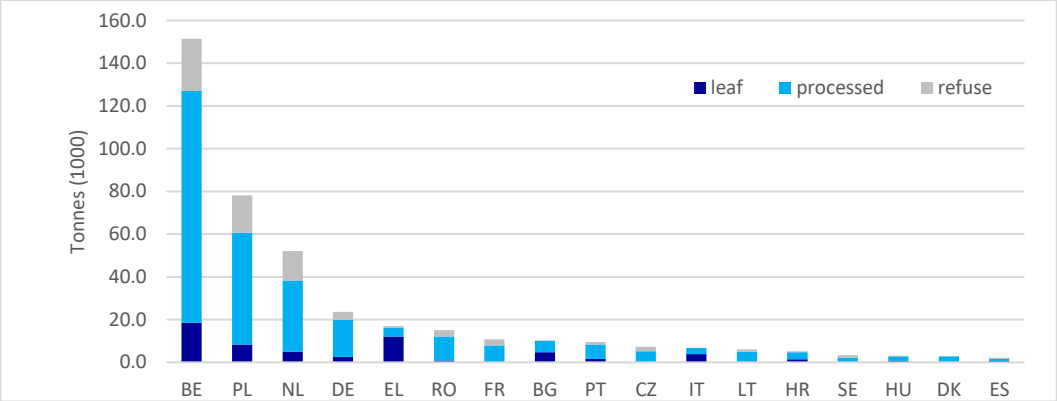
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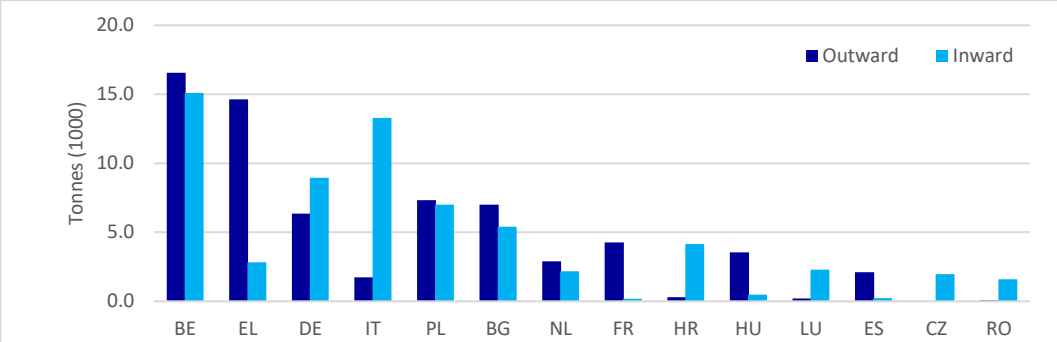
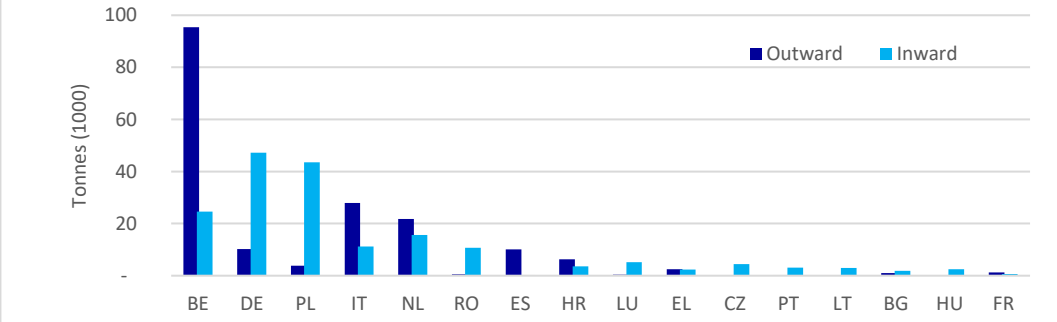
- First processing includes a variety of activities that transform 'leaf' tobacco into 'processed' tobacco which manufacturers can use to produce cigarettes, FCT, cigars etc. The first processing includes inter alia: (a) threshing (separation of tobacco laminas from stems and veins); (b) cutting; (c) stabilisation; and (d) sorting into lots (i.e. grading of the products by quality). The processing can vary depending on the type of tobacco. For instance, the Oriental type does not require stemming and other mechanical processing, but only sorting the different parts of the plant (young and old leaves).
- First processing is carried out in dedicated facilities, generally located in the growing areas (although increasingly less so). The number of first processors has consolidated over time. Currently, there are around 40 operators EU-wide (based on MS authorities' feedback), with the bulk of activities carried out by a handful of operators, which includes, among others: Universal Leaf / Deltafina processing facilities in IT and PL; Hrvatski Duhani in HR (owned by BAT); the State-owned factory CETARSA in ES; Socotab (BG, EL); Missirian (EL) and Lukowa (PL). With an estimated output of less than 1000 tons / year, other minor processors can be found in countries like HR, BG, EL, IT, PL, CZ and in the outermost regions of ES and PT. There are no longer active first-processing plants in FR, HU[311], and DE, so the tobacco grown in these countries is processed elsewhere (for instance Hungarian tobacco is mostly sent for processing to Italy). Similarly, in HR, PL and EL, tobacco originating from other countries is processed.
- First processors can buy the tobacco they process or can work 'on service' for a tobacco merchant company or a final manufacturer. For example, in Italy, PMI purchases tobacco directly from grower organisations, and Deltafina processes it on its behalf. Similarly, Hrvatski Duhani (HR) processes on behalf of Alliance One the tobacco that the latter purchases in FR and DE.
- There are also instances of the vertically integrated supply chain. In HU, Dofer produces and transforms tobacco exclusively for Continental (manufacturer); in IT, cigar-maker MST buys leaf tobacco and carries out the entire processing until the final products within their establishments; and in HR, BAT owns the main processing factory in the country.
- As a rule of thumb, there is a close correspondence between the volume of tobacco grown in the EU and the volume of tobacco processed in the EU because there is little economic incentive in importing or exporting the cured leaf. As discussed further below, most raw tobacco imported in the EU is already first processed. A partial exception is represented by processing activities that take place in EU neighbouring countries. Part of the oriental tobacco grown in Bulgaria is bought by Alliance One and shipped to North Macedonia where the company has its main

[311] Except for vertically-integrated activities described below.

	processing plant. Once processed, part of the tobacco is re-imported in the EU and sold to final manufacturers. • Considering an import/export balance 35 kT for leaf tobacco[312], it can be assumed that the total tobacco first-processed within the EU amounted to some 175 kT. The added value at this stage of the supply chain is difficult to estimate for various reasons. Firstly, there are some 40 quality grades for processed tobacco, so the price can vary greatly. Roughly, an average of EUR 5 per Kg can be retained for estimation purposes, but certain products (e.g. those used for cigar wrapper) are priced up to EUR 14 / kg. Secondly, a particular quantity (roughly 20-22%) of the initial weight is lost in the process[313]. This component consists of stems, dust, small scraps etc., which cannot be used as such for manufacturing tobacco products. Tobacco refuse is recycled in second processing activities, at an average price of around EUR 0.6 per Kg. Thirdly, supply chain arrangements can influence the price. As seen, manufacturers often buy tobacco directly from growers and pay a service fee to processors for the transformation. Keeping these limitations in mind, the value of production of the first processors in the EU can be tentatively estimated at around EUR 600 million.
Import of raw tobacco 4 5	• According to Comext data, in the 2019-20 period the import of 'unmanufactured tobacco' (i.e. CN 2401 heading) in the EU amounted to 416 kT annually (EUR 1.7 billion) while export amounted to 123 kT (EUR 0.5 billion). As shown in Figure E.3.3, first-processed tobacco accounts for most imports and, to a lesser extent, of exports. • The main country of origin of processed tobacco is Brazil (60 kT in 2020). Other main commercial partners are Malawi, India, USA, Tanzania, Zimbabwe, Mozambique, China and Argentina (more than 10 kT each). Around 62% of import consists of flue-cured Virginia tobacco, while 31% of light-air cured Burley varieties. The main destinations of export of processed tobacco from the EU are Russia (18 kT), Turkey (9 kT), the USA and Jordan (4 kT). ***Figure E.3.3 – Import / export of raw tobacco in the EU (2020, HS Heading 2401)***  ***Source:*** *Comext* • The importers of processed tobacco are primarily final manufacturers. In various extra-EU growing countries, big manufacturers have set up integrated supply chains with local growers and first processing plants. Once processed, the tobacco is then moved to the EU for storage until it is needed for production. In this system, there are no intermediaries involved (except 'on service' suppliers) and they own the tobacco from the plant to the final product. However, the tobacco acquired through this channel is insufficient to fulfil manufacturing needs, so manufacturers also buy tobacco on the free market from tobacco merchant companies like Alliance One and Universal Leaf. These companies have their supply chains in producing countries (Brazil, India, China, Far East, Africa etc.). First-processed tobacco is mostly sold Free-on-Board (FOB), so, also in this case, the importer in the EU is

[312] For trade statistics, we have used average data from 2019 and 2020, to correct for temporary fluctuations last year, linked to the Covid19 crisis.
[313] The percentage of refuse tobacco generated during first processing depends on the type of tobacco and the processing method. In the case of Burley tobacco, by-products can reach 30% of the initial volume, whereas, for Oriental tobacco, the percentage of refuse is minimal.

	the manufacturer. Sometimes, merchant companies can take care of import because a few customers ask for Delivered-At-Place (DAP) incoterms, but this is less common. • The majority of imported tobacco enters the EU through Belgium (37% of the total). A large share of it is stored in *Tabaknatie's* warehouses in Antwerp, i.e. the world largest tobacco storage facilities. Other relevant storage facilities are reported in Rotterdam (NL), Hamburg (DE), and other EU major ports. Other imports are directed to countries where processing/manufacturing facilities are located, i.e. PL, EL, RO, BG, IT, HR etc. In proportion, tobacco refuse is imported particularly in FR – where the EU-largest second processing establishments are located – as well as in SE and CZ, where it is used for manufacturing of smokeless tobacco products. ***Figure E.3.4 – Import of raw tobacco into the EU by MS and type of tobacco (main MS)***  ***Source:*** *Comext*
Raw tobacco trade and logistics within the EU 6	• A rough estimate of the amount of raw tobacco available for manufacturing in the EU can be obtained by combining the above data on import / export with the estimates on leaf tobacco processed in the EU. The result indicates a total of 439 kT of 'available' raw tobacco (2020). This figure has to be taken as a rough indication of the order of magnitude of the volumes involved, since precise statistics on production are not available (Eurostat's *Prodcom* data for this product category are largely incomplete). • Comext data show significant cross-border movements of raw tobacco within the EU. Overall, approximately 374 kT of processed tobacco are moved between MS annually, i.e. some 84% of the abovementioned total 'available' tobacco. The granularity of data is insufficient to reconstruct precisely the rationale for cross-border movements; however few main patterns can be identified: ○ Belgium emerges as the main logistic platform not only for imported raw tobacco but also for intra-EU movements. As discussed, big manufacturers keep substantial amounts of their tobacco in Antwerp's storage facilities, to then move it to their manufacturing facilities based on the production needs. It is estimated that movements to/from Belgium amount to 472 kT / years, half of which originating from / destined to EU countries. The centralisation of raw tobacco storage has practical advantages. Cigarettes and other final products' fillers are made of several types (15-20) of processed tobacco, which are different in quality, grades, nicotine contents etc. A centralised logistic platform simplifies the management of stocks, allowing manufacturers to reduce the volume of tobacco kept at manufacturing sites. Secondly, centralised storage allows to more efficiently control and make treatments for the preservation of stored tobacco. Similar storage facilities, although of smaller size, exists in DE, NL and other MS. ○ Inward movements of leaf tobacco in countries like IT, HR, PL, BG etc. has seemingly a transformation purpose. The first processing plants located in

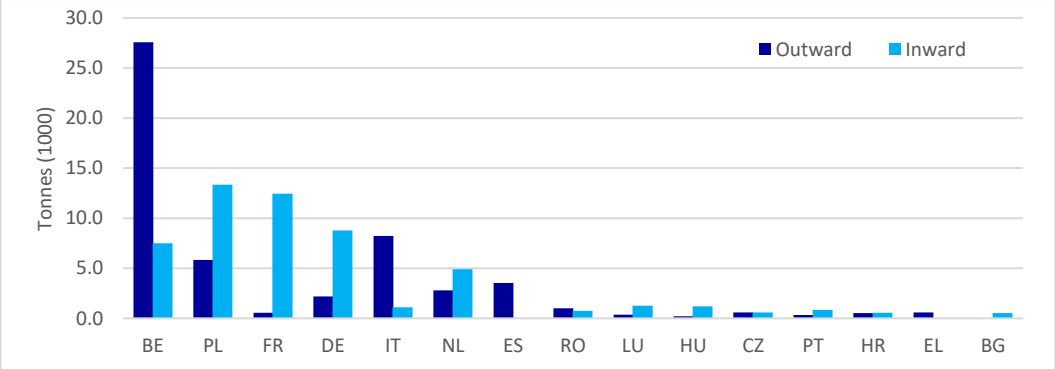
	these countries receive 'leaf' tobacco from other growing MS like HU, ES, FR, EL and DE. ○ After processing, the tobacco is either moved to the above-mentioned storage facilities (especially tobacco owned by big manufacturers and processed 'on service' by first processors), or to manufacturing facilities. The latter movements are mostly directed to big manufacturing plants in DE, PL, RO etc. ***Figure E.3.5 – Cross-border flows of 'leaf' tobacco – HS subheading 2401 10 (main MS)***  ***Source:*** *Comext* ***Figure E.3.6 – Cross-border flows of 'processed' tobacco – HS subheading 2401 20 (main MS)***  ***Source:*** *Comext*
Second processing 7	• "Second processing" designates a range of activities that transform tobacco by-products, originating from processing/manufacturing activities into reconstituted tobacco or other intermediate products (such as 'expanded stems'), which can be used for the manufacturing of final products. By-products include tobacco stems, lamina scraps, dust and fines etc., which are typically classified as 'refuse tobacco' in the customs classification (HS 2401 30). These by-products are transformed into reconstituted tobacco through a process similar to the manufacturing of paper or the so-called 'cast leaf' process.[314] Reconstituted tobacco is then used in cigarettes' blend (up to 15% of the volume) and as the basis for HTP products (up to 100% of the blend). In the latter case, the tobacco leaf and not only by-products is also used. • There is one major producer of reconstituted tobacco in the EU, i.e. the French *LTR* (part of SWM group). The company processed several thousand tonnes of tobacco / year, to a large extent on a service contract for big manufacturers. Other smaller plants linked to the Universal Leaf network are located in NL and DE. Regarding HTP, PMI has adopted a vertical-integration approach, with the entire production

[314] In this method, particles of tobacco such as tobacco fines, dust, and portions of stems and midribs are ground and combined with a binder before being cast into a continuous web. The continuous web is dried to form a reconstituted tobacco web which may be rolled onto a bobbin, or cut into sheets, or shredded to use as filler in conventional cigarettes.

process, from raw tobacco to reconstitution to final manufacturing of HTP sticks taking place in a single cluster, in IT, from which most EU markets are served.

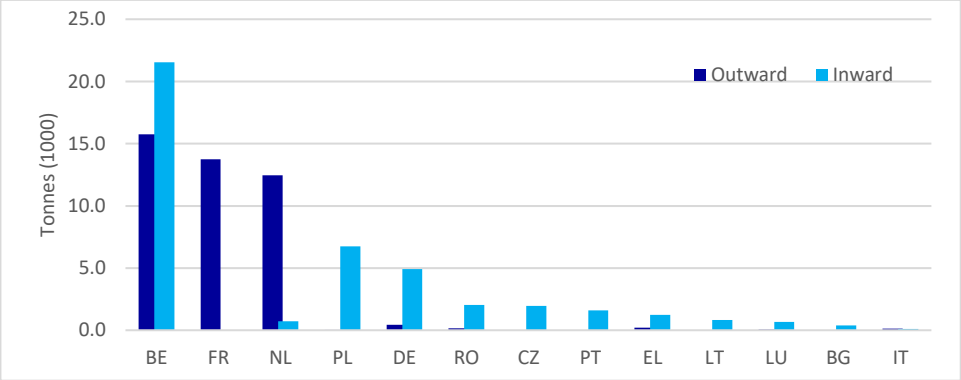
- Based on the above estimates, it can be approximated that the by-products of first processing activities amount to some 35 kT. In addition, refuse tobacco is also generated by manufacturing activities (primarily cut rags, dust and fines). Based on Comext data, cross-border movements of refuse tobacco amount to approximately 42 kT annually. As there are few plants in the EU transforming refuse tobacco into reconstituted tobacco, this figure can be taken as a proxy for the total refuse tobacco generated by processing/manufacturing activities within the Union. Additionally, the EU is also a net importer of refuse tobacco (approx. 45 kT annually in 2019-20), so the overall 'available' refuse tobacco within the EU can be estimated between 80 and 90 kT.
- Not all refuse tobacco is transformed into reconstituted tobacco. Refuse tobacco is also used for preparing smokeless tobacco like 'snus' in Sweden or chew bags in Denmark and other EU countries. Tobacco stems can be used to produce cut rolled expanded stems through cigarettes mixture, and the 'volume tobacco' used for make-your-own FCT and as cut filler for cigarettes. Volume tobacco is based on Dry Ice Expanded Tobacco (DIET) system. In the EU, it is produced primarily by *NewCo,* located in HU. Based on the estimates from main processors, the volume of reconstituted tobacco production in the Union can be estimated at approximately 55 kT. As the rate-of-yield is around 105%-110%, it can be assumed that some 50 kT (i.e. 50%) of refuse tobacco are used in this segment. This figure does not include the vertically-integrated production of HTP in IT. Overall, triangulation with Comext and other data sources suggest the total second processed tobacco available in the EU annually amounts to no less than 80 kT (possibly up to 90 kT)[315].
- The market price of reconstituted tobacco varies depending on the quality and the intended use. In particular, reconstituted tobacco used for HTP is more expensive than the product used for cigarettes blend. Furthermore, as most of the processing takes place 'on service' or in a vertically integrated setting, the market price is a poor indicator of the value added at this stage of the supply chain. An average estimate of Eur 2.0-2.5/kg can be maintained for analytical purposes, based on import/export figures and industry reports.
- The analysis of cross-border flows reported in the figures below show:
  - Significant inward movements of refuse tobacco toward second-processing sites (mainly France) and to storage locations (BE, NL, DE) from first processing sites (IT, ES, PL), as well as from Antwerp.
  - Outward flows of reconstituted tobacco from second-processing sites (FR, NL) to manufacturing sites (PL, DE, CZ etc.). Belgium remains a storage hub also for this type of products.

Figure E.3.7 – Cross-border flows of refuse tobacco – HS subheading 2401 30 (main MS)



Source: *Comext*

Figure E.3.8 – Cross-border flows of reconstituted tobacco (main MS)



Source: *Comext*

Manufacturing and sales

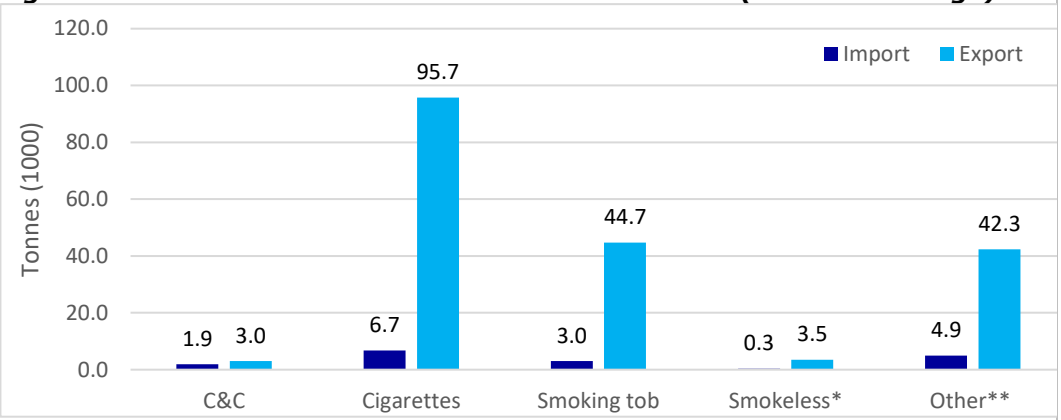
8 9 10

- The last steps of the tobacco supply chain consist in the manufacturing of final products and in their release for consumption. At this level, first and second processed tobacco is blended, cut, rolled, pressed and transformed into final products, i.e. cigarettes, cigars/cigarillos, fine-cut tobacco, pipe tobacco and water-pipe tobacco. Manufactured tobacco products are excise goods, so their production, storage, movements etc. are subject to the excise system obligations and controls. Until they are stored in a tax warehouse, the payment of the excise duty is suspended. The payment is due when the products are released for consumption, i.e. typically when products are shipped to distributors / wholesalers in the country of final retail sale. The distribution in some markets (e.g. IT, FR, ES) is highly centralised, with a single player (*Logista*) covering the distribution of the majority of products.
- Overall, the cigarettes market is dominated by four Transnational Tobacco Companies - TTC (PMI, BAT, JTI and IB), which operate in all EU27 market and have manufacturing plants in many of them. Other cigarette-makers have tiny market shares and mostly operate in one or few countries, such as, e.g. *Karelia* (EL), *Landewyck* (LU), *Continental* (HU), *Slantse Tobacco Stara Zagora* (BG), *Yesmoke* (IT) and *Poeschl* (DE). According to Prodcom data, some 423 billion sticks were produced in the EU in 2019, of which 27% in PL, 23% in DE, 14% in RO and the rest in CZ, HR, EL, IT, HU, BG, ES.[316] The estimated value of production is EUR 4.7 billion (excluding taxes), i.e. EUR 0.01 per stick.
- Prodcom data for the FCT segment indicates a total production of 116 kT in 2019 for an estimated value of EUR 1.44 billion (excluding taxes), i.e. EUR 0.01 per gram. The market is less concentrated than for cigarettes, with a more marginal role played by TTC and some 10-15 mid-size or small players involved. Finally, according to Prodcom, the production of cigars and cigarillos amounts to about 11.7 units, worth EUR 1.1 billion excluding taxes (EUR 0.09 per unit), primarily located in 20-25 manufacturing plants in DE, IT, ES and HU. The share of TTC in this segment is small and is reportedly declining.
- External import of manufactured tobacco into the EU products is minimal, i.e. less than 20 kT annually. Total exports amounted to around 190 kT, with main destinations being the UK, middle-east partners (UAE, Saudi Arabia, Kuwait), and Russia. Cigarettes account for half of export, the rest is almost equally divided between FCT and HTP.
- The analysis of flows revealed some inconsistencies between the volume of tobacco products released for consumption in the EU and the volume that can be expected from the above reviews of internal and external flows. In particular, the

[315] The last estimate includes refuse tobacco originated from manufacturing process, which is transformed 'on service' by second processors on behalf of manufacturers. In the flow model developed for this Study this tobacco is included in the aggregated category of 'tobacco available for manufacturing', so it is recorded separately to avoid 'double counting'.
[316] Detailed figures on the production level in some MS are not disclosed on Prodcom's database for confidentiality arrangements. Non-disclosed countries (LT, CZ, BG, HU, NL, IT and BE) represent 20% of the total EU production altogether.

'reconstructed' flow is some 16% lower than releases for consumption. This 'error' can be attributed to a number of factor, all of which are quite plausible, namely: (a) statistical inaccuracies in the datasets used; (b) the amount of product released for consumption do not necessarily match with the product manufactured in that year; (c) the official statistics on agricultural production underestimate the actual production; (d) change of weight of mixture during the process (humidity, additives etc.); (e) issues with the conversion between weight and units for cigarettes, HTP, and cigars and cigarillos.

Figure E.3.9 – External trade of manufactured tobacco (2019-20 average)



Source: *Comext*
Notes: *(*)= chewing tobacco and snuff; (**) CN 24039990 - Manufactured tobacco and tobacco substitutes (mainly consisting of HTP)*

E.3.3 Legal framework for raw tobacco in MS

This Section reviews the regulatory regimes in place in MS for raw tobacco and the economic operators of the supply chain. The review's focus is primarily on the fiscal legislation that was adopted in certain MS to tackle the issues connected to the diversion of raw tobacco outside of the legitimate channels. However, in tobacco-growing countries, the first part of the supply chain, i.e. growing and first processing, is typically in the remit of agricultural policy. So, where relevant, the review contains also relevant information on control measures and obligations applicable under the EU common agricultural policy and on the interaction between fiscal and agricultural legal frameworks.

The review is structured in four parts, as follows:

- the ***definition of raw tobacco*** adopted in different MS;
- the ***legal and administrative obligations*** for supply-chain players deriving by the fiscal or other raw tobacco legislative framework in different MS, with particular focus on: (a) registration/authorisation schemes; (b) obligation related to producing, buying/selling raw tobacco (including record-keeping); (c) monitoring and notification obligations related to the movement of raw tobacco; and (d) enforcement and sanctions.
- ***taxation schemes***, where applied, and conditions thereof;
- major ***impacts*** reported by MS authorities regarding the implementation of raw tobacco regulations.

➢ **DEFINITION OF RAW TOBACCO IN MEMBER STATES**

Croatia	In 2015 Croatia amended its Excise Duties Act to introduce special control measures on raw tobacco. Raw tobacco is defined comprehensively and by contrast with manufactured tobacco. Specifically, raw tobacco is defined as: "*A harvested tobacco, regardless of the degree of its processing or treatment, if it is not considered as manufactured tobacco, i.e. does not meet the definition of manufactured tobacco.*" If raw tobacco is moved between two legitimate subjects of the supply chain, it can be reasonably presumed that it will be used for processing / manufacturing activities. In other words, the risk profile of a movement is less determined by the physical characteristics of the product and more by the players' status and profile.
Bulgaria	The tobacco sector in Bulgaria is regulated under the (a) Tobacco and Related Products Act (TTRPA) and (b) the Excise Duties and Tax Warehouses Act. Definition of raw tobacco, according to Tobacco Act: "*tobacco leaves harvested at technical maturity, sundried, under shade or with warm air, grouped according to harvest/ stalk position, with uniform quality and normal moisture content in farmers' production packaging*." Various amendments of the Law for Excise Duties and Tax Warehouses[317] adopted between 2018 and 2020 revised the definition of smoking tobacco in Bulgaria, extending excisability to intermediary products not previously comprised. So, in addition to the criteria laid down in Article 5.1 of Directive 2011/64, smoking tobacco also includes: "*dried, flat with irregularly shaped, partially dehydrated tobacco leaves, which have undergone a process of drying and controlled moistening, which contains more than 0.65 per cent by weight of glycerine and is suitable for smoking after simple handling by crushing or cutting by hand.*" This amendment and the reference to the glycerine content are seemingly inspired by the CJEU *EkoTabak* ruling which considered the presence of certain amounts of glycerine as one of the elements concurring to the smokability of the product at stake.
Poland	Poland introduced a definition of raw tobacco as an excise good in 2013. The initial definition focused on dried tobacco to exclude green leaves from the scope of the legislation. However, this proved inefficient and could create frictions with the customs classification when the product was moved to other countries. So, in 2014 the definition was amended to include any type of harvested tobacco. The excise category currently in place defines raw tobacco in contrast with manufactured tobacco. No reference to product characteristics is provided, i.e. *raw tobacco is – irrespective of its moisture – tobacco that is not attached to the living plant and is not yet a manufactured tobacco product*. [318]
Czechia	In 2015, an amendment of the Excise Duties Act extended the excise duty regime to 'natural tobacco'. The definition of natural tobacco covers a heterogeneous range of products, i.e. leaf tobacco, first-processed tobacco, refuse tobacco and reconstituted tobacco. As stated in the legislation, natural tobacco means[319]: *a) a naturally or artificially dried or non-dried, fermented or non-fermented, expanded or non-expanded leaf of the plant of the tobacco family or another part of it; leaves can be whole, partially or entirely stripped,* *b) remnants of leaves or other parts of the plant of tobacco family which:*

[317] In Bulgarian: Закон за акцизите и данъчните складове. Art. 12 (1); p.4. new - SG 98/2018, in force from 01.01.2019, supplemented - SG 28/20, in force from 13.03.2020.
[318] The relevant acts include: Excise tax Act of December 6, 2008; Tax Ordinance Act of August 29, 1997; Regulation of the Minister of Development and Finance of February 21, 2017 on the competence of tax offices and chambers of tax administration in the field of excise duty; Resolution of the Minister of Finance of December 21, 2018 on excise tax security; Resolution of the Minister of Finance of April 25, 2019 on applications for the registration of intermediary tobacco objects (PPT).
[319] Section 131.b of the Act No. 353/2003 on Excise Duties

	1. *originate upon processing these leaves or other parts of the plant, in manipulation with these leaves or other parts of the plant or in production of tobacco products, and* 2. *are not prepared for the sale to the end consumer,* c) *reconstituted tobacco produced by assembling finely disintegrated tobacco, tobacco remnants or tobacco dust which is not prepared for sale to the end consumer* The Czech approach emphasizes the intended use of tobacco. The raw tobacco excise regime applies to tobacco dealers outside of the registered supply chain and where the origin/destination of tobacco cannot be proved.
Hungary	In Hungary, unmanufactured tobacco is defined in the national excise legislation, but it is not considered as an excise good and is not taxed. [320] The definition provides a distinction between: - 'raw tobacco', i.e. *the leaves of a plant of the Nicotiana tabacum species, capable of industrial processing, dried by the natural or artificial process*; and - 'fermented, cured tobacco', i.e. *raw tobacco processed after drying to induce changes to make it suitable for smoking or other forms of consumption*.
Sweden	Raw tobacco as such is not defined in the Swedish legislation. Instead, the country has adopted in 2021 an excise duty on "other forms of tobacco".[321] "Other forms of tobacco" entail tobacco which is not part of a living plant, and which is not excisable as cigarettes, cigars, cigarillos, and smoking tobacco as well as snus or chewing tobacco[322] The category *de facto* encompasses raw tobacco, however it was decided not to use this expression in the proposed regulation to avoid fuelling confusion between intermediate and final products and misalignments with the customs classification.
Lithuania	In Lithuania, raw tobacco is tobacco falling within CN code 2401 of the 2019 version of the CN, excluding manufactured tobacco (as defined by the law). This approach allows authorities to consider – where applicable - as an excise product any borderline product classified as raw tobacco for customs' purposes.
Spain	A project of law is under discussion in Spain that will introduce control rules on raw tobacco leaves and sanctions regime to combat fiscal fraud.[323] The legislation would introduce control measures for all raw tobacco supply chain players, except transporters operating on behalf of other players. As regards the definition of raw tobacco, amendment 203 states: • *The concept of 'raw tobacco' includes the leaves and other natural parts of the tobacco plant, once cured or dried, when they are not considered tobacco products in accordance with the provisions of article 59.4 of Law 38/1992, of 28 December, on Special Taxes.* • *This concept does not, in any case, include the live plant or the cut plant that is not cured or dried.* The legislation is explicitly aimed at tackling tax fraud, but raw tobacco remains explicitly outside the excise system.

[320] Act LXVIII of 2016 on Excise Tax, and Government Decrees 39/2013 and 557/2013.
[321] Finansdepartementet (Ministry of Finance), Ny punkskatt på övrig tobak (New excise duty on other forms of tobacco), May 2020: https://www.regeringen.se/4a6f02/contentassets/ce24929ff79644be8d19b0d66e847121/ny-punktskatt-pa-ovrig-tobak.pdf
[322] Even if snus and chewing tobacco currently lack legal definitions, they are included in the 1994 law on tobacco tax and no real issues with defining what is and what is not snus and chewing tobacco have arisen.
[323] Proyecto del Ley 121/000033 - Proyecto de Ley de medidas de prevención y lucha contra el fraude fiscal, de transposición de la Directiva (UE) 2016/1164, del Consejo, de 12 de julio de 2016, por la que se establecen normas contra las prácticas de elusión fiscal que inciden directamente en el funcionamiento del mercado interior, de modificación de diversas normas tributarias y en materia de regulación del juego, October 2020

Italy	There is no such thing in Italy as a definition of raw tobacco incorporated in a law. There have been several administrative acts defining the stages of raw tobacco production and first transformation subject to the controls of AGEA, the Italian national paying agency coordinating the Single Farm Payment (SFP) system under the European Agriculture Guarantee Fund (EAGF), particularly until there was an EU-level common organisation in the tobacco market. As defined in various administrative acts over time, AGEA controls apply to first processors up to the stage of "*tabacco greggio secco allo stato sciolto*", i.e. loose raw dried tobacco. In practice, the tobacco leaf can be dried up to 11-13° of humidity, eventually shelled by beating in pieces larger or smaller than 0.5 cm diameter depending on the part of the leaf (so-called strips) and conditioned for stocking and packaging.

- **OBLIGATIONS OF MS RAW TOBACCO LEGISLATION**

Bulgaria	• In 2016, a registration regime was introduced for all entities involved in growing, selling and manufacturing raw tobacco. Tobacco growers have to register every year, providing to authorities evidence of written contracts with an authorised buyer, information on the cultivated land, and records on the volume of tobacco sold the previous year. Only certified seeds can be distributed to the tobacco growers. • A second registry is established specifically for buyers of raw tobacco who must be authorised by the competent Regional Directorate of Tobacco. Buyers have to provide the authority with information on the volume of tobacco planned/actually purchased, detailed data on stocks held in their facilities and sales made domestically, in the EU or extra-EU countries. Storage facilities have to be indicated for controls. • First processors are also subject to registration requirements as well as to ad hoc licensing. To obtain a license, operators have to demonstrate technological capacity and appropriate processing and storage facilities. Additionally, they have to submit processing programs, periodical production reports, details on the facilities used and financial accounts statements etc., to the public authority. • Manufacturing is subject to licensing from the Council of Ministers. In addition to technical, professional and economic capacity requirements, any person who produces, imports or recycles machines for manufacturing tobacco products is subject to obligatory registration. These persons should keep records and report on a monthly basis all the sales of such machines. • Based on the above, it is prohibited to sell raw tobacco to individuals or, in general, to any unregistered entity. Registered entities have to report all tobacco products grown, processed and traded, both ex-ante (planned) and ex-post (actual). • Fines for illegally possession of raw tobacco ranges from 50 up to 5,000 BGN.
Greece	• Tobacco growers and first processors are subject to mandatory registration.[324] First, processing industries have to obtain a license to buy, process, transport and deliver raw tobacco within the EU or to export it to third countries. • Tobacco contracts are registered with the Agricultural Subsidies Payment Agency. • The revision of the customs code in force since August 2020 requires all raw tobacco players (processors, holders, importers, wholesalers etc.) to obtain a license from Greek customs. Licenses are recorded in the electronic Tobacco Supply Chain Registry (EKMEA), and operators are supplied with a unique identifier that they have to use for all transactions. • On a quarterly basis, licensed players have to submit to customs a detailed list of the transactions made, with information on products, entities involved etc. Audits are carried out periodically, and irregularities are subject to penalties from €500 to €15.000 per infringement.

[324] Growers are required to register in the "National Registry of Agricultural Cooperative Organisations and Inter-Professional Organisations"; first processors must register with "Unified Registry of Merchants of Agricultural Products, of Provisions and of Inputs".

	• Additional due diligence obligations have been adopted for licensed processors, manufacturers, wholesalers and warehouse keepers in the framework of renewed anti-fraud national policies.[325] In particular: ○ the obligation of identification of suppliers/customers; ○ monitoring and recording of all the liable person's transactions; ○ monitoring of raw tobacco processing and manufacturing activities to identify unusual or suspicious activities; ○ an electronic submission of transactions and customers/suppliers involved to the competent anti-smuggling agency (SEK).
Croatia	• The agricultural legislation imposes registering obligations to all growers and first processors. The raw tobacco measures introduced an additional requirement: any subjects who intend to hold, store, trade or otherwise dispose raw tobacco must also obtain a special authorisation. Registered processors, manufacturers, warehouse-keepers and carriers are exempted from this provision. • The mechanism is intended as a deterrent for intermediaries and other raw tobacco dealers outside of the standard supply chain: special authorisation-holders are required to lodge a financial guarantee, to comply with detailed record-keeping obligations, and can be subject to additional controls. As of today, nobody applied for a special authorisation. • Tobacco growers can produce the tobacco leaf only based on written tobacco production contracts with the registered first processor. Any possession of tobacco without being registered is illegal. At the end of the season, the first processor must communicate to the competent Paying Agency data on the volume of tobacco contracted and actually purchased from farmers. • The 2015 amendment of the Excise duty Act also introduced measures for monitoring the movements of raw tobacco to / from and through Croatia. In particular: ○ Any inward/outward movement has to be notified via email to Customs competent office (ELO) no less than 24h prior to the entry of tobacco in the territory of Croatia. The notification is made through a specific form (O-PD), containing the details of the consignee, the consignor, the carrier, the product and the intended use. Only authorised manufacturers are excluded from this obligation. ○ The carrier must notify transits through the territory of Croatia of raw tobacco (under EU free circulation) with the same procedure described above (the requested form is slightly different). ○ The import of raw tobacco is subject to the special authorisation described above. In importing under VAT exemption for transportation to another Member State (CP42 regime), an additional obligation to notify customs is imposed.
Czechia	• In Czechia, there are no tobacco growing and first processing activities, so there is no relevant agricultural scheme in place. • Handling raw tobacco in the country requires to be registered with the tax administration. The applicant must satisfy a set of economic and eligibility criteria, and to provide a security deposit of CZK 20 million (EUR 0.8 million), which can be reduced to CZK 10 million (EUR 0.4 million) after 3 years, if specific reliability and economic stability conditions are met. At present, there are only two operators registered under the raw tobacco scheme. Authorised manufacturers and tax warehouse keepers are exempted from registration, as they are already subject to the harmonised excise goods regime. • All subjects handling tobacco must inform the tax administrator of all raw tobacco receiving / dispatching events. The notification must be sent electronically between 24 and 72 hours before the movement. A standard form has to be used, which indicates the identity of the buyer/seller, the quantity of tobacco, the intended use, the place of storage, and the carrier. There is also an obligation to use a standard document for transporting raw tobacco in the country. • Infringements are subject to an administrative penalty of up to CZK 20 million (EUR 0.8 million). Depending on how serious the infringement is, the authorities can

[325] In Greek: Ministerial Decisions ΔΣΤΕΠ Δ 1075428 ΕΞ2018/16-05-2018 and ΔΣΤΕΠ Δ 1121416 ΕΞ 2018.

	withdraw the authorisation to trade in raw tobacco. Repeated serious infringements can be prosecuted as a criminal offence.
Hungary	• In Hungary, all economic operators of the raw tobacco supply chain - including farmers, producer's organisations, purchasers/merchants, first processors, exporters etc. - have to register with the Hungarian Tax and Customs Authority. It is prohibited to hold / trade tobacco without being registered. • The excise penalty for the possession of tobacco by unregistered entities is of HUF 100,000 per Kg (EUR 277). • A farmer can grow tobacco only if he/she has a valid growing contract with the Producers' Organisation and/or with a first purchaser/processor company (trilateral contracts involving farmers, Producer Organisation and merchants are largely used). First purchaser/processors have to provide to the authority the list of contracted farmers, the yield estimation, the start/end date of the purchasing season, and the volume purchased, including details on rejected cartons sent back to farmers (growers will have to inform the authority about the destruction or storage of returned cartons).
Poland	• Only farmers registered in KOWR (State Agency of Supporting of Agriculture) can legally grow tobacco in Poland. Growers have to declare in advance the details of forthcoming crops: total hectares, areas where the tobacco is grown/ stored / dried etc. Movement between declared locations during the season does not require registration or reporting. When the product is delivered to the buyer (processor etc.), a delivery note must be issued. • The KOWR is responsible for checks. At least 5%-10% of growers are inspected yearly. KOWR controls also the accounts for the previous year and the current year crop. Sale to unregistered operators or possession of undeclared stocks is subject to a fine of PLN 504 (EUR 109) per kg. Unjustified movements (outside of the logical routes connecting declared production/storage locations) can also be sanctioned. Cultivation trespassing the declared extension and/or location must be destroyed. • Only authorised parties (AP) can trade, transform, and move raw tobacco in Poland without paying excise duties. AP can be: ○ Producers Organisations - who buy tobacco from their members and sell it to other AP in Poland. Initially, Producers Organisations were required to have at least 50 members, totalling 180 tons of raw tobacco. A recent amendment of the Act on Excise Duty has lowered the threshold to at least 10 members.[326] ○ Intermediaries - who buy tobacco from farmers or organisations, process it and/or sell it to other AP or move it outside of Poland. The conditions to register as an intermediary include lodging a guarantee equal to PLN 504 (EUR 109) / kg (and no less than PLN 2 million (EUR 0.4 million)) that can be reduced to PLN 1 million (EUR 0.2 million) / ton under special conditions. Intermediaries must have an accurate accounting and electronic warehousing system in place, and all storage locations must be notified to the authority. ○ Authorised manufacturers – who buy tobacco from the above sources and transform it within a tax warehouse and/or move it outside of Poland. • Intermediaries have to report monthly (to the Min. of Agriculture) all green tobacco purchases (per type – volume and av. price). • Any quantity of tobacco sold to a non-authorised party is subject to an excise rate of PLN 504 / kg (EUR 109). Infringements can lead to immediate removal from the register of authorised parties. Periodical tax audits of AP – e.g. cross-checking the invoices, electronic systems etc., are envisaged. • Movements of tobacco are controlled through the SENT system (system of electronic tracking), which involves: ○ Prior registration of the transport on an electronic platform. The sender has to indicate the vehicle's plate, driver's credentials, destination and routing. The SENT generates an electronic "key" (code) that the driver has to provide in case of road inspections.

[326] From a formal perspective, rules and obligations do not change, but according to some stakeholder this revision weakens a bit the system because "*it is much easier to put together 10 dishonest tobacco growers than 50*." This revision will require the administration to pay particular attention to and monitor newly formed organisations trading in raw tobacco.

	○ GPS tracing of the vehicle. • There are two exceptions to the use of SENT for the movements of raw tobacco: ○ Growers' deliveries of leaf tobacco to the AP. This is subject to a delivery note that specifies day, time, place of delivery etc. Some stakeholders observe that this derogation can create opportunities for abuse. ○ Intra-company movements (i.e. between two facilities owned by the same AP). Also this derogation is considered as a possible weakness of a system that is otherwise much controlled.
Italy	• Tobacco growing and first processing are highly regulated but without a formal authorisation. The raw tobacco regulation in the country still applies within the framework of CAP management for recognised farmers entitled to single payment support. So, any farmer or operator outside of the Single Farm Payment (SFP) system would be, in theory, unregulated, although this possibility is deemed far from market realities. Tobacco cultivation in any farm receiving aid under the single payment system is automatically subject to administrative and commercialization controls. • Growers must be registered in the AGEA IT system. Tobacco growing is conditionally allowed for SFP purposes upon the existence of registered contracts established with authorised first processors or directly with the tobacco manufacturing companies active in the country, who can delegate a first processor to act on their behalf. • According to an old 1970 Decree, all equipment detained for tobacco first processing should also be notified to customs. The level of enforcement is unclear, particularly after the first processors' sites lost their fiscal warehouse status with the Mc Sherry CAP reform in 1992. Equipment was also declared to AGEA for authorisation purposes. • Sale from farmers to private consumers outside of registered contracts is not permitted. Sanctions for farmers are represented by the loss of a share or of the entire single payment support they would be entitled to receive. • First processors (currently 14 are registered into the system, plus one manufacturer without first processing capacity who directly contracts farmers) are subject to authorisation regime and controls. Moreover, they have to keep a register of operations and notify AGEA controllers of any movement of tobacco, including imports of raw tobacco into the country for first processing. Once conditioned and packaged, sales or exports of loose raw dried tobacco is a free activity, and at the moment there is no requirement to demonstrate that the buyer is a manufacturer, a tobacco trader or an otherwise authorised operator. • Since the EU Regulation for the Common Market Organisation of Tobacco was discontinued, Italy decided to continue the underlying raw tobacco control system by means of a voluntary self-regulation mechanism: the *Accordo Professionale Tabacco*. All tobacco growers have been grouped into eight different producers' organisations (OP), which undersign a multiannual agreement with First Processors' Associations. The contents of this agreement are then made mandatory on all subjects operating under the SFP system, irrespective of their being members of an OP or not, through a Ministerial Act. The agreement control mechanisms are the same as with the old CMO system and are still performed by *Ageacontrol*, a public company, but now on behalf of producers' associations who bear related costs. The other notable difference is that while infringements of the CMO Regulation triggered the recall of all EAGF financial support, infringements of the agreement are subject to the milder sanctions of the OP Regulation. Seizures of products are not possible either.
Spain	• In Spain, all cultivation contracts are nationally registered (agricultural census, volumes and commercial price / quality grades), and single farmer cultivation contracts are allowed. Actually, there is no register for growers or first processing companies. Only manufacturers must be registered. • Currently, there is no specific controls system or ad hoc sanctions related to cultivation contracts compliance. Only general laws apply. However at the local level, steps are reportedly being taken to enact regulation regarding tobacco's traceability to fight illicit trade. • The Spanish project of law on fiscal frauds and raw tobacco circulation would introduce some control measures and specific obligations for operators, namely: ○ A complete ban on the retail sale of raw tobacco directly to consumer (in Spain, and especially in the Extremadura region where direct, 'informal' sales to consumers are fairly developed).

	○ A Register of Raw Tobacco Leaf Operators (RRLO) will be created under the aegis of the State Tax Administration. Applicants must comply with specific criteria and indicate establishments and storage facilities for controls. Operators must have a computerised accounting system recording of all purchase / sale and movements of raw tobacco from, to and within Spain. The recording system must include detailed data on the date of movement, the quantity of product, the identification of the supplier or customer, the owner of the product, the recipient of shipments, means of transport, place of delivery, and the circulation document. ○ All movements of raw tobacco through the Spanish territory (including cross-border movements) are subject to: (a) prior notification to the Tax Administration at least 24h ahead of transport, with detailed description of products, players involved and route; (b) a registration document (carrying a readable secure verification code) that must accompany the transport, demonstrating that such notification was made. Recipients of raw tobacco or intermediate storage keepers must verify and communicate any discrepancy or anomaly to the administration within 24h of the receipts. ○ The Law defines all types of possible infringements and set up a sanctioning regime. Depending on the severity of the offence, the fine can range from EUR 10 to EUR 40 per Kg of products, with minima ranging from EUR 2,500 to EUR 5,000. For some severe violations, fixed sanctions of EUR 50,000 – 100,000 are envisaged. Ancillary sanctions involve the confiscation and the destruction of the products.
Sweden	• The new excise duties on "other forms of tobacco" entered into force in August 2021. So the obligations and mechanisms described below are not yet applicable at the time of writing this Report. • In a nutshell, the amendment extends to "other forms of tobacco" (namely raw tobacco) the same rules and provisions that Sweden currently apply to snus and chewing tobacco. Namely: (a) the levying of an excise duty; (b) obligations to regularly file tax declarations; (d) stock-holding obligations; (e) movement tracking obligations. • In addition to tax warehouse keepers (*upplagshavare*), other forms of tobacco could be handled by 'stock-keepers' (*lagerhållare*), which is the national term to designate operators involved in import/production of non-harmonised excisable tobacco/nicotine product (like snus and chewing tobacco). There is no obligation to register as a stock-keeper, and operators may operate on a transactional basis (paying excise duties on any single import). However, there is a clear incentive to register as stock-keepers by established players, because it allows to avoid double taxation: firstly, when the raw tobacco is imported; and secondly when it is transformed and released for consumption as e.g. snus. • It is important to highlight that the main rationale behind this legislation was to address and overcome the uncertainties surrounding the classification of borderline tobacco imported into the country. This issue emerged clearly after the CJEU *EkoTabak* ruling, but Sweden had also a major judicial case in this area, the *Prillan* case.[327] So to remove the root-cause of uncertainties (and circumvention attempts), the decision was taken to remove distinction between taxable and non-taxable goods and apply excise duties on all products. This approach would facilitate legitimate players, who are already registered as stock-keepers and can compensate the tax on inputs with the tax already due on final products. Conversely, it eliminates incentives for rogue players to try to import untaxed tobacco and sell it directly to consumers avoiding taxes. • It should be noted that new rules do not prohibit unregistered players – including individuals - to buy and sell raw tobacco, but the transaction would be subject to the same excise duty as on regular products, so it is expected that consumers would prefer buying regular products.

[327] In December 2016, following an inspection on part of the customs authority and the subsequent smoking test, the wholesale company Prillan (annual turnover of around SEK 50 million) received notice of having to pay SEK 100 million in excise duties for smoking tobacco since the smoking test showed that the tobacco refuse/waste imported by the company could indeed be smoked.

France	• France was not among MS selected for the 'raw tobacco' case study, as no system is currently in place. However, interviewed stakeholders reported that a pilot system is being implemented in the country, which is worth briefly outlining. The system is being developed by supply chain operators in agreement with French customs and aims at overcoming the administrative issues that emerged with transport of processed tobacco to and across the country. Since few years France has adopted a strict interpretation of excisability criteria. As a result of this, shipments of processed tobacco started being regularly stopped and excise duties being claimed. • The system being introduced envisages that all transports of raw unmanufactured tobacco into/out of and across France will need to carry a special delivery note that allows customs to check whether the goods are part of genuine supply chain. To prevent falsification and abuse, the delivery note would have a unique identifier that customs officers and police can immediately check via a QR code printed on the document. • Information that will need to be entered by operators includes: description of the goods and value, name of the shipping and name of the receiving company, an auditable number of the delivery note, purpose of the delivery, a contact that customs can reach during the inspection, etc. • All the operators participating to the measure will be included in a special register issued by the French customs authorities. • An ex-ante mechanism for the notification of movement to the authorities is also envisaged (not yet developed).

➢ **TAXATION**

Croatia	The Croatian policy on raw tobacco aims at improving controls and preventing frauds. In this sense, the taxation of raw tobacco is essentially a punitive measure for sanctioning infringements of the monitoring and control schemes. The excise Law establishes that unlawful production, transformation, storage, trade etc. of raw tobacco is sanctioned with the payment of an excise duty at the same rate applied to fine-cut tobacco.
Czechia	The rate applied to raw tobacco is the same as that applied to smoking tobacco (there is no distinction between FCT and other smoking tobacco in Czechia). Excisability applies only to non-standard circumstances, i.e.: • where tobacco is used for a purpose other than the production of tobacco products and related deliveries of raw tobacco and outward movements, or • where the tobacco holder cannot prove the origin and purpose of tobacco use and identify the recipient. In other words, raw tobacco moved between registered processors, traders and manufacturers is not subject to the tax payment.
Lithuania	Lithuania introduced raw tobacco in the national excise duty legislation in 2019.[328] The tax rate applied at the time of the legislation was EUR 68.6 per Kg, i.e. equal to smoking tobacco (Lithuania applies the same rate to FCT and OST). The scope of the tax covers raw tobacco grown in Lithuania, imported, or moved from another MS. Tobacco losses, except natural weight losses, are also taxed within the limits established by the authority. Liable persons are involved in producing, acquiring, importing and moving raw tobacco in the country. Tax exemptions are envisaged in case of: • Export / dispatch to another MS

[328]Amendments to the excise duty act of 9 July 2019. Source: https://webcache.googleusercontent.com/search?q=cache:Y9SQ5sOogpQJ:https://e-seimas.lrs.lt/rs/legalact/TAD/6c9fa5a0a6ee11e9aab6d8dd69c6da66/format/ISO_PDF/+&cd=1&hl=it&ct=clnk&gl=it&client=firefox-b-d

	• Raw tobacco used for manufacturing of excise goods • Raw tobacco grown for personal use (criteria established by the law) • Other exemptions *ad personam*, extended by the authority A VAT-like deduction mechanism is envisaged to avoid the risk of 'double taxation'. The amount of tax paid on intermediate products is deducted from the amount due on final manufactured products.
Poland	In Poland, raw tobacco can be legally sold directly to individuals. However, direct sales are subject to the payment of 252.25 PLN (EUR 55) per kg, and the product must be sealed and carry a tax stamp. The excise rate roughly corresponds to the rate applied to smoking tobacco (precise equivalence cannot be done because smoking tobacco is subject to a mixed excise structure). Sales of raw tobacco not carrying tax stamps, as well as any other transactions infringing the obligations of the raw tobacco fiscal legislation described above, imply the application of a punitive rate of 504.50 PLN (EUR 110) per Kg. Evidently, under these conditions there is limited rationale for direct sales of raw tobacco to individuals. Since its establishment in 2013, the aggregated raw tobacco tax yield has been of less than EUR 1,500 (EUR 260 in 2020). It is presumed that the near totality of tax yield relates to sanctions.
Sweden	The amendment being introduced in the legislation would impose on "other forms of tobacco" the same excise duty rate currently applied to smoking tobacco: SEK 1,957 (EUR 191) / Kg. The expected impact on the price of "other forms of tobacco" would be an increase of 900%. This is in line with the intended effects of the legislation, which is to deter consumer to use non-duty paid 'junk tobacco'.

- **REPORTED EFFECTS AND CONSTRAINTS**

Czechia	The rationale behind the Czech legislation on raw tobacco relates to the soaring issue of raw tobacco diverted to illicit trade or sold to consumers in bulk evading excise duty. Before introducing the 2015 amendment, raw tobacco could be freely sold, purchased and moved in the country. This "lenient" legislation attracted unlawful players from other MS where stricter measures were already in place. The introduction of the raw tobacco legislation significantly helped to reduce illicit manufacturing in the country. The legislation provided competent authorities with an effective tool to distinguish between tobacco moved for lawful or (potentially) unlawful purposes. The system is however not perfect because cross-border movements remain challenging to control. It is still difficult to detect and seize raw tobacco that enters illegally in the country to supply clandestine factories. Various illicit manufacturing sites have been dismantled even after the adoption of the raw tobacco legislation. They were operating close to the German border, and the production was presumably addressing the German market. Tobacco seized originated in Poland and Bulgaria, but no laboratory tests were carried out to determine if it was actually grown there.
Croatia	The national control measures for raw tobacco were reportedly effective in addressing illicit trade activities in the country, but they could not entirely eliminate it. Previously, the supply chain of locally-grown tobacco was poorly controlled, so farmers had an economic incentive to produce and sell part of their production on the illegal market, where prices were much higher than the price paid by authorised processors/manufacturers. Various intermediaries were seemingly involved, which de facto disappeared after the introduction of the obligation to obtain a special authorisation obligation.

	Still, some illicit activities are registered, in particular: ○ In connection with cross-border movements, which remain difficult to control (e.g. seizures reported in January 2021 with products possibly originating in Germany and Greece) ○ As regards 'bulk' raw tobacco sold on retail. In this case, ant-smuggling from non-EU neighbouring countries (BiH, Serbia) seem the prevailing modus operandi.
Bulgaria	In previous decades, tobacco growing under the umbrella of Bulgartabac was an essential part of the national economy. About ten years ago, there were around 45,000 small tobacco-growing farms in the country, while today, there are roughly 6,000. In most cases, they consist of small-scale family-owned farms growing oriental varieties in the mountain regions, with limited other sources of income. Historically, small-scale selling of bulk tobacco outside of the legitimate supply chain was a socially accepted activity. This phenomenon is difficult to control, and data from the Registry of tobacco growers do not always correspond to reality. The registration and the other obligation adopted in Bulgaria to secure the supply chain are expected to mitigate the problem. To enhance the control system's effectiveness, it would be necessary to extend and harmonise the registration's obligations to all EU countries.
Poland	The number of registered intermediaries declined significantly over time after the introduction of the obligation to lodge a financial guarantee in 2015. In just one year they dropped from 158 to 50. In 2020, the number of authorised parties (AP) was 13. The raw tobacco legislation makes it not profitable for growers to sell raw tobacco directly to consumers - they would have to register and set up an excise duty account and, most importantly, they would have to provide excise duty deposits. Of course, it cannot be excluded that some growers still sell raw tobacco without fulfilling their excise duty obligations. But the rules introduced have clearly mitigated this type of abuse compared to the past. The initial definition of raw tobacco (which distinguished the green leaf from the dried leaf) created significant interpretation issues. So it was abandoned and replaced with a more comprehensive definition. According to stakeholders the current definition works well. Reportedly, a parallel supply-chain developed across the border, first in Czechia, then – when Czechia introduced raw tobacco legislation – in Germany. Various trading companies popped up in East Germany, which could be involved in the purchase of tobacco from Poland (and other countries) and, possibly, in forwarding it to other agents who supply clandestine factories across Europe. It is possible that part of this tobacco re-enters illegally (i.e. outside of the SENT system) in Poland, where there still are skilled workers and machinery for the production of illicit cigarettes.
Sweden	It is too early to draw any conclusion on the new rules. Based on the memorandum document supporting the legal amendment the following impacts can be expected: • Significant reduction / elimination of issues with the classification of 'borderline' tobacco as raw or excisable tobacco. By introducing a taxation of other forms of tobacco, the regulatory framework is expected to become clearer and easier to apply to serious market actors. It would also remove the risk of double taxation which could occur in some situation (such as the manufacturing of snus – i.e. until now, only warehouse keepers, but not stock keepers, have been able to reclaim the tax paid for tobacco that is classified as smoking tobacco if it is used for snus production). • The price increase would likely lead consumption of other forms of tobacco to be substituted by the consumption of other types of excisable tobacco or that consumers will reduce their consumption. The memorandum estimates that the consumption of other forms of tobacco and smoking tobacco for which excise duty has not been paid amount to around 50 tonnes per year. Should the excise duty on other forms of tobacco be introduced, the memo further estimates that 5% of the non-excisable consumption would switch to the consumption of excisable other forms of tobacco (primarily for artisanal home-made production of snus). This would lead to an increase in public

	revenues of some SEK 5.4 million per year. Furthermore, with an estimated 50% of the non-excisable consumption switching to the consumption of other types of excisable tobacco (half snus and half smoking tobacco or cigarettes), should the excise duty on other forms of tobacco be introduced, there would be an increase in excise duty revenues also from other types of excisable tobacco. In total, the net increase in tobacco-related excise duty revenues following the introduction of excise duty also on other forms of tobacco is estimated at roughly SEK 34.9 million (EUR 3.4 million) per year. This represents only a very small share (around 0.3%) of the total revenue from the excise duty on tobacco (which has been more or less stable at around SEK 11-12 billion (EUR 1.1 – 1.2 bn) over the past 10 years).[329] • The introduction of excise duty on other forms of tobacco would increase the workload of the tax authority and the customs authority, but this increase is facilitated by already established procedures. The ambiguities around the classifications of different types of tobacco should diminish following the clarified legal situation and the significantly reduced financial incentive to classify smoking tobacco as other forms of tobacco. It is hence expected that the influx of cases to be addressed by administrative courts will be limited. The new rules have raised concern on raw tobacco vendors from other MS, who fear that this system may unintendedly translate into competitive advantages for foreign cheaper tobacco, as it would impose additional administrative costs on EU legitimate operators. Secondly, concerns were raised regarding the fact that raw tobacco can still be sold/purchased by anyone. This creates a loophole that rogue operators may exploit to continue selling untaxed raw tobacco to final customers (including via e-commerce). According to some economic operators it is not clear why the law still allows to sell raw tobacco to the final consumer, being the raw tobacco an intermediate and not a final good.
Italy	• No instance of Italian raw tobacco used for illicit manufacturing either domestically or abroad has been reported. When illicit manufacturing was discovered in the country, the tobacco used appeared apparently to originate from Brazil, as also informally confirmed by means of laboratory tests. Some industry stakeholders believe that this raw tobacco enters the country from abroad disguised as other vegetable products. The regulation of raw tobacco was initially adopted to tackle SFP fraud and misuse of EAGF funds when tobacco was a recipient of very high decoupled aid under the tobacco CMO. The system has been largely kept in place after decoupling was discontinued to keep the raw tobacco production chain under administrative controls and monitor production. This method was indirectly considered also as a valuable tool to prevent illicit manufacturing and diversion of local tobacco products to illicit channels. Nevertheless, raw tobacco sources from domestic farming are not reported as a particular cause of concern in this respect, and no major case has been reportedly detected yet. • A pilot satellite-surveillance project carried out by industry stakeholders in three areas of intensive tobacco growing has demonstrated that discrepancies between the tobacco surface actually cultivated and those reported to AGEA are minimal and usually within a tolerance range of 3%, with one notable exception in a municipality where undeclared tobacco reached a total 40 ha, or so. This operation, however, reportedly depended on the outdated official cadastre system used for production declaration's purposes that underestimated the actual surface there. • Enforcement of the excise system at the farm level appears poorly feasible due to a large number of producers, the small size of concerned farms, and the average old age of producers themselves. This leads many to believe that the current administrative system is the best practice, or close to be, at the farm level, since it could also be eventually complemented by more extended recourse to satellite controls.

E.3.4 Summary of the key findings

[329] https://www.esv.se/publicerat/publikationer/2020/tidsserier-statens-budget-m.m.-2019/

In response to the soaring problem of raw tobacco diverted to illicit trade, various Member States have introduced legal measures to enhance the control of the raw tobacco supply chain. In most cases, these measures have been adopted under excise duty legislation, and in various cases they complemented pre-existing frameworks, established in connection to the now discontinued CMO for tobacco.

Regarding the definition of raw tobacco, MS who introduced raw tobacco in the excise legislation have generally adopted catch-all definitions covering any tobacco which is not a live plant or a manufactured product. Where distinction is made e.g. between leaf and processed tobacco, this typically relates to agricultural policy frameworks and registration schemes.

With few exceptions, the frameworks reviewed have the primary objective of differentiating between the legitimate supply chain and the 'grey area' where uncontrolled trade of raw tobacco was deemed conducive to diversion. Therefore, the obligations to register / obtain authorisation were introduced for supply chain players, with sometimes distinct registries and requirements applied to different entities i.e. growers, processors and traders. Final manufacturers are generally excluded, as they are already subject to the harmonised excise system rules.

At the grower's level, various other monitoring obligations are in place. First and foremost, obligations to sell their products to authorised processors/purchasers through preliminary written contracts that are registered by or otherwise made available to public authorities (including ad hoc control agencies). Other obligations adopted in MS include communication to authorities of cultivation areas and facilities and ex-post reporting of crops and sales. In some countries, seeds must be certified. Pilot schemes for geo-localisation and control of cultivation areas have been implemented in some MS.

The buyers of leaf tobacco (unprocessed crops) are also subject to registration / licensing. Sometimes a distinction is made between the requirements for on-site processing facilities and those applying to 'first purchasers', i.e. operators that buy tobacco in one MS and send it to another MS for processing. Obligations can involve, again, record-keeping / reporting on purchase/sale and storage of raw tobacco (ex-ante: i.e. contracts made with growers, and ex-post: i.e. actual tobacco purchased/processed). In some countries, a financial guarantee is requested to operators at this stage (in some cases applied only to traders but not to on-site processors).

In most MS reviewed, movements of raw tobacco are subject to notification obligations to the competent authorities. Notification is required ahead of the movement (e.g. from 24 to 72 hours in advance) and the proof of notification has to be carried during transport. The notification should contain all the details on carrier, consignor, consignee, goods transported, routes etc. In some cases, this is connected to an IT platform that generates an electronic 'key' associated with the movement, which can be verified during road controls. The most sophisticated scheme also involves the GPS-tracking of the vehicle declared for the transport of raw tobacco. Some countries are developing pilot schemes to endow transport documents with electronically-readable (through QR codes) unique identifiers.

Taxation is generally applied as a deterrent for trading raw tobacco outside of the recognised supply chain. In countries that have established the excisability of raw tobacco, a tax rate is typically the rate of smoking tobacco which is levied on any irregular storage or movement of raw tobacco. Only in Sweden the tax is applied on raw tobacco tout court, but as there is no tobacco-growing/processing in the country, this has limited effects on the domestic supply chain.

The raw tobacco control regimes adopted by various MS involve sanctions for irregularities, which are modulated by severity, from minor administrative fines to more sizeable penalties – seizure, authorisation suspension, excise payments and, in certain circumstances, criminal charges[330].

It is generally acknowledged that these regimes contributed to securing the supply chain, eliminating or resizing the 'grey area' where diversion to illicit trade was deemed to occur. Favourable registration / licensing of legitimate operators, the prohibition against selling to other players, and prior notification of movements to the authorities are the main building blocks of this policy and the critical enabler of their success. At the same time, MS recognise that the strictly national scope of these regimes is a major limitation to their effectiveness. Cross-border movements of raw tobacco cannot be really controlled due to the absence of a centralised registry of authorised operators, and the absence of interfaces between national systems. So, diversion can still occur when a shipment exits from the control system of one MS and enters into a country where such controls are not in place.

[330] In other countries the sanctions of the single payment system apply.

E.4 Heated tobacco products

E.4.1 Overview of the policy issue

Heated tobacco products (HTP) were not yet on the market when the Directive was designed. Hence, these products are not explicitly mentioned in the legal text, and their status remains uncertain. In the past five years, the commercialisation of HTP products has accelerated both in the EU and globally. The four leading TTC – i.e. PMI, BAT, JTI and IB – have developed their heated products, and other players are emerging at the international level (Korean KT&G and Chinese CNCT).

With the increasing penetration of HTP in EU markets, MS have developed ***different views on the excise regime applicable*** to them. In essence, two main approaches are registered[331]:

- MS classifying HTP as a ***harmonised product*** – primarily, in the other smoking tobacco (OST) category – and taxing it consistently. At present, six MS have this approach in place. Reportedly, this classification was adopted primarily for a pragmatic reason: to have HTP moved (and controlled) under the EMCS system.
- MS that established an ***ad hoc non-harmonised category for HTP***. 16 MS overall have opted for this approach. Within this group, there are other differences in tax treatment. For instance, Italy has adopted a product-specific approach by establishing an equivalence with the time consumption of conventional cigarettes under the same puffing conditions. On the other hand, other countries (like PT and HR) apply de facto the same tax rate of OST, although HTP is formally not considered a harmonised product.

The results of the EA 2019 evaluation showed that MS are dissatisfied with the current situation because of the absence of a precise and uniform classification of HTP and the ensuing disparity of approaches affecting the market functioning and the excise administration. Specifically, the main problems registered are as follows:

- ***Legal and administrative uncertainty***. The differences of interpretation and approach may cause administrative issues in the cross-border movement of products, especially when these are moved across countries with different views on its inclusion in the EMCS system. Reportedly, ad hoc administrative arrangements had to be established on a case-by-case basis, to allow the circulation of HTP between certain MS.
- ***Single Market functioning***. The above situation can affect product circulation and commercialisation in the Single Market. Additionally, the lack of a proper monitoring system may reduce authorities' capacity to detect and prevent fraudulent cross-border trade and the emergence of 'borderline' products.
- ***Unintended effects on other products***. Some MS include HTP in harmonised categories, but this approach also presents downsides. Under this approach, tax authorities cannot distinguish between the regime applied to HTP from the regime applied e.g. to other OST, like pipe tobacco. But the optimal tax rate for HTP is not necessarily a suitable rate for pipe tobacco and vice versa, due to the specificities of the two products and the consumption patterns. So, whichever solution one MS adopts, one of the two sub-categories may result subject to a regime that was conceived for another product.

E.4.2 Market and demand trends

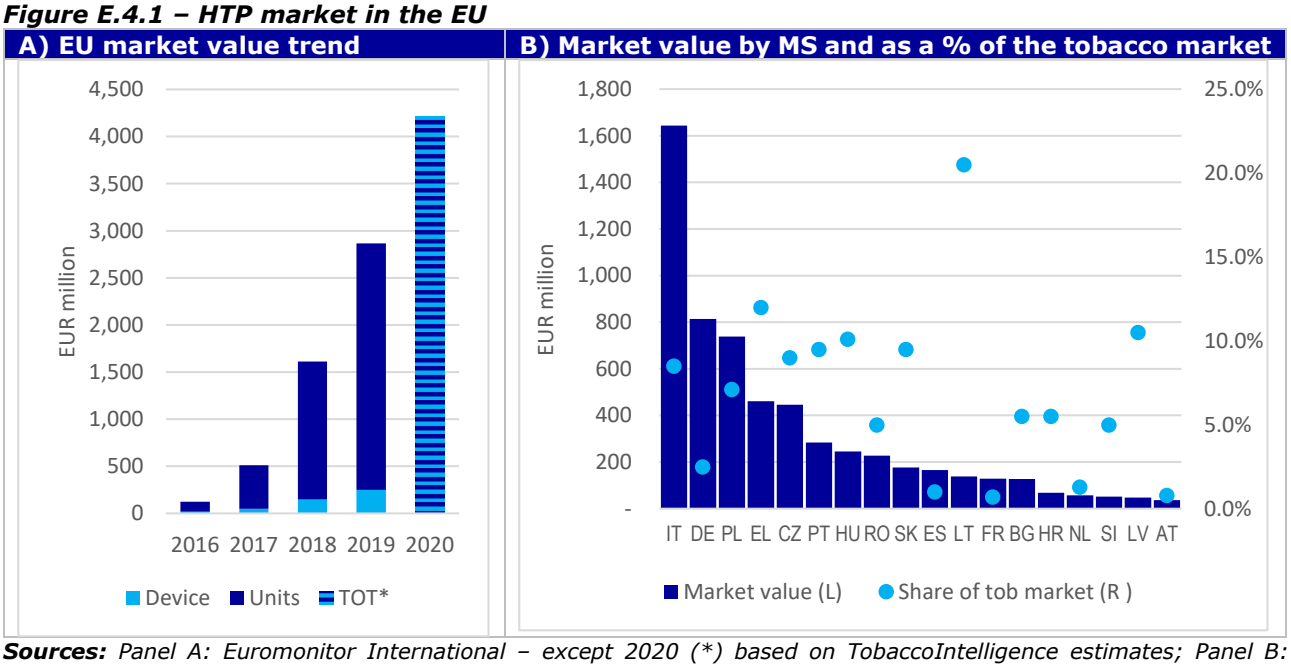
Since its first introduction to the EU markets[332], HTP sales have constantly been growing at a steep pace. The data reported in Figure E.4.1 require some clarification. Heated tobacco was

[331] A few MS where HTP is not commercialised have not taken any position in this respect (e.g. IE, FI and LU).
[332] This sentence refers to the products currently on the market. Previously, other types of HTP had been launched but did not succeed. Hence, they are no longer commercialised.

introduced progressively, firstly in some pilot cities of a few countries (IT and RO), then to more countries and larger areas. Therefore, part of the growth is explained by the expanded geographical availability of these products, and not only to consumer's uptake. At the country level, patterns differ. For instance, in IT, EL, PL and CZ a significant market penetration is recorded. Conversely, in FR, ES, NL and to some extent DE, these product have not really taken off.

Overall, it is estimated that HTP's market value in 2020 exceeded EUR 4.2 billion, i.e. surpassing e-cigarettes' market value and accounting for nearly 3% of the total tobacco market. Unlike e-cigarettes (see next Section), HTP devices represent a limited share of the total market value, around 10%.

Figure E.4.1 – HTP market in the EU

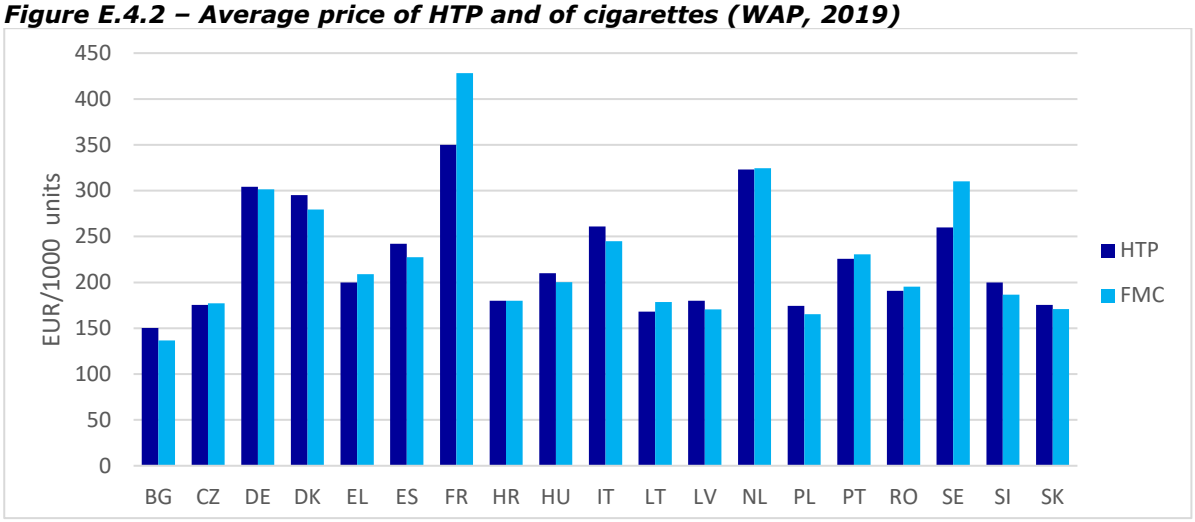


Sources: *Panel A: Euromonitor International – except 2020 (*) based on TobaccoIntelligence estimates; Panel B: TobaccoIntelligence.*

As Figure E.4.2 shows, the price level of HTP consumables is largely aligned with cigarettes' price. Where a difference is registered, it is generally limited (FR and SE being the only exceptions). In 12 out of 19 MS reviews, the price difference does not exceed +/-5%. The comparison is made with cigarettes' WAP. If low price cigarettes are considered, HTP products tend to be more expensive. Of course, different HTP brands are marketed at different prices. In Italy – which is the most mature market in the EU – five different products exist, with a price range from EUR 3.5 to EUR 5.0 per pack.

Price levels have been largely stable in recent years, with only moderate increases in some MS. In Italy, a decline in price levels was registered following a significant reduction in tax levels in 2019.

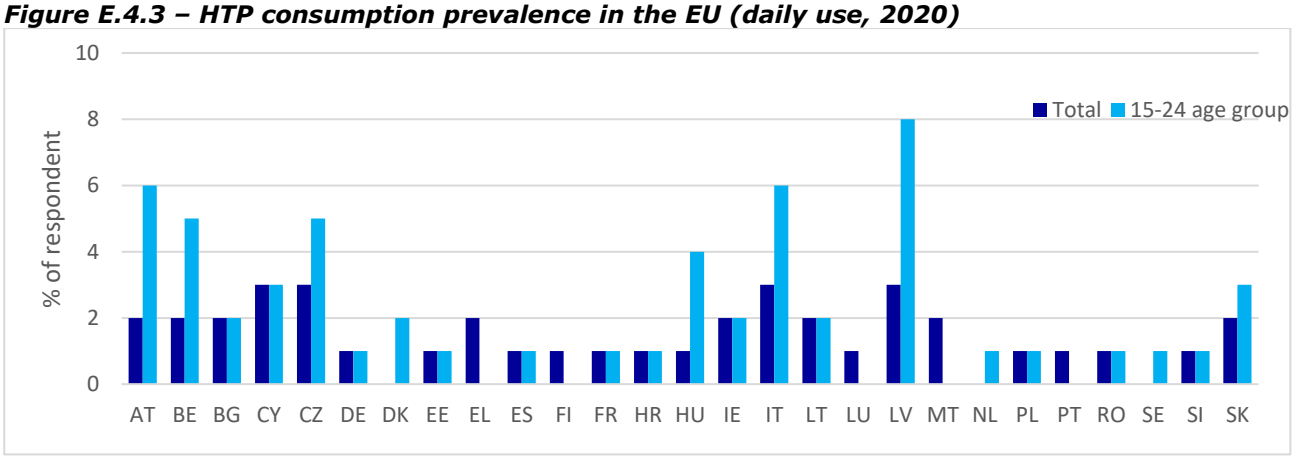
Figure E.4.2 – Average price of HTP and of cigarettes (WAP, 2019)



Source: *Euromonitor International (HTP), EDT (cigarettes' WAP)*

Overall, the total HTP users' population in the EU can be estimated at around 4.8 million. This figure is a rough average of the estimates collected through different sources, namely: (a) Euromonitor international (3.7); Ecigintelligence (5.0 million); and (c) Eurobarometer (5.7 million). As Figure E.4.3 shows, the prevalence varies across MS, but is generally comprised between 1% and 2%. Other sources provide partly different estimates, but they concur that the highest prevalence is found in CZ, EL, and Baltic countries. According to Eurobarometer's results, in at least seven MS the prevalence rate is higher among young people. However, figures have to be taken with caution because, in various countries, they are based on a limited sample of users (i.e. below 10-15 headcounts).

Figure E.4.3 – HTP consumption prevalence in the EU (daily use, 2020)



Source: *Eurobarometer 506*

HTP users are actually to a large extent (75%) dual users of both heated tobacco and regular cigarettes. The number of HTP units consumed per day is much lower than cigarettes, i.e. 5.8 units compared to 14.2 for cigarettes' smokers.[333] The dual use of HTP and e-cigarettes is poorly investigated. As discussed in Section E.5, the plateauing of the e-cigarettes market can be put in relation to the growth of HTP, but the market evidence is too limited to draw a strong inference. In some non-EU markets, survey data can provide additional insights in this respect[334]:

[333] Source: Eurobarometer 506
[334] Source: TobaccoIntelligence, iQos prevalence among vapers: US, UK and Canada, restricted publication.

- A survey conducted on nearly 1,000 e-cigarettes users in the UK showed that between 30% and 50% of respondents were not interested in trying HTP. The level of interest is higher among closed-system users (functionally more similar to HTP) and dual users, suggesting that this group even includes smokers looking for alternatives.
- The majority of e-cigarettes' users who tried HTP reported that they did not like it. Also in this case, among dual users more positive judgments are reported. Similar questions made among e-cigarettes consumers in USA and Canada had different outcomes, with most respondents (58% to 70%) providing a positive feedback on HTP.

E.4.3 Legal framework for HTP in MS

➢ DEFINITION OF HTP IN MEMBER STATES' TAX LEGISLATION

Member States where an ad hoc tax category for heated tobacco is in place have adopted substantially similar product definitions. Table E.4.1 below provides some excerpts from national legislations. In particular, it is interesting to highlight that all MS (except HU) make explicit reference to the absence of combustion or 'burning' in their definitions, and to the production of a vapour / aerosol as an output. In this sense, the product is defined not by intrinsic characteristics (except the obvious reference to tobacco) but by a specific modality of consumption. Unlike e-cigarettes' definitions (see Section E.5 below), in none of the national legislation reviewed, except Lithuania's, the use of an electronic heating device is mentioned.

Table E.4.1 – HTP ad hoc tax definition across Member States

Country	Excerpt from national legislation (non-official translation)
AT	*Tobacco for heating are tobacco products that are not suited to direct smoking, are not cigarettes or smoking tobacco under paragraphs 2 or 3, and are intended for consumption partially or wholly by being heated without the burning down of the tobacco and releasing an inhalable vapour.*
BG	*A "heated tobacco product" is a type of smokeless tobacco product in which the tobacco contained therein does not burn, and the use is made by heating it to produce an aerosol.*
CY	*[...] heated tobacco products: Products containing a blend of tobacco mixture, which produce aerosols through the heating of the mixture and not by combustion.*
CZ	*For the purpose of the tax on heated tobacco products, a heated tobacco product means a tobacco product which: a) contains tobacco, b) is intended for uses that do not involve (1) gradual combustion of tobacco, (2) nasal use, (3) chewing, and c) is not subject to the tax on tobacco products.*
DK	*As heated tobacco is considered: 1) tobacco as defined in section 2, which is intended to be inhaled and to produce steam without the use of a combustion process, and tobacco as defined in section 3, which is intended to be inhaled and to produce steam without the use of an incineration process.*
EL	*Heated tobacco is the manufacturing product containing tobacco and producing an aerosol through a heating and not burning process.*
HR	*For the purposes of this Act, taxable products are considered to be products destined for inhalation of vapour without combustion processes, which may be considered substitutes for tobacco products referred to in paragraph 1 [...] and shall include: Manufactured tobacco intended for heating (hereinafter referred to as the heated tobacco product)*
HU	*Products other than cigarette, cigar, cigarillo, smoking tobacco and liquids for e-cigarettes as defined by the excise act and defined as such by the Act XLII of 1999 on the Protection of Non-Smokers and Certain Regulations on the Consumption and Distribution of Tobacco Products // (Act on Protection of Non-Smokers: novel tobacco product categories: any tobacco product which does not belong to any of the following categories: cigarette, cigarette tobacco, pipe tobacco, waterpipe tobacco, cigar, cigarillo, chewing tobacco, tobacco product for sneezing or oral tobacco product, and which is distributed after 19 May 2014;)*
IT	*[...] combustion-free inhalation tobacco products; [...] smokeless tobacco products that may be consumed without combustion are considered to be inhalation tobacco products; [...] Products composed exclusively or partially of solid substances other than tobacco, which may be consumed without any combustion process, will be treated in the same way*

LT	*"heated tobacco products" means tobacco products, other than cigars and cigarillos, cigarettes and smoking tobacco, as defined in paragraphs 10, 11 and 27, which are prepared for consumption only in a particular electronic device in which the tobacco products are heated without burning them.*
LV	*[...] Heated tobacco is considered manufactured tobacco prepared for the delivery of nicotine-containing vapour without using the combustion process.*
PL	*[...] novel products - products that are:* *a) a mixture composed of tobacco or raw dried tobacco, (b) the mixture referred to in point (a) as well as containing a separate liquid for electronic cigarettes - other than the products referred to [...] which provide the aerosol without burning the mixture.*
PT	*[...] manufactured tobacco specially prepared to emit a vapour without combustion of the tobacco mixture contained therein is considered to be heated tobacco*
RO	*[...] heated tobacco products which work by heating tobacco sufficiently to emit an inhalable aerosol, without the combustion of the tobacco blend, falling within CN 2403 99 90*
SI	*Products intended for inhalation, without combustion, are used to inhale vapours through a mouthpiece or other components and contain: - manufactured tobacco intended for heating (hereinafter: heating tobacco), [...] the filler containing tobacco or liquid with nicotine is the taxable part of the product.*
SK	*The subject of the tax is also a tobacco product that is not consumed during the burning process, except chewing tobacco and snuff (hereinafter referred to as "smokeless tobacco product")*

Source: *EA 2019 (updated). Unofficial translation*

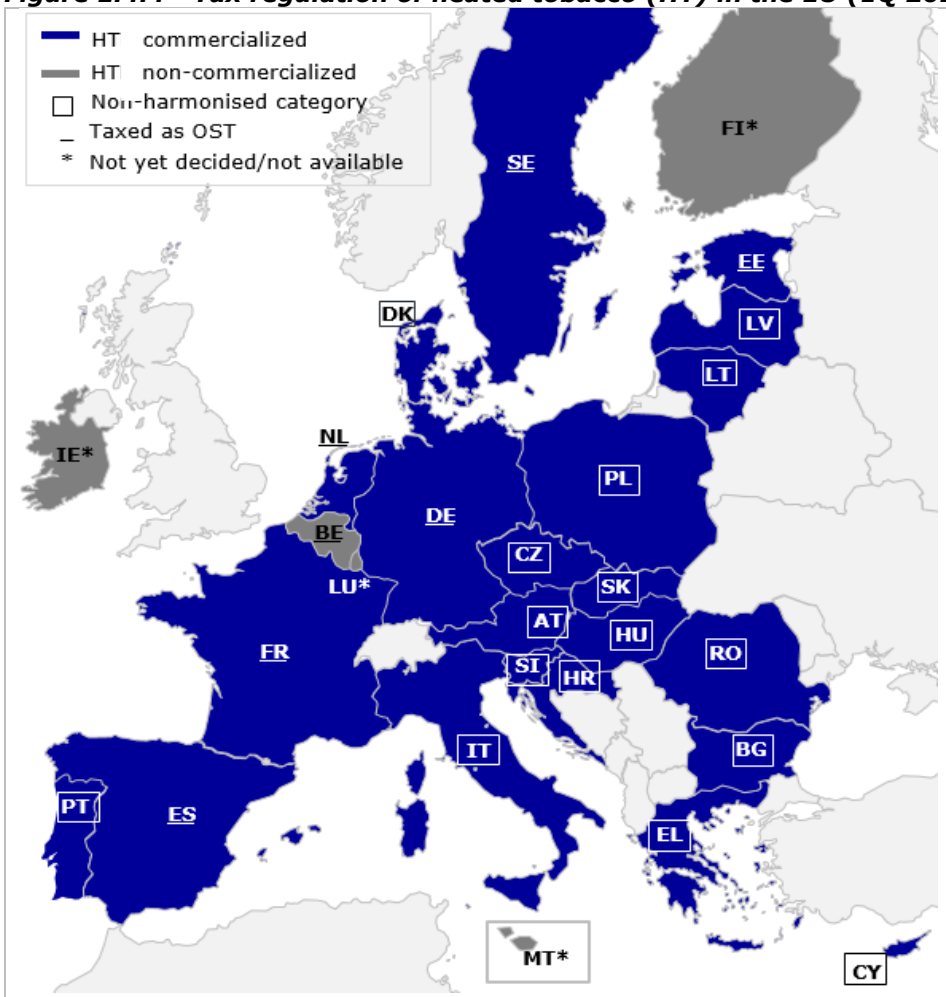
- **TAX STRUCTURES AND RATES ACROSS THE EU**

Figure E.4.4 below provides an overview of the tax regimes applied to HTP across EU countries. The diagram updates the information laid down in the EA 2019 study, including the most recent developments. In particular, the major changes registered include:

- HTP is now commercialised in some MS where these products were not present in 2019, namely SE, HU and BG. As a consequence, no tax regime has been enacted in these countries. HTP is absent only in a handful of EU markets, at present: IE, FI, BE, MT and LU.
- The majority of MS where the product is commercialised have established an ad hoc regime within the national excise legislation. In 12 countries, a specific tax per weight is applied. This is typically the same rate applied to FCT or OST. In PL and PT, an ad valorem component is levied. Hungary is the only country where the tax structure consists of a specific amount per unit. Italy is also a particular case, as the HTP tax is calculated as a percentage of the excise duty levied on cigarettes.
- The only MS where HTP is taxed as a harmonised product are ES, FR, DE, NL and SE. In all these countries, HTP is taxed as 'other smoking tobacco'. The only exception is Sweden, where it is taxed as cigarettes if it is presented in the form of sticks, while it is taxed as OST in any other case. Two countries (DK, LT) previously treating HTP as other smoking tobacco have recently introduced an ad hoc regime. Finally, Germany announced the introduction of a new regime from 2022 that will progressively align the taxation of HTP to cigarettes.[335]

[335] Tobacco Duty Modernisation Act (*Tabaksteuermodernisierungsgesetz*), adopted by the German Government in March 2021.

Figure E.4.4 - Tax regulation of heated tobacco (HT) in the EU (1Q 2020)



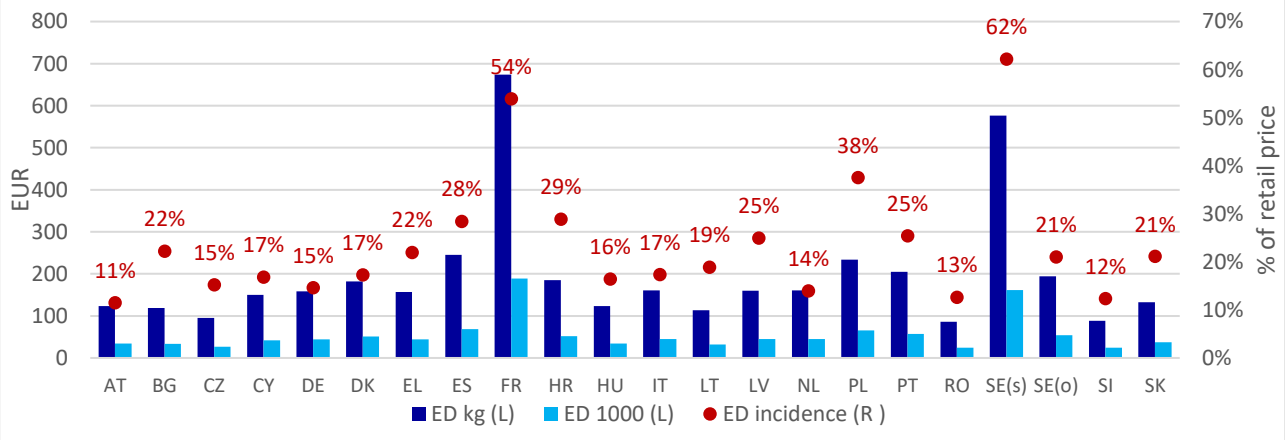
Non-harmonised category		Taxed as OST	
AT	€ 123/kg	**DE**	*Ad valorem* 13.13% of RSP and *specific* € 15.66/kg. Minimum Excise: €22/kg
BG	BGN 233/Kg (€ 119.1)	**EE**	€ 97.1/Kg
CY	€ 150/kg	**ES**	Ad valorem 28.4% of RSP. Minimum Excise € 22/Kg
CZ	CZK 2,460/Kg (€ 94.9)	**FR**	*Ad valorem* 51.4% of RSP and *specific* € 31.3/kg. Minimum Excise: € 135.2/kg
DK	DKK 1,350.9/Kg (€ 181.7)	**NL**	€ 160.91/Kg
EL	€ 156.7/Kg	**SE**	Sticks: *specific* SEK 1,620 Kg (€158.9) / 1000 sticks + a*d valorem* 1% Other: SEK 1971/kg (€ 194.5)
HR	HRK 1400/Kg (€185.3)		
HU	HUF 12,500/ 1,000 sticks (€34.5)		
IT	€ 45.09 / 1,000 sticks		
LV	€ 160/Kg		
LT	€ 113.2/Kg		
PT	*Ad valorem* 15% of RSP and *specific* € 83.7/kg. Minimum tax: €180/kg		
PL	*Ad valorem* 32.05% of RSP and *specific* PLN 155.79/Kg (€ 34.1)		
RO	RON 423.59/Kg (€ 85.9)		
SK	€ 132.2/Kg		
SI	€ 88/kg		

One of the challenges faced by MS tax authorities in designing the tax regime for HTP was the absence of clear benchmarks for establishing the appropriate tax rate. As discussed below, Italy has been the only MS to design an ad hoc tax regime connected with the tax regime of cigarettes, under the assumption of direct substitution effects. Other countries adopted the tax rate of smoking tobacco (OST or FCT) as reference, either to classify HTP as such or to introduce ad hoc regimes applying de facto the same rates as OST/FCT.

In the period considered, most MS have revised upward the tax levels that were initially adopted. Regarding countries with an ad hoc regime in place, the increase was significant in BG, HR, LV, LT, DK, and SK. Regarding countries applying a harmonised OST regime, notable tax hikes were registered in FR, NL and to a lesser degree EE. Mild increases were implemented in PL, PT and HU. Tax policy plans indicate that further increases are planned, e.g. in IT, LV and SK. Overall, these trends suggest that MS approached these new products with an initial light touch and then started increasing progressively the tax, based on the effects they registered on the selling price and the market.

Currently, the EU average tax incidence on HTP price is 23%, ranging from 11% in AT to 62% in SE.[336] The level of taxation currently applied in MS seems to be only marginally correlated to the HTP selling price. In the past few years, most MS have revised upward the tax levels that were initially adopted on HTP, but this had seemingly limited effects on retail prices, suggesting that producers were able to absorb the tax increases. For benchmarking, in Japan – which is the most developed HTP market worldwide - the tax incidence on HTP price is currently 43%. As discussed above, the HTP selling price appears more closely connected to the conventional cigarette price levels.

Figure E.4.5 – HTP tax levels and incidence in Member States



Source: *Elaboration of Euromonitor International data, and information on tax regimes collected from various – primarily official - sources.*
Legend: *ED=excise duty; SE(s)=regime for HTP sticks; SE(o)=regime for other HTP.*

➢ IMPLEMENTATION IMPACT AND TAX REVENUE EFFECTS

IT	• Italy has been the EU testbed for HTP in many respects. It is one of the few countries where pilot products of the current generation were first launched (in selected cities), in 2016. The largest manufacturing facilities of HTP in the EU are located in Italy, and for some years, they were the only HTP specialised factories. Italy was also the first country in the EU to adopt an ad hoc tax regime for HTP (in 2014). • Domestic consumption of HTP is estimated at around 7% of the total market. Last year, some 5,700 tonnes of HTP were released for consumption.

[336] For reference, the average excise duty incidence on the price of cigarettes is, on average, 61.4%.

	• In terms of export, the HTP produced in Italy is shipped to 40 countries worldwide. In 2019, the value of HTP export from Italy exceeded EUR 1.2 billion. • The Italian fiscal legislation (D.Lgs. 188/2014) introduced HTP and e-cigarettes in a new separate tax category called 'products intended for inhalation without combustion'. After Italy, 15 other MS adopted similar fiscal approaches. • Since its first adoption, the HTP excise regime was repeatedly modified, although the basic elements have not changed. In particular: ○ The tax base is fixed based on an equivalence established between the consumption time of a HTP stick compared to a conventional cigarette. The test is conducted in the competent authorities' laboratories, and the outcome is a 'cigarette equivalent' conversion rate that can vary from product to product. ○ The structure is fully specific and is calculated as a percentage of the excise duty yield of cigarettes measured at the WAP level. ○ Such percentage was initially set at 50% of the excise on cigarettes. In 2019 it was reduced to 25% (roughly aligning it to the EU average regime back then). Nevertheless, the staged increases planned will bring excise levels to 40% by 2023. • The tax cut implemented in 2019 did not cause a reduction in the tax revenue from HTP, which increased from approximately EUR 10 million to EUR 12 million. An acceleration of market penetration compensated the reduced excise rate. The market share of HTP (on total cigarettes) roughly doubled between Dec. 2018 and Dec. 2019, reaching around 5.5%. The market growth was propelled *inter alia* by reducing market prices and introducing new HTP that increased the competitive environment. At the end of 2020, HTP penetration has been estimated at around 10% of the cigarettes' market, and HTP tax revenues amounted to EUR 210 million. The planned tax increases are estimated to produce in 2021 an extra revenue of between EUR 12 and 46 million. • The technical approach has been criticised by some stakeholders as the consumption time may depend on the device, so the equivalence does not reflect market reality. Another constraint regards cross-border movements and the EMCS. Most MS have accepted that HTP are moved under the T500 excise product code, which is defined by weight. However, the Italian tax de facto relates to a conventional weight (as of cigarettes), which is not the real weight, so the management of a tax warehouse implies two separate tracks, one for products sold on the domestic market and one for exported products. • The other arrangements for marketing products are the same applied to conventional tobacco: (a) six-month standstill clause before commercialisation (as per TPD); (b) preliminary authorisation emitted by the customs agency (including the laboratory test); (c) movements under duty suspension under EMCS, and application of tax stamp; (d) retail sale only in the network of authorised outlets, ban on online sale.
PL	• The inclusion of HTP in the Polish Excise law was adopted in 2017 as part of a broader reform which also involved other innovative products (namely e-cigarettes). This followed a customs decision of 2016 that qualified HTP as a non-harmonised good. The act entered into force in February 2018, but the tax rate was fixed at 0% until the end of the year. In December 2018, Polish authorities deliberated to extend the 0% regime until June 2020. Due to the COVID19 pandemic, a further extension was adopted, and HTP is de facto taxed only since October 2020. In the meantime, the tax rate had been increased by 10% compared to the level established in 2018. The obligation to apply excise stamps – like other tobacco products – entered into force in April 2021. • Against this framework, there is little experience to be reported from the application of the tax in Poland. In the last quarter of 2020, a total of PLN 4.5 million was raised in HTP tax revenue (approx. EUR 1.0 million). There are different views among operators on the suitability of the current excise rate, but all stakeholders substantially agree on the need to harmonise the treatment of these products • Some concerns have been raised regarding the emergence of an illicit market for HTP products. At the moment, the magnitude is limited because the demand is also limited (compared to conventional tobacco), but cases of both HTP products smuggled from neighbouring countries (Belarus and Ukraine) as well as counterfeit products which do not contain real tobacco are registered.[337]

[337] Some regulatory briefings (restricted access) were published by *TobaccoIntelligence* discussing the boom of 'bootleg sales' of HTP from Ukraine to Poland. Price differences are viewed as major drivers. In Poland, the price of HTP pack is PLN 15, in Belarus it is equivalent to PLN 5.6, while in Ukraine it corresponds to PLN 8.2.

FR	• France has not adopted an ad hoc regime for HTP, so these products are taxed by applying the regime applicable to OST. Since France has a significant ad valorem component for the OST regime, this translates into a level of taxation for HTP that is by far the highest in the EU, i.e. twice as much the FCT excise duty if measured in volumetric terms. Conversely, e-cigarettes are not taxed so – while correlation cannot be verified statistically – France has among the highest prevalence of e-cigarettes consumption in the EU, while the prevalence of HTP consumption is below 1%. • The tax level is seemingly not the only reason for the negligible development of the HTP market in France. Other important factors are very stringent limitations on advertising and communication.
PT	• Portugal has witnessed a rapid uptake in the sales of HTP. In 2018-2020 the tax revenues have doubled, and they approximately represent 4% of the revenue levied on cigarettes. In terms of consumption, it represents roughly 8% of the total (in cigarettes' equivalent), i.e. one of the highest in the EU. • The product is not harmonised, but it is subject to the same administrative obligations of conventional tobacco, including the obligation of movement under EMCS. Due to the limited number of operators and consisting of large renowned organisations, no issues are reported with market monitoring and administrative arrangements' implementation. • The case of Portugal is somehow specular to the case of France described above. Portugal's tax on e-cigarettes was one of the earliest, and undoubtedly the highest, and today these products' market is still negligible (see Section E.5 below). Conversely, the tax on HTP is high (roughly the same level as FCT) but not comparable to the French levels, which might have encouraged the uptake of these products.

E.4.4 Summary of the key findings

In the past few years, most big tobacco companies have increasingly invested in heated tobacco products. This type of products is currently available in most EU countries, and, in monetary terms, the HTP market is worth an estimated 3% of the total EU tobacco market. The supply side of this market is highly concentrated but is evolving towards a more competitive environment. There is a dominant player with around 80% of the market share, which first launched the current new generation of HTP in 2016-17; and there are four competitors that are progressively marketing their HTP products across MS.

With the increasing penetration of HTP in EU markets, MS have developed different approaches towards the taxation of these products. In essence, two main fiscal systems can be found: (1) MS classifying HTP as a harmonised product; and (2) MS that established an ad hoc non-harmonised category for HTP. However, there is a large consensus on the need to harmonise HTP in the EU excise legislation as a separate category, with its own tax regime.

National ad hoc regimes for HTP are very similar when it comes to product definition. All MS (except one) make explicit reference to the absence of combustion or 'burning' in their definitions, and to the production of a vapour / aerosol as an output. In this sense, the product is defined not by intrinsic characteristics (except the obvious reference to tobacco) but by a specific modality of consumption. None of the national legislation reviewed, besides one, mentioned the use of an electronic heating device.

Regarding the tax base and structure, most ad hoc regimes consist of a specific tax per weight (12 MS). In a couple of countries, an ad valorem component is also levied. Only one country has set up a tax base per consumption unit (HTP sticks). Considering MS where HTP is treated as a harmonised product, the OST/FCT category is used in most cases. Sweden is a special case, as it classifies HTP sticks as cigarettes and other HTP types as OST.

In the early stages, MS started applying to HTP tax rates that were broadly in line with the FCT/OST rates (regardless of whether they were harmonised or not). Over time, the experience showed that the tax-bearing capacity of HTP could accommodate higher rates. Therefore, a generalised increase of rates has been registered in the 2018-2020 period. Currently, the EU average tax incidence on HTP price is 23%, but various MS have already made plans for further staged increases.

E.5 Electronic Cigarettes[338]

E.5.1 Overview of the policy issue

Electronic cigarettes ('e-cigarettes') are not covered by Directive 2011/64 since they appeared on the market in more recent years. In absolute terms, their market is small as compared to conventional tobacco. However, the growth registered in the past few years, especially among young people, has ***raised concerns among tax and public health authorities*** alike. In particular, these products' increased popularity prompted 14 Member States to establish ad hoc national taxes, with the aim of: (a) facilitating the monitoring of market and consumption trends, and (b) possibly offsetting the tax revenue losses caused by the substitution of conventional cigarettes. As emerged from the EA 2019 evaluation's findings, the market and legal fragmentation, due to the plethora of national tax regimes adopted, have had various negative consequences, which can be summarised as follows:

- ***Competition issues***. The impact on the price of national ad hoc taxes distorts competition between domestic manufacturers and foreign players, especially in MS that adopted relatively high tax rates. In principle, foreign operators selling their products in these countries should be subject to the same tax regime as domestic ones; however, poorly controlled cross-border online sales and 'bootlegging' allow easy circumvention of national taxes, creating an unfair competitive environment for the latter. In addition to the tax charge, national tax regimes also imposed extra administrative and compliance costs (e.g. registering, establishing tax warehouses, anticipating the excise at the import stage, buying tax stamps, etc.). These additional costs are further passed on to the selling price, especially by SMEs, which may have limited capacity to absorb regulatory costs. Eventually, as the market shifted to cross-border and e-commerce to avoid taxes – even in MS where online sale is forbidden – a large share of physical outlets closed down.
- ***Tax fraud***. For their intrinsic characteristics, when compared to tobacco products, e-liquids are much easier to move across the borders elusively, especially when directly shipped to consumers in small quantities, through ordinary courier delivery services. Additionally, B2B movements are also difficult to control, since the EMCS system does not cover e-cigarettes. At the same time, e-cigarettes tax fraud remains a low priority issue compared to that of tobacco, given the smaller amounts involved.[339] According to interviews with MS authorities limited resources are invested in detecting and prosecuting specifically this issue. This lack of policy attention has created a breeding ground for 'bad players' and illicit practices, which translates into severe tax losses, in percentage terms, for MS (only one-fifth of the theoretical tax yield is actually collected).
- ***Disparity of coverage.*** The approach adopted by MS towards e-cigarettes differs not only in the decision to tax and in the rate applied, but also in the tax base definition. In particular, some countries are taxing only the e-liquids that contain nicotine, while other MS also tax nicotine-free liquids and refills. Furthermore, various countries are introducing differentiated regimes based on nicotine content and strength. Therefore, it is important to harmonise the

[338] For consistency with the terminology used in the TPD and in the background documents concerning the review of Directive 2011/64 (Commission's evaluation reports, Council Conclusions, background studies etc.) in this Study we opted for maintaining the denomination of 'electronic cigarettes' for this class of products, although compared to the past the market is now dominated by products with little visual similarities with traditional cigarettes. In this sense, the WHO has adopted a more neutral term for these products: Electronic Nicotine Delivery System (ENDS) - or ENNDS for nicotine-free systems. According to the WHO, "All ENDS/ENNDS heat a solution (e-liquid) to create an aerosol which frequently contains flavourants, usually dissolved into Propylene Glycol or/and Glycerin. All ENDS (but not ENNDS) contain nicotine." (source: https://www.who.int/fctc/mediacentre/media-briefings/m-b-ENDS-ENNDS.pdf). In this Study, there are no substantial differences regarding the heterogeneous range of products designated as 'electronic cigarettes' and the WHO's category denominated E(N)NDS. In particular, it should be noted that: (1) in both cases heated tobacco products are excluded (and defined separately); (2) certain products commercially denominated 'e-hookah', 'e-shisha' etc. are actually equivalent in most respects to e-cigarettes and they do not require a separated definition (actually 'e-shishas' were developed to circumvent the ban on e-cigarettes that existed in some third country markets).

[339] The theoretical total tax revenue from e-cigarettes in the EU represents less than 0.3% of the revenue collected from smoking products. The actual e-cigarettes tax collected is even smaller, i.e. 0.05%.

scope of e-cigarettes' fiscal regimes, remove disparities and ensure that similar products have the same fiscal status in the internal market. In this regard, it has to be also considered the unintended effects of taxing only nicotine-containing liquids on the DIY practices described above

E.5.2 Market and demand trends

- **OVERALL MARKET TRENDS IN THE EU**

After a few years of double-digit growth, recent figures suggest that the e-cigarettes market in the EU is ***slowing down or, possibly, declining***. In 2020, the total market value in EU27 was worth approximately EUR 2.6 billion, down by 7% compared to the previous year.[340] There are various possible reasons behind this trend, as emerged from data analysis and stakeholders' consultation, namely:

- e-cigarettes consumers do not remain loyal for long periods: as Eurobarometer data shows, the number of consumers who have stopped using e-cigarettes is now greater than the number of those who use it;
- e-cigarettes consumption is comparatively more widespread among young people (according to Eurobarometer the prevalence among young people is twice as high as among adults) and it is generally associated with social gatherings, but these were significantly reduced in 2020 due to COVID19-related restrictions;
- the perception of health risk associated to e-cigarettes have possibly changed, due to more widespread scientific evidence, and to the effects of the 2019-2020 outbreak of severe lung illness among users of cannabis vaping product in the United States:
- possible cannibalisation caused by HTP uptake (although the target groups of the two products only partly overlap).

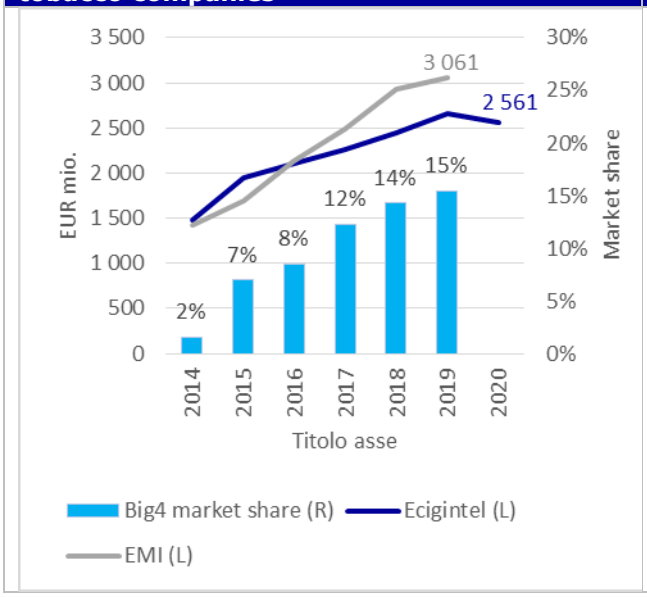
Other main features emerging from the general analysis of national markets can be summarised as follows:

- The ***market share controlled by big tobacco*** companies (through their e-cigarettes subsidiaries) is still minoritarian but is growing. As Figure E.5.2 shows, their share currently amounts to some 15% on average, but varies greatly across MS – e.g. 63% in PL, roughly 20% in HU and BE, some 10-12% in IT and FR, and less than 5% in DE, EL and NL.
- The market proportion between hardware and consumable observed in the past (see EA 2017 and EA 2019) has not changed, with ***consumables accounting for approximately 60%*** of the total. Some differences can be observed across MS (see Figure E.5.2), but distribution is broadly similar. Open systems still dominate in all markets, but in a few countries (PL, BE) closed systems have gained non-negligible market shares. This generally relates to products marketed by big tobacco companies, as well as of emerging brands like *Juul*.
- The concentration analysis indicates that e-cigarette markets remain ***fairly competitive***, with concentration indexes mostly below 1,500 (of the HHI Index scale) or comprised between 1,500 and 2,500.[341]

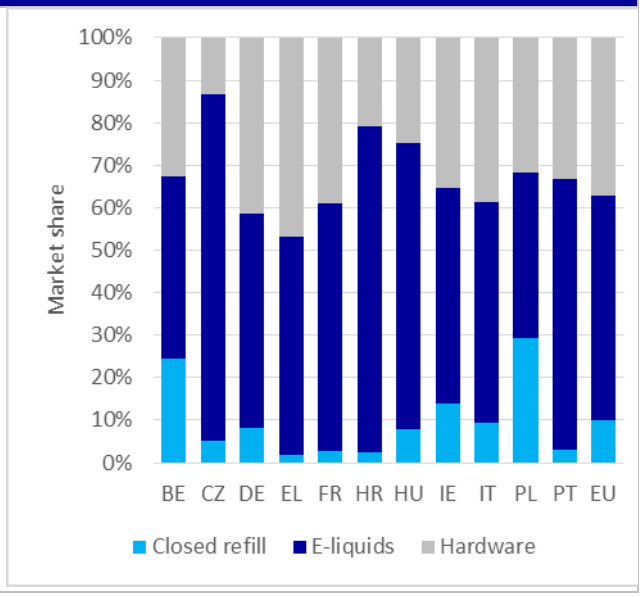
[340] Estimates obtained combining Ecigintelligence and Euromonitor International data. Both sources concur on the decline of sales in 2020.
[341] Conventionally, a *Herfindahl-Hirschman index (HHI)* market with an index less than 1,500 is considered competitive, an HHI from 1,500 to 2,500 indicates a moderately concentrated marketplace, and an HHI of 2,500 or greater indicates a highly concentrated marketplace.

Figure E.5.2– E-cigarettes' market value in the EU

A) Market value trend and the share of big tobacco companies



B) Market value share by type of product



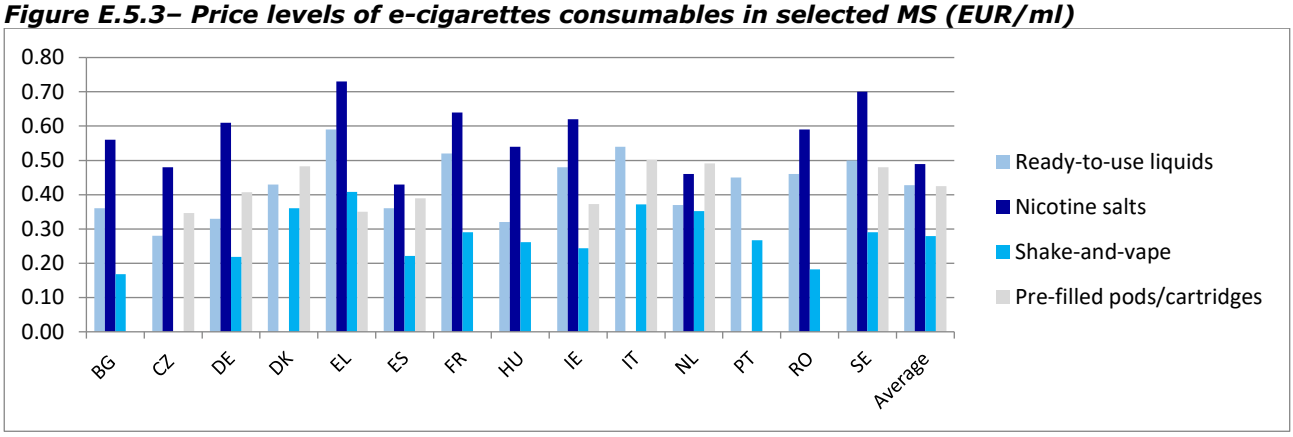
Source: *Author's elaboration based on various sources including: Ecigintelligence (A); Euromonitor International (A, B)*

The ***retail price*** of e-cigarettes products can vary significantly across different types of products. The vast range of the products offered[342], and the heterogeneity of products involved, makes it impossible to compute synthetic price level indicators like the weighted average price (WAP) for cigarettes. Moreover, unlike harmonised products, the selling price can vary significantly across retailers. A rough indication of the price levels in some EU markets can be drawn from Ecigintelligence data (Figure E.5.3). These however reflect the average lowest price offered on most popular online outlets in the country, hence they might not correspond – and likely underestimate – the actual average retail selling price[343].

- Regular 'ready-to-vape' liquids have a price ranging from EUR 0.3/ml (CZ) to EUR 0.6/ml (EL), with an estimated average of EUR 0.42/ml.
- Nicotine-free bases for 'shake-and-vape' are less expensive (EUR 0.28/ml, on average). These are typically used in combination with more expensive (EUR 0.49/ml on average) nicotine boosters (see below), i.e. nicotine salts solutions that consumers mix with the nicotine-free flavoured base.
- The price of pre-filled pods and cartridge is mainly in line with 'ready to vape' liquids. These refills are used for closed systems, which are typically branded products commercialised by big tobacco manufacturers. This explains a somehow more limited variability in price levels across countries.

[342] EU-aggregated notifications of e-cigarettes products under the TPD exceed 400,000 items (not including nicotine-free products).
[343] For impact analysis purposes we have opted for taking the price in different MS of a few popular e-liquid brands. For details see Annex F.

Figure E.5.3– Price levels of e-cigarettes consumables in selected MS (EUR/ml)

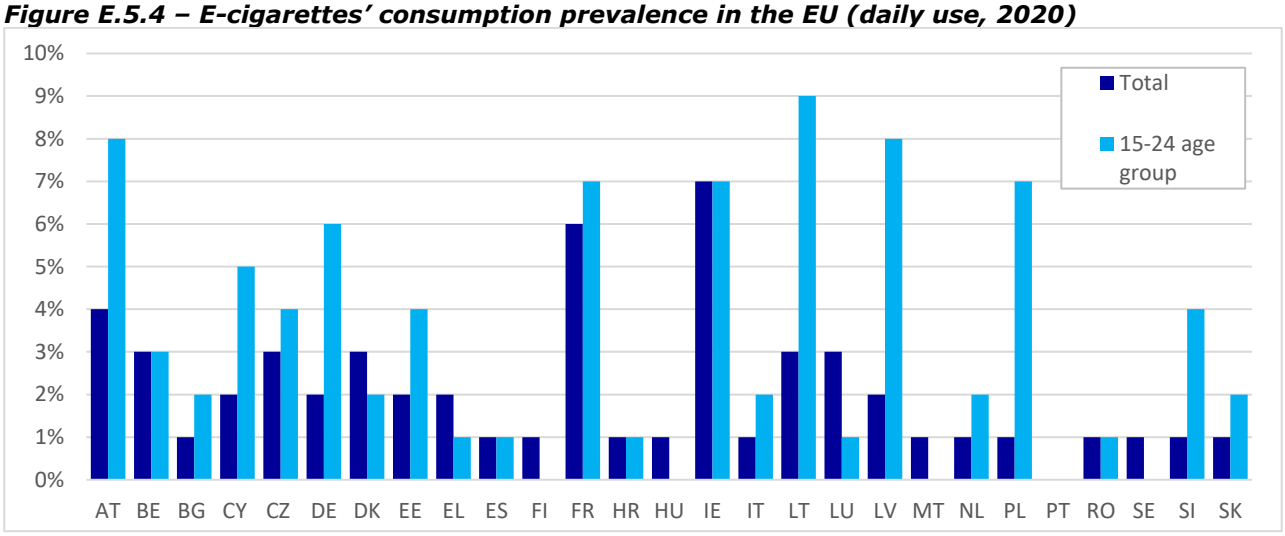


Source: *Author's elaboration based on Ecigintelligence*

- **SALIENT FEATURES OF THE DEMAND**

The demand stagnation is also confirmed by Eurobarometer's consumer surveys, with the share of ***Europeans regularly using e-cigarettes stable at 2%,*** between 2017 and 2020.[344] As Figure E.5.4 shows, the prevalence varies across MS. In most MS, it comprises 1-2%, while in FR and IE it reaches 6-7%. According to Eurobarometer's results, the prevalence rate is twice as high, on average, among young people. In addition to the already mentioned FR and IE, high prevalence rates are also registered in PL, AT, DE, LT and LV.

Figure E.5.4 – E-cigarettes' consumption prevalence in the EU (daily use, 2020)



Source: *Eurobarometer 506*

Overall, the e-cigarettes users' population in the EU can be estimated at ***around 10 million***. This figure is a rough average of the estimates collected through different sources, namely: (a) *Euromonitor international* (13.1 million); *Ecigintelligence* (9.2 million); and (c) Eurobarometer (8.1 million)[345].

Nevertheless, only a minority of users consume e-cigarettes exclusively. The majority are ***dual users of both e-cigarettes and tobacco products***. *Ecigintelligence* estimates dual users at about 60% of total users, on average. Furthermore, dual-use is more common in countries like FI, RO, PT and EL, while it is less frequent in CZ, SK and HU.

[344] Source: Eurobarometer 506.
[345] Differences are partly related to the different MS coverage of the various sources.

An important aspect of the market and demand for e-cigarettes regard the use of ***liquids not containing nicotine***. *Ecigintelligence* data on market composition shows that liquids not containing nicotine represent some half of the products commercialised in the main EU markets, like DE and FR. The proportion reaches two-thirds of the Italian market. This figure is associated with the development of ***'do-it-yourself' (DIY) practices***, which have developed among e-cigarettes' consumers. In essence, DIY consists of purchasing the ingredients of e-liquids separately for self-mixing. There can be various degrees of DIY, from simply adding neutral 'nicotine booster' to 'shortfills', i.e. underfilled bottles of flavoured e-liquids, to more radical homemade mixing of all basic ingredients of e-liquids: propylene glycol, vegetable glycerine, flavourings and 'nicotine booster'. This practice is used, inter alia, to partly avoid taxation in countries where only nicotine-containing liquids are taxed, e.g. PT, RO and IT.[346]

As nicotine-free products are not subject to TPD-related notification rules, it can be assumed that producers are encouraged to push consumers towards 'shake and vape' products, irrespective of taxation. The e-cigarettes sector is characterised by a highly diversified offer (by brands, flavours, strength, vapour characteristics etc.). Hence manufacturers / importers' costs, related to notification dossiers for numerous nicotine-containing products, can be significant, especially in countries where the notification fee is high (DK), or where the same products have to be re-notified when sold by different players (DE). In addition, the six-month notice requirements add time-to-market adverse effects to these products. In this sense, there is an economic rationale in developing a range of nicotine-free liquids that are exempt from the regulation's obligations and submit to notification only the neutral nicotine booster, which is then sold separately, as a standard product to be added to all different bases.

At the same time, *Eurobarometer* data suggest there exists some consumption of nicotine-free liquids *per se*. On average, approximately 11% of e-cigarettes total consumers declare to use nicotine-free liquids daily.

- **ADDITIONAL EVIDENCE ON MARKET AND DEMAND OF E-CIGARETTES FROM FIELD WORK**

PT	• The volume of legal sales of e-cigarettes in Portugal has remained stable in recent years, although with some fluctuations. In particular, between 2019 and 2020, a decline was registered, from 57.5 hl to 4.9 hl / year. • In monetary terms, the e-cigarettes market (including nicotine-free e-liquids) is estimated not to exceed 0.3% of the tobacco market. In 2019 they represented just 0.3% of the total tobacco and vapour sales. • Overall, ten e-liquids wholesalers are registered in the country (of which 2 producers, being the rest importers), for eight fiscal warehouses in total.
PL	• According to the most recent epidemiological studies on the prevalence of tobacco and e-cigarette use, regular consumers of e-cigarettes in Poland are 1.4% of the 15+ population, while ever-user are the 4.0%.[347] Compared to 2017, a small decline is registered (from 2%); however, in the 15-19 age group, e-cigarettes use is much more prevalent (11% in 2016). Overall, market consumption estimates indicate about 1.0 million litres of e-liquids consumed annually, of which some 50% would consist of nicotine-free liquids.[348] According to a local trade association, approximately 95% of the market is made of open systems. • Overall, there are 91 registered suppliers of e-cigarettes liquids and equipment in the market. E-liquids containers of all kinds notified to the Bureau of Chemical Substances amounted to 7,190, as of August 2019. The largest suppliers include British American

[346] Currently, nicotine-free liquids are taxed in IT but at a lower rate. Previously, due to a judicial dispute, the status of nicotine-free liquids has been unclear for a few years, with *de facto* no tax being paid on it.
[347] Source: J. Pinkas et al., "The Prevalence of Tobacco and E-Cigarette Use in Poland: A 2019 Nationwide Cross-Sectional Survey", Int J Environ Res Public Health. 2019 Dec; 16(23): 4820. Based on a survey of 1011 individuals conducted in September 2019 on behalf of the Chief Sanitary Inspectorate (GIS).
[348] Based on market-dominant players' estimates.

	Tobacco (BAT), the Polish company Chic (661 registered products), Way2web (600 products), Liquider Poland (546), BM Aemulator (480) and finally Vaptio GmbH (472). • According to the Office of Competition and Consumer Protection (UOKiK), Poland's e-cigarette market is highly concentrated, with a dominant player (Chic, acquired by BAT), controlling 60-70% of the market.[349] Thus, despite the many small and larger players operating in this market, it is dominated by a single concern.
SE	• Public authorities' and private sector's estimates concur that the e-cigarettes market in Sweden is small and not growing. On the supply side, 44 companies were registered as stock keepers, and 3 (non-Swedish) companies were registered as distance sellers of nicotine-containing products. However, this also includes snus, nicotine pouches and – in perspective – raw tobacco traders. The few e-cigarette operators are essentially importers, with no relevant manufacturing[350] or wholesaling activity in the country. • Regarding consumption, CAN's statistics for 2017-2019 suggest regular users were 1%, and occasional users around 2%.[351] Consumption is higher among younger adults (17-29 years), but the incidence has fallen slightly from 6% in 2017 to 5% in both 2018 and 2019. Industry's estimate largely agrees with total users estimated at 1.7% of the adult population (135,000). • While the e-cigarettes market is stagnating, authorities and operators register a steep increase in the demand for nicotine pouches. Statistics are not available[352], but apparently these products are becoming very popular among young people, including girls. This seems related to the variety of flavoured products available. There are discussions ongoing on whether to introduce limitations for available flavours. • There is a general agreement on the fact that the limited development of the e-cigarettes market is connected to the popularity of snus, chewing tobacco and oral products, and to the limited number of smokers in the country. Notification data confirm the limited development of the Swedish market. The number of e-cigarettes products notified in the country is about one-tenth the number of products available in main EU markets. Some operators consider the limited variety, together with relatively higher prices, another reason for the limited domestic demand of e-cigarettes, and the development of cross-border flows.
HR	• The market of e-cigarettes in Croatia has declined significantly in the past few years. The volume of e-liquids released for consumption indeed fell from 972 hl in 2017 to 385 hl in 2020. • Croatia hosts various producers of e-liquids, including some foreign operators who established there from IT, to produce mostly for export, primarily in the other Member States or outside of the EU. The volume of domestic production and exports has also shrunk in recent year. In 2017 domestic production amounted to 1,270 hl, while export to 715 hl. Four years later, these volumes have dropped to respectively 600 hl and 366 hl.

E.5.3 Legal framework for e-cigarettes in MS

➢ **DEFINITION OF E-CIGARETTES IN MEMBER STATES' TAX LEGISLATION**

Member States with an *ad hoc* taxation of e-cigarettes in place have adopted various approaches to define the related tax category. Table E.5.1 below provides some excerpts from national legislations. The disparities between approaches reflect the specificities of the national excise legislation of reference, so certain MS have set up fairly elaborated definitions and regimes. In contrast, others MS only make brief reference to acts or codes, giving to enforcement authorities more freedom to classify the product. In general, it is interesting to highlight common features

[349] An antitrust investigation was carried out in 2015.
[350] Except for very small business producing hardware for the high-end segment.
[351] Centralförbundet för alkohol- och narkotikaupplysning (CAN) (Swedish Council for Information on Alcohol and Other Drugs), Tobaksvanor i Sverige 2003-2019 (Tobacco habits in Sweden 2003-2019), CAN Rapport 194: https://www.can.se/app/uploads/2020/09/can-rapport-194-tobaksvanor-i-sverige-2003-2019.pdf
[352] Some stakeholder estimates the consumption of nicotine pouches can be ten times greater than e-cigarettes.

since they may help finding an EU harmonised approach that is as much as possible consistent with individual countries' approaches (i.e. a 'common denominator'). Three aspects, in particular, are worth highlighting:

- Consumables are primarily defined concerning their ***intended use in an 'electronic cigarette' device***. In a couple of cases, the legislation contains an explicit reference to the applicable CN code, while a few countries define e-cigarettes directly in the legislation. The rest has seemingly left implicit the definition of what an 'electronic cigarette' is.
- The second widespread element refers to ***vapour, vaporising and inhaling*** as the act and the output characterising the consumption of e-cigarette products, as implicitly opposed to smoke and smoking.
- Finally, all national legal frameworks mention the ***liquid state*** of the consumables subject to taxation, which may represent an issue in case of possible evolutions towards non-liquid substrates. Interestingly, in this respect is the Polish definition that contains a more general reference to 'solutions' used in electronic cigarettes.

Table E.5.1 – E-cigarette tax definition across Member States

Country	Excerpt from national legislation (non-official translation)
CY	*[…] Liquid for use in electronic cigarettes, indifferent to whether it contains nicotine or not.*
EE	*[…] "alternative tobacco product" means a product with or without nicotine yield different from the items specified in subsections (2)–(7) of this section, which is used or intended for use similarly or for similar purposes with tobacco products, including: 1) tobacco liquid, which is flavoured or not flavoured, with or without nicotine yield and which is used in a device intended for consumption of an alternative tobacco product or addition to tobacco or its substitute;*
EL	*[…] refilling liquids contained in electronic cigarettes under tariff classification CN 85437090 or in special refilling cartridges or in single use cartridges for usage with other electronic cigarettes devices, under tariff code CN 38249092.* *The electronic cigarette devices under tariff code CN 85437090 are not subject to Excise Tax as long as they consist only of the external device and do not contain any liquid for consumption with the device.* *[…] as "electronic cigarette" is defined the product which can be used for vapor consumption with mouthpiece or another element of the product, including the cartridge and the device without cartridge. Electronic cigarettes can be either refillable through the usage of refilling cartridge or through single use disposable cartridges.* *As "refilling cartridge" is defined the cartridge containing liquid that can be reused to refill electronic cigarettes.*
HR	*For the purposes of this Act, the subject of taxation shall also include products intended for inhalation of vapour, without the combustion process, which can be considered as substitutes for tobacco products referred to in paragraph 1 of this Article and shall include: […] Liquid intended for consumption in the electronic cigarette, regardless of whether it contains nicotine (hereinafter referred to as e-liquid).*
FI	*In this Act also […] liquid used in electronic cigarettes is considered as a tobacco product.* *[…] The term liquid used in electronic cigarettes refers to nicotine liquid and nicotine-free liquid intended for vaporising […].*
HU	*'fluid charge' shall mean a nicotine-containing liquid filled into an electronic cigarette or electronic device imitating smoking in the manufacturing process, including the fluids used to refill an electronic cigarette or electronic device imitating smoking, also if intended for multiple use.*
IT	*Combustion-free inhalation products consisting of liquid substances, whether or not they contain nicotine, excluding those authorised for release on the market as medicines as set forth by Legislative Decree no. 219 dated 24 April 2006, [...]*
LV	*[…] Liquid used in disposable and repeatedly used electronic cigarettes, and which contains or does not contain nicotine, as well as liquid used to refill cigarette and which contains or does not contain nicotine, shall be taxable.*
PL	*[...] electronic cigarettes – disposable or refillable devices, which can be used for consumption of vapour from liquid for electronic cigarettes through a mouthpiece, in particular in devices with cartridges or tanks;* *[...] liquid for electronic cigarettes – solution used in electronic cigarettes, both with and without nicotine, including the base for this solution containing glycol or glycerine;*

PT	*[…] it is considered as electronic cigarette a product that can be used for consumption of nicotine-containing vapour via a mouthpiece, or any component of that product, including a cartridge, a tank and the device without cartridge or tank that. Electronic cigarettes can be disposable or refillable by means of a refill container and a tank, or rechargeable with single use cartridges.*
RO	*[...] the liquids containing nicotine intended for inhalation by means of using an electronic device, such as the 'Electronic cigarette', under tariff classification CN 3824 90 96.*
SE	*[…] in this legislation the following definitions are used: […] e-liquids: liquids that contain nicotine.*
SI	*For the needs of this Act, products which are used as a substitute for tobacco products, and which satisfy the needs and expectations of smokers to a comparable level, shall be considered as tobacco products regardless of whether they contain tobacco or not.* *[…] Products intended for inhalation, without combustion, are used for inhalation of vapour through mouthpiece or other component part and contain […] Liquid which contains nicotine (hereinafter: electronic cigarette). The […] liquid with nicotine is the taxable part of the product.* Note - new legislation presumably into force in second half of 2021: *Products intended for inhalation without combustion shall be used for inhaling vapours through a mouthpiece or other integral part and contain:* *- Manufactured tobacco, intended for heating (hereinafter: tobacco for heating) or* *- Fluid for electronic cigarette (hereinafter: electronic cigarette)*

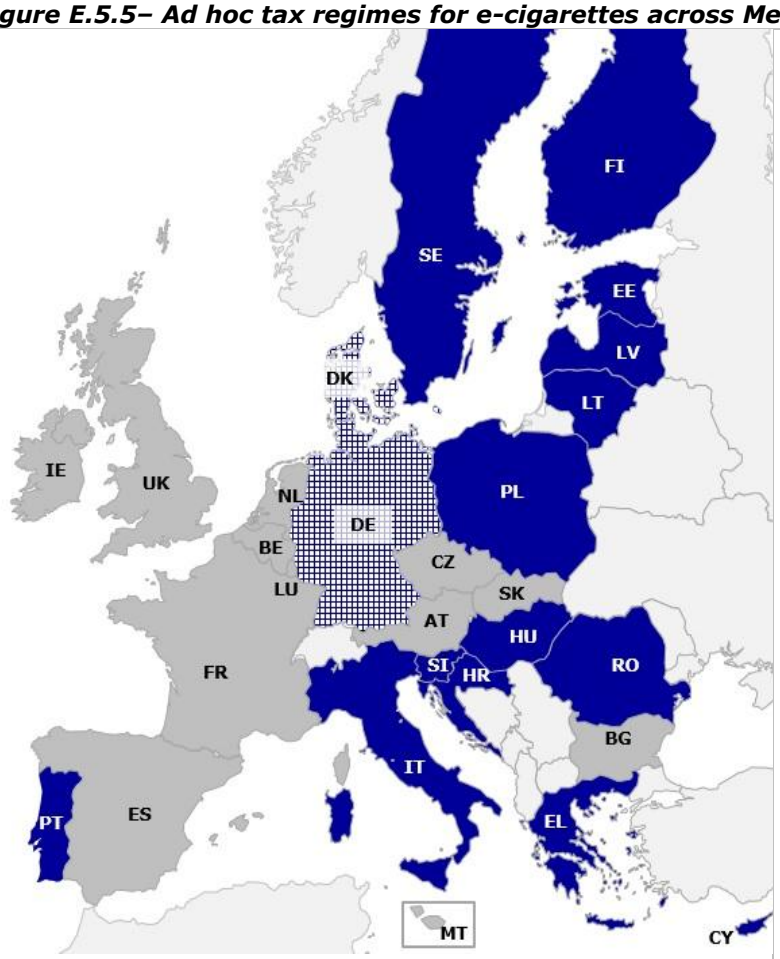
Source: *EA 2019 (updated). Unofficial translation*

- **TAX STRUCTURES AND RATES ACROSS THE EU**

Since the review carried out under the EA 2019 study, there have been changes in the tax regimes applied to e-cigarettes in MS. Figure E.5.5 below provides the updated situation based on the information gathered during fieldwork activities. The main changes can be summarised as follows:

- One more MS – Lithuania – has introduced an ad hoc tax on e-cigarettes, while in two other countries – DK and DE – similar regimes are being adopted. In DE, the draft law proposed by the Ministry of Finance will start taxing e-cigarettes in 2022. In DK, the Parliament has started discussing the draft law on 21 April.
- Two countries have significantly reduced the rates applied to e-cigarettes, namely IT and HU. In the past, also PT had reduced the initial rate.
- No significant increase in tax rates has been registered. Minor upward adjustments were adopted in PT and PL.
- Since the 1st of January, Latvia has abandoned its mixed system that involved a specific flat rate on the liquid plus another specific rate per mg of nicotine. At the moment, no MS applies a tax structure by nicotine content. However, SE and DK apply a higher rate if the nicotine concentration exceeds a certain threshold (see Figure E.5.5).
- Overall, ten countries are taxing any e-liquid, irrespective of whether they contain or not nicotine. These include Italy, which applies a reduced rate for nicotine-free products, and Slovenia, which plan to introduce a similar differentiated rate by the end of 2021. Instead, five MS (plus Germany) apply the tax only on nicotine-containing products. Croatia remains the only MS having a tax regime with a zero rate in place.

Figure E.5.5– Ad hoc tax regimes for e-cigarettes across Member States



	No tax
	Tax in force
	Tax planned
CY	€0.12/ml on all e-liquids
EE	€0.20 on all e-liquids
EL	€0.10/ml on all e-liquids
FI	€0.30/ml on all e-liquids
HR	HRK 0.00/ml on all e-liquids
HU	HUF 30/ml (€0.08/ml) on all liquids
IT*	€0.12/ml w/ nicotine €0.08/ml w/out nicotine
LT	€0.12/ml on all e-liquids
LV	€0.12/ml on all e-liquids
PL	PLN 0.55/ml (€0.13/ml) on all e-liquids
PT	€0.32/ml on nicotine liquids
RO	RON 0.55/ml (€0.11/ml) on nicotine liquids
SE	SEK 2/ml (€ 0.20/ml) (SEK 4/ml if nicotine exceeds 15 mg/ml) Nicotine-free liquids not taxed.
SI	€0.18/ml on nicotine liquids (planned: €0.08 for nicotine-free liquids)
(DK)	1.5 DKK (€0.20/ml) (DKK 2.5/ml - € 0.34 - if nicotine exceeds 12 mg/ml) (under discussion)
(DE)	€0.16/ml on all e-liquids (from 2022; to increase to € 0.32 by 2026)

**In IT the tax is expressed as a % of the excise duty applied to the equivalent volume of cigarettes (1 ml = 5.63 cigarettes). For liquids containing nicotine the rate is 15%, for other liquids is 10%.*

➢ E-CIGARETTES REGIME'S IMPLEMENTATION AND OBLIGATIONS

The survey of tax authorities carried out under EA 2019 collected details on the administrative arrangements and obligations linked to national e-cigarettes' tax regimes.[353] This information can be useful for an overview of the different approaches adopted by MS to implement these measures. Further details collected from fieldwork in selected MS are reported further below.

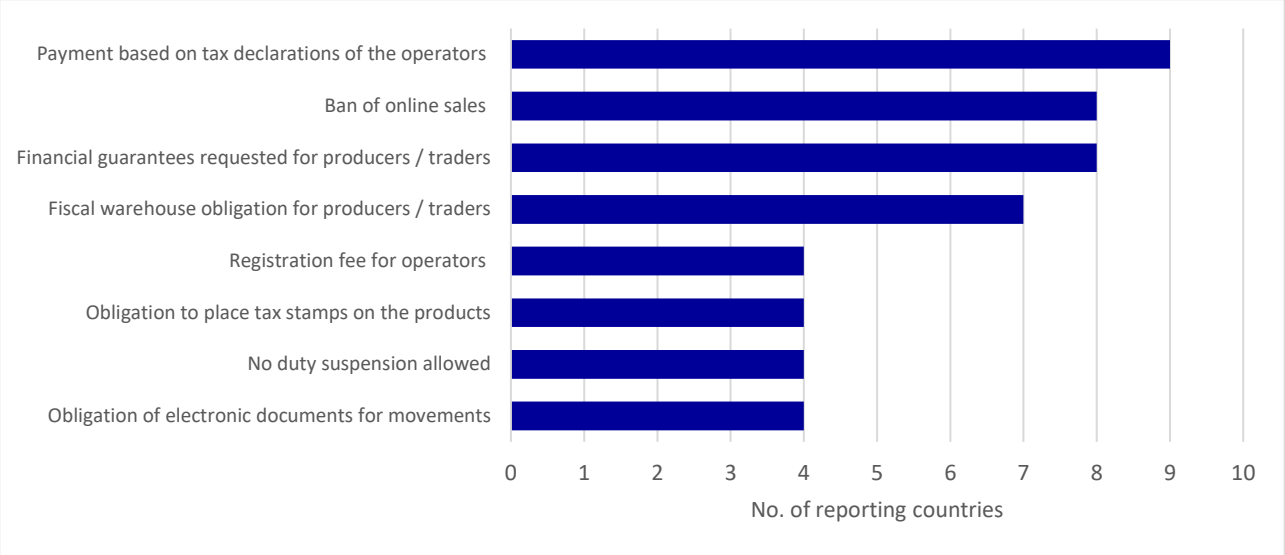
- The relative majority of MS apply similar rules and arrangements as for conventional tobacco products. These similarities particularly regard the obligation for manufacturers / importers of e-liquids to provide a ***financial guarantee***, which is normally calculated (e.g. in RO) based on the previous year's sales value (and/or forecasts). Similarly, in most cases it is requested to keep products in ***tax warehouses*** until they are released for consumption. In some countries (e.g. IT), the requirements for this type of tax warehouses are relatively easy to meet, so it is reported that retail outlets are equipped with tax warehouses which consist of separate rooms within the selling premises. According to some stakeholders, this practice can facilitate under-the-counter sales of non-duty paid products.
- The majority of countries allow ***movement under duty suspension***. This permission can be coupled – but not necessarily – with the obligation to use ***electronic documents*** for the movement of products. An electronic system is, for instance, in place in Portugal (see below).

[353] Updated information from the 2021 survey was not yet available at the time of writing this Report.

Excise duty payments are made, in nearly all cases, through periodical tax statements that operators must fill in and submit to the competent authority. For instance, tax stamps are required in PL, SI, PT and – since this year – in IT.

- ***Registration fees*** are seldom requested. The extent of the fee is variable, e.g. in FI it is the same fee requested to conventional tobacco operators, while in CY it amounts to just € 200.
- Most of the countries with a tax regime on e-cigarettes have prohibited ***distant selling online*** to avoid tax circumvention. Foreign operators are requested to register in the country where they intend to sell their products. As discussed further below, e-commerce is challenging to control, and most stakeholders estimate that a significant share of 'unrecorded' consumption is actually linked to cross-border transactions made online.

Figure E.5.6– Administrative arrangements and obligations linked to ad hoc e-cigarettes taxes



Source: EA 2019, based on feedback from 11 MS with an ad hoc e-cigarettes tax in place.

Table E.5.2 – Implementation details of e-cigarettes taxes in selected MS

PL	• The administrative arrangements for the e-cigarettes tax in Poland are similar to the obligations applied to conventional tobacco. So, where products are held/moved under duty suspension, operators must (a) store them in a tax warehouse, (b) use electronic document for movements, and (c) provide a financial guarantee. • There is no registration fee for operators for excise duty purposes. However, operators who start doing business in the area subject to excise duty taxation must register for excise duty purposes (by submitting an AKC-R form to the competent tax office). • The obligation to account for excise duty on e-cigarettes came into effect at the end of 2020, but operators will have to mark products with tax stamps starting from April 2021, therefore there has been little enforcement of the tax until then. • Irregularities are subject to a sanction that is equivalent to twice the applicable excise duty. • Distance selling, both domestically and cross-border, of electronic cigarettes and refill containers is prohibited by health regulation.
HR	• In 2017, Croatia introduced excise on e-liquids, although with a zero rate. The absence of a positive rate makes the system particularly light to implement. • Manufacturers or importers of e-liquids must register to be able to operate in the country. Moreover, they have to provide a monthly report to the competent authorities with the volume of product released for consumption. On the other hand, they are not obliged to provide financial guarantees as the product does not carry an excise fraud risk. • The law envisages that the excise duty (in the event a positive tax is introduced) shall become chargeable at the time of releasing e-liquids for consumption in the territory of the Republic of Croatia, as follows: o at the moment of delivery from the manufacturer's warehouse, including consumption for one's own purposes in the manufacturer's warehouse, unless the

	products are dispatched between the warehouses of the same manufacturer or to another Member State for export, ○ at the moment of receipt from another Member State, unless the products are entered into an excise or manufacturer's warehouse, ○ in the case of import of excise goods into to the territory of the Republic of Croatia, on the day of customs debt incurrence, following customs regulations governing customs debt calculation and collection; unless after the completion of the customs procedure of releasing goods into free circulation they are entered into excise or manufacturer's warehouse, ○ at the moment of delivery from the excise warehouse, which implies the consumption for own purposes in an excise warehouse; unless the products are dispatched between excise warehouses of the same authorised excise warehouse keeper or to another Member State, or for export.
SE	• In Sweden, there is no legal definition of or legislation on e-cigarettes as such, but since 2018 these products fall under the Law "on the taxation of certain products containing nicotine".[354] This Law covers (1) e-liquids containing nicotine, as well as (2) other products containing nicotine for oral or nasal use, which are not e-liquids or tobacco products[355]. An amendment introducing highly concentrated e-liquids (defined as at least 15 milligrams, but not above 20 milligrams, of nicotine per millilitre of liquid) subsequently came into force on 1 January 2021. The rationale seems to address 'shake and vape' products (i.e. high-concentration 'nicotine shots' sold separately from flavoured liquids). The amendment could create some administrative uncertainties because liquids with a concentration higher than 20 mg/ml could be in theory imported without excise duty on it and subsequently diluted.[356] • In terms of obligations for operators, the system requires the company's registration. Operators can require the status of 'stock-keepers' (which applies to all manufacturers of nicotine products), which allows to manage nicotine products without having to declare and pay the tax (the tax will become due when the product is sold on retail). The system is parallel to conventional tobacco products, so a tax warehouse keeper must also register as a stock keeper to deal with nicotine products. • Distance/online cross-border sales from/to Sweden are allowed. In this case, vendors must register with the Swedish tax authority as 'distance sellers'. The tax has to be paid by the latter, even when is located in another country. • The commercialisation of products is subject to the TPD rules. These regulations include notification and submission of the analytical dossier with 6-month notice. Industry sources estimate that implementation costs are approximately SEK 13,000 per product, of which SEK 3,000 for notification fee. The tax is paid through periodical declarations. In line with the tax structure, two categories have to be indicated: (a) 'normal' e-liquid and; (b) highly concentrated e-liquid. • Private individuals physically bringing nicotine products for their personal use from another country (EU and non-EU) into Sweden are required to pay excise duty if they are importing more than 20 millilitres of e-liquid or 200 grams of other nicotine products. Smaller amounts for personal use brought in physically by private individuals (travellers' imports) are not taxed.
PT	• The Portuguese tax regime for e-cigarettes regards only liquids containing nicotine. The tax is fully specific per volume of liquids, and operators (mainly importers) have to pay it monthly, submitting a tax declaration to the competent authority. • Operators are subject to the same obligations applied to conventional tobacco products: fiscal warehouses, guarantees, tax stamps, etc. No specific record-keeping obligations are envisaged.

[354] Lag (2018:696) om skatt på vissa nikotinhaltiga produkter (Law on tax on certain products containing nicotine), including amendment Lag (2020:1018) om ändring i lagen (2018:696) om skatt på vissa nikotinhaltiga produkter: https://lagen.nu/2018:696

[355] The Law also excludes products classified as narcotics or health-damaging, medicines or medical technical products, or poisonous material (such as pure nicotine). Other products containing nicotine include, for example, snus without tobacco (i.e. nicotine pouches), nicotine chewing gum, nicotine nasal spray https://www.skatteverket.se/foretagochorganisationer/skatter/punktskatter/nikotinskatt.4.41f1c61d16193087d7fc7fe.html

[356] Liquids with a concentration higher than 20 mg cannot be marketed as such, but whether the current legislation may create fiscal loopholes remains unclear.

	• Guarantees are calculated based on the expected sales. Precisely, they correspond to 2% of the prospected amounts. • Since e-cigarettes are not harmonised products, they are not moved under EMCS when they enter the country from other Member States. However, within the country, including the islands, the use of EMCS is mandatory for all products that move under duty suspension, i.e. that are not duty-paid.

➢ **IMPLEMENTATION IMPACT AND TAX REVENUE EFFECTS**

PL	• The application of excise duty on e-cigarettes eventually entered into force in October 2020. In the last quarter of 2020, the tax revenues reported by the Polish tax authority amounted to PLN 5.72 million (EUR 1.25 million). This would correspond to 9,600 L of product at the current rate, i.e. some 4% of the presumed consumption. The gap is explained by the fact that the excise stamp obligation entered into force in April 2021. Until then, there was reportedly little control and enforcement. The effects of the novel regulation will become apparent in the following months. • Other forms of abuse reported relate to the placing on the market of flavoured liquids, supposedly intended as air fresheners but actually suitable for e-liquids' use. • Poland has prohibited distance sales both domestically and cross-border. However, the measure is difficult to enforce, and an estimated 15% of e-cigarettes consumers in the country still buy online**.**
HR	• The logic behind the zero-rate approach was to maintain a light touch on an emerging market of unknown magnitude while at the same time introducing regulations and controls on operators. The second reason was the assumption that most operators were SMEs, with possible limited tax bearing capacity. • In 2019, it was debated whether to introduce a positive tax, but the idea was abandoned. The tax revenue potential of this sector is considered limited. At the same time, introducing a positive tax would translate into additional administrative and financial burdens and the subsequent loss of competitiveness and the risk of creating incentives for tax avoidance practices.
SE	• In 2019 (the first full year of the new law being in force), the excise duty revenue from this category (including e-cigarettes and nicotine pouches) amounted to SEK 80 million. Provisional estimates for 2020 indicate an increase to SEK 115 million, i.e. less than 1% of the excise duties revenue from tobacco products.[357] • The introduction of an increased rate for high concentration liquid is expected to have an impact on the market, as the 'nicotine shots' commonly used by Swedish e-cigarettes consumers will become – according to industry's estimates – roughly 7-8 times more expensive than the EU average, making the local players not competitive. • It is too early to draw conclusions on the tax and its implementation effects. No particular measures have been adopted to detect and tackle irregular cross-border flows and potential losses in tax revenue. The level of control does not compare with the system in place for tobacco products. • Industry intelligence sources report that cross-border flows of non-duty paid products are possibly massive. An investigation on foreign online outlets revealed that only 4% are registered and pay excise duty when they sell their products to Swedish customers. In fact, the responsibility to pay the duties lies with the seller in the other Member State, who faces little risk because there are few controls. Moreover, there is basically no risk for the buyer in Sweden.
PT	• Portugal was one of the first countries to introduce an ad hoc tax on e-cigarettes in 2015. The tax rate was the highest ever applied in the EU, i.e. EUR 0.6 per ml. Such a high tax implied a price increase of regular products by an estimated 200%. In practice, legal sales shrunk, physical outlets closed, and many consumers and operators turned to cross-border shopping and e-commerce. The tax rate was then halved in 2017. Consequently, legal

[357] Ekonomistyrningsverket (Financial Management Authority), Tidsserier, statens budget m. m. 2019 (Time series, the state budget, etc. 2019): https://www.esv.se/publicerat/publikationer/2020/tidsserier-statens-budget-m.m.-2019/

market recovered, and duty-paid sales grew from EUR 3.4 million in 2015 to EUR 11.1 million in 2016, and finally to EUR 21.2 million in 2017.

- Therefore, the current level of taxation proved therefore to be more suitable for the market stabilisation than the initial one. Currently, there are no plans to revise it significantly in the near future. Tax revenues also stabilised at around EUR 1.5 million over the 2018-2020 period.
- However, tax compliance remains a problem. According to Ecigintelligence, only 7% of the potential excise revenue is collected. The first problem is that there remain strong incentives to buy non-taxed e-liquids in other MS, through cross-border trade and online outlets. Nowadays, distance selling online is not allowed in PT, but in practice it is very difficult to control it. According to Ecigintelligence, some 20% of the consumers buy their products online. In addition, there seems to be a problem with vendors irregularly acquiring non-duty paid products in other MS and selling them under-the-counter to consumers.
- Finally, as only nicotine-containing e-liquids are taxed, the system has encouraged users to put in place tax-avoidance practices, namely self-mixing nicotine-free liquids with nicotine shots purchased separately. This type of fraud allows consumers to pay the tax only on the volume of liquids that contain nicotine. It is estimated that a large share of the market consists of liquids for this so-called 'shake and vape' practice, which is a cause of foregone tax revenues. Additionally, at the moment, determining the actual nicotine content of e-liquids requires quite complicated laboratory tests, which competent authorities cannot carry out regularly. This complexity of verification may further foster tax avoidance practices. For all these reasons, Portuguese authorities are considering extending the tax regime's scope to nicotine-free liquids.

E.5.4 Summary of the key findings

Since its first introduction e-cigarettes have evolved significantly, both technologically and in terms of market penetration. However, since a couple of years there are signs indicating that growth has possibly reached a plateau. Eurobarometer figures show that ex-users in almost all MS exceed the number of actual users. Consumption data also show that (a) quitting smoking remains a main reason for the consumption of e-cigarettes, while at the same time (b) e-cigarettes are significantly more popular among young people (15-24 years old) than in other age groups. On the supply side of the market, big tobacco companies have entered this segment in the last few years but, with few exceptions the market remains dominated by independent players and poorly concentrated.

Various MS have introduced ad hoc taxation of the liquids used in e-cigarettes, applying administrative arrangements similar to those applicable for smoking tobacco. National fiscal regimes added up to product regulation introduced with the TPD. The combination produced tangible effects on the market, which were more marked in some countries, due to the specificities of the tax regime and contextual factors. In summary, MS seldom collected the tax revenues anticipated due to the emergence of tax evasion and avoidance practices. This consists firstly in distant selling online from countries where no tax is applied (despite prohibition of online sale) and secondly in the so called 'do-it-yourself' practices that allow consumer to pay the tax on only one part (the nicotine component) of the product. Furthermore, the nature of these products makes control and enforcement particularly difficult.

EU-level harmonisation of e-cigarettes excise duty is welcomed by authorities and most industry players, as it would improve enforceability, reduce cross-border distortion and ensure a level playing field. At the same time, some industry players (especially small ones) expressed concerns on the risk that excessive taxation could further depress the demand and eventually put small players out of business.

ANNEX F – IMPACT ANALYSIS

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2. INTRODUCTION

This Annex provides an extended version of the impact analysis of the proposed policy options for the revision of the Directive. Compared to the abridged version included in Volume 1, this Annex provides additional background analysis, details on the methodology and the sources utilised, further examination of specific challenges and, in Appendix, impact datasets for each scenario broken down by MS and/or by products / type of operators, as applicable in Appendix.

The Annex contains four more sections as follows:

- ***Section 2 –*** A ***synoptic summary review*** of the proposed policy options, in connection with the policy problems identified and the objectives of the intervention.
- ***Section 3 –*** Full review and impact analysis of the proposed options and scenarios for the ***revision of the EU minima*** applicable to tobacco products that are currently harmonised under the Directive (the 'traditional' tobacco products).
- ***Section 4 –*** Full review and impact analysis of the proposed options and scenarios for the ***harmonisation of new products,*** i.e. products that are currently not (explicitly) harmonised in the Directive, such as heated tobacco, e-cigarettes, smokeless tobacco, nicotine pouches etc.
- ***Section 5 –*** Full review and impact analysis of the proposed options and scenarios for the establishment of a ***harmonised tax regime for raw tobacco***, for monitoring and illicit trade-prevention purposes.

Additional methodological notes as well as detailed background data and calculations are provided in MS Excel format data in Appendix, in particular:

Appendix 1 - Impact on excise duties and markets, providing a detailed assessment of the market impacts related to an increase of EU minima and the establishment of new harmonised excise duty categories.
Appendix 2 - Public health impacts estimates, consisting of two parts: (a) the quantitative assessment of the potential effects of the EU minima revision on smoking prevalence in the EU, and (b) the related socio-economic benefits of a reduction in tobacco consumption, based on the existing literature on the tobacco burden.
Appendix 3 – Impact on cross-border flows, based on an econometric assessment of provisional EU traceability data.
Appendix 4 – Regulatory costs estimates, providing detailed regulatory costs estimates, covering the establishment of harmonised categories for new products and raw tobacco.
Appendix 5 – Note on environmental impacts, based on the main published literature available.

3. SUMMARY OF POLICY OBJECTIVES AND OPTIONS

The following Table F.2.1 provides the ***intervention logic*** supporting the proposed revision of the Directive. The diagram connects the policy problems with their underlying main causes (drivers), and with the specific objectives of a possible EU intervention. In this scheme, the 'inputs' of the intervention logic are represented by the proposed policy options, whose expected effects will be examined in the next sections.

Based on this scheme, the policy options reviewed in this Study can be grouped in ***three main policy areas***, further subdivided into ***nine specific options***, which relate to specific products and/or Directive provisions. It should be clarified that the specific options are ***independent and not mutually exclusive***, albeit there are clear connections and synergies between them in the perspective of the Directive's ultimate goals. In this sense, each of them has to be considered ***in opposition with the 'no change' option*** and not against each other. The resulting structure of the specific policy options assessed in this Annex is as follows:

1) ***Revision of minimum rates***, subdivided into:
    a. Cigarettes
    b. Fine-cut tobacco (FCT)
    c. Cigars and cigarillos (C&C)
    d. Other smoking tobacco (OST)
2) ***Harmonisation of tax regimes for new products***, including:
    a. Heated tobacco products (HTP)
    b. Electronic cigarettes
    c. Other manufactured tobacco and related products (OMT / RP)
3) ***Harmonisation of tax regimes for raw tobacco***, comprising two sub-options:
    a. Establishment of a new excise category for raw tobacco
    b. Revision of the smoking tobacco definition (art. 5.1)

Various specific options have been further modulated into alternative ***'scenarios', which refer to 'how' the proposed policy change could be implemented*** (e.g. the extent of the revision of certain EU minima). Within each specific option, the scenarios examined are evidently mutually-exclusive.

For some policy areas, ***implementation 'variants'*** have been considered and examined. These are alternative and/or supplementary measures, which may (or not) improve the effectiveness and/or the efficiency of the proposed policy revisions. In this sense, they are subordinated to the adoption of the specific option they relate to and not 'standalone' measures. Examples include: expressing the new EU minima in 'real' (instead of nominal) terms, establishing ad hoc minima for WPT different from the new OST minima etc.

Table F.2.1 – Intervention logic for the revision of the Directive

Policy problem	Drivers	Specific objectives	Policy options
Tax-related substitution across products	• Too large differential of taxation between products • No tax on certain substitute products	• Approximate the level of taxation between products to mitigate substitution • Mitigate tax revenue losses linked to substitution	• Revision of EU minima • Harmonisation of tax regimes for new products
Affordability of tobacco products undermining tobacco control goals	• Unfit EU minima no longer effective in pushing up MS tax levels • No tax on certain substitute products	• Restore the effectiveness of EU minima in deterring consumption • Extend harmonised excise duty to products currently not taxed	• Revision of EU minima • Harmonisation of tax regimes for new products
Cross-border flows of duty-paid products abusing the principle of individual use	• Disparities of tax levels between MS ineffectively addressed by EU minima	• Enhance convergence in tax levels between MS to mitigate cross-border shopping • Prevent MS market disruptions due to unfit minima • Mitigate tax revenue losses linked to cross-border flows	• Revision of EU minima
Incoherent treatment of new / non-harmonised products	• Unfit tax regime for HTP • E-cigarettes falling outside of the scope of the Directive • Other smokeless products not covered by the Directive	• Improve internal market integration with respect to new products • Remove disparities in the excise regime applied to new products • Prevent the emergence of 'borderline' products eluding the excise duty system	• Harmonisation of tax regimes for new products
Illicit manufacturing and trade of tobacco products	• Substantial economic returns from ITTP • Poor control of raw tobacco cross-border flows enabling diversion to illicit channels • Uncertainties with the tax definition of smoking tobacco	• Secure the raw tobacco supply chain through appropriate control tools and sanctions • Mitigate tax revenue losses linked to ITTP • Clarify the demarcation between raw and smoking tobacco	• Revise EU minima • Harmonisation of tax regimes for raw tobacco
Uncertain / unfit Directive provisions to be fixed	• Unfit tax category for cigarillos, offering opportunities for 'borderline' products • Unfit tax regimes for WPT, fostering illicit trade • Unclear MED rules	• Remove the risk of opportunistic cigarillos products • Establish a tax regime fitting with WPT characteristics • Clarify the nature and the condition of application of the MED provision	*Ancillary options*: • Revision of the cigarillos categorisation • Revision of WPT categorisation • Revision of the MED provision

4. REVISION OF MINIMUM RATES

Overall approach

➢ **OBJECTIVES OF THE POLICY REVISION**

The results of the Directive evaluation (EA 2019) and the following Commission Report (2020) showed that the current excise duty minima outlined in the Directive have largely become obsolete and can no longer produce effects on the actual excise duty level applied in the Member States. While a full analysis of the performance of the Directive in this area can be found in the aforementioned evaluation reports, this Section briefly recapitulates the roles of EU minima within the overall intervention logic of the tobacco excise policy. The purpose is to clarify the objectives, drivers and intrinsic limitations of this tool, so that future minima can be appropriately designed and results can be optimised.

The first consideration regards the ***contribution of the minima to the functioning of the internal market***, which is one of the two overarching goals of the Directive. In this area, EU minima can have two main effects:

- ***Fostering convergence*** of the tax levels applied in MS. Convergence is a crucial element of the current tobacco excise policy, as large tax (hence price) differentials between countries can and do encourage tax-induced cross-border purchases of duty-paid products, including eluding or abusing the existing allowances for private consumptions. At the same time, the current Directive recognised the existence of a significant difference between MS economies, so transitional periods and derogations were extended to certain countries to meet EU minima requirements.
- ***Contributing to fair competition*** between different types of products, preventing or mitigating tax-induced substitution. Reducing the tax gap between FCT and cigarettes is currently a stated objective of the Directive. For other products, there is no explicit aim in this sense, but a general principle of avoiding an excessive difference in the tax levels applied to potentially substitute products can be inferred. At the same time, differentiated tax regimes have been adopted for different products, which reflect major differences in the industry, the product, and the demand patterns and characteristics.

Secondly, EU minima support the second overarching objective of the Directive, which is to contribute ***to public health protection*** by improving health determinants. Taxation is one of the main policy tools for reducing smoking prevalence among the population, as recently called for, inter alia, by the EU Beating Cancer Plan. In line with the analysis carried out under EA 2019 (and the relevant scientific literature), there are two main relevant aspects to consider in this respect, namely:

- ***Affordability of products***. In terms of tobacco control, it is not the nominal price of products that matters but how affordable they are to the consumers. Evidently, nominal price increases do not necessarily affect the final demand for tobacco products if consumers' income has increased to the same or a higher degree. In this regard, one of the standard indicators used in the literature to measure cigarettes affordability is represented by the relative income price (RIP), i.e. the percentage of per capita gross domestic product (GDP) (as a proxy for disposable income) required to buy 100 packs of cigarettes.[358] Therefore, the higher the RIP, the lower the consumers' affordability, hence the potential demand. An increase in the RIP value roughly indicates that cigarettes have become less affordable and vice versa. For practical reasons, affordability is generally measured with reference to the weighted average price (WAP) of cigarettes, or to the price of the most popular products on the market.
- ***Accessibility of products***. This indicator pertains to the affordability of tobacco but specifically focuses on the lowest price available on the market to gauge the impact of

[358] Blecher EH, van Walbeek, CP, A*n international analysis of cigarette affordability* Tobacco Control 2004; 13:339-346.

taxation on the most price-sensitive layers of the population. When average tax levels increase, down-trade effects can be registered, which roughly translates into increased marketing of lower price products that become more attractive for income-restrained consumers. Therefore, to specifically prevent this down-trading phenomenon, tax policies that aim at curbing consumption should target not only the average tobacco products' price but also the entry-level price and the price of substitute products.

The revision of EU minima should reconcile, as much as possible, these two overarching objectives. In practical terms, attention should be paid to the different and sometimes opposite effects that current mechanisms can have on the achievement of these policy objectives, as briefly described in the following section.[359]

- **OVERVIEW OF CURRENT ARRANGEMENTS**

The current EU minima arrangements consist of different provisions, all of which will be subject to revision under the proposed 'policy change' scenarios. Before discussing updates of the current levels', it is useful to review how the two building blocks of the EU minima work – i.e. the fixed minimum and the relative minimum conditions – including how they support the achievement of the objectives of the Directive and the limitations thereof. This will lead to the formulation of possible corrective measures, as described in the next section.

- A ***fixed minimum*** excise duty amount expressed in monetary terms can theoretically foster convergence among tax levels, as it imposes a floor that MS are required to comply with. A progressive upward lifting of this floor can reduce, in principle, disparities between national levels, but only under the assumption that excise duty levels remain stable in MS that comply with EU minima. In reality, MS do continuously increase their tax levels regardless of EU minima to pursue their policy objectives. A convergence objective could be theoretically achieved only by imposing a 'tax ceiling' in addition to the floor, but this is unfeasible, as it would damage both MS revenue-raising capacity and tobacco control objectives. So, a fixed minimum cannot per se induce any EU-wide convergence although – as EA 2019 showed – it can at least prevent more serious divergences and the risk of disruptions.

  Furthermore, from a tobacco control perspective, a fixed minimum equal to all MS does not appear as a particularly efficient tool either because it ends up putting fiscal pressure only on MS with a relatively low purchasing power, which are also the countries where affordability is already below the EU average (see Figure F.3.1).

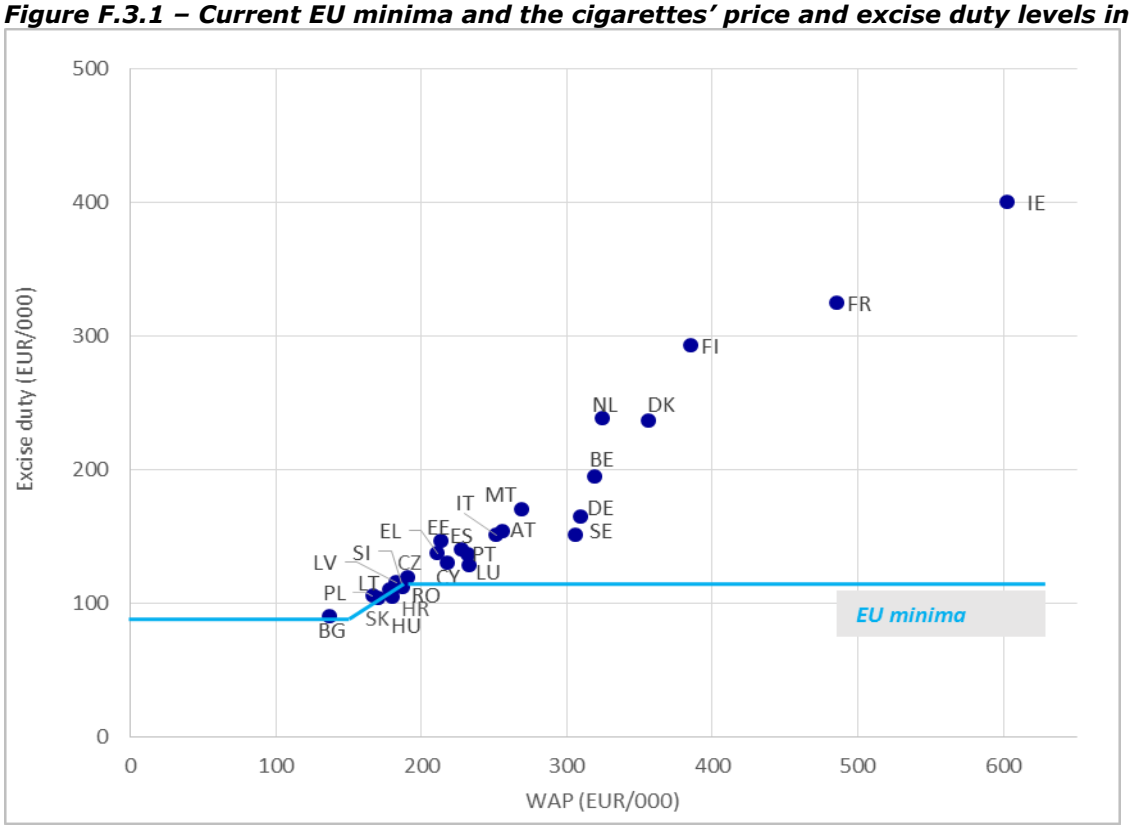
- The ***relative minimum*** condition can theoretically address the above issues. By linking excise levels to price levels, this condition would have equivalent effects in all MS, thus addressing the affordability issue more consistently than the above fixed minimum. On the other hand, the relative minimum can contribute, for the very same reason, to cross-country price divergence. Nominal price levels vary greatly between MS and applying excise duties that are purely proportional to prices would reinforce and enlarge this gap. Excise duty (hence price) divergence would, in turn, fuel cross-border shopping and the above-mentioned benefits would be eventually jeopardised. For this reason, the current excise structure for cigarettes includes an 'escape clause' from the relative minimum condition for MS where excise duty levels exceed a certain threshold. The escape clause partly removes the distortive effects of the relative minimum and transforms the system into a sort of two-tiered fixed minimum system where the relative minimum condition de facto prevails on the fixed minimum condition only in a small window (see Figure F.3.1).

  Additionally, from a tobacco control perspective, the relative minimum condition can unintendedly produce detrimental effects on the accessibility of tobacco. In a hypothetical scenario where only a relative minimum condition applies, manufacturers would be encouraged to refrain from increasing prices (as these would translate into further tax

[359] Substantial analysis of the effects of the EU minima conditions is available in the EA 2019 study.

increases) and rather seek margins through expanding volumes of sales of low-price products. In the case of cigarettes, such risk is avoided by the combination of the fixed and the relative minimum conditions (in reality only a few MS are concerned by the relative minimum because of the escape clause). For other tobacco products, MS are required to comply with either condition, so they can opt for a full ad valorem structure, setting a rate that is equivalent (or higher) than the prescribed minimum. However, as highlighted in various pieces of literature, including WHO guidelines, pure ad valorem taxes are less effective from a tobacco control perspective because they encourage the development of the low-price segment.[360]

Figure F.3.1 – Current EU minima and the cigarettes' price and excise duty levels in MS



Source: *Own elaboration of TAXUD's excise duty data.*
Note*: For simplification, in this diagram, we put the fixed minimum condition in relation to cigarettes' price at WAP level, although it actually refers to all price categories.*

➢ **ALTERNATIVE APPROACHES TO EU MINIMA**

When converted in real terms, the excise duty levels applied in MS differ significantly from nominal levels. Figure F.3.2 below shows the baseline situation for cigarettes, comparing national excise duty levels in nominal terms and ***Purchasing Power Parities (PPP)***, i.e. adjusting levels by the country's ***Price Level Index*** (see Box F.3.1 for details). Except for IE, FR and FI, whose ranking is not altered when measured in terms of PPP, there are various countries whose nominal excise duty levels are substantially higher than in real terms (i.e. LU, DK, SE, AT, BE and NL) or vice versa (i.e. RO, PL, BG, CZ, HU, LT, HR and others).

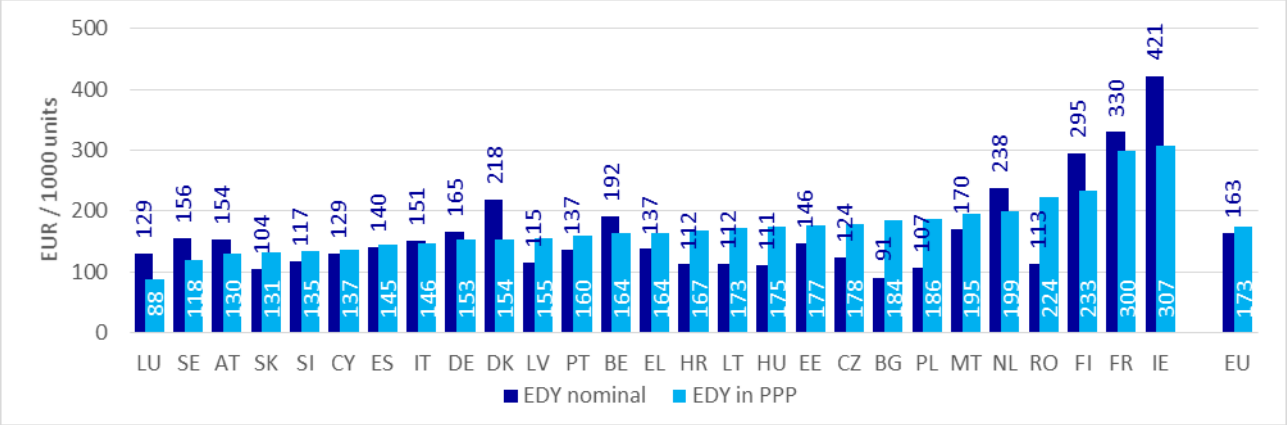
In this sense, raising EU minima in purely nominal terms would end up affecting primarily those MS where, in real terms, excise duties are already comparatively high and well above the EU average. From the perspective of the Directive objectives, ***this would constrain the expected***

[360] Among the vast literature on the effectiveness of different excises to curb tobacco consumption, it is worth mentioning the seminal paper from Sofia Delipalla and Michael Keen, "The comparison between ad valorem and specific taxation under imperfect competition", Journal of Public Economics, 1992, vol. 49, issue 3, 351-367, as well as the later work: Sophia Delipalla and Owen O'Donnell, "Estimating tax incidence, market power and market conduct: The European cigarette industry", International Journal of Industrial Organization, 2001, vol. 19, issue 6, 885-908.

benefits of the proposed policy revision regarding both the harmonisation objective – as MS would not be equally impacted in relation to their economy – and the public health protection objectives because tax (hence price) levels would increase especially where tobacco products are already the least affordable in the EU.

To address these constraints, the current EU minima expressed in nominal monetary amounts (the fixed minimum and the escape clause) could be instead expressed in real terms to take MS economic differences into account. Two main approaches have been considered to this end: (1) ***expressing EU minima in relation to PPPs***, as it is customary for comparing quantities expressed in monetary amounts between MS (e.g. GDP, prices, income levels, etc.); and (2) ***adjusting EU minima by income levels***, through the above-mentioned 'relative income price' (RIP) indicators, or the like, thus linking excise levels to affordability. As described in Box F.3.1 below, the PPP-based approach emerged as most appropriate for impact analysis purposes but, for all practical purposes, the two parameters are closely connected at the EU level, so very similar impacts can be expected regardless of which approach is adopted.

Figure F.3.2 – Cigarettes' excise duty yield in MS, in nominal and PPP-adjusted terms (2020)



Source: *Own elaboration of TAXUD excise duty data and Eurostat 2019 Price Level Indexes (based on actual individual consumption).*
Legend*: PPP=purchasing power parity; EDY=excised duty yield at weighted average price (WAP) level.*

Box F.3.1 – PPP-based adjustment and affordability

It has to be highlighted that, from a purely economic perspective, the PPPs do not necessarily reflect affordability or, more precisely, they reflect a different concept of affordability than one expressed by the relative income price (RIP) indicator. As described by Eurostat, purchasing power parities (PPP) are indicators of price level differences across countries.[361] They indicate how many currency units a particular quantity of goods and services costs in different countries. In this sense, PPP is the method of choice to statistically compare MS economies with one another (GDP, GNI), the material well-being of their residents, as well as Europeans' income levels (as in the case of Eurostat's indicator on the 'adjusted gross disposable income of households per capita'). PPP is primarily a static indicator, able to compare economic variables at a specific point in time, but not suitable for describing trends within an individual country.

The relative income price (RIP) is a metric developed to directly assess the affordability of cigarettes in a given country for the average consumer. It is expressed as a simple ratio between the cigarette price and the average nominal income. The RIP is not connected to the overall level of prices in the country and is independent of average levels in other MS or the EU. In this sense, the RIP allows close monitoring of changes in affordability in one country over time and, specifically, the extent to which affordability is affected by excise duty increases or offset by income growth. On the other hand, the RIP reflects a specific country's economic situation and is not in itself designed for cross-country comparisons.

As shown in Figure F.3.3, the two metrics (i.e. the RIP and the WAP expressed in PPP) are nonetheless correlated and largely equivalent as concerns their practical effects. The list of countries falling under the EU average in the two distributions coincides at 80% (and non-negligible differences are registered only

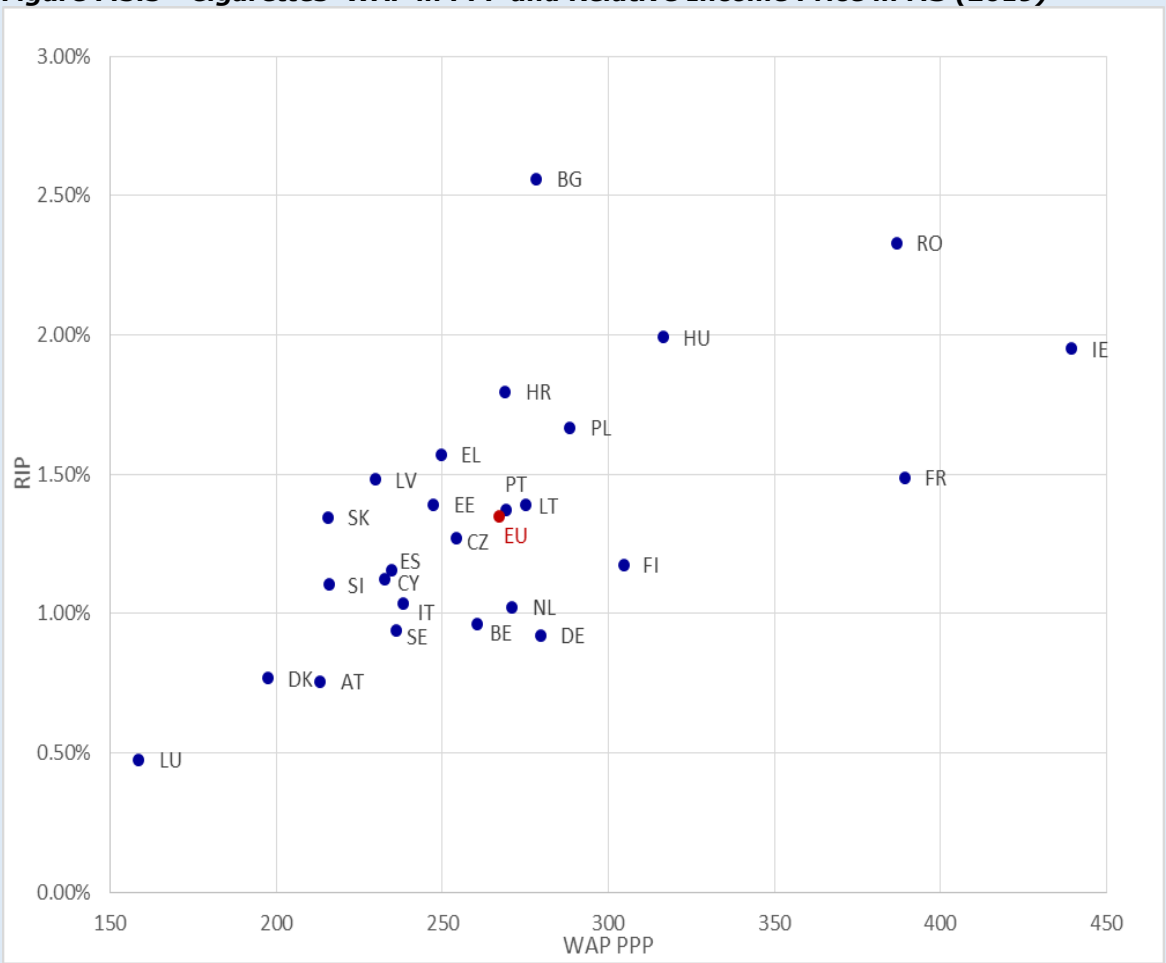
[361] https://ec.europa.eu/eurostat/documents/728703/728974/FAQ-PPP.pdf

for 2 out of 14 MS).[362] This indicates that the choice of the metric would not significantly influence the overall impacts of the reform.

Having this caveat in mind, the scenarios retained and examined in the Study are based on PPP-related adjustments. The choice was eventually motivated by the following reasons:

- PPP is a reasonably stable and well-accepted indicator, which is regularly elaborated by Eurostat, with the specific purpose of allowing economic comparisons between MS, whereas RIP is not an established EU statistical measure. Conversely, the RIP is published by the WHO but with reference to MPPC and in US dollars. It should therefore be calculated on an ad hoc basis, and an appropriate EU statistical methodology should be developed and validated for this purpose (e.g. in the economic literature, income levels were approximated by GDP per capita, which is however an imprecise measure for disposable income).
- PPP, as a measure of 'price affordability', is also more appropriate in the context of EU tax harmonisation, where the aim of harmonisation for internal market functioning relates to price convergence and not to underlying income convergence. In this sense, PPP appears more consistent with both the overarching objectives of the Directive and is not skewed towards the public health protection objective, as is the RIP.

Figure F.3.3 - Cigarettes' WAP in PPP and Relative Income Price in MS (2019)



Source: *EDT (WAP); Eurostat (PLI, disposable income of household per capita)*
Note: *In this figure RIP is calculated as the percentage of the nominal disposable income of household per capita required to buy 1000 cigarettes at country's nominal WAP level. MT is not included because the disposable income of household per capita is unavailable on Eurostat.*

- The arguments in support of RIP-based adjustments emphasize the greater precision of this indicator to reflect affordability, which is the public health objective of taxation. This is certainly correct, however the potential impact of EU minima should not be overestimated, as EU minima remain thresholds and not actual level of excise duty imposed to MS. Only MS that fall below this threshold would be compelled

[362] Assuming to set minima at the EU average level, EL and LV would be affected under the PPP approach but not under the RIP approach, while FI and DE would be affected under the RIP approach but not under the PPP approach.

to increase their rates, while the rest would be free to apply different rates. In practical terms, and considering the similar effects shown in Figure F.3.3 above, we do not expect RIP-adjusted minima would address affordability issues significantly better than PPP-adjusted minima. At the same time, the PPP approach would offer a more neutral policy perspective on the matter, as its underlying logic is to correct technical 'distortions' in the EU minima 'tool' (the distortions that arise since a monetary amount has different 'weight' in different countries) and not to encourage specific policymaking approaches in MS (such as setting excise duty levels in connection with the measured affordability).

Various approaches have been considered for mainstreaming PPP-based adjustments in the current EU minima mechanism. The possibility of using a ***pure PPP-based system*** – i.e. a system where EU minima are entirely expressed in PPP terms – has been dropped in the course of the Assignment. The Price Level Index (PLI) differences between MS are significant (the PLI of Luxembourg is three times higher than the PLI of Bulgaria). Hence, a 100% conversion of minima into PPP may lead to (1) huge and potentially disrupting tax hikes for a few high-income countries (e.g. LU, DK, AT, and SE) and, conversely, (2) significant tax reduction in others (e.g. BG, RO, PL, CZ and LT). In this sense, both overarching objectives of the Directive would be poorly supported. A more detailed assessment of expects market impacts under a pure PPP system is provided in Appendix 1. In summary, the results are as follows:

- Regarding ***cigarettes***, the excise duty average increase in MS would be lower than under a pure nominal approach: i.e. between 2% and 20% (depending on scenarios) instead of 4% to 38%. At the same time, there would be substantial redistributive effects across MS: countries like SE, LU and AT would face much higher increases compared to the nominal approach, whereas in countries like BG, PL, RO, CZ, HR and LT there would be no or modest increases. The choice between the pure PPP and the nominal approach would make no or limited difference in countries where excise duties are well-above the EU minima (FI, FR and IE) and/or where PLI is close to EU average (IT, ES, DE, BE, MT and CY).
- The ***consumption*** patterns would reflect the excise duty increases, so in six MS the pure PPP approach would decrease demand and sales, in comparison to the equivalent nominal approach, while in 16 MS the opposite would be registered. In EU aggregate terms, the nominal approach would be more effective than the pure PPP approach in reducing consumption (between 1% and 5%, depending on scenarios).
- For ***products other than tobacco***, differences are far less marked, for a technical reason. Where the two EU minima conditions are set as alternative (either the fixed or the relative minimum has to be complied), the relative minimum condition tends to prevail under substantial increases scenarios, as those prospected in this Study. In other words, it will be generally easier to meet the minimum incidence, which is expressed in percentage and is not affected by the choice between a PPP or a nominal approach. As shown in the Appendix, in the case of FCT only a few countries would be affected by the choice between a PPP or a nominal approach (SE, RO, LT and to a lesser extent LV, SK and HU), and mainly for low increase scenarios. Regarding FCT consumption reduction, the nominal approach would be again the moist effective approach, but differences are almost negligible (below 0.5%).

The recourse to PPP should rather take the form of a corrective measure, which ensures a more equal distribution of impacts across MS and enables the application of more ambitious tax increases, since they would not end up affecting countries where affordability is already overstretched. In this sense, various combinations of nominal rates and PPP-based adjustment have been tested, including: (1) an ***'optional PPP'*** system, where MS authorities are required to meet EU minima either in nominal or PPP terms;[363] and (2) an ***'incremental PPP'*** system,

[363] In this approach, only Member States with a PLI below EU average (i.e. below 100), would be subject to the PPP-based regime, while for all other Member States EU minima expressed in nominal terms would prevail. In essence, this approach would introduce a sort of derogation for low-PLI countries, thus allowing ambitious tax increases. On the other hand, there is a risk of lowering too much the tax pressure on these countries (the distortions of a pure PPP-based system would apply here). To prevent this risk, a 'floor clause' can be added to impede that the conversion in PPP terms might translate into a reduction of current minima, but the overall result would be a very complicated system, so this option was eventually dropped.

where only the incremental part of the EU minima is expressed in PPP terms, while the remainder (i.e. the current level) is expressed in nominal terms.[364]

Eventually, the system that seemingly presents the most benefits and least adverse effects, and has therefore been retained, is a '***partial PPP' system***. This system involves, again, a mix of nominal and PPP-based components but, unlike the incremental system, the two components have a fixed proportion, The crucial point, in this approach, remains to use the same proportion (i.e. the same combination of nominal and PPP components) for all scenarios and all products, to ensure the maximum coherence in the system.

In the impact analysis, a fixed proportion has been applied where the nominal component accounts for 2/3 of the total and the PPP component for 1/3. This proportion has been derived from the increase scenario for the EU minima on cigarettes that correspond to the average expectations of MS, as emerged from the tax authorities' survey. The average new fixed minimum for cigarettes would amount to EUR 128 per 1,000 stick, i.e. EUR 38 more than the current EUR 90. This translated into a revised level that is composed by roughly 2/3 of the old minimum and 1/3 of the increase. By expressing the first component in nominal terms, the risk that EU minima go below the current level (e.g. in countries with a very low PLI) is removed. At the same time, expressing the increase in PPP terms would mitigate the burden for countries where, in real terms, excise duties are already above the EU average.

It is important to clarify that the proposed fixed proportion between the nominal and the PPP component is purely conventional, as under more ambitious increase scenarios, as well as for products other than cigarettes, the increase component may easily exceed 1/3 of the new proposed level. In this sense, the Partial PPP approach should be seen as a solution that is mainly aimed at achieving a more balanced distribution of impacts across MS, while at the same time mitigating the risk of radical effects, which may derive from the application of a pure PPP system. In this sense, different proportion between the nominal and the PPP component might be envisaged, as required by policy needs. In adjusting the proportion it is useful to consider that:

- An increase of the PPP component would reduce the impact on MS with a low PLI, which are often those where, in nominal terms, the excise duty levels are the lowest. The main advantage is a reduced risk of internal market disruption in MS where, in relation to the domestic purchasing power, prices are already high. This includes also a reduced pressure on consumers to make recourse to cheaper products of foreign and/or illicit origin. Secondly, the PPP mechanism would extend the impact of EU minima to high-PLI countries, where the price of tobacco is higher than EU average in nominal term, but fairly low in real terms. By reducing tobacco affordability in these countries, enhanced public health benefits can be expected. On the other hand, a greater reliance on PPP would mitigate the 'convergence' effects of an upward revision of minima. The price gap, in nominal terms, between MS may not reduce significantly or even expand. This would have repercussions in terms of cross-border flows and ensuing negative public health and tax revenue impacts.
- An increase of the nominal component would have specular effects. Considering that in the approach examined the nominal component prevails, a further expansion would in practice maintain the status quo, with its pros and cons. On the positive side, this approach would have a more marked effects on price convergence, thus reducing cross-border flows and their adverse effects on tobacco control and MS tax revenues. On the other hand, a more limited number of MS would be affected, mostly including countries

[364] For example, a partial PPP system for cigarettes with a new fixed minimum of (e.g. EUR 130) would include a nominal component – the current EUR 90 per 1,000 units – and a PPP-based component of EUR 40 that varies across the Member States in relation to their PLI. This approach would remove, in principle, the risk of relaxing too much the pressure on low-PLI countries, thus optimising the effects on convergence, compared to other PPP-based systems. Inevitably, it would be less effective in addressing affordability issues in high-PLI countries. However, the main limitation of this approach is a practical one, as the effects of the combination of the two components (nominal and PPP-based) would depend on the extent of the tax increase compared to current levels. As discussed further below, for products like cigars and cigarillos, or pipe tobacco, this approach would translate in a quasi-pure PPP-system, whereas for cigarettes, the nominal component would continue prevailing in most scenarios considered. For this reason, the 'incremental PPP' approach was eventually dropped as not sufficiently predictable in its effects.

where affordability of tobacco is already below the average, and therefore, where there is less need of support to public health objectives.

For the Partial PPP approach examined in this section, the formal expression for the calculation of the minimum applicable in MS would be as follows:

$$\mathbf{MS_{min} = 2/3 * EU_{min} + 1/3 * EU_{min} * PLI_{MS} / 100}$$

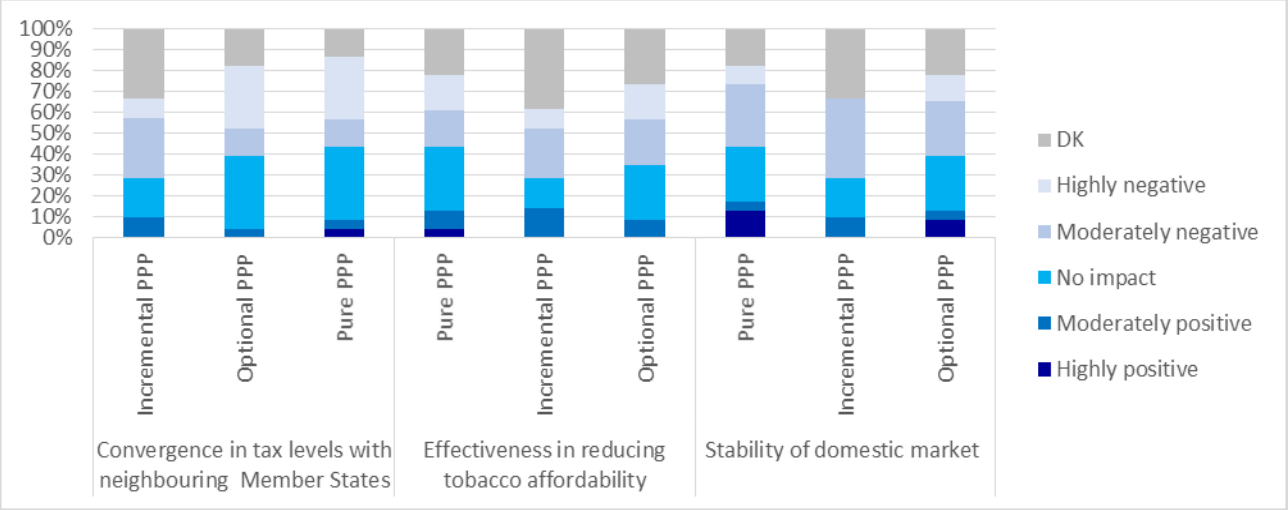
where:

- MS_{min}= New minimum applicable in a specific Member State
- EU_{min}= Current EU minimum in nominal terms
- PLI_{MS}= Price Level Index of the Member State

PPP levels evolve and are re-estimated annually. However, annual revision of EU minima is not recommended as it would be more difficult for certain MS to prepare multi-annual tax increase plans. Furthermore, as discussed, PPP is not a suitable tool for MS-level dynamic trends (indices' fluctuations may depend on all other MS economies). It is rather suggested to establish a ***fixed reference year*** and schedule periodical revisions on longer periods (e.g. five years), along with the periodical revision and update of the Directive and of the EU minima.

The possibility of introducing alternative approaches for EU minima was tested among ***MS tax and customs authorities*** through the targeted survey. As Figure F.3.4 shows, the initial feedback was cautious,[365] but a substantial share of survey participants did not provide a concrete answer (i.e. only half of participants replied with respect to the incremental PPP approach). In particular, various MS expressed the concern that PPP-based approaches could negatively affect convergence in tax levels. As discussed, the tested approaches were therefore dropped and the partial-PPP approach was developed to mitigate the adverse effects anticipated by MS authorities.

Figure F.3.4 – MS authorities' feedback on PPP-adjusted approaches for EU minima



Source: *TCA survey*

[365] It should be added that the objective of the proposed reform is to expand the impact of EU minima to MS that so far have never been touched because of their economy levels. A certain resistance toward the reform is therefore not surprising.

3.1 Policy options

3.2.1 Option 1A – Revision of EU minima for cigarettes

Various scenarios for the increase of EU minima on cigarettes – from moderate increases to very ambitious ones – have been developed and examined in the Study. The proposed scenarios, summarised in Table F.3.1 below, involve a simultaneous and equivalent increase of the three conditions involved, namely:

- the fixed minimum expressed in monetary terms;
- the relative minimum expressed as a percentage of the retail selling price, measured at WAP level; and
- the 'escape clause', i.e. the excise level threshold above which MS can derogate from complying with the relative minimum.

Regarding the ***fixed minimum***, four progressive scenarios are proposed ranging from EUR 115 per 1,000 units (i.e. an increase of 28%, corresponding to the current escape clause level) to EUR 180 (i.e. a 100% increase on the current level). For impact analysis, each scenario is assessed assuming minima is expressed both (1) in ***nominal terms***; and (2) in ***partial PPP-adjusted terms***.

The ***relative minimum*** condition is not per se subject to obsolescence because it is pegged to price levels (specifically to WAP). However, MS can derogate from the relative minimum condition if the excise duty level is higher than the escape clause level. As the escape clause is expressed in monetary terms, the relevance of the relative minimum can de facto deteriorate over time. In other words, as MS become increasingly compliant with the escape clause level (see Figure F.3.1 above), the relative minimum condition loses its traction effect. So, updating the relative minimum requires increasing the ***escape clause*** level in the first place. The proposed increase scenarios for the escape clause outlined in Table F.3.1 largely follow the same increase patterns proposed for the fixed minimum increase scenarios.

In addition to the escape clause, the relative minimum itself can also be subject to an upward revision. In this respect, the room for the increase is smaller because the total tax burden – including VAT – is already, on average, at 79% of the WAP in the EU. Moreover, in some countries, it is close to or exceeds 85% (i.e. FI, FR, DK and EE). Four increase scenarios for the relative minimum have been selected (Table F.3.1).

The validity of the scenarios considered has been indirectly confirmed by the results of MS tax and customs authorities. When asked to provide indications on expected future levels of EU minima, MS provided very polarised feedback, with the relative majority of respondents clustering around the 'no change' option or the maximum levels of increase proposed. The simple average of feedback amounts to EUR 128 for the fixed minimum, 62% for the relative minimum and EUR 164 for the escape clause – figures that are largely in line with the intermediate scenarios (B and C) proposed below.

Table F.3.1 – Possible scenarios for revision of the EU minima on cigarettes

	Baseline	Nominal increase - scenarios				Partial PPP
		A	B	C	D	
Fixed minimum (€ / 1000)	90	115	130	150	180	*Same as nominal*
Relative minimum (% of WAP)	60%	60%	61%	62%	63%	*Same as nominal*
Escape clause (€ / 1000)	115	145	170	195	230	*Same as nominal*

3.2.2 Option 1B – Revision of EU minima for FCT

Regarding FCT, the Directive expressly states the need to bring the minimum rates closer to the levels applicable to that of cigarettes, which occurred in most MS, as documented in the previous evaluation report (EA 2019). This trajectory can be maintained in the future revision of the Directive to foster further convergence of tax levels at the MS level. Therefore, the proposed scenarios for an increase in FCT minima are designed to ***reduce the gap with cigarettes' minima*** as outlined in Table F.3.1 above. More specifically:

- for the ***fixed minimum,*** the scenarios range from EUR 90 (which is the current minimum for cigarettes) to EUR 160 per kg, thus reducing the gap from EUR 30 to EUR 20; and
- for the ***relative minimum,*** the proposed scenarios range from 51% to 60%, thus reducing the gap from 10 to 3 percentage points.[366]

For consistency with the cigarettes' proposed regimes, also in the case of FCT (and of the other harmonised products), the possibility of applying a partial PPP-based correction to EU minima has been explored, where the new EU fixed minimum would be expressed partly in nominal terms (two-thirds) and partly in PPP (one-third).

MS authorities' views on possible new EU minima for FCT diverge significantly. Nonetheless, the general view emerging from the survey feedback is largely consistent with the intermediate scenarios developed in this Study, and reported in Table F.3.2, namely: EUR 106 for the fixed minimum and 57% for the relative minimum.

Table F.3.2 – Possible scenarios for the revision of the EU minima on FCT

	Baseline	Nominal increase - scenarios				Partial PPP
		A	B	C	D	
Fixed minimum (€ / 1000)	60	90	105	130	160	*Same as nominal*
Relative minimum (% of WAP)	50%	51%	53%	56%	60%	*Same as nominal*

3.2.3 Option 1C – Revision of EU minima for cigars and cigarillos

The EU minimum rates applicable to cigars and cigarillos - i.e. 5% of the retail selling price or EUR 12 per kg or 1,000 pieces[367] - are ***the lowest among all tobacco products***[368] and have not changed since 2011.[369] The implicit justification for this regime relates to the specific production and consumption features of these products, such as higher production costs (due to more labour-intensive processes and costs of raw materials), typically smaller operators' dimension, less frequent (mostly occasional) consumption, etc. There was no requirement in the legislation for convergence with the tax levels applied to cigarettes, which can be interpreted as an acknowledgement that – due to their characteristics – the demand for cigars and cigarillos was not (primarily) driven by substitution, as is the case for FCT.

In the past, low tax rates ***enabled the emergence of 'borderline' products*** within this category, such as the so-called 'party cigars' (that were actually FCT sold in a tobacco wrapper) and 'borderline' cigarillos, i.e. products taxed as cigarillos but with appearance and

[366] However, the two regimes are not fully comparable: cigarettes' tax base is per number of sticks while FCT base is per kg; fixed and relative minimums are cumulative conditions for cigarettes, whereas they are alternative conditions for FCT.
[367] Unlike cigarettes and FCT, the relative minimum rate is not measured at the WAP level but applies to all products. In this sense, it is a sort of minimum 'ad valorem' rate.
[368] A proper comparison is unfeasible as tobacco products have different characteristics. However, both in the percentage of the retail price and in absolute value per weight or quantity, the minimum rates for cigars and cigarillos are lower than for any other tobacco products.
[369] Since the 1990s only small changes were made in the EU minima for cigars and cigarillos.

characteristics similar to cigarettes.[370] Additionally, less strict requirements established for cigarillos under the TPD, compared to those of cigarettes, can offer incentives for producers to commercialise cigarillos as cigarette substitutes.[371] In this sense, some cigarillos branded as popular cigarettes have appeared on certain EU markets.[372] These issues were addressed at the EU level by revising the tax category definition and at the MS level by modulating tax levels, and making recourse to the 'minimum excise duty' instrument, with mixed outcomes.[373] The available evidence on these trends is reported in Annex.

Against this framework, although consumption data do not generally show emerging issues, it is nonetheless advisable to consider a ***significant upward revision*** of the current EU minima, for two main reasons:

- to enhance and maintain equal treatment of the different tobacco products in the EU excise legislation, thus avoiding the creation or widening of the 'tax gap' between products; and
- to prevent the emergence of new generations of 'borderline' products, triggering a new wave of tax-induced substitution.

The proposed scenarios for revising the EU minima for cigars and cigarillos are outlined in Table F.3.3 below, in particular regarding:

- the ***fixed minimum,*** the proposed minima range from EUR 60 to EUR 120 (i.e. respectively 5 and 10 times the current one); and
- the **relative minimum**, the proposed scenarios are also fairly ambitious, ranging from 20% to 40% of the retail price (vis-à-vis the current 5%).

As for the other tobacco products, these scenarios have been examined also considering a fixed minimum partly ***expressed in PPP terms***.

The proposed scenarios tend to be higher than the ***indications provided by MS authorities*** through the survey. On average, MS feedback falls between Scenario A and Scenario B/C of Table F.3.3, i.e. EUR 72 for the fixed minimum and 23% for the relative minimum.

Two additional revisions have been examined, as possible variants of the current structure and categorisation of cigars and cigarillos, namely:

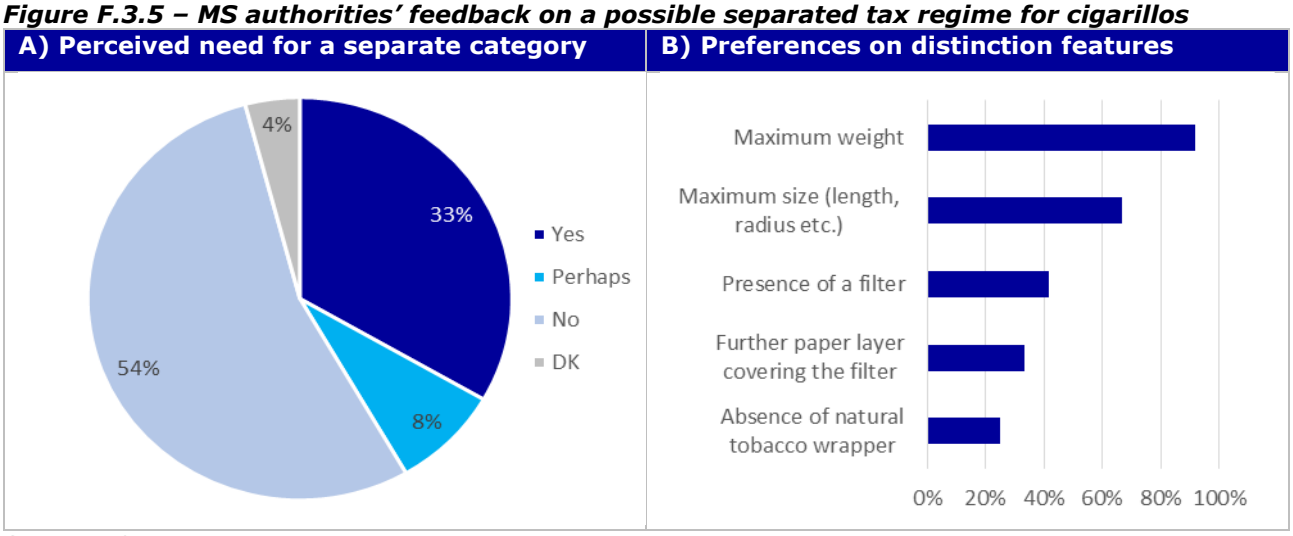
1) ***Differentiated minima depending on the tax base***. At present, MS can choose between applying excise duties per unit (1,000 pieces) or per weight (1 kg). This implies an underlying 1 unit=1g equivalence. However, this equivalence does not correspond to the real weight of products. Indeed, the majority of cigars on the market fall between the 2.5g and 3.0g range, while cigarillos typically weigh between 1.2g and 1.5g per unit. In practice, in the current regime, EU minima are de facto higher in countries where the tax base is 'per weight' (6 MS)

[370] Primarily, the so-called 'eco-cigarillos' commercialised in DE and HU until 2014, thanks to a derogation to the definition of cigarillos (Art. 4.2 of the Directive) which later expired.
[371] These products are exempt from certain provisions of Directive 2014/40, such as the minimum pack size, and are subject to less stringent mandatory health warning requirements. The evidence collected under the EA 2017 in-depth review of the 'borderline' cigarillos showed that these advantages could be relevant underlying factors behind substitution. The lack of a minimum pack size makes these products more affordable in terms of 'out-of-pocket' expenditure; the 'lighter' health warning requirements not only may reduce the dissuasion effect of this measure but can be exploited for brand advertising purposes. So, tax rates can help but may not be decisive in addressing possible emerging problems and should rather accompany further fine-tuning of products definition and the treatment of these products under the tobacco product legislation. This concerns in particular the issue of filter-flavoured cigarillos, i.e. products arguably circumventing the TPD2 ban on characterising flavours in tobacco products by inserting flavours in the filter. These products are still a niche in commercial terms, but they represent a growing concern for some public health stakeholders.
[372] Detailed statistics are not available, but both traditional cigar-makers, as well as cigarette-makers involved in this segment, agree that these products did not have a real commercial uptake. Some commentators observed that the purpose of these products is more for the visibility of the brand on the shelves than for commercial reasons.
[373] For instance: in Germany, the sales of cigarillos dropped by 25% in 2014-17 and fell by 62% in Denmark in the same period; in Portugal by 34%; in Finland, sales have reduced by 32% in 2017-19, bringing consumption back to historical levels. Other countries, like IT, HU and EL, have registered an increase in consumption in recent years when compared to the historical levels. In Italy, authorities have progressively increased MED levels since 2018 to address the issue.

than where these products are taxed per unit.[374] Although this issue is not currently perceived by MS authorities as a priority (only one MS mentioned it under the MS 2019 survey), it would become more crucial with the planned revision of rates. Therefore, to enhance the degree of harmonisation, differentiated minima could be envisaged where cigars and cigarillos are taxed 'per weight'. Based on the average size of products on the market, the 'per weight' minima should amount to 80% of the 'per unit' minima for cigarillos and 40% for cigars (or 60%, if a single measure for the entire category is desired).

2) ***Differentiated minima between cigars and cigarillos.*** A more pervasive reform could consist of establishing different minima for cigars and cigarillos. The rationale behind this measure lies with the need to reflect upon the different characteristics and consumption patterns of these products and, in particular, allow the establishment of an appropriate tax regime for 'borderline' products without unduly affecting other products. So, the proposed variant would extend to MS the option of taxing cigars and cigarillos differently, i.e. similarly to what is currently allowed for FCT and OST. Again, this is not a priority for the majority of MS tax authorities but, as shown in Figure F.3.5, there is nonetheless widespread support for the splitting of regimes. According to the authorities, the distinction should be based on the physical characteristics of the products, the weight and/or other size-related criteria (length, radius, etc.), while there is more limited consensus on the use of other criteria like the presence of a filter, the natural tobacco wrapper or a paper layer covering the filter. A distinction based on weight would be in line with standard market segmentation, as well as with the split regimes for cigars and cigarillos that already exist in the EU, namely in PT and IT. Legal provisions distinguishing cigars and cigarillos based on a weight criterion can also be found in the EU excise legislation, in particular under Art. 32 of the (recast) Horizontal Directive, which states that cigarillos are "cigars weighing not more than 3g each".[375] For consistency with the Horizontal Directive, in the impact analysis, we have assumed a demarcation line at 3g,[376] although based on the market standards reported under point (1) above, this threshold is possibly on the high side. The main limitation of this proposed variant lies precisely in the absence of a clear-cut distinction between cigars and cigarillos. So, regardless of the threshold set, the decision is inevitably arbitrary and at risk of unintentionally causing disruption in the segment affected (i.e. the products falling close below or above the demarcation line) and opportunities for new 'borderline' products.

Figure F.3.5 – MS authorities' feedback on a possible separated tax regime for cigarillos



Source: *TCA survey*
Note: *In Panel B, statistics are calculated on the number of MS that did not abstain from answering (12 MS); multiple answers were possible.*

[374] There are also hybrid situations: for instance, Italy applies a regime based on 'conventional kg', where 1 kg of products corresponds conventionally to 400 cigarillos or 200 cigars.
[375] The same criterion can be found in Directive 2007/74 on the exemption from value-added tax and excise duty of goods imported by persons travelling from third countries.
[376] This choice was also necessary for practical analytical reasons, as the available market data distinguish cigars and cigarillos based on the standard 3g criterion.

Finally, the revision of the tax regime for cigars and cigarillos may include a ***revision of the current definitions*** to align them with the customs classification definitions. The matter was extensively examined in the previous evaluations (EA 2017, EA 2019), so it does not require additional analysis in this Study. In summary, this revision would remove the incongruences that exist between the excise and the customs definition of cigars and cigarillos. In particular:

- the reference to 'normal consumer expectations' in the excise product definition is not present in the CN classification, where there is instead a reference to the fact that these products 'can be smoked'; and
- the CN definition requires no 'further layer partially covering the outer wrapper' (which has to cover the product in full, including, where appropriate, the filter). At the same time, this is not specified in the excise definition.

The proposed policy solution consists of aligning the excise definition of cigarillos to the customs definition. This would allow categorising certain 'borderline' cigarillos – with strong visual similarities to cigarettes, and in particular, a paper layer covering the filter – as cigarettes.

Table F.3.3 – Possible scenarios for the revision of the EU minima on cigars and cigarillos

	Baseline	Nominal increase scenarios			Partial PPP	Variants
		A	B/C*	D		
Fixed minimum (€/kg or 1,000 pc)	12	60	90	120	*Same as nominal*	• Adoption of differentiated minima depending on the tax base (per unit or per weight) • Adoption of differentiated rate between cigars and cigarillos when taxed per unit
Relative minimum (% of RSP)	5%	20%	30%	40%	*Same as nominal*	

Legend: *RSP= tax-included retail selling price.*
Note*: (*) the intermediate scenario is denominated "B/C" to clarify the correspondence with the four scenarios examined for cigarettes.*

3.2.4 Option 1D – Revision of EU minima for other smoking tobacco

The situation with the EU minimum rates applicable to other smoking tobacco (OST) is similar to that for cigars and cigarillos, i.e. minima are relatively low (20% of the retail selling price or EUR 22 per kg) and have not changed since 2011. The majority of countries (17 MS) apply the same FCT rates, which helps prevent the risk of tax-induced substitution. Currently, the OST category includes very heterogeneous products with different characteristics and consumption trends, i.e. (1) ***pipe tobacco***, which is a declining, niche product; (2) ***waterpipe tobacco (WPT)***, which is also a niche product, but with consumption on the rise in various MS; and (3) in several MS, even ***heated tobacco products (HTP)*** are at the moment included in this category. At present, the same EU minima apply to the three subcategories. In this respect, the principles driving the revision of the OST tax regime are essentially two:

- ***creating separate categories*** based on product characteristics to allow more targeted taxation of HTP and WPT; and
- ***updating the current EU minima levels***, which have become irrelevant.

Regarding HTP, the proposed approach involves creating a separate excise category falling outside of the OST category. The policy option for HTP is discussed in Section 4.2 below along with other 'new products'. Consequently, the policy options for OST that are put forward in this section cover only pipe tobacco and waterpipe tobacco, including tobacco-free herbal substitutes.

As far as WPT is concerned, there are two main issues that the creation of a separate excise category can help to address: (1) the current limited knowledge of the market, its magnitude and underlying trends; and (2) the substantial illicit trade levels. Regarding the former, a separate category would allow tax authorities to monitor the WPT trade and market more effectively. Secondly, a separate category would enable modulation of the tax regime to take into account the product specificities, in particular its specific gravity, which is much higher than other tobacco products, because WPT typically contains only 15%% of tobacco, the rest being corn syrup (35%), glycerine (45%) and food-grade flavourings (5%). The application of the OST regime can easily lead to a very high level of excise duties, thus making illicit trade highly profitable.[377] A separate excise category would allow MS to apply regimes that reduce such incentives.

In this respect, it is worth underlining that in the customs nomenclature WPT is already subject to a separate classification (HS 2403 11) within the 'other manufactured tobacco' classification. Therefore, this policy option would increase the alignment between customs and excise classification. The separate fiscal regime for WPT could be introduced as a subcategory of the smoking tobacco macro-category, which is currently defined in Art. 5 of the Directive, similarly to the FCT status. MS would remain free to continue applying the same OST regime or introduce different, ad hoc rates, tailored to WPT.

A relative majority of MS authorities (44%) would be ***in favour of a separate tax regime for WPT***. One-third is not in favour, and the remainder expressed a cautiously open attitude. Only one-fifth of respondents expressly supported lower minima for WPT, while the majority agreed the EU minima should be the same as OST (regardless of their position on split regimes).

The proposed minima for OST and the potential new WPT category are outlined in Table F.3.4, particularly regarding: (1) the ***fixed minimum,*** in which the proposed minima range from EUR 60 to EUR 120; and (2) the ***relative minimum***, in which the proposed scenarios range from 30% to 50% of the retail price. As for the other products, the adoption of a partial-PPP approach has been included among the scenarios. The proposed scenarios are more ambitious than the average view emerging from MS authorities' suggestions through the survey. These roughly fall between the proposed Scenario A and Scenario B/C, i.e. EUR 78 for the fixed minimum and 36% for the relative minimum.

Table F.3.4 - Possible scenarios for revision of the EU minima on other smoking tobacco

	Baseline	Nominal increase scenarios			Partial PPP
		A	B/C*	D	
Other smoking tobacco					
Fixed minimum (€/kg)	22	60	90	120	*Same as nominal*
Relative minimum (% of RSP)	20%	30%	40%	50%	*Same as nominal*
Waterpipe tobacco					
Fixed minimum (€/kg)	22	40	60	90	*Same as nominal*
Relative minimum (% of RSP)	20%	30%	40%	50%	*Same as nominal*

Legend: *RSP= tax-included retail selling price.*
Note*: (*) the intermediate scenario is denominated "B/C" to clarify the correspondence with the four scenarios examined for cigarettes.*

[377] As emerged from a dedicated assessment carried out under EA 2017, the estimated share of WPT illicit trade in the EU is around 50%, possibly exceeding 80% in high tax countries. The tax-driven incentive to illicit trade is much greater than for other tobacco products. For instance, 1kg of WPT with an assumed import price of EUR 10 can be sold to consumers for a price ranging from EUR 75 in Germany (lowest excise rate) to EUR 316 in Ireland (highest excise rate). By contrast, the price of 1kg of illicit WPT on the black market is, reportedly, around EUR 40 to EUR 50. This means that profits from the illicit trade of WPT can be as high as 84% in MS with high excise duties but 'only' 34% in low tax countries.

3.2 Impact analysis

3.3.1 Market impacts

- **CIGARETTES**

The quantitative estimation of market effects consists of the following steps:

1) We established the baseline against which incremental impacts would be measured. The salient baseline data utilised include excise duty levels in MS, price levels, sales volume, market value, etc. Where available, figures provided directly from MS tax authorities have been used. Data gaps have been filled using data from other sources (e.g. Euromonitor International), from previous years or through extrapolations from other markets.
2) We estimated the extent of the excise duty increase in each MS for each proposed scenario, considering the current tax rates and the cumulative effects of EU minima conditions, i.e. the fixed minima and the relative minima[378], taking the escape cause into account.
3) Then, we estimated the price effect of an increase in the excise duty levels, assuming that the percentage tax increase would not translate into an equivalent percentage price increase (but, in monetary terms nearly 100% of the tax increase would be passed pass on to consumers (see the Appendix for technical specifications).[379] The analysis involved two variables: (1) the weighted average price (WAP), which provides an indication of the overall price levels and affordability in a specific market; and (2) the lowest market price (Pmin), i.e. the price of the cheapest (non- negligible) product available (which is also the measure of 'accessibility' or entry-price affordability).
4) The final step involved calculating the hypothetical reduction in product sales (measured through releases for consumption) connected to price increases, based on appropriate demand elasticity coefficients.[380]

It is important to highlight that the simulations regard the ***estimated effects directly attributable to EU minima increase***, assuming no impact on other MS for analytical purposes. This assumption is needed to disentangle the expected effects of the proposed revisions from other changes that would spontaneously occur as a result of MS internal excise policies. In this sense, these scenarios should not be considered as a prediction of future evolution in excise and price levels across the EU. In reality, such levels would evolve, even in the absence of EU minima increase: two-thirds of the surveyed MS authorities reported plans to increase excise duty levels over the next three years, regardless of EU minima. Similarly, in 2011-20, the average excise duty increase in MS not directly affected by EU minima was 31% vis-à-vis a 38% increase observed in directly affected countries. So, all evidence suggests that ***the actual increase in tax rates (hence price) will be much higher*** than the impacts attributable to EU minima increase.

The aggregated results of the quantitative assessment are summarised in the following subsections. More detailed estimations are provided in Appendix.

- **Excise duties**

  The combined effects of the proposed increase scenarios on cigarette excise duty levels are summarised in Table F.3.5. The four proposed scenarios range from a limited increase

[378] As explained in the methodological notes of Appendix 1, the assessment of the relative minimum impact requires to take into account its 'recursive' effects. In summary, the price increase triggered by an increase of relative minima may bring the tax incidence on price below the prescribed level, thus requiring another ED increase, hence another price increase and so on.
[379] In the previous EA 2019 study, a pass-through elasticity coefficient of 0.7 had been assumed, based on the results of the econometric models that had been developed. This coefficient has been projected on the estimated tax increases to estimate the corresponding impact on price levels.
[380] Based on the results of the econometric analysis carried out under EA 2019, an elasticity coefficient of -0.54 has been utilised for simulating the effects of price increases.

(Scenario A) to very ambitious increases (Scenario D). Each scenario has been assessed also under the partial-PPP approach, as described in Section 3.1 above.

Overall, the excise duty yield at the WAP level (EDY) would move from the current EUR 163 (1,000 units) ***to between EUR 167 and EUR 208***, depending on the scenario. EU minima would affect low tax countries in particular, so the lowest EDY currently registered in the EU (EUR 91) would be raised to between EUR 115 and EUR 176. In relative terms, the average EDY increase in MS would be comprised ***between 4% and 38%***. However, in a few countries, the expected impact would be much higher (close to 100% increase in Scenario D). With the exception of Scenario A, the majority of MS would be forced to increase their rates in all scenarios (up to 22 MS in the Scenario D).

The ***partial PPP approach*** would mitigate and partly distribute effects more evenly among MS (see Appendix). Countries where affordability is already above the EU average would face more moderate increases and vice versa.[381]

Table F.3.5 – Estimated impact of the proposed EU minima on cigarettes excise duty levels

Scenarios		EU minima		EDY		EDmin		EDY increase		MS affected
		F	R	min	avg	min	avg	avg	max	
		€/1,000	%	€/1,000	€/1,000	€/1000	€/1,000	%	%	No.
	baseline	90	60%	91	163	91	159			
Nominal	**A**	115	60%	115	167	115	163	*4%*	*27%*	12
	B	130	61%	130	174	130	170	*10%*	*44%*	17
	C	150	62%	150	187	150	182	*20%*	*66%*	21
	D	180	63%	176	208	180	203	*38%*	*99%*	22
PPP	**A**	115	60%	95	166	95	161	*2%*	*15%*	9
	B	130	61%	108	171	108	166	*6%*	*27%*	16
	C	150	62%	125	181	125	176	*14%*	*46%*	21
	D	180	63%	149	201	149	195	*31%*	*75%*	22

Legend*: EDY=excise duty yield at weighted average price level; EDmin=excise duty level on lowest price products; PPP= partial PPP scenario (see Table F.3.1); F=fixed minimum condition; R=relative minimum condition; min, avg, max=minimum, average and maximum values among the 27 MS.*
Note: *Estimates refer to the EU aggregated market (disaggregated figures are provided in Appendix). The baseline situation refers to 2020 (in few cases where updated data were unavailable, 2019 data have been used). In this table, the 'EDY increase' is expressed as the simple ratio (in %) between the 'new' ED levels and the baseline. For the price and the demand impacts described further below, the variation has been expressed in logarithm, for coherence with the specifications of the underlying econometric model used.*

- **Price levels and sales**

It can be empirically observed that price level trends in MS largely correspond to excise duty increases. Major tax hikes, such as those registered in FR since 2018, or more recently in NL, DK and CZ, might not immediately translate into equivalent price increases, but the 'pass-on' effect appears only temporarily delayed. So, it can be assumed that the monetary excise duty increases estimated in Table F.3.5 above, would lead to ***broadly similar price increase effects on cigarette prices*** (but lower, if expressed in percentage variation terms). Such effects are quantified in Table F.3.6 below:

  - In aggregated terms, the ***average WAP*** in the EU would move from the current EUR 263 (per 1,000 units) to ***between EUR 268 and EUR 312***, depending on the changing scenario adopted. The lowest price category (Pmin) would increase, on average, from EUR 220 to between EUR 224 and EUR 256.
  - Under the ***partial PPP approach***, the expected impacts would be milder, with the prospected average WAP comprised between EUR 266 and EUR 305. This approach

[381] For instance, in Scenario B, Romania should increase its rates by 19% under the 'nominal' excise duty approach and by 11% under the partial PPP approach. In the case of Poland, the required increase would reduce from 25% to 7%, while in the case of Bulgaria from 44% to 19%. Conversely, the requested increase for Luxembourg would move from 12% to 27%, for Sweden from 9% to 17% and for Germany from 3% to 6%.

would also deliver - as intended - distributional effects. As shown in Figure F.3.6 further below, the MS with a low 'real' WAP, measured in terms of PPP, would be comparatively more affected by tax-driven price increases (Panel B) than under the nominal increase approach (Panel A).

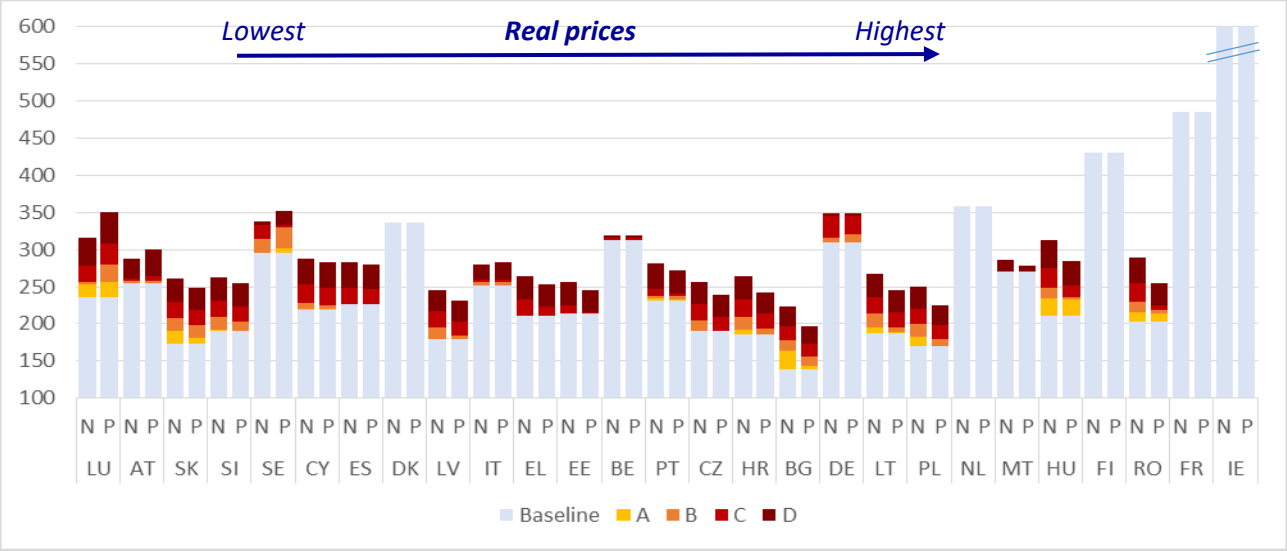
Price level increases would in turn reduce the demand and the volume of sales. Based on the estimation model applied, such ***reduction would range from 1% to 10%*** under the nominal increase approach and between 0.5% and 8% under the partial PPP approach.[382] It is important to underline that these figures refer to the reduction directly attributable to the EU minima revision. If we include the effects ***of tax increases spontaneously adopted by MS*** (i.e. not induced by EU minima), as well as the impact on the demand of ***tobacco control policies*** and of broader societal ***changes of attitude towards tobacco***, the anticipated decline in sales could be much greater.[383] For reference, the WAP increase not driven by EU minima can be estimated at around 3% on average (annually).

Table F.3.6 – Estimated impact of EU minima scenarios on cigarettes market price and demand

Scenarios		Impact on price levels				Market sales	
		WAP (min)	WAP (avg)	Pmin (min)	Pmin (avg)	Units (billion pieces)	%
		€/1,000	€/1,000	€/1,000	€/1,000		
	baseline	138	263	118	220	429.4	
Nominal	**A**	164	268	137	224	-5.2	-1%
	B	178	276	147	230	-12.4	-3%
	C	197	290	159	241	-26.5	-6%
	D	224	312	174	256	-42.8	-10%
PPP	**A**	144	266	122	222	-2.1	-0%
	B	157	272	132	227	-7.5	-2%
	C	173	283	144	236	-19.1	-4%
	D	197	305	159	251	-36.3	-8%

***Legend**: WAP=weighted average price; Pmin=lowest market price; PPP= partial PPP scenario (see Table F.3.1); avg= average price levels; lowest=lowest price segment.*
***Notes:** Estimates refer to the EU aggregated market (disaggregated figures are provided in Appendix). Regarding caveats and limitations on price estimates see the notes of table F.3.5.*

Figure F.3.6 – Comparative effects on WAP of the nominal and the partial PPP approach


Lowest
Real prices
Highest
600
550
500
450
400
350
300
250
200
150
100
N P N P N P

The last remark should be made on the accuracy of the predicted impacts in case of large variations. The estimation model is based on market data covering the last 12 years. In the period considered, the annual variation in the excise duty levels amounted to 4% and seldom exceeded 10%. Only once, a peak value of 24% was registered. In the perspective scenarios examined, this peak value would be surpassed by 6 MS in Scenario C and 17 MS in Scenario D. In this sense, some of the scenarios investigated ***should be considered as game-changers***, for which existing models are poorly suitable to formulate predictions.

- **Cross-border flows**

To estimate the impact of the EU minima revision on cross-border flows of cigarettes between MS, three tests have been carried out.[384] The first test simply consists of verifying the variance in WAP levels across the four scenarios. This can be measured through the standard deviation from the average of the distribution of WAP values across MS. As shown in Table F.3.7, ***all scenarios would reduce the WAP variance*** compared to current levels. More substantial increases expressed in nominal terms would achieve the best performance.[385]

Table F.3.7 – Standard deviation of the WAP distribution in the different scenarios

		Nominal increase				Partial PPP			
Scenarios	**Baseline**	**A**	**B**	**C**	**D**	**A**	**B**	**C**	**D**
Standard Deviation	111	107	103	97	87	109	108	102	93

Note: *A reduction in the standard deviation indicates a convergence in the WAP levels among MS. This can be considered a proxy for cross-border flows. However, this indicator regards the EU as a whole and does not consider the distance between regions, and the fact that most of (price-induced) flows occur between neighbouring regions.*

The second test empirically investigates the evolution of price differentials between specific MS, which have been identified as hotspots of cross-border flows (see Appendix). Fifteen cases of bilateral flows have been considered, as shown in Table F.3.8 below. For simplicity, only four EU minima scenarios have been tested: the nominal and partial PPP approaches in Scenarios B and D. The results confirm that (with few exceptions) the price differential would diminish, especially under the Scenario D. Therefore, it can also be expected that the ***incentives to engage in illegal cross-border flows would become weaker***.

Table F.3.8 –WAP differentials in specific hotspots

MS		Scenarios				
Inflow	**Outflow**	**Baseline**	**B - nominal**	**D - nominal**	**B - PPP**	**D - PPP**
AT	**CZ**	-26%	-21%	-11%	-26%	-21%
AT	**SI**	-25%	-19%	-9%	-22%	-15%
AT	**SK**	-32%	-19%	-9%	-23%	-17%
BE	**LU**	-24%	-18%	-1%	-11%	10%
DE	**CZ**	-38%	-35%	-26%	-41%	-32%
DE	**PL**	-45%	-37%	-28%	-44%	-36%
DE	**LU**	-23%	-19%	-9%	-13%	0%
EL	**BG**	-34%	-15%	-15%	-26%	-23%
FR	**BE**	-36%	-36%	-34%	-36%	-34%
FR	**DE**	-36%	-35%	-28%	-34%	-28%
FR	**ES**	-53%	-53%	-42%	-53%	-42%
FR	**IT**	-48%	-47%	-42%	-47%	-42%
FR	**LU**	-51%	-47%	-35%	-42%	-28%
HU	**SK**	-18%	-17%	-17%	-17%	-13%
RO	**BG**	-32%	-23%	-23%	-28%	-23%
	Average	**-35%**	**-29%**	**-22%**	**-31%**	**-23%**

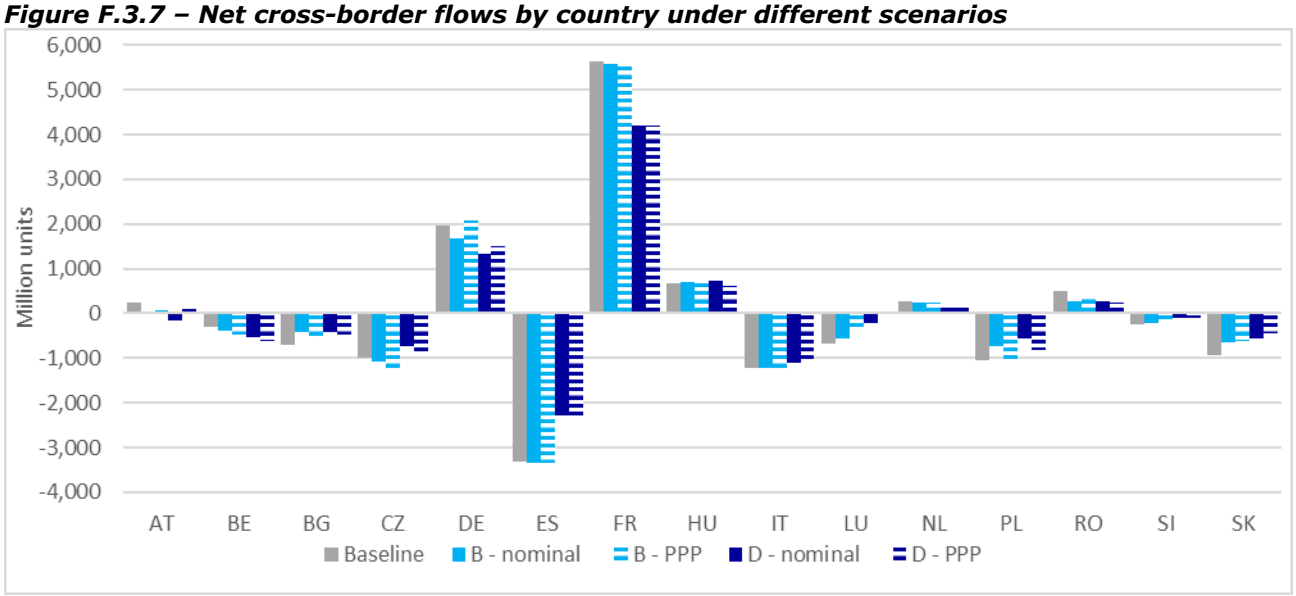
[384] The estimated impacts take into account the effects of possible revisions of Art. 32 of the Horizontal Directive, which are currently underway.
[385] Estimates refer only to the impact of EU minima, not considering the effects of spontaneous increase of excise duties (hence prices) enacted by MS.

Note: *The WAP differential is expressed as the extent to which the WAP in the country of origin is lower than the WAP in the country of destination. So, for instance, the first value of the first line (-26%) indicates that in the baseline situation the WAP in CZ (the country of origin of outflows) is 26% lower than the WAP in neighbouring AT (the country of destination of inflows). The figure in the second column (-21%) indicates that under the Scenario B-nominal, the price gap would reduce to 21% (notably by 5 percentage points).*

As expected, the PPP-adjusted approach is less performative than the nominal approach (Table F.3.8 above). This is because the PPP-adjusted approach – by design – mitigates the impact of the EU minima increase in low-tax countries and, conversely, might require an excise duty increase in high-tax countries, where price affordability is below the EU average. An example is offered by the DE-CZ binomial: under Scenario B, DE should increase rates in PPP and the WAP would consequently increase from EUR 309 to EUR 315, while CZ would be allowed to maintain its current rates and the WAP would remain at EUR 190. So, the price gap in this specific case would deepen.

In the last test, we have estimated the change in the volume of flows at the MS level through the econometric model that was developed in this Study, based on the Commission's traceability system data. We have compared the baseline situation with scenarios B and D, both in nominal and PPP-adjusted terms. The results, summarised in Figure F.3.7 below, confirm that an increase of EU minima is associated to a reduction of cross-border flows. The Scenario D (in nominal terms) could significantly reduce flows from ES to FR and – to a lesser extent, from CZ to DE, leading to an aggregate EU-level reduction of flows by 3.7 billion pieces (33% of flows between bordering regions, 12% of pre-COVID19 estimated total flows). Under the Scenario B (nominal) the reduction would amount to 1.2 billion pieces (approximately 11% of estimated flows between bordering regions, 4% of pre-COVID19 estimated total flows).[386] In the PPP-adjusted scenario, such reduction would be smaller, i.e. 28% under Scenario D and 5% under Scenario B, and some MS (e.g. DE) might actually witness a worsening of their net inflows.

Figure F.3.7 – Net cross-border flows by country under different scenarios



Note: *Negative values indicate outflows, while positive values indicate inflows. Figures provide an aggregate estimate of net flows of each country vis-à-vis all other MS. Countries with limited flows are not displayed.*

[386] As explained in the methodology (see Annex A), absolute values calculated through the Commission traceability system data may underestimate the overall historical magnitude of the issue because (1) the period of observation largely coincides with COVID-19-related restriction of movement; (2) the analysis focuses on the EU bordering region, not considering flows between faraway places (which exist, according to 'empty pack surveys' data); and (3) the traceability systems in some countries underestimate the volume of actual shipments, which has been corrected by resizing flows to the overall country's RfC, but estimates remain inevitably imprecise.

➢ **FINE CUT TOBACCO**

To estimate the impacts of increased EU minima on fine-cut tobacco (FCT), we have utilised the same methodology described in the previous section regarding cigarettes. The main difference concerns the application of the EU minima conditions (i.e. the fixed and the relative minima) that are cumulative requirements for cigarettes, and alternative requirements for FCT. This difference has two main consequences:

1) the ***prevailing condition is reversed*** compared to cigarettes: low tax countries can more easily meet the relative minimum condition than the fixed minimum, whereas the relative minimum for cigarettes would prevail in high-tax countries (were it not for the 'escape clause'); and
2) consequently, the ***range of excise duty levels applied in MS*** shows greater variability: measured against the respective average values, FCT EDY levels range from as low as 43% up to 304%, while the EDY range of cigarettes is between 55% and 258%.

In analysing the effects of the revised FCT minima, it is important to consider ***cross-substitution effects*** with cigarettes, as one of the objectives of the Directive is to progressively bridge the tax gap between these two categories of products.

- **Excise duties**

  The direct impacts of the EU minima increase scenarios examined would be influenced by the prevailing relative minimum condition. The fixed minimum scenarios considered imply an increase of more than 200% (Scenario C) and 300% (Scenario D) over the current minimum. This would translate into required increases for MS that can easily exceed 70% or even 100% in Scenario D. In this instance, an increase of the relative minimum, regardless of the size (i.e. Scenario D), would always be easier to meet. The expected average EDY increases would be moderate and ***comprised between 3% and 12%***. However, for a few low tax countries, the required increase would be substantial – up to 50%.

  The ***partial PPP approach*** would have less pervasive effects, both regarding the number of MS affected by the reform (only under Scenarios A and B) and the extent of the increase induced (from 2% to 11% on average).

  It is worth emphasising the 'incremental' nature of the predicted impacts. In 2011-20, the excise duties on FCT applied in MS increased by 62% on average, ***regardless of EU minima***. In the past three years, the increase registered in MS non-directly affected by EU minima was even faster than in other countries. A substantial increase of MS excise duty rates can be expected, even in the 'no change' scenario (dynamic baseline). These spontaneous increases, which can be estimated at approximately 6% (annually), would add up to the expected increases from EU minima described in Table F.3.9.

Table F.3.9– Estimated impact of proposed EU minima on FCT excise duty levels

Scenarios		EU minima		EDY		EDmin		EDY increase		MS affected
		F	R	min	avg	min	avg	avg	max	
		€/kg	%	€/kg	€/kg	€/kg	€/kg	%	%	No.
	baseline	60	50%	57	131	55	130			
Nominal	**A**	90	51%	59	134	57	132	*3%*	*22%*	7
	B	105	53%	61	136	59	134	*6%*	*32%*	8
	C	130	56%	65	138	63	136	*9%*	*40%*	8
	D	160	60%	70	141	67	139	*12%*	*50%*	10
PPP	**A**	90	51%	59	133	57	132	*2%*	*22%*	6
	B	105	53%	61	135	59	134	*5%*	*28%*	7
	C	130	56%	65	137	63	136	*8%*	*40%*	8
	D	160	60%	70	140	67	139	*11%*	*50%*	10

***Legend**: EDY=excise duty yield at weighted average price level; EDmin=excise duty level on lowest price products; PPP=partial PPP scenario (see Table F.3.2); F=fixed minimum condition; R=relative minimum condition; min, avg, max=minimum, average and maximum values among the 27 MS.*
***Note:** Estimates refer to the EU aggregated market (disaggregated figures are provided in Annex D). The baseline situation refers to 2020 (2019 data have been used in the few cases where updated data were unavailable). In this table, the 'EDY increase' is expressed as the simple ratio (in %) between the 'new' ED levels and the baseline. For the price and the demand impacts described further below, the variation has been expressed in logarithm, for coherence with the specifications of the underlying econometric model used.*

- **Price levels and sales**

In line with the expected excise duty impacts, the partial PPP approach would have a stronger effect on FCT price levels than the nominal increase approach. The expected price effects for both WAP category products and entry-level (Pmin) products are reported in Table F.3.10 below. Notably, the WAP of FCT would be driven up from EUR 221 to ***between EUR 225 and EUR 235***. Official price data for FCT were not available for all MS, so the results of the simulations are subject to larger margins of uncertainty compared to cigarettes.

The bottom price level observed on the market would not seemingly be affected by EU minima increase because – as discussed – the relative minimum condition prevails in low tax countries. So, in these countries, ***manufacturers would be incentivised to absorb the tax***, reducing their margins (to avoid triggering further increases) and pursuing 'volume' strategies. MS can tackle these undesired effects by making greater recourse to specific taxation and, more importantly, by establishing a 'minimum excise duty' (MED) where feasible.

Regarding market sales, the expected reduction would range between 2% and 5%. These figures refer to the incremental impact directly attributable to EU minima and do not include the effects of spontaneous tax increases adopted at the MS level. They also do not incorporate the effects of cross-substitution, which are examined in the next paragraph.

Table F.3.10 – Estimated impact of proposed EU minima on FCT market price and demand

Scenarios		Impact on price levels				Market sales	
		WAP (min)	WAP (avg)	Pmin (min)	Pmin (avg)		
		€/kg	€/kg	€/kg	€/kg	million kg	%
	baseline	114	221	98	194	78.8	
Nominal	**A**	114	225	98	198	-1.7	-2%
	B	114	228	98	200	-2.2	-3%
	C	114	231	98	202	-3.0	-4%
	D	114	235	98	205	-4.1	-5%
PPP	**A**	114	223	98	196	-1.7	-2%
	B	114	227	98	199	-2.2	-3%
	C	114	230	98	201	-3.0	-4%
	D	114	234	98	205	-4.1	-5%

***Legend**: WAP=weighted average price; Pmin=lowest market price; PPP=partial PPP scenario (see Table F.3.2); avg= average price levels; lowest=lowest price segment.*
***Note:** Estimates refer to the EU aggregated market (disaggregated figures are provided in Appendix). Regarding caveats and limitations on price estimates, see the note of Table F.3.9. 'Negative demand' indicates the hypothetical situation where the price increase is so high that – in normal market conditions - the demand would virtually disappear.*

- **Substitution effects**

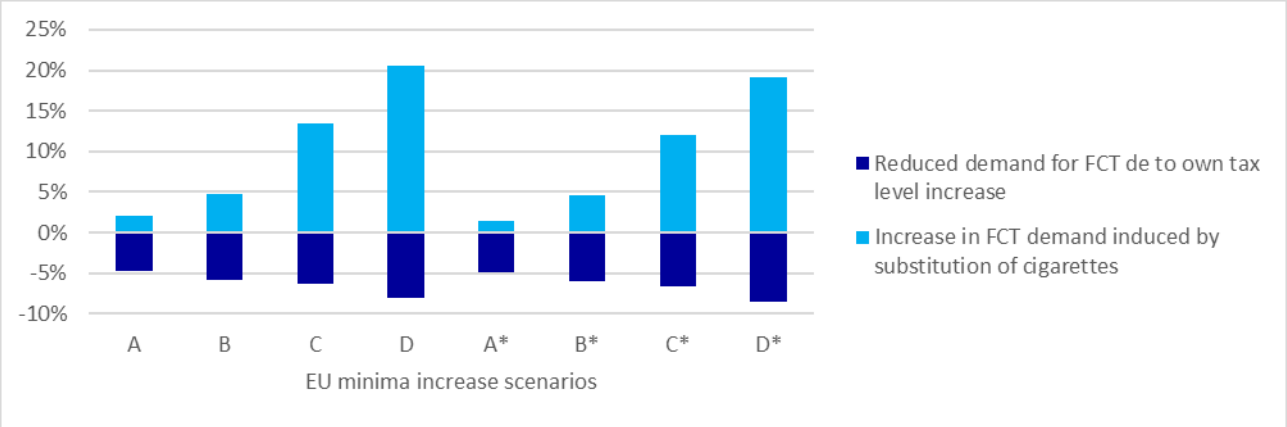
The proposed scenarios have been designed to ***reduce the gap in the EU minima applied to FCT and cigarettes*** and foster convergence in their price levels. The gap reduction has been applied to both the fixed and the relative minimum conditions, and it progresses from Scenario A through D. This design responds to the specific public health objective of bringing the EU minima for FCT closer to that of cigarettes, considering their equally harmful effects.[387]

[387] Recital #19 of the Directive.

As the results of the evaluation of the Directive show, the gap has been progressively bridged over time, through both scheduled increase in the FCT minima (the last step entered into force in 2020) and MS tax policies. Over the past decade, excise duty levels for FCT have been increasing at an average annual rate of over 7%, whereas for cigarettes this increase has been 4%. As a result of this, FCT is already taxed at the same or similar level as cigarettes in some MS (e.g. PT, SE, EL, IE, HR, etc.). This trend would increasingly close the gap and so further ***slow the tax-induced substitution between these products***. Market data (see Annex D) clearly show that the extent of substitution is currently modest compared to ten years ago, but the qualitative evidence collected during fieldwork suggests that in some MS substitution increased again due to the COVID-19 restrictions and decreased access to cross-border products.

A quantitative assessment of the extent of the substitution potentially associated with the proposed EU minima scenarios was attempted, utilising the cross-elasticity parameters elaborated econometrically under EA 2019.[388] The findings suggest that the decrease in the aggregate demand for cigarettes and FCT shown in Table F.3.6 and F.3.10 would likely be accompanied by redistributive effects. As reported in Figure F.3.8 below, the tax increase scenarios considered have ***different effects on the substitution of factory-made cigarettes with FCT***. In specific, under the scenarios A and B the reduction in the demand for FCT would be greater than substitution effects, while under scenario C and D the extent of substitution might exceed the FCT demand reduction, possibly leading to net positive effects on FCT sales.[389] This is partly explained by the starting conditions of the respective markets (actual EDY levied in MS and price levels) but also by the EU minima mechanisms. As discussed at the beginning of this section, in Scenarios C and D, the relative minimum condition would largely prevail for FCT, allowing a less marked EDY increase in low tax countries than in the case of cigarettes, for which the fixed minimum condition would prevail. Hence, in these scenarios, it is theoretically possible that the respective EDY of FCT and cigarettes does not converge as expected. This can be avoided choosing to combine different scenarios (e.g. Scenario B for cigarettes with Scenario C for FCT).

Figure F.3.8– Estimated impacts on the demand for FCT induced by substitution of cigarettes



Note: *(*) Partial PPP scenarios. The variation is expressed in percentage of the baseline market volume. The estimation is based on parameters drawn from the econometric analysis carried out under EA 2019.*

- **CIGARS AND CIGARILLOS**

In this section, we summarise the results of the impact analysis of the proposed increase of EU excise minima for cigars and cigarillos, in line with the proposed change scenarios outlined in Table F.3.3 above. Compared to cigarettes, the available market data (volume, price, etc.) for cigars and cigarillos are scarce and often imprecise, so the results of simulations must be taken

[388] The results of the econometric analysis suggest a statistically relevant correlation (1.38) between the demand of FCT and the price of cigarettes (but not vice versa, indicating that consumers seldom come back to cigarettes when the price difference decreases). See Volume 3 of EA 2019 for the detailed model specifications.
[389] In this simulation the aggregate reduction in the demand for cigarettes and FCT is held constant. Only distributive effects between these categories of products are discussed here.

with greater caution. Additionally, this category is made of products with heterogeneous characteristics and consumption patterns, which influence analytical variables in a way that data cannot predict. Where relevant, quantitative gaps have been filled and/or triangulated with qualitative analysis. The analysis is structured in three sub-sections: (1) the impact of the new minima on actual excise duty levels in MS; (2) the estimated consequences on price and demand levels; and (3) the possible effects of the two policy variants that have been proposed. This section presents only the 'topline' results, while a detailed quantitative assessment can be found in Appendix.

- **Excise duties**

  The impacts of the proposed scenarios for an increase of EU minima on MS excise duty levels are outlined in Table F.3.11. We have examined cigars and cigarillos separately, and the latter has been further segmented between standard products and low-price cigarillos (also referred to as 'borderline' cigarillos). This approach allows for better appreciation of the differentiated effects of excise duty increases across the different types of products.

  The baseline situation is characterised by ***large disparities in excise duty levels across MS***, ranging from less than EUR 20 per 1,000 units (DE, NL and HU) to more than EUR 200 (FR and FI), up to EUR 415 (IE). As national regimes are primarily based on specific excise structures (or the MED), the same levels apply to roughly all products from low-price cigarillos (with market price below EUR 120 per 1,000 units) to expensive cigars, which exceed EUR 10,000 per 1,000 units in some MS). Disparities are much greater compared to cigarettes or any other tobacco product, so the impact of the proposed increases will inevitably be highly skewed, with very low taxing countries compelled to significantly increase domestic rates, while others remaining completely untouched. This effect is especially registered in Scenarios B/C and D, where the rate increase demanded in certain MS can reach between 300% and 400% of the current levels. For the same reason, the expected ***'distributive' effects of the partial PPP approach would not materialise*** for these products (only minor differences emerged from simulations).

  In absolute terms, the proposed increase would bring the average excise duty levied on standard cigarillos from EUR 106 to between EUR 109 and EUR 122, also raising bottom levels from EUR 16 to between EUR 23 and EUR 46. The excise duty yield (EDY) in MS where cigars are cheapest (in nominal terms) would increase from EUR 25 up to EUR 100; the average EDY value in the EU would move from EUR 629 to between EUR 630 and EUR 645. It should be noted that under the current market conditions the relative minimum will very often prevail for cigarillos (especially for low-price ones), whereas in the case of cigars, the fixed minimum would be more easily complied with. As discussed below, this issue could be addressed through split regimes.

Table F.3.11– Estimated impact of proposed EU minima on cigar and cigarillo excise duty levels

	EU minima		EDY		EDmin		EDY increase		EDY in PPP	MS affected
	F	R	min	avg	min	avg	avg	max	*avg*	(PPP)
Scenarios	€/1,000	%	€/1,000	€/1,000	€/1,000	€/1,000	%	%	€/1,000	No.
Cigarillos										
baseline	12	5%	16	106	12	105				
A	60	20%	23	109	19	109	15%	161%	109	5 (5)
B/C	90	30%	34	113	31	112	32%	294%	113	5 (5)
D	120	40%	46	122	43	121	56%	428%	121	15 (15)
Cigars										
baseline	12	5%	25	629	-	-				
A	60	20%	57	630	-	-	5%	138%	630	2
B/C	90	30%	75	635	-	-	15%	257%	633	5
D	120	40%	100	645	-	-	31%	375%	642	11

***Legend**: EDY=excise duty yield on average price products; EDmin=excise duty level on lowest price products; PPP= partial PPP scenario; F=fixed minimum condition; R=relative minimum condition; min, avg, max=minimum, average and maximum values among the 27 MS.*

Note: *Estimates refer to the EU aggregated market (disaggregated figures are provided in Appendix). Where required, variables expressed per kg have been converted into product units. Robust selling price data across countries are not available. Wherever feasible, first-hand figures provided by MS authorities (TCA survey) have been used. Gaps have been filled through Euromonitor International data, online research, or extrapolation from other countries. The results inevitably present some degree of approximation. In this table, the 'EDY increase' is expressed as the simple ratio (in %) between the 'new' ED levels and the baseline. For the price and the demand impacts described further below, the variation has been expressed in logarithm, for coherence with the specifications of the underlying econometric model used.*

- **Price levels and demand**

The expected impact on the demand for these products would be substantial, especially for cigarillos. In this respect, it is important to stress the disparities that exist between national markets. In MS where 'borderline' products are commercialised, they typically account for the majority of sales, thus average prices tend to be substantially lower than in MS where such products do not exist.[390] Overall, where 'borderline' cigarillos prevail, the average estimated price of the overall cigarillos category is roughly 50% lower than where 'borderline' products are absent or marginal. The consequence is that in a handful of countries, price levels would, in theory, register ***increases exceeding 100%*** (especially under Scenario C) and the demand would steeply drop.[391] In aggregated terms, the EU market for cigarillos would decline by approximately ***6%, 11% and 16% in Scenarios A, B/C and D, respectively***.

The demand for cigars would be comparatively more resilient. The baseline price levels are already much higher than the price of cigarillos, so the required excise duties increase would have smaller effects. In ***Scenario A, no impact is expected***; while under ***Scenarios B and C, a reduction in the demand of respectively 2% and 5% can be anticipated***.

Table F.3.12 – Estimated impact of proposed EU minima on cigars and cigarillos market price and demand

Scenarios	Price level				Impact on market sales	
	Nominal (avg)	Nominal (lowest)	PPP (avg)	PPP (lowest)	Units (million pieces)	In %
	€/1,000	€/,1000	€/1,000	€/1,000		
Cigarillos						
baseline	334	271			9,160	
A	353	284	353	284	-518	-6%
B/C	371	293	371	293	-982	-11%
D	403	310	402	309	-1,441	-16%
Cigars						
baseline	6,643				1,223	
A	6,705		6,697		0	0%
B/C	6,991		6,887		-23	-2%
D	7,531		7,308		-58	-5%

Legend*: PPP=partial PPP scenario; avg=average price levels; lowest=lowest price segment.*
Note: *Estimates refer to the EU aggregated market (disaggregated figures are provided in Appendix). Regarding caveats and limitations on price estimates see the note of Table F.3.11.*

[390] For instance, in DE and HU – where 'price-fighter' cigarillos account for more than 75% of the market, according to Euromonitor International – the average price level reported by authorities is around EUR 115 (1,000 units); conversely, in BE ('price-fighter' cigarillos represent around 19% of the market) the average price of cigarillos is EUR 360, in BG and IE ('price-fighter' cigarillos hold less than 5% of the market), the average price exceeds EUR 500.
[391] The estimation is based on the same elasticity parameters used for cigarettes, as data for cigarillos are insufficient and unsuitable to calculate a specific elasticity. It can be argued that the elasticity of the demand for 'low-price' cigarillos is even higher than that of cigarettes because they are designed as substitute products, so the drop in market sales can be even more radical. On the other hand, the relatively low level of taxation that is currently applied would likely indicate the absorption of part of the tax by the manufacturer. These two possible adjustments of the model would offset each other, so the provided estimates would not be significantly altered.

- **The effects of variants**

The first proposed variant consists of applying ***differentiated EU minima depending on the tax base*** to remove the disparity of treatment-induced by the current implicit 1 unit = 1g equivalence, which does not correspond to the real weight of products. The 'per weight' tax base is currently used in CY, IT, IE, PL, SK, LT and EL. However, in some cases, a conventional weight to unit ratio is applied, so that products are de facto taxed by unit. The simulations provided in Tables F.3.11 and F.3.12 above were based on realistic conversion rates (1 kg = to 800 cigarillos or 400 cigars), so the results already embed the proposed variant. Conversely, if the new proposed rates were applied maintaining the current implicit 1 unit = 1g equivalence, the tax pressure in countries with a 'per weight' tax base would be theoretically higher than in the other MS. In practice, for impact analysis purposes, there would be no noticeable differences under Scenario A, two countries would face higher rates under Scenario B/C and another two under Scenario D. In terms of sales, an additional decline of modest entity (between 0.1% and 0.3%, depending on the scenario) would be registered.

The second proposed variant consists of ***splitting regimes for cigars and cigarillos***. The rationale behind this policy option lies in allowing differentiated tax policies, with the aim of tackling the issue of 'borderline' products, which take advantage of the cigarillo regimes (including under the TPD) but can be considered in many respects as low-price substitutes for cigarettes. 'Borderline' cigarillos have traits that are similar to standard cigarillos (small size, filter, etc.), so they cannot be clearly distinguished based on product features. Rather, the characterising element is price, which is not only significantly lower than that of other cigarillos, but it ***must be also lower than the price of cigarettes***, otherwise the tax-induced substitution would not be triggered. Products matching this condition can be found in half of MS.

For consistency with the existing criterion used both in the excise legislation (Art. 32 of the Horizontal Directive) and in market intelligence sources, we have tested the establishment of a separate cigarillos excise category, encompassing all products that weigh less than 3 g. The new category would include 88% of products which currently fall under the 'cigars and cigarillos' excise category. The low-price products would account for 45% of the new cigarillos category, the other being standard ('non-borderline') products. Differentiated categories would allow for the ***application of differentiated EU minima***.

A simulation of the ***market effects of splitting regimes*** is provided in Table F.3.12bis below. Two combinations of EU minima have been examined (1) Scenario A for cigars and Scenario B/C for cigarillos and (2) Scenario A for cigars and Scenario D for cigarillos (both in nominal and partial PPP terms). As the Scenario A for cigars is expected to have no impact on sales (see Table F.3.12), the effects regard entirely cigarillos. In total, the expected decline is of nearly 1.0 billion units for the first scenarios combination and of nearly 1.5 billion for the second. Adopting the Euromonitor International' 'price fighter' category as a proxy for the low-price borderline products at stake, the results of impact simulations suggest that these products would be comparatively more affected than other products. The first combination would be even more effective than the second, as low-price cigarillos would account for 75% of the expected 'demand loss', while it would account to 70% in the second case. The 'collateral effects' – i.e. demand loss from categories other than low-price cigarillos – would amount to nearly 4% under the first combination and 7% under the second.

When compared to the application of excise duty increase through homogeneous regimes, the ***additional effects of split regimes are very limited***, and regard only cigars. As the comparation made in Table F.3.12bis below shows, while the impact on low-price cigarillos demand would remain unchanged, the 'collateral effects' would increase by as little as 0.3% under Scenario B/C and by 1.1% under Scenario D. In other words, as far as addressing the issue of borderline cigarillos is concerned, the advantages of split regimes over maintaining the status quo are negligible.

Table F.3.12bis– Estimated impact of split regimes on the demand of cigar and cigarillos

Scenarios		Total demand		Demand for low-price cigarillos		Demand for products other than low-price cigarillos	
		Units (M)	In %	Units (M)	In %	Units (M)	In %
Baseline		10,323		4,096		6,227	
Cigars: Sc. A Cigarillos: D	Nominal	-982	-9.5%	-740	-18.1%	-242	-3.9%
	Partial PPP	-982	-9.5%	-740	-18.1%	-242	-3.9%
Cigars: Sc. A Cigarillos: B/C	Nominal	-1,441	-14.0%	-1,009	-24.6%	-432	-6.9%
	Partial PPP	-1,445	-14.0%	-1,010	-24.6%	-432	-6.9%
Impact of homogeneous scenarios for comparative purposes							
Scenario B/C		-1,004	-9.7%	=	=	-264	-4.2%
Scenario D		-1,502	-14.5%	=	=	-499	-8.0%

Notes: *ED increase scenarios are described in Section 3.2.3. 'Low-price' cigarillos correspond to Euromonitor International's 'price fighter' category. Euromonitor International's estimates on the market share of these products have been extrapolated and applied to the estimated RfC elaborated in this Study (see Annex D). For seven MS no estimate was available, so the EU average market share (33%) has been applied. For the impact estimation, it has been assumed that all these products were priced at the Pmin level (i.e. the lowest price on the market), albeit this led to some overestimation of effects. Reliable Pmin data were available for only a dozen of MS, for the other countries a fixed proportion to WAP has been applied. Methodological assumptions and caveats are significant, therefore impact estimates for low price cigarillos have to be taken as indicative.*

The main issue remains ***the difficulty to further distinguish 'borderline' products from standard products***, with the aim of applying a more punitive regime to the former because there is no clear boundary in terms of size or price. This remains possible at the country level through a well-crafted excise duty regime. Evidently, ad valorem taxation has limited effect on these products, so specific taxation should be preferred. The use of a mixed structure with a substantial MED seems to be even more effective, since this approach would ensure balanced taxation in every price segment of the market with a tax floor at the bottom of the price distribution.[392]

➢ OTHER SMOKING TOBACCO

The 'other smoking tobacco' excise category currently includes products with heterogeneous characteristics, including: (1) pipe tobacco, which is smoking tobacco with a wider cut than FCT and is often subject to the same tax regime of FCT (10 MS); (2) waterpipe tobacco; and (3) heated tobacco products, but only in MS that have not established an ad hoc national regime (DE, FR, NL, SE, ES and ES). The heterogeneity of the products involved hampers the adoption of a common regime suitable to all. Therefore, in this Study, we present policy options involving the establishment of separate harmonised categories for heated tobacco (presented in Section 4) and for waterpipe tobacco (discussed further below in this section).

For the analysis of market impacts, we have removed HTP from the OST, so the figures presented in this section refer exclusively to pipe and waterpipe tobacco. However, it is worth highlighting that the market data for this category of products are scarce and not always consistent, so baseline estimates must be considered as purely indicative.

- **Excise duties**

Currently, OST is subject to fairly low EU minima, which poorly reflect the reality of the MS excise duty levels. The average excise duty applied in MS is approximately EUR 116/kg, and accounts for nearly 50% of the average retail price, whereas EU minima amount to EUR 22

[392] A 'success story' in this sense is offered by Finland. In the country, the market share of low-price cigarillos rose to 22% between 2016 and 2017. At that point, the Finnish authorities responded by introducing a MED of EUR 240 per 1,000 units (and later progressively increased to EUR 300). The following year, low-price cigarillos fell to 6% and in 2020 their share was below 4%. Similarly, in countries with a substantial MED in this category, like FR, BE and AT, low-price cigarillos never took off.

and 20%, respectively. Therefore, the proposed increase scenarios are substantially higher than the baseline situation. Specifically, the proposed fixed minima range from three times to nearly six times the current level. Still, as Table F.3.13 shows, only the most ambitious scenarios (B/C and D) would foster significant changes at the MS level (i.e. ***between 6% and 16%***), for two main reasons: (1) the relative minimum condition would prevail in low tax countries, offsetting the effects of ambitious increases of the fixed minimum (this mechanism has been described above, with respect to FCT); and (2) there are huge disparities in starting conditions: in two MS, the current EDY is lower than EUR 30, while it is close to EUR 300 in two other MS (also due to the equivalence with the FCT treatment). Clearly, a substantial increase of the minima would severely affect a limited number of MS before hitting a critical mass. As shown in Table F.3.13 below, the required EDY increase would ***exceed 60% and 100%*** in Scenarios B/C and D, respectively, in some MS.

The recourse to the partial ***PPP approach would not alter this picture*** because, unlike cigarettes and other tobacco products, the EDY level of OST is not connected to the country's purchasing power (the lowest EDY levels are found in DE, AT and ES).

Table F.3.13 – Estimated impact of proposed EU minima on OST excise duty levels

Scenarios	EU minima		EDY nominal		EDY increase		EDY - PPP		MS affected
	F	R	min	avg	avg	max	avg	increase	(PPP)
	€/kg	%	€/kg	€/kg	%	%	€/kg	%	No.
baseline	22	20%	22	116					
A	60	30%	22	117	1%	19%	117	1%	1 (1)
B/C	90	40%	25	119	6%	61%	119	5%	6 (6)
D	120	50%	32	125	16%	103%	124	15%	10 (10)

***Legend**: EDY=excise duty yield on average price products; PPP=partial PPP scenario (see Table F.3.4); F=fixed minimum condition; R=relative minimum condition; min, avg, max=minimum, average and maximum values among the 27 MS.*
***Note:** Estimates refer to the EU aggregated market (disaggregated figures are provided in Appendix). Where available, figures provided by MS have been used. The numerous gaps have been filled through Euromonitor International data or extrapolation from other countries. The results inevitably present some degree of approximation. In this table, the 'EDY increase' is expressed as the simple ratio (in %) between the 'new' ED levels and the baseline. For the price and the demand impacts described further below, the variation has been expressed in logarithm, for coherence with the specifications of the underlying econometric model used.*

- **Price levels and sales**

The aforementioned data limitations and caveats require to take the OST price and demand impact simulation with due caution. Based on the estimates provided in Table F.3.13 above and assuming the excise duty increase would be entirely passed on to consumers, we can expect average prices to increase to between ***EUR 229 and EUR 246***, which is moderately higher than FCT (but in low tax countries the price would remain below FCT levels).

Market sales would not change under Scenario A, but would decline by ***7% to 13%*** under Scenarios B/C and D. It is relevant to remark that excise duties (hence price) have increased at similar rates as FCT in the past (around 6% annually). It can be expected that MS would continue increasing OST rates in the future, even in the absence of EU minima requirements, so the impacts described in Table F.3.14 would be compounded by additional effects stemming from MS domestic policies. In the case of Scenario B/C, the estimated impacts would be roughly doubled.

Table F.3.14 – Estimated impact of proposed EU minima on OST market price and demand

Scenarios	Price level				Impact on market sales	
	Nominal (min)	Nominal (avg)	PPP (min)	PPP (avg)	Tonnes	%
	€/kg	€/kg	€/kg	€/kg		
baseline	63	229			8,481	
A	63	229	63	229	-2	0%
B/C	70	235	70	234	-629	-7%

D	82	246	82	244	-1,137	-13%

***Legend**: PPP=partial PPP scenario; min, avg=minimum and average values among the 27 MS.*
***Note:** Estimates refer to the EU aggregated market (disaggregated figures are provided in Appendix). The baseline data on price and market volume are subject to a high degree of uncertainty. Where feasible, the information is drawn directly from MS reporting, however, some countries do not differentiate between FCT and OST, while others include HTP in the OST category, which significantly magnifies estimates. The primary source for price levels is Euromonitor International.*

- **Separate category for waterpipe tobacco**

The possibility of introducing a separate tax regime for waterpipe tobacco (WPT) was first proposed in the EA 2017 study. Given the prevailing informality of this market segment, it was (and still is) unfeasible to collect accurate market figures, but there is widespread consensus that a large share of the WPT market is de facto illicit and that this is inter alia unintentionally encouraged by inappropriate taxation. As discussed, WPT is to a large extent made of molasses, which significantly increases the specific weight of WPT compared to any other tobacco product. In this sense, a regime fit for pipe tobacco may result in unduly high excise duties for WPT and vice versa. This translates into high profit margins for illicit traders and, consequently, an illicit market that is estimated by stakeholders to be around 50% of total consumption (exceeding 80% in FR, IT, NL, EL, BG and others). As discussed in Section 5 below, the illicit manufacturing of WPT has become widespread within the EU over the past few years.

Against this framework, we have considered the possibility of separating WPT and OST regimes and applying ***milder EU minima increase to WPT*** compared to OST, as described in Table F.3.4. The lack of robust market data hampers any quantitative estimation of impact, especially as far as trade-off effects between legal sales and illicit products. Nonetheless, some hypothetical scenarios can be developed to appreciate the order of magnitude of such effects. In Table F.3.15 below, we compare business-as-usual (BAU) scenarios, where WPT is subject to the same regime (and planned increase) as OST, with a variant where ad hoc minima, lower than corresponding OST rates, are applied to WPT. For analytical purposes, we have assumed that MS would apply the proposed EU minima, decreasing current domestic rates where relevant.[393] Under this assumption, the selling price of legal WPT and consequently the price of illicit WPT would decrease.[394] Production costs are proportionally higher for illicit products than for legal ones (considering the inherent risks of illegal activities), so a reduction in their selling price would narrow illegal business' profitability. Assuming that the supply of illicit WPT is proportional to the profitability of the business, we can therefore expect a ***substantial decline in the illegal market***, especially if we apply the policy variant to Scenarios A and B/C. Conversely, the business-as-usual scenarios could lead to a (moderately) worse situation.

Of course, major excise duty (hence price) reductions are not advisable from the perspective of ***public health protection*** and the risk of ***tax-induced substitution*** across products. Still, it would be sufficient that the average WPT price would go down by 10% compared to the BAU scenarios reported in Table F.3.15[395] to potentially move 500 tonnes from the illegal to the legal consumption[396]. Additional beneficial impacts can be achieved by enhancing monitoring and control of the raw tobacco supply chain, as discussed in Section 5.

Table F.3.15 – Theoretical decline in illicit WPT linked to reduced EU minima scenarios

Scenarios		ED level variation		Price level (€/kg)		Illicit sales (tonnes)	
	Fixed min*	BAU	Variant	BAU	Variant	BAU	Variant

[393] This assumption clearly magnifies the effects, but it is useful to appreciate the potentiality of this measure. In reality, less than one-quarter of MS authorities surveyed would be interested in taxing WPT less than OST.
[394] We have assumed that illicit WPT is sold at 50% of the price of legal products, in accordance with the proportion that is typically observed between illicit and duty-paid cigarettes.
[395] It can be useful to underline that the price reduction does not refer to the current prices but to the expected prices after the ED minima increase examined in this section.
[396] Here it is assumed a complete trade-off between illegal and legal products, with no other effects on the demand.

baseline	**€22**			230		5,016	
A	**€40**	0%	-57%	230	79	5,016 (0%)	1,030 (-79%)
B/C	**€60**	3%	-38%	234	115	5,122 (+2%)	1,980 (-61%)
D	**€90**	9%	-15%	243	164	5,359 (+7%)	3,274 (-35%)

***Note**: The BAU (business-as-usual) scenarios consists of applying to WPT the OST EU minima outlined in Table F.3.13 above. The variant scenarios consist of applying to WPT the fixed minima indicated in the column marked by (*), instead of the OST minima. No variant is envisaged for relative minimum. Baseline figures for illicit trade volumes and prices are based on industry's data.*

4.3.2 Impact on excise duty revenues and fraud

- **EXCISE DUTY REVENUES**

The estimated market effects that have been calculated in the previous section can be easily translated into excise duty revenue effects through multiplying the increased rates by market sales adjusted by the expected demand decline. The results of the estimation are reported in Table F.3.16 below. Overall, an increase in MS revenues ranging ***between 2% and 14%*** can be expected, depending on the scenario considered. Similar effects would be registered in the partial PPP-adjusted scenarios. The expected increase is coherent with the non-elastic nature of tobacco products and the fact that a decline in volume sales would be less than proportional to the tax (hence price) increase.

Overall, it is worth noting that where the planned excise duty increase exceeds any historical precedent, the capacity of the quantitative model to predict effects declines substantially and no benchmark is available to make an accurate estimate. In this sense, while the expected effects of Scenarios A and B in Table F.3.16 below can be assumed as fairly robust, the impacts of Scenarios C and D should be considered as mostly indicative.

Table F.3.16 – Estimated impact on Member States excise duty revenues

Scenarios		ED revenue increase (EUR million)						Growth
		Cigarettes	FCT	C&C	OST	WPT**	TOTAL	%
							Baseline*	79,224
Nominal	A	966	208	18	0	0 (0)	1,192	2%
	B	2,560	280	43	16	16 (15)	2,916	4%
	C	6,176	385	43	16	16 (15)	6,636	8%
	D	10,752	549	87	34	32 (32)	11,453	14%
PPP	A	399	206	18	0	0 (0)	624	1%
	B	1,626	279	44	16	16 (15)	1,981	3%
	C	4,425	384	44	16	16 (15)	4,885	6%
	D	8,928	548	88	34	32 (31)	9,630	12%

***Note:** Estimates refer to EU aggregated impacts. (*) The excise duty revenue baseline has been calculated by applying the 2020 rates to the market estimated volumes. This value is slightly lower (2.3%) than the excise duty revenue amounts compiled by DG TAXUD (EUR 81,378 million in total). The difference is primarily explained by the fact that the latter often includes also HTP revenues, as well as by the time effects on the registration of revenues and by the margins of errors in the calculation of average price levels and market volumes for some categories of products. (**) the figures in parenthesis refer to the variant where WPT minima are set at a level lower than OST.*

- **TAX FRAUD**

According to various non-official sources, illicit trade has been generally declining in the EU in the past decade. For *Euromonitor International* the decline has been slow, and illicit cigarettes' market share is still 11-12% of the total, while KPMG estimates a steeper decline of contraband and counterfeited cigarettes, from 11% to 8% of total consumption. This is confirmed also by the results of the econometric analysis of the demand for illicit cigarettes that was carried out under EA 2019, which found a correlation between the steady downward trend of illicit trade and the uprising affordability.

More specifically, the EA 2019 found some connections between illicit trade in the EU and three main determinants, as follows:

1) The increase of illicit trade appears positively linked to the increase in the ***price of legal tobacco***. In particular a price increase of 1% is associated to an ITTP increase between 1.0% and 1.4%. However, the statistical standard error is high and the confidence interval is large, which makes punctual measurement unsupported. In the case of FCT, the impact of price increase seems milder, i.e. between 0.3% and 0.4%, and even less robust from a statistical perspective (signalling that other more relevant determinants exist).
2) An ***increase of income*** is, unsurprisingly, inversely associated with a decrease in the demand of illicit products. In other words, as legal products become more affordable (in relation to consumer's purchasing power), consumers consistently switch from illegal to legal products. According to EA 2019 estimates, an increase of 1% in income level, correspond to a reduction of ITTP by 0.9% - 1.8%. Again, margins of errors are substantial.
3) Finally, there are unexplained ***country-specific factors***, which seems to contribute to the abovementioned overall inertial decline in the demand of ITTP over time. These factors can be intuitively related to country's geographical position and proximity to international ITTP hubs[397], enforcement capacity, consumer awareness and other cultural factors etc.

The results of EA 2019 are fairly consistent with the works of other scholars (reviewed in Annex E), including with the EU-funded PPACTE project (Pricing Policies and Control of Tobacco in Europe)[398] which could not find statistically-significant association between illicit trade and the price of cigarettes. As some of its authors suggested: '*the supply of illicit tobacco, rather than its price, is a key factor contributing to tax evasion*'.[399]

In other words, ***high prices appear more as an enabler of ITTP rather than its determinant***, or as a 'pre-condition'. As MS authorities confirmed, the price of illegal products is typically set in relation to the price of legal ones, and at about 50%-60% of it. In this sense, assuming production costs as fixed, the higher legal prices go the more profitable is ITTP business. For this reason, there is an economic incentive for illegal suppliers to focus on markets where the level of price is comparatively higher. On the other hand, there are other evident drivers behind the supply of illicit products, including (a) the permeability of borders and in general the capacity of local authorities to detect and prosecute ITTP (b) the severity of sanctions against offenders; (c) the geographical proximity to illicit production/distribution sites, which minimise the travel risks; (d) the 'real' price of legal products, in terms of consumer's affordability etc.

Against this framework, a quantitative assessment of the possible ITTP impact of excise duty increase scenarios is not supported. On a more qualitative level, the scenarios implying more ***substantial increases are possibly associated to a higher risk of incentivising ITTP***, although, as discussed, other factors are also at play. The results of the MS consultation carried out for EA 2019 showed that MS more exposed to smuggling from external borders were comparatively more concerned of the unintended effects of increasing EU minima. In the meantime, steps were made to fight ITTP, including the adoption of the EU Traceability System, However, it is too early to register concrete results.

In conclusions, it can be worth highlighting that the impact simulations carried out for EA 2019 suggested a decline of ITTP even under the most ambitious tax increase scenario. Similarly, from a ***tax revenue perspective***, the expected increase of excise duty yield, caused by higher rates, would largely offset the foregone revenues due a potential increase of ITTP.

[397] A relevant aspect of the analysis carried out under EA 2019 consisted in examining price differential across EU Eastern and Balkans borders, i.e. between Belarus, Russia, Ukraine and Serbia and the neighbouring EU MS. The results showed that fluctuations in price levels in those third countries could play a relevant role in ITTP trends in some MS
[398] See: https://www.tri.ie/ppacte.html
[399] Joossens L, Lugo A, La Vecchia C et al. Tob Control 2014; 23:e17-e23 (cited from EA 2019).

3.3.3 Public health impacts

According to the latest WHO estimates, some 27 percent of cancers diagnosed in Europe may have a link to tobacco smoking[400]. All in all tobacco consumption represents the single leading preventable cause of cancer and cancer-related deaths. Irrespective of smoking, no tobacco product has been conclusively proven to be safe and risk-free, although empirical epidemiological evidence of the related health burden varies depending on how long a product has been available on the market. Oral tobacco, for instance, also conclusively appears to be a notable cause of overall mortality, as emerged from the epidemiological data, among others, of Sweden, which is the only MS where 'snus' is not banned and is widely consumed[401] There is major tobacco-induced mortality and morbidity also from other causes, notably cardiovascular diseases and chronic obstructive pulmonary disorder. In certain regions of Europe, smoking-related cardiovascular diseases appear to exceed smoking-related cancers as a cause of death. Any reduction in tobacco consumption, therefore, triggers a major impact on public health and results in health benefits (defined as reduced health costs).

We have focused here on the reduction in smoking tobacco consumption as a result of taxation, as this represents the bulk of expected impacts on public health from a revision of the Tobacco Excise Directive. Additional, although relatively smaller impacts, can be expected from decreases in tobacco consumption triggered by a reform of art.32 provisions on cross-border purchases of tobacco products, or from tax-induced reductions in oral tobacco consumption that have not been analysed in detail here. The impact of the different EU minima scenarios on public health has therefore been assessed on two levels:

3) ***reduction of the smoking prevalence***, which is a major health determinant and can be considered, together with the reduction in smoking intensity[402], as a public health objective in itself;
4) the effects of smoking prevalence reduction on mortality and morbidity-related ***social cost savings***,[403] defined as a lower burden of 'value of lives lost', smoking-attributable healthcare costs and productivity losses[404].

Even without entering into precise calculations, it can be demonstrated that ***any increase in taxation is always justified on public health grounds[405],*** provided that the any year of life saved is priced in monetary terms irrespective of whether individuals are in their working life or not[406]. The key assumption here, in fact, is that smoking is considered as an activity triggered

[400] Source: https://www.euro.who.int/en/health-topics/disease-prevention/tobacco/news/news/2020/2/tobacco-use-causes-almost-one-third-of-cancer-deaths-in-the-who-european-region. There is, however, a certain variability in the estimates of the smoking-attributable cancers, as new knowledge becomes available and methodologies to calculate the smoking-attributable factor are fine-tuned. IARC-WHO estimated smoking-related cancers in Europe at 20% of the total in 2018 (https://cancerpreventioneurope.iarc.fr/wp-content/uploads/2020/10/345-Smoking-PAF-Europe_-A4_v03.pdf), while in 2016 the US CDC raised their estimates of the share of tobacco-related cancers on the total for the US to 40%, of which 30% linked to cigarette smoking. https://www.cdc.gov/media/releases/2016/p1110-vital-signs-cancer-tobacco.html. Similar differences can be noticed in the estimates of the lung cancers attributable to smoking that vary from 80% to 90% of the total according to different sources.

[401] Smokeless tobacco has had a distinct health impact, geographical distribution and different health determinants from smoking tobacco. Smokeless tobacco products have a male population prevalence of 25% in Sweden and over 5% in Malta and Finland. They are estimated to account for some 7,800 annual deaths in Europe mainly from cardiovascular diseases. Their overall total DALY burden for Europe is estimated in the range of 170,000, i.e. some 1% of smoking-related ones in the EU only. See Siddiqi, K., Husain, S., Vidyasagaran, A. et al. Global burden of disease due to smokeless tobacco consumption in adults: an updated analysis of data from 127 countries. BMC Med 18, 222 (2020).

[402] Reduction in smoking prevalence tends however to be considered as much more important than the reduction in smoking intensity, as certain health risks are non-linear and do not strictly vary with the level of smoking. In certain cases, they are triggered by the act of consumption and even persist statistically unabated by subsequent smoking cessation. This explains the great emphasis attributed to preventing the smoking habit in the first place.

[403] See Volume 2 for a detailed description of the underlying methodological approach.

[404] Although productivity losses are not generally considered as externalities, and therefore costs borne by society, in health economics they are considered as a part of the costs that illnesses cause to society as an aggregate in terms of economic growth as they can be measured in GDP terms.

[405] More detailed considerations on both aspects are reported in Appendix, which also provides a summary of efficiency considerations on decreasing smoking prevalence through taxation.

[406] This is because recent epidemiological studies have found that as high as two-thirds of smokers are eventually going to die from smoking-related causes. Estimates of premature deaths point to ten to twenty years of life lost each; if these

by nicotine addiction and therefore not a willing consumer behaviour of which the consumers themselves bear the related responsibility and cost. The existence of addiction, in fact, allows it to be considered as an externality and therefore a social cost that should be compensated for and would justify a taxation far exceeding current levels.

- **Impact on smoking prevalence**

  The first dimension examined regards the ***reduction of smoking prevalence*** among the general population (ages 15+).[407] In its Beating Cancer Plan, the EU has recently endorsed the WHO objective of creating a 'Tobacco-Free Generation', where less than 5% of the population will use tobacco by 2040, compared to around 24% today.[408] The interim goal is to reach the WHO target of a 30% relative reduction in tobacco use by 2025 as compared to 2010, corresponding to a smoking prevalence of roughly 20% in the EU (i.e. an overall 17% reduction in current consumption levels).

  Table F.3.17 below summarises the estimated impact of the various options on smoking prevalence under the assumptions of a fixed population and smoking intensity, as well as a natural tendency of smoking prevalence to decrease by 1.72% a year, due to tobacco denormalisation and the impact of other tobacco policies, as reported in EA 2019. As shown, ***all scenarios would support the achievement of the short-term goals of the Plan***, with the only exception of scenario B in partial PPP. In terms of individuals concerned, the contribution of the revision of the EU minima could amount to ***between 11 and 15 million fewer smokers***. Needless to say, the highest decline corresponds to the highest tax increase scenario (Scenario D) and, vice versa. Long-terms effects cannot be accurately predicted, nonetheless the proposed measures represent a tangible contribution to the ultimate Tobacco-Free Generation objective of the Plan. The order of magnitude of expected impact roughly corresponds to some 20% of the reduction required to achieve the target. Still, further steps will evidently be necessary to meet that long-term goal, including other non-fiscal policies.

Table F.3.17 – Estimated impact on smoking prevalence in the EU

Scenarios		Reduced consumption (annualised)				Variation in consumption			
		EU minima	MS tax	Non-tax related factors	Total	Demand impact		Smoking prevalence	
		Billion units	Billion units	Billion units	Billion units	1 Y	2025	1 Y	2025
	baseline	556.2						24%*	
Nominal	**A**	-8.0	-5.8	-9.6	-23.4	-4%	-15%	23%	20%
	B	-17.3	-5.0	-9.6	-31.9	-6%	-16%	23%	20%
	C	-32.4	-2.4	-9.6	-44.4	-8%	-16%	22%	20%
	D	-51.2	-2.2	-9.6	-63.1	-11%	-20%	21%	19%
PPP	**A**	-4.9	-6.5	-9.6	-21.0	-4%	-15%	23%	20%
	B	-12.4	-4.2	-9.6	-26.2	-5%	-14%	23%	21%
	C	-24.9	-2.3	-9.6	-36.8	-7%	-15%	22%	20%
	D	-44.8	-2.2	-9.6	-56.6	-10%	-18%	22%	20%

Notes: *Estimates refer to EU aggregated impacts. (*) The estimate – based on Eurobarometer 506 – represents the MS weighted average (and not the simple average), for coherence with the aggregated consumption estimates. The baseline consumption figure refers to the year 2020. FCT and OST have been converted into units applying a 0.75g=1 stick equivalence. "EU minima" reductions refer to the effects of EU minima increase scenarios; "MS tax" reductions refer to*

years are given a conventional value in the region of EUR 50,000 each, this is unlikely to be compensated by any amount of tobacco taxes paid by consumers in their lifetime. For a recent estimate of smoking-related deaths for smokers, see Banks, E, Joshy, G, Weber, M et al 2015, *'Tobacco smoking and all-cause mortality in a large Australian cohort study: Findings from a mature epidemic with current low smoking prevalence'*, BMC Medicine, vol. 13, no. 1, pp. 38-38.

[407] For comparison purposes, all the scenarios described have been calculated as if the total EU population and its age structure would remain constant over the period considered. Therefore, endogenous demographic factors and the possible impact of external migration have not been considered.

[408] World Health Organization, Regional Office for Europe, 18.02.2020 at https://www.euro.who.int/en/health-topics/disease-prevention/tobacco/news/news/2020/2/tobacco-use-causes-almost-one-third-of-cancer-deaths-in-the-who-European-region.

the additional decline linked to MS spontaneous increase of excise duty levels (coherent with historical trends we have assumed a yearly increase – net of inflation – of 2.5% for FMC and C&C, and 4% for FCT and OST). "EU minima" effects can be considered as a 'one-off' (and would materialise in the year of entry into force) while "indirect" ones would recur annually. "Non-tax-related factors" relate to tobacco control policies, cultural denormalisation of tobacco, etc. Under EA 2019, this factor was estimated to induce a reduction in market sales of -1.72% annually. The projections for the year 2025 include the cumulative effects of recurring factors (referred to the baseline year 2020).

- **Impact on public health social costs**

  In the short run, the reduction in smoking prevalence is more than proportional to the reduction in the ultimate ***social costs of tobacco consumption***. This is because tobacco consumption leaves a legacy of health risks that are usually reduced, but not completely dropped by smoking cessation. So smoking-related mortality and morbidity continue to apply to some extent also to former smokers, although on a declining trend over time. To achieve full equivalence between the two variables to apply in the long run, calculations should extent to a generation's time or so. Recently published data from the Global Burden of Disease project have indeed confirmed that this is indeed the case[409]. In fact, on average, epidemiological data show that over a generation's time the decline in the share of smoking-related deaths on total mortality does coincide with the parallel decline in smoking prevalence.

  Over shorter periods, a correction factor should be imputed to account for this inertia in health risks. Therefore, as explained in more detail in Appendix, social costs have been assumed as reduced by a factor of 0.55 to a corresponding decrease in smoking prevalence, which broadly corresponds with the average decline in the relative health risks for the various smoking-related diseases triggered by smoking cessation. This is broadly in line with the approach utilised for the quantification of the social costs of smoking in the impact assessment of the TPD, as further confirmed by the recent support study on the application of the TPD, where a 0.5 factor was assumed[410].

  More precise estimates of the relation between smoking prevalence and smoking-attributable social costs would require complex models with incidence data to be calculated, but these are not available. If this relation is approximated by means of a fully linear relation between consumption and health system and productivity-related social costs, as well as the 'value of life' lost, and corrected by the 0.55 factor above, the savings in ***case of no policy change would amount to roughly EUR 41 billion by 2025***.

  Table F.3.18 below shows, in more detail, that the five-year decline in demand would lead to a parallel reduction in the social costs attributable to smoking, namely 'value of life' costs, healthcare costs and productivity losses.

  In line with the above projections of smoking prevalence, all scenarios considered will generate incremental benefits in contrast to the 'no change' scenario. More stringent scenarios would reduce consumption more markedly, thus resulting in greater cumulative savings associated (between EUR 35 and EUR 45 billion), than lower increase scenarios (approximately EUR 25 to EUR 30 billion). It is worth noting the figurative nature of the estimates on social cost savings, not only in relation to the evident limitations in the accuracy of the measurements, but also because of the time-lag between smoking cessation trends and the materialisation of the various benefits other than the value of life (see Annex for details). Nonetheless, it can be assumed that the effect of the possible error is fixed across scenarios, so the estimates provided below can still be useful in comparative terms. In the long run, the corrective factor related to the inertia of health risks would no longer apply and over a generation's time, when all the benefits of tobacco control would be attributable to

[409] GBD 2019 Tobacco Collaborators *Spatial, temporal, and demographic patterns in prevalence of smoking tobacco use and attributable disease burden in 204 countries and territories, 1990–2019: a systematic analysis from the Global Burden of Disease Study 2019.* The Lancet, June 2021

[410] ICF S.A , RAND Europe, "Support study to the report on the application of Directive 2014/40/EU", Final report for DG SANTE, May 2021. https://op.europa.eu/en/publication-detail/-/publication/9ce15083-b931-11eb-8aca-01aa75ed71a1/language-en

smoking prevention, the undiscounted no-change scenario would be worth some ***EUR 68 billion by 2040***. On the other hand, the greater additional cumulative benefits of the more stringent scenarios would be in the order of magnitude of ***EUR 60-90 billion,*** and the softer options in the region of ***EUR 45-55 billion.***

Table F.3.18 – Cumulative social costs savings (2021-2025, in current EUR billions)

			Nominal				PPP			
	Baseline (2019/20)	**No change**	**A**	**B**	**C**	**D**	**A**	**B**	**C**	**D**
				additional savings over the 'no change' scenario						
Value of life costs	747	-34.1	-27.5	-27.5	-32.3	-44.9	-25.0	-24.0	-26.9	-40.1
Healthcare costs	30	-2.5	-2.0	-2.0	-2.0	-3.3	-1.8	-1.7	-2.0	-2.9
Productivity loss	10	-0.8	-0.7	-0.7	-0.8	-1.1	-0.6	-0.6	-0.6	-1.0
TOT	**787**	**-37.3**	**-30.2**	**-30.2**	**-35.1**	**-49.3**	**-27.4**	**-26.3**	**-29.5**	**-44.0**

Source: *Author's elaboration based on the estimates of Table F.3.17 above.*

3.3.4 Environmental impacts

Tobacco products are characterised by a peculiar environmental footprint in the various phases of their lifecycle. In particular, tobacco is characterised by being a crop with very high water demand (higher than rice), whose manufacturing can be considered as relatively energy-intensive, both because of curing requirements and its complex logistics and distribution require a notable number of km travelled (over 2,300 km travelled per tonne of tobacco produced). Hence, tobacco production requires substantial amounts of oil (tonnes), with the consequential adverse environmental effects in terms of CO2 emissions[411]. Table F.3.19 below summarises the main features of the ***gross environmental impact*** per tonne of tobacco products consumed and produced. This is different from ***the net environmental impact*** resulting from any reduction in tobacco consumption triggered by taxation, which would require some assumptions on alternative consumption patterns, in the absence of calculated tobacco consumption. For instance, it is reasonable to assume that a lower need for tobacco production would result in the EU in less demand for agricultural use of superficial waters[412] and therefore fewer sources of metal contamination, as the tobacco leaf is a well-known metal concentrator. Other impacts are more difficult to assess since some alternative crops (e.g. wheat and rice) can have a heavier environmental impact than tobacco, in many respects. Therefore, the net impact is largely unpredictable.

Similar considerations apply to the other stages of the tobacco production chain, for which estimates of net impact would require assumptions on the counterfactual pattern of the overall production activities of an economy, when disposable income is no longer spent on cigarettes and other smoking products. This is an area that has attracted very little research. However, it is important to mention the empirical finding that ***smoking cessation is often associated with reduced harmful alcohol consumption***,[413] as the two consumption habits often tend to run in parallel. Although it has never been rigorously demonstrated on empirical grounds, it is likely that any reduction in tobacco consumption would be associated *ceteris paribus* with some reduction in the overall energy intensity and CO2 emissions of an economy as a whole, as well as water consumption. The closer the environmental impact takes place to the final act of tobacco consumption, the more likely the impact itself is to occur within the EU.

[411] Emissions by the global tobacco industry are roughly on par with those of other major industries. For comparison, the coffee house chain Starbucks was estimated to emit as much greenhouse gases as one of the major tobacco multinationals. The tobacco industry's overall CO2e emissions are in the same order of magnitude as a major oil company.

[412] The Tobacco Industry has rebutted these claims and argued that "[t]obacco growing and manufacturing take around one-third of the water required to make the same amount of tea or one-sixth that of coffee or chocolate (per weight of finished product)". Philip Morris International. 2016. Communication on Progress 2016 United Nations Global Compact. Lausanne: Philip Morris International

[413] See Brown, J., West, R., Beard, E. et al. *Are recent attempts to quit smoking associated with reduced drinking in England? A cross-sectional population survey*. BMC Public Health 16, 535 (2016).

Table F.3.19 - Environmental impacts per tonne of produced and consumed tobacco

	Unit	Farming	Curing	Processing	Manufacturing	Distribution	Use and disposal	TOTAL
Climate change	kg CO2 eq	3,486.5	7,470.6	179.3	2,628.7	64.6	145	13,975.2
Terrestrial acidification	kg SO2 eq	19.9	40.1	1.8	13.1	0.4	0.5	75.8
Freshwater eutrophication	kg P eq	1.1	0.1	0.1	1.4	0.0	0.1	2.7
Marine eutrophication	kg N eq	1.9	0.6	0.1	0.7	0.0	0.2	3.5
Human toxicity	kg 1.4-DB eq	1,188.4	813.5	98.7	1,051.2	8.7	89.4	3,249.9
Terrestrial toxicity	kg 1,4-DB eq	4.0	0.2	0.0	0.8	0.0	1.0	6.1
Freshwater toxicity	kg 1,4-DB eq	30.9	7.3	2.4	36.2	0.3	4.8	81.8
Marine toxicity	kg 1,4-DB eq	30.2	8.8	2.7	33.2	0.3	4.0	79.3
Water depletion	m3	3,631.3	21.6	2.4	57.2	1.0	-0.6	3,712.9
Metal depletion	kg Fe eq	307.7	77.8	55.8	102.7	2.3	2.7	548.9
Fossil fuel depletion	kg oil eq	696.2	2,014.9	50.8	674.2	21.2	23.2	3,480.5

Source: *Maria Zafeiridou, Nicholas S Hopkinson, Nikolaos Voulvoulis, Technical Report for the FCTC Cigarette smoking: an assessment of tobacco's global environmental footprint across its entire supply chain, and policy strategies to reduce it, 2018 WHO FCTC Secretariat.*

Finally, any reduction in tobacco consumption remains characterised by a parallel reduction in the ***littering caused by cigarette butts[414],*** the most pervasive litter item found on beach clean-ups. This is possibly the best-known cause of pollution from cigarettes; it is estimated that tobacco products worldwide amount to between 340 and 680 million kilograms of waste. Another likely environmental impact lies in the demand for ***packaging materials,***[415] as tobacco products are generally characterised as heavily packed in terms of unit. To this aim, it is worth mentioning that while there is a tendency to consider manufactured cigarettes and FCT equivalents from a fiscal and public health perspective, FCT is less resource-intensive in terms of demand for packing materials and energy needed for the packaging process itself, although little data have been published on the size of these possible savings.

Conversely, although research on this subject is even less developed than for ordinary cigarettes[416], it has been claimed that because devices are composed of low-value but sophisticated electronics, the ***environmental costs related to the manufacturing of e-cigarettes may be much more severe*** than those of ordinary cigarettes per unit. This might represent a public health concern per se, worth researching more in detail[417].

[414] So far, the tobacco industry has refrained from implementing practices that could reduce the waste from conventional cigarette filters, despite growing epidemiological evidence that these could have worsened the health impact of smoking and increased related cancer mortality. See Min-Ae Song, Neal L Benowitz, Micah Berman, Theodore M Brasky, K Michael Cummings, Dorothy K Hatsukami, Catalin Marian, Richard O'Connor, Vaughan W Rees, Casper Woroszylo, Peter G Shields, Cigarette Filter Ventilation and its Relationship to Increasing Rates of Lung Adenocarcinoma, Journal of the National Cancer Institute, Volume 109, Issue 12, December 2017

[415] An estimated 2.15 megatonnes of packaging materials (e.g. ink, cellophane, foil and glue) are used by the tobacco industry in a year, excluding cardboard boxes for shipping. See Maria Zafeiridou, Nicholas S Hopkinson, and Nikolaos Voulvoulis, *Cigarette Smoking: An Assessment of Tobacco's Global Environmental Footprint Across Its Entire Supply Chain,* Environmental Science & Technology 2018 52 (15), 8087-8094 DOI: 10.1021/acs.est.8b01533

[416]The Framework Convention Alliance (FCA), an umbrella group of tobacco control NGOs supporting the FCTC, in a literature review on each of the FCTC's 38 articles, could not identify any literature on tobacco and the sustainable management of water and energy for their 2015 data report. The seminal 2017 WHO report on *Tobacco and its environmental impact: an overview* maintained that at that time there was almost no data available about the environmental impacts of the manufacturing of e-cigarettes and smokeless tobacco.

[417] Yogi Hale Hendlin, *Alert: Public Health Implications of Electronic Cigarette Waste*, American Journal of Public Health 108, 1489_1490, 2018

3.3 Comparison of scenarios

This section summarises the results of the ***impact analysis in comparative terms***, with a view to assist in the identification of the benefits, costs, opportunities and risks that are inherent the various policy options and scenarios examined. For each policy option, synthetic ratings and judgments are provided (Table F.3.20), which reflect the expected impact on a set of relevant policy objectives. Impact areas that are not or marginally affected are not displayed. The policy change options regard different products and are not mutually exclusive. Where policy options include alternative scenarios, the differentiated impacts expected are reported (see Section 3.2 for EU minima scenarios details for each product). Finally, a brief reference to main risks and implementation challenges have been added, where relevant.

Further below, two additional comparative reviews are provided: (1) a synoptic review of ***who will be affected by the proposed revisions and how***, and (2) a review of the ***proportionality of the proposed measures***.

- **OVERALL COMPARISON OF EXPECTED IMPACTS**

Table F.3.20 – Comparison of options and scenarios for the revision of EU minimum rates

Key objectives	No change	Policy change	Rationale, sensitivity across scenarios, and risks
Option 1A – Increase of EU minima on cigarettes ***Four increase scenarios:*** *from A (lowest) to D highest (see Table F.3.1 for details)* ***Variant 1:*** *EU minima partly expressed in PPP terms*			
Reduction of cross-border flows	-1	A,B: 0 C,D: +1	• Price level convergence moderately fostered by EU minima increase (proportionally to it). High increases in nominal terms more effective than low increases in PPP-adjusted terms • Moderate risk of effects being offset by MS tax increase policies. Other complementary EU policies required (Art 32 of Horizontal Directive)
Reduction of tax-driven substitution	0	A,B,C: 0 D: -1	• All scenarios designed to reduce the tax gap between different products, but high-increase scenarios are more likely to encourage down-trade • High risk of impact volatility, as it depends on the actual ED levels in MS
Reduction of illicit trade	0	A,B,C: 0 D: -1	• Price increase would enhance the economic interest behind illicit trade, but other more relevant factors are at play. Sc. D is more at risk
Increase of excise duty revenues	0	A: 0 B,C: +1 D(V1): +2	• Revenue increases expected under all scenarios. Impact proportional to the extent of the EU minima increase. Sc. D associated to possible drop in revenue in some MS, which would be avoided through a PPP approach • High tax increases are more at risk of tax evasion
Improved market functioning and competition	0	A,B,C: 0 D: -1 V1: 0	• The highest ED increase scenarios can lead to ED increase of nearly 50% in some MS, with unpredictable market effects. • PPP-adjusted approach (V1) would mitigate most extreme effects in MS
Reduction of affordability	-1	A: 0 B,C: +1 D: +2 V1: +1	• Reduction of affordability expected under all scenarios and proportionally to the extent of the EU minima increase • PPP-adjusted approach (V1) more effective in distributing impact across a larger number of country where real prices are low
Public health benefits	-1	A: 0 B,C: +1 D: +2	• Most scenarios theoretically conducive to meet the interim target of the Europe's Beating Cancer Plan. High increase scenarios are associated with higher reduction of smoking prevalence and related social costs.
Environmental benefits	0	A: 0 B,C: +1 D: +2	• Reduction in the demand is associated with a reduction of environmental impact related to tobacco manufacturing and consumption (proportionally to the extent of ED increase)
Option 1B – Increase of EU minima on FCT ***Four increase scenarios:*** *from A (lowest) to D (highest), (see Table F.3.2 for details)* ***Variant 1:*** *EU minima partly expressed in PPP terms*			
Reduction of tax-driven substitution	0	A,B,C: 0 D: -1	• All scenarios designed to reduce the tax gap between different products, but high-increase scenarios are more likely to encourage down-trade • High risk of impact volatility, as it depends on the actual ED levels in MS
Reduction of illicit trade	0	A,B,C: 0 D: -1	• Price increase would enhance the economic interest behind illicit trade, but other more relevant factors are at play. Sc. D is more at risk
Increase of excise duty revenues	0	A,B: +1 C,D: +2	• Revenue increases expected under all scenarios. Impact proportional to the extent of the EU minima increase. • High tax increases are more at risk of tax evasion

Key objectives	No change	Policy change	Rationale, sensitivity across scenarios, and risks
Reduction of affordability	-1	A: 0 B,C: +1 D: +2 V1: +1	• Reduction of affordability expected under all scenarios and proportionally to the extent of the EU minima increase • PPP-adjusted approach (V1) more effective in distributing impact across a larger number of country where real prices are low
Public health benefits	-1	A: 0 B,C: +1 D: +2	• Most scenarios theoretically conducive to meet the interim target of the Europe's Beating Cancer Plan. High increase scenarios are associated with higher reduction of smoking prevalence and related social costs.
Environmental benefits	0	A: 0 B,C: +1 D: +2	• Reduction in the demand is associated with a reduction of environmental impact related to tobacco manufacturing and consumption (proportionally to the extent of ED increase)
Option 1C – Increase of EU minima on cigars and cigarillos ***Three increase scenarios:*** *A (lowest), B/C (intermediate), D (highest), (see Table F.3.3 for details)* ***Variant 1:*** *EU minima partly expressed in PPP terms* ***Variant 2:*** *Alignment with customs definition of cigars and cigarillos* ***Variant 3:*** *Removal of discrepancies in EU minima levels due to disparities of tax base across MS* ***Variant 4:*** *Split regimes for cigars and cigarillos*			
Reduction of tax-driven substitution	0	+1 V4: 0	• All scenarios designed to reduce the tax gap between different products. • High risk of impact volatility, as it depends on the actual ED levels in MS • Splitting regimes (V4) would allow more focussed ED levels in MS, but the distinction is largely artificial and mildly address the issue of 'borderline' cigarillos.
Improved market functioning and competition	0	A: 0 B/C: -1 D: -2	• All scenarios can lead to substantial (>100%) ED increase in some MS. The highest scenarios envisage ED increases up to more than 400% and are associated to 'negative demand' (i.e. market collapse) in some MS.
Increase of excise duty revenues	0	0	• Limited ED revenue increases expected under all scenarios. Impact proportional to the extent of the EU minima increase.
Reduction of affordability	-1	A: 0 B/C: +1 D: +2	• Reduction of affordability expected under all scenarios and proportionally to the extent of the EU minima increase
Public health benefits	-1	A: 0 B/C: +1 D: +2	• Most scenarios theoretically conducive to meet the interim target of the Europe's Beating Cancer Plan. High increase scenarios are associated with higher reduction of smoking prevalence and related social costs.
Improved harmonisation of fiscal regimes	0	V3: +1	• Separate minima for the 'per weight' and the 'per unit' tax base, would allow harmonising the real EU minima applicable in MS, but establishing an appropriate weight-to-unit equivalence is far from evident.
Improved legal certainty	0	V2: +1	• Alignment with the customs definition would reduce classification issues and the risk of disputes.
Option 1D – Increase of EU minima on other smoking tobacco ***Three increase scenarios:*** *A (lowest), B/C (intermediate), D (highest), (see Table F.3.4 for details)* ***Variant 1:*** *EU minima partly expressed in PPP terms* ***Variant 2:*** *Establishment of a separate category for waterpipe tobacco, with lower EU minima*			
Reduction of tax-driven substitution	0	+1	• All scenarios designed to reduce the tax gap between different products. • High risk of impact volatility, as it depends on the actual ED levels in MS
Improved market functioning and competition	0	A,B/C: 0 D: -1	• The highest ED increase scenarios can lead to ED increase of nearly 100% in some MS, with unpredictable market effects.
Reduction of illicit trade	-1	+1	• Separate, lower minima for WPT would reduce illicit trade profits hence the demand
Increase of excise duty revenues	0	0 V2:+1	• Limited ED revenue increases expected under all scenarios. Impact proportional to the extent of the EU minima increase. • A separate regime for WPT could reduce illicit trade, thus tax evasion
Reduction of affordability	-1	A: 0 B/C,D: +1 V2: 0	• Reduction of affordability expected under all scenarios and proportionally to the extent of the EU minima increase. • Legal WPT would potentially become more affordable under V2, but adverse effects appear offset by lower demand of illicit products.
Public health benefits	-1	A: 0 B/C: +1 D: +2	• Most scenarios theoretically conducive to meet the interim target of the Europe's Beating Cancer Plan. High increase scenarios are associated with higher reduction of smoking prevalence and related social costs.
Improved monitoring	-1	V2: +1	• A separate WPT tax category would allow a better monitoring of the WPT market, which is largely unknown but seemingly on the rise.

***Legend**: **+2** = major positive effect; **+1** = moderate positive effect; **0** = no effect or neutral impact; **-1** = moderate negative effect; **-2** = major negative effect. **Note:** The 'key objectives' relate to different policy aspects which cannot be combined into an aggregated rating. In this sense also synthetic judgments are not intended for being added up.*

➢ **SYNOPTIC REVIEW OF WILL BE AFFECTED BY THE PROPOSED REVISIONS AND HOW**

Table F.3.21 – Summary review of who will be affected by the proposed revision and how

Options* / Entity	1A	1B	1C	1D
MS Authorities	National ED levels for cigarettes that do not comply with the new EU minima must be increased. The number of MS affected ranges from 9 to 22 depending on increase scenarios. ED revenues may increase between 1% and 16%.	National ED levels for FCT that do not comply with the new EU minima must be increased. The number of MS affected ranges from 6 to 10 depending on increase scenarios. ED revenues may increase between 2% and 6%.	National ED levels for cigars and cigarillos that do not comply with the new EU minima must be increased. The number of MS affected ranges from 5 to 15 depending on increase scenarios. ED revenues may increase between 2% and 8%.	National ED levels for OST that do not comply with the new EU minima must be increased. The number of MS affected ranges from 1 to 10 depending on increase scenarios. ED revenues may increase between less than 1% and 9%.
Manufacturers / importers of tobacco products	In affected MS, the ED levied will increase from 2% to 38% on average. Market sales will decline between less than 1% and 10%.	In affected MS, the ED levied will increase from 2% to 13% on average. Market sales will decline between 2% and 5%.	In affected MS, the ED levied will increase from 15% to 56% on average. Market sales will decline between 6% and 16%.	In affected MS, the ED levied will increase from 1% to 16% on average. Market sales will decline between less than 1% and 11%.
Tobacco products distribution and retail	Reduction is sales volume, partly offset by price increase	Reduction is sales volume, partly offset by price increase	Reduction is sales volume, partly offset by price increase	Reduction is sales volume, partly offset by price increase
Public health, and healthcare system	Long-term savings on the social costs of smoking, correlated with the extent of the tax increase	Long-term savings on the social costs of smoking, correlated with the extent of the tax increase	Long-term savings on the social costs of smoking, correlated with the extent of the tax increase	Long-term savings on the social costs of smoking, correlated with the extent of the tax increase

➢ **PROPORTIONALITY TEST**

Table F.3.22 – Proportionality test scores

Proportionality issues[418]	Feedback	Rating (by scenario, where relevant)
1) Whether the option **goes beyond what is necessary** to achieve the objectives satisfactorily	The proposed measures are necessary to restore the effectiveness of the EU excise rules for tobacco products, which have largely become obsolete over time. The proportionality of the proposed increases must be evaluated scenario-by-scenario and product-by-product. The Scenario A appears not so conducive for the public health targets and would soon become obsolete. Conversely, Scenario D entails unprecedented tax increases in a few MS, which may pose challenges in terms of substantial consumers'	Sc. A: **Moderate** Sc. B: **High** Sc. C: **High** Sc. D: **Moderate**

[418] The proportionality issues reviewed are drawn from the *Better Regulation* guidelines in SWD (2017) 350.

	down-trade and recourse to unrecorded products (not associated with evident tobacco control benefits as these impacts would materialise in countries where the affordability of tobacco products is already below the EU average. Scenario B and C appears aligned with policy objectives and only occasionally associated with potentially disrupting ED increases. The increase of current EU minima in nominal terms would mostly affect countries where the price affordability of tobacco is already below the EU average. In this sense, corrective measures, such as the proposed adoption of PPP-based adjustments, would improve the performance of EU rules.	
2) Whether the scope of the option is **limited to those aspects that MS cannot achieve satisfactorily** on their own, and where the Union can do better	By definition, harmonisation of excise rates has to be adopted at the EU level. The subsidiary principle is guaranteed by the fact that EU provisions are limited to the establishment of a common floor, but not a ceiling.	All scenarios: **High**
3) Whether **costs** for the Union, national governments, regional or local authorities, economic operators or citizens **are minimised in relation to the objective** to be achieved	The proposed measures display a positive cost/benefit ratio in terms of MS tax revenues. Minor administrative costs for authorities would stem from the implementation of possible variants (such as a separate category for WPT). This is even greater if the impacts on the social costs of smoking are considered. Tobacco is a peculiar type of product for which the standard criteria of industry competitiveness, market development and consumer welfare must be considered with caution, since the ultimate policy goal is to reduce demand and consumption. At any rate, the proposed increases have been conceived to minimise the risk of giving a competitive edge to certain products against others, which would have unintended consequences on SMEs (which are primarily active in market segments other than cigarettes).	All scenarios: **High**
4) Whether the **form of action** (choice of instrument) is as simple as possible and coherent with satisfactory achievement of the objective and effective enforcement	The proposed revision consists of well-oiled instruments and measures that are already in place in MS. The major change regards the possible introduction of a PPP-based adjustment mechanism, which is intended to enhance the alignment with the objectives of the Directive. The solution proposed is the most straightforward as it involves the use of an already existing and well-established indicator (Eurostat PPP) and does not require recalculations on a yearly basis. On the other hand, EU minima are intrinsically an imperfect tool to achieve convergence of tax levels and/or similar effects on smoking prevalence across MS, because the actual ED levels remain set by MS.	All scenarios: **Moderate**

Rating scale: *High=proportionality test satisfactorily passed; Moderate=proportionality test passed although some aspects are negatively rated or unfeasible to test; Limited=proportionality requires due considerations as various aspects are negatively rated or unfeasible to test; Insufficient=the measure proposed does not meet the proportionality principle.*

4. HARMONISATION OF TAX REGIMES FOR NEW PRODUCTS

4.1 Overall approach

- **OVERVIEW OF THE POLICY RATIONALE**

Various new tobacco and related products have appeared or become widespread on EU markets since the Directive entered into force in 2011. These include heated tobacco products, e-cigarettes and new products for oral intake, such as nicotine pouches. These products are not (explicitly) covered in the Directive and several Member States have introduced ad hoc tax regimes to bring them within the scope of the national excise systems for three main reasons: (1) to offset fiscal losses; (2) to monitor emerging markets; and (3) to protect public health. This created a situation where different rules apply in different countries with ensuing adverse effects on the functioning of the internal market and on the effectiveness and efficiency of national regimes, which are challenged by a lack of control and enforcement mechanisms for cross-border movements. More generally, as emerged from the previous evaluations of the Directive,[419] the ***current legal text is obsolete when it comes to new products*** and requires a revision of the scope of harmonisation.

The rationale for an EU-level legislative intervention regarding the taxation of new products relates to the overarching objective of ***ensuring a proper 'functioning of the internal market' through excise harmonisation***. Evidently, these products also raise policy questions in the fields of tobacco control and public health protection. In this respect, some products have already been regulated under the TPD and have been the subject of policy discussion at the FCTC level. However, while the debate on the health risks of these products continues to advance and new scientific evidence is produced,[420] the excise harmonisation proposal assessed in this Study has no direct connections with the health risks of these new products. Indeed, the proposed taxation is mainly driven by the need to close possible loopholes in the EU excise system and remove the inefficiencies and unintended effects on the internal market caused by several, heterogeneous national tax regimes. This approach is consistent with the priorities expressed by MS authorities in previous consultations and with the 2020 Council Conclusions.

The issue of ***tax-induced substitution between conventional and new products*** also requires a word of caution. In the case of FCT, substitutability is inherent to the product – as FCT is evidently intended for self-rolling of cigarettes, which are substantially equivalent to factory-made ones. In market terms, the substitution between FCT and cigarettes can be verified and quantified by analysing the cross effects on the demand function induced by price differential changes.[421] However, from a fiscal policy perspective, substitution effects that are not so closely evident in terms of cross-elasticities may also be relevant, for fiscal neutrality purposes. In other words, cross-product substitution can occur also between products that are not entirely equivalent as concerns physical properties, mode of consumption and user's experience.[422] The convergence in the excise duty levied on different types of products mitigate the risk of pushing consumers towards less expensive products, thus distorting competition. Substitutability remains difficult to quantify as it can vary significantly across context and population groups. It can be more evident where the substitute product contains tobacco or nicotine but, under certain conditions, it can extend to other products that, as stated in the Directive, consist in whole or in part of substances other than tobacco but otherwise conform to the criteria outlined in the excise duty definitions. A typical example are tobacco free herbal cigarettes, which are, for fiscal neutrality purposes, classified as ordinary cigarettes. Based on the same principle, a few MS,

[419] The matter was extensively investigated under EA 2017 and EA 2019, the conclusions of which were largely adopted in the Commission's reports in 2018 and 2020.
[420] For instance, the opinion of the SCHEER Scientific Committee commissioned by DG SANTE, the definitive version of which was published in April 2021.
[421] See EA 2019 for a quantitative assessment of the extent of price-related substitution between cigarettes and FCT.
[422] An example is offered by snus consumption in Sweden. It is largely accepted that the low level of cigarette consumption in Sweden correlates with the widespread consumption of snus. Nevertheless, there is limited evidence that, at the individual consumer level, the choice between these products is influenced by respective price levels.

like BE and LU, have recently started applying the harmonised excise duty regimes also cannabis products. It is not among this Study's objective to measure the substitutability between traditional tobacco products and new products, for which only educated assumptions are feasible.[423] Still, market trends and survey results (such as the Eurobarometer) indicate that the consumption of traditional and new products is somehow correlated. Therefore, substantial gaps in tax levels may influence the demand, with adverse effects in terms of competition and excise duty revenues for the MS. Against this framework, the prospective excise duty regimes should aim at eliminating the undue competitive advantages that the current lower (or zero) taxation can bestow on new products.

Finally, the proposed policy options have been designed with a view to maximize the harmonisation benefits and minimise the burden for the MS. In practice, this principle translated into two main guiding criteria:

- To align as much as feasible to tax regimes (definitions, structures etc.) already in place in MS, to ensure a smooth transition in these countries to the EU harmonised regime.
- To ensure that the competent authorities of MS have sufficient room for manoeuvre to implement the harmonised regime in accordance with the specificities of national markets and policy needs, which include paying attention to the risk that technological developments could lock national regulators into obsolete, inappropriate definitions and regimes.

➢ ENLARGING THE SCOPE OF THE DIRECTIVE

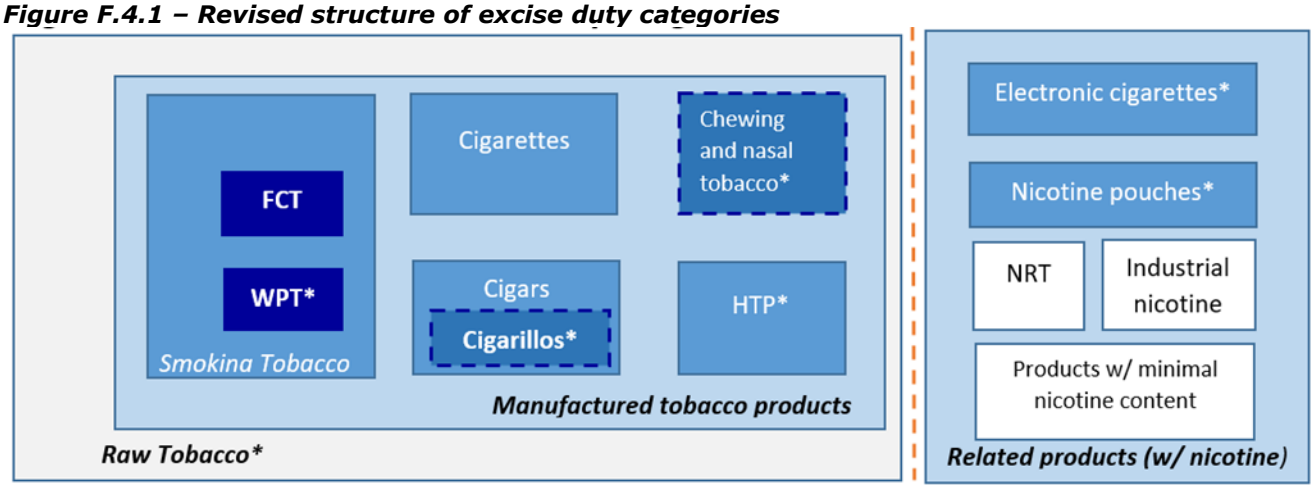
The starting point of the reform is a ***revision of the established scope of the Directive***. At present, the scope of the Directive encompasses manufactured tobacco products, which comprise cigarettes, cigars and cigarillos and smoking tobacco (Art. 2), including products consisting in whole or in part of substances other than tobacco, and excluding medical products. A product that does not meet the existing definitions falls, in principle, outside of the scope of excise duty harmonisation. In this sense, the proposed policy revision entails two major reforms:

- ***Extending the scope of the Directive to tobacco-related products***, i.e. alternative products containing nicotine which can be considered as substitutes of tobacco products from a fiscal perspective. This is notably the case for electronic cigarettes and nicotine pouches, but other products containing nicotine for inhalation, oral, nasal or transdermal application can be included. In specific circumstances, products that do not contain nicotine like nicotine-free liquids for electronic cigarettes could be included. 'Herbal products' (i.e. products consisting in whole or in part of substances other than tobacco) would not be part of this new group as they already fall within the scope of the Directive and are more effectively dealt with through appropriate specification within individual product definitions (i.e. herbal cigarettes would remain under the cigarettes excise definition, while heated herbal products that do not contain tobacco would be treated as ordinary HTP, etc.).
- ***Adopting a 'catch all' approach*** rather than limiting the scope of the legislation to specifically identified products only. Future developments are difficult to predict, but there is evidence that a new generation of products is being developed. The proposed approach envisages the creation of flexible categories that are technologically neutral[424] and able to subsume any current or prospective new product. The objective is to prevent the risk of loopholes that purposefully engineered products could exploit to circumvent tax definitions. This approach does not suggest that all new products should fall into the same tax category, but rather suggests the establishment of ad hoc tax categories for products that have reached a sufficient degree of market maturity (i.e. HTP, e-cigarettes, etc.) and additional 'catch all' categories for ***other manufactured tobacco*** and ***other tobacco-related products***, which cannot be classified under any specific category.

[423] The econometric analysis carried out under EA 2019 showed that the demand for e-cigarettes and tobacco products are inversely correlated, but no statistically-robust cross elasticity coefficient could be established.
[424] The technological neutrality refers to the way the product is designed, packaged and offered to consumers.

Figure F.4.1 below shows, in simplified terms, how the perimeter of the excise legislation would be restructured based on the general approach outlined in this Report. The following sections examine the proposed regimes for new specific categories of products and their expected impacts. Based on the revised structure depicted in Figure F.4.1, the three following policy revisions are assessed: (1) a new harmonised regime for heated tobacco products (Section 4.2); (2) a new harmonised regime for e-cigarettes (Section 4.3); and (3) new 'catch all' regimes covering all other manufactured tobacco and related products (Section 4.4).

Figure F.4.1 – Revised structure of excise duty categories



Notes: *(*) products not currently harmonised or lacking an ad hoc tax category. Each category of products for smoking or inhalation also includes direct substitute products that do not contain tobacco (or nicotine as applicable). Dotted lines indicate optional subcategories. White boxes indicate exemptions. The raw tobacco tax category would be defined in contrast with the manufactured tobacco product categories, as discussed in Section 5.*

Box F.4.1 – On the application of harmonised taxation to the hardware component of new products

The WHO *Technical Manual on Tobacco Tax Policy and Administration* suggests that countries can also consider ***taxing the device*** used for inhalation of tobacco or e-liquids.[425] For e-cigarettes devices[426], the document underlines the need to adequately assess countries' administrative capacity to enforce it, as it can be complicated to implement. These devices can be made by assembling parts that can be used for other purposes. The same consideration holds true with any heating devices, including devices for heating loose tobacco, which are emerging in Asia. The rationale is not explained in the document but can be interpreted as a reinforced deterrent against the accessibility of these products, especially by young people. As discussed, hardware can represent a significant component of e-cigarette consumers' expenditure (nearly 40%), less so for HTP consumers (less than 10%).[427] Assuming that the device's purchase is a structural element of these products' consumption, a tax on the device will be justified by the need to tax the entire act of consumption or – in other words – the whole consumers' expenditure. There are, however, various constraints to be considered, especially maintaining a focus on the EU market, which is often more regulated than the global markets in the scope of the WHO publication. In particular:

[425] https://www.who.int/publications/i/item/9789240019188. The argument was raised earlier in a World Bank's paper, which included the taxation of devices as one of the possible options, especially if the aim is to tackle consumption among young people. The paper mentioned the FCTC COP 2016 which recommended that […] *Parties that have not banned the importation, sale, and distribution of ENDS […] may consider the several regulatory options, including: (1) Banning the sale and distribution of ENDS to minors; (2) Banning the possession of ENDS by minors; (3) Banning or restricting advertising, promotion and sponsorship of ENDS; (4) Taxing ENDS at a level that makes the devices and e-liquids unaffordable to minors in order to deter their use in this age group; (5) Banning or restricting the use of flavours that appeal to minors; (6) Prohibiting by law the use of ENDS in indoor spaces or at least where smoking is not permitted; (7) Reducing the risk of accidental acute nicotine intoxication by requiring tamper-resistant packaging for e-liquids and leak-proof containers for devices and e-liquids and limiting the nicotine concentration and total nicotine amount in devices and e-liquids; (8) Testing heated and inhaled flavourants used in the e-liquids for safety, and banning or restricting the amount of those found to be of serious toxicological concern.* Source: WBG Working Note, "E-cigarettes: use and taxation", WBG Global Tobacco Control Program Team, 2019.

[426] WHO does not use the term 'e-cigarettes' but ENDS for electronic nicotine delivery systems or ENNDS for electronic non-nicotine delivery systems.

[427] Figures relate to sales value data in the EU in 2019 (Source: Euromonitor International).

- The complexity of establishing and – most importantly – enforcing an excise definition covering relevant hardware and its parts, without creating legal loopholes and opportunities for borderline products avoiding tax[428].
- An ad valorem tax (as suggested by WHO) may still be circumvented by keeping artificially low the price of the device and cross-subsiding it by adjusting the price of consumables. This would likely happen with non-interchangeable products like most of HTP and e-cigarettes closed systems, which are typically manufactured by TTC. Regarding SMEs active in the e-cigarettes sector, EU-based hardware assembling industry would be penalised by an ad valorem taxation, vis-à-vis foreign device makers from low-cost countries. Eventually, there is a risk of indirectly incentivising the counterfeiting of premium branded devices.
- For consistency, there might be a need to extend the same logic to other currently not taxed (or not harmonised) products like tobacco rolling machines, filters, tubes and all the products involved in the consumption.
- This approach may encourage the commercialisation of devices based on other delivery methods, like non-electrically heated systems, the vapour production from the chemical reaction, ultrasonic evaporation etc., or otherwise designed to circumvent the tax definition of the device. As noted, inter alia, in a World Bank' paper on this subject, the definition should clearly state which parts are for sole use as e-cigarettes (i.e. excluding disposable and rechargeable batteries, battery chargers, and USB ports and drives).[429] Some alternative platforms for delivering inhalation products are already being developed, so a tax on current electronically-heating technology can be easily circumvented.
- Finally, no MS is implementing or considering this approach. Italy was the only country to introduce an ad valorem tax in 2014, but it was repealed in 2015 after an unfavourable ruling of the Constitutional Court.

Against this framework, the option of including devices in the perimeter of the revised Directive does not offer clear benefits compared to the sole taxation of consumables and have therefore been discarded.

4.2 Policy options

4.2.1 Option 2A – Harmonised regime for heated tobacco products

The policy option reviewed here consists in the ***establishment of an ad hoc harmonised excise category for heated tobacco products***. As shown in Figure F.4.1, this excise category would add up to the other existing or prospective ones on manufactured tobacco products. The HTP category would be distinct from other 'new product' categories (such as e-cigarettes and nicotine pouches), which are discussed in the following sections. Establishing an appropriate definition and tax regime for HTP is not straightforward for at least three main reasons:

(1) HTP products are not standardised, and their market is in rapid evolution. The most popular products in the EU consist of small sticks of specially prepared reconstituted tobacco, but there exists also HTP in which the mixture is contained in sealed pods or capsules, hybrid products, where the tobacco mixture is kept in a small receptacle on the top of an e-liquid refill cartridge, as well as HTP devices intended to use loose leaf tobacco. Therefore, the ***HTP excise category should be comprehensive*** so as to capture all possible developments.

[428] See also: Frank J. Chaloupka, John A. Tauras, "Taxation of Emerging Tobacco Products", paper Commissioned by the American Heart Association, February 2020. On this issue, the paper concluded: *Taxing Devices and/or Components: Some vaping product devices are well defined, while others are not. Due to the diversity of devices and components on the market, it is not recommended that excise taxes be levied on the devices themselves*.

[429] *"A tax on completed e-cigarette devices looks reasonable if the aim is to discourage youth from e-cigarette use as some devices can be rather expensive, and young people are price sensitive. However, this would be more complicated if the tax is also applied to the individual parts of an e-cigarette; in such a case, the taxable products should be carefully defined. The e-cigarette industry is rapidly changing. Therefore, in designing the language for taxing the products, the legislator must be clear as to what exactly they want to tax. It would be easy to simply state that all e-cigarette products would be taxed. However, there are parts of e-cigarettes that are not exclusive to the device. For instance, many e-cigarettes use disposable and rechargeable batteries, battery chargers, and USB ports and drives. It would be inappropriate for non-exclusive products like these ones to fall under a tax on e-cigarettes. In short, the selected language needs; • to clearly state what constitutes an e-cigarette product; • to specifically exclude batteries, battery chargers, and charging cords from the taxation; and • to include batteries, chargers, and charging cords if they are sold together with an e-cigarette product or if they are packaged together as one saleable item.* WBG Global Tobacco Control Program Team, 2019.

(2) The HTP ***excise definition should be clear and unambiguous***, to avoid creating legal uncertainties and administrative classification issues, and to mitigate the risk of 'borderline' products. This requires in the first place to clarify the essential features that – form a fiscal perspective – allow to distinguish HTP from traditional smoking tobacco products, ensuring at the same time a sufficient degree of coherence with the other definitions and classifications (i.e. customs nomenclature and tobacco control policy definitions) that are relevant internationally. It should be considered that, the customs classification often 'guides' the excise classification at the level of MS administrations. Therefore, relevant divergence of definitions, could result in classification disparities between MS and implementation issues.

(3) From a tobacco control perspective, the debate on the status, definition and common policies on HTP is still open at the FCTC level. In the Conference of Parties that will take place in November 2021 (COP9) the WHO will present its comprehensive report research and evidence on novel and emerging tobacco products, but the discussion has been postponed to the following FCTC round (COP10). While the proposed policy option is essentially driven by fiscal harmonisation objectives, it seems important to ensure that the wording used in the HTP definition does not convey any implicit position on the ***harmful effects of these products*** or otherwise pre-empt or clash with FCTC possible orientations.

The proposed HTP excise regime has been developed having in mind the above considerations, as well as the regimes currently in place in MS and the views expressed by national and international authorities on this subject. A review of MS excise policies is provided in Annex E. The salient features of the regime and scenarios proposed and assessed are summarised in Tables F.4.1 and F.4.2 below. Background references and further explanations concerning the rationale behind the proposed approach are laid down in Box F.4.2 further below.

Table 4.1 – Key features of the proposed tax regime for HTP

Definition and scope	The HTP excise category should refer to its characterising elements which may include: (1) the ***heating*** of products without reaching ignition (various heating sources are possible); (2) the delivery of an ***aerosol for inhalation***; and (2) a substrate which ***may or may not consists of tobacco*** (for analogy with cigarettes and smoking tobacco, substitute products partly or entirely made of substances other than tobacco would be included in the excise category). The precise wording should be formulated avoiding any reference to the industry-claimed reduced health risk of HTP or any controversial terms that might end up conflicting with FCTC's possible future definitions. At the same time, it is fundamental to avoid ambiguities with the concept of 'heating' as opposed to smoking to prevent legal uncertainties when MS administrations will be called to distinguish between, e.g., an HTP stick and a cigarette. In particular, while any direct reference to the HS/CN classification is not required, there should be no relevant incongruences between the customs and excise classification.
Tax base	The heterogeneity of this class of products may require an articulated tax base reflecting how the product is marketed and in particular whether it consists of the 'sticks' (like cigarettes) currently dominating the market or other formats. A two-tiered regime can be envisaged, and namely: 1) a ***general HTP regime***, with a sufficiently wide and flexible definition able to capture any current and future formats. To ensure a common denominator applicable to all different product formats the tax base of this general regime should be 'per weight'; 2) a ***specific regime for HTP sticks***, as a subset of the more general one. This would require a technical definition of 'HTP stick' (size, radius etc.) and should adopt a 'per unit' tax base (like cigarettes). The two-tiered regime would allow, inter alia, to manage MS expectations, which are almost equally split between supporters of the 'per weight' and of the 'per stick' approach. It cannot be excluded to make the use of the HTP stick regime as voluntary, to enhance implementation flexibility. If equivalent taxation levels are set for the two regimes, this would not cause major market distortion or regulatory loopholes.

Tax structure	The tax structure may consist of specific or ad valorem taxation, or a combination thereof. The application of a minimum excise duty (MED) should be permitted.
EU excise duty minima	Three EU minima scenarios have been set, adopting for reference the fixed minima intermediate levels envisaged for cigarettes, FCT and OST, and establishing the relative minima based on the ratio between the fixed minima and the current HTP average price in the EU. A partial-PPP approach has also been considered, where one-third of the fixed minimum is adjusted by the PPP level of the MS concerned (see Table 4.2). From a technical perspective, setting two separate minima ('per weight' and 'per stick') would inevitably translate into establishing an implicit equivalence between the two sub-categories of products, or a sort of weight-per-unit standard measure. It is important to highlight that such measure is purely conventional, not only because the size and weight of existing and potential products on the market can vary considerably, but also because the logic of the excise legislation does not strictly follow the tobacco weight but focuses mainly on consumption units, as in the case of cigarettes and, in part, of cigars and cigarillos. For operational purposes, the scenarios tested in this analysis are further articulated into three conventional equivalences: (1) the first purely reflects the actual average unit weight of HTP sticks on the market (approximately 0.3 g); (2) the second purely reflects the 'act of consumption', assuming a conventional equivalence of 1 unit = 0.7 g (which means roughly assuming that one HTP stick correspond to one cigarettes in terms of consumption unit); and finally (3) a mixed approach which combines the previous ones and consisting of an in-between 1 unit = 0.5 g equivalence.

Table 4.2 - EU minima scenarios for HTP

		Excise duty - nominal scenarios			Partial PPP
		A	**B**	**C**	**A-C**
Fixed minimum (€ / kg)		80	105	130	*Same as nominal*
Fixed minimum (€ / 1000 units)	Conversion rates per stick				*Same as nominal*
	(1) 0.3g	24	32	39	
	(2) 0.5g	40	53	65	
	(3) 0.7g	56	74	91	
Relative minimum (% of RSP)		30%	45%	55%	*Same as nominal*

Box F.4.2 – Rationale behind the proposed HTP excise duty regime and challenges

1) Defining HTP

The first challenge regards setting an appropriate definition for HTP. Two main sources can be referred to this end: (1) the customs definition and (2) the tax definitions applied in MS that adopted an ad hoc tax category for these products.[430]

- ***MS ad hoc definitions*** (see Annex E) show similar features that can inform the adoption of a comprehensive EU definition that is consistent with the current national frameworks. In MS definitions, there is a common point, i.e. an explicit reference to the delivery of vapour and/or aerosol through a heating process that does not involve full combustion of the mixture.[431] Another frequently-found element is a reference to the tobacco-based substrate. In just one MS, equivalent products – made

[430] In the TPD, heated tobacco falls under the general definition of a novel tobacco product, which does not help establish an excise category.
[431] As regards "combustion", the definitions outlined in national legislation are not necessarily consistent with the results of some studies on HTP emissions and the issue is extensively debated, as regards the possible long-term public health consequences of these products. See, for instance, R. Auer, N. Concha-Lozano, I. Jacot-Sadowski et al., Heat-Not-Burn Tobacco Cigarettes: Smoke by Any Other Name, JAMA Internal Medicine, 2017;177(7):1050-1052

partly or entirely of solid substances other than tobacco[432] –appear included. In a few cases, the intended use through inhalation is mentioned, while – unlike e-cigarette ad hoc definitions - none of the existing definitions mentions any sort of device.

- In the revised ***HS classification***, HTP falls under subheading 2404 11 as "products intended for inhalation without combustion containing tobacco or reconstituted tobacco". Other tobacco-free products for inhalation are classified under HS 2404 12 when containing nicotine and under HS 2404 19 when nicotine-free. It is clarified that any product classifiable under Chapter 2404 must be classified as such. In other words, a tobacco product that does not meet the conditions of 2404 would rather be classified under a different chapters and not vice versa.[433] It can be noted that the terms 'by inhalation' do not imply only electrical heating, as vapours can be produced also through chemical reactions, carbon-heat sources, etc. Pilot products in these areas are under development in the R&D departments of various transnational tobacco companies. The customs definition encompasses all the main features of MS definitions, and it is also more comprehensive and future-proof as it includes: (1) the delivery of vapour and/or aerosol for inhalation; and (2) substitute products made partly or entirely of substances other than tobacco, regardless of any nicotine content.

On the other hand, it should be noted that the HS definition (as well as most MS definition) does not necessarily match the ***TPD categorisation***, according to which HTP could also be classified as smoking tobacco. More generally, public health stakeholders are generally critical of the customs approach to HTP definition, because of the perceived risk of aligning with the industry narrative of less harmful effects linked to the absence of combustion.[434] In this sense, different terminology and definitions are proposed, which reflect the presence of toxic chemicals in HTP emissions. At the FCTC level, a definition of HTP has not been agreed, but the matter is set to be discussed at future COP rounds.[435]

Notwithstanding the necessary alignment with the public health objectives, from a fiscal perspective it is nonetheless crucial to avoid any ambiguity in excise good definitions and, in particular, in the demarcation between the traditional smoking tobacco categories and the HTP new one, as this would translate into the development of opportunistic products, excise classification uncertainties and possible disputes. It is currently unclear how the concept of 'heating' (as opposed to smoking) will be elaborated in the explanatory notes of the customs classification (including concerning electrical, chemical, carbon-based heating sources, etc.) and whether these clarifications could also guide the excise definition. At any rate, it seems important to ***avoid relevant mismatches between the customs and excise classifications which can lead to legal uncertainties and disparities of treatment***. Formally, these are two distinct classifications. However, at the level of MS administrations and procedures, the customs classification often de facto (and sometimes even *de jure*) guides the excise classification. Maintaining divergent product definitions under the two classifications would increase the risk of indirectly compelling the application of an excise regime deemed incongruent in one MS as a result of the issuance of Binding Tariff Information (BTI) in another MS.

2) The scope of HTP category

Heated products have reached non-negligible market shares and deserve a dedicated excise category in the EU harmonised legislation. This category should be distinct from the traditional smoking tobacco category, on one side, and from smokeless tobacco products, like chewing and nasal tobacco, from the other side. This category should include also heated products ***partly or entirely made of substances other than tobacco***, but otherwise equivalent to HTP and complying with its excise definition. At present, these products can hardly be found on MS markets, but there are signs that they can become more widely available in the future. Consistently with the Directive's approach on herbal products for smoking, the same regime of HTP would apply to herbal heated products. There is instead no evident rationale in establishing a separate excise category considering that (1) the market for these products is negligible, (2) they are far from having reached sufficient stability and maturity, and (3) there is no apparent need to apply excise

[432] The reference to the solid-state aims at differentiating this category from the e-liquids, which are subject to a different ad hoc regime.
[433] The residual category CN 2403 9990 for unspecified tobacco products will possibly be maintained.
[434] Before adopting the new HS 2404 heading, an alternative revision of the customs classification had been presented (Joint WCO/WHO proposal), which was also supported by the Commission. The alternative approach would place new products containing tobacco (such as HTP) under a new subheading of 2403, while including only other products containing nicotine or other chemical substances and nicotine replacement therapy products in the new heading 2404. The logic was to separate HTP from e-cigarettes. Additionally, the joint proposal suggested to characterise HTP as a product designed to be heated in a device to produce an aerosol, though avoiding any reference to combustion, since this concept is considered equivocal and not fully supported by science.
[435] See COP8 Decision on Novel and emerging tobacco products (October 2018). Regarding HTPs, the WHO information sheet states: "*HTPs produce aerosols containing nicotine and toxic chemicals upon heating of the tobacco, or activation of a device containing the tobacco*".

rates or structures different from HTP. The only advantage would relate to market surveillance, but this would not outweigh the burden for creating an unnecessary harmonised category for this sole purpose, and the same data can be obtained by more appropriate monitoring tools.

3) Tax base

The HTP market in the EU is currently dominated by stick-shaped products containing a mixture of specially-prepared reconstituted tobacco. However, as discussed, HTP are available also in other formats, i.e. pods, hybrid capsules, and even in loose format.[436] The need to classify all HTP products in a single, dedicated excise category (see point 2 above) requires establishing an appropriate tax base, able to capture all current and prospective HTP formats and to ensure an equivalent tax pressure regardless of shapes and formats. This is a challenging task, not only for the heterogeneity of formats but also for the absence of clear benchmarks to draw fiscal equivalences between different products and between HTP and traditional tobacco products. The proposed solution consists in a two-tiered categorisation, as follows:

- at the general level all HTP products fall into a standard excise duty regime, where the common denominator for heterogeneous formats is the 'weight' of the product;
- within this standard regime a specific per unit regime can be applied to HTP sticks, for analogy with the tax base applicable to the product of which HTP sticks are direct substitutes, i.e. cigarettes.

The HTP stick subcategory would require an ad hoc definition that, out of analogy with cigarettes, should make reference to the rod-shape and the maximum size (length, radius etc.), to prevent the risk of creating opportunities for multiple-use products.[437] The concept of 'multiple use' is difficult to define, as there is no agreed standard, but reference can be made to the current products, assuming their current size as an approximation of the standard consumption unit. Establishing a maximum unit size entails that products exceeding that size would be taxed as multiple units. Technical parameters and measurement methods could be established in a separate implementing act, to facilitate their revision and update where necessary.

The specific 'per stick' regime could be in principle extended to other HTP units like pods, capsules and other types of container that could be developed and marketed. However, this would inevitably entail a less precise and specific definition of consumption units. The common denominator would be, again, the weight (the concepts of 'length', 'radius' etc. would be of no use), and in practice the subcategory regime would become redundant with the more general 'per weight' category.[438] A maximum 'weight' threshold should be established in this case to deal with the aforementioned 'multiple use' risk.

The current regimes in place in MS has almost exclusively adopted a 'per weigh' tax base for HTP, but the survey results suggest there is interest in a 'per unit' approach (Figure 4.2). A flexible, two-tiered regime, as the one proposed, could therefore meet the expectation of the greater number of MS and maximise benefits. The two-tiered system can be implemented in two ways, each having its advantages and drawbacks:

- The specific 'per stick' regime can be voluntary, i.e. MS can decide whether to apply it or to apply the general 'per weigh' regime to all HTP products. The advantages include: (a) in most MS a 'per weight' regime is currently applied, so the flexibility of choice would allow minimising the impact of transition; (b) flexibility would be beneficial in case of theoretical future developments where the 'per stick' approach (and the underlying equivalence) becomes obsolete or less fit for purpose. On the downside, in this scenario more variability in the regimes applied across MS can be expected, although this would not necessarily mean adverse effects in terms of excise duty levels, because the EU harmonisation establishes only minimum levels, but actual levels are established autonomously by MS (so there is no correlation between the 'per stick' or 'per weight' tax base and the actual taxation applied in the MS).
- The specific 'per stick' regime can be mandatory. This would ensure more coherence among MS tax base regimes (but, as discussed, not necessarily more convergence in excise duty levels). However, it would be less flexible for MS to implement, including with respect to the adaptation to future challenges.

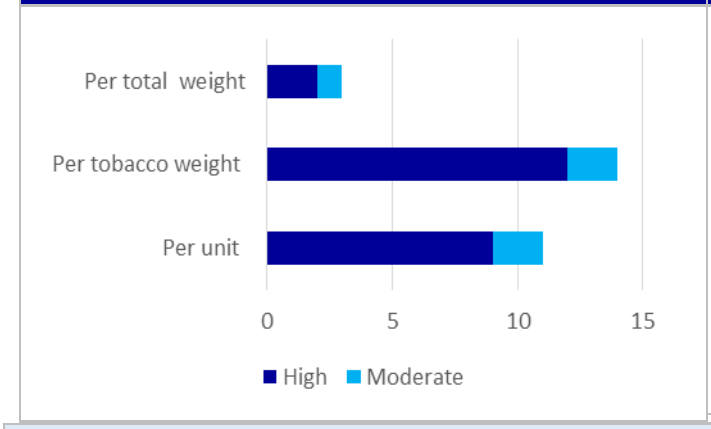
[436] Loose-form HTP refer to practices reported in Asia, which are seemingly not present in the EU, where loose tobacco is inserted in a heating device. From the information available it is not clear whether the tobacco used for this purpose is specially prepared or consists of ordinary smoking or smokeless tobacco, in which case its excise classification would not be that of HTP.

[437] While a certain consensus has been reached in the public health literature that taxation by stick would be preferable as the target should be the single smoking experience, some public health experts are concerned that this could provide incentives to develop 'multiple use' sticks to circumvent the principle.

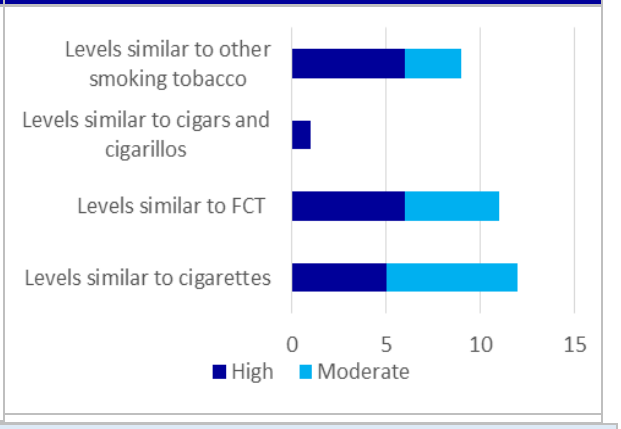
[438] The only difference would be that that tax base, in this scenario, would become a sort of conventional weight (as the tax regime that some MS apply to cigars and cigarillos), where a standard unit is assumed – for fiscal purpose – to have a specific weight common to all products.

Figure 4.2 – MS authorities' feedbacks on applicable regimes for HTP

A) Suitability of proposed excise duty structure



B) Preferences on taxation levels



Source: *TCA survey*
Note*: answers refer to the number of MS that expressed a 'high' or 'moderate' appreciation of the scenarios proposed. The scenarios were not presented as mutually exclusive, so the totals do not add-up to the number of participants (25 MS).*

4) EU minima and equivalence issues

Compared to similar analyses carried out under previous studies, the proposed scenarios for HTP excise duty minima respond to a demand for exploring ambitious tax levels expressed, which emerged inter alia from the MS authorities' feedback displayed in Figure 4.2 above.

The proposed levels, laid down in Table 4.2, take into account the feedback collected through the targeted survey of MS authorities. Based on the survey results almost the same number of MS would support three different EU minima levels: i.e. levels similar to cigarettes[439], to FCT, and OST. Only one MS would support the EU minima for HTP at the same level of cigars and cigarillos levels. Based on this, the three scenarios proposed in Table 4.2 correspond to apply to HTP the same EU minima envisaged for these three categories of products. On the other hand, the current minima for these three categories are set to increase (as discussed in Section 3), so the benchmark for HTP should not be the current EU minima but, for analytical purposes, the future ones. These have been established based again on the average new minima that MS authorities proposed through the survey (rounded figures). Then, the relative minimum scenarios have been formulated as the ratio between the proposed fixed minima and the current HTP average price in the EU.[440]

The two-tiered system described under point 3 above requires establishing minima for both the general regime (per weight) and for the special per stick subcategory. For scenario-development purposes, this implies establishing an appropriate weight-to-unit equivalence, to prevent the risk of extending undue tax-driven competitive advantages to certain HTP formats over others. Three options are being considered, namely:

(1) 0.3g=1 stick – actual weight approach, based on the weight of most popular products on the market;
(2) 0.5g=1 stick – intermediate scenario, between (1) and (3);
(3) 0.7g=1 stick – consumption unit approach, which assumes that the unit of consumption is equivalent to the unit of consumption of the product that HTP sticks are substitutes of, i.e. cigarettes (whose high-end weight can be assumed as 0.7g per unit).

As the conversion moves from the general regime, which is per weight, to the more specific 'per stick' regime, the EU minima established for the former determine the minima applied to the latter, and not vice versa. For this reason, as Table 4.2 shows, the 0.3=1 stick equivalence determines lower unit rates than the 0.7g=1 stick equivalence. If, conversely, HTP minima would be set firstly on the 'per stick' subcategory and then converted into 'per weight' minima, there is a risk to incur into poorly balanced regimes. For instance, assuming to apply a EUR 90 per 1,000 units fixed minimum to HTP sticks (in line with current fixed minimum for cigarettes and prior to the increases discussed in Section 3), and taking the actual weight of sticks (approximately 0.3g) as the basis for the equivalence, the 'per weigh' regime of HTP would

[439] This is also the expert consensus position reached in the recently released *WHO Technical Manual on Tobacco Tax Policy and Administration*, April 2021.
[440] The logic is that the two conditions (fixed and relative minimum) should have in principle similar effects, and none should clearly prevail, otherwise the other would be de facto irrelevant.

be equivalent to EUR 300 per kg, which is five times greater than the current FCT fixed minimum (EUR 60 per kg).[441] In other words, non-stick HTP would be subject to a taxation that is extremely higher than smoking tobacco. From a fiscal perspective this disproportion appears potentially conflicting with the overarching market functioning objective of the Directive (such huge tax gap can be exploited for circumvention / abuse of definitions, since the boundaries between tobacco for smoking or heating would be not so easy to enforce), and it is not fully clear the public health rationale of setting EU minima on heated tobacco so many times higher than on smoking tobacco.

The conversion rates applied in this study are purely conventional and aimed at scenario development and analysis. In this sense, they are not intended to constitute legal provisions in the revised EU legislation.

4.2.2 Option 2B – Electronic cigarettes

From a market perspective, electronic cigarettes are the most important tobacco substitute products. In this sense, the establishment of a harmonised excise category for e-cigarettes[442] would represent a significant expansion of the traditional scope of the Directive. While there is a quite widespread consensus on the need for EU-level harmonisation (inter alia, to overcome the current fragmented regimes in the internal market), the concrete design of an appropriate excise category requires addressing two challenging aspects:

1) The status of ***nicotine-free liquids***. E-cigarettes are already regulated in the TPD, but nicotine-free liquids are not included there. Similarly, some of the ad hoc fiscal regimes at the MS level do not cover nicotine-free liquids. On the other hand, there is a strong rationale to include nicotine-free liquids in the scope of harmonisation, namely: (1) a comprehensive tax regime can be implemented more straightforwardly and efficiently, as there would be no need for administrations to 'test' products to verify the applicability of excise duties; (2) the taxation of nicotine-free liquids would reduce the incentive behind 'do-it-yourself' (self-mixing of nicotine-free taxed flavoured liquids with nicotine 'booster' solutions)
2) The most suitable ***tax base***. In essence, the debate is between a 'per volume' approach (i.e. taxation proportional to the ml of e-liquid) and a 'per nicotine' approach (i.e. taxation proportional to the mg of nicotine contained in the solution). The per volume approach has been adopted by the totality of MS, with the exception of the hybrid 'two-tiered' regimes of DK and SE where two flat levels are established, one for e-liquids with a high concentration of nicotine and one for all other nicotine-containing ones. The 'per nicotine' approach is promoted especially by public health stakeholders on the assumption that a tax proportional to the nicotine would discourage users to consume liquids with a high concentration of nicotine, which is a highly toxic and addictive substance. In reality, the current market price of e-liquids is de-linked from nicotine concentration, and the setting of EU minima proportional to nicotine concentration appears insufficient to abate this well-established market practice. So, the expected benefits of the 'per nicotine' approach would hardly materialise. Furthermore, a 'per nicotine' approach would exclude nicotine-free liquids from the scope of the tax[443], would require more burdensome procedures to verify tax declarations (laboratory tests), and would magnify the incentives behind the illicit trade of pure nicotine, which is a serious risk frequently highlighted by MS.

The key features of the proposed regime for e-cigarettes are summarised in Table 4.3 below. Further details and explanations on the rationale behind scenarios are provided in Box F.4.3.

[441] The revision of minima discussed in Section 3 would not affect this disproportion, as both the EU minima of cigarettes and FCT would be increased.
[442] In this section, any reference to the taxation of e-cigarettes refer to the consumable part (refill containers, disposable products, etc.) and never to the device.
[443] In theory this could be avoided by taxing e-liquids both per volume and per nicotine, but this would further reduce the sensitivity of selling price to the tax, as explained in Box F.4.3.

Table 4.3 – Key features of the proposed tax regime for e-cigarettes

Definition and scope	An excise definition of e-cigarettes should build on the key elements of these products, as drawn from the review of (1) the TPD; (2) the customs classification and (3) current MS definitions (thus minimising unnecessary disruptions. Such elements are essentially two: • E-cigarette consumables are generally defined in relation to their ***intended use in an 'electronic cigarette' device***. This definition is coherent with TPD and (implicitly) with the customs classification. Regarding the device definition, some MS make reference to the relevant HS/CN code or define it in the legislation. • The second widespread element is reference to ***vapour, vaporising and inhaling as the act and the output characterising e-cigarette*** products and consumption, as implicitly opposed to smoke and smoking. Also, the TPD refers to vapour, while the customs classification refers to 'inhalation without combustion'. Additional specifications could be needed for nicotine-free liquids. In particular, the excise category can extend to ***pre-mixed nicotine-free liquids that are ready to use***, but it cannot include flavouring and diluents (i.e. propylene glycol and vegetable glycerine) sold separately, because these products have several other undistinguishable uses.
Tax base	Based on considerations on implementation efficiency and coherence with MS approaches, it is suggested to apply a 'per volume' approach, i.e. a flat tax proportional to the volume of the e-liquid concerned, regardless of the nicotine concentration. However, to help MS tackling tax avoidance through 'do-it-yourself' the harmonised regime should involve the possibility of applying a higher level of excise duty to e-liquids with a high concentration of nicotine – i.e., typically, the nicotine 'boosters' that are added to shortfill nicotine-free liquids. A possible threshold for the differentiate rate is 15 mg/ml.
Tax structure	As for tobacco products, the tax structure may consist of specific or ad valorem taxation, or a combination thereof. A minimum excise duty (MED) should be allowed.
EU excise duty minima	Regarding the minimum rates applicable to e-liquids, two possible tax levels have been tested: ***(1) EUR 0.10 per ml; and (2) EUR 0.30 per ml.***[444] These levels have been selected based on practical considerations, as they correspond to the actual tax levels applied in most EU countries[445] – and emerged as the most suitable for impact analysis from the survey of MS tax authorities. Additionally, a ***relative minimum,*** should also be applied, as an alternative condition to the fixed minimum rate per ml. Two proposed scenarios have been developed for the relative minimum, which correspond to the proposed fixed minima, i.e.: (1) 20% and (2) 40%. A further scenario investigated consists in allowing the optional application of a zero-rate regime to nicotine-free products. All scenarios have been tested with minima expressed in nominal and in partial-PPP terms.

Box F.4.3 – Rationale behind the proposed HTP excise duty regime and challenges

1) Scope of the e-cigarettes excise category

The main challenge related to establishing a harmonised regime for e-cigarettes regards the ***coverage of nicotine-free products***. Two-thirds of MS with an ad hoc e-cigarette tax in place have extended the regime to all liquids that can be used in an e-cigarette device, while one-third of MS applies the tax only to nicotine-containing liquids. As shown in Figure F.4.3 below, a large majority of MS support the inclusion of nicotine-free products within the scope of the new excise category, based on considerations regarding tax implementation efficiency and tax avoidance risk. Still there are advantages and drawbacks in both solutions, as follows (detailed impacts are provided in Section 4.3.2):

[444] The scenarios proposed here partly build on the results of previous assessments (EA 2017 and EA 2019), which have been tested again via the tax and customs authorities survey.
[445] The EUR 0.10 scenario corresponds to the tax levels adopted for instance in RO, PL, EL, LT, IT and CY. The €0.30 is in line with FI and PT. Most other MS fall between these levels (EE, SE and SI).

- In most countries that opted for taxing only nicotine-containing liquids, the market largely switched to 'do-it-yourself' products (DiY), i.e. nicotine-free favoured bases ('shortfills' or 'longfills')[446] and high concentration nicotine solutions (nicotine 'boosters') sold separately for consumer's self-mixing. In practice, through DiY consumers can partly save on taxes, because only the nicotine booster is taxed in these countries. Furthermore, DiY is encouraged by producers through lower prices (per ml) applied to shortfills and boosters compared to 'ready-to-use' products, as nicotine-free liquids fall outside of the TPD requirement and are therefore easier and less expensive to produce and place on the market. The inclusion of nicotine-free e-liquids in the scope of the excise category would eliminate any tax-driven incentive to DiY, thus removing a main cause of tax circumvention.[447]
- On the other hand, the inclusion of nicotine-free 'shortfills' in the scope of excise legislation could push some consumers towards more radical forms of DiY, which consist in purchasing all e-liquids ingredients separately, i.e. propylene glycol, vegetable glycerine and flavourings (usually food-grade flavours), in addition to the nicotine booster. These ingredients are widely used for purposes other than e-cigarettes consumption and cannot be included in the excise category as such. It can be argued that only few consumers would be willing of (or have the capacity to) preparing their e-liquids from the basic ingredients. On the other hand, they could be assisted in this task by vape shops keepers.[448]

2) Excise category definition

Three main fiscal definitions of e-cigarettes have been identified and reviewed. The first is the ***TPD definition***, which consists of two parts:

- the general definition of an electronic cigarette: "*a product that can be used for consumption of nicotine-containing vapour via a mouthpiece, or any component of that product, including a cartridge, a tank and the device without cartridge or tank. Electronic cigarettes can be disposable or refillable by means of a refill container and a tank, or rechargeable with single-use cartridges*"; and
- the specific definition of a refill container: "*a receptacle that contains a nicotine-containing liquid, which can be used to refill an electronic cigarette*".

The main limitation of this definition is that it encompasses only nicotine-containing products, so it is not fit for an excise category that also includes nicotine-free liquids (see point 1).[449]

A second definition is offered by the new customs nomenclature ***heading HS 2404***. This heading covers inter alia products containing nicotine or nicotine substitutes intended for 'inhalation without combustion'. The definition is sufficiently broad to encompass liquids intended for use in electronic cigarettes or similar electric vaporising devices, as well as other devices that can produce an aerosol other than by heating, such as through chemical process, ultrasonic evaporation, etc. The customs classification allows distinguishing between products containing nicotine (HS 2404 12) and other products that do not contain nicotine (HS 2404 19).[450]

Thirdly, ***Member States with an ad hoc tax regime for e-cigarettes*** have adopted various approaches to define this category (see Annex E for an overview). Following the review of national frameworks, some common features can be identified. The following can constitute the building blocks for a harmonised excise definition, which is as coherent as possible with current MS definitions, therefore minimising unnecessary disruptions:

- E-cigarette consumables are generally defined in relation to their ***intended use in an 'electronic cigarette' device***. This definition is coherent with TPD and (implicitly) with the customs classification. Regarding e-cigarette device definitions, some MS explicitly reference the relevant CN code,[451] or define e-cigarettes in legislation, while others have seemingly left the definition of an 'electronic cigarette' implicit.

[446] Underfilled bottles of nicotine-free flavoured e-liquids (shortfill), or unflavoured 'basis' - a mix of propylene glycol and vegetable glycerine (longfill). For simplicity in this Annex we refer to 'shortfill' to designate any type of pre-mixed nicotine-free solution intended for the separate addition of nicotine and use in an electronic cigarette device.
[447] DiY would likely not be eradicated, though, since self-mixing is a practice well-rooted among part of e-cigarettes consumers and is not only driven by price saving considerations but also by self-customisation motives.
[448] The analogy can be made with alcoholic drinks mixed in bars and restaurants, where the applicable excise duties are not altered by the mixing.
[449] The term 'liquid' can also offer opportunities for circumvention. In some MS definitions, terms such as 'substance' or the like have been used.
[450] These products are currently classified in CN subheading, i.e. 3824 99 and will be transferred in the CN 2022 revision.
[451] With the revised HS, the applicable code becomes HS 8543 40 - Electronic cigarettes and similar personal electric vaporising device. Single-use e-cigarettes (prefilled, disposable) will be classified in heading 2404.

- The second widespread element is reference to ***vapour, vaporising and inhaling as the act and the output characterising e-cigarette*** products and consumption, as implicitly opposed to smoke and smoking. Also, the TPD refers to vapour, while the customs classification refers to 'inhalation without combustion'.

Additional specifications could be needed for nicotine-free liquids to clarify the boundaries between products intended for use in electronic cigarettes and ***substances for other possible uses***. In particular, the excise category can extend to ***pre-mixed nicotine-free liquids that are ready to use*** (i.e. the 'shortfills' mentioned in point 1) but cannot evidently include flavouring and diluents (i.e. propylene glycol and vegetable glycerine) sold separately because these products have several other uses.

3) Tax structure

All MS with an ad hoc regime for e-cigarettes currently apply ***a fully specific tax by volume of e-liquids***. Until 2020, the only exception concerned Latvia, which had a mixed regime involving a volumetric component and a component related to the mg of nicotine contained in the solution. The system was complicated to implement and control, and as such, Latvia switched to a flat volumetric approach on 1 January 2021. Sweden (and in perspective Denmark) constitutes a partial exception, as it applies a higher rate for liquids exceeding a nicotine concentration of 15 mg/ml. This measure is suitable to address tax circumvention through DiY – a problem that particularly affects countries, like Sweden, that do not tax nicotine-free liquids. Germany had initially announced the intention to adopt a full 'per nicotine' approach, with zero rate on nicotine-free liquids. Eventually, the country opted for a per volume approach covering also nicotine-free liquids. .

While a straightforward 'per volume' approach on all liquids emerged as the by-far most-frequent choice of MS tax and customs authorities, some public health experts are promoting the taxation per nicotine concentration as the most suitable solution to curb the consumption of nicotine, which is a highly toxic and addictive substance.[452] The underlying assumption is that this approach would translate into selling prices reflecting the nicotine content, which would eventually encourage consumers to turn to liquids with low concentration of nicotine. However, this assumption is invalidated by current market practices, where the ***price of e-liquids is not linked to nicotine content***, including in countries, like Sweden, where a higher rate is applied on products with a high concentration of nicotine. This requires some detailed explanations and some concrete impact simulations:

- As emerged from market price review, 'ready-to-use' liquids are marketed at the same price regardless of nicotine concentration.[453] Price differentiation can be observed only for (a) shortfills, which are on average 30% less expensive than nicotine-containing 'ready-to-use' products; and (b) nicotine 'boosters', which are nearly 50% less expensive (per ml) of 'ready-to-use' flavoured e-liquids.
- At present, the most popular level nicotine strength category for 'ready-to-use' products among consumer is 6mg/ml. There is no evidence that the absence of price difference drives consumers towards higher strength liquids. The bulk of high-strength liquids sold are actually boosters that are diluted before consumption. Actually, the delivery of nicotine depends primarily by device (more powerful devices are more effective for the absorption of nicotine, so they require liquids with a lower concentration of nicotine).
- Another feature to consider is that nicotine absorption is also different between liquids containing nicotine salts and the so-called free-base nicotine. Free-based nicotine has rapid, uneven absorption and is generally used in low concentration (with high-power devices) since it has a harsher throat impact when inhaled. Nicotine salts have a more gradual and smooth absorption and are typically consumed in higher concentration and with low-power devices.
- For simulation purposes, it can be assumed a system where excise duties range from EUR 0.1 per ml for nicotine-free products and EUR 0.3 per ml for liquids of the maximum strength allowed, i.e. 20 mg/ml (the excise levels are those proposed in Table 4.3 above). This translates into a flat tax of EUR 0.1 ml applied to all products plus a specific tax of EUR 0.01 per mg of nicotine. In this scenario, the e-liquids of the most popular nicotine strength category, i.e. 6mg/ml, would be subject to a rate of EUR 0.16 per ml, while high-strength 18mg/ml products would be taxed EUR 0.28 per ml. This differences

[452] This approach has been discussed, for instance, in a paper published by the Spanish Ministry of Health - Comité Nacional para la Prevención del Tabaquismo: "Revisión sobre la fiscalidad del cigarrillo electrónico: Regulación europea y posibles escenarios para España", 2021.

[453] A price difference is instead observed between products with or without nicotine, which is linked to the lack of tax (and TPD obligations) on nicotine-free products in Sweden. Similar market practices are registered in Portugal (where nicotine-free liquids are not taxed), and frequently, but not always, in Italy (where nicotine-free liquids are subject to a reduced rate). Conversely, such practices cannot be found in Poland, where all liquids are taxed the same regardless of nicotine content.

are too small to assume that they would lead to changes in the established market practices. Most likely, producers would distribute the impact of the tax on the entire product range, applying an average price increase of e.g. EUR 0.22 per ml, regardless of actual nicotine strength. This would not impact on business margins (6mg/ml would continue being the most demanded) and avoid incurring in additional burden for managing more complicated pricing strategies. Eventually, the intended effects of this policy approach on the demand would be neutralised, as the consumer would not perceive any price difference (except, as usual, on DiY products).

- Furthermore, as Table F.4.4 shows, the 'per nicotine' approach does not appear as particularly helpful to curb DiY. As indicated in the Table the current competitive edge (i.e. the price discount) of DiY over a standard 6mg/ml 'ready-to-use' e-liquid is of 36%. The 'per nicotine' scenario described in the previous point would theoretically reduce this edge to 27%, assuming the tax is fully passed on to prices. However, if producers distribute the impact of the tax on the whole range of products, the competitive edge would remain 36%. Conversely, the proposed 'per volume' scenario applied to all products would reduce the edge to 25%. If this is combined with a higher rate for high-strength boosters, the edge would further reduce to 19%.

Table F.4.4 – Simulation of impacts of different tax base scenarios on DiY competitive edge

Scenarios	Ready-to-use, with 6mg of nicotine per ml	Nicotine free 'shortfill'	Nicotine 'booster' (18 mg per ml)	DiY competitive 'edge'
Baseline EU average price per ml	**0.50**	**0.35**	**0.26**	**36%**
1) Tax 'per nicotine' (fully passed on to prices)	0.16	0.10	0.28	
New price	*0.66*	*0.45*	*0.54*	*27%*
2) Tax 'per nicotine' (absorbed and equally distributed among nicotine-containing liquids)	0.22	0.10	0.22	
New price	*0.72*	*0.45*	*0.48*	*36%*
3) Tax 'per volume', flat on all liquids	0.22	0.22	0.22	
New price	*0.72*	*0.57*	*0.48*	*25%*
4) Tax 'per volume', with increased rate for strong liquids	0.10	0.10	0.30	
New price	*0.60*	*0.45*	*0.56*	*19%*

Source: *Baseline prices: Author's elaboration based on EcigIntelligence price data in the EU*
Notes: *The DiY 'competitive edge is defined as the price saving (in %) between DiY and ready-to-use products for a ml of liquids with a nicotine concentration of 6mg per ml. In absolute values the scenarios are not necessarily equivalent as far as tax pressure is concerned. Nonetheless, the comparability of competitive edges is ensured by being expressed in percentage.*

There are two other possible downsides regarding the 'per concentration' approach that are worth briefly mention:

- opportunities would be created for the smuggling of industrial pure nicotine. It must be considered that illegal nicotine trafficking involves low risks and high margins: one litre of nicotine with 95% of purity allows for the production of approximately 53,000 nicotine boosters (0.18 mg/ml), worth approximately EUR 250,000 at current market prices;
- this approach is also not coherent with the current MS practice and expectations,[454] so it would require the nearly all MS to change their current system and introduce a mechanism that is more complex to enforce (as the verification of manufacturers' declarations would entail fairly elaborate laboratory tests, which are currently not necessary for fiscal purposes). Furthermore, as emerged from a JRC study on this subject, "*a slight variability of contents might be unavoidable in the manufacture of e-liquids*", i.e. beyond manufacturer control.[455]

No Member States has ever introduced an ad valorem tax on e-cigarettes[456] and – based on the consultation held in EA 2019 – none would be interested in applying such structure to the EU harmonised excise system. At the same time, there is no reason to restrict a priori the freedom of MS to adopt in the future also an ad valorem or a mixed structure regime, in line with the approach proposed above for HTP.

[454] Only 2 out of 24 MS tax and customs authorities supported a 'per nicotine' approach, based on EA 2019 survey results.
[455] JRC, Scientific-technical support activities to DG TAXUD-C-2 on the option to include e-cigarettes within the scope of excisable goods for the Impact Assessment on a possible revision of Directive 2011/64/EU, 2017.
[456] Except for Italy in 2014 - but the tax was soon repealed after a negative sentence of the Constitutional Court.

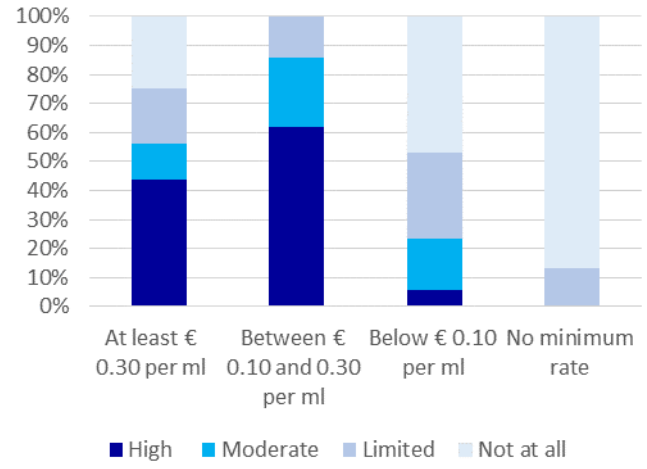
4) Minimum rates

In recent years, the international debate on the public health profile of e-cigarettes and on its implication for fiscal regimes have progressed. The Commission has requested SCHEER to provide its scientific opinion on the subject and this has recently been released[457]. Moreover some very preliminary principles in this respect have just been emerging at the WHO level[458]. At the same time, there is no such thing as an international consensus yet, as the discussion of new products within FCTC has been postponed to the COP10 session.

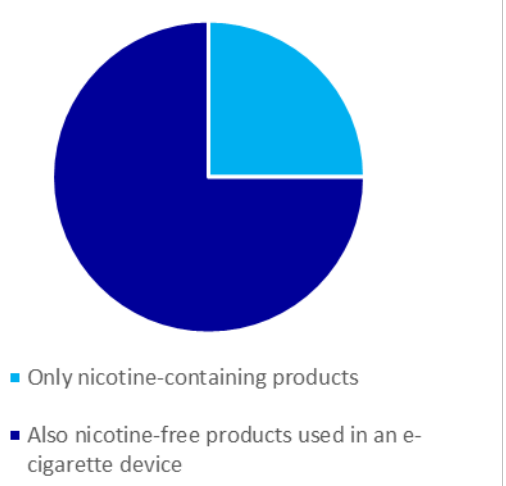
In this Study, the proposed minima have therefore been set based on purely fiscal-harmonisation considerations and starting from the actual tax levels applied in most EU countries[459] – which also emerged as the most suitable from the survey of MS tax authorities (see Figure F.4.3). The EU minima rates tested are: ***(1) EUR 0.10 per ml; and (2) EUR 0.30 per ml.***[460] Additionally, we have introduced the possibility for MS to comply with a ***relative minimum,*** expressed as a percentage of the retail selling price, as an alternative condition to the fixed minimum rate per ml. The proposed scenarios for the relative minimum (Table F.4.2) are estimated based on the incidence that the proposed fixed minima would have based on current price levels (assuming the tax is entirely passed on to the consumer).

Figure F.4.3 – MS authorities' feedback on applicable rates for e-cigarettes

A) Suitability of proposed excise duty minima



B) Expected coverage of the EU tax regime



Source: *TCA survey*

Two variants have been tested in addition to this standard regime:

(1) The option for MS to apply a ***rate lower than the EU minima on nicotine-free products***. This would allow MS that currently have reduced or zero rates on nicotine-free liquids to maintain their regimes, while at the same time allowing the application of holding, movement and monitoring rules that are envisaged for nicotine-containing products.

[457] The Commission has recently commissioned a scientific opinion on electronic cigarettes to the Scientific Committee on Health, Environmental and Emerging Risks (SCHEER). The final SCHEER opinion - adopted in April 2021 - found a moderate to strong risk of adverse health effects for heavy users of e-cigarettes, adding that more research and data are needed to estimate long-term effects, as these products are relatively new. SCHEER also concluded that there is strong evidence that e-cigarettes play a role in the initiation of smoking, especially for young people, and that, conversely, the evidence that they can help smokers to quit is weak. See: https://ec.europa.eu/health/sites/default/files/scientific_committees/scheer/docs/scheer_o_017.pdf

[458] In its recent report on the global tobacco epidemic, the WHO has for the first time presented new data on electronic nicotine delivery systems, such as 'e-cigarettes', and reiterated its concern that children who use these products are up to be three times more likely to use tobacco products in the future. The WHO, therefore, recommends governments to implement regulations to prevent non-smokers from starting to use them, to avoid renormalization of smoking in the community, and to protect future generations, but then does not provide yet operational elements to identify what levels of taxation would be deemed sufficient to achieve this objective. WHO, *WHO report on the global tobacco epidemic 2021: addressing new and emerging products.* July 2021. https://www.who.int/teams/health-promotion/tobacco-control/global-tobacco-report-2021

[459] The EUR 0.10 scenario corresponds to the tax levels adopted for instance in RO, PL, EL, LT, IT and CY. The €0.30 is in line with FI and PT. Most other MS fall between these levels (EE, SE and SI).

[460] The scenarios proposed here partly build on the results of previous assessments (EA 2017 and EA 2019), which have been tested again via the tax and customs authorities survey.

(2) The option for MS to apply a differentiated ***higher rate on liquids with a high concentration of nicotine*** to help tackle tax circumvention through 'do-it-yourself' practices. This provision can be borrowed from the Swedish model, where liquids with a nicotine concentration exceeding 15 mg/ml are subject to a higher rate.[461]

Evidently, the two variants are connected, and specifically the need for the second option relates to the application of the first option, because where all products are taxed the same, regardless of nicotine, there would be no economic incentive behind DiY.

4.2.3 Option 2C – Other manufactured tobacco and related products

- **SCOPE OF INTERVENTION**

There is a variety of other products containing tobacco or nicotine that currently fall outside of the scope of the Directive, or whose status is uncertain. These include primarily a new generation of smokeless products (such as the so-called 'nicotine pouches'), as well as some traditional, 'niche' products (i.e. nasal tobacco, traditional chewing tobacco). Table F.4.5 below provides a tentative taxonomy of all products that are not currently (explicitly) covered by the Directive, but the list cannot be exhaustive as new products are constantly developed and/or can be brought to the EU from countries where there is an established consumption.

Table F.4.5 – Tentative taxonomy of non-harmonised products

	Containing tobacco	Containing nicotine	Containing neither tobacco nor nicotine
For inhalation through an electronic heating device	• Heated tobacco products (not 'explicitly' harmonised)	• Nicotine-containing solutions for e-cigarettes	• Herbal heat-not-burn products • Nicotine-free solutions for e-cigarettes (including CBD)
Other forms of inhalation, with or without heating (chemical processes, etc.)	• Tobacco products for other forms of inhalation*	• Nicotine-containing solutions for other forms of inhalation*	
New products for oral intake	• Chewing sachets, tobacco bits • Dissolvable tobacco	• Nicotine pouches • Other nicotine-containing consumer goods (drinks, chewing gums, toothpicks, etc.)	• Nicotine-free pouches**
Traditional products for oral intake	• Traditional chewing tobacco • Traditional tobacco for nasal use • Moist snuff for sucking (snus)**		
Products for transdermal application	• Other possible products (undetermined)	• Nicotine replacement therapies** • Other possible products (undetermined)	

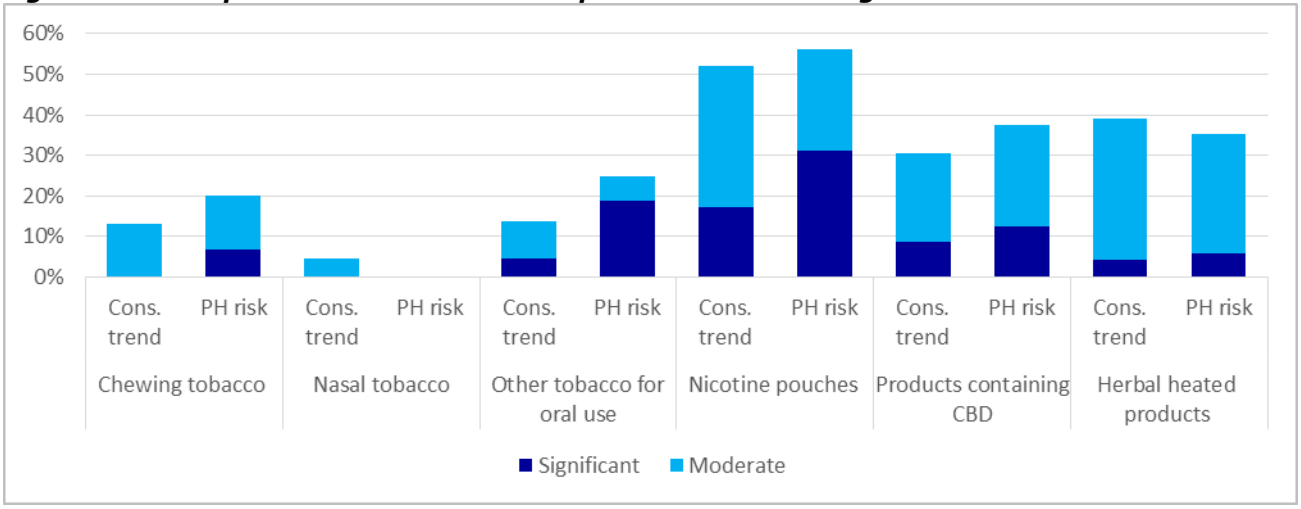
***Note**: (*) products not currently detected on the market; (**) products not suitable for inclusion.*

In absolute terms, the sales volume of non-harmonised products other than HTP and e-cigarettes is small and often concentrated in a few EU markets, but the majority of MS authorities expect ***substantial growth in the next five years, especially of nicotine pouches*** and, to a lesser extent, of tobacco-free heat-not-burn products and of products containing cannabidiol – see Box F.4.4 below - which are however prohibited in at least 8 MS.[462] Similarly, MS public health

[461] The mechanism would be enforced primarily on the basis of producers' declarations on the assumption that, form a commercial perspective, there would be no point in declaring an amount lower than the actual content.
[462] The question posed to tax and customs authorities regarded all legal cannabis products (i.e. with a THC content not exceeding 0.2%), including smoking products, which are already taxed in some constituencies (e.g. BE). However, CBD products for smoking can already be considered as harmonised excise goods under Article 2.2 of the Directive.

authorities consider these products as ***a challenge for future tobacco control policies*** (see Figure F.4.4 below).[463]

Figure F.4.4 - Expected trends and related public health challenges



Source: *TCA and PHA surveys.*
Note*: The figures combine the results of two questions: (1) "cons. trend" indicates the expected consumption trend in the next five years according to MS tax authorities; (2) "PH risk" indicates the perceived public health challenges connected to the consumption of these products according to MS public health authorities. Results are expressed in percentage of respondent MS who considered 'significant' or 'moderate' the expected increase in consumption (1) or the level of public health risk involved (2).*

Box F.4.4 – CBD products, an overview of the EU legal framework

Cannabinoids are chemical compounds, found in cannabis plants of the family *Cannabaceae*. The two important cannabinoids are tetrahydrocannabinol (THC), which is the principal psychoactive compound in cannabis and the cannabidiol (CBD) which, in contrast to THC has no psychoactive effects. Another cannabinoid that is increasingly receiving attention for its potential use in a variety of consumer products is the cannabigerol (CBG). In the past few years CBD (and more recently CBG) has become increasingly popular for its possible benefits on a variety of health conditions, including e.g. epilepsy syndromes, anxiety, insomnia, chronic pain etc. While some CBD-derived medicines have already been approved for therapeutic use, the research on CBD benefits is however still in its infancy and is hindered partly by the restrictions imposed by the drug control legislation and partly by the recent spreading of unregulated CBD-containing consumer products, whose effects and benefits are poorly tested. These consumer products include food supplements, scented oils, chewing gums, body care products, smokable blends, vaping liquids etc.

There are more than 2,000 economic operators active in this sector in the EU, the vast majority being micro-enterprises. According to some market analysis the market for legal cannabis – i.e. high in CBD and low in THC[464] - would amount to EUR 300 million (2020)[465], but other industry sources consider this estimate as excessive. There is however agreement on the fact that production is growing, including of crops, which based on industry estimates would cover 55,000 ha in the EU (especially in FR, DE, NL, IT and LT). Different parts of the plant have different uses, hence markets: fibres are mainly used in the automotive industry, seeds are transformed into flour and used in food industry, and flowers – the most rentable parts for growers – are used to extract oils that are used for various types of cosmetic, food supplement and pharmaceutical products. The commercialisation of flowers for smoking is banned in most EU countries. In a few of them (e.g. BE and LU) it is allowed and subject to the payment of excise duty, at the same rate of tobacco products. The sale of CBD-containing e-liquids have disappeared after the 2019-20 outbreak of vaping-associated lung illness in the United States, which involved illegal unregulated cannabis vaping products, and caused 60 fatalities.

[463] There are few heated herbal products currently on the market, however the survey results show these are perceived as the second-main challenge by authorities. This perception is likely due to the various advance notifications submitted in this area (a step that precedes marketing), combined with the fact that these products currently fall outside of any EU tobacco legislation (TPD or fiscal legislation).
[464] Legal cannabis can contain up to 0.2% THC. Luxembourg is the first EU country that may possibly legalise adult-use of 'recreational cannabis', i.e. with higher percentage of THC, since 2021.
[465] Prohibition Partners, The European Cannabis Report, February 2020, Edition 5.

As regards CBD for oral intake in the EU, the market has been substantially unregulated until 2019, when EFSA updated the Novel Food Catalogue introducing the extracts of Cannabis sativa L. and derived products containing cannabinoids. As a result, all extracts of hemp, including CBD, are now regarded as novel food. This categorisation applies to the extracts themselves and also to any products that contain them as an ingredient, as well as to synthetically obtained CBD (which is mostly imported from China). The rationale behind EFSA's decision relates to the lack of a history of consumption of these products. One of the main implications of this decision is that MS can now refuse to permit foods and food supplements containing cannabinoids, in the absence of a formal authorisation issued by EFSA under the Novel Food Regulation.[466] According to industry, this measure can constitute an insurmountable obstacle for the majority of existing micro-enterprises, which does not have the capacity to handle the complex procedure for the authorisation of novel foods.

- **POLICY OBJECTIVES AND APPROACH**

The establishment of an excise category for other manufactured tobacco and related products has three main objectives:

(1) ***pre-empting the risk of new 'borderline' products*** being developed to circumvent harmonised tax regimes;
(2) removing the ***risk of substitution*** between taxed and non-taxed products, as well as possible distortion of competition caused by different regimes applied across MS; and
(3) identifying and regulating certain emerging products that are not covered by the TPD, thus ***reducing classification uncertainties*** and assisting with the monitoring of market trends.

In this sense, this excise category should not only cover products already on the market but also capture near-future developments as much as possible. Product evolution is difficult to predict so a ***'catch-all' and flexible excise category*** is required, which should also align with the ***specificities of the heterogeneous products involved***.

As anticipated in Section 4.1, the approach to this macro-category of products involves the establishment of two 'catch-all' excise categories, with one encompassing any ***manufactured tobacco product*** which is not subsumed under the existing or the prospective new excise categories, and the other for ***products containing nicotine but not tobacco***, which is again not classified separately.

To deal with the issue of product heterogeneity, certain products can be singled out from the standard regime and subjected to special regimes, in the same way FCT can be subjected to a regime different from other smoking tobacco under the current Directive. The purpose of singling out certain products is manifold: to adjust the tax structure to the product's physical characteristics and/or preparation, to allow the application of higher rates, to exempt a specific product, etc. However, the principle of parsimony should be applied, since any distinction implies a demarcation line, which offers opportunities for the invention of 'borderline' products that abuse definitions. In this sense, the ***number of exceptions to the standard regime should be as limited as possible***.

Keeping in mind these objectives and principles, the following sections describe the proposed harmonised excise duty regime for the two proposed macro-categories – other manufactured tobacco and tobacco-related products – including the proposed special regimes for specific categories.

- **HARMONISED REGIME FOR OTHER MANUFACTURED TOBACCO PRODUCTS**

The following elements should inform the ***definition*** of this macro-category:

[466] Novel Food Regulation ((EU) 2015/2283)

(1) it regards products that ***contain tobacco***;
(2) it regards ***manufactured products for final consumption*** (it should not include raw tobacco, which is discussed in Section 5); and
(3) it is a ***residual category***, which does not include tobacco products that fall under other specific excise definitions.

The consumption modality (i.e. consumption through smoking, inhalation, ingestion, transdermal application, etc.) is not considered a necessary element for the definition. Actually, it could become a source of confusion. At any rate, tobacco products capable of being smoked would be captured under the pre-existing categories, including the (revised) definition of smoking tobacco discussed in Section 5.

The second proposed criterion is not straightforward and requires some specifications, the absence of which would otherwise lead to the inclusion of intermediate tobacco products, i.e. the various types of raw tobacco (tobacco leaves, first-processed tobacco, tobacco refuse, reconstituted tobacco, etc.), in this macro-category. As will be discussed, raw tobacco is also subject to a proposal for harmonisation, but it is ***important to maintain a clear distinction between an intermediate and a final product*** because this distinction can have further implications and legal obligations, such as the traceability and security features systems and other requirements applicable to 'tobacco products' in the sense of the TPD.[467] To operationalise this criterion, an explicit reference to end-use and/or users can be added to the definition. Furthermore, objectively verifiable elements can be included, namely:

(1) reference to the size and type of ***packaging***, (i.e. final products should not exceed a certain weight and must comply with TPD packaging rules);[468] and
(2) the nature of the transaction involved, with ***sales of duty-paid products outside of the EMCS*** automatically designated as products intended for final consumption.

These two conditions should be established as 'alternative' conditions, meaning that it would be sufficient to comply with either of them to meet the proposed criterion. The establishment of this macro-category would also influence the scope and the definition of 'smoking tobacco' outlined in Art. 5.1. This impact is examined in Section 5 of this Report.

The next paragraphs describe the excise duty regime (structure and rate) that would be applied to the product falling under the macro-category – the 'standard' regime – and to specific sub-categories that could be created thereafter – the 'special' regimes.

- **The standard regime**

  Given the heterogeneity of the products considered, the tax base and structure should be as flexible as possible. In principle, two main approaches seem feasible: (1) ***per weight***, which is consistent with the characteristics and presentation features of known tobacco products; and (2) ***ad valorem***, which is a structure that fits well with heterogeneous products that cannot be traced back to a single base. MS should nonetheless have the freedom to choose the most appropriate approach, in line with the provisions applicable to other excise goods (i.e. a fully specific tax, a full ad valorem tax or a mixed structure regime).

  The EU minima applicable in the standard regime can be set in reference to ***the minima applied to other smoking tobacco (OST)*** to remove any incentive for marketing 'borderline' products. The proposed minima take into account the excise duty increase for OST minima (both fixed and relative minima conditions) that have been presented in Section 3.

- **The special regimes**

[467] In the TPD, 'tobacco products' means products that can be consumed and consist, even partly, of tobacco, whether genetically modified or not (Art. 2).
[468] As discussed in Section 5, the establishment of mandatory packaging size for raw tobacco, which could be adopted through implementing acts, can be considered.

Special regimes can be considered for the following tobacco products: (1) chewing tobacco; (2) nasal tobacco; and (3) other tobacco for oral use. In particular:

(1) ***Chewing tobacco:*** it is commercialised in several MS, but consumption levels are mostly negligible, except in PL, CZ, DK and SE. Only a handful of countries currently tax it, and a minority of them (9 out of 24) would favour its harmonisation at the EU level. The public health authorities surveyed do not generally consider chewing tobacco a challenge for tobacco control policies. In general, the market is extremely limited and in decline. For this reason, these products were removed from the scope of EU excise legislation during the revision of 1995. These products remain regulated by the TPD as smokeless tobacco products.

Products placed on the market as 'chewing tobacco' have been the subject of judicial disputes in DE because of the uncertain demarcation with oral tobacco, which is banned in the EU (except SE) under the TPD. The issue originates from a new generation of 'borderline' chewing tobacco products, prepared in sachets, and whose distinction from sucking tobacco is not straightforward.[469] The issue has been addressed in various MS (e.g. in Baltic countries) through the adoption of specific prohibitions.

The re-introduction of chewing tobacco in the scope of the excise legislation may seem contradictory with the decision taken in 1995, given their marginal use. At the same time, it can be difficult to draw a clear boundary between traditional products and the new generation of chewing tobacco products, which are becoming popular, especially in DK and SE, or the North African chewing tobacco paste, which is not solely used by immigrant communities in France and other countries. Excluding these products from the excise system based on the 1995 decision would create legal loopholes that other products, which are not traditional in the EU, could exploit. The most suitable solution seems to be to ***create a sub-category within the macro-category*** described above for which MS can optionally envisage a differentiated regime. This approach would be in line with the spirit of the 1995 reform and the marginality of these markets, allowing adjustments to be made based on the reality of national markets at the same time.

Product definitions can be borrowed – for coherence – from the TPD and the legacy definition, as shown in Table F.4.6.

Table F.4.6 – Definitions of chewing tobacco used in the EU legislation

TPD definition	Legacy tobacco excise Directive (until 1995)	Suggested combination
Chewing tobacco means smokeless tobacco product exclusively intended for the purpose of chewing.	Tobacco in the form of rolls, sticks, strips, cubes or blocks, which is put up for retail sale and specially prepared to be chewed but not smoked, shall be deemed to be chewing tobacco.	*Chewing tobacco is a smokeless tobacco in the form of rolls, sticks, strips, cubes or blocks, which is put up for retail sale and is exclusively intended for the purpose of chewing.*

The proposed excise duty structure would not differ from the standard regime. Instead, ***ad hoc EU minima can be envisaged***, building on the current tax levels for smokeless tobacco applied in the most relevant markets (i.e. DK and SE). The current tax rates in in SE is around EUR 45 to EUR 50 per kg,[470] and between EUR 10 and EUR 36 per kg in DK.[471] Converted in EU average PPP, these rates range from EUR 7 to EUR 38 per kg, with an average value around EUR 22. When it comes to traditional products, the abrupt

[469] Traditional chewing tobacco – which is consumed particularly in DK – includes 'cut chew' ("Kardus skrå"in Danish) and 'spun chew' (other chew or "Anden skrå" in Danish) and has been regulated and taxed in Denmark since 1922.
[470] The tax rate for snus is slightly lower than the rate applied to chewing tobacco.
[471] The lower rate regards cut chew, while the higher rate applies to other smokeless tobacco. In 2022, rates will increase to approximately EUR 15 and EUR 55, respectively.

introduction of the rates proposed for the standard regime could easily disrupt a market that is already marginal and declining. Therefore, in this case, it could make sense to envisage alternative lower rates that MS can (optionally) apply to these products.

(2) ***Nasal tobacco:*** it is essentially an old-fashioned product with some marginal consumption in DE, PL, HU and some Italian regions. It is not considered a product with future market growth or a risk for tobacco control policies by MS authorities. Like chewing tobacco, it was a harmonised product in legacy versions of the Directive, but it was removed in 1995. It is regulated under the TPD.

To avoid the risk of regulatory loopholes, it is not suggested to exempt it from the scope of the new macro-category (nasal tobacco is mostly defined by its intended mode of consumption, which is not a robust criterion for fiscal purposes). However, to avoid unnecessary market disruptions in this niche segment, ***the same special regime proposed for chewing tobacco*** can be applied to nasal tobacco. The definition of this sub-category can again be a combination of the current TPD definition and the legacy excise definition (Table F.4.7).

Table F.4.7 – Definitions of chewing tobacco used in the EU legislation

TPD definition	Legacy tobacco excise Directive (until 1995)	Suggested combination
Nasal tobacco means a smokeless tobacco product that can be consumed via the nose.	Tobacco in powder or grain form, which is specially prepared to be taken as snuff but not smoked, shall be deemed to be snuff.	*Nasal tobacco is a smokeless tobacco product in powder or grain form, which is specially prepared to be consumed via the nose.*

(3) ***Other tobacco for oral use:*** these products are prohibited in the EU, except in Sweden, where snus is very popular (the consumption prevalence is estimated to be higher than cigarettes) and subject to an ad hoc tax regime. 'Leakage' consumption is reported in some MS, especially, but not only, in neighbouring countries (i.e. DK and FI). No increase in consumption is expected, but public health authorities consider it a moderate risk for tobacco control policies.

Creating an ad hoc harmonised category for a product that can be legally sold in only one country can be to some extent paradoxical and administratively inefficient. As such, only a handful of MS would support its inclusion in the scope of the Directive. At the same time, an explicit exclusion would create a loophole that snus and other types of oral tobacco from non-EU countries could exploit. Evidently, these products remain banned under the TPD, but could in principle circulate outside of the excise system and be fairly easily diverted. Its inclusion in the excise legislation would add a further deterrent to the risk of diversion and enhance monitoring. The proposed rates applicable to the standard regime – which are the OST excise rate – are significantly higher than the tax level applied to snus in Sweden, which is approximately EUR 45/kg. In order to avoid undue market disruption, ***special conditions can be extended to this specific case***, without creating an ad hoc excise sub-category.

The applicable minima and proposed variants are summarised in Table F.4.8 below. For consistency, the policy options include the possibility of a partial adjustment of minima to the country's price level, using purchasing power parities (PPP). The mechanism has been described in the above section devoted to HTP (Section 4.2).

Table F.4.8 – Possible scenarios for other manufactured tobacco products

		Nominal terms		PPP terms	Variants
		A	B		
Standard regime	**Fixed minimum (€/kg)**	Same as OST	n/a	Same scenarios with 1/3 of the rate based on PPP	• Special conditions for snus in Sweden
	Relative minimum (% of RSP)	Same as OST	n/a	Same as nominal term scenarios	
Chewing tobacco	**Fixed minimum (€/kg)**	Same as OST	€22/kg	Same scenarios with 1/3 of the rate based on PPP	• Scenario B as optional
	Relative minimum (% of RSP)	Same as OST	10%	Same as nominal term scenarios	• Scenario B as optional
Nasal tobacco	**Fixed minimum (€/kg)**	Same as OST	€22/kg	Same scenarios with 1/3 of the rate based on PPP	• Scenario B as optional
	Relative minimum (% of RSP)	Same as OST	10%	Same as nominal term scenarios	• Scenario B as optional

- **HARMONISED REGIME FOR TOBACCO-RELATED PRODUCTS**

The second category proposed addresses tobacco-related products, i.e. products that contain nicotine but not tobacco, which are intended for the intake of nicotine in the human body. As depicted in Figure F.4.1, this is another possible macro-category, encompassing a variety of tobacco substitutes, including first and foremost nicotine pouches, but also other products, including products that are not yet on the market. The following elements should correspond to the ***definition*** of this macro-category:

(1) it regards products that ***contain nicotine but not tobacco***;
(2) it regards ***manufactured products for final consumption***; and
(3) it is a ***residual category***, which does not include products that fall under other specific excise definitions.

Regarding the first criterion, ***the status of hybrid products***, which are products that contain both tobacco and a nicotine-containing solution, must be clarified. The hybrid products currently commercialised are sold as refill cartridges to be consumed via inhalation through a device: the liquid is heated electronically and the vapour passes through a pod containing tobacco before being inhaled. Other combinations of tobacco and nicotine substrates can be conceived, so the issue of hybrid products requires a broad view approach. Based on the current architecture, these products would not be classified in the macro-category described in this section, but rather in the previous 'other manufactured tobacco products' category because the condition of containing tobacco prevails. However, this would not be sufficient to prevent the development of opportunistic products, i.e. products containing a minimal amount of tobacco (to minimise 'per weight' excise duties) and a more substantial amount of e-liquid that, in this case, would not be taxed appropriately. For this reason, it is suggested ***to tax each component separately***, i.e. to apply both the tax regime for tobacco (on the weight of the tobacco component) and the regime for e-cigarettes (on the volume of the e-liquid component).

The rationale behind the second and the third criteria has been described above in relation to other manufactured tobacco. It should be noted that this category's tax regime would not apply to e-cigarettes, which fall in a separate excise category (Section 4.3). Similarly, this category would not encompass nicotine-free herbal substitutes of tobacco products. These products – either for smoking or inhalation – would fall within the scope of the corresponding excise categories. As such, herbal cigarettes would be excised like tobacco cigarettes, heated herbal products would be excised like HTP, and so on.

The range of products that would fall under the standard regime for tobacco-related products is heterogeneous and may include nicotine pouches, nicotine-containing sprays, nicotine sticks,

chewing gums, dissolvable pastilles, patches, lollipops, drinks, toothpicks, etc. The boundaries of the target group are blurred, and new products may appear in the future, including products that are already available in non-EU markets. Their development in the EU is partly connected to a regulatory gap, as they fall outside of the scope of the TPD. At the same time, various MS have started introducing ***specific restrictions based on food legislation and/or public health protection*** policies.[472] The hypothetical application of food law to nicotine-containing products for oral use could lead to an outright ban if they exceed the toxicological intake limits and the maximum residue levels allowed in the EU.[473] In this sense, the harmonisation of these products under the Directive should not prevent the adoption of more restrictive measures by MS.

Two regimes are envisaged: a specific regime for nicotine pouches and a standard regime applicable to any other products falling into this macro-category.

- **The standard regime**

The standard regime should capture a plethora of products for nicotine intake through chewing, dissolving, sniffing, transdermal absorption, etc., except nicotine pouches, which would fall under a separate sub-category. As a heterogeneous category, the excise structure should be sufficiently flexible to adjust to different product characteristics. For this reason, ***the most suitable approach is to establish an ad valorem excise structure*** as it is unrelated to the product's substrate or how it is prepared for sale.

For consistency, the EU minima for these products would include only a minimum incidence on selling price. The proposed scenarios in Table F.4.9 are ***the same applied to e-cigarettes***.

- **Special regime for nicotine pouches**

Nicotine pouches recently emerged as a category of products whose consumption is set to increase in the coming years. Their mode of use is similar to that of oral tobacco, but since they do not contain tobacco, nicotine pouches remain outside of the scope of TPD and are therefore considered a relevant public health challenge by MS authorities. Some MS have introduced specific regulations to prevent their diffusion in the market. In two MS (LV and SE), ad hoc tax regimes are already in place. Considering their similarities with chewing tobacco and – where permitted – snus, nicotine pouches can be subjected to the same regime applicable to the equivalent products which contain tobacco, namely:

(a) a '***per weight'*** or ***ad valorem*** excise structure or a mix thereof; and
(b) EU minima in line with the minima applicable ***to other smoking tobacco (OST)***, which are the same levels proposed for 'other manufactured tobacco products' category. The optional reduced minima proposed for traditional chewing and nasal tobacco are not proposed for nicotine pouches because these products are neither traditional nor a declining market niche.

The harmonised ***excise definition*** of nicotine pouches can be inspired by the TPD definition of oral tobacco products:

[472] In Germany, some Bundesländer have required an authorisation of nicotine pouches as 'novel food'. Outside of the EU, Switzerland adopted a different view. In 2019, the Federal Court overturned a previous ban established by an administrative court. The Federal Court ruled that chewing tobacco had to be considered as a recreational product and not food. Restrictions for recreational products, like alcohol and tobacco, can be envisaged if they present a direct or unexpected health risk, but since tobacco packages carry health warnings, the risk does not qualify as 'unexpected', thus the Court ruled that it cannot be prohibited.
[473] In 2009 EFSA set up an acceptable daily intake and an acute reference dose of both 0.0008 mg/kg body weight. The maximum residue levels (MRLs) of nicotine in food accepted in the EU varies across products. In the highest threshold scenario, the maximum accepted level is 4 mg/kg (in spices), which is at any rate much lower than the content of nicotine pouches (approximately 8-11 mg/g).

- 'Nicotine pouches' are products containing nicotine but not tobacco for oral use, including chewing, that are mixed with vegetable fibres or equivalent substrate, containing flavourings or not, and presented in sachet portions or porous sachets or equivalent format.

Some nicotine-containing products should be explicitly excluded from the scope of the harmonised category. The proposed ***exemptions*** regard:

- ***Nicotine replacement therapies*** (NRT),[474] i.e. products intended to assist tobacco use cessation, which are taken as part of a nicotine intake reduction programme to lessen the human body's dependence on the substance. The regulation of NRT remains in the remit of MS, which should adopt appropriate measures to prevent the risk of abuse.
- ***Industrial nicotine*** – both extracted from tobacco and obtained by synthesis **–** which is produced and traded B2B in a concentration higher than the 20 mg/ml limit established for e-liquids for intended uses other than intake into the human body. This is a chemical substance that falls under heading CN 2939 (i.e. outside of Chapter 24 – Tobacco and manufactured tobacco substitutes) and is covered by the hazardous substances' legislation.
- ***Products containing a minimal amount of nicotine,*** either as unintended contamination (as is the case with dried ceps, spices, tea and other infusions, etc.) or intendedly in energy drinks, etc. (subject to approval under food law). When intentional, the exemption would be motivated by the need to avoid placing an additional burden on excise duty administrations for products that arguably are not substitutes for tobacco products. The limit will have to be assessed technically. For reference, a threshold of 0.01 mg/ml of nicotine can be assumed.

Table F.4.9 – Possible scenarios for other manufactured tobacco products

		Nominal terms		PPP terms	Variants
		A	B		
Standard regime	**Relative minimum (% of RSP)**	20%	40%	n/a	*None*
Nicotine pouches	**Fixed minimum (€/kg)**	Same as OST	Same as OST	Same scenarios with 1/3 of the rate based on PPP	*None*
	Relative minimum (% of RSP)	Same as OST	Same as OST	Same as nominal term scenarios	

4.2.4 Ancillary provisions

➢ **CROSS-BORDER ACQUISITION BY PRIVATE INDIVIDUALS**

As harmonised excise goods, all products described in this section would be subject to Horizontal Directive rules on the cross-border acquisition by a private individual. To ensure the proper functioning of the internal market and prevent fraud, appropriate 'guide levels' for these products should be established under Art. 32.3 regarding the quantities that private individuals can acquire in other MS for their consumption. Guide levels should be coherent with the levels currently established for smoking tobacco products. However, the Commission is currently examining a possible revision of current levels and of Art. 32. This process is outside the scope of this Report and there are no indications of the new levels that will be adopted. So, the proposed guide levels for the products reviewed in this section are expressed in relation to the levels currently applied to the other products. As such, they can be straightforwardly adapted to any possible revision of Art. 32.3.

It is useful to specify that, in the framework of the revised Art. 32, Member States are allowed to establish outright bans on the cross-border private acquisition of specific products which are

[474] Actually, such exemption is already granted under Art. 2.2 of the Directive, which states "*products containing no tobacco and used exclusively for medical purposes shall not be treated as manufactured tobacco*."

prohibited in the country, as is currently the case with, for instance, certain e-liquid flavours in FI, e-liquids with a nicotine concentration higher than 20 mg/ml (acquired in third countries), chewing and nasal tobacco (e.g. in Baltic countries and MT), and, evidently, snus and oral tobacco.

Table F.4.10 – Proposed guide levels for other manufactured tobacco and related products under Art. 32.3 of the Horizontal Directive

Product category	Proposed guide levels	Notes
Heated tobacco	Same level of smoking tobacco or cigarettes	As discussed, HTP is to be measured 'per weight' or 'per unit' depending on its characteristics. Therefore, two levels would be necessary. For HTP sticks the same limits of cigarettes (currently 800 units) would apply. For other HTP formats a 'per weight' approach should be applied, that can be tentatively related to the smoking tobacco limit (currently 1 kg). The two limits should not be considered as cumulative. So, 400 HTP sticks (50% of the limit) can combine with 500 g of other HTP (50% of the limit) etc.
Other manufactured tobacco	Same level of smoking tobacco	The guide levels should be set 'per weight' only, with no differentiated levels for products under special regimes (i.e. chewing and nasal tobacco). Currently the level would be 1 kg.
E-cigarettes	Estimated fiscal conversion rate of 1 ml = 7 cigarettes	The estimated conversion rate has been calculated by triangulating market data and literature sources. It should be considered as a conventional rate for fiscal purposes only, which has no significance in terms of comparing consumer habits, risks, intake of substances or the like. By applying this conversion rate to the current Art. 32.3 levels, the guide levels for e-cigarettes would amount to 115 ml, which can be rounded to 100 ml.
Related tobacco products	Same level of smoking tobacco, plus a nicotine threshold based on the guide levels of e-cigarettes	These products can be measured 'per weight' (e.g. nicotine pouches), 'per volume' (e.g. nicotine-containing fluids), or per 'unit' (e.g. lozenges, patches, etc.). However, differentiated guide levels could be difficult to implement, since excise definitions of each specific product are unfeasible. A one-size-fits-all solution is therefore proposed, based on the current guide level for smoking tobacco i.e. 1 kg. Considering the nature of the products involved and in order to avoid creating opportunities for circumvention of the above rules for e-cigarettes, it should be added that the maximum nicotine per kg of products allowed cannot exceed 2 g.[475]

- **RESTRICTION ON CROSS-BORDER DISTANCE SALES**

As discussed in this Report, the existing regulation and/or tax regimes in various MS are circumvented through B2C cross-border flows, originating from e-commerce or irregular sales through social networks and other online platforms. The issue regards primarily e-liquids, for tax avoidance purposes, and oral products like snus, chewing tobacco, nicotine pouches, etc., where sales are prohibited under the tobacco control legislation.

The TPD already regulates cross-border distance sales of tobacco products in the EU. It establishes, inter alia, that MS may prohibit such sales and should cooperate to prevent this phenomenon. In the light of these reportedly growing trends and considering possible

[475] Since the proposed threshold for e-liquids is 100ml and the maximum concentration allowed in the EU is 20mg/ml, then the implicit guide level for nicotine is de facto: 100ml x 20mg/ml = 2g.

acceleration due to the proposed excise harmonisation, it is recommended to revise and tighten these rules, particularly:

- including ***cross-border distance rules for some of the products reviewed in this section*** that are not currently covered by TPD rules, such as nicotine pouches, nicotine-free e-liquids, etc.; and
- introducing ***stricter rules on cross-border distance sales of tobacco and related products***, such as outright bans, stricter quantitative limits, tougher sanctions for irregularities, etc.

4.3 Impact analysis

4.3.1 Impact on excise classification and legal certainty

- **OVERVIEW OF RISKS AND CHALLENGES**

Any new excise definition or boundary between excise categories entails, by definition, an increased risk of opportunistic behaviours, including: (1) the ***creation of new products attempting to elude the newly-created definitions*** (e.g. smoking tobacco marketed as raw tobacco); and (2) the modification of existing products aimed at meeting the conditions for ***inclusion in a more favourable excise category*** (e.g. the so-called 'borderline' cigarillos and 'party cigars') or to otherwise ***mitigate the impact of the tax*** (e.g. 'do-it-yourself' WPT). In this sense, the significant enlargement of the scope of the Directive that is described in this Study, which includes several new excise categories, will inevitably create new opportunities and risks, especially considering that – for classification sealing purposes – some 'catch-all' definitions have been proposed, which are not based on specific products' objective characteristics, but permit large margins for interpretation in their application.

The general structure of the revised perimeter of the Directive, depicted in Figure F.4.1, and the definitions provided have been designed to reduce such risks as much as possible. This can be verified through the ***excise classification flow diagram*** in Figure F.4.5, which comprehensively combines the various criteria and conditions described in the existing and in the prospective new excise definitions. Inevitably, some of the classification criteria identified entails some degree of interpretation. The criteria that would potentially be subject to the most interpretation and classification issues are:

- The fact that a product ***can be smoked without further industrial processing*** or through simple hand processing. This smokability criterion characterises all excise products which are currently harmonised in the Directive and is fundamental to prevent confusion and classification issues between them and the other manufactured products that will enter the perimeter of the excise legislation. At the same time, its implementation is not straightforward and – as discussed in Section 5 – has recently been the source of increasing classification issues. These can be mitigated by clarifying the term 'industrial processing' and removing any incentives for abusing the current definition such as through the establishment of excise categories for other manufactured tobacco and raw tobacco. Still, a certain degree of classification discretion would remain.
- The fact that a product is ***prepared for consumption***, which means that (1) the product can be consumed without further processing by the user (with the exclusion of minor processing as in the case of tobacco rolling); and (2) the product is conditioned and portioned for retail. The second condition would call for explicit, harmonised rules regarding the preparation of products intended for consumption (pack size, portions, conditioning, etc.), which would permit straightforward verification but is not completely safe against the risk of abuses. To prevent circumvention, it can be established that any sale of bulk products to an unregistered subject (i.e. a transaction outside of the EMCS system) would per se trigger the application of the corresponding manufactured tobacco category.

- The fact that a product is ***prepared for a specific intended use*** and cannot be consumed otherwise (considering its properties and normal consumer expectations). This type of criteria is needed when it comes to distinguishing specific categories of products that belong to larger groups, but it can become complicated to apply in some circumstances, for instance: chewing tobacco (exclusively intended to be chewed but not 'suitable' for sucking), heated herbal products not containing tobacco (an equivalence with HTP should be identifiable otherwise herbalist and phytotherapy products in free use would be affected), e-liquids without nicotine (they need to be formulated as ordinary e-liquids and explicitly intended to be used in an e-cigarettes device), etc.

To help address issues that might emerge in the future with the above-mentioned criteria, it is recommended to identify technical details (e.g. packaging, technology specifications, etc.) in a ***separate implementing act***, which can be more easily updated as needed.

- **EXPECTED BENEFITS**

There are also ***clear advantages in terms of administrative and legal certainty*** that are associated with the proposed excise harmonisation of new products and other products that are not currently within the scope of the Directive. Such benefits are essentially threefold:

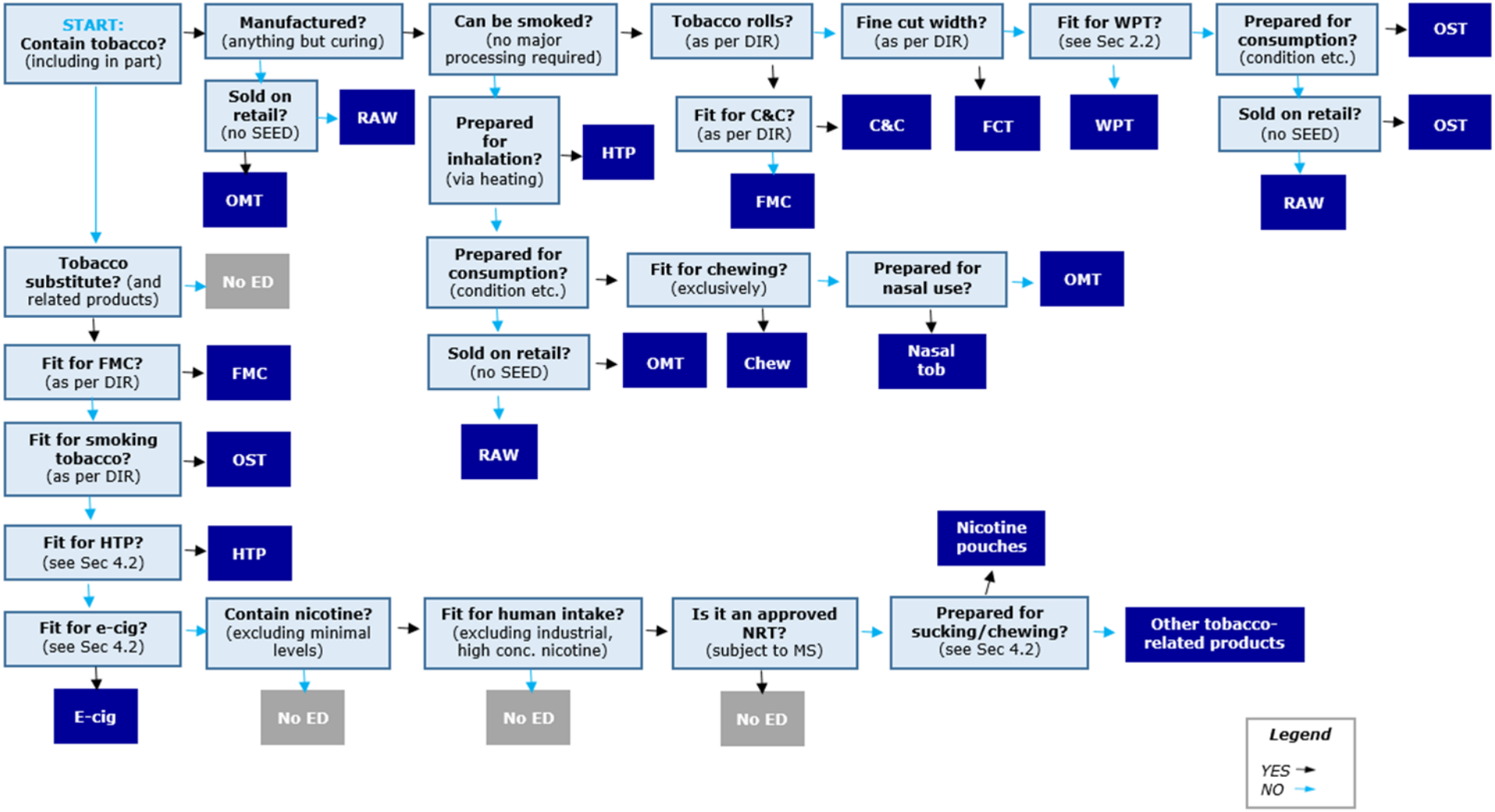
(1) Reduced issues with ***classification of a certain product for excise purposes***, hence reduced risk of interpretation disparities. For the near totality of tax and customs authorities surveyed, enhanced classification certainty is the most beneficial impact expected from the reform. This can have positive repercussions on the juridical status of products, with a reduced risk of disputes (as with e-cigarettes in Italy, chewing tobacco in Germany, etc.), and, in part, on administrative operations. A concrete example of possible administrative benefits regard HTP. The disparity of HTP classification across MS entails different views on the need to move the products under EMCS or not. For this reasons, in the past, HTP cross-border movements between MS with different classification approaches required sometimes complex administrative arrangements regarding the use of EMCS. The harmonisation of HTP tax regime would entirely remove this issue.

(2) Improved ***monitoring*** of new products on the market and consumption trends. This is currently hampered by the lack of a dedicated category (i.e. HTP in various MS) or free commercialisation outside of the control of fiscal authorities.

(3) Keeping in mind the uncertainties connected to the subjective criteria described in the previous section, the proposed revision could reduce the incentive to develop and place ***'borderline' products*** on the market because the advantages of non-excise products vis-à-vis excise products would be removed. As the tax authorities' survey results indicate, six MS perceive a moderate or high risk of unintendedly fostering new 'borderline' products, but the majority of respondents (15 MS) consider this risk as limited or negligible.

The above-mentioned benefits are based on qualitative measurements and MS expectations, but they are also connected to tangible results (e.g. on tax fraud and the functioning of the internal market) which are quantified in the remainder of this section.

Figure F.4.5 – Flow diagram for the excise classification of tobacco and related products



4.3.2 Market Impacts

- **OVERALL APPROACH**

The approach used to estimate the market impacts of the proposed policy options is analogous to the model described in Section 3.3.1 with reference to traditional tobacco products. The main difference regards the robustness of the data utilised and subsequently, the reliability of results. The economics of cigarettes, and to a less extent FCT and other products, have been largely investigated in academic literature, and impact simulation can be built on tested models and official data.[476] When it comes to new products, there persist limitations and quality issues that affect both data and the validity of predictions. In a relatively short period of time, a whole new generation of products has emerged, underpinned by technology and business models that rapidly evolve. While it can be safely assumed that these products won't disappear in the near future, it is difficult to predict how they will evolve, especially in relation to the regulatory and fiscal frameworks.

In operational terms, we have developed quantitative impact estimates in five steps (see details in the Appendix):

1) Firstly, for each of the 27 MS, we gathered and (where required) extrapolated the salient baseline data for the products at hand, namely: volume of sales, price levels, market value, current tax rates, etc.
2) Secondly, we estimated the extent of the excise duty increases in each MS for each scenario, considering current tax rates (where applied) and the EU minima condition that would prevail (i.e. the fixed minima or the relative minima).
3) Then, we estimated the price effect of an increase in the excise duty levels, formulating assumptions on the percentage of the tax increase that would be passed on to consumers (or absorbed by the manufacturers).
4) The next step involved calculating the hypothetical reduction in product sales connected to the price increase, based on appropriate demand elasticity coefficients.
5) Lastly, we have estimated the prospective market value based on the estimated changes in demand and price levels.

- **HEATED TOBACCO PRODUCTS**

The first, direct impact of EU minima on HTP regards the ***excise duty levels that MS apply to this category of products.*** HTP is taxed in all MS where it is commercialised, but excise rates vary greatly, from EUR 86 to EUR 673 per kg (EUR 164 on average), which translates into EUR 24 to EUR 189 per 1,000 units (EUR 48 on average) for the most popular products on the market. The effects of the proposed EU minima scenarios on MS excise duty levels are reported in Table 4.11 below. The simulation is based on the application of the excise duty 'per stick', as the near totality of HTP currently on the market would possibly fall under this regime. In this sense, the three fixed minimum scenarios (A, B and C in Table 4.2) are further articulated in three variants, each based on the weight-to-unit conventional equivalence considered, i.e. (1) 0.3 g per unit (actual weight approach); (2) 0.5 g per unit (mixed approach); and (3) 0.7 g per unit (consumption unit approach). Furthermore, the impact analysis involved the application of EU minima both in nominal and PPP-adjusted terms. In total, 18 scenarios have been examined (see Appendix for details). The results of the simulations can be summarised as follows:

- The proposed scenarios result in a fixed minimum condition ranging from EUR 24 to EUR 91 per 1,000 units. The lowest scenario (A1) would have no effect on current MS tax levels, the highest scenario (C3) would affect all but two MS, imposing an average ED increase of 112%.
- The intermediate scenario (B2) roughly corresponds to the average excise duty level currently applied in MS (EUR 49 per 1,000 units). Under this scenario, 18 MS would have to

[476] A review of the relevant literature on the dynamics of the tobacco products market can be found in EA 2019.

increase their current excise duty levels. As a result, the current average excise duty level in MS would increase by 31% and the lowest excise duty level would double.

- PPP-adjusted minima would have similar but more nuanced effects. This particularly emerges from figures on the maximum change in excise duty levels. PPP-adjusted minima would mitigate extreme cases, but moderately (i.e. approximately EUR 4 to EUR 5 difference per 1,000 units).

Table F.4.11 – Estimated impact of proposed EU minima on excise duty levels for HTP

Scenario	EU minima		Nominal terms					PPP-adjusted				
			ED level		No. of MS affected	Change in €		ED level		No. of MS affected	Change in €	
	Fixed	Rel	min	avg		avg	max	min	avg		avg	max
Baseline			*24*	*54*				*24*	*49*			
A1	24	30%	24	55	0	0	0	24	55	0	0	0
A2	40	30%	40	58	9	3	16	33	57	8	2	14
A3	56	30%	45	66	18	12	32	45	65	18	10	29
B1	32	45%	32	56	4	1	7	26	56	4	0	5
B2	53	45%	53	65	18	11	28	44	63	17	8	25
B3	74	45%	68	81	25	26	49	61	79	24	24	46
C1	39	55%	39	58	9	3	15	33	57	6	2	13
C2	65	55%	65	74	21	19	41	54	72	23	17	37
C3	91	55%	83	97	25	42	67	76	95	25	40	62

***Legend**: ED=excise duties; Fixed=fixed minimum condition; Rel=relative minimum condition; min, avg, max=minimum, average and maximum values registered among the 27 MS.*
***Notes:** Scenarios (A, B and C) are defined in Table F.4.2. For each scenario, three variants are presented corresponding to different possible conversion rates from weight to units: (1) 0.3 g = 1 stick; (2) 0.5 g = 1 stick; (3) 0.7 g = 1 stick. The estimated impacts are based on the application of a 'per unit' excise duty structure (in line with the near totality of the current EU market). All figures are expressed in EUR per 1,000 units. Figures are rounded.*

The impacts on excise duty levels applied in MS is expected to ***influence the selling price of HTP*** products and, eventually, the ***demand and the value of the market***. This part of the analysis requires setting some assumptions, since there is limited economic literature focusing specifically on the HTP demand function. First of all, we have assumed that part of the tax increase would be absorbed by the manufacturers and not passed on to the consumer.[477] This seems coherent with empirical observations (although qualitative) of tax and price dynamics in some MS where tax levels have recently increased but the price levels have not.[478] For instance, excise levels increased by 16% between 2017 and 2020, while prices only increased by less than 10%.[479] Furthermore, the incidence of excise duty on price levels can vary significantly between MS (between 15% and 30%, excluding outliers), suggesting there are margins for absorption of the tax. For simulation purposes, we have assumed a pass-through factor equal to 0.7 (i.e. 70% of the tax increase, expressed in nominal terms, would be passed on to consumers, while the rest would be absorbed by manufacturers).[480] The second assumption regards demand elasticity to price (i.e. the extent to which an increase in price levels would translate into a reduction in

[477] This assumption is based on the current market conditions and tax regimes. HTP commercial margins appears greater than cigarettes or other tobacco product margin. Therefore, there is more room for manufacturers to absorb part of the tax increase to maintain competitiveness, including through 'cross-product subsidisation' i.e. (transferring part of the tax increase on the price of another product). It cannot be excluded that under changed market conditions, such subsidisation would work in the other direction. More generally, as examined under EA 2019, TTC are in the position to implement portfolio price strategies, and this can influence the impact of taxation on the price of a specific product. SMEs have smaller room of manoeuvre in this respect, but at present there are no SMEs in the HTP sector.
[478] It is also worth mentioning the case of Italy, where both tax levels and prices have decreased, thus suggesting that the price remains influenced by taxes, although possibly to a lesser extent compared to cigarettes.
[479] This can partly be explained by the different market coverage over time.
[480] It should be noted that the methodology used for applying the pass-through factor to HTP impact scenarios is different from the approach described in Section 3 for cigarettes and other tobacco product. For HTP, it has been straightforwardly assumed – as a working hypothesis not supported by specific econometric assessment - that a tax of increase of e.g. EUR 10 would translate into a price increase of EUR 7 (70%). Conversely, a pass-through 'elasticity' factor has been applied to cigarettes – based on the results of the EA 2019 econometric model: in essence, a tax increase of 10% would lead to a price increase of 7%. This second model has not been used for HTP because it would entail that, de facto, the tax increased expressed in monetary terms would be entirely passed on to price, which is contrary to the partial absorption expectations described in this section.

the quantities demanded). It is assumed that HTP demand is subject to the same elasticity coefficient of e-cigarettes (1.36), as emerged from relevant literature.[481]

Keeping these caveats in mind, the estimated market effects for HTP, reported in Table F.4.12 below, can be summarised as follows:

- The average price level of HTP would increase from approximately EUR 231 (2020) to between EUR 242 and EUR 271 per 1,000 units, depending on the EU minima scenario retained.
- The rate of increase would vary greatly across MS. In the intermediate scenario (B2), the maximum price increase would be of 10%, while the maximum price increase would be of 26% in the most extreme scenario (C3).
- The application of PPP-adjusted minima would partly mitigate extreme situations.
- The impact on demand would be partly magnified by the elastic nature of these products. In the intermediate scenario (B2), demand is expected to reduce by approximately 1.0 billion units (i.e. 5% of the current sales level). In the most extreme scenario, a market drop of 21% is anticipated (18% in the PPP-adjusted scenario). Considering that over the last two years the HTP market has been growing at an annual rate of 80%, the anticipated impacts would translate into a deceleration rather than a decline in the strict sense.
- The reduction in the value of sales (including taxes) would correspond to approximately EUR 200 million in the B2 scenario and up to EUR 1.0 billion in the C3 scenario. These estimates regard only HTP consumables. Assuming that device sales would decline in the same proportion, the economic loss would be about 15% higher.

Table F.4.12 – Estimated impact of proposed EU minima on HTP market price and demand

	Nominal							PPP						
	Price level		Price increase		Demand			Price level		Price increase		Demand		
Scenario	min	avg	avg	max	Unit (bn)	in %	EUR (M)	min	avg	avg	max	Unit (bn)	in %	EUR (M)
A1	150	242	0%	0%	0	0%	0	150	242	0%	0%	0	0%	0
A2	155	244	1%	6%	-0.3	-2%	-66	150	243	1%	4%	-0.2	-1%	-36
A3	158	249	4%	12%	-1.2	-6%	-268	158	249	3%	9%	-1.1	-5%	-239
B1	150	242	0%	3%	-0.1	-1%	-20	150	242	0%	1%	<-0.1	0%	-7
B2	164	248	3%	10%	-1.1	-5%	-229	157	247	3%	8%	-0.8	-4%	-184
B3	174	260	8%	19%	-2.8	-13%	-646	170	259	8%	16%	-2.3	-11%	-556
C1	154	244	1%	5%	-0.3	-2%	-60	150	243	1%	3%	-0.2	-1%	-32
C2	172	255	6%	15%	-2.0	-10%	-461	165	254	5%	13%	-1.7	-8%	-397
C3	185	271	13%	26%	-4.4	-21%	-1,072	180	270	12%	22%	-3.8	-18%	-943

***Legend**: min, avg, max=minimum, average and maximum values registered among the 27 MS.*
***Note:** For tax-driven price increase, a pass-through of 0.7 is assumed. The impact on demand is calculated assuming an elasticity coefficient of -1.36. Price level figures are expressed in EUR per 1,000 units. Figures are rounded.*

Box F.4.5 – Estimating the impact of taxing HTP as cigarettes

In the interim phases of the study, the possibility of treating HTP as cigarettes was considered. The reference was the Swedish excise rules, for which HTP sticks are subject to the same excise duty of ordinary cigarettes. By analogy, the option was to subsume HTP sticks under the cigarette category of the Directive (extending the cigarette's definition or introducing HTP as a sub-category) and, therefore, apply the same minima and structures as cigarettes. This option presented legal and implementation difficulties[482] and it

[481] See the impact analysis section on e-cigarettes.
[482] Among other things, the inclusion of HTP in the cigarette excise category would entail a revision of the smokability concept, which is currently a central element for the definition of cigarettes. However, the absence of reference to smokability might generate confusion and classification uncertainty between cigarettes and smokeless products. Furthermore, since this regime could be arguably used for HTP sticks but it would hardly apply to other HTP products (pods, capsules, hybrid products etc.), this solution might lead to a disparity of treatment between analogous products, hence a malfunctioning of the internal market. Finally, the establishment of a separate ad hoc category for HTP seemed more advantageous regarding the monitoring of market trends and the flexible adaptation of tax regimes to future technological developments.

was dropped at a later stage. However, from a research perspective, it can be interesting to review the possible market effects of such treatment.

To this end, we have tested the effects on HTP market of applying the same structure and minima of cigarettes, while maintaining the pass-through and elasticity parameters used in this section (see Table F.4.12). Specifically, the Scenario B for cigarettes described in Table F.3.1 has been applied, i.e.: (1) fixed minimum: EUR 130; (2) relative minimum: 61%; and (3) escape clause: EUR 170. As reported in Table F.4.12bis below, the results show an increase of MS excise duty of 238% on average (reaching 581% in one MS). Only two MS (FR and SE) would not be affected. The impact on price would be comparatively lower, because (1) the current tax incidence of price is much lower than for cigarettes (around 23%) and (2) it has been assumed that only a portion of the tax increase would be passed on to prices. All in all, a major sales drop of nearly one-third of the current market (i.e. 6.5 billion units) can be expected. In EUR, this corresponds to a sales loss of approximately EUR 1.4 billion (at current prices).

These estimates are purely indicative as they are based on strong assumptions on the behaviour of manufacturers (tax absorption) and consumers (HTP demand elasticity for which robust estimates are unavailable). The model can hardly predict the effects radical changes of market condition like those examined here (in all but three MS the excise duty levels would exceed 100%).

Table F.4.12bis – Estimated market impact of applying the cigarette's excise regime to HTP

	EDY		Price		Demand change (EU total)	
	EUR/1,000	Increase in %	EUR/1,000	Increase in %	Billion sticks	In %
Baseline (EU average)	55		242		20.8	
Min.	130	0%	218	0%	-6.5	-31%
Av.	151	238%	309	25%		
Max.	189	581%	411	37%		

Legend: *min., av., max.= minimum, average and maximum value registered across the 27 MS.*
Note: *the cigarette increase scenario considered is Scenario B of table F.3.1.*

- **ELECTRONIC CIGARETTES**

In this section we estimate the market and demand impacts of establishing a harmonised tax for e-cigarettes including a positive EU minimum rate. The analysis required a preliminary market assessment and a set of methodological assumptions to deal with the heterogeneity of the products involved and market specificities. In particular:

- In 2020, the total market value of e-cigarette consumables in the EU was worth approximately ***EUR 2.6 billion***. ***Around 2%*** of Europeans use regularly e-cigarettes, the majority (60%) being dual consumers of e-cigarettes and traditional tobacco products.
- To estimate the ***market share of nicotine-free products***, we have elaborated an index on the share of a regular consumer of nicotine-free and nicotine-containing liquids based on Eurobarometer data. We have estimated that 26% of liquids consumed are nicotine-free. This appears consistent with the outcome of some MS-level surveys (20%)[483] – and in line with the general trend towards 'do-it-yourself' actions which involve a larger consumption of nicotine-free liquids compared to a few years ago.[484] In this sense, it is worth remarking that nicotine-free products include both liquids that are used as such and liquids used for mixing with nicotine, but the respective proportion is unknown because there are no intrinsic differences.[485]
- Some benchmarks on ***market composition by nicotine concentration*** have been collected from MS public health authorities through the targeted consultation. Only four MS

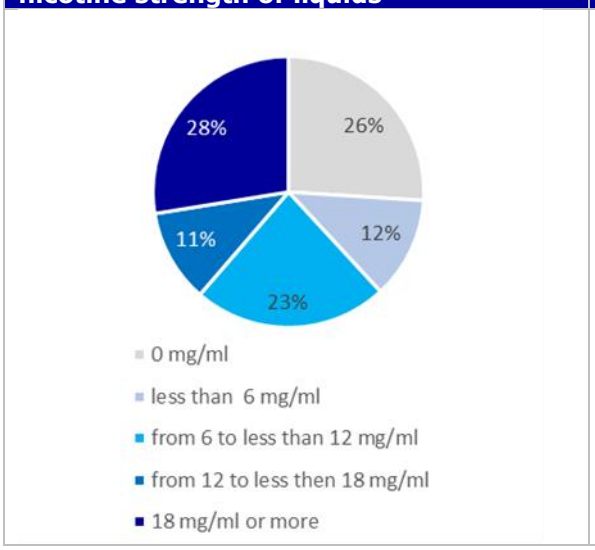
[483] This figure is based on a five-country average, collected through the Public Health authorities' survey. If one outlier is excluded, this figure would increase to 25%.
[484] The estimated market share of nicotine-free liquids in 2017 was 11% (EA 2019).
[485] Nicotine-free liquids sold in 'shortfill' containers are arguably intended for adding nicotine separately, but how the consumers actually use them cannot be verified.

were able to provide detailed feedback on the nicotine level bands used across different countries, so results must be taken as indicative. High-strength nicotine products (18 mg/ml or more) resulted as the most-used (28%). This is coherent with the widespread 'do-it-yourself' practice, so it can be assumed that a large part of these products consists of 'nicotine boosters' (i.e. the high-strength neutral nicotine solution that is added to 'shortfill' containers and other nicotine-free liquids). The second most popular category is liquids with a strength between 6 mg/ml and 12 mg/ml. Various stakeholders confirmed that the most popular liquid strength among consumers is 6 mg/ml. The rest of the market is almost equally shared between low-strength products (typically 3 mg/ml) and medium- to high-strength products (12 mg/ml or more, but less than 18 mg/ml). The market composition is displayed in Figure F.4.6 below.

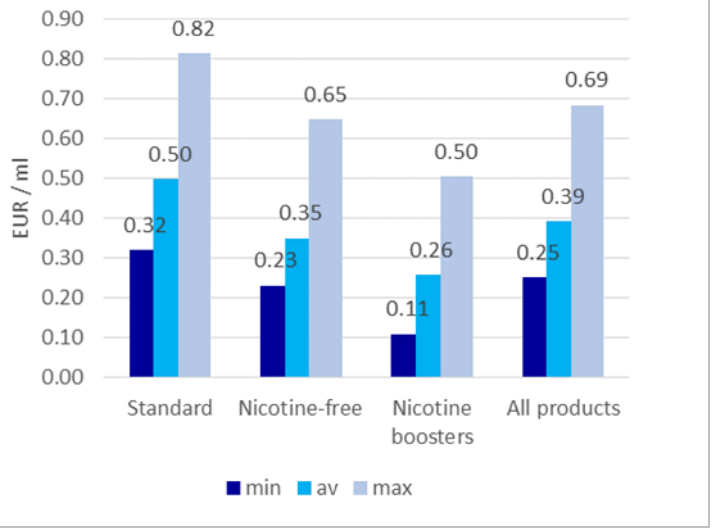
- The ***selling price of e-liquids*** varies depending on the type of product involved. Ready-to-use products are generally more expensive than the products used for 'do-it-yourself' practices; closed systems are on average more expensive than open systems; nicotine salts are priced more than freebase, etc. In the analysis, we refer to the store-check prices collected by EcigIntelligence and elaborated as follows: (1) for standard (ready-to-use) liquids, we have retained the price on national markets of two popular products (for MS not covered by EcigIntelligence, we have assumed the average price registered in covered countries, adjusted by the Price Level Index); (2) the same approach has been used for nicotine-free liquids; and (3) the price indicated for high-strength liquids reflects the price of 'nicotine boosters' (see Figure F.4.6). Extrapolations take into account the presence of national tax regimes.
- For the ***market value of e-cigarette consumables*** in MS, we have averaged the estimates of EcigIntelligence and Euromonitor International. Where estimates were not available, the market value has been inferred based on the number of consumers. The ratio between the market value and the average price offered a rough estimate of the ***market size in terms of volumes*** (i.e. ml of e-liquids sold), which is data that is still largely missing in national and third-party market analysis.[486] In terms of ***per capita consumption***, our estimates suggest approximately 2 ml/day per consumer – a figure that is largely validated by stakeholders' feedback.

Figure F.4.6 – Baseline assessment of e-cigarette price and market structure

A) Estimated market structure by nicotine strength of liquids



B) Estimated price level for main categories of products



***Legend**: min, avg, max=minimum, average and maximum values registered among the 27 MS.*
***Source:** Own elaboration based on PHA survey, Eurobarometer, Euromonitor International, EcigIntelligence data.*

[486] Some estimates of the market volume of e-liquids have been collected through the survey of tax authorities, the results of which are systematically lower than the results emerging from market intelligence sources. This seems to be because – with a few notable exceptions - official consumption data generally underestimate actual levels, either because of unrecorded consumption (cross-border flows, online sales, etc.) or 'do-it-yourself' practices (MS data typically refer to taxed products).

The main estimated impacts from the adoption of harmonised excise duty minima for e-cigarettes are depicted in Table F.4.13 below. The basic approach, which involves the application of the same tax to all liquids, would expectedly lead to an average ***increase of excise duties at the EU level, ranging from EUR 0.04 to EUR 0.11 per ml*** (i.e. EUR 0.40 to EUR 1.10 for a standard 10 ml container). In some MS, the tax increase would be between EUR 0.09 and EUR 0.19 per ml. It is useful to clarify that these are the outcome of the combined effect of the proposed fixed minima (i.e. EUR 0.10 or EUR 0.30 per ml) and the proposed relative minima (20% or 40% of the selling price). For certain low-price products, like nicotine boosters, the second condition would be met first, which explains why the total expected increase is lower than the fixed minima levels.[487] The pervasiveness of the tax is demonstrated by the number of countries affected: 19 MS in Scenario A, and all MS in Scenario B.

In the scenario where ***nicotine-free liquids are not taxed*** (due to exemptions or zero-rate applied), the overall impact of excise duty harmonisation is consequently reduced, with both a smaller number of MS engaged and slightly lower average effects on excise duty levels.

Thirdly, we have a considered a variant policy option involving a ***differentiated tax treatment for high-strength liquids***. Due to data availability, this variant is applied here to liquids containing 18 mg/ml or more, but the simulation results remain valid also for a lower threshold – for example, 15 mg/ml as in Sweden - because e-liquids with intermediate strengths of 13 mg/ml to 17 mg/ml are not in high demand. For comparability, we have assumed that high-strength liquids are subject to Scenario B, whereas all other liquids would be subject to Scenario A. In essence, this would level the expected excise duty increase across the three product categories considered.

Finally, we have examined all scenarios, assuming that part of the excise duty minima would be ***expressed in PPP terms***. These results registered only very modest variations compared to the figures presented in Table F.4.13 (see Appendix for full data).

Table F.4.13 – Estimated impact of proposed EU minima on excise duty levels for e-cigarettes

Scenario		ED increase (on current levels, in EUR/ml)			All products		Affected MS
		Standard	Nicotine-free	Nicotine boosters	avg	max	#
All products	**A**	0.05	0.05	0.02	0.04	0.09	19
	B	0.17	0.13	0.05	0.11	0.19	27
Except nicotine-free*	**A**	0.05	0.00	0.02	0.03	0.07	13
	B	0.17	0.00	0.05	0.08	0.13	26
Variant – higher rate for high-strength products**	**A+B**	0.05	0.05	0.05	0.05	0.12	21

***Legend**: ED=excise duties; avg, max=average and maximum values registered among the 27 MS.*
***Note:** Tax level Scenarios A and B are defined in Table F.4.2. The nicotine-free scenario (*) involves both the zero-rate option and the outright exemption. For the proposed variant (**) it has been assumed that ordinary products are taxed according to Scenario A, while high nicotine strength products (with any concentration upwards of 12 mg/ml) are taxed according to Scenario B.*

Table F.4.14 describes the expected impact of the above excise duty increases on the retail price and demand of e-liquids. This step of the analysis required two assumptions: (1) in line with the considerations made for HTP, we have assumed a ***0.7 pass-through*** (i.e. 70% of the tax increase, expressed in monetary terms, is passed on to the consumer, while the rest is absorbed by the manufacturer); and (2) based on the literature analysis and previous assessment, we have assumed a ***price elasticity of the demand equal to -1.36*** (i.e. a 1% increase of retail price leads to a 1.36% reduction in the quantity of product sold).[488]

[487] As discussed in Section 3.3, the impact simulation for relative minima implies taking recursive effects into account.
[488] See Huang et al., 2018. A comprehensive examination of own- and cross-price elasticities of tobacco and nicotine replacement products in the United States. Other scholars provided different estimates, both higher (Zheng, Y., et al., 'Advertising, Habit Formation, and U.S. Tobacco Product Demand', American Journal of Agricultural Economics, Vol. 98, No 4, 2016, pp. 1038–1054) and lower (Stoklosa, M., "Prices and cross-border cigarette purchases in the EU: evidence

Taking into consideration the above caveats and elasticity estimates, the applied model revealed the following main results:

- The EU minima envisaged under Scenario A (€0.1/ml or 20% of the selling price) would lead to a moderate price increase, which would be more marked if also applied to nicotine-free products (+11% on average). Evidently, the effects would especially regard MS with no tax regimes currently in place. Overall, a decline of approximately 14% in sales over 2020 levels is anticipated.
- The impact of Scenario B would be more substantial. The average price of standard liquids would increase by 24%, and overall, consumption is anticipated to reduce by approximately 38%. It should be noted that the impact on high-strength liquids would be less marked, because – as discussed – the relative minima condition would be easier to meet for less expensive products like 'nicotine boosters'.
- Finally, the limited effects of the proposed variant on discouraging 'do-it-yourself' (DiY) practices should be noted. The comparison is carried out based on Scenario A, assuming 1 ml of nicotine booster is added to 2 ml of nicotine-free liquid to obtain 3 ml of liquid with a strength of 6 mg/ml. In the baseline situation, the price of the liquid obtained is 36% cheaper than the average price of a standard liquid. In Scenario A applied to all products this advantage would reduce to 34%. The examined variant would only slightly reduce this advantage to 33%. Exemption of nicotine-free liquids from excise duties would enlarge this advantage to 39%. This suboptimal effect seems related to the relative minimum condition prevailing on the fixed minimum condition, especially on low price products used for DiY. Possible solutions may require the application of a higher EU relative minimum condition or, dropping this condition altogether and setting only a fixed minimum for these products.

Table F.4.14 – Estimated impact of proposed EU minima on e-cigarettes market price and demand

Scenario		Price (EUR/ml)			All products		Impact on the demand (million litres)	
		Standard	Nicotine-free	Nicotine boosters	avg	max	TOT	%
Baseline		0.50	0.35	0.26	0.39	0.69	5.4[489]	
All products	**A**	0.53	0.39	0.27	0.42	0.69	4.6	-14%
	B	0.62	0.44	0.29	0.48	0.72	3.3	-38%
Except nicotine-free	**A**	0.53	0.35	0.27	0.41	0.69	4.8	-10%
	B	0.62	0.35	0.29	0.46	0.72	3.9	-28%
Variant – higher rate for high-strength products	**A+B**	0.53	0.39	0.29	0.43	0.69	4.3	-20%

***Legend**: avg, max=average and maximum values registered among the 27 MS.*
***Note:** For tax-driven price increase a pass-through rate of 0.7 is assumed. The impact on demand is calculated assuming an elasticity coefficient of 1.35.*

from demand modelling", Tobacco Control, 13 December 2018) than the selected one. In general, the results of consultation carried out in the framework of this and previous EA studies confirmed the elastic nature of e-cigarette demand. However, the primary effect of a price increase is down-trading (including 'do-it-yourself' practices and illicit trade). The majority of consumers surveyed under EA 2019 would not change their current behaviour if prices increased by 20%. If prices rose by 50% a relative majority would buy less expensive products, and only in case of a major (100%) increase half of the respondents would reduce their consumption. This appears in line also with MS authorities' forecast that a limited share of consumers would go back to conventional tobacco in the case of taxation of e-cigarettes.

[489] The estimated volume (in ml) has been triangulated with Comext data on trade. Comext data are subject to the risk of double counting (for instance, the same product is registered when imported in Country A and then when it is dispatched to Country B for consumption). Furthermore, there are gaps in the dataset (non-reporting countries) and out-of-scale values that would need cross-check. To remove annual fluctuations, at least in part, the average values for 2019 and 2020 have been used for comparison. The sum of net inflows from extra-EU countries and of intra-EU movements (averaging inflows and outflows) amounts to 5,700 tonnes, which converted into ml (based on a specific weight of 1.04 g/ml – considering that vegetable glycerine has a specific weight of 1.26 g/ml), is approximately 5.4 million ml, which is in line with the Study estimates.

➢ **OTHER MANUFACTURED TOBACCO AND RELATED PRODUCTS**

For the other products examined in this section, market data are insufficient to carry out a quantitative assessment of impacts. Therefore, the estimated effects of harmonisation on price levels and market sales are based on extrapolations from few markets and qualitative information. The analysis is limited to two main categories of products: (1) smokeless tobacco products, including chewing tobacco (traditional and modern) and nasal tobacco but excluding 'snus' and oral tobacco that is not allowed in the EU; and (2) nicotine pouches.

- **Smokeless tobacco products**

  Baseline estimates have been elaborated, combining MS authorities' feedback from the targeted survey, Eurobarometer estimates on user's prevalence, market intelligence sources (Euromonitor International and TobaccoIntelligence) and desk research of online outlets. For countries where no figure was available, extrapolations were made based on other countries' proportion between the volume of sales, number of users, price levels and overall market value. Countries with restrictions on these products were assumed to have no consumption.[490] Based on these assumptions, we have estimated sales volume totalling ***1,280 tonnes*** in 2020,[491] corresponding to ***EUR 290 million*** and approximately ***600,000 users*** across the EU.

  For the impact analysis simulation, we have applied the three EU minima envisaged for other smoking tobacco (which correspond to the standard regime proposed for other manufactured tobacco products) as well as the special regime for chewing and nasal tobacco described in Section 4.2.3. The same pass-through factor and demand elasticity coefficient used for other new products is applied in this model. The results, summarised in Table F.4.15 below, indicate:

  - a tax-driven increase of average price levels from EUR 0.21 per gram (baseline) to between EUR 2.50 and EUR 2.90 in the OST-like scenarios, or EUR 0.22 under the optional special regime; and
  - the impact on demand and sales would be inversely proportional, ranging from a limited decline (5%) under the special regime to a substantial drop by 30% (and 50% in certain markets) under Scenario C.

Table F.4.15 – Estimated impact of proposed EU minima on smokeless tobacco market price and demand

Baseline			Scenarios	Price increase		Demand change		Volume change
				avg	max	avg	max	(tonnes)
Volume (t)	1,280		**A**	20%	35%	-15%	-26%	-195
Market value (EUR million)	290		**B**	30%	51%	-22%	-37%	-292
Price (EUR/g)	0.21		**C**	40%	68%	-30%	-50%	-389
			D	7%	10%	-5%	-7%	-68

***Legend**: avg, max=average and maximum values registered among the 27 MS.*
***Note:** For tax-driven price increases, a pass-through rate of 0.7 is assumed. The impact on demand is calculated assuming an elasticity coefficient of -1.36.*
***Scenarios:** A = €60/kg or 30% of selling price; B = €90/kg or 40% of selling price; C = €120/kg or 50% of selling price; D = €22/kg or 10% of selling price.*

[490] In some cases (e.g. FI and IE), Eurobarometer data show non-negligible consumption levels. It is assumed these products are of cross-border origin.
[491] This estimate is compatible with the trade data published in the Comext database for the CN 2403 9910 subheading (chewing tobacco and snuff). The volume of products traded across the EU in 2020 was approximately 1,250 tonnes; approximately 300 tonnes can be ascribed to intra-EU movements of imported goods (movements mostly originating from BE and NL ports). Additionally, the net inflows from external trade amount to 220 tonnes. On the other hand, Comext data do not include products manufactured and consumed in the same country. The total estimated consumption in countries where manufacturing sites exist (i.e. DK, HU, PL, HR and SE) amounts to approximately 350 tonnes. Assuming that 50% of internal demand is served through domestic production, this would lead to a total EU consumption of 1,340 tonnes, broadly in line with the Study estimates.

- **Nicotine pouches**

The baseline market situation for nicotine pouches has been estimated using the same triangulation of sources described for smokeless tobacco products. This type of product is fairly new and generally unregulated, so there is limited information on market trends. However, all stakeholders concur that the nicotine pouch market is growing at a fast pace, although it still small compared to traditional tobacco products. Based on our estimates, approximately ***2,100 tonnes*** of nicotine pouches, worth more than ***EUR 0.5 billion***, were possibly sold across the EU in 2020.

The EU minima for nicotine pouches are analogous to the scenarios proposed for the revision of OST. We have established the same analytical assumption envisaged for smokeless tobacco products so the expected impacts on price and demand are largely similar (Table F.4.16).

Table F.4.16 – Estimated impact of proposed EU minima on nicotine pouches market price and demand

Baseline			Scenarios	Price increase		Demand change		Volume change
				avg	max	avg	max	(tonnes)
Vol (tonnes)	2,100		**A**	20%	35%	-15%	-26%	-262
Market value (EUR million)	550		**B**	30%	51%	-22%	-37%	-393
Price (EUR/g)	0.23		**C**	40%	68%	-29%	-50%	-524

***Legend**: avg, max= average and maximum values registered among the 27 MS.*
***Note:** For tax-driven price increases, a pass-through rate of 0.7 is assumed. The impact on demand is calculated assuming an elasticity coefficient of -1.36.*
***Scenarios:** A = €60/kg or 30% of selling price; B = €90/kg or 40% of selling price; C = €120/kg or 50% of selling price.*

4.3.3 Impact on excise duty revenues

- **HEATED TOBACCO PRODUCTS**

The national tax rate increases that would follow the adoption of ad hoc EU minima for HTP would generally lead to an increase in the amount of excise duties collected, despite the expected reduction in consumption levels. As shown in Table F.4.17 below, the highest tax revenue increases are associated with the most ambitious EU minima (e.g. Scenarios B3 and C3). In the intermediate scenario considered (B2), the estimated excise duty revenue collected amounts to approximately ***EUR 1.1 billion, which is about 21% more than in the baseline situation***. Were the EU minima partly adjusted to PPP levels, the estimated impact could be slightly lower, but no radical differences are observed.

Table F.4.17 – Estimated impact on tax revenues from HTP harmonisation (EUR million)

Scenario	Excise duty revenue			Indirect impacts from reduced substitution of cigarettes*
	Nominal	PPP-adjusted		
Baseline	**938**			**-2,451**
A1	938	938		0
A2	991	969		43
A3	1,136	1,121		160
B1	956	945		15
B2	1,107	1,082		150
B3	1,344	1,308		392
C1	986	965		49
C2	1,248	1,220		321
C3	1,508	1,476		693

***Note:** (*) Indirect impacts are virtual effects that may derive from reduced substitution of cigarettes with HTP. Substitution causes 'virtual' foregone revenue for MS (see the 'baseline' figure in the table), because HTP is taxed less than cigarettes. The increase of excise duties levied on HTP would mitigate such substitution, hence foregone revenues, by the amount indicated in the Table. .*

The proposed tax regimes would also have indirect effects on tax revenues, mitigating the virtual losses due to the substitution of conventional cigarettes with HTP. At present, assuming a full substitution and not considering any other aspect or characteristic of the products involved, a 'virtual' tax gap of EUR 2.45 billion can be estimated. Part of this amount might be recovered if the HTP excise duty increase leads to a reduced substitution of cigarettes, in line with the estimates made in Section 4.3.2. This virtual loss recovery would range between zero (scenario A1) and EUR 693 billion (scenario C3). This virtual amount would add up to the more substantial revenues directly generated by the taxation of HTP.

- **E-CIGARETTES**

The market simulations presented in Section 4.3.2 allow us to estimate the impact of the proposed tax regimes for e-cigarettes on the tax revenue collected by MS. It is important to underline that the baseline situation is characterised by a high incidence of tax avoidance and/or evasion, linked to cross-border uncontrolled flows, including online and 'do-it-yourself' practices that permit the avoidance of part of the tax due on final products. The issue has been described in Section 4.2.2 and in Annex E. Overall, at the current rates, the aggregated tax revenue from e-cigarettes in the EU should amount to approximately EUR 226 million, but as emerged from the tax yield figures provided by MS authorities, only 15% of this amount is actually collected.

The harmonisation scenarios proposed generally entail an increase of the current levels of taxation, which would lead to the estimated total excise duty revenues shown in Table F.4.18 below, ranging ***from EUR 500 million*** in the standard Scenario A ***to EUR 775 million*** in Scenario B (which amounts to three times the current tax revenues theoretically due). More importantly, a reduction in tax evasion can be expected, since all transactions would be subject to the holding and movement rules. Cross-border movements for commercial purposes would be subject to the EMCS and, therefore, bulk movements of e-cigarettes would be tracked. However, controls on B2C duty-paid distance sales would remain complex and burdensome to enforce, so cross-border shopping would remain difficult to curb. Still, products would be subject to excise duties in the country of dispatch, so compared to the current situation the price gap would often (though not always) reduce, hence the incentive for cross-border shopping (Table F.4.16).

Table F.4.18 – E-cigarettes' average price differentials between selected MS and the impact of harmonisation

Price differential between MS	PT-ES	IT-HR	EL-BG	AT-SK	DE-PL
Baseline	73%	78%	58%	50%	18%
Scenario A	53%	55%	36%	47%	37%

The new tax regimes are expected to have mild effects on avoidance through 'do-it-yourself' behaviours because consumers would be encouraged to shift to 'longfill' containers, i.e. to separately buy the basic ingredients of e-cigarettes liquids, including propylene glycol, vegetable glycerine and flavourings, which, as discussed, cannot be subjected to excise duties because these products are commonly used for a variety of other purposes.

Finally, in Table F.4.19, we provide also an estimate of the reduced foregone revenues related to substitution. As discussed, one of the primary aims of MS ad hoc regimes was to close the tax gap between conventional tobacco products and substitute products like e-cigarettes. Indicatively, the substitution of traditional cigarettes with e-cigarettes is associated with a virtual excise duty revenue loss for MS of approximately EUR 7.7 billion.[492] The reduced substitution

[492] These figures have been taken as purely indicative for at least two main limitations: (1) a robust conversion rate cannot be established; in this Report we have conventionally assumed 1 ml = 7 cigarettes but different equivalences are possible and would lead to substantially different results; (2) the extent to which e-cigarettes actually represent a substitute of conventional cigarettes or a product in its own right (or in other words, to what extent this demand would turn to conventional cigarettes were e-cigarettes not available) cannot be precisely determined.

induced by the proposed tax regimes would, in theory, mitigate such loss. The tax revenue benefits would range from nearly EUR 1.0 billion to EUR 3.4 billion.

Table F.4.19 – Estimated impact on tax revenues from e-cigarettes harmonisation (EUR million)

Scenarios		Excise duty revenue					Indirect impacts from reduced substitution of cigarettes*
		Standard	Nicotine-free	Nicotine boosters	TOT		
Baseline	**Theoretical**	**110**	**43**	**72**	**226**		**-7,537**
	Actually collected				**35**		
All products	**A**	243	110	152	506		1,291
	B	369	153	253	775		3,438
Except nicotine-free	**A**	243	0	147	390		927
	B	369	0	251	620		2,519
Variant – higher rate for high-strength products	**A+B**	243	110	251	605		1,808

Note: *(*) Indirect impacts are virtual effects that may derive from reduced substitution of cigarettes with e-cigarettes. Substitution causes 'virtual' foregone revenue for MS (see the 'baseline' figure in the table), because e-cigarettes are taxed less than cigarettes or not taxed at all. The introduction/increase of excise duties levied on e-cigarettes would mitigate such substitution, hence foregone revenues, by the amount indicated in the Table. For estimating the extent of substitution it has been assumed 1 ml of e-liquid = 7 cigarettes (indicative equivalence).*

- **OTHER MANUFACTURED TOBACCO AND RELATED PRODUCTS**

For the reasons described in the section of the impact analysis devoted to market effects, any quantitative estimation of the effects of harmonisation of other tobacco and related products is subject to important limitations and must be taken with caution. Based on the market simulations carried out, we have estimated an overall additional excise duty revenue amounting to between ***EUR 23 and EUR 102 million from smokeless tobacco products*** (including chewing and nasal tobacco, but not snus and other prohibited oral tobacco products), and between ***EUR 108 and EUR 184 million from nicotine pouches***. The excise duty yield evidently depends on both the rate applied (based on the EU minima scenarios considered) and the possible reduction in demand levels connected to the increase in price levels.

Estimates do not include revenues from snus, which are collected only in Sweden (approximately EUR 330 million in 2020). However, the introduction of a harmonised system may reduce leakages of snus from Sweden to other countries. The current amount of snus released for consumption in Sweden seems to exceed the domestic demand,[493] and it can be assumed that a portion of these products are consumed by consumers in other countries, either through cross-border shopping for their personal use or via unregistered e-commerce. The introduction of excise duty controls on these products may contribute to the reduction of irregular flows,[494] and induce consumers of smokeless products to purchase products taxed in their country of residence, thus increasing the total excise revenues collected.

Table F.4.20 – Estimated impact on tax revenues from the harmonisation of other manufactured tobacco and related products

	Scenarios - Excise duty revenue (EUR million)			
Product category	**A**	**B**	**C**	**D**
Smokeless product	63	84	102	23
Nicotine pouches	108	149	184	

[493] The ratio between the volume of snus sold and the number of users would suggest a per capita consumption of 18 g/day, which seems an implausible for an average consumer (for chewing tobacco and nicotine pouches, the estimated daily consumption is estimated around 4 g).

[494] Irregular online sales of oral tobacco products can involve operators based in various extra-EU countries like Switzerland, Norway and Russia.

4.3.4 Regulatory costs and savings

- **ECONOMIC OPERATORS**

The proposed introduction of new harmonised tax categories would generate additional ***regulatory costs*** (administrative and substantive compliance costs) for businesses. These additional costs include information obligations, such as the need for economic operators to obtain authorisation, fill-in tax declarations, etc., as well as substantive obligations, such as establishing and operating a tax warehouse, setting up an appropriate IT system for managing movements under the EMCS, and keeping fiscal records. For completeness, the financial costs of guarantees on duty suspended goods have been included, although in strict sense guarantees depend on MS implementation rules, hence cannot be directly ascribed to the impact of the Directive. The approach developed to estimate the impacts associated with these obligations is based on the *Standard Cost Model* methodology, in particular:

- First of all, we have listed the excise arrangement ***obligations which are likely to produce additional costs*** for the economic operators (EOs) involved. The analysis does not include obligations involving negligible effects that are not strictly connected to the EU legislation (e.g. additional national rules and provisions, or side-effects on non-directly involved operators),[495] or impossible to quantify (i.e. the risk of errors and so-called 'hassle costs', etc.). More specifically, the standard minimum actions required to comply with the obligations have been identified, with special emphasis on the periodicity involved (one-off v. recurrent actions) and the nature of the costs generated (investment, staff time, fees, etc.). Some of the required actions may differ depending on the EO profile. In particular, we have elaborated different estimates for ***manufacturers*** (which are, for instance, assumed to register as tax warehouse-keepers and operate under duty suspension) and ***importers/wholesalers***, who are more likely to seek authorisation as registered or certified consignees (with no duty suspension-related obligations involved).
- The estimation of each required action's costs is based on the simple formula "Price x Quantity", where the ***unit price*** (expressed in monetary terms) can refer to *various quantities*, such as individual EOs (like registration costs), product volume (like financial guarantees), number of operations (like EMCS transaction costs), etc. The unit price may vary depending on several factors, not all of which can be considered in the model. As a rule of thumb, we have used EU average price in the calculations (e.g. the EU average cost of labour including overheads) and the estimates developed in ad hoc studies on the Horizontal Directive have been utilised for consistency where available.[496] Where relevant, distinctions between ***large companies and SMEs*** have been considered in the estimations (e.g. the costs of guarantees issued by financial institutions are higher for SMEs).
- EU-level estimates have been developed aggregating MS-level estimates. However, the scarcity of information for the products at stake often required the extrapolation of the required variables (e.g. the number of EOs and, eventually, their business profiles) from a few countries' data or the establishment of analytical assumptions based on market volume and trade data collected from Comext.[497] In many cases, MS ***already have tax regimes in***

[495] An example is an increase in the financial costs (credit and insurance) for retailers connected to an increase in the wholesale price of the products they keep in stock. It can be assumed that these extra costs would be passed on to consumers, but no precise quantification can be provided.

[496] Namely: (1) Ramboll, "Evaluation of current arrangements for the holding and moving of excise goods under excise duty suspension", for DG TAXUD, 2015 (hereinafter "Ramboll 2015"), and (2) CASE, "Study contributing to an Impact Assessment on Council Directive 2008/118/EC concerning the general arrangements for excise duty", 2017 ("CASE 2017"). Additionally, some estimates are based on the e-cigarettes EOs survey conducted under the EA 2019 study.

[497] This was notably the case with e-cigarettes. The number of e-cigarette B2B operators that would be affected by the proposed reform was based, firstly, on the reporting of MS authorities. Where data were not provided, it has been extrapolated from reporting MS, adjusted to the size of the market. The results indicate a total of 2,100 EOs across the EU. These were further segmented between manufacturers (740) and importers/wholesalers (1,360) via a proxy indicator based on the Comext statistics on outward and inward flows. Comext data also suggest that the volume of products manufactured in the EU (including mixing and packaging operations) account for roughly 75% of total consumption, with the remainder constituting imported finished products from extra-EU countries. On average, manufacturers' production is estimated at around 5.5 million ml per year (EUR 2.1 million turnover), whereas importers have smaller operations, i.e. 1.0 million ml per year (EUR 390,000 turnover). Based on these figures the average e-cigarettes enterprise would qualify as SME, however: (1) these figures regard only consumable products, but many

place involving obligations that are similar to those envisaged in the policy revisions. The EOs based in those countries have been assumed as already compliant and no additional costs have been estimated. The same approach has been used for actions that EOs would likely perform anyway (such as some sort of record-keeping). In other words, the estimated regulatory costs refer ***exclusively to additional costs*** with the exclusion of business-as-usual costs.[498]

- Finally, in developing scenarios, we have followed the '***assume compliance'*** rule, which means that we have postulated that all MS would apply the concerned obligations to all relevant EOs, although MS could actually derogate from the application of EMCS in domestic movements (and in cross-border movements subject to bilateral arrangements with another MS).

The results of the regulatory cost analysis for EOs are reported in Table F.4.21 below. Overall, the estimated additional costs would amount to ***EUR 36.0 million*** in the first year and ***EUR 34.2 million*** in each subsequent year thereafter. The bulk of additional costs would regard the e-cigarette segment, since HTP operators can be considered already compliant with the majority of obligations (as this segment consists exclusively of TTC), while the 'other manufactured tobacco OMT segment (including related products) is small and largely controlled by TTC (especially the nicotine pouch segment). For the same reason, most of the estimated additional costs would be borne by SMEs, especially those based in countries where no national tax regimes are currently in place. The additional average cost per EO would amount to approximately **EUR 17,000 per year**. Were additional costs passed on to consumers, the retail price can be expected to increase by a further 1% compared to the levels estimated in the market impact analysis section.

Regarding the EU minima applied, these estimates relate to intermediate scenarios (as indicated in Tables F.4.2, F.4.3 & F.4.8). Higher tax rates would increase the costs of guarantees required to EOs, but this increase would be partly offset by a reduction in consumer demand associated with higher prices.

companies (especially importers) are also engaged in the marketing of devices (which account for 40% of market value); and (2) a minor share of the market (14% on average) is controlled by TTC (this share can vary considerably across countries. In PL, it exceeds 60%; in EL, NL, PT, DE and LT, it is estimated below 5%).

[498] An empirical quantification of the Business-as-usual costs (the 'BAU factor' in Standard Cost Model terminology) was neither feasible - as implementation modalities (hence requirements) would vary across countries – nor strictly necessary – as the BAU factor might be relevant for only a limited portion of the regulatory costs examined. The assumptions made reflect qualitative discussions held with some stakeholders but should be taken as purely indicative estimates.

Table F.4.21 – Aggregated regulatory costs for new products' economic operators

Obligations	Description	Manufacturers	Wholesalers/importers[499]
Registration in the excise system	Operators must be authorised by the competent MS authority according to the relevant ED profile (warehouse keepers, registered or certified consignor/consignee). Registration for duty-suspension operations is deemed more costly. The same goes with large companies v. SMEs.	**HTP:** assumed to be already registered as conventional tobacco operators (or under MS tax schemes) **OMT:** EOs need to register, except in MS where a tax regime is in place **Ecig:** EOs need to register as tax warehouse keepers, but in various MS they are already compliant	**HTP:** assumed as already compliant in the MS of operation **OMT:** importers are assumed to be one-third of total companies **Ecig:** the majority of B2B operators are in this category. Most frequently importers would need not to register as tax warehouse keepers
Benchmarks and estimates	Warehouse keepers and registered consignor/ consignee: 10 workers/day (at €200/day including overhead) Certified consignor/consignee: 5 workers/day (at €200/day including overhead) One-off costs (periodical renovations are deemed negligible)	**HTP:** already compliant **OMT:** 188 operators in MS of which 144 do not have a regime in place **Ecig:** 780 SMEs in MS of which 425 do not have a regime in place **Total costs:** HTP [nil] + OMT [288,000] + Ecig [€ 850,000] = **€1.14 million**	**HTP:** see manufacturers **OMT:** 15 operators in MS of which 12 do not have a regime in place **Ecig:** 1,433 SMEs in MS, of which 676 do not have a regime in place **Total costs:** HTP [nil] + OMT [€ 12,000] + Ecig [€ 676,000] = **€0.69 million**
Set up / operate a tax warehouse	This obligation has two main cost components: (1) the investment to set up appropriate premises; and (2) recurrent cost for operating it, including keeping registers of in/out movements. Item 1 is a one-off investment cost but can be annualised based on the depreciation period.	**HTP:** assumed to be already compliant as conventional tobacco operators (or under MS tax schemes) **OMT:** EOs need to establish it, except where a MS regime is already in place **Ecig:** EOs need to establish it, except where a MS regime is already in place	**HTP:** assumed as already compliant in the MS of operation. **OMT**: where not already compliant, it is assumed EOs would opt for duty-paid transactions **Ecig:** in MS with ad hoc tax regimes, EOs can be assumed compliant. Where not, it can be assumed EOs would opt for duty-paid transactions and would be subject to record-keeping obligation only

[499] In the case of import from extra-EU countries, it is assumed that the products would move across MS under transit procedure and released in free circulation in the country where it is also released for consumption. Further cross-border movements would occur under a duty-paid regime. The only exception is represented by products imported by TTC, which would be likely moved under duty suspension between the company's facilities located in different MS. In absolute terms, this would account for a small share of total imports because HTP (and OMT to a lesser extent) are mostly manufactured within the EU, while TTC remain minor market players in regard to e-cigarettes.

Obligations	Description	Manufacturers	Wholesalers/importers[499]
Benchmarks and estimates	Item 1: EUR 10,000 for SMEs (up to EUR 1.5 million for large companies) – i.e. EUR 1,500 per year considering depreciation Item 2: between one and four full-time equivalent staff (FTE) depending on company size (at €200/day including overhead). Working assumption: 50% of costs are 'business-as-usual' (already incurred as part of ordinary activities)	**HTP:** already compliant **OMT:** 144 EOs affected **Ecig:** 425 EOs affected **Total costs**: HTP [nil] + OMT [€4.32 million] + Ecig [€12.75 million] = **€17.07 million**	**HTP:** already compliant **OMT:** Item 1 assumed as not applicable; Item 2: 12 EOs affected **Ecig:** Item 1 assumed as not applicable; Item 2: 676 EOs affected **Total costs:** HTP [nil] + OMT [€0.24 million] + Ecig [€13.52 million] = **€13.76 million**
Holding/ storing guarantee*	It is connected to authorised warehouse keepers and relates to the size of operations. The amount is fixed by MS, and it is often higher for small EOs and newly registered players.	**HTP:** marginal increase linked to the increased value of suspended duty **OMT:** In MS with no tax regime in place, EOs must provide a guarantee. In the other MS, changes are deemed negligible. **Ecig:** In MS with no tax regime in place, EOs must provide a guarantee. In the other MS, changes are deemed negligible.	**HTP:** see manufacturers **OMT:** not applicable (duty-paid movements assumed, no need to set up a tax warehouse) **E-cig:** not applicable (duty-paid movements assumed, no need to set up a tax warehouse)
Benchmarks and estimates	Requested guarantee assumed as 10% of month-end stock holding (5% for large companies with track record). Financial cost of the guarantee: 2% for SME and 0.5% for large companies.	**HTP:** + €14.0 million of monthly duty suspended, (in Scenario B2) **OMT:** + €15.6 million of monthly duty suspended (in Scenario B) **Ecig:** + €23.3 million of duty suspended (in Scenario A - standard) **Total costs**: HTP [€ 7,000] + OMT [€31,000] + Ecig [€ 47,000] = **€ 85,000**	Not relevant
EMCS system	This obligation has two main cost components: (1) the investment in an IT system; and (2) recurrent costs for operations. MS can derogate from its use for domestic movement, but, for analytical purposes, it is assumed that no derogation is established. The transaction costs are deemed inclusive of book-keeping (for inspections), weighing of products and all EMCS-related procedures.	**HTP:** assumed compliant (HTP is moved under EMCS across EU) **OTP:** all EOs needs to comply with it **Ecig:** all EO needs to comply with it (only in a few MS is an IT system already required)	**HTP:** see manufacturers **OTP:** all EOs needs to comply with it **Ecig:** all EOs needs to comply with it (only in a few MS is an IT system already required)

Obligations	Description	Manufacturers	Wholesalers/importers[499]
Benchmarks and estimates	Item 1: On average €1,100/year (EA 2019), including depreciation. For large companies, it may reach €10,000/year. Item 2: Approximately 15 movements/year per company (based on current EMCS & SEED operational statistics). Unit cost = €15, based on the impact assessment of Directive 2008/118.	**HTP:** already compliant **OTP:** 188 EOs affected **Ecig:** 780 EOs affected **Total costs**: HTP [nil] + OMT [€249,000] + Ecig [€1,033,000] = **€1.28 million**	**HTP:** already compliant **OTP:** 15 EOs affected **Ecig:** 1,433 EOs affected **Total costs**: HTP [nil] + OMT [€20,000] + Ecig [€1,898,000] = **€1.92 million**
Guarantee on movements*	Guarantees on movements under duty suspension are generally calculated on the potential duty on average weekly movements. In the analysis we assume all MS apply this obligation, as some countries include it in the general authorisation guarantee. For duty-paid movements, the guarantees should be normally issued by the certified consignee. This would have no significant effect on the costs associated with this obligation.	**HTP:** marginal increase linked to the increased value of suspended duty **OMT:** cross-border annual movements exceed total consumption, so it can be assumed guarantees would apply to at least the entire market volume **Ecig:** cross-border annual movements exceed total consumption, so it can be assumed guarantees would apply to at least the entire market volume	**HTP:** see manufacturers **OMT:** see manufacturers **E-cig:** see manufacturers
Benchmarks and estimates	It is assumed the requested guarantee would amount to 10% of the potential duty on weekly movement. The period to be covered by the guarantee is assumed to be 2 weeks (including authorisation, movement, closure of EMCS and release of the guarantee). Financial cost of the guarantee: 2% for SME and 0.5% for large companies.	**HTP:** €6.5 million of duty suspended movements (in Scenario B2) **OMT:** €14.1 million of duty suspended movements (in Scenario B) **Ecig:** €14.8 million of duty suspended movements (in Scenario A - standard) **Total costs**: HTP [€3,000] + OMT [€28,000] + Ecig [€30,000] = **€0.06 million**	**HTP:** assimilated to manufacturers **OMT:** €1.0 million of duty suspended movements (in Scenario B) **Ecig:** €8.0 million of duty suspended movements (in Scenario A) **Total costs**: HTP [nil] + OMT [€2,000] + Ecig [€16,000] = **€0.02 million**
		GRAND TOTAL – annual additional regulatory costs (not including where EOs are already compliant)	**Year One** / **Following years** HTP €10,000 / €10,000 OMT €5,190,000 / €4,890,000 Ecig €30,820,000 / €29,294,000 **TOT €36,021,000** / **€34,195,000**

***Legend**: HTP=heated tobacco products, Ecig=e-cigarettes (consumables); OMT=other manufactured tobacco (and related products).*
***Note:** (*) Financial guarantees are indirect regulatory costs, the burden of which depends on MS implementation rules.*

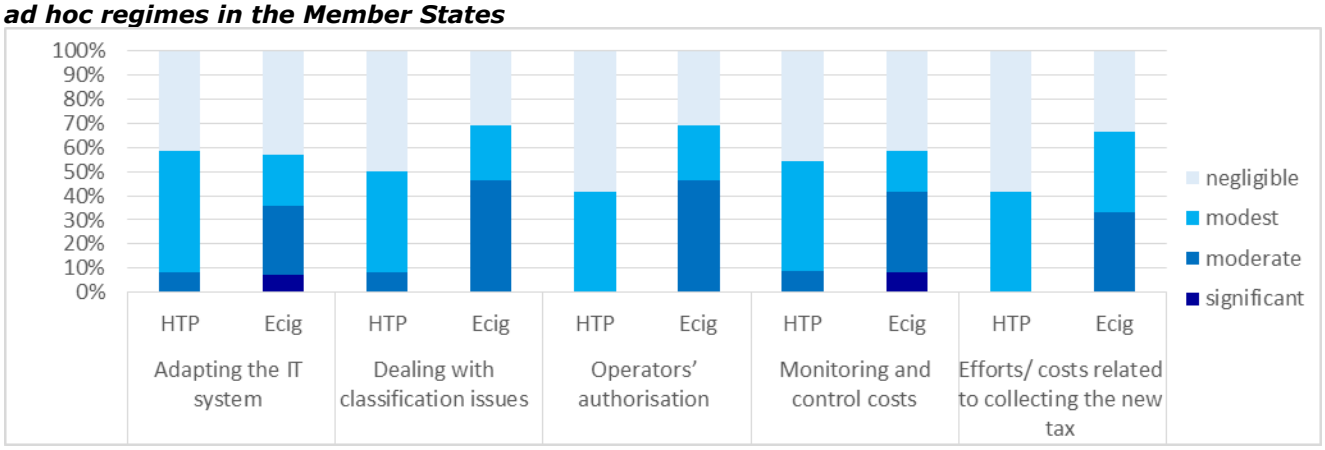
- **PUBLIC AUTHORITIES**

The introduction of harmonised regimes for tobacco and related products examined in this section would require some adjustments in the national excise legal and administrative frameworks. The items that are worth exploring include both the ***compliance costs*** required by extending the scope of excise duties to products not previously covered and the ***enforcement costs and cost savings*** connected to control and prosecution of abuses. This matter was investigated also in previous studies on Directive 2011/64 (EA 2017 and EA 2019), the results of which are integrated in this Report. The analysis involves both qualitative evidence – primarily MS authorities' qualitative feedback – and quantitative evidence, based on the parameters and estimates drawn from previous studies on Directive 2008/118 (Ramboll 2015 and CASE 2017).

The survey of tax and customs authorities confirmed that, where ***MS have adopted ad hoc regimes for new products***, these are accompanied by rules and obligations that are, in many respects, similar to the obligations currently imposed on harmonised products. In this sense, it can safely be assumed that these MS would incur only minor additional costs, while in most cases it would be sufficient to adjust existing national procedures. In these MS, all operators are evidently requested to obtain authorisation, and in almost all cases, operators need to set up fiscal warehouses and issue financial guarantees. Less frequently, there are obligations in place regarding the use of EMCS and more generally of an electronic document for transport. For HTP, the use of EMCS in cross-border movements is almost ubiquitous, while only a few countries use it for internal movements of e-cigarettes and almost none for cross-border movements.

The regulatory costs associated with national tax regimes can provide a useful indication of the impacts that can be expected from the adoption of similar regimes at the EU level, hence in countries where the products considered are still not taxed. As Figure F.4.7 shows, the regulatory cost increases tend to be ***higher for e-cigarettes*** compared to HTP. This relates to many factors, including the greater number of EOs to register and manage, the fact that HTP manufacturers are already in the excise system (as conventional tobacco manufacturers), and the intrinsic difficulties of controlling cross-border irregular flows of e-liquids. Overall, the share of respondents reporting a significant or moderate increase in costs remains below 45% for e-cigarettes and 10% for HTP. OMT products were not investigated in the survey, but it is estimated that the number of EOs would fall between the number of e-cigarettes and HTP EOs.

Figure F.4.7 – Increase in administrative and enforcement costs following the introduction of ad hoc regimes in the Member States

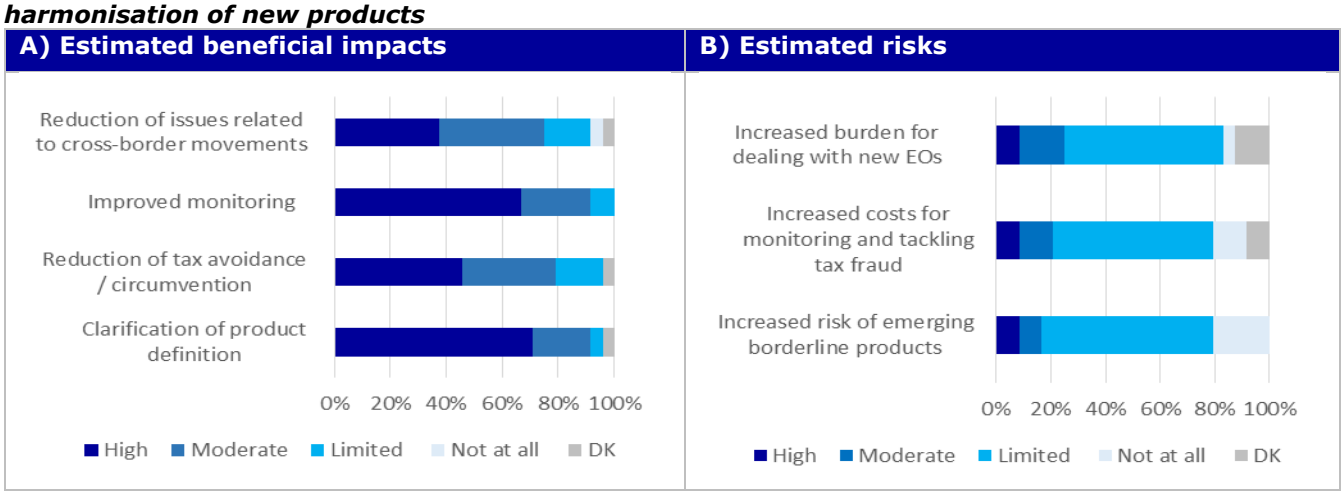


Source: *TCA survey*

In MS authorities' views, ***the benefits of harmonisation would clearly outweigh the risks***. The perceived benefits regard aspects that are directly connected with the excise system administration and enforcement, particularly: the reduction of uncertainties with product definition and – to a lesser extent – the disparities of interpretations in cross-border movements, as well as improved monitoring, and facilitating, detecting and tackling irregularities and fraud. Coherently, only a minority of MS authorities foresee a moderate or high increase of burden required to deal with a greater number of operators and products, and an even smaller number

of MS anticipate a substantial increase of burden linked to new 'borderline' products or greater monitoring and enforcement efforts.

Figure F.4.8 – MS authorities' expected administrative and enforcement impact from the excise harmonisation of new products



Source: *TCA survey*

In Table F.4.22 below, we provide the results of a tentative quantification of the additional regulatory costs incurred by MS from the extension of holding and movement rules to operators and products which are not currently in the Directive's scope. Where national tax regimes are already in place for new products, we have assumed additional regulatory costs to be negligible. The results indicate that total additional costs would amount to less than ***EUR 10.0 million*** in the first year and approximately ***EUR 0.7 million*** in each subsequent year thereafter.

Table F.4.22 – Aggregated additional regulatory costs for MS

Obligation	Description / benchmarks	Estimation
Registration of EO	This task regards the issuance of authorisations, including checks and audits on petitioners. For authorisation as certified by consignor/consignee, a one-off cost of €400 per EO plus €100 for annual renovation has been estimated (CASE 2017). Benchmarks for the other types of authorisations are unavailable in previous studies but it can be assumed that costs would be higher, especially for the authorisation of tax warehouse keepers. For EOs, such costs are 10 times higher (Ramboll 2015); for authorities, we have assumed an x3 factor.	A total of 1,257 EOs would need to register. Costs for registration for duty-suspension operations include: One-off costs: **€1,508,000** Recurrent costs: **€377,000**
Movement control	The national IT infrastructure connected to the EMCS/SEED system was estimated worth about EUR 4 million per MS for duty suspension operations (Ramboll 2015) and EUR 300,000 for duty-paid operations. It can be assumed that the one-off costs required to update the infrastructure to include new products would be in line with estimated costs for introducing duty-paid commercial operations. Other expert estimates suggest the average costs of updating national IT systems would be lower, and not exceeding EUR 100,000[500]. All MS would be affected. In addition, a cost of EUR 8 per movement has been estimated (Ramboll 2015), regardless of the type of movement.	The one-off costs for updating the IT infrastructure would regard all MS. Regarding recurrent costs, the EMCS statistics indicate 15 movements/year per EO. HTP movements are deemed already under EMCS. One-off costs: **between € 2,700,000 and €8,100,000** Recurrent costs: **€290,000**
	GRAND TOTAL	First year: between **€ 4.5 and €9.9 million** Following years: **€0.67 million**

[500] Based on Commission's expert estimates.

4.3.5 SME competitiveness

The proposed excise harmonisation of new products would ***remove the market barriers*** caused by the fragmentation of MS rules and regimes, creating new opportunities for operators, and especially SMEs, to expand their activities to other MS markets. Furthermore, the harmonisation would contribute to remove the disparities in taxation levels, which are behind unfair competition practices like the direct B2C sales online from excise-free countries, and cross-border shopping. This issue affects primarily the e-cigarettes sector, which is mostly made of SMEs. Therefore, the proposed revision would help ***establish a level playing field***, whose benefits will be mostly reaped by small players.

On the other hand, as discussed in the previous sections, the excise harmonisation would affect operators' competitiveness, in two main ways: (1) the ***direct impact of taxation on price levels*** and demand; and (2) the increase of ***regulatory burden***. Of the three sectors examined in this section – HTP, e-cigarettes, and OMT/RP – SME competitiveness issues can be expected primarily in the e-cigarettes sector, which is still largely composed of small, independent players, although the share of TTC is growing (see Annex E). The OMT / RP sector composition appears mixed, with the traditional smokeless segment (chewing and nasal tobacco) largely made of small operators, while large companies are increasingly venturing in the nicotine pouches segment. Finally, the HTP is entirely dominated by large companies.

Focusing on the SME component of the e-cigarettes sector the following impacts can be expected:

- The reduction in the demand and sales that would follow the increase of taxation will lead to some consolidation. Analogous processes have been registered and reported at MS level (e.g. in RO, PT and IT), after the introduction of national ad hoc tax regimes. Assuming a consolidation proportional to sales reduction it can be expected that between 200 and 700 SMEs (out of approximately 2,200) could be expelled from the market. In turn, this would accelerate the expansion of large companies, which are better equipped to face worsened competitive conditions. Part of the market share lost by SMEs would be acquired by large companies, whose market share would evolve from the current 15% to indicatively 17% or 22%, depending on the tax increase scenario adopted.
- The impact of regulatory costs described in Section 4.3.4 would be mainly borne by SMEs, as the TTC active in this segment can be assumed as already equipped to deal with the holding and movement rules for excise goods. The average additional costs incurred by operators would amount on average to EUR 13,000 annually. Assuming additional costs are passed on to consumers the average retail price of products would increase by 1.7%, triggering a further reduction in sales of nearly 2.3%.
- The impact of regulatory costs increase is estimated to be higher for manufacturer (i.e. up to nearly EUR 18,000 / each) than for importers (less than EUR 11,000). However, since manufacturers' operation volumes are deemed larger than importers' ones, the effects on price levels would be similar and no trade-offs between EU-manufactured and imported products is expected.

4.3.6 Public Health and Environmental Impacts

No tobacco product has been conclusively proven to be safe and risk free. Epidemiological evidence, however, requires a long series of data to build up, and so the debate on the comparative risks of these new products and if and how this should eventually impact their taxation is still open and ongoing. For instance, for the time being there is no such thing as an international consensus on how taxation of e-cigarettes should be driven by public health considerations and related costs and benefits weighted, and the related scientific debate is still ongoing. The Commission has requested SCHEER to provide its scientific opinion on the subject

and this has recently been released[501]. Moreover some very preliminary principles in this respect have just been emerging at the WHO level[502].

Much in the same vein, there is little emerging consensus on the fact that heated tobacco products should benefit from privileged taxation because of their lower public health impact, so these considerations have not been incorporated into the analysis[503] or used to determine in any way the ideal taxation of HTP. So the analysis of the public health impacts of these new products has not been further developed here.

There is a notable paucity of information on the environmental impacts of electronic cigarettes and HTP[504]. It has been claimed that because devices are composed of low-value but sophisticated electronics, the ***environmental costs from manufacturing of e-cigarettes may be much more severe*** than those of ordinary cigarettes per unit and this might represent a public health concern per se worth researching more in detail[505].

4.4 Comparison of scenarios

This section summarises the results of the ***impact analysis in comparative terms***, with a view to assist in the identification of the benefits, costs, opportunities and risks that are inherent the various policy options and scenarios examined. For each policy option, synthetic ratings and judgments are provided (Table F.4.24), which reflect the expected impact on a set of relevant policy objectives. Impact areas that are not or marginally affected are not displayed. The policy change options regard different products and are not mutually exclusive. Where the policy options include alternative scenarios, the differentiated impacts expected are reported (see Table F.4.23 for a summary of scenarios considered). Finally, a brief reference to main risks and implementation challenges have been added, where relevant.

Further below, two additional comparative reviews are provided: (1) a synoptic review of ***who will be affected by the proposed revisions and how***, and (2) a review of the ***proportionality of the proposed measures***.

[501] The Commission has recently commissioned a scientific opinion on electronic cigarettes to the Scientific Committee on Health, Environmental and Emerging Risks (SCHEER). The final SCHEER opinion - adopted in April 2021 - found a moderate to strong risk of adverse health effects for heavy users of e-cigarettes, adding that more research and data are needed to estimate long-term effects, as these products are relatively new. SCHEER also concluded that there is strong evidence that e-cigarettes play a role in the initiation of smoking, especially for young people, and that, conversely, the evidence that they can help smokers to quit is weak. See: https://ec.europa.eu/health/sites/default/files/scientific_committees/scheer/docs/scheer_o_017.pdf

[502] In its recent report WHO report on the global tobacco epidemic the WHO has for the first time presented new data on electronic nicotine delivery systems, such as 'e-cigarettes' and reiterated its concern that children who use these products are up to three times more likely to use tobacco products in the future. The WHO therefore recommends governments to implement regulations to prevent non-smokers from starting to use them, to avoid renormalization of smoking in the community, and to protect future generations, but then does not provide yet operational elements to identify what levels of taxation would be deemed sufficient to achieve this objective. WHO, *WHO report on the global tobacco epidemic 2021: addressing new and emerging products.* July 2021. https://www.who.int/teams/health-promotion/tobacco-control/global-tobacco-report-2021

[503] According to the WHO currently there is insufficient evidence to conclude that HTPs are less harmful than conventional cigarettes. In fact, there are concerns that while they may expose users to lower levels of some toxicants than conventional cigarettes, they also expose users to higher levels of other toxicants. It is not clear how this toxicological profile will translate into short- and long-term health effects. See *WHO Heated Tobacco Products a Brief*, 2020. https://www.euro.who.int/__data/assets/pdf_file/0008/443663/Heated-tobacco-products-brief-eng.pdf

[504] The seminal 2017 WHO report on *Tobacco and its environmental impact* maintained that, at that time, there was almost no data available about the environmental impacts of the manufacturing of e-cigarettes and smokeless tobacco.

[505] Yogi Hale Hendlin, *Alert: Public Health Implications of Electronic Cigarette Waste*, American Journal of Public Health 108, 1489_1490, 2018

Table F.4.23 Summary of change options and scenarios considered

<table>
<tr><th></th><th></th><th colspan="5">Option 3A – Heated tobacco products</th><th colspan="3">Option 3B – E-cigarettes</th><th colspan="5">Option 3C – Other manufactured tobacco and related products</th></tr>
<tr><td rowspan="5">EU minima</td><td rowspan="3">Fixed</td><td>Scen.</td><td>CR</td><td>A</td><td>B</td><td>C</td><td>Scen.</td><td>A</td><td>B</td><td></td><td colspan="2">OMT</td><td colspan="2">RP</td></tr>
<tr><td>Kg</td><td></td><td>80</td><td>105</td><td>130</td><td rowspan="2">€/ml</td><td rowspan="2">0.1</td><td rowspan="2">0.3</td><td>Scen.</td><td>A</td><td>B</td><td>A</td><td>B</td></tr>
<tr><td>1,000 unit</td><td>0.3g</td><td>24</td><td>32</td><td>39</td><td>Std</td><td>As OST</td><td>n/a</td><td>n/a</td><td>n/a</td></tr>
<tr><td></td><td>0.7g</td><td>56</td><td>74</td><td>91</td><td></td><td></td><td></td><td>Sp</td><td>As OST</td><td>€22/kg</td><td>As OST</td><td>As OST</td></tr>
<tr><td rowspan="2">Rel</td><td colspan="2">Scen.</td><td>A</td><td>B</td><td>C</td><td>Scen.</td><td>A</td><td>B</td><td></td><td colspan="2">OMT</td><td colspan="2">RP</td></tr>
<tr><td colspan="2"></td><td>30%</td><td>45%</td><td>55%</td><td></td><td>20%</td><td>30%</td><td>Scen.</td><td>A</td><td>B</td><td>A</td><td>B</td></tr>
<tr><td>Variants</td><td></td><td colspan="5">V1: Fixed min. in partial PPP terms</td><td colspan="3">V1: Fixed min. in partial PPP terms
V2: No min. on nicotine-free liquids
V3: Higher rates for high-strength nicotine liquid</td><td colspan="5">V1: Fixed min. in partial PPP terms</td></tr>
</table>

Legend: *Scen.: Scenario; CR: weight-to-unit conversion rates (for HTP); Fixed: fixed minimum; Rel: relative minimum; Std: standard regime; Sp: special regime; OMT: other manufacture tobacco; RP: related products; As OST: same minima scenarios as 'other smoking tobacco'; V: variant of the policy option.*

Table F.4.24 – Comparison of scenarios for the harmonisation of new products

Key objectives	No change	Policy change	Rationale, sensitivity across scenarios, and risks
Option 2A – Harmonised regime for heated tobacco products			
Improved harmonisation of fiscal regimes	-2	+2	• Harmonisation would eliminate the current fragmentation and disparities of fiscal approach to HTP that exist among MS
Improved legal certainty	0	+1	• Appropriate HTP excise definition would remove the risk of legal and classification uncertainties between HTP and smoking products • Moderate risk that unfit terminology encourages 'borderline' products
Reduction of tax-driven substitution	-1	A: -1 B: 0 C: +1	• The introduction of HTP EU minima would reduce the tax gap between HTP and cigarettes, hence the tax incentive behind substitution. Impact correlated to EU minima levels
Improved market functioning and competition	0	A,B: 0 C: -1 V1: +1	• The highest increase scenarios (Sc. C, with 0.7g per unit equivalence) is associated with a possible demand drop exceeding 30% in some MS • The partial PPP approach would smoothen extreme market impacts
Reduction of MS foregone revenues	-1	A:-1 B: 0 C: +1	• Increased revenues expected from both increased excise duty rates and decreased substitution
Reduction of regulatory burden	0	0	• Moderate increase of burden for MS authorities, likely offset by the legal and administrative benefits of harmonisation. • EOs can be assumed as already compliant with excise duty rules
Coherence with public health goals	-1	+1	• Harmonisation of fiscal regimes for HTP would align with international public health policy orientations on the matter. But the debate is still open on the best approach to it
Option 2B – Harmonised regime for e-cigarettes			
Improved harmonisation of fiscal regimes	-2	+2 V2,3: +1	• Harmonisation would eliminate the current fragmentation and disparities of fiscal approach to e-cigarettes that exist among MS • The flexibility of possible variants 2 and 3 may risk translating into persisting difference across regimes
Improved legal certainty	0	+1	• Appropriate e-cigarettes definition would remove the risk of legal and classification uncertainties across new products
Reduction of tax-driven substitution	-1	A: +1 B: +2	• EU minima would reduce the tax gap between e-cigarettes and traditional tobacco products, hence the tax incentive behind substitution. Impact correlated to EU minima levels.
Reduction of illicit trade	-1	+1	• Harmonisation and excise duty rules would help reduce tax avoidance • Moderate enforcement risks, especially regarding industrial nicotine smuggling
Reduction of MS foregone revenues	-1	A(V2): 0 B(V3): +2	• Increased revenues expected from higher excise duty rates, and reduction in tax avoidance • Variants V3 more effective against 'do-it-yourself', but not against its most radical versions
Reduction of regulatory burden	0	-1	• Moderate increase of burden for MS authorities, likely offset by the legal and administrative benefits of harmonisation. • Moderate increase of burden for EOs, which can occasionally be significant for smaller, EU-based operators

Key objectives	No change	Policy change	Rationale, sensitivity across scenarios, and risks
Improved market functioning, SME competitiveness	0	-1 (V2: 0)	• Mixed impacts on national markets and frameworks, depending on starting condition, which would be partly minimised by V2. • Sector still dominated by SMEs, which would be overall less capable than large companies to absorb cost increases.
Coherence with public health goals	-1	+1	• Harmonisation of fiscal regimes for e-cigarettes would align with international public health policy orientations on the matter. But the debate is still open on the best approach to it
Option 2C – Harmonisation of other manufactured tobacco and related products			
Improved legal certainty	0	+1	• 'Catch-all' excise categories for other manufactured tobacco and related products will help preventing the risk of 'borderline' products eluding the enlarged scope of the legislation • Moderate risk that the increase complexity of the system translates into (minor) issues of classification uncertainties
Reduction of tax-driven substitution	-1	+1	• EU minima would reduce the tax gap with smoking products hence the tax incentive behind substitution (especially for nicotine pouches). • Limited risk of tax-driven substitution under Sc. B for OMT
Reduction of regulatory burden	0	-1	• Moderate increase of burden for MS authorities, likely offset by the legal and administrative benefits of harmonisation • Large EOs can be assumed as already compliant with excise duty rules, while smaller ones would incur in moderate increase of burden
Improved market functioning, SME competitiveness	0	A: -1 B: 0	• Sector still dominated by SMEs, which would be overall less capable than large companies to absorb cost increases • Moderate risk of substantial market effects on residual, traditional smokeless products (less marked under Sc. B)
Improved market monitoring	-1	+1	• Harmonised categories would help monitor market trends
Coherence with public health goals	-1	+1	• Harmonisation of fiscal regimes for smokeless products would align with international public health policy orientations on the matter.

***Legend**: **+2** = major positive effect; **+1** = moderate positive effect; **0** = no effect or neutral impact; **-1** = moderate negative effect; **-2** = major negative effect. **Note:** The 'key objectives' relate to different policy aspects which cannot be combined into an aggregated rating. In this sense also synthetic judgments are not intended for being added up.*

- **SYNOPTIC REVIEW OF WILL BE AFFECTED BY THE PROPOSED REVISIONS AND HOW**

Table F.4.25 – Summary review of who will be affected by the proposed revision and how

Options / Entity	2A	2B	2C
MS Authorities	MS should introduce or adapt their national ED regimes for e-cigarettes. MS should establish arrangements to implement and enforce the new tax regime and bear the costs. ED revenues may increase between € 350 and € 750 million. The virtual losses from substitution would reduce between € 1.0 and € 3.7 billion.	MS should introduce or adapt their national ED regimes for HTP. MS should establish arrangements to implement and enforce the new tax regime and bear the costs. ED revenues may increase up to € 500 million. The virtual losses from substitution would reduce up to € 750 million.	MS should introduce or adapt their national ED regimes for OMT/RP. MS should establish arrangements to implement and enforce the new tax regime and bear the costs. ED revenues from OMT/RP may range between € 100 and € 300 million.
Manufacturers / importers	Regulatory costs for SME operators would increase by approx. € 17,000 year. Expected decline of demand between 7% and 32%. Reduced competitive distortions caused by uncontrolled cross-border trade	The increase of regulatory costs for operators would be negligible, as HTP operators are already compliant with ED holding and movement rules Expected decline of demand between 1% and 21% Improved Single market integration	A modest increase of regulatory costs expected, except for already compliant large operators. Expected decline of demand between 7% and 50% Improved Single market integration

Options / Entity	2A	2B	2C
Public health, and healthcare system	Reduced accessibility, especially for young people, and improved surveillance	Reduced accessibility, especially for young people, and improved surveillance	Reduced accessibility, especially for young people, and improved surveillance

***Legend**: OMT/RP = other manufactured tobacco and related products*

- **PROPORTIONALITY TEST**

Table F.4.26 – Proportionality test scores

Proportionality issues[506]	Feedback	Rating
1) Whether the option **goes beyond what is necessary** to achieve the objectives satisfactorily	The proposed measures address the need to update the scope of the EU excise legislation in the light of market developments. The creation of new excise categories is the only reasonable approach because new products are qualitatively different from products currently harmonised at the EU level. Additionally, the proposed measures envisage the establishment of 'catch-all' excise categories intended to capture future product development. These categories are not in themselves necessary to achieve the current objectives but would help maintain the EU policy's relevance for a longer period.	Option 2A, 2B: **high** Option 2C: **moderate**
2) Whether the scope of the option is **limited to those aspects that MS cannot achieve satisfactorily** on their own, and where the Union can do better	By definition, harmonisation has to be adopted at the EU level. The adoption of MS tax regimes for new products has created fragmentation in the internal market and did not always prove effective, due to the lack of a homogenous EU framework. The proposed measure would safeguard the subsidiarity principle that allows MS to set up their own rules regarding certain excise arrangements and obligations.	All options: **high**
3) Whether **costs** for the Union, national governments, regional or local authorities, economic operators or citizens **are minimised in relation to the objective** to be achieved	The proposed measures display a positive cost/benefit ratio for the public budget, as they (1) help recover part of foregone tax revenues caused by substitution and (2) mitigate tax avoidance and fraud. The implementation and administrative costs implied by the reform would be offset by benefits. For economic operators the balance would be instead negative due to (1) reduction of market sales and demand linked to tax increases; and (2) additional regulatory costs, although to a lesser extent. For large operators, the reform would enhance the internal market integration and facilitate market development, while at the same time the application of EU excise duty rules would make access more burdensome for newcomers. The expected increase in excise duty revenues would be directly correlated with the market adverse effects for operators, therefore the aggregated judgment for these two effects does not change across tax level scenarios.	All options: **moderate**

[506] The proportionality issues reviewed are drawn from the *Better Regulation* guidelines SWD (2017) 350.

Proportionality issues[506]	Feedback	Rating
4) Whether the **form of action** (choice of the instrument) is as simple as possible and coherent with the satisfactory achievement of the objective and effective enforcement	The proposed measures are largely based on existing tools and provisions of Directive 2011/64. Wherever available and feasible, the new regimes have been designed while taking into account current MS practices, which would facilitate uptake and limit unnecessary efforts. Option 2C (i.e. the introduction of harmonised categories for other manufactured tobacco and related products) would make the excise system more complicated regarding, both the proliferation of classification categories (and subcategories) and the demarcation with products that should remain outside of the Directive's scope. The limited significance of the products concerned, from a market perspective, mitigates the net benefits of the reform.	Option 2A, 2B: **high** Option 2C: **moderate**

Rating scale: *High=proportionality test satisfactorily passed; Moderate=proportionality test passed although some aspects are negatively rated or unfeasible to test; Limited=proportionality requires due considerations as various aspects are negatively rated or unfeasible to test; Insufficient=the measure proposed does not meet the proportionality principle.*

5. HARMONISATION OF TAX REGIMES FOR RAW TOBACCO

5.1 General considerations

The purpose of the policy measures presented in this section are twofold:

1) to ***enhance monitoring and control of the raw tobacco supply chain***, in order to facilitate the fight against illicit manufacturing and trade in the EU; and
2) to ***resolve uncertainties and disparities of interpretation*** across MS on the demarcation between manufactured and raw tobacco for excise purposes.

These objectives are clearly connected but require two separate actions. The first consists of creating a new suitable regime for raw tobacco. The second consists of revising the definition of smoking tobacco that is provided in Article 5.1 of the Directive, taking into account the possible enlarged scope of the Directive presented in Section 4. In this sense, two separate options are presented in this section, which should be understood as complementary and not mutually exclusive.

A preliminary remark must be made regarding the ***terminology*** used in this Report. The ***'raw tobacco'*** concept used in this analysis encompasses various types of tobacco that are not suitable and conditioned for final consumption, including agricultural produce (e.g. the harvested leaf), first-processed tobacco (and by-products) and second-processed tobacco (e.g. 'reconstituted tobacco'). In this sense, the term 'raw tobacco' intends to designate a wider range of products than the term ***'unmanufactured tobacco'***, which is currently used in the customs nomenclature (HS Heading 2401).[507] To avoid confusion with the latter, the expression 'unmanufactured tobacco' is not used in this analysis.

The formulation of the proposed policy options has been informed by a series of ***criteria and considerations*** discussed with the relevant Commission services, which is important to spell out:

- The proposed measures are ***not intended to directly generate tax revenue***, except the additional revenue that would be derived from reduced tax fraud. No application of positive tax rates on intermediate products is envisaged. At any rate, the proposed system shall avoid risks of double taxation, as explicitly mentioned in the 2020 Council Conclusions.
- The proposed solutions should be ***effective in tackling illicit manufacturing,*** i.e. there must be a clear benefit attached to them, although it is understood that the illicit tobacco production problem would also require complementary investigation and law enforcement measures outside of the scope of the excise legislation.
- The focus of the proposed reform consists of ***extending the holding and movement control measures*** envisaged in the EU excise duty legislation ***to raw tobacco*** and, particularly the application of the ***EMCS system*** to cross-border movements. Other solutions involving the establishment of new registration schemes or additional ad hoc requirements have dropped in the interim stage of the work, as not readily available and implementable based on the Directive legal basis.[508] Furthermore, in a *Fiscalis* workshop held in 2019, MS technical staff had expressed preliminary consensus in exploring the usefulness of EMCS for raw tobacco monitoring. This approach is coherent with the 2020 Council Conclusions which acknowledged "*the need for a system to control the movement of raw tobacco*". Alternative approaches, including pilot projects being developed in individual countries, have been reviewed during field work, but none of the initiatives reviewed can be immediately adopted at EU level, without recourse to additional legal instruments and administrative tools.
- Finally, the 2020 Council Conclusions explicitly invite proposed measures to build on the existing ***relevant practices of Member States in this area***. This implies a review of

[507] Second-processed tobacco typically falls under Heading 2403, so it is not included in the customs definition of 'unmanufactured tobacco'.
[508] The excise legislation legal basis is Article 113 of the TFEU, which only concerns the harmonisation of indirect taxation in light of the Single market. This legal basis cannot be invoked if the product is not a harmonised excise good.

national systems in place for the monitoring and control of raw tobacco (see Annex E), considering the different characteristics of the raw tobacco sector in different countries (i.e. presence of tobacco growing, processing, storing and manufacturing activities) and the position of the country in the transnational trade routes (both intra- and extra-EU).

5.2 Policy options

5.2.1 Option 3A - establishment of a new excise category for raw tobacco

The first policy option considered consists of establishing a new harmonised excise category for raw tobacco, including its definition, structure and a new Excise Product Code set up in the Commission's System for Exchange of Excise Data (SEED). The purpose of this measure is to ***enable the application of the holding and movement control mechanisms and tools*** offered by the EU general arrangements for excise duty, with the ultimate aim of fighting raw tobacco diversion to illicit manufacturing and tax fraud.

The design of the new tax category involves three aspects: (1) the excise category ***definition;*** (2) the applicable ***control rules and procedures***; and (3) the ***tax regime***.

- **EXCISE CATEGORY DEFINITION**

As discussed, 'raw tobacco' denotes a product that does not fall into any of the manufactured tobacco harmonised categories of the excise legislation, as defined in Arts. 2-5 of the Directive. This includes a variety of products, which result from various phases of the supply chain, from green tobacco (harvested leaf) to heavily processed intermediate products, like reconstituted tobacco. To cope with the heterogeneity of the products concerned, raw tobacco is defined in contrast with the existing product categories in most fiscal national frameworks.[509] In practice, ***raw tobacco is any form of tobacco that is neither a live plant nor a manufactured tobacco product***. The same approach applied to the EU excise legislation would have two main advantages:

- it would facilitate the complete sealing of the supply chain, as every product not comprised in one of the existing categories would automatically fall into this new category, thus eliminating the risk of 'borderline' products exploiting any possible margin of interpretation of the definition; and
- it would more easily adapt to different national contexts and specificities of the local supply chain and markets.

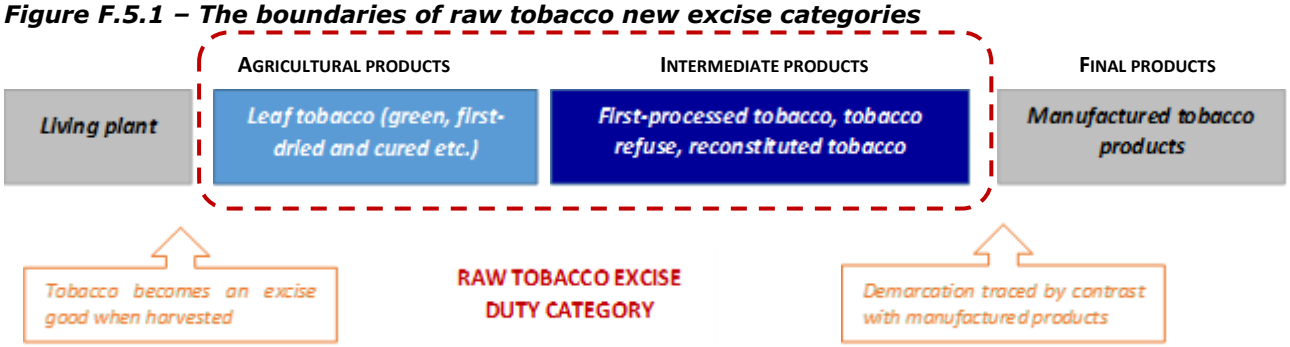
Other possible approaches have been reviewed and discarded. In particular: (1) the recourse to the customs nomenclature definition of 'unmanufactured tobacco' has been discarded because it does not include intermediate tobacco products that fall into the HS Heading 2403 (e.g. reconstituted tobacco);[510] and (2) other 'positive' definitions of raw tobacco have not been considered because – as exemplified by the experience of some MS – they are inevitably subject to uncertainties and risks of abuse.

The new category will have to mark two boundaries, as illustrated in the diagram below. The ***demarcation with manufactured tobacco products*** would be drawn by these products' definitions. In practice, the introduction of the 'catch-all' category for other manufactured tobacco products (Section 4.2.3) would lead to define raw tobacco in opposition to it. If such an option is not adopted, raw tobacco would continue being defined in opposition to smoking tobacco, as described under Art. 5.1. The other boundary is sensitive and complicated to draw,

[509] For a comprehensive review of Member States' definitions of raw tobacco, see Annex E.
[510] There is very limited evidence of reconstituted tobacco used for the illicit manufacturing of cigarettes. Still, as reconstituting tobacco involves by-products for which diversion to illicit trade exists (i.e. tobacco refuse), these activities should be included in the prospective monitoring system.

as it eventually determines ***when and how tobacco would become an excise good***, i.e. at which stage of the farming process: when 'picked from the stalk', after the farm-level during the first drying or curing, or when moved from agricultural facilities to first processors or purchasers' warehouses.[511] The approach eventually proposed is the most comprehensive, with the inclusion in the new tax category triggered by harvesting. This solution would prevent the risk of unintended incentives for elusion at the early stage of the supply chain, when tobacco is at the 'green leaf' status,[512] and the difficulty of finding a workable distinction between 'green tobacco' and tobacco that has undergone the first drying or curing. At the same time, the application of certain excise duty requirements will have to be modulated to fit with the specificities of farming activities, as discussed below.

Figure F.5.1 – The boundaries of raw tobacco new excise categories



A new ***Excise Product Code (EPC)*** needs to be created specifically for raw tobacco. Considering the nature of the products involved, the most suitable ***EPC base is per kg of the products***, analogous to smoking tobacco.

➢ **CONTROL RULES AND PROCEDURES**

The introduction of raw tobacco in the scope of harmonised excise goods would imply the application of the holding and movement rules that are currently applied to manufactured tobacco products. These rules and provisions - outlined in the Horizontal Directive - are briefly recapitulated in Table F.5.1 below, with reference to the 'building blocks' of the monitoring system that would contribute to setting up the monitoring system. Table F.5.1 describes the standard rules, and specific steps of the supply chain that may require special provisions are discussed further below.

Table F.5.1 – Monitoring rules and provisions applicable to the raw tobacco supply chain under the tax harmonisation scenarios considered

Building blocks of the monitoring system	Corresponding tools and provisions
Authorisation of involved operators	Economic operators engaged in the holding and moving of raw tobacco would be subject to the authorisation requirements set out in the Horizontal Directive, according to the different available profiles, namely: • the *tax warehouse keeper* (producing, processing, holding, receiving or dispatching excise goods under a duty suspension arrangement in a tax warehouse); • the *registered consignor / consignee* (dispatching / receiving excise goods moving under suspension arrangements); and

[511] It is worth remarking that the raw tobacco supply chain may differ geographically and by tobacco variety. For instance, Oriental varieties are always sun-cured at the farm, do not require any first-processing (only eventually for the commercial grading of leaves) and could be sold directly to final manufacturers.
[512] This is a theoretical event. No evidence was collected on the diversion of green tobacco.

Building blocks of the monitoring system	Corresponding tools and provisions
	• the *certified consignor / consignee* (dispatching / receiving excise goods released for consumption via cross-border movements).[513] The conditions for granting and managing authorisations are set up by MS competent authorities and involve technical, financial and legal requirements to be fulfilled. There are no mandatory EU minimum standards, but no significant disparities between MS have been registered.[514] Additionally, all authorised excise goods traders must be registered on the *System for the Exchange of Excise Data (SEED)* and use their SEED Excise ID number to enrol for EMCS and compile electronic Administrative Document (eAD) for the cross-border movement of excise goods.
Monitoring of stocks	Excise goods produced, processed, held and stored under duty suspension arrangements must be kept in a tax warehouse. In addition to the authorisation requirements (see the previous point), warehouse keepers must keep accounts of stock and movements of excise goods and must consent to any monitoring and stock checks requested by authorities. Tax warehouses are also subject to specific security requirements established by MS. Record-keeping and stock-check obligations also apply to registered and certified consignees of excise goods. For movements of duty-paid excise goods (as defined under Section 2 of the recast Horizontal Directive), there is no tax warehouse obligation, which makes this option lighter and more suitable for small and/or occasional traders.
Control and validation of movements	Movements of excise goods in the EU shall take place under the EMCS system. This regards both movements under duty suspension and, as of 2024, also duty-paid cross-border movements for commercial purposes. Excise goods movements from dispatch to destination are documented under EMCS utilising an electronic Administrative Document (eAD) or, in perspective, an electronic simplified administrative document (eSAD) in case of a B2B duty-paid movement. The EMCS allows the validation of eADs against SEED to determine if the traders involved in the transaction are indeed entitled to dispatch/receive the declared products, as well as the tracking of every stage of the movement, thus facilitating control and helping prevent irregularities.
Financial guarantees covering excise duty risks	The Horizontal Directive envisages two main types of financial guarantees that can be requested to operators to cover the fiscal risk inherent in duty payment suspension: • General guarantees for the production, processing, holding and storage of excise goods on duty suspension and applicable to authorised warehouse keepers. • Specific guarantees on movements under duty suspension and, as of 2024, on cross-border movements of duty-paid goods. In the first case, the financial security is typically covered by the consignor, while the guarantee is generally required from the consignee for duty-paid B2B movements. The amount and management of financial guarantees are established by MS, which can also waive this obligation in specific circumstances. The guarantee is set to cover inherent fiscal risk but is not necessarily proportional to the excise duty value involved (i.e. in the case of raw tobacco, it could relate to the risk of diversion and tax fraud).

[513] Internal movements of duty-paid products are not covered by the EU general excise duty arrangements. Rules and procedures for these operations will have to be established by MS authorities.
[514] Source: Evaluation of current arrangements for the holding and moving of excise goods under excise duty suspension, Ramboll, 2015.

Building blocks of the monitoring system	Corresponding tools and provisions
Sanctioning of irregularities	The sanctioning of irregularities and fraud remain the exclusive competence of the MS. It is worth highlighting that the inclusion of a product in the scope of the excise system can act as a major deterrent against irregular movements, because of the excise duty liability risk and the related higher fines involved.

All obligations listed in Table F.5.1 would apply to all operators by default, regardless of type, size or role in the raw tobacco supply chain. However, special requirements can be envisaged for specific situations where the implementation of some obligations may be technically difficult or disproportionately onerous. In particular, two main issues should be highlighted: (1) the excise system obligations applicable to harvested tobacco in the initial stage of the supply chain; and (2) the tolerance on weight losses or gains.

(1) Obligations applicable to harvested tobacco in the initial stage of the supply chain

To prevent diversion, every step of the supply chain, including the initial phase should be subject to appropriate monitoring rules. However, the application of the standard rules described in Table F.5.1 fit poorly with the specificities of agriculture practices and produces. Raw tobacco would come into existence as an excise good upon harvesting, which is a process that takes place outside of a tax warehouse, contrary to what normally happens with industrially manufactured tobacco products. Then, green tobacco undergoes first curing at the farm or in collection centres,[515] where various farmers' products are gathered until their first handover to first buyer/processor.[516] In some cases, the curing is carried out on-service by dedicated external suppliers, and when the curing period is finished, the tobacco is returned to the farmer for storage until its delivery to the first buyer/processor.[517] In these early stages, tobacco is moved from field to farm or collection centres and/or curing facilities in bulk. At this stage, tobacco could be weighed but with some difficulty, as it would require a portable truck weigh station for operations in the field far from the farm or presuppose that each farm is equipped with one, which can be reasonable only for large producers.[518] Furthermore, the weight of tobacco changes rapidly and unpredictably after harvesting, which would make record-keeping cumbersome and subject to large margins of variations. Coherently, none of the national fiscal regimes for raw tobacco examined impose obligations involving tax warehouses or, at any rate, the weighing of green tobacco in the initial stage.[519] Therefore, the proposed system does not involve the application of obligations involving the weight and excise duty determination (tax warehouse, record keeping) while ***harvested tobacco is held by the farmer***, provided that ***no processing other than drying or curing*** is carried out. Such waiver should also include collection centres, where small farmers store their produce, analogous to 'on service' curing sites. Movements from field to farm or collection centres of harvested tobacco would not occur under EMCS. This waiver regime would terminate when tobacco (green or cured but not otherwise processed) ***is***

[515] Collective warehouses, where curing is often also performed, are located nearby the cultivation areas and typically managed by producers' organisations. When administrative arrangements are in place, to make farming of tobacco conditional upon the existence of contracts with first processors, these collection centres are usually not allowed to directly sell their members' produce, but the situation can vary from MS to MS and possible cases of collection centres operating in their private capacity have also been reported.

[516] As described in Annex E, in vertically integrated supply chains, the tobacco harvest is owned by the final manufacturer starting at the first step, and all intermediate processing activities are carried out on service.

[517] Market practices do vary from MS to MS in this respect. In certain MS collection centres operate on behalf of farmers and never sell to first processors on their own. In others they can be separate legal entities with an autonomous trading capacity.

[518] This is also the reason why most agricultural products are shipped under the clause "weight to be determined at arrival", which for the VAT invoicing purposes triggers the condition that the price has not yet been determined at the moment of sale.

[519] In Poland – which is the country with possibly the strictest regime on raw tobacco in the EU – movements of raw tobacco among farmers' premises and the deliveries of raw tobacco from farmers to 'authorised parties' are exempted from the application of the SENT (electronic tracking system).

eventually sold or consigned to the first buyer/processor. This step would trigger the following obligations:

- the seller (individual farmer, cooperative, etc.) would need to ***obtain an authorisation*** and register in SEED to be able to sell its products to the first buyer/processor;[520]
- the movement of cured tobacco from the farmer or collection centre to the buyer's premises must take place ***via eAD and EMCS*** (unless waived by MS for internal movements);
- the receiver (first processor/buyer) would ***fall under the ordinary excise regime***: it must hold an excise authorisation, keep records of stocks and inward/outward movements, issue a financial guarantee where required, etc.
- when green or cured tobacco is received, the buyer/processors should put it ***under duty suspension or duty-paid regime***s; and
- as already envisaged in various MS agricultural regulations, farmers should ***sell their products only to authorised subjects***, which in this case means authorised warehouse keepers or consignees, while irregular sales should trigger the payment of excise duty as manufactured tobacco.

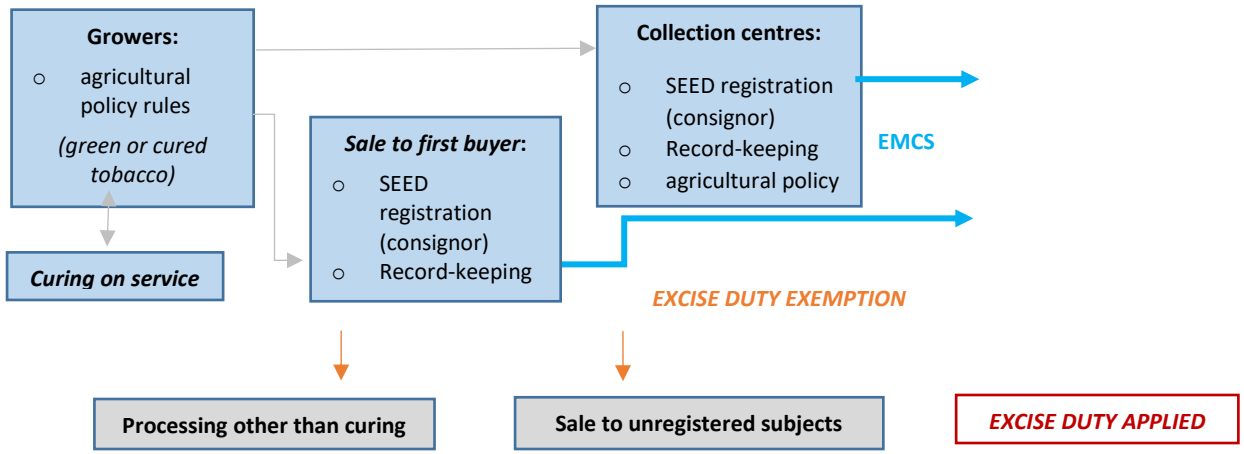
A possible alternative approach would consist of establishing an excise category that excludes harvested tobacco from the definition. However, this solution has been dropped, because (1) it would completely exclude an important part of the supply chain from the monitoring system, and this could enhance pressures for diversion at the farmer level, since selling green/cured tobacco to individuals or unregistered subjects would remain possible; and (2) a clear distinction between what should remain outside of the scope of the category and what should conversely be included cannot be drawn precisely, hence ambiguities, uncertainties and opportunistic behaviours would proliferate.

As discussed in the following section, the special holding and movement provisions for harvested tobacco and farmers described could be accompanied by an ***exemption from the application of excise duties***.[521] Among other things, this measure would allow dealing with special situations that would otherwise create unnecessary complications and financial risks for farmers (e.g. produce deterioration, destruction, etc.). Such exemption would end and excise duties would become chargeable upon consignment to the first processor/buyer, but also in case the product undergoes any processing (beyond curing and natural processes that would spontaneously occur) or is sold 'on retail' (i.e. to a subject that is not registered on SEED). The flow diagram below (Figure F.5.2) summarises the different situations that might occur and the obligations applicable.

The proposed system is not completely exempt from ***vulnerabilities and loopholes at the local level*** which, however, cannot be addressed through EU fiscal harmonisation. In this sense, it would be crucial that MS maintain and, where necessary, enhance their national monitoring rules and obligations applicable to the tobacco sector under their agricultural regulations and administrative systems, such as: (1) registering obligations for farmers and producers organisations; (2) obligations to sell to authorised operators through written, registered contracts; (3) specific procedures to follow in case of product rejections, destruction, loss, etc.; (4) obligations related to boxing and sealing; (5) information obligations regarding planned movement and routes between agricultural premises; and (6) monitoring and control, etc.

Figure F.5.2 – Obligations applied to the first step of the supply chain under the proposed measure





(2) Weight losses or gains

Another aspect that requires appropriate arrangements regards the weight losses or gains that would occur to raw tobacco across the steps of the value chain, namely when cured tobacco leaves are acquired by the first buyer/processor. By nature, raw tobacco is subject to substantial ***weight fluctuations in connection to natural or artificial drying and moistening processes***. These procedures are controlled but there is a margin of unpredictability that would need to be managed under an excise duty regime to avoid the undue application of excise duties or abuses. The Horizontal Directive addresses the issue of partial losses that occur during cross-border movements. In particular, in the case of movements under duty suspension, the Commission is set to adopt delegated acts establishing common partial loss thresholds for the different types of goods and transport conditions. These should ideally also include raw tobacco and should not be limited to movements, but also ***extend to holding and storage*** to prevent weight discrepancies in the stock records that would unduly trigger excise duty payment.[522]

Other substantial weight changes occur during ***first and second processing activities***, as well as in the ***manufacturing of final products***, as a part of the ordinary transformation processes. Also in this case, arrangements should be established to deal with input/output volume discrepancies that are inherent in the normal transformation process. However, the variety of the processes and type of outputs involved would make it unfeasible to establish common tolerance thresholds. So, the Commission could establish general principles and guidelines, while demanding concrete implementation by MS competent authorities.[523]

- **TAX REGIME**

The third aspect to be examined is the regime – excise duty structure and rate – that would be applied to raw tobacco under the prospective new category. Regarding the harmonisation of the excise duty structure, it seems reasonable to apply the same approach used for defining the EPC base: a ***specific structure based on the weight*** of the product.

The ***excise duty rates*** are less straightforward because the measure has two partly conflicting objectives: (1) the measure is not intended to directly generate tax revenue, which would be tantamount to applying a zero-rate to raw tobacco; and (2) as the experience of raw tobacco fiscal regimes adopted in various MS shows, substantial excise duty rates are a major driver for deterring the risk of irregular transactions. As briefly described in Box F.5.1, MS have adopted different solutions to exempt regular B2B movements from the application of the tax and/or to prevent double taxation through appropriate deduction mechanisms.

[522] After first-processing, raw tobacco is normally stored for several months, and sometimes a few years, before it is used for the manufacturing of final products. Humidity can vary during storage, so the proposed rules should establish acceptable tolerance levels regarding weight losses and gains registered between inward and outward movements.
[523] In this respect, MS can take advantage of their experience in managing similar issues within the framework of the former CMO for tobacco.

Box F.5.1 – Approach to raw tobacco taxation in Member States' fiscal legislation

The review of national excise duty frameworks applied to raw tobacco identified two main approaches towards: (1) taxation used as a deterrent for non-standard (potentially irregular) transactions; and (2) full taxation (for all types of transactions) with deduction mechanism applied downstream the value chain. None of the reviewed raw tobacco national frameworks apply a zero-rate or a rate lower than the one applied to smoking tobacco.

Taxation as a deterrent for non-standard transactions. Most of the reviewed national regimes levy a tax on raw tobacco only when the product is held or traded outside the authorised B2B supply chain. Authorised supply chain players are exempted from the payment of the duty, which is instead applied to all other non-standard transactions. With some variants, these are the basic common features of the policies adopted by HR, CZ, PL, HU and LT. The rationale behind this approach is connected to the issue that MS aimed to tackle, i.e. the uncontrolled free movement of raw tobacco involving unregistered agents, which could be easily diverted to supply clandestine factories. According to the national authorities interviewed, this approach has reportedly led to a substantial reduction in the number of raw tobacco dealers and intermediaries. The tax rate applied to raw tobacco in these countries is typically the same as that for smoking tobacco, but sometimes more punitive treatments are extended for irregularities (e.g. in PL, the rate is doubled). This is fully in line with the provisions of the FCTC Illicit Trade Protocol. In some countries, it remains legally possible to sell raw tobacco to non-registered entities or directly to consumers, but taxation makes it economically disadvantageous compared to regular manufactured products. Coherently, these countries reported very limited tax revenues from raw tobacco, and mainly related to sanctions.

Full taxation with deduction along the value chain. In the sample of countries examined, the only example of this approach can be found in the revised legislation that has entered into force in Sweden in August 2021. In essence, the regime extends the national (non-harmonised) rules that Sweden already applies to snus and chewing tobacco to 'other forms of tobacco'. The objective is to resolve the uncertainties surrounding the classification of certain raw tobacco (mainly, tobacco refuse) that is imported into the country and used for making non-duty-paid snus. The submission to excise duty of raw tobacco would eliminate any economic incentive for this business, as raw tobacco and smoking tobacco will be taxed at the same level. However, the law envisages that authorised 'stock keepers', or *lagerhallare*,[524] can deduct the tax paid on raw materials from the tax due when the final product is released for consumption in order to avoid double taxation. Conversely, other traders (including final consumers) may continue importing raw tobacco, but they cannot deduct the tax. In other words, the new provisions will have limited practical effects on established producers but would affect the grey area of non-duty paid snus.

The regimes applied in the certain Member States can inspire the design of the new tax category envisaged for raw tobacco at the EU level and provide useful evidence for the estimation of its possible effects. At the same time, none of the examined national regimes is suitable for 'as is' adoption at the EU level, not only because they are anchored to specific national administrative systems but also because they lack instruments, like the EMCS, for the control of cross-border movements. In this sense, ***national regimes and the proposed EU-level harmonisation of raw tobacco should be seen as complementary*** instruments, the combination of which is necessary to achieve the desired effects. As discussed, the policy options reviewed in this Report are ***based on the application of the existing EU holding and movement rules – and notably the use of the EMCS system.*** Other solutions implemented or under development at country level (notably in France, see Annex E) have been reviewed but do not qualify as formal option, as they would require ad hoc legislation and the setting up of new EU tools (such as a coordinated, central registries), which go beyond the scope of the envisaged reform.

Two main aspects have been eventually considered for the formulation of the proposed approach to the taxation of raw tobacco. These aspects are briefly outlined here and reviewed for impact analysis purposes in the next section: (1) the application of a positive rate versus a zero-rate approach; and (2) the introduction of possible exemptions from the payment of the tax (but not from holding and movement obligations):

[524] In Swedish, *lagerhallare* is the equivalent of the tax warehouse keeper for non-harmonised products under the country's excise legislation.

1) **Excise duty rate**. As described in Box F.5.1, the application of excise duty to non-standard transactions is a building block of national fiscal regimes to control raw tobacco, as this constitutes a major deterrent against irregular holding and movements. The rate applied is typically the same rate of smoking tobacco, which underlines the fact that the main difference resides in the product's intended use, i.e. intermediate or final use. Regarding raw tobacco, the application of the same approach at the EU level would translate into the ***same excise duty minima applicable to the smoking tobacco category*** (which is also the same rate proposed for other manufactured tobacco in Section 4). The alternative approach would consist of ***setting a zero-rate as EU minima***, leaving MS free to decide whether or not to apply a positive rate on raw tobacco. To avoid the financial impact of the tax, operators can make recourse to ***duty suspension arrangements***. Any irregularity or abuse of duty suspension arrangements could lead to the application of excise duties.

   The recast Horizontal Directive also offers the opportunity to use the procedure for ***duty-paid products moved cross-border for commercial purposes***. If a positive rate is applied, this would entail the payment of the excise duty in the country of destination. If the product is then transformed into another excise good, an issue of duty compensation would arise. However, this is a theoretical occurrence. In practice, it can be expected that economic operators would opt for this solution only where the excise duty rate is zero (or negligible). In this scenario, raw tobacco would move along the supply chain as duty-paid product until it exits into the EU fiscal territory or is transformed into a final product by a manufacturer, thus triggering the excise duties applicable to the product concerned. All these cross-border movements would take place under EMCS (starting from 2024) and be covered by a guarantee provided by the downstream consignee (or by the consignor or other subjects). Irregularities would be sanctioned (including the collection of the relevant guarantee amount), but no excise duty liability would be incurred.

2) **Exemptions**. As discussed, certain national regimes apply a positive tax on raw tobacco but also exemptions to authorised B2B transactions involving intermediate products intended for further transformation into final excise goods. This approach would reflect similar exemptions that exist, for instance, in the EU harmonised rules for partially denatured alcohol,[525] as well as for tobacco itself under Article 17 of the Directive.[526] The exemption would regard the chargeability of the transaction and not the holding and movement rules. In this sense, this exemption would be most pertinent under the 'positive EU minima' scenario described above (although in the 'zero EU minima' scenario, MS would still be able to apply a positive rate).

   In principle, exemptions could be applied to: (1) all registered B2B operations, or (2) initial agricultural production only. The first solution has been reviewed with reference to the apparently similar rules applied to partially denatured alcohol under Directive 92/83/EEC.[527] The analogy with raw tobacco is however not robust for at least two reasons:

   - exemptions for partially denatured alcohol regard the use of alcohol for ***products that are not excise goods***, whereas the situation would be the opposite in the case of raw tobacco; and
   - in this respect, the exemption ***requires denaturation***, i.e. the addition of recognised substances that makes the product not suitable for drinking and which can be easily

[525] See Art. 27 of Council Directive 92/83/EEC of 19 October 1992 on the harmonization of the structures of excise duties on alcohol and alcoholic beverages.
[526] In particular, Article 17(d) establishes that MS can exempt or dispose of refunding for manufactured tobacco which is reworked by the producer. Conditions and formalities thereof are determined by MS.
[527] Council Directive 92/83/EEC of 19 October 1992 on the harmonization of the structures of excise duties on alcohol and alcoholic beverages, and following amendments, including Council Directive 2020/1151. In particular, Art 27.1 (b) established an exemption from excise duties "*when used as part of the manufacturing process of any product not for human consumption, provided the alcohol has been denatured in accordance with the requirements of any Member State for the given use. That exemption shall apply when such denatured alcohol: — has been incorporated into the product not for human consumption, or — is used for maintenance and cleaning of the manufacturing equipment used for this particular manufacturing process. Member States shall apply Chapter IV of Directive 2008/118/EC to movements of denatured alcohol that has not yet been incorporated into a product that is not for human consumption*".

verified by competent authorities. In the case of tobacco, the addition of equivalent substances to make it unfit for the manufacturing of tobacco products would evidently make this solution unfeasible.[528] Additionally, the rules on partially denatured alcohol do not per se imply mutual recognition by MS. Mutual recognition is, instead, envisaged for completely denatured alcohol, which is however a product that – for this reason – is not taxed and is traded outside of the EMCS system.

As discussed in Box F.5.1, some MS have adopted exemption rules that are not based on the intrinsic product features (as is the case with denaturation), but on the intended industrial use, proxied by the type of operators involved. At the country level, where there is generally a handful of well-known first-processing and manufacturing establishments, this approach can be implemented in a reasonably straightforward and effective way. Conversely, at the EU level, this approach might imply some additional administrative layer for the identification and verification of beneficiary operators that, as discussed, go beyond the scope and the objective of the proposed reform.[529] Furthermore, the full exemption for all movements of intermediate products could significantly ***weaken the effectiveness of the proposed tax regime*** in helping control and deter diversion to illicit trade. In the absence of denaturation and of robust mechanisms to select operators eligible to the exemption, it would be necessary to adopt transaction-based control measures, such as the 'exemptions certificates' outlined in Art. 12 of the Horizontal Directive (recast). However, considering the magnitude and the frequency of raw tobacco movements, this solution would impose a huge and poorly justified burden.[530]

For the reasons described above, the option of a full excise duty exemption for raw tobacco appears poorly feasible and of limited utility for the monitoring purposes of the policy revision at stake. On the other hand, such a mechanism can be beneficial if ***applied to the initial step of the supply chain***, i.e. on green or cured tobacco held by farmers or collection centres and before it is dispatched to the first processor/buyer. This solution would enable the application of positive rates on raw tobacco while removing the need for farmers and their organisations to become liable to the payment of excise duties (amounting to nearly 40 times the price of harvested tobacco) or to deal with duty suspension arrangements.[531] In other words, raw tobacco would remain an excise good in this initial step, but the chargeability is postponed to the moment where the product is sold or consigned to the first buyer/ processor.

In sum, two main scenarios will be examined in the impact analysis (Section 5.3) as summarised in Table F.5.2 below.

[528] Denaturation of tobacco does exist as an option, and it is envisaged under Article 17(a) but only with reference to tobacco used for industrial or horticultural purposes, and under conditions established by MS. The use of tobacco for purposes other than human consumption remains marginal and negligible compared to alcohol.

[529] We have assumed here that SEED registration would not be sufficient to deter the risk of the system being penetrated by rogue operators. Indeed, the MS that have adopted this solution generally apply discouraging conditions to traders and intermediaries which are outside of the 'regular' supply chain (growers, processors, manufacturers). Evidently, such discrimination can hardly be made at the EU level based on SEED registration.

[530] Issuance of 'exemption certificates' to private traders engaged in cross-border movement of raw tobacco would imply appropriate due diligence controls as there would be a strong incentive for unlawful players to obtain such certificates for fraudulent activities.

[531] Among other things, the obligations related to duty suspension arrangements would pile up with the obligations and the control provisions that already exist for growers in most tobacco-producing countries (see Annex E).

Table F.5.2 – Scenarios for the introduction of a harmonised excise category for raw tobacco

	Scenario A	Scenario B
Minimum rate and exemptions	• Zero EU minima • MS remain free to apply an excise rate, but for analytical purposes, it is assumed they would not • Excise duty exemptions will not be needed (in theory)	• Positive EU minima, equal to OST / OMT rate • MS remain free to apply a different excise rate, but for analytical purposes, it is assumed that they would apply the (current) OST rate • Excise duty exemptions applied to (green or cured) harvested tobacco until it is sold to the first buyer/ processor.

5.2.2 Option 3B - Revision of the smoking tobacco definition (Art. 5.1)

➢ **REVIEW OF THE PROBLEM AND INTERACTION WITH THE OTHER POLICY OPTIONS**

The current definition of smoking tobacco outlined in Art. 5.1 of the Directive has been the subject of legal disputes and operational issues for raw tobacco supply chain operators in recent years.[532] Currently, the Directive defines smoking tobacco as: "*tobacco which has been cut or otherwise split, twisted or pressed into blocks and is capable of being smoked without further industrial processing* […]". The definition also includes tobacco refuse (i.e. remnants of tobacco leaves and processing and manufacturing by-products) that is put up for retail sale (i.e. not sold in bulk).

The need for revision of the current definition arises from the unclear interpretation of certain terms used, such as "*tobacco which has been cut or otherwise split*" and "*capable of being smoked without further industrial processing*". Public authorities and most economic operators agree that the current definition does not ensure, in particular, a clear demarcation between smoking tobacco and first processed tobacco. As discussed in Section 5.2.2, in some MS, this uncertainty has been partly fuelled by the CJEU landmark ruling on the *Eko-Tabak* case (C-638/15, April 2017) and underpinned the application of stricter classification rules, which had adverse effects on the functioning of the supply chain in a few MS.

Before discussing any option for revision, it should be highlighted that some of the other revisions proposed in this Report would already have an impact on the policy problem, hence on the need to revise the current text of Art 5.1. In particular:

- The enlargement of the scope of the Directive and the adoption of a 'catch-all' ***excise category for other manufactured tobacco*** (see Section 4.2). In this scenario, raw tobacco would no longer be defined in opposition to smoking tobacco but rather in contrast to other manufactured tobacco (OMT). The main difference evidently regards the non-smokability criterion, which would no longer distinguish raw tobacco from manufactured products. This would remove a major portion of the current problem with Art 5.1,[533] but the distinction between raw tobacco and OMT would become even more complex, as it would be deprived of a crucial – though controversial – element. As a result other demarcation criteria should be introduced, which refer to the intermediate status of raw tobacco compared to manufactured final goods.
- At the same time, the creation of a tax category for raw tobacco, and the ensuing application of the aforementioned holding and movement obligations, would remove most incentives for the abuse triggered by the Art. 5.1 definition because ***both raw and smoking tobacco (or OMT) would have to be moved under EMCS*** and become subject to the same rules and controls. Any detected cross-border movement occurring outside of EMCS would be

[532] See Annex E for a review of the CJEU ruling on the *Eko-Tabak* case (C-638/15) and its effects on the raw tobacco supply chain operations.
[533] A demarcation issue would remain between OMT and smoking tobacco, but – as discussed in Section 4 – concrete problems can be avoided by setting the same excise duty rate for the two products.

sanctioned, regardless of the physical characteristics of the product involved and its categorisation as raw or smoking tobacco (or OMT). The distinction between raw tobacco and all other products would remain relevant only in the event that the excise regime applied is different, particularly in the zero EU minima scenario. Conversely, should both products be subject to the same excise duty rates, any incentive for classification abuses would be removed.

The argument raised in the second point does not suggest that distinguishing between raw tobacco and other products would become irrelevant. On the contrary, it remains important to ensure a clear distinction between an intermediate (raw tobacco) and a final product (smoking tobacco or OMT) for the ***implications that this distinction can have on other legal obligations***, such as the traceability and security features systems and other TPD requirements applicable to tobacco products. In other words, it is important to specify that the products that will fall under the new tax category for raw tobacco are not products intended to be placed on the market for final consumption, thus should not be considered as 'tobacco products' in the sense of the TPD.[534]

- **THE PROPOSED APPROACH**

MS have adopted different solutions to cope with the uncertainties inherent in the definition of smoking tobacco and in the demarcation with raw tobacco. These various solutions can be roughly grouped in three main approaches, as described in Box F.5.2 below, namely: (1) the ***revision of the definition of smoking tobacco*** in the national legislation; (2) the introduction of the ***'intended use' criterion*** to distinguish legitimate supply chain transactions from irregular, potentially suspect movements; and (3) the de facto ***removal of any distinction*** for any practical purposes.

Box F.5.2 – Member States' approaches to distinguish between raw and smoking tobacco

Most MS have adopted solutions that – through different means and legal or administrative mechanisms – introduce the criterion of the ***intended use*** to distinguish between raw and smoking tobacco. This approach was often inspired by pragmatism, as the objective was to provide law enforcement agencies with effective tools to straightforwardly distinguish between low-risk movements – i.e. those where a legitimate use of raw tobacco can be supposed (e.g. a shipment sent from a registered first-processor to a manufacturer's tax warehouse), and high-risk movements where the final use of tobacco could not be ascertained – i.e. those involving unregistered traders. These approaches do not typically require a revision of the smoking tobacco definition, simply because physical differences between smoking tobacco and raw tobacco become less crucial for the determination of the risk profile of the transaction.[535] Needless to say, MS have adopted several additional measures to verify transactions (see Annex E), including the prior notification of the details of any movement and of the methods employed to verify the validity of transport documents to the authorities.

Another approach to the issue consists of ***refining the smoking tobacco definition*** in the national legislation, referring to the intrinsic characteristics of the product, regardless of the type of players involved in the transaction. This is notably the case of Bulgaria, where – in addition to Art. 5.1 criteria – the smoking tobacco definition also includes products that contain more than 0.65% of glycerine (and can be smoked after simple hand crushing and/or cutting). This additional criterion was possibly inspired by the line of reasoning outlined in the CJEU *Eko-tabak* case ruling and relates to standard industrial practices.

Regarding the third approach, we can mention again the revised Swedish legislation that entered into force in August 2021. In this framework, for the 'other forms of tobacco' category, it is not relevant whether a product has the intrinsic characteristics of raw or manufactured tobacco or whether it is moved as an intermediate or final good. Any tobacco product which does not fall into one of the existing tax categories is deemed to fall under the 'other forms of tobacco' category. In this sense, the problem of ***distinction is removed***.

[534] In the TPD, 'tobacco products' means products that can be consumed and consist, even partly, of tobacco, whether genetically modified or not (Art. 2).
[535] Some MS reportedly consider the packaging of raw tobacco as a possible indicator of intended sale outside of the supply chain, but only CZ makes an explicit reference to the sale to the end consumer in its raw tobacco excise definition.

The proposed approach has been informed by the three national approaches described in Box F.5.2. As discussed in the next section, their relevance and utility would depend on whether and how the 'raw tobacco' and the 'other manufactured tobacco' categories would be introduced in the EU excise legislation. The salient features of the possible revised definition of smoking tobacco can be summarised as follows:

a) ***Revision of the characterising product features***. This regards possible clarifications of the first conditions that require tobacco to be "*cut or otherwise split, twisted or pressed into blocks*". Based on the CJEU *EkoTabak* ruling, this condition could be further specified. For instance, the CJEU ruling mentioned that "*leaves have been partly stripped in order to remove the petiole*". For smoking tobacco, similar clarifications can be useful although it should be noted that in the case of OMT, a less stringent condition is applied (essentially, any processing other than curing). At any rate, this discrepancy would not create loopholes or classification uncertainties because the second condition ('capable of being smoked) for smoking tobacco would prevail.
b) ***Revision of the 'smokability' condition***. 'Smokability' is the crucial condition to distinguish smoking tobacco from raw tobacco (as well as from the possible new OMT category). The 'smokability' condition reportedly causes most of the classification issues concerning both the concept of 'being smoked',[536] as well as the meaning of 'without further industrial processing'. As seen in Box F.5.2, Bulgaria has introduced a further criterion linked to the addition of glycerine, which is a standard process aimed at improving moisture-holding characteristics of tobacco.[537] Tobacco containing a sufficient amount of glycerine can be easily cut and used as cigarette filler or as rolling tobacco. On the other hand, the use of other humectants would easily allow circumvention of this condition. A second possible revision can be inspired, again, by the CJEU interpretation of the 'industrial processing' condition. CJEU translates this condition in terms of "*simple processing by means of crushing or hand-cutting*", thus removing (in part) ambiguities on what qualifies as an 'industrial process'.
c) ***Addition of conditions related to the intended use as a final product.*** The revisions mentioned under point (b) would make it easier for first-process tobacco (prepared according to current industry standard) to be subsumed under the smoking tobacco definition. Indeed, this is what happened when some MS authorities started applying the CJEU interpretation of Art. 5.1 definition. In this sense, such revisions could help remove some classification disparities but would not help distinguish a genuine intermediate product from a final product for excise purposes. For this reason, other additional conditions should be considered in line with the approach adopted by some MS that focus on the intended use of the product rather than on its characteristics. Incidentally, this principle is already embedded in Art. 5.1 with reference to tobacco refuse, which is classified as 'smoking tobacco' only when 'put up for retail sale'. Tobacco refuse sold in bulk is excluded, even if capable of being smoked. The 'retail sale' criterion would nonetheless require some specifications. In particular, two conditions can be established:

    (i) The ***preparation and/or condition*** of products, i.e. whether they are portioned and packaged for retail sale and/or the weight of the package does not exceed a certain threshold.[538] This condition would add an objectively verifiable element that, when combined with EMCS and other obligations, would facilitate customs and law enforcement officers to distinguish genuine raw tobacco movements and investigate suspect ones.
    (ii) The ***type of operators*** involved, i.e. – as discussed under Option 3A – the selling of raw tobacco to unregistered operators (including individuals) would automatically trigger the

[536] Arguably, 'capable of being smoked' should imply a condition that goes beyond the mere capability of self-sustained combustion, but some sort of matching with normal consumer expectation for this type of product. On the other hand, consumer expectations are a highly subjective criterion and there are no solid, objective elements to mainstream this concept into the definition without further fuelling uncertainties.
[537] Carmines EL, Gaworski CL." Toxicological evaluation of glycerine as a cigarette ingredient". Food Chem Toxicol. 2005 Oct; 43(10):1521-39.
[538] This threshold should ideally make reference to industrial practices. The effectiveness of the provision would be enhanced if paralleled by an obligation for raw tobacco operators to comply with this minimum package weight when moving their products.

regime of smoking tobacco or OMT as applicable. This condition would inter alia help ***tackle the issue of direct selling of raw tobacco to consumers***; raw tobacco sold at the retail level would be taxed as smoking tobacco (or OMT) and this would make it poorly attractive to consumers.[539]

5.3 Impact analysis

➢ **IMPACT ON ILLICIT MANUFACTURING AND TRADE**

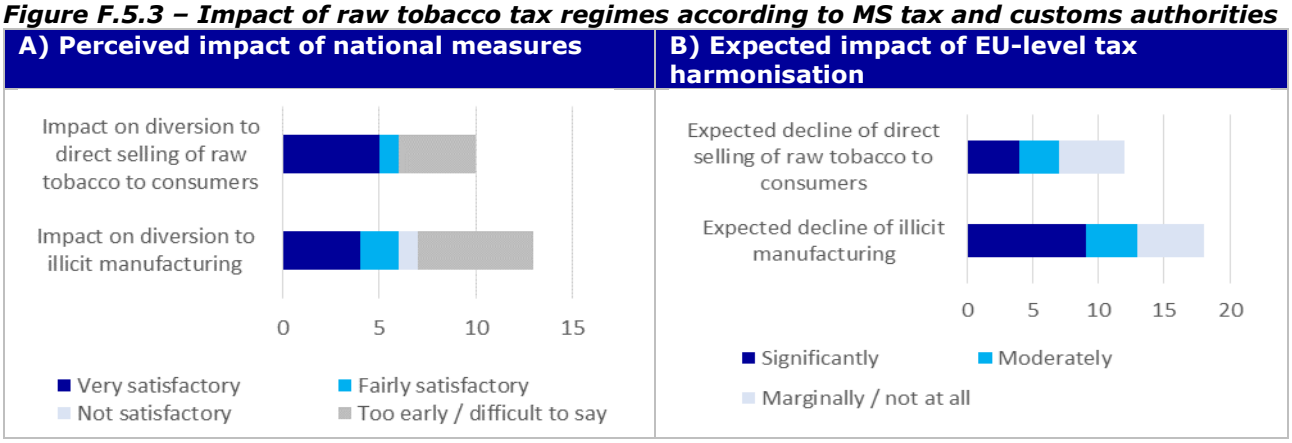
This is the main area of intended impact for the proposed measure and the underlying driver of the policy revision itself. The justification behind Option 3A resides specifically in its benefits in terms of the reduction of illicit manufacturing in the EU. However, this is an impact that cannot be precisely quantified because (1) the magnitude of the problem can only be roughly estimated and (2) the proposed measure is a radically new approach for which there is no benchmark, and the impact of similar MS regimes can only partly be leveraged to this end.

Regarding the magnitude of the policy problem, the estimates elaborated in the Report indicate that the output of illicit manufacturing in the EU can amount to roughly 15 billion cigarettes, annually.[540] These rough estimates should be considered as the order of magnitude of the policy problem and, at the same time, the ***upper threshold for the expected benefits***, meaning that in the best case scenario the proposed measure would reduce illicit manufactured products by 15 billion units (i.e. around 30% of the total consumption of illicit cigarettes in the EU).

Regarding the second point, some useful indications can be drawn from the experience of MS which introduced a fiscal regulation of raw tobacco and from competent authorities' expectations about the effects of harmonisation at the EU level. In particular:

- MS that introduced a tax regime on raw tobacco frequently registered ***satisfactory results regarding diversion*** of both illicit manufacturing and direct selling to consumers, although in many cases it is too early to draw conclusions and effects are difficult to measure (Figure F.5.3). The results of the case studies (Annex E) indicate that national tax regimes help eliminate the raw tobacco trade 'grey area' (unregistered, occasional traders) that were deemed conducive to diversion.
- Similarly, the majority of MS expect ***positive impacts from the prospected EU-level harmonisation***, especially in terms of the decline of illicit manufacturing (but the issue of direct selling is only relevant for a few countries).

Figure F.5.3 – Impact of raw tobacco tax regimes according to MS tax and customs authorities



Source: *TCA survey* ***Note:*** *'Don't know' answers are not displayed*

[539] Evidently, this would not per se prevent frauds involving products sold online (e.g. on social networks), but the risk of being detected and charged with excise duties would act as a substantial deterrent, compared to the current situation.
[540] As discussed in Annex E, this figure does not include illicit WPT and illicit FCT sold on retail (but it is assumed that part of the FCT seized in clandestine manufacturing sites was intended as cut filler for the production of cigarettes).

For most authorities with a raw tobacco regime in place, the main weakness of the current schemes relates to the fact that their coverage is limited to the national territory and that there is no coordinated, efficient mechanism to track movements across borders. In this sense, the proposed measure would likely have ***positive effects compared to national regimes***, as it would remove this weakness. On the other hand, as shown in the case studies, MS regimes include specific rules that go beyond the obligations that would be imposed by the extension to raw tobacco of the Horizontal Directive holding and movement rules. These include for instance:

(a) the obligation to notify the competent authorities of any movements (including transit) with very short notice (e.g. 2 days); and
(b) the obligation to sell/buy tobacco only to/from recognised supply chain operators, with penalising conditions applied to other types of traders (with deterring effects).

The expected impacts would vary across countries, and it can be assumed that MS that already have a tax regime for raw tobacco benefits would be more limited than in countries with no mechanisms in place. The effectiveness of the proposed measure vis-à-vis diversion issues would also vary depending on the modus operandi:

- The diversion of raw tobacco ***originating from the registered supply chain*** (i.e. through intermediaries and fictitious companies involved) would be hit by this measure. In principle, authorities would be able to track cross-border movements, identify suspect transactions and reconstruct possible diversion routes. On the other hand, EMCS is not an enforcement tool and might not be sufficient to secure completely the supply chain from the risk of diversions. As emerged from fieldwork discussions with authorities, like all IT systems there are potential risks associated with EMCS, such as the so-called 'multiple loading', i.e. sending multiple clone-shipments under one single eAD, taking advantage of the time delay allowed for closing movements at the end point. This is an unlawful practice that evidently legitimate operators do not use, as it would put their authorisation at risk, but fictitious companies could exploit to continue moving unregistered tobacco outside of the system. Furthermore, EMCS is mandatory for cross-border movements only. So, unless MS decide to apply it also to domestic movements, the risk of diversion within individual countries would persist.
- The impact on the ***supply of irregular raw tobacco for illicit manufacturing*** (i.e. undeclared imported raw tobacco or EU-grown tobacco not registered or sold to regular supply chain operators) would be mixed. There would be a pressure to increase this form of supply to compensate the reduced access to tobacco originating from the legal supply chain; however, raw tobacco moved outside EMCS would be more easily detected as irregular and sanctioned, so the risk incurred by rogue operators would be enhanced.

Additional indications can be drawn from the ***underlying drivers*** behind the surge of illicit manufacturing in the EU. The large majority of authorities consulted indicate two main explanatory factors: (1) the lack of control on the supply chain; and (2) the increase in price levels of legal products, which made illicit activities that were not possible before economically viable.[541] The latter point should be considered in light of the peculiar price dynamics of illicit cigarettes, which are typically pegged to the price of legal products (i.e. 50% to 60%). In this sense, producing illicit cigarettes in the EU is likely more costly than producing them in low-cost third countries, but the increase in black market prices (induced by the increase of legal products' prices) have seemingly created economic opportunities to establish profitable illicit businesses closer to the market of end consumption, typically Western Europe, Nordic countries and the UK. At the same time, this assumption entails that any increase in the manufacturing costs of illicit products (in the form of increased risks and more difficult procurement of diverted raw tobacco) would erode the illicit trade margin.[542] It can be expected that an increase of costs beyond certain levels would make ***illicit manufacturing in the EU no longer profitable***. To what extent the proposed measures would raise illicit manufacturing costs and trigger such beneficial effects is difficult to say, but some indicative simulations can be elaborated (Box F.5.3 below).

[541] Conversely, the phenomenon seems poorly explained by enhanced border control capacity or market changes in neighbouring non-EU countries.
[542] Compared to legal products, where an increase in manufacturers costs (including tax charges) is passed on to the retail selling price, it can be assumed that the increase of costs for illegal products should be absorbed by the operator.

Box F.5.3 – Estimated effects of the proposed measures on the economics of illicit manufacturing

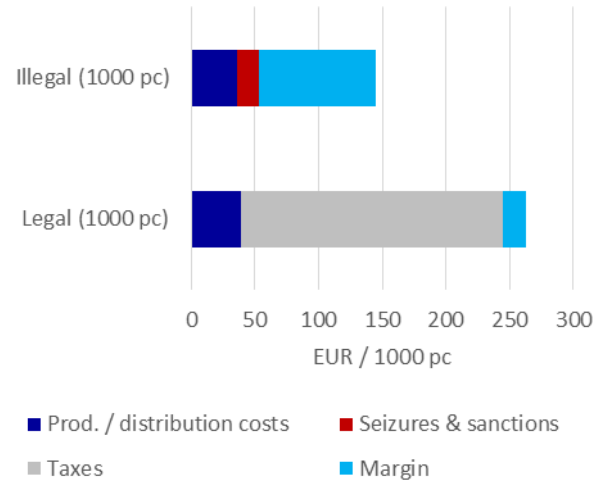
This section examines the impact of a tax regime on the availability of raw tobacco for diversion to illicit manufacturing in order to draw useful indications on the effectiveness of the proposed policy revision. It should be highlighted that the simulations presented here are purely speculative, since there neither research nor empirical data allow for a more robust assessment. Therefore all numerical results reported in this section have to be considered as rough orders of magnitude of expected impacts. The assumptions proposed are based on qualitative discussions with informed stakeholders and the review of law enforcement reports and studies. The starting point is to compare the selling price and price composition of legal and illegal cigarettes:

- In the case of legal cigarettes, the average selling price (in the EU in 2020) is EUR 263 per 1,000 pieces. The average pre-tax price is 22% (approximately EUR 58), which include production and distribution costs and the manufacturer margin (approximately 7% to 8% of the selling price).[543]
- The average selling price of illegal cigarettes is generally 50% to 60% of legal products (EUR 145 per 1,000 pieces in this simulation). The incidence of production and distribution costs of illegal cigarettes is likely higher than that of legal cigarettes,[544] i.e. 25% of the final price. Additionally, part of production ends up being intercepted and seized by law enforcement authorities (approximately 10%, comparing seizure statistics with an estimated magnitude of the phenomenon) and is subject to sanctions and fines that, based on the review of MS systems (and excluding excise duties) can be roughly estimated at 15% of the hypothetical sales revenue from the seized products,[545] which translates into additional costs to be covered through illicit sale revenues.

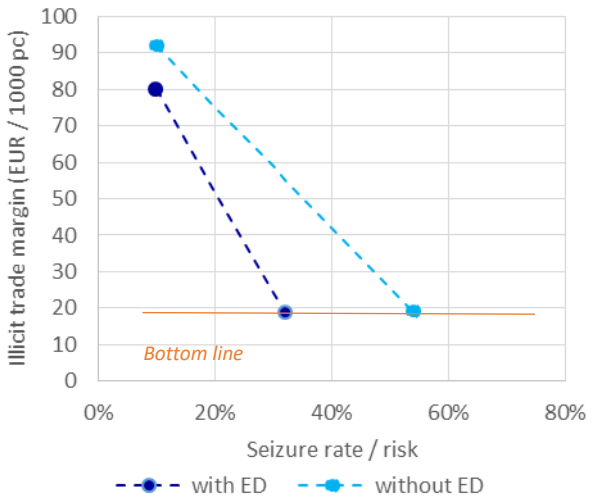
The model depicted in Figure F.5.4 below provides a rough estimation of how an increase in the seizure of illicit tobacco (or risk thereof) would translate into a reduction in the profit margins (hence viability) for unlawful operators because of an increase of the costs related to seizures and sanctions.

Figure F.5.4 – Impacts on illicit manufacturing of increased law enforcement capacity

A) Theoretical price composition for legal and illegally manufactured cigarettes (average EU price)



B) Impact of an increase of seizure rate / risk on illicit trade margins



Note: *In Panel B, the baseline situation corresponds to a seizure rate of 10% (with profitability dependent on whether excise duty is applied or not); the 'bottom line' refers to the minimum profitability observed for legal products and is also assumed as applicable for illicit products.*

[543] Source: market analysis carried out under EA 2019.

[544] The reasons are: (1) higher purchasing price of raw tobacco than for legal activities; (2) productivity is high but not as much as in legal, highly-automatised establishments; (3) specific fixed costs related to energy independence (generators), periodical resettlements, additional tools and systems to produce and sell undercover, etc.; and (4) costs related to the risk incurred, i.e. product seizures, sanctions, judicial trials, etc. These are assumed to exceed cost savings, i.e. labour costs, security and compliance with production rules.

[545] Some countries apply a sanction per kg (with a minimum floor of no less than EUR 1,000), while others have sanction ranges that also depend on other factors (see Annex E). The figure assumed in the simulation is a rough average of very different values (and does not consider sanctions connected to excise duty liabilities).

The model shows a drop in profitability under both a zero-rate and a positive rate of excise duty scenarios. However, the application of excise duties (namely the current excise levels applied to OST) to seized products would further accelerate the drop in illicit profit levels.[546] For instance, an improved monitoring system that could potentially detect up to 20% of illicit raw tobacco movements (i.e. twice the current estimated detection levels) would lead to a reduction of illicit profit margins by less than 20% in the absence of excise duty and by 35% if excise duties are applied.[547] In a hypothetical scenario where excise duties are applied and one-third of illicit raw tobacco is seized, illicit manufacturing activities would no longer be economically viable. In the absence of more precise indicators, the reduction in profitability (displayed in Figure F.5.4.B) can be retained as a proxy of the reduction in the supply of illegally manufactured products.[548]

The estimates outlined in Box F.5.3 are merely indicative. Still, the feedback collected from countries that have set up fiscal regimes for the control of raw tobacco (along with positive excise duties) would confirm that a significant reduction of the grey trade deemed conducive to diversion can be achieved. This is also consistent with the positive outlook expressed by surveyed authorities (Figure F.5.3). Therefore, it seems plausible to assume, for analytical purposes, that the proposed measures would lead to increases in the current detection and seizures (or risks thereof) from the current estimated 10% up to an estimated 20% to 30% of the volume of illicit manufactured cigarettes, thus reducing sales in accordance with the order of magnitudes provided in Box F.5.3, and namely:

- between 35% and 69% if a positive excise duty rate equal to the OST rate is applied (Scenario B), with an ***average estimate of 52%***; and
- between 18% and 36% if a zero-rate is applied (Scenario A), with an ***average estimate of 27%***.

These estimated decline rates regard the manufacturing of illicit cigarettes. Data on other products (i.e. fine-cut tobacco and waterpipe tobacco) are more sparse, but it can be assumed that effects of similar magnitude would be registered also on the illicit manufacturing of these products. It should be underlined that the reduction of illicitly manufactured products would ***not necessarily entail a reduction in the overall availability of illegal products***, as the former can be to a varying extent compensated by an increase in the smuggling flows from non-EU countries, the extent of which is unfeasible to predict.[549]

A final consideration regards the impact of prospective market evolutions, in light of interactions with the other policy options examined in this Study. The proposed increase of EU minima (see Section 3) will expectedly lead to an increase in the price of legal cigarettes and other tobacco products. As discussed, the price (and the profitability) of illegal products would, in principle, increase accordingly, ***encouraging a further expansion of illicit manufacturing activities*** and partially offsetting the benefits of the proposed monitoring measures described in Box F.5.3. However, while this can be the case in the zero-rate scenario, this is unlikely to happen in the 'positive rate' scenario because the excise duty that would be applied to irregular products would increase as well and possibly more than proportionally to their selling price.

- **IMPACT ON TAX REVENUES**

[546] In the zero-rate scenario, irregularities would be sanctioned differently by each MS. Depending on the severity of the infringement, sanctions may involve an administrative fine, product seizure and, in rare cases, criminal law penalties. In the second scenario, in addition to sanctions, the offenders will be liable to the payment of the excise duty, which can have a more significant economic impact than fines and seizures. For reference, the average excise duty on smoking tobacco in the EU was approximately EUR 117 per kg in 2019, while the price of raw tobacco (leaf) was mostly in the range of EUR 2.5 to EUR 4.0 per kg.

[547] The comparative impact of excise duties is conservative because the number of sanctions is also expected to increase in connection with excise duty levels.

[548] This is tantamount to assume that – as for legal businesses – the market would react to profitability losses by progressively expelling the less efficient players.

[549] However, the EU reinforced efforts to fight the illicit trade of tobacco (ITTP strategy and Action Plan). Combined with the full deployment of the EU system for traceability and security features, it could succeed in mitigating such risk.

The expected reduction in the sale of illicit manufactured tobacco described in the previous section would have direct positive effects on MS tax revenues, as the losses caused by tax frauds will be partially recovered. A tentative assessment of the magnitude of such impact has been carried out, based on the estimated decline of illicit product volumes. The results (illustrated in Table F.5.3) of the scenario analysis indicate a reduction in foregone tax revenues of approximately ***EUR 1.0 billion*** in Scenario A and of nearly ***EUR 2.0 billion*** in Scenario B (i.e. with a positive excise duty applied). Considering that the total excise duty loss associated with ITTP is estimated to exceed EUR 10 billion, the impact of the proposed measures, in relative terms, would translate into recovering 10% to 20% of the current tax fraud.

The reported results are subject to a few caveats and assumptions that are worth highlighting:

- the revenue loss is estimated based on the EU weighted average excise duty applicable to the products at stake, regardless of the market in which illicit products are actually consumed;
- it is assumed that the distribution of illicitly manufactured products across MS is equivalent to the total distribution of illicit products (i.e. EU-made and of foreign origin), despite the anecdotal indications that certain markets are more affected by illicitly manufactured products than others;
- a decline in illicit manufacturing could be partly offset by an increase of illicit products of foreign origin, which would somehow mitigate benefits (but this effect cannot be quantified with reasonable robustness);
- the simulated scenarios imply illicit products are replaced with duty-paid products of the same type (i.e. no 'down-trading' or recourse to other less expensive products, including through cross-border shopping); and
- the above-described methodological limitations in estimating the magnitude of the problem (baseline situation) and the reduction induced by the proposed measures also apply to the estimates provided in Table F.5.3.

Table F.5.3 – Reduction in revenue losses connected to the decline of illicit manufacturing volumes

	Baseline				**Impact scenario, without excise duties**		**Impact scenario, with excise duties**	
	Vol ITTP	**Vol IMP**	**Rev loss ITTP**	**Rev loss IMP**	**Vol reduction**	**Rev loss reduction**	**Vol reduction**	**Rev loss reduction**
	Billion units / million kg		*EUR million*		*Billion units / million kg*	*EUR million*	*Billion units / million kg*	*EUR million*
FMC	46.8	14.5	7,380	2,288	3.9	618	7.5	1,190
FCT	22.8	11.4	2,638	1,319	3.1	356	5.9	686
WPT	4.4	2.2	294	147	0.6	40	1.1	76
Tot			**10,312**	**3,754**		**1,014**		**1,952**

Legend: *ITTP=Overall illicit trade of tobacco products; IMP=Illicit manufactured products.*

- **IMPACT ON MARKET FUNCTIONING**

The uncertainties with the interpretation of the smoking tobacco excise definition (Art. 5.1 of the Directive) are not only a cause of administrative burden for MS authorities and operators alike, but also affected the functioning of the supply chain in some countries.[550] This issue intensified

[550] As emerged from MS authorities' consultation, the problem of distinguishing between raw and manufactured tobacco has actually worsened over time. The number of seizures and disputes over shipments of (claimed) raw tobacco has increased in the majority of MS. This had evident repercussions on the business practices of supply chain operators, related to the uncertainty that followed judicial cases, and regardless of the number of such cases. For instance, sector representatives reported that the near totality of raw tobacco shipments across France dropped for fear that the more stringent criteria adopted by local authorities would lead to the imposition of excise duties. The extremely wary reaction of economic operators can be understood considering that a 20t shipment worth EUR 100,000 would risk excise duties liability of nearly EUR 3,500,000.

after the CJEU landmark ruling on the *Eko-Tabak* case (C-638/15, April 2017), but demarcation problems were already widespread and under the lens of law enforcement authorities due to the increasing diversion issues connected to them. At the same time, the problem was possibly magnified by the fact that the industry standards for first or second processed tobacco could in some circumstances meet the customs' conditions of 'suitability for smoking' (i.e. positive outcome to the smoking test envisaged in CNEN), and this could trigger the application of excise duty in some MS.[551]

The baseline situation that emerged from tax and customs authorities showed a worsening picture over the past three years, with a ***relative majority of MS registering an increase in the frequency of seizures*** involving smoking tobacco classified as raw tobacco. Only one MS reported an improvement, namely in relation to a substantial tightening of classification criteria followed by the ongoing development of a restrictive raw tobacco tracking system developed in collaboration with operators. As described in Annex E, various countries have instead introduced criteria based on the 'intended use' (i.e. to distinguish B2B regular supply chain transactions from other potentially hazardous transactions) or refined the smoking tobacco definition based on CJEU ruling arguments.

The demand for a revision of the smoking tobacco definition is widespread and stems from both authorities and economic operators, since the burden of dealing with classification uncertainties affect both.[552] So the bottom line is that any ***effective revision of Article 5.1 would represent an improvement of the current situation***. The pros and cons of the different possible revisions considered (see Option 3B) are summarised in Table F.5.4 below. It should be noted that:

(1) the described revisions are ***not mutually exclusive***; and
(2) the analysis refers to the ***current situation*** where the proposed new category for OMT is not in place.

Table F.5.4 – Possible revisions of the current smoking tobacco definition (Art. 5.1a)

Revisions	Description	Pros	Cons
A) Revision of intrinsic features	Clarification of the terms "cut or otherwise split". Under the CJEU, it can be added that "leaves have been partly stripped to remove the petiole".	• Adds overall clarity • Consistent with current practice	• Not strictly necessary, as this part of the definition is not considered particularly problematic
B) Revision of smokability features (without industrial processing)	Clarification of the term "capable of being smoked without further industrial process". Possible solutions include reference to the fact that the product: a) contains glycerine; and/or b) can be smoked after simple processing through crushing or hand cutting.	• Consistent with current practice • Avoids the problematic reference to 'industrial processing' • In line with practice in a few MS	• Glycerine can be replaced with other humectants to circumvent the definition • 'Simple processing' remains a fairly subjective criterion

[551] It is worth briefly noting that the 'smoking test' outlined in CNEN is intended to distinguish between products falling under Heading HS 2401 of the customs classification (unmanufactured tobacco) and HS 2403 products (other manufactured tobacco), but this does not per se have excise duty effects because there are no explicit links between customs and excise classification, and furthermore, HS 2403 includes both excisable and not excisable products. Still, since customs classification typically occurs first, tobacco that is considered 'suitable for smoking' under the smoking test, is very likely to be classified as 'smoking tobacco' for the purpose of excise legislation.
[552] In the case of economic operators, this is coupled with the risk of incurring in tax charges.

Revisions	Description	Pros	Cons
C) Addition of conditions related to the intended use as a final product (as opposed to raw tobacco which must remain an intermediate product)	Two conditions can be envisaged (it is sufficient to meet one of the two): a) small packages, compatible with retail selling; or b) sale to a final user (i.e. not an authorised player registered in SEED).	• Allows specifying (by contrast) the intermediate nature of raw tobacco • Determines the excisability of bulk tobacco sold on retail • Prompts industry to adopt standardised packaging practices and removes ambiguities	• Involves implementing additional acts (to define packaging rules) • Registration of players on SEED does not per se guarantee the transaction is a typical B2B supply chain operation

When revising the current definition, attention should be paid to ***the way the different criteria are combined*** and the hierarchy between them. With reference to Table F.5.4, there would be three main criteria to combine: (A) intrinsic product features; (B) smokability features; and (C) intended use, which can be disaggregated into (C1) packaging rules; and (C2) buyer status. At present, conditions (A) and (B) are linked because both conditions must be fulfilled, otherwise, the product is considered raw tobacco. Condition (C) can be added in different ways, as reviewed in Table F.5.5 below, and either (C1) or (C2) should always be added to ensure effectiveness. Of the three combinations examined, ***the third solution emerges as the most suitable*** as it does not place excessive emphasis on the 'intended use' and, at the same time, underlines the processed nature of the product involved.

As discussed, the possible introduction of a new category for OMT would require rethinking how the different conditions are combined. In essence, the distinction between raw tobacco and OMT would be based on conditions (A) and (C), while condition (B) would trace the boundary between OST and OMT. The flow diagram outline in Section 4 (Figure F.4.5) clarifies how the different conditions would lead to different product classifications.

Table F.5.5 - Logical combinations of conditions laid down in the smoking tobacco definition

#	Combination of conditions	Change over the current situation	Estimated effects
1	(A) and (B) and (C)	(C) is a cumulative condition, placed at the same level of the existing ones	It would de facto translate into relaxed conditions applied to all current 'borderline' situations. In practice, cut and smokable products can escape the definition if packed in bulk and sold to an intermediate player. This is the solution that would best meet the needs of supply chain operators, but it would not offer sufficient safeguarding against the risk of abuse (in the zero-rate scenario) because 'smokable' products could circulate as non-taxed raw tobacco.
2	[(A) and (B)] or (C)	(C) is an alternative condition to the current ones (combined)	If a product is packaged in small packs or sold to the final user, it would be considered smoking tobacco – even if it consists of the unprocessed leaf (including green leaf) and cannot be smoked without industrial processing. This solution would place a disproportionate emphasis on condition (C), making product characteristics de facto irrelevant.

#	Combination of conditions	Change over the current situation	Estimated effects
3	(A) and [(B) or (C)]	(C) is an alternative condition to the smokability condition, but condition (A) remains hierarchically higher	If a product is packaged in small packs or sold to the final user, it would be considered smoking tobacco – even if it cannot be smoked without industrial processing, but it must also be cut, stripped or otherwise split (i.e. unprocessed green or cured tobacco would be excluded). This solution would address the main problematic aspect of the current definition – i.e. the subjectivity of the and 'industrial processing' criterion, adding the 'intended use' as a specification, while not affecting the condition requiring that raw tobacco be processed. As the proposed definition of raw tobacco is in 'contrast' with the definition of 'smoking tobacco', it seems useful to maintain the physical characteristics of the product as a condition that cannot be derogated.

- **REGULATORY COSTS FOR ADMINISTRATIONS**

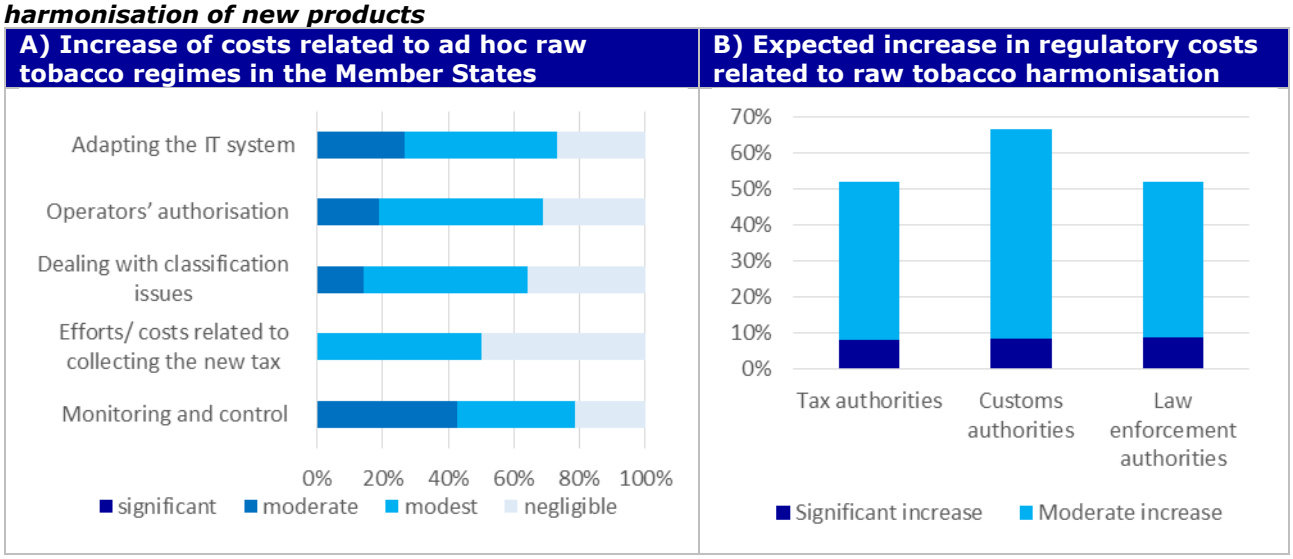
The introduction of a harmonised excise category for raw tobacco would require MS to revise their national administrative and legal framework, with a possible increase in the overall regulatory costs connected to the implementation of the harmonised excise system. For benchmarking, this matter has been investigated through the survey of tax and customs authorities, in order to extrapolate general indications and estimates from their ***experience with national raw tobacco regimes***. The feedback received is purely qualitative, as no respondent was able to quantify the additional costs incurred from specific tasks or actions. The results of the survey are illustrated in Figure F.5.5 and can be summarised as follows:

- In relative terms, the major cost increase relates to ***monitoring and control*** efforts. A moderate increase has been reported by slightly less than half of respondents (6 out of 14), while such costs were only 'negligible' for three respondents.
- The second-highest cost increase relates to ***IT adaptation costs,*** which 4 out of 15 respondents deemed 'moderate'; followed by dealing with operators (e.g. interactions related to authorisation procedures, requests for clarification, etc.) and by classification issues.
- All respondents concur that the tax collection cost was modest or negligible. In fact, in none of the MS is the raw tobacco tax intended to raise revenue, and the amount collected is generally limited and linked to detected irregularities.

Overall, the regulatory costs incurred do not seem to have represented a major obstacle to the implementation of the raw tobacco regimes. In most cases, the limited magnitude of these costs appears connected to the ***lack of fiscal registration requirements for farmers***, which substantially simplified operations. Based on the survey results, the total number of new entities that become subject to the new tax regime seldom exceed a dozen operators (first processors and traders) per country.

As a consequence of the proposed establishment of the raw tobacco excise category, ***half of the respondents anticipate an increase in administrative costs*** in their country. For the majority of them, such increase would be moderate, and the number of those that expect a substantial increase (two MS) is similar with the number of those that expect a decline (Figure F.5.5). The remainder does not anticipate any major change. No respondent foresees a reduction in law enforcement costs, although EMCS and the other control measures are expected to facilitate cross-border investigations and the prosecution of frauds. However, this can be explained by the fact that often respondents - which were tax and customs authorities – did not consider themselves in the position to reply to law enforcement authorities.

Figure F.5.5 – MS authorities' expected administrative and enforcement impact from the excise harmonisation of new products



Source: *TCA survey*

For a tentative ***quantification of the costs*** that would be incurred by MS authorities, we can refer to the unit cost estimates developed in previous studies, particularly the evaluation and impact assessment of the Horizontal Directive,[553] which is in line with the methodology used in Section 4 for new products.

The regulatory costs that MS authorities would incur from the adoption of a harmonised excise category for raw tobacco are of two main kinds:

(1) the costs for including new economic operators in the excise system, which relate to ***registration and authorisation*** activities (one-off and periodical renovation); and
(2) the costs related to operations, which include capital costs of adapting the ***IT infrastructure*** (EMCS interface, etc.) to the enlarged scope of the system, and the costs of individual ***transactions*** (verification and confirmation of movements under EMCS).

The regulatory costs examined in this section are ***incremental***, i.e. they do not include costs already incurred in MS where a fiscal regime for raw tobacco is already in place. In particular, fiscal registration and/or authorisation is already envisaged in 15 MS, in which no additional costs for registration have been estimated. For the second type of costs, we have instead assumed that all MS would incur additional costs, as EMCS is not currently used for raw tobacco in any MS.

The different policy scenarios examined can influence the extent of the costs incurred by MS authorities. In particular, the zero-rate option (Scenario A) might prompt operators to use the ***duty-paid procedure*** instead of duty suspension where feasible. The former is associated with reduced costs regarding authorisation (tax warehouse is not strictly envisaged). Needless to say, other contingent factors would influence the choice of procedure, but for analytical purposes, it can be expected that the actual costs increase would fall between these two extremes.

Another important caveat regards the status of growers. In the proposed scenario we have assumed that the excise system obligations would begin with the first delivery of harvested tobacco, cured but not processed, from the grower (or the collection centre) to the first buyer/processor. In this sense, the authorisation obligation would apply to the first seller (the consignor), which is not necessarily the individual grower but can also be a producer organisation or more generally a collective body (cooperatives, etc.) that would take responsibilities for the

[553] Ramboll 2015, CASE 2017, as well as information available to DG TAXUD from an internal 2013 survey of MS duty suspension practices.

formalities. As shown in Table F.5.6 below, permitting ***collective organisations to operate on behalf of individual growers*** would allow for a substantial reduction in regulatory costs. This would further incentivise growers to join such organisations, although this is already the norm in various MS.

Regarding the ***movements of raw tobacco*** across the EU, we refer to the mapping of the raw tobacco supply chain developed in this Study (see Annex E) and the Comext data on internal cross-border trade (Appendix). It has been assumed that external movements (import / exports) fall outside of EMCS, except a minor share of foreign raw tobacco that is placed under free circulation before reaching its final destination.[554]

According to the results of the simulations reported in Table F.5.6:

- In the first year, the total additional costs would range ***between EUR 3.0 and EUR 9.0 million*** (with small variations depending on the procedures). The bulk of the estimated additional costs relates to the adjustment of the IT system (which may involve also staff training and other ancillary activities). The costs for updating the IT system would not cumulate with the analogous costs for introducing new products in the system, as estimated in Section 4.
- Annual operating costs would be around ***EUR 0.4 million***.
- Substantially ***higher costs*** can be expected in case ***individual registration*** is required for each grower (up to nearly EUR 20 million in the first year).

The estimates provided refer to EU aggregate costs. The costs incurred by specific MS would vary depending on the number of operators and transactions.

Table F.5.6 – Overview of additional regulatory costs for MS authorities

<table>
<tr><th></th><th>Quantity</th><th>Unit costs (EUR)</th><th>Total (EUR)</th></tr>
<tr><td>Registration and/or authorisation of EOs</td><td colspan="3">This task regards the issuance of authorisations, including checks and audits on petitioners. For duty-paid operations (authorisation as certified consignor /consignee), a one-off cost of €400 per EO plus €100 for annual renovation has been estimated (CASE 2017). For the other types of authorisation, higher costs have been assumed (x3 factor).
As an alternative scenario (in line with sector practices), it is assumed that the formal consignors of harvested tobacco are not individual growers but collective organisations (based on the analysis of some MS sectors, one organisation for every 150 growers is assumed on average).</td></tr>
<tr><td>○ Growers</td><td>a) 8,822 (indiv. entities)
b) 59 (collective entities)</td><td rowspan="2">One-off:
[DP] 400/EO
[DS] 1200/EO

Recurrent:
[DP] 100/EO
[DS] 300/EO</td><td rowspan="2">First year:
[DP] €24,000 (if (a): €3,523,000)
[DS] €181,000 (if (a): €10,586,000)

Following years:
[DP] €6,000 (if (a): €882,000)
[DS] €18,000 (if (a): €2,647,000)</td></tr>
<tr><td>○ Other raw tobacco EOs</td><td>92 EOs</td></tr>
<tr><td>Movement control</td><td colspan="3">The costs of adaptation of the IT infrastructure connected to the EMCS/SEED system are assumed in line with the costs of revision of duty-paid movements (CASE 2017). All MS would be affected. In addition, a cost of EUR 8 per movement has been estimated (Ramboll 2015), regardless of the type of movement.</td></tr>
</table>

[554] Extra-EU movements would use EMCS only if the products are moved between MS before being exported or after being imported. In the case of export, in most case the operation originates in the same country where the excise good is sored so there is no EMCS movement involved. In the case of import, the vast majority of products are kept in storage warehouses for a period before they are shipped to the country where manufacturing plants are located. Part of these products are placed under free circulation in order not to lose its rules-of-origin tariff preferential treatment. Movements that occur after release for free circulation are assumed as already counted in the "Intra EU" Comext statistics.

	Quantity	Unit costs (EUR)	Total (EUR)
	Raw tobacco movements subject to EMCS are based on Comext cross-border statistics. We have assumed that 80% of raw tobacco is moved in large, 20 tonnes standard shipping unit, while the remaining 20% is moved through small shipments (2 tonnes).		
Adaptation of IT infrastructure	27 MS	Between € 100,000[555] and €300,000	Between € 2,700,000 and €8,100,000
EMCS costs	*Number of shipments/year:* Large (20 t): 14,300 Small (2 t): 35,700	€8/shipment	€400,000
	GRAND TOTAL	[DP] First year: **between €3.2 and €8.6 million** (if (a) between 6.7 M and 12.1 M) Following years: **€0.4 million** (if (a) 1.3 M) [DS] First year: **between €3.3 and €8.7 million** (if (a) between 13.8 M and 19.2 M) Following years: **€0.4 million** (if (a) 3.1 M)	

Legend: *DS=duty-suspension; DP=duty-paid*

- **REGULATORY COSTS FOR ECONOMIC OPERATORS**

We have used the same approach used for new products (see Section 4.3) to estimate the regulatory costs (administrative and substantive compliance costs) incurred by economic operators, to comply with the obligations established by the introduction of raw tobacco in the scope of the EU excise legislation. The methodology – based on the standard cost model – consists of estimating (1) ***the 'price'*** (unit costs) of each new action that would be required of EOs, and (2) ***the 'quantity'*** of actions required, in relation to the number of operators, the number of transactions, the periodicity of the requirement, etc. The business-as-usual costs, which are the costs that EOs would incur anyway (even in the 'no change' scenario), have to be subtracted from the total. The results of the analysis inevitably present some degrees of uncertainty due to: (1) the lack of verified, granular data on production, movement and supply chain operators (see the reconstructed supply chain in Annex E), and (2) the variability in the unit costs of required actions for different types of operators (which may vary by country, enterprise size, efficiency and position in the value chain).[556] Further important caveats to highlight include:

- Estimates are based on the proposed scenarios assuming that they would be equally implemented in all MS, but ***various aspects will remain up to MS to decide***, which would substantially influence additional costs for EOs (e.g. actual excise duty rates, level of guarantees required, registration criteria and conditions, treatment of internal movements, etc.);
- We can assume that EOs would theoretically react to the new rules by choosing the options that would minimise the costs incurred (e.g. establishing a tax warehouse or not, moving products under the duty-paid or duty-suspension procedures), but ***operator choices would also be influenced by other factors***, which cannot be considered in the model, and relate to individual EO capacity, operations, local business environment, etc.
- The proposed policy revision can be expected to ***impact on how the EU raw tobacco sector is currently composed and structured***; the simulations developed in this section are based on the current situation as it is unfeasible to predict how players, practices and flows would change, although, based on interviews with stakeholders, it is possible that supply chain operators and manufacturers would modify their business practices to minimise the effects of the new regime (e.g. shift toward shorter / domestic supply chains, storage at

[555] The lower estimate is based on Commission's expert estimates.
[556] Also in this case we have used, where available and relevant, the unit cost estimates retained by the Commission based on previous studies (Ramboll 2015, CASE 2017, EA 2017 and 2019).

farm level, greater recourse to offshore processing, establishment of storing facilities outside of the EU, and, possibly, greater reliance on raw tobacco sourced from third countries).

The additional regulatory costs that economic operators would incur under the proposed new harmonised regime for raw tobacco are of three main kinds: (1) registration and/or authorisation in the excise system; (2) obligations connected to holding, storing and processing raw tobacco; and (3) obligations related to movements, including the use of EMCS system. The estimated additional costs connected to them (and estimation method) are outlined in Table F.5.7 below. For completeness, the analysis includes also the costs of financial guarantee on duty-suspended operations, since this can be considered as a key condition to deter the risk of diversion. However, in strict sense, guarantees are set by MS, so their costs cannot be directly ascribed to the Directive.

Table F.5.7– Overview of additional regulatory costs for raw tobacco economic operators

	Quantity	Unit costs (EUR)	Total (EUR)
Registration and/or authorisation of Eos	Operators must be authorised by the competent MS authority according to the relevant profile (warehouse keepers, registered or certified consignor and/or consignee). Registration for duty-suspension operations is deemed more costly (CASE 2017). One-off costs (periodical renovations are deemed negligible). In 15 MS, EOs are deemed already compliant (national fiscal regimes are in place). As an alternative scenario (which is in line with sector practices) it is assumed that the formal consignors of harvested tobacco are not individual growers but collective organisations (based on the analysis of some MS sectors, one organisation every 150 growers is assumed on average).[557]		
○ Growers	Growers: a) 8,822 (individual) b) 59 (collective org.)	[DP] 1,000/EO [DS] 2,000/EO	[DP] €151,000 (if (a): €8,914,000) [DS] €302,000 (if (a): €17,828,000)
○ Other raw tobacco EOs	Other EOs: 92		
Holding, storing and processing obligations	This obligation would primarily regard first and second processors, storage warehouse operators and manufacturers (they already operate tax warehouses for finished products, but they would have to set up new ones for incoming raw tobacco). It is applicable only where the proposed raw tobacco regime involves a positive excise duty rate (Scenario B), which is assumed to be in line with current OST rate. In Scenario A (zero-rate), EOs are expected to opt for duty-paid movements and would therefore not be compelled to set up a tax warehouse. The obligation has three main cost components: (1) the investment to set up appropriate premises;[558] (2) the recurrent cost for operating it, including keeping registers of in/out movements[559]; and (3) the provision of a financial guarantee to the competent authority,[560] which is proportional (10%) to the average		

[557] Channelling registrations through producers organisations would appear as an obvious possibility to reduce costs, although potential room for simplification is constrained by the need to ensure a certain degree of granularity to subsequent controls. Different Member States might have different practices as to whether farmers "sell" or "confer" or "give the mandate to act on their behalf" to producer associations. What matters here is that for fiscal control purposes it should not be taken for granted that raw tobacco is stocked collectively.

[558] Background studies for the Horizontal Directive have estimated the compliance costs for setting up a tax warehouse between EUR 200,000 and EUR 1,500,000 depending on the company's size. Assuming a cost of capital of 5% to 6% and a 25 years depreciation period, this amount would correspond to an annual cost between EUR 20,000 (small operators) to EUR 135,000 (large operators). Costs for micro tobacco growers could be lower, but these have not been included because we have assumed that tobacco growers will be waived from the tax warehouse requirement.

[559] Fiscal registries would add up to ordinary stock-keeping registries that operators are assumed to already have for day-to-day stock management needs.

[560] In our scenario, the fiscal risk is not commensurate to the excise due (as the rate might even be set to zero) but rather to the risk of product diversion. We have therefore assumed that for the financial guarantee to be dissuasive against diversions, it should be commensurate to the excise rate of other smoking tobacco that, at present is approximately EUR 117 per kg (EU average). The amount of the guarantee required is set at the national level, and rules may vary greatly across MS, both regarding the reference period (year, month or week) and the share of the suspended duty on which the guarantee is applied. This has evident impact on the financial burden implied. For instance, in Poland the required guarantee is linked to the average monthly transactions, with a minimum threshold of approximately EUR 0.5 million (roughly equal to 10 tonnes of monthly deliveries at a rate of EUR 54 per kg – i.e. the same as other smoking tobacco). Other countries like Hungary or Croatia have refrained from requiring a financial guarantee to first processors but charge very high excise duties (to the tune of over EUR 300 per kg) in case of infringements.

	Quantity	Unit costs (EUR)	Total (EUR)
	monthly volume of products held in the tax warehouse. Costs would differ between small and large businesses. Regarding the volume of raw tobacco (hence of excise duty suspended), no reference is available, so we have hypothesized that small companies account for 10% of the total volume.		
Set up / operate a tax warehouse	*Only duty-suspension procedure*		
○ Investment costs	• 105 SMEs • 105 large companies	Annual costs (depreciated) • 20,000 SMEs • 135,000 large companies	€16,275,000
○ Operating costs	• 105 SMEs • 105 large companies	1-4 FTE (at €200/day) reduced by 50% (hypothetical BAU costs): • 20,000 SMEs • 80,000 large companies	€10,100,000
Holding and storage guarantees*	*Monthly suspended duty (EUR million)* • Storage: 5,795 • Other EOs: 679 SMEs; 6,111 large companies	Financial costs of guarantee: • 2% SMEs • 0.5% large companies	€7,311,000
Movement-related obligations	This obligation has three cost components: (1) the investment in IT system;[561] (2) recurrent costs of operations; and (3) financial guarantees for movements. The annual number of transactions subject to EMCS have been estimated based on Comext's intra-EU movements of raw tobacco data. It has been assumed that 80% of tobacco is moved in large shipments (20 tonnes each) and 20% in small shipments (2 tonnes). Small shipments relate primarily to growers (and their organisations) and, to a lesser extent, small-scale processors and importers. To ensure coherence with overall Comext statistics it has been assumed that nearly one-third of foreign tobacco is released for circulation before its final destination, thus generating an EMCS movement. Transaction costs would in principle affect both the consignor and the consignees, but for simplicity, and to avoid double counting, it has been attributed entirely to the consignor. The estimated costs per transaction include not only data inputting on EMCS, but also weighing operations, keeping of registers, etc.[562] Guarantees on movements are generally calculated on the potential duty suspended on average weekly movements. For Scenario A, no estimation is feasible, as the amount of the guarantee depends on how MS assess the fiscal risk for a zero-rate product. For Scenario B, excise duty rates in line with OST have been assumed.[563]		
EMCS costs			
○ IT system	Growers: a) 22,681 (individual) b) 151 (collective org.) Other EOs: 173 SMEs; 53 large companies	Annual costs (including depreciation): • €1,100/SMEs • €10,000/large companies	€2,230,000 (if (a) €25,669,000)
○ Transaction costs	*Number of shipments/year:* Large (20 t): 14,300 Small (2 t): 35,700	€15/shipment	€ 747,000

[561] IT investments for tobacco growers could be eased by enabling the 'outsourcing' to business associations or Producers Organisations of movement-related EMCS procedures (data inputting and filling forms). The economies of scale obtained could significantly abate the administrative burden. However, based on stakeholder's estimation, the cost of a single operation on a service basis could easily reach between EUR 20 and EUR 50 each. If tobacco growers are not exempt from record-keeping obligations, it is then difficult to imagine a mechanism through which related transaction costs could be further decreased.

[562] Calculation parameters have been drawn from CASE 2017 estimates for duty-paid operations, assuming duty-suspension operations would not imply substantial differences (the eAD is more articulated than the eSAD but for a skilled worker this is not expected to translate into significantly longer preparation time).

[563] The model may underestimate the actual financial costs of guarantees, because operators would round upwards their average volume of operations to ensure a 'safety buffer' and avoid the risk of sanctions in case of occasional expansion of activities.

	Quantity	Unit costs (EUR)	Total (EUR)
Guarantees on movements of excise goods*	*Suspended duty, EUR million (weekly average)*[564] • €320 M (SMEs) • €1,290 M (large companies)	Financial costs of guarantee: • 2% SMEs • 0.5% Large	*Scenario B:* €1,210,000 *Scenario A: (Not predictable)*
	GRAND TOTAL	[DP] First year: **€3.4 million** (if (a) 36.5 M) Following years: **€3.3 million** (if (a) 27.6 M) [DS] First year: **€37.3 million** (if (a) 79.1 M) Following years: **€37.0 million** (if (a) 61.3 M)	

Legend: *DS=duty-suspension; DP=duty-paid; BAU=Business-as-usual.* ***Note:*** *(*) Financial guarantees are indirect regulatory costs, the burden of which depends on MS implementation rules.*

As emerged from the scenarios elaborated in Table F.5.7 above, the regulatory costs for economic operators triggered by the proposed reform would fall between the ***EUR 3 to EUR 37 million range*** annually. In the event growers would be subject individually, and not collectively, to the required measures, such costs would increase (up to EUR 80 million) but this is a purely hypothetical scenario because such an increase in costs would probably put many growers (especially the smaller ones) out of the market.

The most substantial costs component relates to the setting up and operation of tax warehouses for the storage and control of raw tobacco**.** The costs of financial guarantees can be considered as an indirect burden, as these depend on MS-level implementation. Regarding operators, the burden would be comparatively greater for storage facilities operators, due to the specificities of their business, which involves long storage periods of large quantities of tobacco products and very frequent cross-border movements. Of course, MS could always be in a position to abate these costs by lowering the guarantee required or even waiving it, but this would simultaneously decrease their deterrent function.

- **COMPETITIVENESS**

The additional regulatory costs estimated in the previous sub-section will affect economic operators' competitiveness differently, depending inter alia on their size (due to economies of scale) and position in the supply chain. Considering the first year of the introduced harmonisation policy with positive rates applied, the ***incidence of additional costs*** on the aggregated value of raw tobacco market is fairly limited,[565] i.e. about 0.2%. However, for EU growers, the negative impacts would be more pervasive, especially in the scenario where obligations are applied to each grower individually instead of on collective organisations. In this scenario, the cost increase can reach EUR 0.18 per kg, i.e. an increase of 7% on the current average selling price of leaf tobacco.[566] Assuming these costs are passed on to the next steps (i.e. first and second processors and logistics) and adding the costs expected for these EOs, the total extra costs would amount to EUR 0.27 per kg. For comparison, the additional costs possibly imposed on imported (first-processed) raw tobacco would correspond to approximately EUR 0.01 per kg. As a consequence, the currently estimated ***price advantage*** of EU domestic first-processed tobacco against imported products (i.e. EUR 0.26 per kg, as extrapolated from Comext statistics) ***would be theoretically offset***. It is difficult to predict manufacturer behaviours but considering that the storage of raw tobacco within the EU would become more expensive, it can be anticipated that

[564] MS practices vary: for instance, France requires a financial guarantee on 10% of the excise value of the goods shipped in a year. Ireland considers a weekly reference period and applies a 5% to 10% reference share. In the past, the UK applied a reference share of 25% to 10% to weekly average movements. Italy requires a 10% guarantee on goods in circulation for which eAD positions are open. In our simulation we refer to the weekly average, assuming that the period to be covered is two weeks (from the opening of the procedure to the confirmation of closure of the operation under EMCS).

[565] Assuming total raw tobacco available to manufacturers in the EU is equal to 440 million kg/year, at an average price of €5/kg.

[566] Based on an average price of €2.51/kg, in line with DG AGRI market statistics (2019).

alternative supply chain routes would become more attractive. For instance, as some stakeholders predicted, manufacturers would increasingly rely on foreign tobacco, stored outside the EU and imported when production so requires (minimising stocks, where possible).

On the other hand, ***exempting individual growers*** from the bulk of obligations and related costs, encouraging their collective management through Producers Organisations or the like, would allow for substantial savings, reducing the downstream impact on the price of first-processed tobacco to approximately EUR 0.05 per kg – only slightly higher than the expected impact on imported tobacco. A possible side-effect would be a substantial change in the current structure and storage practices. Storage would then tend to move upstream, towards farming, to any extent technically possible, as these operators would be exempt from tax warehouse and related fiscal guarantee requirements. This could even create enough of a financial incentive to paradoxically substitute domestic tobacco growing for imports to reduce the need for storage financing and partly compensate the increased costs. Furthermore, this scenario will encourage the expansion of the scope of curing towards what is now considered first-processing, particularly as far as drying is concerned. This reinforces the importance of clearly establishing which activities are permitted under the grower exemption, i.e. what is precisely meant by curing activities, to avoid legal uncertainties.

Since the management of the excise regime is characterised by economies of scale in administrative and financial costs, SMEs (including growers) would be disproportionately affected by the small scale of their operations. In the simulations provided in Table F.5.7 above, SMEs account for roughly 10% of tobacco volume, but their share of additional costs would amount to nearly 20%. This is particularly related to the different financial costs of their guarantee requirements.[567] Marginal tobacco growers operating in niche markets (sun-cured, fire-cured tobacco, etc.) whose profits can be estimated in the region of EUR 2,000 to EUR 4,000 for 2 ha cultivations might face serious difficulties to cope. At the same time, SMEs are more exposed to the consequences of errors, irregularities and controversies. For reference, a standard shipment of raw tobacco, currently worth EUR 100,000, would trigger excise duty liability for EUR 2,340,000 in case of problems – a risk that various SMEs would not dare to incur.

On a positive note, stricter controls would reduce the availability of illicit tobacco and tobacco products in the market, so that legal players will bear lower competitive pressure from the illegal value chain which could compensate for some of these extra costs. Furthermore, manufacturers could be willing to pay a premium for tobacco sourced from verified supplier, as a way ***to enhance their 'know-your-customer' and corporate responsibilities policies***.

- **IMPACT ON TOBACCO CONTROL**

A positive impact on tobacco control is expected to mainly stem from the increased effectiveness of taxation policies in curbing consumption. This is under the assumption that the inclusion of raw tobacco within the excise and EMCS systems will result in an increased price for illicit products and diminished availability of raw tobacco for direct consumption and illicit manufacturing. Raw tobacco available for retail consumption can particularly promote the down-marketing of illicit tobacco products and therefore affect the consumption behaviour of those consumers who are under more stringent income constraints and are more sensitive to price. A similar effect can be assumed if illicitly manufactured cigarettes trade at the lower range of discount prices, as compared to duty-paid products, and maintain a competitive advantage in the illicit market with illicit imports of cheap whites.

Consequently, a harmonised regime for raw tobacco is also expected to ***decrease health inequalities in implementing tobacco control policies***, as it will increase the effectiveness of tobacco control measures on the layers of the population more sensitive to income constraints and for which they risk being less effective. The enhanced effectiveness of tobacco taxation can

[567] The estimated advantages for large companies are conservative. In fact, MS often require lower guarantees to large companies with well-established operations.

then be considered an enabling factor in allowing other tobacco control policies to multiply their effect. This is irrespective of whether raw tobacco products, by their uncontrolled nature, are deemed as intrinsically and potentially more dangerous from a public health perspective in terms of their toxicity, random composition, unchecked presence of impurities and nicotine contents. The impact would be different across MS, because the composition of illicit trade and, specifically, the share of products originating outside of the EU vary greatly.

5.4 Comparison of scenarios

This section summarises the results of the ***impact analysis in comparative terms***, with a view to assist in the identification of the benefits, costs, opportunities and risks that are inherent the various policy options and scenarios examined. For each policy option synthetic ratings and judgments are provided (Table F.5.8), which reflect the expected impact on a set of relevant policy objectives. Impact areas that are not or marginally affected are not displayed. The policy change options presented in this section are not mutually exclusive. Where the policy options include alternative scenarios, the differentiated impacts expected are reported. Finally, a brief reference to main risks and implementation challenges have been added where relevant.

Further below, two additional comparative reviews are provided: (1) a synoptic review of ***who will be affected by the proposed revisions and how***, and (2) a review of the ***proportionality of the proposed measures***.

Table F.5.8 – Scenario comparison for the introduction of a harmonised category for raw tobacco

Key objectives	No change	Policy change	Rationale, sensitivity across scenarios, and risks
Option 3A - Establishment of a new excise category for raw tobacco ***Scenario A:*** *EU minima set at zero* ***Scenario B:*** *EU minima set at the OST / OMT rate* ***Variant 1:*** *Excise exemptions for the first stage of the supply chain (green/cured but not processed tobacco)*			
Improved market monitoring	-2	+1	• Movements or raw tobacco across the EU would be monitored • There are illegal techniques to circumvent the EMCS
Reduction of illicit trade	-2	A: 0 B: +1	• Diversion or raw tobacco would be more easily detected, and excise duties (Sc. B) would be a strong deterrent • Moderate risk of internal ITTP replaced by external ITTP
Reduction of regulatory burden	0	A: -1 B:-2	• Moderate regulatory costs for MS (less substantial if the individual registration of farmers is excluded) • Low (Sc. A) to moderate (Sc. B, with Var.1) regulatory costs for EO, proportional to the volume of cross-border transactions (and depending on MS-level implementation rules
Improved market functioning, SME competitiveness	-1	A: +1 B: 0	• Harmonisation would contribute to remove uncertainties and reduce the competitiveness pressure of illicit products • In Sc. B, unless collective registration of farmers is envisaged, EU-grown tobacco would be more affected than foreign tobacco
Coherence with ITTP policy	-1	+1	• First relevant step for a closer alignment of fiscal and ITTP policy
Tobacco control benefits	-1	0	• Moderate benefits from curbing consumer's accessibility to low-price illicit products
Option 3B – Revision of the smoking tobacco definition (art. 5.1)			
Improved legal certainty	-1	+1	• More robust and clear definitions would improve the legal demarcation between raw tobacco and final manufactured products, which will become an even more pressing need with Option 3A (especially Sc. A) • Moderate risk of persistence of partly subjective terminology
Reduction of regulatory burden	-1	+1	• Improved definitions would reduce classification issues and the administrative burden connected to them (including disputes)

***Legend**: **+2** = major positive effect; **+1** = moderate positive effect; **0 =** no effect or neutral impact; **-1 =** moderate negative effect; **-2** = major negative effect. **Note:** The 'key objectives' relate to different policy aspects which cannot be combined into an aggregated rating. In this sense also synthetic judgments are not intended for being added up.*

- **SYNOPTIC REVIEW OF WILL BE AFFECTED BY THE PROPOSED REVISIONS AND HOW**

Table F.5.9 – Summary review of who will be affected by the proposed revision and how

Options / Entity	3A	3B
MS Authorities	MS should introduce or adapt their national ED regimes to include raw tobacco. MS should establish arrangements to implement and enforce the new tax regime and bear the costs. MS will be able to efficiently monitor cross-border movements of raw tobacco The expected reduction in raw tobacco diversion would reduce the tax revenue losses caused by illicit manufacturing of tobacco products	Reduction of classification uncertainties and related issues
Tobacco growers	Moderate increase of regulatory costs, assuming ED exemptions and derogation from certain obligations Moderate loss of competitiveness against foreign raw tobacco	None
Raw tobacco processors, traders and logistic operators	Supply-chain operators must comply with the EU holding and movement rules for excise products. Moderate increase of regulatory costs linked to the new applicable obligations (depending on the number of transactions performed). Benefits for competition induced by the reduced availability of low-price illegal products	Reduction of classification uncertainties and related issues
Public health, and healthcare system	Indirect benefits on public health induced by the reduced availability of low-price illegal products	None

- **PROPORTIONALITY TEST**

Table F.5.10– Proportionally test scoring

Proportionality issues[568]	Feedback	Rating
1) Whether the option **goes beyond what is necessary** to achieve the objectives satisfactorily	The proposed measure may contribute to fight illicit manufacturing of tobacco in the EU. Its effectiveness would depend on how it will be concretely implemented at MS level, and how organised crime would react to the tightening of rules. Other complementary policies in the areas crime prevention and enforcement would remain necessary. The impacts on regular supply-chain are difficult to predict, so appropriate monitoring is needed to verify the nature and extent of adverse effects. The clarification of the smoking tobacco definition (and/or of manufactured tobacco, at large), as opposed to raw tobacco is required by all parties and would be beneficial for the functioning of internal market and excise duty rules.	Option 3A: **moderate** Option 3B: **high**

[568] The proportionality issues reviewed are drawn from the *Better Regulation* guidelines SWD (2017) 350.

Proportionality issues[568]	Feedback	Rating
2) Whether the scope of the option is **limited to those aspects that MS cannot achieve satisfactorily** on their own, and where the Union can do better	National legislation (as confirmed by MS authorities) is not able to address issues linked to cross-border movements. The proposed measure would safeguard the subsidiarity principle that allows MS to set up their own rules for domestic movements and/or players.	All options: **High**
3) Whether **costs** for the Union, national governments, regional or local authorities, economic operators or citizens **are minimised in relation to the objective** to be achieved	The implementation of the proposed measure inevitably implies additional costs for both MS authorities and economic operators. In the case of authorities, additional costs would likely be offset by benefits (reduction of tax evasion caused by illicit products). In the case of economic operators, the costs would be primarily borne by legitimate supply chain operators, but no major disruption of competitiveness is expected. The proposed exemptions for growers would allow the minimisation of costs that would otherwise qualify as disproportionate for this sub-group. Option 3B does not imply substantial costs as it essentially consists in a refinement of the product excise definition.	Option 3A: **moderate** Option 3B: **high**
4) Whether the **form of action** (choice of the instrument) is as simple as possible and coherent with the satisfactory achievement of the objective and effective enforcement	The proposed measure is largely based on existing tools and provisions (EMCS and the other holding and movement harmonised rules) and do not envisage the establishment of new ad hoc systems and/or arrangements. Similar raw tobacco regimes applied in MS proved effective for the achievement of the intended effects. Option 3B corresponds to a clear demand emerging from MS authorities and operators. The measure is simple and is intended to facilitate the effective enforcement of excise classification, although some margin for interpretation of the revised definition would persist.	Option 3A: **high** Option 3B: **moderate**

Rating scale: *High=proportionality test satisfactorily passed; Moderate=proportionality test passed although some aspects are negatively rated or unfeasible to test; Limited=proportionality requires due considerations as various aspects are negatively rated or unfeasible to test; Insufficient=the measure proposed does not meet the proportionality principle.*

Appendices

Appendix 1 - Impact on excise duties and markets

This Appendix provides the technical details behind the quantitative analysis of market impacts and the full datasets regarding effects on (1) excise duty levels applied in MS; (2) price levels; (3) expected variations in the demand; and (4) excise revenues for MS. Figures are broken down by MS, but at this level of granularity estimates are indicative and, most importantly, do not consider the specificities of local market dynamics (country-level elasticities etc.) and any spontaneous evolution of MS excise duty policies that is not related to EU minima.

The analysis is based on the baseline situation described inter alia in Annex D and, where available, on the market impact coefficients that were elaborated econometrically under the EA 2019 study (i.e. pass-through of tax on price, demand elasticity to price etc.). For new products, the estimation coefficients have been drawn from the literature and/or have been set as analytical assumptions.

A description of the methodology applied, as well as caveats and limitations are provided in the Methodological Note attached here below.

A simulation of the effects of applying a pure PPP-based system, in comparison to the current nominal system is also provided.



App 1 - Notes on IA methodology.docx

An overview of MS-level impact from the increase of current EU minima is provided in the Appendix below. As clarified in the methodology, **MS-level impacts are purely indicative**, as the standard EU-level elasticities have been applied to all MS and, in various instances, baseline data gaps have been filled through modelling.



App1 - Summary of MS impact.docx

The detailed results of simulations are provided below, in MS Excel format. Four files are provided, namely:

1) The market impact full dataset for ***traditional tobacco products***:



App 1 Traditional products.xlsx

2) The market impact full dataset for ***new products***, including also the 'other manufactured tobacco and related products' categories:



App1 - New products.xlsx

3) The detailed estimates for the impact on ***cross-product substitution*** between cigarettes and FCT:

App 1 - FCT substitution.xlsx

4) The estimated market impact from the ***application of a pure PPP-based system to traditional products*** under the different increase scenarios considered:

App1 - Pure PPP impact.xlsx

Appendix 2 – Public health impact estimates

This Appendix consists of two parts. The first part includes the detailed methodology and calculations behind the estimated impact of the proposed EU minima increase scenarios on consumption hence smoking prevalence among the population (MS Excel file below). For completeness, the analysis includes not only the direct impacts expected from EU minima revision but also the indirect reduction of smoking prevalence that can be expected if MS will spontaneously continue increasing national ED rates regardless of the Directive's obligations and at the same pace observed in recent years, i.e. 2.5% annually for cigarettes, cigars and cigarillos, and 4.0% for FCT and OST, in real terms (deducting inflation).

Additionally, for a more realistic picture, the simulation also includes a component that is not linked to tax and price dynamics, but to other tobacco control policies and general cultural factors (the 'denormalisation' of smoking). According to the results of the econometric analysis carried out in EA 2019, such a component translates into a consumption decline of approximately 1.7% annually.

The impacts of the various components have been then aggregated to estimate the smoking prevalence decrease on an annualised basis and in the perspective of the Europe's Beating Cancer Plan's interim target for 2025. In this respect:

- The baseline figures on smoking prevalence have been drawn from the most recent Eurobarometer (2020). Different sources (e.g. national studies) sometimes provide different estimates but for the cross-country and overtime comparability it seemed preferable to refer to Eurobarometer's figures. The new Eurostat EHIS wave will likely provide more robust estimates, but these were not available at the time of writing this Report.
- The Europe's Beating Cancer Plan's short-term target involves a 30% relative reduction in tobacco use by 2025 compared to 2010. This corresponds to a reduction of prevalence to approximately 20% of the population. The baseline situation, measured in weighted average terms, was 24% in 2020, which means that the plan's interim target consists in a reduction of prevalence by 4 percentage points before 2025.



App 2 Smoking prevalence impact.xl

The second part of the Appendix regards ultimate public health impacts and the social costs related to smoking. The analysis provides a review of the existing approaches and sources for the estimation of the burden of disease, as well as the available benchmarks for assessing the costs savings possibly triggered by a reduction in smoking prevalence in the EU.



App 2 - Ultimate PH impacts.docx

Appendix 3 – Impact on cross-border flows

The results of the econometric analysis on cross-border flows (see Annex A - Appendix) have been utilised to estimate the expected impact from a revision of the EU minima, compared to the baseline situation. The model elaborates on the data collected under the EU traceability system, with a view to determine and measure the correlation between price differentials between bordering regions (defined at NUTS3 level) and the magnitude of cross-border flows. To this end, data on retail distribution[569] have been regressed against price levels in neighbouring regions, controlling inter alia by population, median age, presence of large cities, transports (Km of roads, airports etc.). Various models were tested and verified, and fairly robust effects were observed. In particular, considering two neighbouring regions, R1 and R2, where the WAP in R1 is lower than in R2, the selected model indicates that an increase of 1% of the WAP in R1 is associated with an increase in the retail distribution in R2 by 1.45%.[570] From these results, it has been possible to estimate the magnitude of cross-border flows by measuring the expected change in retail distribution that would occur if the WAP in R1 reaches the WAP of R2. The model works in both directions, from less expensive regions to the most expensive ones and vice versa. The average value from bidirectional movements has been retained to estimate the magnitude of the flow. Where a region is bordering more than one region belonging to different countries, the combined effects have been calculated.

As discussed, the EU traceability data are currently incomplete (various countries are substantially underreporting) and limited to the last quarter of 2020 and the first quarter of 2021. To extrapolate results at the country level, we have therefore estimated the extent of underreporting in two steps (a) annualising data (the average value for the two available quarters have been multiplied by four quarters); and (b) measuring the gap against the 'release for consumption' data. The underlying assumption is that underreporting is the same across MS regions, so underreporting in bordering regions is equal to the underreporting rate at the country level. The second assumption is that the release for consumption (RfC) data are a good proxy of the distribution data. As soon as the traceability system data becomes more complete, the proposed model may acquire greater precision. Comparing traceability system data to RfC is also required to convert the unit of measurement from cigarettes pack to cigarettes units (sticks). We have assumed a standard conversion rate of 20 sticks per pack, however, in various countries, larger packs are popular (and apparently on the rise).[571] Eventually, we were able to calculate for each MS a correction factor that has been used to resize the observed flows (based on incomplete data) to the overall market. In the MS Excel file attached below, the correction was applied on the estimation of each bilateral flows (i.e. between two bordering countries) averaging the correction factor of both countries involved.[572] Aggregating bilateral flows we have come to an estimate of the total net flows for each MS.[573] Similarly, summing up all bilateral flows between MS, it was possible to provide an estimation of the total volume of cross-border flows in the EU.

The same methodology was then applied to calculate the flows for four EU minima increase scenarios i.e.: Scenario B – in nominal and partial PPP terms; and Scenario D – in nominal and partial PPP terms. The results are laid down in the spreadsheets attached below. In particular, the file contains: (1) the assessment of the estimated bilateral flows between MS in the baseline situation (inclusive of the 'correction factor'); (2) the assessment of the estimated bilateral flows between MS in the four scenarios considered; (3) A comparison of the impact across scenarios, across MS. Additionally, the file contains a separate analysis of the impact of all scenarios for an

[569] Traceability system data were provided as the number of cigarettes pack supplied to point of sales by region.
[570] Different models tested provided slightly different results (i.e. up to 1.51%). The differences are always expressed in natural logarithms.
[571] For future assessment, including consumption trends, it can be useful if the traceability system allows to straightforwardly calculate the average pack size in each market. Based on discussions with responsible staff, this is technically possible, but it would require some effort.
[572] This step was required to avoid discrepancies in the magnitude of flows depending on whether assessed based on the country of origin or on the country of destination.
[573] With the exclusion of islands, the analysis focused on regions sharing a land border.

increase of EU minima on the price differential in specific 'hotspots' – i.e. MS borders where significant flows are registered.



App 3 - cross-border flows.xlsx

It should be highlighted that the estimates elaborated do not reflect the entire cross-border flows phenomenon, but only the net flows occurring between bordering regions belonging to different countries. Instead, they do not include (a) flows that occur between faraway regions (non-bordering); and (b) not involving an economic advantage, which can be linked to tourism, travelling etc. (in this case 'foreigner consumption' rather than 'flows' is involved, but the effects on MS revenue would be the same). This would explain, inter alia, why the model estimates of 11.1 billion units appear lower than KPMG's estimates of 31 billion units. On the other hand, the KPMG's estimates relate to 2019, i.e. before the COVID19 crisis, while our model's estimates relate to a period where cross-border travelling was subject to restrictions and discouraged. In this sense, our model estimates are probably correct in suggesting a significant reduction of cross-border flows in the period considered (coherently with the MS-level feedbacks), but it is recommended to run the analysis again with data from the post-confinement period, for a more realistic quantification of the size of flows.

Appendix 4 – Regulatory cost estimates

This Annex provides the details of the models used to quantify the impact of the proposed policy revisions in terms of regulatory costs for public authorities and economic operators directly concerned by the reform (producers, traders etc.). An overview of the approach adopted is provided in the methodological note attached below.



App 4 - Notes on regulatory costs.doc

The detailed calculations behind the regulatory costs impact analysis are provided in four different MS Excel files, as follows:

- ***Regulatory costs for economic operators linked to raw tobacco harmonisation***. The MS Excel file attached below provides the detailed additional costs by type of obligation and operator. The baseline situation has been reconstructed mainly through the information collected from industry stakeholders and public authorities. Gaps have been filled based on extrapolations and educated guesses. Working hypotheses have been set for certain parameters for which no benchmark or valid data were available, such as respective share of small and large operators, extent of domestic v. cross-border movements, price levels etc. Thinly granular results have to be considered as purely indicative. The spreadsheets contain also Comext and Prodcom relevant statistics on (internal and external) trade and production in the EU. The latest sheet provides a diagram reconstructing the main (estimated) flows of tobacco from the field to the release for consumption, expressed in volumetric terms (kt). The flows consider also the input and output from external trade in the various steps of the value chain. The diagram offers an inevitably simplified outlook of mechanisms that are much more complicated and diverse, with the sole purpose of identifying and roughly quantifying the main steps of the tobacco journey. As shown, the analysis revealed that the input volumes are short by roughly 16% when compared to the output (release for consumption). This 'error' can be attributed to a number of factors, all of which are quite plausible, namely: (a) statistical inaccuracies in the datasets used; (b) the amount of product released for consumption do not necessarily match with the product manufactured in that year; (c) the official statistics on agricultural production underestimate the actual production; (d) change of weight of the mixture during the process (humidity, additives etc.); (e) issues with the conversion between weight and units for cigarettes, HTP, and cigars and cigarillos.



App4 - Raw Tob EO.xlsx

- ***Regulatory costs for public authorities linked to raw tobacco harmonisation***. The detailed estimated costs for public authorities are provided in the MS Excel file below. The unit cost parameters have been drawn, again, from the previous impact assessment studies. While the number of actions to perform (e.g. registration of applicants, EMCS shipments) is based on the figures elaborated in the above economic operators' impact analysis. Where MS already have a fiscal regime for raw tobacco in place, it is assumed that the costs of registration / authorisation of applicant would be negligible. The other relevant costs identified include the overhaul of the IT infrastructure linked to EMCS, for the inclusion of new categories of products and the transactional costs for individual EMCS operations. Other costs, such as enforcement and controls, are not included, as they are not directly linked to the proposed reform and would depend on MS practices and priorities.



App4 - Raw Tob PA.xlsx

- ***Regulatory costs for economic operators linked to the new products harmonisation***. The MS Excel file attached provides the detailed estimation of the additional regulatory costs incurred by economic operators in connection with the proposed introduction of harmonised excise duty regimes for (1) e-cigarettes; (2) HTP; and (3) other manufactured tobacco and related products (essentially smokeless tobacco – chewing and nasal tobacco – and nicotine pouches). The impact analysis provides a subdivision of costs by type of obligation, product category and size of operators. The baseline situation is based on a mix of market data sources and information sourced directly from the stakeholders' consultation. As discussed (see also Annex A), market data are subject to limitations, especially for niche products and products that are not currently taxed in MS. Gaps have been filled through extrapolations and modelled estimates, but in some cases (e.g. for OMT/RP market composition and demand) figures have to be purely considered as working assumptions. Where relevant, the analysis differentiates between duty-paid and duty-suspended operations, as well as between costs incurred in the first year and the recurrent costs for the following years. A second spreadsheet reports the Comext trade data used for some of the baseline assessments carried out, disaggregated by CN code and differentiating between intra-EU and extra-EU movements. For the analysis we have used the average figures from 2019 and 2020 (since 2020 data might reflect fluctuations linked to the Covid19 crisis).



App4 - New Prod EO.xlsx

- ***Regulatory costs for public authorities linked to raw tobacco harmonisation***. The detailed estimated costs for public authorities are provided in the MS Excel file below. The unit cost parameters have been drawn, again, from the previous impact assessment studies. While the number of actions to perform (e.g. registration of applicants, EMCS shipments) is based on the figures elaborated in the above economic operators' impact analysis. Where MS already have a fiscal regime for raw tobacco in place, it is assumed that the costs of registration / authorisation of applicant would be negligible. The other relevant costs identified include the overhaul of the IT infrastructure linked to EMCS, for the inclusion of new categories of products and the transactional costs for individual EMCS operations. Other costs, such as enforcement and controls, are not included, as they are not directly linked to the proposed reform and would depend on MS practices and priorities.



App4 - New Prod PA.xlsx

Appendix 5 – Note on environmental impacts

This note provides a background review of the main categories of environmental impacts that can be anticipated from the revision based on the main published literature available on the subject. These impacts can stem from three main causes: 1) reduction of tobacco consumption altogether; 2) impacts from bridging the gaps between different excise rates for different products; 3) impacts from reducing the misuse of raw tobacco for both final consumption and illicit manufacturing.



App 5 - Note on environmental impa

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KP-01-25-052-EN-N



Publications Office
of the European Union

ISBN 978-92-68-30974-2